



Seller Guide

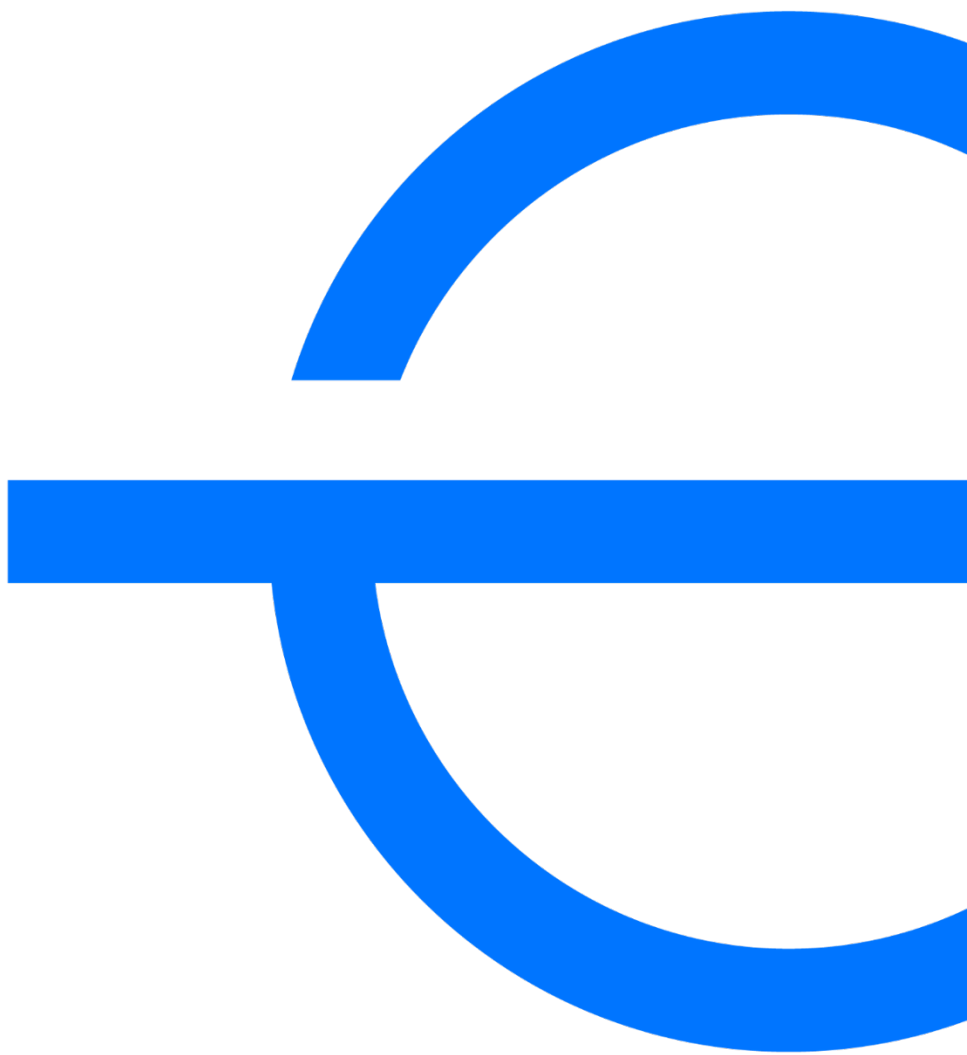




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Introduction

About Us

Planet Home Lending, LLC (Planet) is a leading specialty finance company focused on the servicing and production of mortgage loans to support homeowners and real estate investors. Our vertically integrated services span origination, servicing and affiliated services. Our scalable solutions combine a deep understanding of our customers with market-leading expertise, responsiveness and commitment throughout every stage of life and business.

We are proud to be:

- An approved Seller/Servicer for Fannie Mae and Freddie Mac
- A Ginnie Mae Approved Issuer
- HUD approved

We purchase loans underwritten and closed by the Seller in all states and the U.S. territory of Puerto Rico.

See [Chapter 1: Seller Eligibility](#) for details.

Our Commitment to Partnership

We are dedicated to professionalism and excellence in service. Our focus is on creating long-term, value-added partnerships by offering tailored business strategies to meet the specific needs and goals of our sellers.

We are committed to:

- Developing trusted relationships
- Delivering superior customer service that exceeds Seller expectations
- Following disciplined processes and industry best practices

Available Programs

We offer a diverse range of conventional, government and non-agency loan solutions to meet various borrower needs, including:

Conventional Programs

- **Fannie Mae:**
 - Conforming & High Balance
 - HomeReady
 - RefiNow
 - HomeStyle Renovation
 - Texas 50(a)(6) & Texas 50(f)
- **Freddie Mac:**
 - Conforming & Super Conforming
 - Home Possible
 - HomeOne
 - Refi Possible
 - ChoiceRenovation
 - ChoiceReno eXPress



Government Programs

- **FHA**
 - FHA Purchase 203(b)
 - FHA Streamline Refinance
 - FHA 203(k) Standard
 - FHA 203(k) Limited
 - FHA 203(h) PDMDA (Presidentially Declared Major Disaster Area)
- **VA**
 - VA Purchase
 - VA IRRRL
 - VA Cash Out
 - VA Alterations and Repair
- **USDA:**
 - USDA Purchase
 - USDA Non-Streamlined Refinance
 - USDA Streamlined Refinance
 - USDA Streamlined-Assist Refinance

Equity Programs

- **Second Lien**
 - Home Equity Loan 2nd Lien (HELOAN)

Non-Agency Programs

- Non-Agency Full and Doc
- Non-Agency DSCR
- Non-QM HELOAN 2nd Lien (Product Pending)

CORE Seller Portal

Approved Sellers receive secure logins to the CORE Seller Portal at www.phlcorrespondent.com.

The CORE Seller Portal provides convenient access to essential tools designed to support efficient loan delivery, promote transparency and encourage ongoing education throughout the process, including:

- **Communications** – Stay informed on announcements, new products, pricing changes and procedural updates.
- **Loan Delivery** – Submit files, upload documentation and hit submit!
- **Pipeline Management** – Easily view real-time data and reporting for your loan pipeline.
- **Pricing** – View current rate sheets, lock, update or extend your rate lock. You can also run pricing scenarios using our Generate Pricing Scenario (GPS) platform.
- **Product Resources** – Find our Seller Guide, forms, matrices, how-to documents and FAQs to help support your product needs.
- **Training** – Use the Planet CORE online training center for on-demand and live webinars.

Marketing Materials

From time to time, we may make available general or template marketing materials, tools, or resources (Materials) to our approved Correspondent Sellers for their independent use. These Materials are provided solely as a convenience and are intended for informational and illustrative purposes only.



No Warranty or Guarantee

By providing such Materials, we do not warrant, endorse or guarantee the accuracy, completeness or compliance of the content with any applicable laws, including but not limited to federal, state or local consumer protection, advertising or lending laws and regulations.

Seller Responsibility

The Correspondent Seller is solely responsible for reviewing, modifying and using the Materials in a manner that complies with all applicable laws and the Correspondent Seller's own policies, standards and brand requirements. Use of the Materials is entirely at the Correspondent Seller's own risk.

Disclaimer of Liability

Planet expressly disclaims any and all liability, loss or damages, whether direct or indirect, arising out of or related to the use, modification or distribution of the Materials by the Correspondent Seller or any third party.

Compliance and Fraud Policy

Planet is an equal credit opportunity lender and adheres to all applicable federal and state fair housing and anti-predatory lending laws. We have a ZERO tolerance fraud policy. Any evidence of Seller involvement in loan misrepresentation or fraudulent activity will result in immediate termination.

Use of the Seller Guide

This Seller Guide contains confidential information and is the sole property of Planet. It may not be reproduced or used for any purpose other than transacting business with Planet.

- Unless otherwise noted, the Seller Guide applies to both conventional, government and Non-Agency programs
- If a topic is not addressed in the Planet program guidelines or Overlay Document, Sellers must follow applicable Agency Guidelines.

Seller Guide Updates and Announcements

Sellers are responsible for keeping up to date on our current loan programs, guidelines and announcements.

- All updates and announcements are posted on the CORE Seller Portal and become effective on the date stated within each notice.
- Loan locks and commitments are priced according to the effective date provided in the update or announcement.

It is the Seller's responsibility to address all questions regarding our policies and guidelines. Any questions should be directed to your Regional Sales Manager (RSM).

Hours of Operation

Standard hours of operation are Monday through Friday: 8 a.m. to 5 p.m. Pacific Time. Sales Service Representatives are available from 6:30 a.m. to 5:30 p.m. Pacific Time

Holiday Closures

We observe the following holidays during which normal business operations are closed:



- New Year's Day
- Martin Luther King, Jr. Day
- Presidents' Day
- Memorial Day
- Juneteenth
- Independence Day
- Labor Day
- Thanksgiving Day
- Christmas Day



Chapter 1: Seller Eligibility

Correspondent Approval Overview

The Seller must meet certain qualifications before they may do business with Planet. These eligibility requirements allow Planet to determine whether the prospective Seller operates in a manner consistent with our current practices and exercises prudent risk management.

Planet will review, among other things, the Seller's financial condition, mortgage banking experience, loan performance, and licensing. The applicant is required to submit an application for approval within Comergence, a risk management solution for the due diligence and ongoing monitoring of third-party vendors. Comergence provides Planet with background checks, licensing verifications, authentication of corporate filings and additional information.

Loans submitted for purchase shall be subject to extensive Quality Assurance (QA) review. During the QA review, unsatisfactory loans may be returned to the Seller for correction or, depending on the nature of the defect, rejected outright.

Planet's Quality Control Department (QC) will perform reviews on a random sampling of purchased loans. Correspondents are required to respond promptly to any material adverse findings identified during QC reviews. Failure to provide a timely and satisfactory response may result in remedial actions, including but not limited to:

1. Repurchase demand
2. Indemnification
3. Refund of service release premium (SRP)
4. Reimbursement of any premium paid above par, and/or
5. Reimbursement for damages incurred by Planet

Eligibility

Seller eligibility requirements include, but are not limited to, the following:

- Financial
- Net Worth
- Licensing
- Experience
- Fair Lending
- E&O and Fidelity Bond
- Litigation

Financial

The Seller must meet stated minimum net worth and liquidity requirements. Documentation requirements are based on the Seller's delegation status. Delegated Sellers must provide the most recent two years of audited financial statements. Non-Delegated Sellers may provide their two most recent audited financials, or if unavailable two years of corporate federal income tax returns. All Sellers are required to submit year-to-date interim financials (balance sheet and profit & loss statement).



Seller will be required to provide current financial statements at the time of recertification and any time upon request. Seller is obliged to notify Planet immediately upon the event of a material change in the Seller's financial position.

Net Worth

Delegated:

A Seller must have a minimum adjusted net worth (ANW) of \$1,500,000 calculated in accordance with generally accepted accounting principles (GAAP) HUD ANW calculation method and with 20% liquidity. Banks and Credit Unions must have a minimum capital ratio designated as "Well Capitalized."

Sellers with adjusted net worth < \$2,000,000 are required to:

- Maintain a leverage of 15%
- Maintain a repurchase rate < 25% of ANW, net of reserves
- Provide most recent audited year-end and quarterly financial statements to document profitability

Non-Delegated:

A Seller must have a minimum adjusted net worth (ANW) of \$500,000 calculated in accordance with generally accepted accounting principles (GAAP) HUD ANW calculation method and with 20% liquidity. The Seller must provide two years Corporate tax returns or audited financials, if available, and current year-to-date P&L and balance sheet to demonstrate net worth.

Licensing

Seller must be licensed to close loans in own name or exempt from state licensing requirements. Seller is required to be licensed at the time of loan origination through purchase by Planet.

Experience

Mortgage lending or banking must be the Seller's primary business. It is required the Seller have qualified, experienced operations and management staff that is responsible for all aspects of the loan manufacturing process, compliance with the Seller Guide, and all agency and regulatory requirements. In addition, the Seller must have an adequate history of loan production to demonstrate the experience and capability of delivering closed loans to Planet.

Fair Lending

The Seller must strictly comply with all applicable Fair Lending laws and regulations. All loans must be prudently originated. The Seller must treat each of its borrowers in a fair and consistent manner. Discrimination based on race, color, sex, sexual orientation, disability, national or ethnic origin, marital or familial status, religion, or age is unlawful and is not tolerated. Should a regulator cite the Seller for a Fair Lending violation, Planet shall exercise its right to terminate the relationship.

Errors & Omissions / Fidelity Bond

The Seller is required to maintain Errors & Omissions (E&O) and Fidelity Bond coverage. A declaration of Fidelity Bond coverage must evidence that Seller has a minimum coverage of \$300,000 per occurrence. Seller's coverage must include incidences of injury or loss to third parties engaged in mortgage banking and/or



brokers, directors, officers, and employees against claims of actual or alleged breach of duty, negligent acts, misstatements, misleading statements, errors, and omissions. The E&O coverage must include, among other things, negligence, errors, and omissions with regard to hazard and flood insurance, mortgage insurance, flood zone determinations, payment of real estate taxes, and compliance with regulatory reporting requirements. The E&O policy must set forth a deductible no greater than \$50,000.

Litigation

The Seller is required to notify Planet of all material litigation and consumer complaints, including those filed by a regulator or the Better Business Bureau on a consumer's behalf.

Delegation

Underwriting Delegation

Seller must be expressly authorized by Planet to engage in delegated underwriting. Seller must underwrite all loans in accordance with industry accepted best practices. Delegated underwriting authority does not imply any agency relationship, partnership or joint venture between the Seller and Planet. Planet may terminate the Seller's delegated authority in writing at any time, with or without cause.

Delegated Underwriting Eligibility

The Seller must meet the following minimum requirements for delegation authority:

Delegated	Requirement
Management Experience	5 years
Underwriter Experience	5 years
Loan Amount	Up to Agency High Balance Limits
Minimum ANW for Government (non-renovation)	\$1,500,000
Minimum ANW FHA Test Cases	\$1,500,000
Minimum ANW for Conventional, Renovation and Non-Agency	\$2,500,000
Liquidity	20%

Non-Delegated Underwriting Eligibility

The Seller must meet the following minimum eligibility requirements for a non-delegated approval:

Non-Delegated	Requirement
Management Experience	3 years
Minimum ANW for USDA, VA and Seconds	\$500,000
Minimum ANW for Conventional & FHA	\$1,000,000



Non-Delegated	Requirement
Minimum ANW FHA Test Cases	\$1,500,000
Minimum ANW for Renovation Lending	\$2,500,000
Liquidity	20%

Additional eligibility requirements apply to a Seller submitting government loans for underwriting by Planet.

FHA Sponsored Third-Party Originator (TPO)

A non-delegated, approved Seller that is also approved as an FHA Mortgagee, has the option of being a Sponsored TPO. Seller must be expressly authorized by Planet to deliver loans for underwriting under the Sponsored TPO program.

FHA Principal/Authorized Agent

A non-delegated, approved Seller that is also approved as an FHA Mortgagee with unconditional Direct Endorsement (DE) authority, has the option of being a Principal/Authorized Agent. Seller must be expressly authorized by Planet to deliver loans for underwriting under the Principal/Authorized Agent program.

TPO Loan Delivery (4th Party)

Minimum Requirements	
Delegated Underwriting Experience	5 years
Third Party Origination (TPO) Experience	5 years
Adjusted Net Worth	\$7,500,000

U.S. Territories

For properties located in approved U.S. territories, Sellers must be expressly authorized by Planet to submit loans for purchase.

Standard Conventional Conforming Loans

Fannie Mae Desktop Originator Sponsorship

Planet offers sponsorship to Fannie Mae's Desktop Originator (DO) system for Seller's that do not have a Seller/Service Master Agreement with Fannie Mae. Planet DO sponsorship will allow Seller's access to Fannie Mae's Desktop Underwriter (DU) automated underwriting system.

DO Registration

Sellers may register their company for the DO system through the following link:



- Desktop Underwriter and Desktop Originator Learning Center
- Select the link for DO Online Registration for Brokers under the "Other Resources" heading, which will lead you to the registration instructions within Fannie Mae's Technology Manager.

Sponsorship Request

Once registered to use DO, the Seller may request Planet as a sponsor by completing the following steps through the Technology Manager Application after signing in with their log-in credentials:

- Click Request Additional Sponsorships
- Select Planet Home Lending, LLC from the list of Sponsoring Lenders
 - When assigning DU access, please select 692313 – Planet Home Lending, LLC
- Complete the remaining instructions to submit the access request.

Sponsorship Approval

Fannie Mae will inform Planet's TPO Client Administration regarding the sponsorship authorization request. Once Planet has accepted the sponsorship request, Fannie Mae will notify the Seller the request has been approved.

Please note that changing sponsors may result in a new case file ID being generated, which may update/change the AUS findings.

Government Loans

Additional eligibility requirements apply to a Seller submitting government loans. Seller must be expressly authorized by Planet to submit FHA, VA and USDA loans for purchase. Seller must be approved and have the ability to originate, process, and close FHA, VA and USDA loans using industry accepted best practices.

Additional eligibility requirements apply to all Sellers submitting government loans for purchase in Puerto Rico. Approved Sellers must be expressly authorized by Planet, and have the ability to originate, process, and close loans using industry accepted best practices.

FHA Approval Request

The Seller must meet the following minimum requirements for submitting FHA loans for purchase:

FHA Approval	Minimum Requirements
Delegated Underwriting Lender Approval	HUD Direct Endorsement (DE) Approval Required
Management Experience	5 years
Neighborhood Watch Compare Ratio	Less than 150%
Non-Delegated Sponsorship	HUD Title II Approval

VA Approval Request

The Seller must meet the following minimum requirements for submitting VA loans for purchase:

VA Approval	Minimum Requirements
Delegated	VA Automatic Lender Approval or a Supervised Lender as defined by VA



VA Approval	Minimum Requirements
Underwriting Lender Approval	
Delegated Underwriting Approval	VA Underwriter LAPP/SAR Approval
Management Experience	5 years
Non-Delegated Sponsorship	Seller must submit VA sponsorship request to Planet and have the VA recognize the Seller as an Agent of Planet prior to loan submission. Sponsorship must be updated annually.

USDA Approval Request

The Seller must meet the following minimum requirements for submitting USDA loans for purchase:

USDA Approval	Minimum Requirements
Delegated Underwriting Lender Approval	USDA approval as a Rural Development SFHGLP lender (Form 1980-16 or 3555-16)
Management Experience	5 years
Delegated Underwriting Experience	5 years
Non-Delegated Sponsorship	Non-Delegated Seller must request USDA sponsorship approval from Planet. The relationship must be recognized by the USDA in GUS.

Renovation Loans

Renovation lending provides financing for properties that require repair or modernization while promoting and facilitating the restoration and preservation of the nation's existing housing stock. The programs are a single loan closing that includes acquisition or refinance and rehabilitation costs. Improvements can be made after closing and increase property value.

Seller must be expressly authorized by Planet to deliver renovation loans. To determine eligibility requirements, see ["Underwriting Delegation" on page 7](#).

eNotes

An electronic promissory note (eNote) is the digital equivalent of a paper promissory note. Like a paper note, an eNote includes the terms for repayment of the loan (e.g., interest rate, loan term, loan amount). Unlike a paper note, an eNote includes language that identifies it as eNote that is electronically generated, presented, and signed (eSigned).

Prior approval from Planet is required for eNote delivery.



To begin the approval process, Sellers should reach out to their Regional Sales Manager for documentation required for approval.

Planet Client Administration will coordinate eNote systems and warehouse testing with the Seller. Upon completion, Planet TPO Client Administration will provide final approval.

Remote Online Notarization and In-Person Electronic Notarization

Remote Online Notarization (RON) and In-Person Electronic Notarization (IPEN) are forms of electronic notarization that allow closing documents to be executed electronically with a commissioned notary. RON permits the notary and signer to be in different locations using secure audio-visual technology, while IPEN requires the notary and signer to be physically present together but using approved electronic signature tools.

Prior approval from Planet is required for the use of RON and IPEN in loan closings.

To begin the approval process, Sellers should reach out to their Regional Sales Manager for documentation required for approval.

Planet Client Administration will coordinate with the Seller to ensure the RON storage facility meets requirements and will update the seller record accordingly. Upon completion, Planet TPO Client Administration will provide final approval.

Application Process

The prospective Seller is directed to the Comerence website to complete the application form and upload all documents required by Planet. The use of Comerence is mandatory for the application and recertification processes. Under no circumstances will Planet accept paper applications.

The following documentation must be included in the application package submitted for approval:

1. Completed Correspondent Application (www.comerence.com)
2. Executed Correspondent Agreement
3. Financials
 - Delegated Sellers: Previous two years' Audited Financial Statements
 - Non-Delegated Sellers: Previous two years' Corporate Tax Returns
4. Most current year-to-date interim financial statements signed by CFO (Depository Institutions may provide the most current quarterly FDIC CALL/TFR report.)
5. List and resumes of key employees
6. Organizational Chart
7. Articles of Company Formation
8. Copy of Fidelity Bond Coverage (minimum \$300,000) and Errors & Omissions with deductible no greater than \$50,000
9. Appraisal Management Policy
10. Vendor Management Plan
11. Quality Control Plan
12. QC Reports
 - Delegated Sellers Only: Most recent two months' QC reports with management responses to adverse findings



13. Copies of Agency Approval Letters
14. Warehouse References - Evidence of minimum of two warehouse lines of credit or alternative acceptable funding sources
15. Investor Scorecards, two minimum
16. Zero Tolerance Loan Fraud Policy
17. IRS Form W-9

FHA Approval (additional items if applicable):

18. Delegated Sellers Only: DE Underwriter's resumes
19. FHA Lender Approval Letter

FHA 203(k) Delivery Approval:

20. Completed Questionnaire
21. FHA 203(k) management policies and procedures

VA Approval (additional items if applicable):

22. Delegated Sellers Only:
 - VA Automatic Lender Approval Letter
 - Resumes of VA Underwriters
23. Non-Delegated Sellers Only:
 - VA Sponsorship Request Form

USDA Approval (additional items if applicable):

24. Delegated Sellers Only
 - Fully-executed Form RD 3555-16 or Form 1980-16
 - USDA Underwriter's resumes
25. Non-Delegated Sellers Only:
 - USDA Sponsorship Request Form

Comerence performs the following tasks as to all of Seller's direct individual owners:

- Validation of corporate NMLS ID and all NMLS ID's associated with the company
- Last seven years' State and Federal Civil Filings
- Last seven years' State and Federal Criminal Filings
- HUD Limited Denial Participation (LDP)
- Office of Foreign Assets Control (OFAC)
- Excluded Parties List System (EPLS)
- Last seven years' Mortgage and Financial Sanctions
- Validation of Social Security Number
- Validation of status with Secretary of State of incorporation for all applicable institutional structures (if publicly available)
- DBA / Fictitious business names as reflected in NMLS.

Comerence performs the following tasks as to all of Seller's banks and credit unions:

- FDIC Certificate Number
- NCUA Charter Number
- Corporate NMLS ID and all NMLS ID's associated with the bank or credit union are validated
- Last seven years' State and Federal Civil Filings as applicable



- HUD Limited Denial Participation List (LDP)
- Office of Foreign Assets Control (OFAC)
- Last seven years' Mortgage and Financial Sanctions
- Validation of status with Secretary of State of incorporation (if publicly available)
- All state registrations that appear in NMLS
- DBA/Fictitious business names reflected in NMLS.

Comerence performs constant monitoring of the following information:

- Judgments and Tax Liens
- Bankruptcies
- Civil and Criminal Records
- OFAC
- Information appearing in the NMLS database.

A Planet analyst verifies that the file is complete, reviews the Comerence results, and performs the following tasks:

- Analyze historical loan production, financial statements, organizational structure, experience of key officers, etc.
- Review all applicable information contained in HUD's Neighborhood Watch database. Seller's Compare Ratio may not exceed 150%
- Confirm that Mortgage Loan Purchase Agreement and any addenda are unaltered, entirely completed and fully executed

The analyst offers a recommendation to Planet's Chief Compliance Officer/Senior Counsel who issues the ultimate determination of Seller's application.

NOTE: All inquiries relating to the approval process should be directed to the Seller's Regional Sales Manager.

Approvals

Seller Approval

An approval letter is issued by Planet indicating the Seller Identification Number, underwriting delegation authority, and approved products for delivery to Planet. Seller credentials are issued during onboarding.

Special Approvals

Specific approval is required by Planet to deliver the following:

- Non Delegated Government Loans: VA and USDA
- Home Equity 2nd Liens (HELOAN)
- Loans in Puerto Rico
- Loans utilizing eNotes and RON
- Non-Agency Product Suite
- Renovation loans

Ongoing Requirements

Planet uses Correspondent Surveillance Services through Comerence. This service includes ongoing monitoring of all licenses in each state that the Seller is conducting business. Should Planet receive any



potentially adverse data, it is reviewed by Planet's VP Counterparty Diligence.

Furthermore, Planet shall review Seller's activity on a quarterly basis to determine if its current approval status should continue. If Seller failed to deliver any loans for purchase within the previous 90 days, its status may be changed to terminated or inactive. Relevant metrics are analyzed (i.e., volume, pull through percentage, and overall loan quality) to establish whether an adjustment has become necessary.

Annual Recertification (Seller Annual Renewal)

Planet sends an initial "notification of renewal" to the Seller 30 days prior to their recertification date. If the Seller has not completed the recertification process within the allotted time frame, Planet sends a second and final notification giving an additional 15 days to complete the recertification.

At the time of recertification, the Seller is required to update their information in Comergence. The Seller must upload all mandatory documents and current information into the Comergence portal. The Seller is notified once the recertification is completed.

Failure to recertify within the allotted time frame may result in suspension. The documents required for annual recertification include:

1. Completed Renewal Correspondent Application (www.Comergence.com)
2. Financials:
 - Delegated Sellers Only: Prior year's audited financial statements
 - Non-Delegated Sellers Only: Prior year's corporate tax returns
3. Most recent year-to-date interim financial statements signed by CFO (Banks may provide the most current quarterly FDIC CALL/TFR report.)
4. Organizational Chart (if updates are needed)
5. Updated declaration pages:
 - Fidelity Bond (minimum of \$300,000)
 - E&O coverage evidencing maximum deductible of \$50,000
6. Quality Control Plan (if updates are needed)

Maintaining Eligibility and Authorities

The Seller must provide Planet with timely notification of significant events that materially impact their ownership, corporate structure, or financial status. Examples of such significant events are set forth below.

Notification of change in corporate structure or management personnel must be provided to Planet in writing to TPO Administration. Notification must include current organization charts and resumes of new officers and owners. Planet reviews the circumstances and determines if the Seller's status must be changed.

Examples of Significant Events

- Material change in ownership: merger, consolidation, or reorganization. Notice must be given to Planet in advance of a corporate restructuring (except when such notice is prohibited by law or contract).
- Change in the name of the business.
- Change in the address or main telephone number of headquarters.
- Change in management.
- Material adverse change in financial condition.
- Rating agency downgrades the organization.



- Any change in banking relationships including warehouse lines of credit and wiring instructions.
- Any adverse action taken by a warehouse lender, FHA, VA, HUD, USDA, Freddie Mac, Fannie Mae, state regulator, or any other regulatory agency.
- Regulatory sanctions.
- Judgments filed against the organization.
- Termination or suspension by an agency or investor.
- Discovery of any fact or circumstance rendering a loan sold to Planet to become ineligible for purchase.
- An agency, regulatory or judicial finding, or other determination of noncompliance with Appraiser Independence Requirements (including, but not limited to, the Appraisal Independence Requirements set forth in Section 1472 of the Dodd-Frank Wall Street Reform and Consumer Protection Act).
- Any internal reviews that identify critical loan quality issues must be provided to Planet within 60 days of issuance.
- Any extraordinary delay in the Seller's quality control reporting.

Termination

Termination with Cause

Seller may be terminated with cause for reasons including, but not limited to:

- Fraud or misrepresentation of material facts
- Criminal conviction of organization, owner or executive officer
- Suspension or revocation of any of the Seller's state lending licenses
- Breach of Representations, Warranties, or Covenants
- Excessive number of demands to repurchase
- Unacceptably low production level or pull-through percentages

A notice of termination for cause shall become effective immediately upon receipt. Seller's entire active pipeline shall be canceled unless doing so would cause irreparable harm to a consumer.

Termination without Cause

The Seller can be terminated without cause by Planet upon 30-days' written notice. Only loans locked prior to the termination date are eligible for purchase. A Seller terminated without cause must close out its pipeline by the expiration date of the lock agreement or the termination date, whichever is sooner.

Termination (with or without cause) shall be affected as follows:

- Seller's termination is documented within Planet's CORE Seller Portal
- The relationship between Planet and the Seller is terminated in Comergerence
- Planet issues a notice of termination in writing to the Seller



Chapter 2: Compliance

Overview

The Seller must ensure full compliance with all applicable federal regulations, state, and local laws in the origination, processing, closing, and selling of mortgage loans.

Planet requires strict compliance with all Federal Regulations, in addition to all state and local laws, rules and regulations. The Seller should contact its legal counsel for advice on complying with these regulations and laws.

Loans submitted to Planet for purchase must comply with all applicable Federal Regulations, including but not limited to:

- Equal Credit Opportunity Act (ECOA, Regulation B), CFPB 12 CFR, Chapter X, Part 1002.
- Fair Credit Reporting Act (FCRA / FACTA, Regulation V), CFPB 12 CFR, Chapter X, Part 1022.
- Fair Housing Act, FDIC regulation "Part 338--Fair Housing," which implements section 805 of title VIII (Fair Housing) of the Civil Rights Act of 1968 (Pub. L. No. 90--284; 82 Stat. 81.)
- Home Mortgage Disclosure Act (HMDA, Regulation C), CFPB 12 CFR, Chapter X, Part 1003.
- Mortgage Disclosure Improvement Act (Amendment to Regulation Z) CFPB 12 CFR, Part 226.
- Privacy of Consumer Financial Information (Regulation P), CFPB 12 CFR, Chapter X, Part 1016.
- Real Estate Settlement and Procedures Act (RESPA, Regulation X), CFPB 12 CFR, Chapter X, Part 1024.
- S.A.F.E. Mortgage Licensing Act—Federal Registration of Residential Mortgage Loan Originators, (Regulation G), CFPB 12 CFR, Chapter X, Part 1007.
- S.A.F.E. Mortgage Licensing Act—State Compliance and Bureau Registration System, (Regulation H), CFPB 12 CFR, Chapter X, Part 1008.
- TILA-RESPA Integrated Disclosure rule (TRID Regulation X and Z), CFPB, 12 CFR, Chapter X, Part 1024, 1026.
- Truth-In-Lending Act (TILA, Regulation Z), CFPB 12 CFR, Chapter X, Part 1026, including Homeowners Protection Act (PMI Cancellation) and Home Ownership and Equity Protection Act.

Laws and Acts

The Seller has established and must maintain policies and procedures to ensure compliance with all applicable and newly enacted federal regulations, state, and local laws affecting mortgage operations and disclosures.

This includes, but is not limited to the following:

- Ability to Repay (ATR) and Qualified Mortgage (QM)
- Anti-Money Laundering (AML) and Suspicious Activity Reporting (SARs)
- Appraisal Independence Requirements (AIR)
- Fair Lending
- Net Tangible Benefit
- Patriot Act and OFAC
- Red Flags
- Risked-Based Pricing
- TRID

State-Specific Requirements

Planet requires all state-mandated disclosures to be included in the loan file and fully executed. All applicable state laws, restrictions, and consumer protection requirements must be applied to every loan submitted for



purchase.

The Seller is responsible for ensuring compliance and should consult its legal counsel regarding state-specific disclosure and regulatory obligations.

Commonly Used Terms

The following terms are used throughout this Seller Guide and shall be interpreted as defined below:

- **Closing** – The signing of loan documents by the borrower(s).
- **Closing Disclosure (CD)** – A final disclosure provided to borrowers that details the actual terms of the loan, including all closing costs and payment information. The CD replaced the HUD-1 Settlement Statement and final Truth-in-Lending disclosure.
- **Disbursement** – The release of loan proceeds by the Settlement Agent.
- **EOR (End of Rescission) Funding States** – Applies in states where, by law, the lender is required to fund the loan the day after the rescission period ends on owner-occupied refinance transactions.
- **Funding** – The process of wiring loan proceeds from the Lender to the Settlement Agent.
- **GFE (Good Faith Estimate)** – A disclosure that provides an estimate of closing costs and loan terms, required by RESPA.
- **HUD-1 Settlement Statement** – A form that itemizes all closing costs and payments in a real estate transaction, required by RESPA, and is used for reverse mortgages and other non-TRID loans.
- **Impounds** – Monthly collection of 1/12th of the hazard insurance, flood insurance, taxes and mortgage insurance premiums.
- **Legal Docs** – Includes the Note, Deed of Trust, Mortgage and all other lender-required documents accompanying the Note.
- **Loan Estimate (LE)** – A disclosure that provides borrowers with key loan terms, projected payments, and itemized closing costs early in the mortgage process. The LE replaced the former Good Faith Estimate and initial Truth-in-Lending disclosure.
- **NORTC (Notice of Right to Cancel)** – Rescission Notice required on applicable refinance transactions.
- **TIL (Truth in Lending Disclosure)** – A document that discloses the true cost of credit, including APR and finance charges, required by TILA, and applies to reverse mortgages and other non-TRID loans.
- **Wet Funding States** – On purchase and non-owner occupied transactions in states that require disbursement of funds at the closing table.

Anti-Predatory Lending and Fair Lending Guidelines Policy

Many state and federal agencies have enacted laws and regulations devised to prevent abuses in the mortgage industry. Planet does not condone or knowingly engage in predatory lending or abusive lending practices. Planet will not enter into or maintain any business relationships with any person or entity that participates in what it deems to be predatory lending practices. Planet requires and expects high ethical standards and practices from the Seller at all times.

Planet requires the Seller to comply with all of the requirements of the Equal Credit Opportunity Act (Regulation B) and all other anti-discriminatory regulations and laws. Planet shall only maintain business relationships with those persons and entities which provide credit services to all qualified individuals without discrimination on the basis of race, color, national origin, religion, gender, marital or familial status, age (ability to contract), handicap, receipt of income from a public assistance program, or good faith exercise of rights under the Consumer Credit Protection Act.



LDP and SAM List Verifications

All parties on government transactions should be checked against the FHA Limited Denials of Participation (LDP) and System for Award Management (SAM) exclusionary lists for matches. These parties may include, but are not limited to:

- Appraiser
- Appraisal Company
- Borrower(s)
- Closing Agent
- Lender
- Listing Agent
- Mortgage Loan Originator
- Mortgage Processor
- Mortgage Underwriter
- Seller(s)
- Selling Agent
- Title Company
- 203(k) Consultant

If any of the parties to the transaction are matched to an entity on the list, the match must be thoroughly reviewed to ensure the party is not one in the same.

The loan file should contain a printout from the exclusionary lists indicating either a match or no match. If the party to the transaction ends up being the same as the entity on the list, Planet will not purchase the loan. If there is strong evidence and/or documentation to show that the individual is not one in the same, the documentation must be provided from the Seller and included in the loan file. Purchase of the loan is subject to Planet review of the documentation.

The LDP and SAM lists can be accessed at:

LDP: [Limited Denials of Participation](#)

SAM: [Excluded Parties List System](#)

OFAC Specially Designated Nationals (SDN) List Verification

All borrower(s) must be checked against the Office of Foreign Asset Control, Specially Designated Nationals List (OFAC SDN List). If any borrower is identified as a match, the data must be reviewed to ensure the individual is not the party associated with the transaction.

The loan file should contain documentation that the Seller completed a thorough review and the borrower(s) is not one and the same person. If the match had not been investigated, the loan is not eligible for purchase by Planet. If the match has been investigated and the loan file contains documentation of this process and the result is negative, the loan is eligible for purchase by Planet.

The OFAC SDN list can be accessed at: [Office of Foreign Assets Control](#)

Additional information can be found at:

- [U.S. Department of the Treasury - OFAC](#)
- OFAC Hotline: 1-800-540-6322

Loan Estimate

A Loan Estimate (LE) must be provided within three business days after receipt of an application. An application consists of the following six items:



- Borrower Name
- Borrower Income
- Borrower Social Security/ITIN
- Subject Property Address
- Estimate of the Property Value
- Loan Amount Requested

The initial LE is binding and must reflect the fees and charges the borrower is expected to pay at closing. Fees for appraisals and/or settlement services cannot be collected prior to receiving an intent to proceed from the borrower.

Increases in fees and/or charges from the initial LE and re-disclosure of these increases are only permitted with a valid changed circumstance and within three business days of the change occurring. The Seller must provide, in addition to the re-disclosed LE, documentation for all changed circumstances to support the need to re-disclose.

In addition, the comparison page (page 3) of the CD Settlement Statement must be compared to the LEs being submitted with the loan file to ensure the numbers correspond to the submitted LE. Any amounts over the tolerances permitted by RESPA must be credited to the borrower and show as a “cure” on the second page of the CD in section J. If there is no “cure” on the CD, the Seller is required to issue a check to the borrower to “cure” the RESPA violation.

Closing Disclosure

Loan applications require a Closing Disclosure (CD) to be delivered to the borrower no later than three business days before consummation.

Receipt of the CD is considered to occur on the earliest of the following:

- The date of the borrower's actual receipt evidenced by documentation received by Planet.
- Same day if provided in person.
- If by U.S. mail or other form of delivery and no evidence of earlier actual receipt; three business days after it is placed into the mail or otherwise sent.
- If sent electronically and no evidence of earlier actual receipt, three business days after it is sent.

NOTE: If sent electronically, borrower consent to receive disclosures electronically must be documented in the file.

When a loan includes more than one borrower and the transaction **is not** rescindable, the CD may be provided to only the primary borrower.

When a loan includes multiple borrowers and the transaction **is** rescindable, the Seller must provide the CD separately and meet the timing requirements for each borrower who has the right to rescind under the TIL Act and must also receive a copy of the CD three business days prior to consummation.

Re-Disclosure

If a CD becomes inaccurate after it has been delivered, then a revised CD must be delivered. A change in circumstance resulting in re-disclosure will not trigger an additional three business days waiting period. In those instances, the Seller must provide the re-disclosed CD at or before consummation. However, any one of the following change in circumstance triggers an additional three business days waiting period:



- The disclosed APR becomes inaccurate and exceeds tolerance
- The loan product changes
- A prepayment penalty is added

APR, Finance Charge and Per Diem Interest Collection Cures

APR, Finance Charge and Per Diem Interest Collection Cures include, but are not limited to:

- Refund of under-disclosed amount or "cure" means the last disclosure was accurate and no additional disclosure is required.
- On CA loans, per diem interest may only be collected one day prior to the disbursement date. If more was collected at closing, evidence of a refund must be in the loan file.
- On FHA loans, per diem interest may only be collected from the day of disbursement. If more was collected at closing, evidence of a refund must be in the loan file.

The Seller must provide evidence the cure has been issued to the borrower; provide a copy of the cover letter and a copy of the check sent to the borrower.

Notice of Borrower's Right to Cancel

Refinance transactions (owner occupied homes) that are subject to Notice of Right to Cancel (NORTC) must contain two NORTC forms given to the borrower at closing. One form is for the Borrower to keep and, if the Borrower wishes to cancel, the Borrower must execute the other form and submit to the Seller.

Any changes made to the NORTC form must be initialed by all of the borrower(s). If the borrower inadvertently signed the "I wish to cancel" section, the NORTC will not be accepted and the loan document package must be dated (Note date) after the date they signed this section, even if signed accidentally.

Other common NORTC issues include, but are not limited to:

- Corrections and/or changes to NORTC are not initialed by all of the borrowers.
- Loan funded within the required rescission period. Planet will not purchase loans that were funded within the rescission period, disclosed or actual. Files should not be delivered or shipped to Planet until the rescission period has expired.
- The "midnight of" date has not been calculated properly, including Saturdays or excluding Sundays and legal holidays.
- The "midnight of" date does not consider the "later of" the three specific instances per the regulation; the "transaction date", the date the borrower received the TIL, or the date the borrower received the NORTC.
- There is no evidence that the borrower received two copies of the NORTC at closing.
- Transaction date is not the same date as the date the borrower signed the loan documents, evidenced by the notary date on the Deed of Trust/Mortgage.

Planet will not purchase any loan that is in violation of the rescission provisions of the Truth-In-Lending Act (TILA, Regulation Z), CFPB 12 CFR, Chapter X, Part 1026.23 and re-disclosure of the NORTC after closing will not be an acceptable cure to this violation.

Invoices

Invoices are required for certain settlement services (i.e., escrow, appraisal, and credit report). A breakdown of all fees and charges is required; if any charges on the invoice are "grouped" together, the entire charge will be placed in the finance charge calculation.

The Seller is required to maintain copies of all invoices, including but not limited to:



- Credit Report
- Appraisal
- Recording Fees

NOTE: Seller may be required to provide documents upon request.

Patriot Act

All persons and entities doing business with Planet must comply with certain criteria regarding the identity of their borrowers.

- **Mandatory Check – OFAC Specially Designated Nationals List (OFAC SDN)**

All borrowers must be verified against the SDN list either via credit report, other electronic means, or may be verified manually. Evidence of verification must be in the loan file.

- **Patriot Act Disclosure – Borrower Information**

The Patriot Act Disclosure – Borrower Information form must be completed for each borrower and must be in the loan file to comply with Section 326 of the Patriot Act. The Patriot Act Disclosure document is used for borrower identification and to verify the borrower is not on the OFAC SDN list.

- **Patriot Act Verification / Customer Identification Form**

A "Patriot Act verification form" signed at or before closing is a document that borrowers are required to sign to verify their identity, as mandated by the USA Patriot Act, which aims to combat terrorism financing by requiring financial institutions to thoroughly check the identities of their customers; this form typically includes details like name, address, date of birth, and information about the identification documents presented.

Data Collection of Information for Government Monitoring Purposes

The Demographic Information Addendum must be completed for each borrower. If a face-to-face interview was conducted and the borrower does not wish to furnish the information, the interviewer must complete the information based on visual observations or the surname of the borrower.

Loans Ineligible for Purchase

Planet will not purchase certain mortgage loans. These loans include, but are not limited to:

- Any loan originated by a loan originator not licensed or registered in accordance with S.A.F.E. Mortgage Licensing Act—Federal Registration of Residential Mortgage Loan Originators, (Regulation G), CFPB 12 CFR, Chapter X, Part 1007 or S.A.F.E. Mortgage Licensing Act—State Compliance and Bureau Registration System, (Regulation H), CFPB 12 CFR, Chapter X, Part 1008.
- High-Cost loans as defined by state or local government.
- High-Cost Mortgages as defined by the Truth-In-Lending Act (TILA, Regulation Z), CFPB 12 CFR, Chapter X, Part 1026, Section 32.
- Loan files that do not contain a FINAL CD and/or HUD-1 Settlement Statement, as applicable. This is necessary to ensure compliance with Regulation Z and RESPA.
- Loans originated using predatory or abusive lending practices, defined at the sole discretion of Planet.
- Loans that are funded during the rescission period.
- Loans that are not funded in accordance with state WET or EOR provisions.
- Loans that violate the tolerance provisions or other requirements of the Truth-In-Lending Act (TILA,



Regulation Z), CFPB 12 CFR, Chapter X, Part 1026, including Homeowners Protection Act. Some cures may be acceptable.

- Loans that violate the TILA-RESPA Integrated Disclosure rule (TRID Regulation X and Z), CFPB, 12 CFR, Chapter X, Part 1024, 1026.
- Loans that violate the Real Estate Settlement and Procedures Act (RESPA, Regulation X), CFPB 12 CFR, Chapter X, Part 1024, specifically the disclosure or re-disclosure, of the Good Faith Estimate, Loan Estimate, and/or Closing Disclosure and Changed Circumstances.
- Loans that are submitted for purchase where the subject property is located in a state Planet is not licensed to do business.

Ability to Repay / Qualified Mortgage

The Consumer Financial Protection Bureau (CFPB) issued the final regulations to implement the Ability to Repay (ATR) and Qualified Mortgage (QM) provisions under the Dodd-Frank Act.

Planet is providing general information on ATR/QM rules and Planet requirements. The information that follows does not cover all ATR and Qualified Mortgage requirements under the CFPB's final regulation nor is it intended as legal advice. The Seller is responsible to ensure all loans submitted for purchase to Planet are in compliance with existing state, federal and local laws and regulations in addition to ATR, QM and Planet guidelines.

Additionally, the Seller is responsible to ensure all applicable disclosures and documentation required under the ATR and QM provisions of the Dodd-Frank Act are provided. The Seller should consult with its own legal counsel to guarantee understanding and compliance of the ATR and QM rules.

Purchase and refinance transactions secured by **owner-occupied and second homes** are covered by ATR/QM rules.

ATR/QM rules do not apply to the following:

- Investment properties that are for business purposes.
- If the borrower occupies any investment property for > 14 days in any given year, the investment property is no longer considered for business purposes only and would be subject to ATR/QM rules.
- Additionally, there can be no evidence that the borrower purchased/refinanced the investment property for personal rather than business reasons (e.g., property purchased for a family member). Any indication of personal reasons the loan is subject to ATR/QM rules.
- Construction loans (during the construction phase).

Planet shall not make a loan unless Planet makes a reasonable and good faith determination that the consumer will have a reasonable ability to repay the loan according to its terms, as outlined in TILA.

Planet will make a reasonable and good faith determination that the consumer will have a reasonable ability to repay the loan according to its terms at or before consummation (closing). Planet may satisfy the requirement to make a reasonable and good faith determination that a consumer has the ability to repay the covered transaction by making a QM loan in accordance with the applicable requirements.

In doing so, Planet pursuant to its underwriting standards will review and consider the following factors which include, but are not limited to:

1. The consumer's current or reasonably expected income or assets, other than the value of the dwelling, including any real property attached to the dwelling, that secures the loan;
2. If the creditor relies on income from the consumer's employment in determining repayment ability, the consumer's current employment status;



3. The consumer's monthly payment on the covered transaction, calculated using the greater of the fully indexed rate or any introductory interest rate and monthly, fully amortizing payments that are substantially equal (with special rules for loans with a balloon payment, interest-only loans, and negative amortization loans);
4. The consumer's monthly payment on any simultaneous loan that the creditor knows or has reason to know will be made, taking into account any mortgage-related obligations and calculated in accordance with specific requirements depending on if the simultaneous loan is a covered transaction or a HELOC;
5. The consumer's monthly payment for mortgage-related obligations;
6. The consumer's current debt obligations, alimony, and child support;
7. The consumer's monthly debt-to-income (DTI) ratio or residual income; and
8. The consumer's credit history.

Planet may request additional documentation if determined necessary to establish a consumer's reasonable ability to repay the loan. The ability to repay assessment will be determined at or before the loan is consummated.

Non-QM programs may provide specific investor required documentation and processes in order to satisfy the ATR requirements for specific programs and scenarios. Planet will comply with the applicable investor guidelines for loan programs, including Non-QM programs.

Verification using Reasonably Reliable Third-Party Records

Planet will verify the eight underwriting factors using reasonably reliable third-party records that are specific to the individual consumer and provide reasonably reliable evidence of the information sought to be verified.

A reliable third-party record includes, but is not limited to:

- A document or other record prepared or reviewed by an appropriate person other than the consumer, Planet, or other such interested parties;
- A copy of a tax return filed with the IRS or a state taxing authority;
- A record that Planet maintains for an account of the consumer held by the Planet;
- If the consumer is an employee of Planet, a document or other record maintained by Planet regarding the consumer's employment status or employment income;
- A form that Planet gives to a third party to provide information, even if Planet completes parts of the form unrelated to the information sought.

Third-party records may be submitted electronically or provided in hard copy. Planet must be able to reproduce accurately any records and forms relied on it in determining the ATR.

For the Correspondent channel, Planet ensures the Seller has considered, verified, and complied with the ATR by ensuring the file includes evidence as obtained from the following documents:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

QM Pricing Threshold and Points and Fees Cap

All loans under QM are subject to an APR threshold in order to meet Safe Harbor protection including Section 35 loans subject to QM.



Sellers are obligated to ensure all loans delivered for purchase have been originated, processed, and closed in strict compliance with federal regulations and state laws. Through the pre-purchase audit, loans may be selected to for verification through a compliance software that the loan meets the points and fees cap.

See 1026.43(e)(2)(vi) and 1026.43(e)(3)(i): <https://www.consumerfinance.gov/rules-policy/regulations/1026/43/#e-2-vi-F>.

Additional adjustments may be found on the CFPB websites:

- **Truth in Lending Regulation Z Threshold Adjustments**
<https://www.consumerfinance.gov/rules-policy/final-rules/truth-lending-regulation-z-threshold-adjustments/>

Under ATR/QM rules, loans that meet QM requirements and are not a higher priced mortgage loan are entitled to Safe Harbor protection, which means the lender has met the ATR requirements and has certain legal protection if the borrower goes into default/foreclosure in the future.

Under ATR/QM rules, loans that are a higher priced mortgage loan are entitled to Rebuttable Presumption protection assuming the lender complied with the ATR.

Rebuttable Presumption does not provide the same protection as Safe Harbor. Under Rebuttable Presumption, if a borrower goes into default/foreclosure in the future, the borrower would be required to demonstrate that they did not have adequate residual income/assets to meet their debt obligations/living expenses at the time the loan closed.

NOTE: *For purposes of the points and fees calculation under the ATR/QM rule, the total loan amount is calculated by taking the amount financed, as determined according to § 1026.18(b), and deducting any cost listed in § 1026.32(b)(1)(iii) [real-estate related fees], § 1026.32(b)(1)(iv) or (iv) [prepayment penalties when refinancing with the same creditor] that is both included as points and fees under § 1026.32(b)(1) and financed by the creditor.

Planet requires documentation indicating compliance with QM and how fees were applied including fees retained by the Seller. Planet will not mandate the use of a specific form; the Seller may use its own form, a compliance vendor report, or an LOS-generated form.

ECOA Valuations Rule

- The borrower(s) must be notified within three days of application of their right to receive a copy of the appraisal(s) or any other written valuation of the property (i.e., AVM, field review, desk review, second appraisal, and recertification of value).
- The borrower(s) must receive the appraisal(s)/valuations(s) promptly upon completion or at least three business days prior to closing. When counting business days, Saturday is included but Sunday and federal holidays are not.

Emailed Appraisal Copy

The three-business days period begins the day the appraisal(s)/valuation(s) were emailed to the borrower (timing cannot be waived on loans that are an HPML).

Example: Loan is scheduled to close on Friday. The appraisal(s) and valuation(s) must be provided to the borrower no later than Tuesday to be in compliance (Tuesday, Wednesday,



Thursday = 3 business days prior to close).

NOTE: The three-business day waiting period begins the day the appraisal/valuation was provided to the borrower.

Mailed Appraisal Copy

The three-business day ECOA waiting period requirement begins three business days after the appraisal(s)/valuation(s) were mailed to the borrower (timing cannot be waived on loans that are an HPML). **A total of six business days prior to close is required for appraisal copies sent via USPS mail.**

Example: Loan is scheduled to close Friday. The appraisal(s) and valuation(s) must be mailed to the borrower no later than the previous Friday to be in compliance (Friday, Saturday, Monday, Tuesday, Wednesday, Thursday = 6 business days prior to close).

NOTE: The six business day waiting period begins the day the appraisal/valuation was mailed to the borrower.

- The copy of the appraisal(s)/valuation(s) must be provided whether the loan is approved, denied, or withdrawn.

The waiver of the three-business day requirement is subject to the following:

Non-Higher Priced Mortgage Loans

If a loan is **not** a higher priced mortgage loan, the borrower may waive their right to receive the appraisal/valuation no more than three business days prior to close. However, **borrower is still required to receive a copy at closing. The Notice with the waiver selected must be signed and dated at least three business days prior to loan closing.**

Higher Priced Mortgage Loans

When a loan is determined to be a higher priced mortgage loan, the borrower must receive the appraisal (s)/valuation(s) three days prior to close even if the borrower signed the waiver. There are **no exceptions to the 3-day requirement on HPMLs.**

HOEPA Counseling Disclosure

The borrower must be advised that homeownership counseling is available and provide a written list of homeownership counseling agencies near the borrower's current zip code within three days of taking a loan application. To view the entire Bulletin, click here: [CFPB Bulletin 2013-13](#).

NMLS Identification

The new rules require both the loan originator name and NMLS ID number and the loan originator's company (employer) name and NMLS ID number, as listed in the National Mortgage Licensing System Registry (NMLSR) appear on the loan application, the Note and the Security Instrument (i.e., Mortgage or Deed of Trust).



Disclosures/Documentation Required under ATR/QM

The following disclosures/documentation must be in the loan files submitted to Planet:

- ECOA Valuations
 - A Notice of Right to Receive a Copy of Appraisal (sample on Planet website) or similar document, such as the Loan Estimate.
 - The waiver, if applicable.
 - Documentation that the appraisal(s)/valuation(s) was provided in compliance with the Valuations Rule (e.g., copy of email sent to borrower, notes indicating date documents mailed to borrower, etc.), or an executed acknowledgment form signed at closing.
- HOEPA Counseling Disclosure
 - Copy of disclosure provided to the borrower.
- NMLS Identification
 - The loan originator's name, NMLS ID number and the loan originator's company (employer) name and NMLS ID number as listed in the NMLS must be included on all of the following:
 - Loan application
 - Note
 - Security instrument (i.e., Mortgage or Deed of Trust)
- Lender Fee Worksheet
- QM and HOEPA Loan Detail Worksheet
- Affiliate Disclosure Worksheet, if applicable
- Lender QM/HOEPA Points and Fees Test Results
- Copy of Undiscounted Lender Rate Sheet, if applicable
- Bona Fide Discount Point Worksheet, if applicable
- Lender Rate Lock Confirmation with Borrower

Quality Control Requirements

Planet requires evidence of a fraud check be included in every file submitted for purchase.

At a minimum, the Seller must provide evidence that all high-risk alerts have been reviewed and cleared.

The fraud check should include, but is not limited to:

- Borrower validation to include:
 - Address
 - Employment
 - Phone number
 - Property alerts
- Loan Officer
- Seller
- Social security number verification
- MERS and property information to include a minimum 12-month chain of title

Planet does not accept a social security number and an OFAC check alone to satisfy this requirement. The fraud report must include all parties associated with the mortgage transactions to be validated through exclusionary lists including, but not limited to:

- OFAC
- HUD-LDP



- GSA-EPLS
- Freddie Mac Exclusionary List (FMEL)

Planet accepts a fraud check that uses a specific combination of alerts, loan characteristics, known fraud schemes, and high-risk elements to identify loans requiring additional review. Planet accepts most standard electronic fraud detection reports including, but are not limited to:

- CoreLogic Loan Safe
- Data Verify
- Interthinx FraudGUARD

In those cases where an initial file submission does not include a fraud report, Planet may, at its option, run a fraud check. The file may be conditioned based upon the findings. Additionally, if Planet elects to run the report, there will be a \$25.00 charge to the Seller collected through the Purchase Advice.



Chapter 3: Prior Approval

Loans Submitted for Prior Approval

The Seller must fully process the loan prior to submission to Planet. Loans must be electronically uploaded through the CORE Seller Portal at www.phlcorrespondent.com.

All documents necessary for underwriting must be included at the time of submission. Any file submitted with missing documentation will be placed in an “Incomplete” status. If the documentation required is not received by Planet within five business days, Planet will cancel the loan.

If Planet underwrites a file that is returned to the Seller (i.e., status of the loan is canceled, withdrawn, denied, NOR, etc.), a fee of \$150 per file is charged to the Seller. Once Planet issues an Underwriting Fee Notification, the Seller is required to pay the fee within 15 business days. If the underwriting fee is not paid, Planet may offset any fees due from any proceeds owed to the Seller by Planet.

Delegated Seller

Planet purchases loans underwritten and closed by a delegated Seller in all states.

Seller may request Planet approval to deliver 203(k) loans on a non-delegated basis.

FHA Non-Delegated Underwriting

A Seller with HUD Title II approval can request to be approved as a Sponsored Third-Party Originator (TPO). A Seller with HUD Direct Endorsement (DE) authority that wishes to deliver Non-Delegated FHA Loans, must be approved with Planet for a Principal/Authorized Agent relationship.

- Sellers must pay the Up-Front Mortgage Insurance Premium (UFMIP) for FHA loans underwritten by Planet, and Planet will submit the loan for insuring.
- There is an Administration Fee for all FHA 203(k) loans underwritten by Planet. Current fees can be found on the Planet Rate Sheet.

Sponsored Third-Party Originator Relationship

A Sponsored Third-Party Originator (TPO) relationship is one which Planet permits the Seller to act as an originator and originate mortgages on behalf of Planet. A Sponsored TPO must be authorized to originate mortgages for sale to Planet.

Principal/Authorized Agent Relationship

Principal/Authorized Agent Relationship is one in which a Mortgagee with Unconditional DE Authority permits another Unconditional DE-approved Mortgagee to underwrite on its behalf. A Seller with Unconditional DE authority can designate Planet to act as its “authorized agent” for the purpose of underwriting mortgages. The Seller must originate the mortgage and Planet must underwrite the mortgage.

FHA Prior Approval for 203(k) Loans

As part of the 203(k) process, Planet offers:

- prior approval of the contractor.



- A completed Contractor Validation Package is required
- preclosing review

NOTE: There are fees associated with these options. See Rate Sheet.

Delegated and Non-Delegated Sellers may submit FHA 203(k) loans for prior approval under the below stipulations:

- Delegated Sellers must be approved to submit loans for prior approval.
 - All 203(k) loans must be underwritten by Planet prior to loan purchase.
 - The Delegated Seller will be re-established in CORE with a status of "Sponsored" for FHA.
- All non-FHA 203(k) loans can continue to be submitted on a delegated basis.
- Contractor Validation Process:

As part of the 203(k) process, Planet will offer prior approval of the contractor.

- Sellers must submit a complete Contractor Validation Package to ensure a complete appraisal.
- Sellers must pay the Up Front Mortgage Insurance Premium (UFMIP) for FHA loans underwritten by Planet, and Planet will submit the loan for insuring.

NOTE: There is an Administration Fee for all FHA 203(k) loans underwritten by Planet. See Rate Sheet.

FHA 203(k) — Seller Draw Administration

Planet will allow approved Sellers to manage the disbursement process. Prior to submission the Seller will:

- Validate that the contractor(s) are qualified to perform the work as agreed to in the Work Write Up or the Contractor Estimate and meets all jurisdictional licensing and bonding requirements. Validation includes:
 - Contractor's credentials
 - Work experience, and
 - Client references
- Manage any disputes between contractor and borrower.
 - Intercede and work with all parties to resolve such issues.
 - Validate a new contractor if the borrower opts to terminate the existing borrower/contractor relationship.
- Maintain communication with the borrower, contractor and consultant including but not limited to providing notices for the following:
 - Rehab has not started within 30 days of the disbursement date
 - Ceases for more than 30 consecutive days; or
 - Has not been completed within the established time, or an extended period approved by the Seller/Planet.
- Obtain the executed HUD-9746-A, Draw Request from the 203(k) Consultant, or the Borrower when there is no 203(k) Consultant.
 - The Seller will review and approve each draw request
 - Ensure the work for which funds are being requested has been completed satisfactorily. and
 - The form has been properly executed prior to submitting the draw request to Planet.
- Submit **Change Orders** to Planet for approval, prior to work being completed.
 - A Contingency Release Letter must be submitted with each change order.
- Order and obtain a title update for each draw (Standard) and final draw (Limited).
- A 10% holdback will apply for all interim draws on Standard 203(k). Holdback funds will not be released



until final title update has been received and reviewed by Planet.

- To ensure disbursement within five business days of receipt, the HUD-9746-A and all other applicable documentation listed on the 203(k) Draw Disbursement Request Checklist must be submitted within a timely manner. The Checklist is posted on the CORE Seller Portal at www.phlcorrespondent.com under **Forms and Resources > 203(k) Forms**.

NOTE: Draw Request documents must be sent to Renostar@planethomelending.com.

- Planet must receive the following documentation when the renovation project is complete for proper closeout in FHAC:
 - Borrower Letter of Completion signed by borrower
 - An CO or equivalent, if required by local jurisdiction
 - All inspections required by the local jurisdiction
 - Complete the Final Release Notice authorizing the final payment
 - Obtain a release of any and all liens arising out of the contractor or submission of receipts, or other evidence of payment covering all subcontractors or suppliers who could file a legal claim.
- Authorization from Borrower to apply remaining funds to principal balance.

As part of the Draw disbursement process, Planet will:

- Upon receipt of draw request, respond promptly and advise Seller of any outstanding documentation.
- Upon draw Request approval, wire funds to Seller using instructions provided by Seller.
- All remaining funds, including any interest earned will be applied to the principal balance after the renovation is complete.
- Provide borrower Notice of Principal Reduction
- Process closeout in FHA Connection within 30 days of final draw.

NOTE: Any disbursement made by the Seller must be fully documented and submitted prior to purchase by Planet. An administrative fee of \$200.00 is required for each draw disbursement request.

Loan Process

Loans should be submitted for prior approval through the CORE Seller Portal following the normal process.

Seller Responsibilities

- Originate the loan
- Obtain the FHA Case# and identify Planet as Sponsor/Authorized Agent
- Order the appraisal and identify Planet as Sponsor/Authorized Agent
- Upload appraisal in EAD and review FHA logging
- Run CAIVRS and LDP/SAM checks
- Run Total Scorecard
- Close and fund the loan
- Pay UFMIP

Planet Responsibilities

- Underwrite the loan
- Update FHAC appraisal logging
- Submit the loan to HUD for insuring in the name of Planet



Documentation

The forms required are the same for both Sponsored TPO and Principal/Authorized Agent relationship. Documents generated by Planet are provided to the Seller when the loan is “Clear to Close” unless requested earlier.

- Final HUD/VA 92900-A Addendum to Uniform Residential Loan Application
- HUD 92900-LT FHA Loan Underwriting and Transmittal Summary
- HUD 92800.5B Conditional Commitment Direct Endorsement Statement of Appraised Value

VA Supervised and Non-Supervised Sponsored Agent

A VA Supervised Lender and Non-supervised Lender may request to be a Non-supervised Sponsored Agent of Planet.

Planet will maintain a copy of the Agent's corporate resolution which includes the geographic area in which the Agent will be originating and/or closing the loans.

Loan Process

Loans should be submitted for Prior Approval through the CORE Seller Portal following the normal process.

Seller Responsibilities

- Originate the Loan
- Order the Appraisal/Case Assignment and identify Planet as Sponsoring Lender
- Run CAIVRS and LDP/GSA checks
- Run Total Scorecard
- Close and fund the loan
- Pay VA Funding Fee if applicable (within 15 days from closing date)

Planet Responsibilities

- Underwrite the loan
- Issue the NOV
- Submit the loan to VA and have the LGC issued in the name of Planet.

Documentation

Documents generated by Planet will be provided to the Seller when the loan is “Clear to Close” unless requested earlier.

- 26-6393 VA Loan Analysis
 - Planet will provide
- 26-0286 VA Loan Summary Sheet
 - Planet will provide
- Lenders Notice of Value
 - Planet will print from the VA Portal
- 26-1820 Report and Certification of Loan Disbursement
 - Seller to provide with submission of closing package

USDA Non-Delegated

Seller approval is required for this type of submission.



Loan Process

Loans should be submitted for Prior Approval through the CORE Seller Portal following the normal process.

Seller Responsibilities

- Originate the Loan
- Completes initial submission to GUS
- Run CAIVRS and LDP/SAM checks
- Processes loan prior to submission to Planet
- Close and fund the loan

Planet Responsibilities

- Underwrite the loan
- Final Submission to GUS
- **Pays upfront guarantee fee**
- Submit loan for insuring

Documentation

Documents generated by Planet will be provided to the Seller when the loan is "Clear to Close" unless requested earlier.

- RD 3555-21 Request for Single Family Housing Loan Guarantee
 - Initial: Seller to provide initial signed by the Borrower(s)
 - Final: Planet will provide
- RD 3555-18 Conditional Commitment for Single Family housing Loan Guarantee
 - Planet will provide



Chapter 4: Mortgage Insurance

Planet requires all conventional loans with a loan-to-value (LTV) greater than 80% to have mortgage insurance (MI). It is the sole responsibility of the Seller to ensure all loans are in compliance with any state laws, MI regulations, and the applicable MI Company guidelines.

Eligible Mortgage Insurance Companies

Planet accepts MI issued by any MI company that is Fannie Mae or Freddie Mac approved. View approved MI companies at [FannieMae.com](https://www.fanniemae.com) or [FreddieMac.com](https://www.freddieMac.com). The MI coverage must meet the requirements detailed in the ["Coverage Requirements" on the next page](#) listed below.

Eligible Types of Mortgage Insurance

Planet accepts the following MI products:

- Borrower paid mortgage insurance (BPMI) with a monthly premium.
- Borrower paid single premium may be financed into the loan subject to the following:
 - One unit owner occupied property or second home
 - Purchase and rate/term refinance transaction
 - Conforming and High Balance loan amounts on conventional transactions
 - A Financed Mortgage Insurance Premium Endorsement to the MI policy is required. The endorsement must provide that the insurance benefit paid pursuant to the "percentage option" in satisfaction of a claim will be calculated as:
 - The claim amount minus the unamortized portion of the financed MI premium multiplied by the applicable coverage percentage, plus
 - The unamortized portion of the financed MI premium

Additionally, the following applies to financed MI:

- The amount of required MI coverage is determined based on the LTV calculated without the financed premium.
- To calculate the maximum LTV permitted for the transaction, divide the original loan amount, plus the financed MI, by the lower of the sales price or current appraised value.
- The loan amount, including the financed MI premium, can never exceed the applicable loan or LTV limit.
- Lender paid mortgage insurance (LPMI) with a single premium only
- Split Premium

The following MI options are available:

- Non-refundable
- Refundable
- Level/constant renewal

Ineligible Types of MI

Planet will not accept the following types of MI:

- Reduced coverage
- Lender paid with monthly or annual premiums
- Declining/amortized renewal



QM Points and Fees Test

The following applies to MI premiums regarding the QM 3% points and fees test:

- **Borrower paid single premium non-refundable:**
 - The entire single premium amount is included in the 3% points and fees test
- **Borrower paid single premium refundable:**
 - The amount of the premium > 1.75% is included in the 3% points and fees test

Example: Loan amount is \$100,000
 MI premium is 2.55%
 $\$100,000 \times 2.55\% = \$2,550.00$ (total amount of premium)
 $\$100,000 \times 1.75\% = \$1,750.00$
 $\$2,550 - \$1,750 = \$800.00$
 The dollar amount of the premium greater than 1.75% is \$800.00, so \$800.00 is the amount entered for the 3% points and fees test.

- **Split premium:**
 - The entire single premium amount is included in the 3% points and fees test

Coverage Requirements

Planet requires MI coverage on conventional loans as detailed below:

Mortgage Insurance Standard Coverage Requirements				
Transaction Type	LTV Range			
	80.01-85%	85.01- 90%	90.01 – 95%*	95.01 – 97%**
Fixed Rate: 10, 15 and 20 year terms	6%	12%	25%	35%
Fixed Rate: 25 & 30 year terms; ARMs*	12%	25%	30%	35%

*ARMs maximum LTV 95%.

**See Fannie Mae Conforming program guidelines for eligibility > 95% LTV.



Chapter 5: Products and Programs

General Program Parameters

Unless otherwise specified in a Planet program guide or the Planet Overlay document, Planet follows applicable Agency guidelines.

Reference: Planet overlays are notated in bold, dark green text and footnote “O”

Standard Eligibility & Program Features (All Programs)

- **Financed Properties:** **Maximum of five loans per borrower, up to a total of \$2.5 million in combined unpaid principal balance**
- **Assumptions:** Allowed, subject to applicable Agency guidelines
- **Interest-Only Loans:** Not permitted on Agency and Government guidelines
- **Prepayment Penalty:** Not permitted on Agency and Government guidelines
- **Maximum Number of Borrowers:** **A maximum of four borrowers is permitted on any mortgage application, regardless of product or program**

Loan Documents

- Planet accepts standard Agency loan documents.
- Sellers are responsible for providing all required and applicable documentation for each transaction.
- Non-Agency loans: Planet accepts standard Agency Notes, Mortgages/Deed of Trust and Riders for Non-Agency products. See [Forms and Resources](#) for Non-Agency specific forms.

Program Eligibility & Delivery Matrix

FANNIE MAE					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED	SPECIAL APPROVAL
Conforming & High Balance	✓	✓	✓	✓	
HomeReady	✓	✓	✓	✓	
RefiNow	✓		✓	✓	
HomeStyle Renovation	✓	✓	✓	✓	✓
Texas 50(a)(6) & Texas 50 (f)	✓		✓	✓	

FREDDIE MAC					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED	SPECIAL APPROVAL
Conforming & Super Conforming	✓	✓	✓	✓	



FREDDIE MAC					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED	SPECIAL APPROVAL
Home Possible	✓		✓	✓	
HomeOne	✓		✓	✓	
Refi Possible	✓		✓	✓	
Choice Renovation	✓		✓	✓	✓
Choice Reno eXpress	✓		✓	✓	✓
Texas 50(a)(6) & Texas 50(f)	✓		✓	✓	

HELOAN					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED	SPECIAL APPROVAL
Home Equity Loan 2nd Lien	✓			✓	✓

FHA					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED ²	SPECIAL APPROVAL
FHA Purchase 203(b)	✓	✓	✓	✓	
FHA Streamline Refinance	✓	✓	✓	✓	
FHA 203(k) Standard	✓	✓	✓	✓	✓
FHA 203(k) Limited	✓	✓	✓	✓	✓
FHA 203(h) PDMDA ¹	✓	✓	✓	✓	

¹ FHA 203(h) Program – Presidentially-Declared Disaster Area Mortgage.

² All non-delegated FHA programs require sponsorship approval. See Chapter 1 Government Loans > ["FHA Approval Request" on page 9.](#)

VA					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED ³	SPECIAL APPROVAL
VA Purchase	✓	✓	✓	✓	
VA Cash Out Refi	✓	✓	✓	✓	



VA					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED ³	SPECIAL APPROVAL
VA IRRRL	✓	✓	✓	✓	
VA Renovation	✓	✓	✓	✓	✓

³ All non-delegated VA programs require sponsorship approval. See Chapter 1 Government Loans > ["VA Approval Request" on page 9.](#)

USDA					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED ⁴	SPECIAL APPROVAL
USDA Purchase	✓		✓	✓	
USDA Non-Streamlined Refinance	✓		✓	✓	
USDA Streamlined Refinance	✓		✓	✓	
USDA Streamlined Assist Refinance	✓		✓	✓	

⁴ All non-delegated USDA programs require the seller to be listed as a Lender Agent in GUS.

PLANET NON-AGENCY					
PRODUCT NAME	FIXED	ARM	DELEGATED	NON-DELEGATED	SPECIAL APPROVAL
Gold	✓	✓	✓		✓
Silver	✓	✓	✓		✓
Bronze	✓	✓	✓		✓
DSCR	✓	✓	✓		✓
DSCR - Foreign National	✓		✓		✓
DSCR – ITIN	✓	✓	✓		✓
Non-QM HELOAN (Product Pending)	✓		✓		✓

Agency Programs

Conventional Arm Parameters:

- ARM Loans: SOFR-Based (Secured Overnight Financing Rate)
 - Products: 5/6, 7/6, & 10/6
 - Caps:



- 5/6 (2/1/5)
- 7/6 & 10/6 (5/1/5)
- Margin: 3.00%
- Qualification:
 - 5/6 ARMs Higher of Note Rate plus 2%; or the Fully Indexed Rate (FIR)
 - 6 ARMs and 10/6 ARMs qualified at Note Rate

Fannie Mae

General Requirements:

- Escrow/Impound Account:
 - Required for LTV > 80% LTV (unless prohibited by state law)
 - Required for California loans with LTV > 90%
 - Required when Flood Insurance is required
 - Optional for LTV ≤ 80% LTV
- Temporary Buydown:
 - Eligible: 2/1 and 1/0
 - **°30-year Fixed Rate Only**
 - **°AUS Approval required**
 - **°Not Eligible: Manual UW, 3/2/1 buydowns, and renovation loans**

Product Specifications:

Product	Fixed Rate Terms	ARM Terms
Conforming & High Balance	10-, 15-, 20-, 25-, 30- year	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
HomeReady	10-, 15-, 20-, 30- year	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
RefiNow	10-, 15-, 20-, 25-, 30- year	N/A
HomeStyle Renovation	10-, 15-, 20-, 30- year	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
Texas 50(a)(6) & 50(f)	10-, 15-, 20-, 25-, 30- year	N/A

Freddie Mac

General Requirements:

- Escrow/Impound Account:
 - Required for LTV > 80% LTV (unless prohibited by state law)
 - Required for California loans with LTV ≥ 90%
 - Required when Flood Insurance is required
 - Not required for LTV ≤ 80% LTV
- Temporary Buydown:
 - Eligible: 2/1 and 1/0
 - **°30-year Fixed Rate Only**
 - **°AUS Approval required**
 - **°Not Eligible: (Manual UW, 3/2/1 buydowns, and renovation loans)**



Product Specifications:

Product	Fixed Rate Terms	ARM Terms
Conforming & Super Conforming	10-, 15-, 20-, 25-, 30-year	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
Refi Possible	10-, 15-, 20-, 30-year	N/A
CHOICERenovation	10-, 15-, 20-, 25-, 30-year	N/A
CHOICEReno eXpress	10-, 15-, 20-, 30-year	N/A
Texas 50(a)(6), 50(a)(4) & 50(f)	10-, 15-, 20-, 25-, 30-year	N/A
HomeOne	10-, 15-, 20-, 30-year	N/A
Home Possible	10-, 15-, 20-, 30-year	N/A

HELOAN

General Requirements:

- Escrow/Impound Account:
 - Not Permitted on the new 2nd Lien HELOAN
 - The existing 1st lien may have an escrow account, but it is not required
- Temporary Buydown: Not allowed

Product Specifications:

Product	Fixed Rate Terms	ARM Terms
Home Equity Loan 2nd Lien	15-, 30-year	N/A

Government Programs

Government ARM Parameters:

- ARM Loans: CMT-Based (1-Year Constant Maturity Treasury)
 - Index: 1-Year CMT
 - Caps: 1/1/5
 - Margin/Floor: 3.00
 - Qualification: 5/6 ARMs greater of Note Rate plus 2%; or the Fully Indexed Rate

FHA

General Requirements:

- Escrow/Impound Account:
 - Required on all loans; no exceptions
 - Required when Flood Insurance is required
- Temporary Buydown:



- Eligible: 3/2/1, 2/1, and 1/0
- **°30-year Fixed Rate only**
- **°AUS Approval required**
- **°Not Eligible: High Balance, Manual UW, and renovation loans**

Product Specifications:

Product	Fixed Rate Terms	ARM Terms
Conforming & High Balance	10-, 15-, 20-, 25-, 30- year	3/1, 5/1 (1-Year CMT)
Streamline Conforming & High Balance	15-, 30- year	3/1, 5/1 (1-Year CMT)
203(k) Standard & Limited	30- year	3/1, 5/1 (1-Year CMT)
203(h) Disaster Area Mortgage	10-, 15-, 20-, 25-, 30- year	3/1, 5/1 (1-Year CMT)

VA

General Requirements:

- Escrow/Impound Account:
 - Required on all loans; no exceptions
 - Required when Flood Insurance is required
- Temporary Buydown:
 - Eligible: 3/2/1, 2/1, and 1/0
 - Fixed Rate Only
 - **°30-year Fixed Rate only**
 - **°AUS Approval required**
 - **°Not Eligible: High Balance, Manual UW, and renovation loans**

Product Specifications:

Product	Fixed Rate Terms	ARM Terms
Purchase & Cash-Out Refinance	15-, 20-, 25-, 30- year	3/1, 5/1 (1-Year CMT)
IRRRL	15-, 20-, 25-, 30- year	3/1, 5/1 (1-Year CMT)
Renovation	15-, 20-, 25-, 30- year	3/1, 5/1 (1-Year CMT)

USDA

General Requirements:

- Escrow/Impound Account:
 - Required on all loans; no exceptions
 - Required when Flood Insurance is required
- Temporary Buydown:
 - Eligible: 2/1, and 1/0
 - **°30-year Fixed Rate only**
 - **°AUS Approval required**
 - **°Not Eligible: High Balance, Manual UW, and renovation loans**


Product Specifications:

Product	Fixed Rate Terms	ARM Terms
USDA Purchase	30-year	N/A
USDA Non-Streamlined Refinance	30-year	N/A
USDA Streamlined Refinance	30-year	N/A
USDA Streamlined Assist Refinance	30-year	N/A

Non-Agency Programs

Guideline Version:

- Escrows/Impounds:
 - Escrows for property taxes and insurance are mandatory on HPML loans.
 - Flood insurance premiums must always be escrowed and cannot be waived.
 - Escrow holdbacks are not permitted, except limited weather-related holdbacks approved by exception
- Temporary Buydown: Not allowed

ARM Parameters:

- 30- day average SOFR Index, as Published by the Federal Reserve Bank of New York
 - Products: 5/6, 7/6, and 10/6
 - Margin: As outlined in the applicable Program Matrices
 - ARM Floor: Equal to the loan's initial margin
 - Reset Period: Every six months after the initial fixed period
 - Caps:
 - 5/6 ARM: 2 / 1 / 5
 - 7/6 ARM: 5 / 1 / 5
 - 10/6 ARM: 5 / 1 / 5
- Qualification Rate: Qualify at the greater of the Fully Indexed Rate or the Note Rate

NOTE: ARM products are not eligible for Interest-Only features

Product Specifications:

Product	Fixed Rate Terms	Interest Only	ARM Terms
Gold	15-, 30- year	30-year IO (120 IO + 240 Amortizing) 40-year IO (120 IO + 360 Amortizing)	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
Silver	15-, 30- year	30-year IO (120 IO + 240 Amortizing) 40-year IO (120 IO + 360 Amortizing)	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
Bronze	30- year	30-year IO (120 IO + 240	5/6 SOFR, 7/6 SOFR, 10/6



Product	Fixed Rate Terms	Interest Only	ARM Terms
		Amortizing) 40-year IO (120 IO + 360 Amortizing)	SOFR
DSCR	15-, 30- year	30-year IO (120 IO + 240 Amortizing) 40-year IO (120 IO + 360 Amortizing)	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
DSCR Foreign National	30- year	30-year IO (120 IO + 240 Amortizing)	N/A
DSCR ITIN	30- year	30-year IO (120 IO + 240 Amortizing)	5/6 SOFR, 7/6 SOFR, 10/6 SOFR
Non-QM HELOAN ¹	10- , 15-, 20-, 25-, 30- year	N/A	N/A

¹ Product Pending



Fannie Mae Conforming Program Grid

FIXED RATE ²					
Owner Occupied Primary Residence					
Transaction Type	Units	LTV ¹	CLTV ³	Loan Amount	Credit Score
Purchase	1	97% ⁴	97%	See Loan Limits below	Per DU
	2	95%	95%		
	3-4	95%	95%		
Limited Cash-Out	1	97% ⁴	97%		
		95%	95%		
	2	95%	95%		
	3-4	95%	95%		
Cash-Out	1	80%	80%		
	2-4	75%	75%		

ARM ²					
Owner Occupied Primary Residence					
Transaction Type	Units	LTV ¹	CLTV ³	Loan Amount	Credit Score
Purchase	1	95%	95%	See Loan Limits below	Per DU
	2	95%	95%		
	3-4	95%	95%		
Limited Cash-Out	1	95%	95%		
	2	95%	95%		
	3-4	95%	95%		
Cash-Out	1	80%	80%		
	2-4	75%	75%		



FIXED RATE AND ARM ²					
Second Home					
Transaction Type	Units	LTV ¹	CLTV	Loan Amount	Credit Score
Purchase	1	90%	90%	See Loan Limits below	Per DU
Limited Cash-Out	1	90%	90%		
Cash-Out	1	75%	75%		

FIXED RATE AND ARM ²					
Investment (Non-Owner Occupied)					
Transaction Type	Units	LTV ¹	CLTV	Loan Amount	Credit Score
Purchase	1	85%	85%	See Loan Limits below	Per DU
	2-4	75%	75%		
Limited Cash-Out	1-4	75%	75%		
Cash-Out	1	75%	75%		
Cash-Out	2-4	70%	70%		

TEXAS REFINANCE					
Fixed Rate Only					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Cash-Out 50(a)(6)	1	80%	80%	See Loan Limits below	Per DU
Rate Term 50(f)(2) / 50(a)(4)	1	80%	80%	See Loan Limits below	Per DU



MANUFACTURED HOMES					
Owner Occupied Primary Residence					
Transaction Type	Units	LTV ¹	CLTV ³	Loan Amount	Credit Score
Purchase	1	95%	95%	See Loan Limits below	Per DU
Limited Cash-Out		95%	95%		
Cash-Out		65%	65%		

MANUFACTURED HOMES					
Second Home					
Transaction Type	Units	LTV ¹	CLTV ³	Loan Amount	Credit Score
Purchase	1	90%	90%	See Loan Limits below	Per DU
Limited Cash-Out		90%	90%		

MH ADVANTAGE					
Owner Occupied Primary Residence					
Transaction Type	Units	LTV ¹	CLTV ³	Loan Amount	Credit Score
Purchase	1	97%	97%	See Loan Limits below	Per DU
Limited Cash-Out		97%	97%		
Cash-Out		65%	65%		

MH ADVANTAGE					
Second Home					
Transaction Type	Units	LTV ¹	CLTV	Loan Amount	Credit Score
Purchase	1	90%	90%	See Loan Limits below	Per DU
Limited Cash-Out		90%	90%		

Reference:

1. Loans >80% LTV require mortgage insurance and are subject to MI guidelines. The more restrictive minimum credit score requirement and guidelines apply. LTV/CLTV restrictions may apply for properties located in adverse markets. See "[Mortgage Insurance](#)" on page 77 for additional information.
2. Established Condominium projects in FL with PERS approval or Full Review; project review not required on detached condos or 2-4 unit projects; no LTV restrictions; projects with a Limited Review:



- Primary residence: Max 75/90/90% LTV/CLTV/HCLTV
 - Second home: Max 70/75/75% LTV/CLTV/HCLTV
 - Investment: Max 70/75/75% LTV/CLTV/HCLTV; Manufactured housing ineligible
3. Up to 105% CLTV is allowed when using Community Seconds that meets Fannie Mae guidelines for MH Advantage properties. Maximum 95% LTV/CLTV for manufactured homes that do not meet MH Advantage criteria.
 4. Purchase transactions: Must be first time home buyer. Refinance transactions: Current loan must be owned/secured by Fannie Mae. See ["95.01% — 97% LTV" on page 47](#) for complete details.

Maximum Conforming Loan Limits				
Contiguous States, District of Columbia, and Puerto Rico			Alaska ² and Hawaii	Hawaii
Unit	General	High Cost Area ¹	General	High Cost Area ³
1	\$832,750	\$1,249,125	\$1,249,125	\$1,299,500
2	\$1,066,250	\$1,599,375	\$1,599,375	\$1,633,600
3	\$1,288,800	\$1,933,200	\$1,933,200	\$2,010,950
4	\$1,601,750	\$2,402,625	\$2,402,625	\$2,499,100

Reference:

1. Actual conforming loan limit values for specific counties in designated High-Cost Areas, as determined by FHFA, may be lower than the loan limits listed above and can be found by visiting the [FHFA conforming loan limit values webpage](#).
2. Alaska does not have any high-cost areas in 2026.
3. Two counties in Hawaii (Maui and Kalawao) are high-cost areas in 2026.

See [Fannie Mae loan limits](#) for maximum loan amounts by county/metropolitan area.



Fannie Mae Conforming Program Guidelines

Planet follows the [Fannie Mae Selling Guide](#) for topics not addressed in this guide.

IRS Forms 4506-C and 8821 Requirements

Seller must obtain borrower consent and complete either Form 4506-C or 8821 in accordance with IRS agency and requirements, including applicable standards under the IRS Income Verification Express Service (IVES) and the Taxpayer First Act.

- Either Form is acceptable for transcript retrieval when permitted by the IRS and the applicable agency.
- A fully executed 4506-C or 8821 must be obtained from all borrowers whose income was used to qualify, no later than the Note Date.
- Tax transcripts are required per AUS findings or may be obtained in lieu of W-2 or tax returns (personal and/or business).
- The 4506-C or 8821 must be signed by all borrowers at loan closing if transcripts were not obtained to qualify the borrower.
- See Chapter 7 > ["IRS Forms 4506-C and 8821 Requirements" on page 578](#) for general standards, including e-signature and borrower consent.
- When Form 8821 is used, the mortgage file must also include documented borrower consent specifically authorizing disclosure of tax information to third parties. The standard taxpayer consent form included in loan files is not sufficient for this purpose.

See [Fannie Mae: B1-1-03](#) and [Fannie Mae: B3-3.1-06](#) – Requirements and Uses of IRS Income Verification Express Service (IVES) Request for Transcript of Tax Return Form 4506-C.

95.01% — 97% LTV

Purchase and rate/term refinance eligible as follows:

- Property is a 1-unit primary residence.
 - Manufactured homes are ineligible unless the property meets MH Advantage requirements.
- Fixed rate required.
- DU Approve/Eligible is received.
- Conforming loan amounts only.
- Maximum 97% LTV/CLTV/HCLTV. CLTV may only exceed 97% if the second lien is a Community Seconds (maximum 105% CLTV).
- 35% mortgage insurance coverage.
- Standard minimum borrower contribution requirements apply (purchase transactions).
- **For Purchase transactions**, at least one borrower must be a first-time home buyer (defined as a borrower who has not had an ownership interest in a property in the previous 3 years).
- **For Refinance transactions**, the existing loan must be owned or securitized by Fannie Mae.
 - If DU confirms Fannie Mae ownership, no additional documentation is required.
 - If DU does not confirm ownership, alternative documentation such as screen shots from Fannie Mae's Lookup tool or verification from the current servicer must be obtained.
- Loan meets all other Planet guidelines.

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and second home transactions (that meet Fannie Mae requirements) as follows:



- Compliance findings validating a pass of ATR.
- Compliance findings validating a pass of QM, where applicable.
- Automated Underwriting System (AUS) approval, where applicable.
- Evidence of manual approval, where applicable.
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary).
- Income Worksheet.

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Chapters B3-3 through B3-6 of the [Fannie Mae Single Family Selling Guide](#).**

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

- All credit and asset documentation must be the lesser of the expiration date noted per DU or 4 months as of Note date.
- Appraisal documents must be within 4 months as of the Note date or an appraisal update will be required. Appraisal updates must be ≤ 12 months or a new appraisal is required.
- The title commitment must be ≤ 120 days from Note Date and must be unexpired as of the date of the note date.
- VVOE requirements:
 - Wage earners: ≤ 10 business days prior to the Note date.
 - Self-employed: ≤ 120 calendar days prior to the Note date.
- Single-Closing Construction-to-Permanent Loans:
 - Credit, income, and employment documentation must generally be no more than four months old; however, in certain circumstances, documentation may be up to eighteen (18) months old at the time of conversion to permanent financing.

See [Fannie Mae B5-3.1-02](#), Conversion of Construction-to-Permanent Financing: Single-Closing Transactions.

Appraisals

Appraisal Type and Submission Requirements

See [Fannie Mae B4-1.1](#), General Appraisal Requirements.

See [Fannie Mae B4-1.2-01](#), Appraisal Report Forms and Exhibits.

See [UAD 3.6 Policy Supplement](#) for loan files using UAD 3.6.

DU determines the level of appraisal required on owner-occupied properties. If DU returns a reduced appraisal recommendation (e.g., value acceptance or value acceptance + property data) is received from DU, it must be on the final DU.

- Appraisals must be Uniform Appraisal Data (UAD) compliant and meet Fannie Mae's Appraiser Independence Requirements (AIR).



- All appraisals must be submitted to the UCDP by the AMC or independent appraiser. A copy of the Fannie Mae Submission Summary Report (SSR) and Freddie Mac Submission Summary Report that includes the Appraisal Finding Detail Report (AFDR) with a Document File Status of "Successful" and the 10-digit Doc File ID number or a copy of the XML file, must be provided.

NOTE: Effective July 27, 2026, Planet will begin accepting appraisals submitted using UAD 3.6. Sellers may continue delivering appraisals in UAD 2.6 format until the mandatory implementation date (November 2, 2026) for UAD 3.6.

Appraisal Quality and Common Defect Trends

Appraisal Adjustments

See [Fannie Mae B4-1.3-09](#), Adjustments to Comparable Sales.

- Fannie Mae does not set limits on net or gross adjustment amounts. The size or number of adjustments alone does not determine acceptability of a comparable.
- Appraisers must make market-based adjustments that reflect how buyers value property differences.
- Adjustments should be based on data, not rules of thumb.
- Large adjustments may suggest the subject property is not well-aligned with the neighborhood, and the underwriter must ensure the value is still credible.
- In the absence of truly comparable sales, appraisers must select the best available sales and use supported adjustments to reflect market behavior.
- Sales or financing concessions must be adjusted based on market reaction—not on a dollar-for-dollar cost basis—unless analysis supports full cost adjustment.
- Time adjustments must reflect changes in market conditions between the comparables contract date and the appraisal's effective date, supported by statistical tools, paired sales, or home price indices (HPIs). Adjustments must be explained and documented.
- Appraiser commentary must include fact-based rationale for adjustments, a summary of data sources, and a clear explanation of which comparable(s) were weighted most in the final value conclusion. A simple statement that an adjustment was made is not sufficient.

Comparable Sales: General Requirements (All Property Types)

See [Fannie Mae B4-1.3-08](#), Comparable Sales.

- The appraisal must include at least three comparables that are recent, proximate, and similar in physical and locational characteristics.
- If comparable sales from outside the subject's neighborhood are used, the appraiser must justify the selection, describe how the competing area is comparable, and make any necessary location adjustments.
- Comparable sales that have closed within the last 12 months should be used in the appraisal; however, the best and most appropriate comparable sales may not always be the most recent sales.
- If there is a shortage of truly comparable sales (e.g., rural areas or unique properties), older or more distant sales may be used if adequately explained and supported.
- Use of foreclosures and short sales is acceptable if market-relevant. The appraiser must address condition differences, prevalence in the market, and any associated stigma.
- Distance to the subject must be stated in miles with a directional indicator (e.g., "1.2 mi SE").
- Vacant land plus construction contract comps cannot be used to meet the three closed sale requirement but may be included as additional support if documented.



NOTE: The appraiser is always allowed to provide more than three comparable sales to support the property value.

Comparable Sales: New (or Recently Converted) Condos, Subdivisions, or PUDs

See [Fannie Mae B4-1.3-08](#), Comparable Sales.

- Comparable sales used for new construction properties are subject to the following:
 - At least one settled comparable sale must come from within the project, subdivision, or PUD.
 - At least one settled comparable sale from outside the subject condo, subdivision, or PUD.
 - A third settled comparable sale can be from inside or outside of the subject condo project, subdivision, or PUD. Settled comparable sales or resales from within the subject condo project, subdivision, or PUD are preferable to settled sales from outside the condo project, subdivision, or PUD provided the builder or developer of the subject property is not involved in those transactions.
 - In the event there are no settled comparable sales inside a new condo project, subdivision, or PUD because the subject property transaction is one of the first units to sell, the appraiser may use two pending sales in the subject project, subdivision, or PUD in lieu of one settled sale.
- If the subject property is part of a newly built or recently converted condo project, or subdivision, or PUD that has 2-20 units and there are no settled or pending sales, the appraiser may use comparable sales from the competing project, subdivision, or PUD. The appraisal report must:
 - Use competing projects, subdivisions, or PUDs of a similar size and type.
 - Explain why the comparable sales were chosen and demonstrate market acceptance.
 - Describe how the condo project, subdivision, or PUD chosen compares to the subject property.

NOTE: If the subject property is not the first unit under contract in the condo project, subdivision, or PUD, the appraiser must include one under contract sale from the subject's project, subdivision, or PUD as a supplemental exhibit.

Comparable Sales: Manufactured Homes

See [Fannie Mae B4-1.4-01](#), Manufactured Housing Appraisal Comparable Selection Requirements.

- Appraisers must use a minimum of two comparable sales that are manufactured homes.
- If the subject is a single-width manufactured home, one comparable must also be a closed sale of a single-width, when available.
- If no closed single-width sale is available, an active listing or pending sale may be used as supplemental support to demonstrate marketability.
- A third comparable may be a site-built or alternative factory-built home if adequately explained and adjusted.
- In condo markets, at least two comparables should be manufactured homes within a condominium project, when common.
- In mixed markets, appraisers may use a blend of manufactured homes and condo units, if appropriately supported and adjusted.
- Appraisers may use older or out-of-area manufactured home sales if no truly comparable sales exist, with explanation and sound adjustment methodology.
- Appraisers must not construct comparables by combining vacant land sales with home contract prices; such data may be used only as additional support.



Appraisal Data Quality and Integrity

See [Fannie Mae A3-4-02](#), Data Quality and Integrity.

- All data in the report (e.g., subject property details, comparables, adjustments) must be internally consistent and match external records when applicable.
- Appraisers and Sellers must validate that information such as *GLA* (see Note), room count, condition ratings, and site data are accurate and reconciled with MLS, public records, or verified sources.
- SSR findings, CU messages, and discrepancies must be reviewed and addressed by the Seller before loan submission.
- Sellers must supply accurate loan delivery data, including elements not used for underwriting, and remain responsible for any data misstatements, misrepresentations, omissions, or inaccuracies for the life of the loan, per Fannie Mae representation and warranty requirements.
- Fannie Mae may require correction of submitted data if issues are identified post-delivery.

NOTE: Effective for loan applications dated on or after **September 8, 2025**, the term *gross living area (GLA)* will be retired in appraisal reporting. Appraisers must instead report *above-grade finished area* and *below-grade finished area* in accordance with ANSI Z765-2021 measurement standards.

Appraisal Quality Oversight

See [Fannie Mae B4-1.3-12](#), Appraisal Quality Matters.

- Sellers must confirm appraisal reports are complete. Any changes must be made by the original appraiser and must be based on material deficiencies – not solely on value disputes.
- If appraisal deficiencies cannot be resolved, Sellers may obtain a desk review, field review, or new appraisal. The most credible appraisal must be selected – not the one with the highest value.
- Sellers must apply extra due diligence on appraisals with excessive values or rapid appreciation since prior sale.

Reconsideration of Value (ROV)

- Sellers must implement a documented Reconsideration of Value (ROV) process for borrower-initiated requests. The process must comply with Appraiser Independence Requirements (AIR) and all applicable local, state, and federal laws, and permit one ROV per appraisal.
- ROV requests must include required borrower/appraisal details, up to five supporting comparables, and rationale. Sellers must review the appraisal before initiating the ROV and assign a qualified reviewer.

Borrower Disclosure & Documentation

- Loan applications dated prior to September 3, 2025.
 - Sellers must disclose the ROV process to the borrower at the time of loan application and again when the appraisal report is delivered.
 - If an ROV is initiated, Sellers must retain all documentation related to both the initiation and the outcome of the ROV in the loan file.
 - All ROV-related communication must follow standardized procedures.
- Loan applications dated on or after September 3, 2025.
 - Sellers must disclose the ROV process to the borrower when the appraisal report is delivered.
 - If an ROV is initiated, Sellers must retain only documentation related to the outcome of the ROV in the loan file.
 - All ROV-related communication must follow standardized procedures.



Additional Requirements

- ROVs are not permitted after loan closing.
- If material deficiencies or prohibited practices remain unresolved, Sellers must escalate to state appraiser boards or regulatory agencies as appropriate.
- Fannie Mae may refuse appraisals from specific appraisers or refer appraisal reports to state regulatory boards if quality issues are identified.

Appraisal Reconciliation

See [Fannie Mae B4-1.3-11](#), Valuation Analysis and Reconciliation

- The appraiser must provide a clear reconciliation narrative that discusses the strengths and weaknesses of each comparable and reconciles all applicable approaches to value (Sales Comparison, Cost, and/or Income).
- The final opinion of value must reflect a reasoned, weighted analysis – not a simple average. A weighted average may be used only if properly explained and must justify the final opinion of value.
- The final reconciled value must fall within the range of the indicated values from the applicable approaches.
- Failure to properly reconcile variances in condition, location, or market trends – or to justify the selected approach – may trigger QC findings.

Appraisal Review and Elevated Risk

- Conventional loans with elevated risk require additional evaluation of the appraisal report.
 - Planet defines elevated risk loans as:
 - Fannie Mae SSR Score of 3.5 or higher
 - Fannie Mae SSR with no Score
- For Delegated loans, the Seller is responsible for completing appraisal reviews and addressing any elevated risk factors prior to submission to Planet.
- Sellers must use available tools such as Homegenius, RealQuest, Netronline, Public Records, Redfin, Zillow, and Realtor.com to help address findings noted on CU or LCA.
- Sellers must address elevated risks noted on the SSRs. Failure to do so could result in a repurchase demand.

Bias, Declining Markets, and Condition Requirements

See [Fannie Mae B4-1.3-12](#), Appraisal Quality Matters.

See [Fannie Mae B4-1.3-02](#), Subject and Contract Sections of the Appraisal Report.

See [Fannie Mae B4-1.3-06](#), Property Condition and Quality of Construction.

- Sellers must monitor appraisals for prohibited language to mitigate the risk of discriminatory practices and appraisal bias.
- Appraisal must identify and address properties located within a declining market.
- Appraisal must include legible interior and exterior photos:
 - Exterior: Front, back, street scene of the subject property, and the front of all comparable sales.
 - Interior: Kitchen (free-standing stove/range or refrigerator not required), Main living area, all bathrooms, any updates/physical deterioration that materially impact the market value or marketability of the subject property (i.e., remodel, restoration, renovation).
- Planet's minimum acceptable property condition: "Average," including:
 - A conventional heat source maintaining 50° F in plumbed areas.
 - Any broken glass that is a health hazard must be removed and the opening closed.



- Properties with a Condition Rating of C6 or Quality Rating of Q6 are not eligible for purchase. Deficiencies impacting the safety, soundness, or structural integrity of the property must be corrected to a minimum condition rating of C5 prior to purchase by Planet.

Appraisal Update and Transfer Policy

See [Fannie Mae B4-1.2-04](#), Appraisal Age and Use Requirements

- If the effective date of the original appraisal report is more than four months but less than 12 months from the date of the note and mortgage, appraisal update is required:
 - Must include inspecting the exterior of the property and reviewing current market data to determine whether the property has declined in value since the date of the original appraisal report.
 - This policy applies regardless of whether the property was appraised as proposed or existing construction.
 - The appraisal update must occur within four months prior to the date of the note and mortgage.
- Transferred appraisals are acceptable with:
 - A copy of the Fannie Mae Submission Summary Report (SSR) with a Document File Status of "Successful,"
 - PDF version of the appraisal report,
 - An appraisal transfer letter, and
 - Confirmation of AIR compliance.

Disaster Area Requirements

See [Fannie Mae B2-3-05](#), Properties Affected by a Disaster.

- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal review. See ["Chapter 8: Loan Purchasing" on page 583](#) for detailed requirements.

Value Acceptance

See [Fannie Mae B4-1.4-10](#), Value Acceptance.

See [Fannie Mae B4-1.4-11](#), Value Acceptance + Property Data.

See [Fannie Mae B4-1.2-03](#), Hybrid Appraisals.

- Value Acceptance, Value Acceptance + Property Data, and Hybrid are accepted per Fannie Mae guidelines.
- The value acceptance must be offered on the final DU feedback recommendation.

See [Fannie Mae Selling Guide](#) for complete appraisal requirements.

Assets

General Requirements

Documentation requirements per DU

- All funds used to close the transaction must be disclosed on the 1003 and input into DU.
- The borrower must provide evidence that the earnest money deposit came from an acceptable source and that they have sufficient assets to cover the down payment, closing costs, prepaids and reserve requirements.



Asset Documentation

- Two months most recent bank or financial statements, all pages.
- If a copy of the canceled deposit check is used to document the source of funds, the bank statements must cover the period up and including the date, the earnest money check cleared the bank.
- Sellers who are also the depository for the borrower's account may provide a printout or other alternative verification of the borrower's bank account assets produced directly from the bank or credit union's system in lieu of bank statement(s).
- A Verification of Deposit (VOD) is acceptable as the primary source of verification.

Business Assets (Self-Employed Borrower)

- Business funds of a self-employed borrower may be used for down payment, closing costs and/or reserve requirements subject to the following:
 - The borrower must be listed as an owner on the account.
 - If the borrower's name is not listed on the business account statement, documentation that the borrower is an authorized signer on the account is required.
 - This applies to all business accounts, including sole proprietorships, when business account funds are being used for down payment, closing costs and/or reserves.
 - Examples of acceptable documentation:
 - Letter from the bank confirming borrower is an authorized signer, or
 - Online documentation that confirms borrower is an authorized signer.

Foreign Assets

- Verification of assets from foreign sources:
 - Funds that a borrower (either U.S. citizen or non-U.S. citizen) has deposited into a U.S. depository institution are acceptable provided **all** of the following requirements are met:
 - Documentation of the transfer of funds from the borrower's country of origin is provided, and
 - It can be established that the funds belonged to the borrower before the date of transfer, and
 - The source of all funds used for closing can be verified following the same requirements for U.S. citizens.
 - All asset documentation must be completed in English, or a translation attached to each document is required..

Virtual Currency (Cryptocurrency)

- Virtual currency that has been exchanged into U.S. dollars is acceptable for the down payment, closing costs, and financial reserves provided the following requirements are met:
 - There is documented evidence that the virtual currency has been exchanged into U.S. dollars and is held in a U.S. or state regulated financial institution, and
 - The funds are verified in U.S. dollars prior to the loan closing.
 - A large deposit may be from virtual currency that was exchanged into U.S. dollars. The lender must obtain sufficient documentation to verify the funds originated from the borrower's virtual currency account.
 - Virtual currency may not be used for the deposit on the sales contract (earnest money) for the purchase of the subject property.
See FNMA B3-4.1-04 for complete requirements.

Other Acceptable Asset Sources

- Life Insurance Policy



- Payout from a life insurance policy is acceptable for down payment or closing costs. A copy of the check or payout statement issued by the insurance company is required. If the cash value is being used for reserves, documentation of the cash value is required; however, the policy does not need to be liquidated.
- Proceeds from the sale of a currently owned property
 - Proceeds from the sale are eligible for down payment and closing costs. The final Settlement/CD for the existing property (not required to be fully executed) must be provided before or at closing to show sufficient net cash proceeds to close the purchase.
- Real Estate Commission
 - Real estate commission may be used as a source of down payment and closing costs when the borrower is a licensed real estate agent and will receive sales commission from the purchase of the subject property.

Large Deposits

- Large deposits are considered to be a single deposit where any **unsourced** portion of the deposit exceeds 50% of the combined gross monthly income of the borrower(s).
- If the deposit includes both sourced and unsourced funds, only the unsourced portion is used to calculate whether the deposit meets the 50% definition.
- Direct deposits (such as IRS or state income tax refunds) and transfer of funds between verified accounts that are easily identified on the account statement(s), do not require documentation.
- Requirements for documenting large deposits are as follows:
 - **Refinance transactions:** Large deposits are not required to be explained; however, it must be determined if the deposit represents borrowed funds, which would require any payment to be considered in the DTI ratios.
 - **Purchase transactions:** If the funds from a large deposit are needed for the down payment, closing costs or reserves on the transaction documentation must be provided that the funds are from an acceptable source. Any large undocumented deposit will be deducted from the amount of verified funds, and the reduced asset amount will be used for qualification.

Examples:

1. The borrower has a monthly income of \$4,000.00 and a bank account with a balance of \$20,000.00. A deposit of \$3,000.00 was made, but \$2,500.00 of the deposit is documented as the borrower's tax refund (sourced).

In this example, only the \$500.00 is considered "unsourced" (\$3,000.00 total deposit minus \$2,500.00 tax refund) and is included in the large deposit calculation.

The unsourced \$500.00 is only 12.5% of the borrower's monthly income; therefore, it does not meet the large deposit definition (50% of the borrower's total monthly qualifying income). In this example, documentation is not required and the entire \$20,000.00 balance in the borrower's bank account may be used for underwriting purposes.

2. The same borrower has a deposit of \$3,000.00 but only \$500.00 is documented as the borrower's tax refund (sourced) leaving \$2,500.00 as unsourced.

In this example, the unsourced \$2,500.00 is 63% of the borrower's \$4,000.00 monthly income which does meet the definition of a large deposit.

The unsourced \$2,500.00 must be deducted from the borrower's \$20,000.00 bank account balance leaving \$17,500.00 that may be used for underwriting purposes.



3. The same borrower has 3 separate unsourced deposits of \$1,800.00 which technically does not meet the 50% of the borrower's gross monthly income requirement since each deposit is less than \$2,000.00 (50% of \$4,000.00); however, at underwriter discretion, sourcing/documentation may be required.

Cash-on-Hand

- Cash-on-hand is an acceptable source of funds for the borrower's down payment, funds for closing cost and prepaid items on purchase money transactions for 1-unit properties. Cash-on-hand may not be used to fund the borrower's reserve requirement, if applicable. The Seller must verify and document the following with respect to the cash-on-hand funds:
 - The borrower customarily uses cash for expenses, and the amount of funds saved is consistent with the borrower's previous payment practice.
 - Funds for down payment and closing costs must exist in a financial institution account or an acceptable escrow account. Funds must be on deposit at the time of application, or no less than 30 days prior to closing.
 - A written statement from the borrower that discloses the source of funds and states that the funds have not been borrowed.
 - The borrower's credit report and other verifications should indicate limited or no use of credit and limited or no depository relationship between the borrower and the financial institution.

Marijuana / Cannabis Employment Assets

- Assets derived from employment in the marijuana or cannabis industry is an eligible source of income if the borrower is a W-2 wage earner (salaried or hourly).
- The borrower cannot have any ownership interest in the business.
- If W-2 income is generated from a business where the borrower has any ownership interest, the income not eligible.
- Assets from employment at a marijuana dispensary (or similar) is acceptable if:
 - marijuana is legal under state law; and
 - the subject property cannot be income producing.
 - See [National Conference of State Legislatures](#) for states where marijuana is legal.

Gift Funds

Gift funds from an acceptable donor may be used for all or part of the down payment, closing costs, or reserve requirements as long as the borrower meets the minimum contribution requirements below.

LTV/CLTV	Property Type	Minimum Contribution from Borrower Own Funds
≥ 80.01%	1-unit primary residence	Not required if MI Certificate confirms coverage; otherwise 5% borrower's own funds required.
	2-4 units, second home	5% borrower contribution required. Gifts may be used after the borrower own funds contribution is met.
≤ 80%	1-4 primary, second home	Not required. All funds may come from a gift.

- Gift funds are not allowed on investment transactions.



Acceptable Donors for Gift Funds

- A relative, defined as the borrower's spouse, child, or other dependent, or by any other individual who is related to the borrower by blood, marriage, adoption, or legal guardianship, or
- A non-relative that shares a familial relationship with the borrower defined as:
 - A domestic partner (or relative of the domestic partner).
 - Individual engaged to marry the borrower.
 - Former relative or godparent.
- An individual with a long-standing familial-like or mentorship relationship with the borrower (i.e., godparent).
- The donor may not be, or have any affiliation with, the builder, the developer, the real estate agent, or any other interested party to the transaction.
- Gift funds from the seller who is also an acceptable donor and not affiliated with any other interested party to the transaction are allowed.
- The donor of a gift of equity is not considered an interested party to the transaction.

Gift Documentation

- The gift must be evidenced by a gift letter, signed by the donor and the borrower.
- The letter must:
 - Specify the dollar amount.
 - Indicate the donor(s) name, address, phone number, and relationship to the borrower.
 - Include a statement by the donor that no repayment of the gift funds is expected.
- The transfer of the gift funds must be documented. Acceptable documentation includes:
 - Copy of the donor's canceled check and the borrower's deposit slip.
 - Copy of the donor's withdrawal slip and the borrower's deposit slip.
 - Evidence of the electronic transfer of funds from the donor's bank account to the borrower's account or to the closing agent.
 - Copy of the donor's check to the closing agent, or
 - The settlement statement showing receipt of the donor's check.
 - If funds are not transferred prior to settlement, documentation the donor gave the closing agent the gift funds in the form of an electronic transfer, certified/cashier's check or other official check.

See [Fannie Mae Selling Guide](#) for complete details.

Gift of Equity

- Allowed from an immediate family member only.
- Eligible on a primary residence and second home purchase transactions.
- A gift letter must be provided (see ["Gift Funds" on the previous page](#) for gift letter requirements).
- The CD must indicate "gift of equity".

If the above requirements are met, the gift of equity is not subject to the interested party contribution requirements.

Reserves

- DU will determine the reserve requirements based on the following:
 - Two months' reserves for a second home transaction.
 - Six months' reserves for the following:
 - a two- to four-unit principal residence transaction,
 - an investment property transaction, and
 - a cash-out refinance transaction with a DTI ratio greater than 45%.



- Additional reserves are required when a borrower has multiple financed properties and the subject loan is secured by a second home or investment property.
- Reserves equal to the balance of 30-day accounts (reduced by the cash back received on a refinance transaction).
- Additional reserves may need to be verified based on DU's overall risk assessment.

NOTE: There is no minimum reserve requirement for one-unit principal residence transactions. High LTV refinance loans are exempt from the minimum reserve requirements.

Acceptable Sources of Reserves

- Checking/savings accounts.
- Investments in stocks, bonds, mutual funds, certificates of deposit, money market funds, and trust accounts.
 - **When used for down payment or closing costs:** if the value of the asset is at least 20% more than the amount of funds needed for the down payment and closing costs, no documentation of the borrower's actual receipt of funds realized from the sale or liquidation is required. Otherwise, evidence of the borrower's actual receipt of funds realized from the sale or liquidation must be documented.
 - **When used for reserves:** 100% of the value of the assets may be considered, and liquidation is not required.
- Vested amount in retirement accounts.
- Cash value of a vested life insurance policy.

Unacceptable Sources of Reserves

- Cash-out proceeds from a cash-out refinance transaction on the subject property.
- Funds that cannot be withdrawn under circumstances other than the account owner's retirement, employment termination or death.
- Funds that have not been vested.
- Interested party contributions.
- Personal unsecured loans.
- Premium pricing or lender credits not allowed.
- Rent-back credits.
- Stock held in an unlisted corporation.
- Stock options and non-vested restricted stock.

Assumptions

Planet follows Agency guidelines.

AUS

° DU "Approve/Eligible" results required. Manual underwriting is ineligible.

Available Markets

Delegated Sellers

Planet will purchase loans underwritten and closed by the delegated Seller in **all** states, the U.S. Virgin Islands (USVI), and Puerto Rico (**see Note**).



NOTE: Delegated Sellers must receive prior approval from Planet to deliver loans with properties located in Puerto Rico.

Non-Delegated Sellers

Planet will purchase loans from non-delegated Sellers in **all** states and the U.S. Virgin Islands (USVI). **All** loans require Planet underwriting approval.

Ineligible Territories

The U.S. Territories of American Samoa, Guam and Northern Mariana Islands are ineligible regardless of delegation.

Borrower Eligibility

Eligible Borrowers

See [Fannie Mae B2-2-01](#), General Borrower Eligibility Requirements.

All borrowers are required to have a valid social security number.

Eligible borrower types include:

- Natural Persons, such as:
 - U.S. Citizens
 - Non-US Citizens, who are legally present in the U.S., including:
 - Lawful Permanent Residents
 - Lawful Non-Permanent Residents

NOTE: Legal residency documentation should remain valid for at least 90 days beyond the Note Date. If the Employment Authorization Document (EAD) will expire prior to that, a current [I-797 Notice of Action/Approval](#) showing evidence of renewal must be included in the loan file to support the likelihood of continued lawful presence.

The Seller is responsible for verifying the borrower's legal presence in the United States. Acceptable, current, and unexpired documentation must be provided to confirm legal presence based on each borrower's circumstances. By delivering the loan, the Seller is confirming this requirement is met.

- Revocable Inter-Vivos Trust that meets Fannie Mae guidelines
See [Fannie Mae B2-2-05](#), Inter Vivos Revocable Trusts.
 - The trust is established by one or more borrowers.
 - All borrowers are also the grantors and trustees (either individually or jointly).
 - The individual(s) who established the trust are the primary beneficiaries.
 - The trust is:
 - Revocable
 - Authorized under applicable law
 - Properly documented and meets title insurance requirements
 - A Power of Attorney is ineligible with an Inter-Vivos Trust.



Ineligible Borrowers

- Borrowers not legally present in the U.S.
- Borrowers with diplomatic immunity and IMF employees.
- Borrowers without a social security number.
- Foreign Nationals.

Borrower Types

Co-Borrower: An individual who applies jointly with the borrower, takes title to the property and is liable for the debt. The co-borrower signs all documents.

Non-Occupant Co-Borrowers: Are credit applicants on a principal residence transaction who:

- Do not occupy the subject property.
- May or may not have an ownership interest in the subject property as indicated on the title.
- Sign the mortgage or deed of trust note.
- Have joint liability for the note with the borrower(s), and do not have an interest in the property sales transaction, such as the property seller, the builder, or the real estate broker.

Co-Signer/Guarantor: An individual who has no ownership interest in the property but is liable for the debt, signs the mortgage or deed of trust note, and does not have an interest in the property sales transactions (i.e., property seller, builder, or real estate agent).

Non-Borrowing/Non-Purchasing Spouse: Generally, have no ownership interest in the property and are not liable for the debt. In community property/marital rights states, the non-borrowing spouse does have an interest in the property and is required to execute the security instrument and all applicable documents as determined by state law.

NOTE: Community property states: Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington and Wisconsin.

Chain of Title

A 12-month chain of title is required for all loans. Title must include all transfers in the previous 12-month period, including copies of all recorded deed(s). If more than one transfer in previous 12 months **or** property has significant increase in value since prior transfer, an appraisal addendum addressing all transfers is required.

Community Seconds

Community Seconds, meeting Fannie Mae requirements, are eligible for fixed-rate or ARM purchase or rate/term refinance of the 1-4 unit owner-occupied property, including manufactured homes.

The CLTV ratio may exceed the limits in the LTV matrix up to 105% only if the loan is part of a Community Second transaction. A loan securing a manufactured home that is not MH Advantage that has a Community Second is limited to the LTV/CLTV/HCLTV in the LTV matrix.

Construction-to-Perm

- The conversion of construction-to-permanent financing involves the granting of a long-term mortgage to a borrower for the purpose of replacing interim construction financing that the borrower has obtained to fund the construction of a new residence.



- Construction-to-permanent financing can be structured as a transaction with one or two separate closings, and both single closing and two closing transactions are eligible for purchase.
- All construction work, including any work that could entitle a party to file a mechanics' lien or materialmen's lien, must be completed and paid for, and all mechanics' liens and any other liens and claims that could become liens relating to the construction must be satisfied before the loan is closed with Planet. Planet will retain the appraiser's certificate of completion and a photograph of the completed property in the loan file. When a construction-to-permanent mortgage loan provides funds for acquisition or refinancing of an unimproved lot and the construction of a residence on the lot, Planet will retain a certificate of occupancy or an equivalent from the applicable government authority.
- Units in a condo project are not eligible for construction-to-permanent financing.
- Detached condos allowed.

Single-Closing Transactions

- Single-closing transactions may be closed as either a purchase or limited cash-out refinance.
- Transactions structured as a purchase:
 - The borrower is not the owner of record of the lot at the time of the first advance of interim construction financing.
 - Purchase LTV/CLTV limits apply.
- Transactions structured as a rate/term refinance:
 - The borrower is the owner of record of the lot at the time of the first advance of interim construction financing.
 - Limited cash-out (rate/term) LTV/CLTV limits apply.
 - Must use additional due diligence to ensure the most recent information is obtained to help ensure any disruption to borrower's employment (or self-employment and or income does not negatively impact the borrowers ability to repay the loan.

Two-Closing Transactions

- Two-closing construction-to-permanent transactions use two separate loan closings with two separate sets of legal documents. A modification may not be used to update the original Note — a new Note must be completed and signed by the borrowers. The first closing is to obtain the interim construction financing (and may include the purchase of the lot) and the second closing is to obtain the permanent financing upon completion of the improvements.
- The borrower is underwritten based on the terms of the permanent mortgage.
- Transactions are subject to the limited cash-out and cash-out refinance maximum LTV/CLTV/ HCLTV ratios, as applicable.
- Cash-out refinance transactions require the borrower to have held legal title to the lot for at least 6 months prior to the closing of the permanent mortgage.
- All other standard cash-out refinance eligibility and underwriting requirements apply.

See [Fannie Mae Selling Guide](#), Chapter B5-3 for complete guidelines.

Credit Report/Scores

- Credit score per DU.
- All borrowers are required to have a credit score (see ["Credit Exceptions / Non-Traditional Credit" on the next page](#)).
- Planet will accept a credit report, in the Seller's name, from any Fannie Mae acceptable credit vendor.
- A tri-merged credit report is required for all borrowers.
- The representative credit score is determined as follows:
 - If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.



- If there are two valid scores, the lower of the two is used.
- If there is one valid score, that score is used.

The representative score for the loan is the lowest representative score of all borrowers.

- The borrower(s) must address **all** credit inquiries indicated on the credit report within the previous 90 days and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not).
- Sellers are required to document that the borrower did not incur any new debt from the time the credit used to make the credit decision was pulled to the time of loan closing. Any of the following is acceptable documentation:
 - A "soft pull" credit report within 10 business days of the Note date, or
 - A debt affidavit, signed by the borrower(s) (sample form is posted on the CORE Seller Portal at www.phlcorrespondent.com under **Forms and Resources**), or
 - A letter, written and signed by the borrower(s) stating no new credit was obtained.

DU Loan Casefiles

A minimum credit score is not required for DU loan casefiles. DU will assess a borrower's creditworthiness in accordance with the risk factors outlined in [B3-2-03, Risk Factors Evaluated by DU](#). See [SEL-2025-09](#) for details.

Frozen Credit

If one of the three credit repositories display a frozen credit report, the borrower may still qualify if:

- Credit data is available from the other two repositories
- A credit score is provided by at least one repository, and
- Proof that lender requested a tri-merge credit report is evidenced in the file.

If credit data is frozen at two or more of the credit repositories, the loan will not be eligible.

Credit Report — Fraud Alert

When a fraud alert, active-duty alert, or freeze is included with a credit report, additional steps are required to verify the borrower's identity and documentation must be provided. Documentation should include, but is not limited to:

- A letter of explanation from the borrower, and
- A copy of the identity theft report, and
- An additional form of identity verification, and
- If the credit alert contains a phone number for a verbal verification prior to credit being issued, documentation must be provided that the borrower was contacted.

Credit Exceptions / Non-Traditional Credit

- 1-unit, primary residence.
- DU "Approve/Eligible" results.
- Purchase or LCOR transactions only.
- Reserves may be required as determined by DU.
- When no borrower has a credit score, all borrowers must occupy the property, and a non-traditional credit history must be documented for each borrower.

Number of Nontraditional Credit References Required

DU messages will specify when a nontraditional credit history must be documented.



- If DU requires a nontraditional credit history to be documented, at least two credit references for each borrower are required.
- No additional documentation is required if DU conducts a cash flow assessment and issues a message that the third-party asset verification report may be used to satisfy the requirements in B3-5.4-03, Documentation and Assessment of a Nontraditional Credit History.

See [Fannie Mae Selling Guide](#) for complete details.

Collections/Charge-Offs/Judgments

The following applies to collection and charge-off accounts:

- Past-due accounts (that have not gone to collection) must be brought current.
- One Unit Owner-Occupied Primary Residence:
 - The borrower is not required to pay off outstanding collections or non-mortgage charge-offs regardless of the amount.
- Two-to-Four Unit Owner-Occupied Primary Residence and Second Home
 - If the combined total of collections and non-mortgage charge-offs are greater than \$5,000.00, the accounts must be paid in full prior to or at closing.
- Investment Property
 - Individual/non-mortgage charge-off accounts greater than or equal to \$250.00 or, if the combined balance of all accounts is greater than \$1000.00, the accounts must be paid in full prior to or at closing.

NOTE: At underwriter discretion, payoff of collection accounts may be required.

Judgments/Tax Liens

Open judgments and all outstanding liens appearing in the Public Records section of the credit report must be paid off prior to or at closing. Documentation of sufficient funds to satisfy these obligations must be obtained.

Consumer Credit Counseling

Follow DU Findings.

Disputed Accounts

- Disputed accounts are subject to DU Findings.
- If DU Findings do not indicate any action required, none is required.
- If DU does not issue an approval, DU will re-assess the risk without the disputed tradelines. If DU is able to issue an Approval, the underwriter must investigate the tradelines to determine whether the borrower is responsible for the accounts or if the account information is accurate or complete.
 - If the borrower is not responsible for the disputed account, supporting documentation must be obtained and retained in the loan file. No further action is necessary for the disputed tradelines.
 - If the borrower is responsible for the disputed account, the underwriter must determine the aspect of the tradeline that is being disputed. If the borrower is able to provide documentation to disprove adverse information (such as canceled checks), the loan may be delivered to Planet as a DU loan.
 - If the borrower is responsible for the disputed account and the tradeline information is accurate and complete, the loan is ineligible.
- The payment for the tradeline, if any, must be included in the DTI ratio if the account belongs to the borrower.



NOTE: An "Approve/Eligible" result must be received from DU after the updated credit report has been submitted.

Delinquent Child Support

Delinquent child support must be paid current or in a payment plan.

Credit History

- Tradeline requirements per DU.

Derogatory Credit

Derogatory Event	Waiting Period	Extenuating Circumstance
Chapter 7 or 11 BK	4 years from discharge date to the disbursement date of the new loan.	2 years from discharge.
Chapter 13 BK	2 years from discharge date to the disbursement date of the new loan, or 4 years from dismissal date to the disbursement date of the new loan.	2 years from discharge or dismissal date.
Multiple BK Filing*	5 years if more than one filing in the previous 7 years.	3 years from discharge dismissal
Foreclosure	7 years from the completion date to the disbursement of the new loan.	3 years from completion date. The maximum LTV is the lesser of 90% or the maximum LTV allowed for the program. The purchase of a primary residence is permitted. Limited cash-out refinances are permitted for all occupancy types.
Deed-In-Lieu/ Pre-Foreclosure/ Charge-Off of a Mortgage/ Short Sale	4 years from completion date to disbursement of the new loan.	2 years from completion date.

NOTE: *Two or more borrowers with individual bankruptcies are not cumulative and are not considered multiple bankruptcies (e.g., the borrower has a bankruptcy, and the co-borrower has a bankruptcy; Fannie Mae does not consider this multiple BKs).

NOTE: Disbursement date is defined as the date the loan funds are disbursed for the subject mortgage. The disbursement date may occur on or after the Note date.



Extenuating circumstances are considered isolated events that are beyond the borrower's control that result in a sudden, significant and prolonged reduction in income or a large increase in the borrower's financial obligations (e.g., death of a borrower, layoff, serious illness, divorce, etc.). Documentation that can be used to support extenuating circumstances include:

- Acceptable documentation to support extenuating circumstances and that illustrate factors that contributed to the borrower's inability to resolve the problem is required (e.g., copy of divorce decree, layoff notice, death certificate, medical bills, tax returns, property listing agreements, etc.).
- Additionally, a letter of explanation from the borrower explaining the relevance of the documentation is required.

NOTE: An "Approve/Eligible" result are still required even when considering extenuating circumstances; manual underwriting is not allowed on Agency loans.

Re-Established Credit Requirements

After a foreclosure, bankruptcy, deed-in-lieu, or pre-foreclosure, borrowers are required to have re-established good traditional credit. Re-established credit is met if all of the following are met:

- The above-detailed waiting periods and additional related requirements are met.
- The loan receives an "Approve/Eligible" Finding from DU.
- The borrower has established new traditional credit (non-traditional credit or "thin files" are not acceptable).

Deed/Resale Restrictions

Properties with age-related restrictions (55+ communities) are eligible subject to Fannie Mae requirements. °

All other properties subject to deed/resale restrictions are ineligible.

DTI

- Per DU
- The DTI ratio must account for the borrowers rental housing if the subject transaction is:
 - a second home
 - or investment or
 - includes a non-occupant co-borrower

Business Debt

- Business debt that appears on a self-employed borrower's personal credit report requires documentation that the debt is paid from company funds and considered in the cash flow analysis for the borrower's business.
- Business debt does **not** need to be considered as part of the borrower's individual recurring monthly debt when:
 - The account does not have a history of delinquency, **and**
 - Documentation is provided that the debt was paid from the borrower's business funds (e.g., 12-months' canceled business checks), **and**
 - The cash-flow analysis of the business took payment of the obligation into consideration. If documentation of payment from the business funds cannot be provided or there is a history of delinquency on the account, the debt must be considered as part of the borrower's individual recurring debt obligation.



If documentation of payment from the business funds cannot be provided, or there is a history of delinquency on the account, the debt must be considered as part of the borrower's individual recurring debt obligation.

Co-Signed Debt (aka Contingent Liability)

Certain debts can be excluded from the borrower's recurring monthly obligations in the DTI calculation:

- When a borrower is obligated on a non-mortgage debt and is not the party who is repaying the debt, the payment can be excluded in the monthly payment from the borrower's recurring monthly obligations. This applies whether or not the party is obligated on the debt but is not applicable if the other party is an interested party to the subject transaction. Non-mortgage debts include installment loans, student loans, revolving accounts, lease payments, alimony, child support, and separate maintenance.
- When a borrower is obligated on a mortgage debt but is not the party repaying the debt, the full monthly housing expense (PITIA) from the borrower's recurring monthly obligations if all of the following are met:
 - The party making the payment is obligated on the mortgage debt,
 - There are no delinquencies in the most recent 12 months, **and**
 - The borrower is not using rental income from the applicable property to qualify.

To exclude a contingent liability from the borrower's DTI, the lender must obtain the most recent 12 months canceled checks or bank statements from the other party making the payments that document a 12-month-payment history with no delinquent payments.

When a borrower is obligated on a mortgage debt, the applicable property must be included in the number of financed properties, regardless if the borrower is making the monthly mortgage payments.

Installment/Revolving Accounts

All debts must be run through DU to ensure accurate DU results.

- **Alimony/Child Support/Separate Maintenance Payments**

Alimony, child support or separate maintenance payments that are required to be paid due to a divorce decree, separation agreement or another legal document may be:

- Included in the borrower's monthly debt obligations if they will continue for > 10 months.
- Deducted from the monthly base income.
- Voluntary payments are **not** required to be considered in the DTI calculation.

- **Alimony Treatment**

There are now two options available with regard to alimony paid by the borrower as summarized below.

1. The borrower's monthly qualifying income can be reduced by the amount of the monthly alimony payment, or
2. Included as a monthly payment in the DTI calculation.
 - Lenders using option 1
 - Must enter the adjusted income figure as the income amount in DU.
 - Disregard the DU message requiring the inclusion of the alimony obligation as a monthly liability that is issued whenever the borrower declares on the loan application that they are obligated to pay alimony.
 - Lenders using option 2



- Follow the standard requirements as outlined in the Monthly Debt Obligations section of the Selling Guide.

NOTE: Lenders must continue to obtain documentation confirming the amount of the alimony obligation.

- **Federal Income Tax Installments**

Payments may be included in the DTI in lieu of "payment in full" if:

- No federal tax lien has been filed against the borrower in the county in which the subject property is located.
- For installment agreements approved by the IRS:
 - An approved IRS installment agreement which includes the payment amount and total amount due.
 - Evidence that borrowers are current on monthly payments:
 - Most recent payment reminder from the IRS which reflects the last and next payment amount and due date.
 - File must evidence at least one payment was made prior to closing.
- For an installment agreement still pending approval from the IRS:
 - A copy of the application showing repayment terms, monthly payment, and the total amount owed.

If these requirements are not met, the borrower must fully pay off the IRS tax balance either before or at closing in accordance with Fannie Mae requirements.

- **Installment Debt**

- All Installment debts, including garnishments, are considered recurring monthly debt obligations and must be included in the borrower's long-term debt for qualifying purposes if there are more than 10 months payments remaining.
- A timeshare account must be treated as an installment debt, regardless of how it is reported on the credit report or other documentation, even if it is reported as a mortgage loan.
- Installment debt with ≤ 10 months remaining will be considered as a recurring monthly debt obligation if it significantly affects the borrower's ability to meet their credit obligations.

- **Open 30-day Charge Accounts**

- Open 30-day charge accounts that do not reflect a monthly payment on the credit report or reflect a monthly payment that is identical to the account balance, lenders must verify borrower funds to cover the account balance. The verified funds are in addition to any funds required for closing costs and reserves.
- If the borrower paid off the account balance prior to closing, the lender may provide proof of payment in lieu of verifying funds to cover the account balance.

- **Payoff or Pay Down Debt Before Qualification**

- Payoff or pay down of a debt solely to qualify the borrower is carefully evaluated and will be considered in the overall loan analysis by the underwriter. The borrower's history of credit should be a factor in determining whether the appropriate approach is to include or exclude debt for qualification. Generally, the following applies:
 - Revolving accounts that will be paid off at or prior to closing, a monthly payment is not required to be included in the debt ratio. Documentation that the account was paid off must be provided and verified prior to loan disbursement, or the payoff must be shown on the Settlement/CD.



- Installment loans that are being paid off or paid down to 10 or fewer remaining monthly payments do not need to be included in the borrower's long-term debt. Such accounts do not need to be closed as a condition of excluding the payment from the DTI ratio.
- **Revolving Debt**
 - Revolving debt is considered part of the borrower's recurring monthly debt. Revolving debt includes credit cards and personal lines of credit (equity lines, secured by real estate, are included in the housing expense). Revolving debt is subject to the following:
 - If the credit report does not provide a minimum payment amount and there is no supplemental documentation to support a payment of less than 5%, the underwriter must use 5% of the outstanding balance as the monthly debt obligation.
 - If the monthly payment is not included on the credit report, the underwriter will use the greater of \$10.00 or 5% of the outstanding balance to determine the monthly payment.
- **Student Loans**
 - Payments evidenced on credit reports can be used to qualify the borrower.
 - When the credit report does not reflect the correct monthly payment amount The Seller may use the most recent monthly payment reflected on the student loan documentation.
 - When the credit report does not reflect a monthly payment amount or shows a \$0 amount as the monthly payment, one of the following options must be used when determining the qualifying monthly payment:
 - Planet may qualify borrowers on income driven payment plans using the \$0 as a monthly payment amount with evidenced documentation.
 - For loans that are deferred loans or in forbearance, Planet may calculate:
 - A payment equal to 1% of the outstanding student loan balance (even if this amount is lower than the actual fully amortizing payment), **or**
 - A fully amortizing payment using the documented loan repayment terms.

Conversion of Principal of Residence or Pending Sale

- Pending Sale
 - If the borrower's current principal residence is pending sale, but the transactions will not close with title transfer to the new owner prior to the subject transaction, and the borrower is purchasing a new principal residence, the current PITIA and the proposed PITIA must be used in qualifying the borrower for the new mortgage loan.
 - The current residence PITIA is not required to be used in qualifying the borrower if the following documentation is obtained:
 - A copy of the executed sales contract is provided, and
 - Documentation is provided confirming all financing contingencies have been cleared.
- Conversion of Second Residence or Principal Investment Property.
 - See [Fannie Mae Selling Guide](#) B3-6 for complete details.

Employment and Income

- A two-year employment history is recommended.
- Wage earner borrowers may be considered with a shorter employment history as long as the employment profile demonstrates positive factors to offset the shorter income history reasonably.
- Borrowers relying on overtime and/or bonus income for qualifying purposes must have a minimum 12-months' history to be considered stable.
- A verbal verification of employment (VVOE) is required within 10-business days of the Note date for salaried borrowers and within 120 calendar days for self-employed borrowers. See [Fannie Mae Selling Guide](#) B3-3 for alternative methods for employment verification.



- A current paystub with YTD income and most recent W-2s are required.
- Seller must independently obtain the phone number and, when possible, the address of the wage earner borrower's employer using directory assistance/internet/phone book, etc.
- Each tax return must be signed by the borrower unless the underwriter has obtained one of the following signature alternatives:
 - Documentation confirming that the tax returns were filed electronically,
 - A completed IRS Form 4506-C (signed by the borrower) for the applicable year(s), or
 - IRS transcripts that validate the tax return(s).

See [Fannie Mae Selling Guide](#) B3-3 for complete employment requirements.

Income documentation is determined per DU, however, at underwriter discretion, additional documentation may be required. Unless addressed below, follow Fannie Mae guidelines for income requirements.

- Wage earner borrowers:
 - At minimum, a current paystub with YTD earnings and the most recent W-2. The paystub must be dated within 30 days of the initial loan application date.
- Permitted for non-traditional credit qualifying transactions.
- Business income may only be used to qualify the borrower when there is a history of income distribution to the borrower consistent with the level being used to qualify.
- Amended tax returns are allowed, subject to the following requirements:
 - Original and amended tax returns are required. Tax transcripts for the amended tax returns must be obtained and be provided from the IRS. Borrower obtained tax transcripts for amended tax returns are not allowed.
 - Tax returns must be amended prior to the application date. Tax returns amended after the application date are not allowed.
 - Amended tax returns must be accepted by the IRS.
 - If the borrower owes taxes to the IRS, the full amount must be paid in full. Installment agreements for taxes are allowable if Agency guidelines are met.
 - An explanation for the amended tax returns is required to be obtained from the borrower if the income is being used to qualify.

Self-Employment

- Self-employed borrowers may be considered with a 12 to 24-month self-employment history.
 - A borrower with less than a two-year history of self-employment may be considered if the personal and business federal income tax returns reflect a year (12) months of self-employment income from the current business. The loan file must also contain documentation to support the history of receipt of prior income at the same, or greater, level, and
 - In a field that provides the same products and services as the current business, or
 - In an occupation in which the borrower has similar responsibilities to those undertaken in connection with the current business.
- Self-employed income:
 - Copy of the most recent 2-years signed federal individual and business tax returns with all schedules. If DU requires business returns, business tax transcripts will be required.
 - The requirement for business tax returns may be waived if:
 - Borrower is using personal funds for down payment, closing costs and to satisfy applicable reserve requirements,
 - Borrower has been self-employed in the same business for a minimum of 5 years, and
 - Borrower's individual tax returns show an increase in self-employment income over the past 2-years.



- Self-employed borrowers require verification of the business by a third-party source (e.g., CPA, Federal Tax ID Certificate, Business License, and 411/Reverse Look-up). Self-employed borrowers are individuals who have 25% or greater ownership interest in a business.
- When the co-borrower's self-employment income is not used for qualifying purposes, no documentation or evaluation of income or losses is required. However, all borrowers will continue to be evaluated for creditworthiness.
- Schedule K-1 Income:
 - Borrower(s) with less than 25% ownership of a partnership, S corporation or limited liability company reported on form 1065 or IRS form 1120S must have adequate liquidity to support the withdrawal of earnings. The Schedule K-1 alone cannot be used to support business liquidity in the absence of distributions as it does not provide sufficient information for this purpose.

Other sources of income:

DU determines the documentation, verification and continuation requirements for other sources of income.

Employment Related Assets

- Employment related assets used as qualifying income is permitted; see [Fannie Mae Selling Guide](#) for additional details.

Social Security Income

- Social Security income for retirement or long-term disability that the borrower is drawing from his or her own account/work record will not have a defined expiration date and must be expected to continue.

NOTE: An SSA Award letter may be used to document the income if the borrower is receiving Social Security payments or if the borrower will begin receiving payments on or before the first payment date of the subject mortgage as confirmed by a recently issued award letter.

Rental Income

Rental Income is an acceptable source of stable income if it can be established that the income is likely to continue. The amount of rental income used to qualify may be restricted depending on whether the borrower currently has a housing payment and/or a history of property management experience.

A lease agreement may not be used to determine qualifying rental income from an investment property under one of the following scenarios:

- The investment property is a departing residence
- Investment properties purchased within 45 days of the subject property

If a lease agreement is used for subject and non-subject properties to determine qualifying income the following requirements must be met:

- Rent must be payable in U.S. dollars, not virtual currency.
- New leases dated within two months of the loan application for properties not reported on IRS Form 1040 must:
 - Have a term of a minimum of six months
 - Have the first rent payment due on or before the first mortgage payment
- Properties reported on IRS Form 1040 have no minimum lease-term requirement



For properties not reported on the borrower's most recent IRS Form 1040:

- The lease cannot be with a family member or interested party
- The lease must be in effect and verified by obtaining one of the following:
 - Two consecutive months of bank statements or electronic transfer of rent payments
 - For a new lease, the security deposit and first full month's rent with proof of deposit
 - A property management agreement and proof of two consecutive months of rent payments

Seller is required to use the Fannie Mae rental income worksheets when calculating rental income. The worksheets (Form 1037, 1038, and 1039) are located on the Fannie Mae website under Guide Forms & Legal Docs or [FNMA B3-3.1-01 General Rental Income Information](#).

Planet follows Fannie Mae guidelines regarding the use of rental income. See Fannie Mae Selling Guide Section: [B3-3.8-01](#) to [B3-3.8-06](#) for additional guidance and requirements.

Accessory Dwelling Unit (ADU) Rental Income

ADU Rental Income may be used to qualify only when all the following apply:

- Property must be a one unit, from only one ADU.
- Rental income from only one ADU is used.
- Purchase or limited- cash out refinance transactions are allowed.
- Qualifying ADU rental income is limited to 30% of the total qualifying income.

See [Fannie Mae Selling Guide Section B3-3.8-01](#) for additional documentation requirements.

Marijuana/Cannabis

- Income derived from employment in the marijuana or cannabis industry is an eligible source of income if the borrower is a W-2 wage earner (salaried or hourly). The borrower cannot have any ownership interest in the business. If W-2 income is generated from a business where the borrower has any ownership interest, the income is not eligible.
- Income from employment at a marijuana dispensary (or similar) is acceptable if:
 - Marijuana is legal under state law, and
 - The subject property cannot be income producing.
- See [National Conference of State Legislatures](#) for states where marijuana is legal.

Employment offers or contracts:

See [Fannie Mae Selling Guide Section B3-3.1-09](#)

If the borrower is scheduled to begin employment after the loan closes, the borrower may qualify using one of the options below.

General Eligibility

- The employment offer or contract must not be for employment by a family member or interested party to the transaction.
 - This requirement applies regardless of whether a paystub is obtained prior to loan delivery.
- The borrower must qualify using base fixed income only.

Option 1: Paystub Obtained Before Loan Delivery

- The borrower's start date must be no earlier than 30 days prior to the note date.



- Mortgage loan file must include: A copy of the executed employment contract, and
- Prior to delivering the loan, a paystub which includes sufficient information to support the income used to qualify the borrower based on the offer contract must be obtained.

Option 2: Paystub NOT Obtained Before Loan Delivery

- The borrower's start date must be no later than 90 days after the note date.
- This option is limited to:
 - Purchase Transaction only
 - 1-unit principal residence
- The employment offer or contract must:
 - Clearly identify the employer and the borrower
 - Be signed by the employer, and
 - Be accepted and signed by the borrower
 - Clearly identify the terms of employment, including position, type and rate of pay, and start date, and
 - Be non-contingent
 - Review of all conditions of employment (if applicable) must be evidenced in the file.
- Reserve Requirements (in addition to reserves required by DU or for the transaction)
 - 6 months sufficient reserves, or
 - Sufficient reserves or income to cover monthly obligations including DTI and PITIA for the number of months between the note date and employment start date plus one Rental Income.

Escrow/Impound Account

- >80% LTV required unless prohibited by state law
- <80% LTV not required; refer to rate sheet for pricing adjustment

Escrowed Flood Insurance Premiums

Escrowed flood insurance premiums are required on all loans including, but not limited to, Higher Priced Mortgage Loans (HPML). When the subject property is in a special flood hazard area, the Seller must provide the following:

- Evidence that flood insurance premiums have been escrowed (regardless of any other fees and charges associated with the loan).
- Seller must use Standard Flood Hazard Determination Form (SFHDF) on all properties.

NOTE: Planet will not purchase loans with negative escrow balances.

Financed Properties

- **° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.**
- Owner-occupied properties: There is not a maximum number of financed properties the borrower may have if the subject property will be owner-occupied.
- Second home and investment:
 - Maximum 10 residential properties may be financed, including the borrower's principal residence.
 - A minimum credit score is not required for DU loan casefiles. DU will assess a borrower's creditworthiness in accordance with the risk factors outlined in [B3-2-03, Risk Factors Evaluated by DU](#), all other standards apply.

See ["Assets" on page 53](#) > **Reserves** for additional information.



Calculating the Number of Financed Properties

Types of property ownership **included** in the calculation of financed properties:

- 1-4 unit residential properties where the borrower is personally obligated on the mortgage, even if the monthly housing expense is excluded from the DTI.
- The borrower's principal residence.

Types of property ownership **not** included in the calculation of financed properties:

- Commercial real estate
- Multifamily property consisting of more than 4 dwelling units.
- Timeshare
- Vacant lot
- Ownership of a manufactured home on a leasehold estate not titled as real property.

Homeownership Education

- Homeownership Education is defined as:
 - A standardized course that covers homebuying, home maintenance, budgeting, and credit.
- When Required
 - At least one borrower must complete homeownership education prior to closing for:
 - Purchase transactions where all borrowers have no credit score (any product).
 - HomeReady® purchase transactions where all occupying borrowers are first-time homebuyers.
 - Purchase transactions with LTV/CLTV/HCLTV > 95% and all borrowers are first-time homebuyers.

NOTE: These requirements also apply to construction-to-permanent loans treated as purchases.

- Satisfying the Requirement
 - Education must be completed prior to closing through a third-party provider independent of the lender.
 - Content must align with HUD or National Industry Standards (NIS).
 - Delivery may be in-person, online, by phone, or a hybrid format.
 - Housing counseling may be used in lieu of education.
 - A certificate of completion must be retained in the loan file.
- See [Fannie Mae Selling Guide B2-2-06](#) for complete requirements.

Inspections

- Septic inspections are only required when the appraiser indicates there is evidence the septic system is failing.
- Termite inspections are only required when the purchase contract requires one, or the appraiser indicates there is evidence of active infestation.
- Well inspections are only required when state or local regulations require or if there is an indication the well may be contaminated.



Interested Party Contributions

Overview

Interested Party Contributions (IPCs) are contributions made by third parties with a vested interest in the transaction. These funds are used to cover costs that are typically the responsibility of the property purchaser. IPCs may include financing or sales concessions, as described below.

IPCs may not be used to:

- Make the borrower's down payment
- Reserve requirements or
- Satisfy the minimum borrower contribution requirement

Acceptable IPCs include:

- Funds paid directly from the interested party to the borrower.
- Funds that flow from an interested party through a third-party organization, including nonprofit entities, to the borrower.
- Funds that flow to the transactions on the borrower's behalf from an interested party (includes third-party organization and nonprofit agency).
- Funds donated to a third party who provides the funds to pay some or all the closing costs for the transaction.

Interested Parties

Interested parties to a transaction include, but are not limited to:

- Builder or Developer
- Property Seller
- Real Estate Agent or Broker
- Any affiliate of the above, or
- Any party that will benefit from the sale of the property at the highest possible sales price.

NOTE: A lender or employer is not considered an interested party unless it is the property seller or affiliated with another interested party. *Affiliation exists when there is direct or indirect common ownership or control between the interested party and the lender, or between both and a third party.*

Financing Concessions

Acceptable financing concessions are financial contributions from an interested party that benefit the borrower in the financing transaction. They may include:

- Contributions toward borrower closing costs (including prepaids), or
- HOA assessments covering up to 12 months post-settlement.

Financing concessions include:

- **Loan-related fees:**
 - Attorney's fees
 - Commitment fee
 - Discount points
 - Origination fee



- Real estate tax service fees
- Survey charges
- Title insurance premiums
- Transfer taxes
- **Credits or Payments** related to acquiring the property or financing terms.
- **Prepaid items**, such as:
 - Escrow accruals for borrower paid MI.
 - Hazard insurance premiums (≤ 14 months), HOA dues (≤ 12 months).
 - Mortgage insurance premiums, and
 - Prepaid items such as interest charges (no more than 30 days).
 - Real estate taxes covering any period after the settlement date.

Maximum Financing Concessions

The term "**maximum financing concessions**" replaces what was previously referred to as "**IPC limits**." These limits apply on occupancy type and LTV/CLTV:

Occupancy Type	LTV/CLTV	Maximum Allowable Contribution
Primary Residence or Second Home	> 90%	3%
	75.01-90%	6%
	75% or less	9%
Investment Property	All	2%

NOTE: For Fannie Mae REO (HomePath) properties the maximum allowable contribution > 90% is 6%. See [Fannie Mae Section B5-4-03](#) for additional details.

Financing concessions must be equal to or less than the sum of the borrower's closing costs. Any amount exceeding the borrower's closing costs must be treated as a sales concession.

Sales Concessions

Sales Concessions are contributions from interested parties that:

- Take the form of non-realty items or cash equivalents, or
- Exceed allowable maximum financing concessions.

Treatment of Excess Financing Concessions

If financing concessions exceed the allowable limits (see ["Maximum Financing Concessions" above](#)), the excess must be:

- Deducted from the property's sales price, and
- The lower of the adjusted sales price or appraised value must be used to calculate the loan-to-value (LTV) ratio.

Examples of Sales Concessions

Sales concessions include, but are not limited to:

- Cash gifts or undisclosed payments
- Decorator allowances or moving costs
- Furniture or appliances



- Lender incentives provided by an interested party or affiliate
- Realtor rebates not applied to the transaction

NOTE: A realtor rebate not applied to the transaction must be treated as a sales concession, regardless of when it is provided.

Lender Incentives

Lender incentives are permitted up to a maximum of \$2,500 and are not considered IPCs unless the lender is also an interested party to the transaction.

Incentives may include:

- Cash
- Cash-like gifts (e.g., gift cards, prepaid debit cards)
- Items of value, provided either:
 - Directly by the lender, or
 - Through a third party on behalf of the lender

Any incentive above \$2,500 or provided by an interested party must be treated as a sales concession and counted toward the maximum financing concession limit.

IPC Exclusions

The following are not considered IPCs and are not subject to the above limits:

- Lender credits derived from premium pricing.
- Gift funds or gifts of equity from acceptable, unaffiliated donors.
- Pro-rated real estate tax credits.
- Fees for standby commitments / forward commitments (refer to Interest Rate Buydowns section below).

Customary Fees Not Subject to Maximum Financing Concessions:

Seller-paid fees that are considered common and customary in the market (e.g., owner's title and transfer tax) are not subject to maximum financing concessions, even when paid by an interested party.

Undisclosed IPCs

Undisclosed IPCs render a loan ineligible. Examples include:

- Moving expenses,
- Payment of various fees on the borrower's behalf,
- "Silent" second mortgages held by the property seller, and
- Other contributions that are given to the borrower outside of closing and are not disclosed on the settlement statement.

Interest Rate Buydowns

If a temporary or permanent interest rate buydown is funded by an interested party:

- It is considered a financing concession.
- It must be included in the IPC calculation and remain within the applicable IPC limit.



NOTE: Builder Standby commitments executed before the borrower signs the sales contract are excluded. Loans with a reduced interest rate due to a standby commitment require delivery with SFC 887.

Payment Abatements

- Payment abatements funded by interested parties or nonprofits are not permitted, even if disclosed.

NOTE: The payment of HOA fees is not considered an abatement unless the payment of the fee extends for more than 12 months. Paying HOA fees for 12 months or less is considered an IPC.

Minimum Loan Amount

° \$40,000.00

Mortgage Insurance

- Loans with >80% LTV, mortgage insurance is required and are subject to MI guidelines.
- Eligible MI products:
 - Borrower paid mortgage insurance (BPMI). Monthly or single premium are eligible. The single premium may be financed. See ["Chapter 4: Mortgage Insurance" on page 33](#) for detailed requirements.
 - Lender paid mortgage insurance (LPMI). Single premium only.
 - Split Premium.
- Eligible MI options:
 - Non-refundable
 - Refundable
 - Level/constant renewal type (as applicable).

Planet will accept mortgage insurance issued by MI companies that are Fannie Mae approved.

Mortgage insurance coverage is determined by LTV and loan term as detailed below:

Required MI Coverage				
Loan Terms	LTV and Coverage			
	80.01 - 85%	85.01 - 90%	90.01 - 95%	95.01% - 97%**
≤ 20-year fixed rate	6%	12%	25%	35%
Fixed Rate, term > 20 year, and ARMs	12%	25%	30%	35%

*ARM maximum LTV 95%

** > 95%. See ["95.01% — 97% LTV" on page 47](#) for restrictions

LPMI Adjustments (No Single Premium BPMI Allowed)				
Product	LTV and Coverage			
	80.01 - 85%	85.01 - 90%	90.01 - 95%	95.01 - 97%
Fixed Rate	12%	25%	30%	35%



LPMI Adjustments (No Single Premium BPML Allowed)				
Product	LTV and Coverage			
	80.01 - 85%	85.01 - 90%	90.01 - 95%	95.01 - 97%
ARMs	12%	25%	30%	N/A

Mortgage/Rental History

Per DU, the mortgage/rental rating cannot have any ≥ 60 -day lates in the previous 12 months.

NOTE: If DU allows any delinquencies, a satisfactory explanation of the delinquency is required and is subject to underwriter review and acceptance.

- The credit report must reflect the most recent 12-month activity.
- Mortgage must be current for the month closing.
- Copies of rent checks are required to document rental payment history per DU results in lieu of rent checks, at the underwriter's discretion, the following may be acceptable:
 - A direct verification of rent (VOR) provided by a professional management company, or
 - Copies of money orders.

Non-ARMs' Length or Identity of Interest Transactions

- A non-ARM's length transaction is a purchase transaction where there is a relationship or business affiliation between the buyer and seller of the property.
- Non-ARM's length transactions are eligible for resale properties.
- When a non-ARM's length transaction occurs on a property that is new construction, the property must be a primary residence only. Non-ARM's length transactions are ineligible if the property is a second home or investment.
- An identity of interest transaction involves parties who are not related and do not have close personal ties; however, they have a strong interest in the transaction (i.e., broker acting for buyer and seller, the broker is both realtor and mortgage broker, the realtor is selling own property, etc.). Additional review will be required to ensure validity of the transaction, value, etc. which may include additional documentation and/or a desk review or second appraisal.

Occupancy

- Owner-Occupied
 - An active-duty military borrower who is unable to occupy the primary residence prior to the delivery date due to military service will be considered an owner-occupied property mortgage. The borrower's military orders must verify that the borrower is temporarily unable to occupy the primary residence due to the military assignment.
- Second Home
- Investment (non-owner occupied)

Power of Attorney

The following requirements apply to all transactions when a Power of Attorney (POA) is utilized:

- Use of the POA must meet all applicable state, federal and agency guidelines.
- The attorney in fact must be an eligible person (the following are examples of ineligible persons: real estate agent, seller or a person related to the seller, any employee of the lender, any employee of the title company, title agent or settlement agent, or any other party with a financial interest in the transaction)



- (other than a relative of the borrower).
- The POA must be signed and notarized.
- Cash-out transactions cannot use a POA.
- For a Texas 50(a)(6) transaction, there must be proof in the file that the POA met all 50(a)(6) signing requirements
- A trustee of a trust cannot sign using a POA.

Prepayment Penalty

Not permitted.

Products

Fixed Rate: 10-, 15-, 20-, 25-, and 30-year

ARM: The index used must be the SOFR (Secured Overnight Financing Rate).

- Caps:
 - 5/6 - 2/1/5
 - 7/6 and 10/6- 5/1/5
- Margin: 3.00
- Qualification:
 - 5/6 ARMs are qualified at the greater of:
 - The maximum rate that could apply during the first 5 years after the payment date (note rate plus first rate change cap), or
 - The fully indexed rate.
 - 7/6 and 10/6 ARMs are qualified at no less than the Note Rate *unless Higher Priced Mortgage Loans (HPML)/Higher Priced Covered Transaction (HPCT) rules apply.*
 HPML/HPCT Exception Logic: If the fully indexed rate is higher than the Note rate, the loan is ineligible.

NOTE: Manufactured Homes are eligible for fixed-rate mortgages only. ARMs are not permitted.

Property

General Property Eligibility

The mortgaged premises must be

- Residential in nature as defined by the characteristics of the property and surrounding market area;
- Secured by an interest in real property within the meaning of the Internal Revenue Code as such term is defined in 26 C.F.R. § 1.856-3;
- Safe, sound, and structurally secure;
- Adequately insured per Fannie Mae guidelines for property and flood insurance;
- The highest and best use of the property as improved (or as proposed per plans and specifications), and the use of the property must be legal or legal non-conforming use;
- Readily accessible by roads that meet local standards;
- Served by utilities that meet community standards; and
- Suitable for year-round use.



NOTE: Certain aspects of the location of a property will require special consideration. For example, properties in resort areas that attract people for seasonal or vacation use are acceptable only if they are suitable for year-round use.

See [Fannie Mae Selling Guide B2-3-01, General Property Eligibility](#) for complete requirements.

Eligible Property Types

- Single-family residences
- 2-4 unit Properties
- PUDs
- Condominiums (Fannie Mae Warrantable)
- New or newly converted condominium projects in Florida without a PERS approval
- Manufactured Homes (° **Multi-wide**)
(see detailed section below for full requirements)
 - Must be a 1-unit dwelling classified as real property
 - 2-4 unit property only when using UAD 3.6
 - May be existing or new construction
 - May be located in a Condo project or PUD
 - Eligible for Primary Residence or Second Home
- Multi-story Manufactured Homes (° **Multi-wide**) only when using UAD 3.6
- Modular, prefabricated panelized or sectional housing
 - Must have like comparables
 - Must be legally classified as real property
- Mixed-Use Properties – Residential and Business use
 - Property must be primarily residential and contain one legal residential unit
 - Borrower must own and operate the business
 - Business use must be zoning-compliant and limited in scope per Fannie Mae and local requirements.
 - Must meet FNMA Special Eligibility Criteria ([B2-3-04](#)) and Appraisal Considerations ([B4-1.4-07](#))
- Properties owned free and clear properties (no existing lien).
 - A copy of the tax transcript indicating no mortgage interest is required.
 - If the borrower owns multiple properties, a 1098 is required matching the lien(s) on the 1003 with the 1098 and one of the following:
 - Copy of the hazard insurance declaration page with no mortgagee listed, or
 - Copy of the MERS report for the property showing no mortgage listed, or
 - Copy of the Data Verify report showing no mortgage listed.
- Rural properties

Ineligible Property Types

- Agricultural-type properties
- Bed and Breakfast
- Boarding houses
- Builder bailout properties
- Commercial property
 - Includes mixed-use properties where commercial use exceeds Fannie Mae limits or impairs residential character of the property.
- ° **Condotel**s or Timeshares
- Condo Projects listed as Unavailable in the Fannie Mae Condo Project Manager (CPM).
- ° **Cooperatives (Co-Ops)**



- Farms / Orchards / Ranches
- Income producing properties (e.g., adult care facilities, bed & breakfast, etc.)
- Industrial zoned property
- Kiddie Condos
- Live-Work Projects that do not meet Fannie's live-work requirements.
- Log Homes
- Manufactured homes and MH Advantage properties that have **any** of the following attributes:
 - ◦ **Singlewide**
 - Include an accessory dwelling unit
 - Multi-units (2-4 units)
 - Classified as an investment property
 - ◦ **Located in a 100-year flood zone**
 - ◦ **Leaseholds**
- Mobile homes (any property that had / has wheels, axles, towing hitch, etc.)
- Multi-family dwellings > 4 units
- Non-warrantable condominiums
- Properties located in the Hawaiian Islands in lava zones one or two.
- Properties located on Tribal Lands Properties not suitable for year-round occupancy, regardless of location.
- Properties with an Assignment of Contract.
- Properties with problem drywall (aka Chinese drywall). Evidence of complete remediation must be provided if property previously contained Chinese drywall.
- Properties without road access not approved by Planet's Credit Risk Officer.
- Single-Entity ownership project
- Unique properties
 - There may be instances when the unique nature of a particular property may require special consideration. In those cases, Fannie Mae encourages lenders to contact their Fannie Mae customer account team.

Manufactured Home Requirements

This section contains all appraisal, title, occupancy, site, and eligibility criteria for Manufactured Homes, including MH Advantage where applicable. Refer to Fannie Mae Selling Guide Chapters [B2](#) for corresponding standards.

- Per DU findings
- A full appraisal is required and must include photos of either the HUD Data Plate or the HUD Certification Label(s).
 - As an alternative to the original HUD Certification Label(s) or the HUD Data Plate, the Seller must obtain either a label verification letter with the same information contained on the HUD Certification Label(s) or duplicate HUD Data Plate from the Institute for Building Technology and Safety (IBTS). A duplicate HUD Data Plate may also be available by contacting the In-Plant Primary Inspection Agency (IPIA) or the manufacturer. (A list of IPIA offices is posted on HUD's website.).

NOTE: This flexibility does not apply to new construction properties.

- The loan file must include:
 - Executed sales contract for both property and land (if purchased separate), and
 - Manufacturer's invoice for new properties



- Appraisal Report
- Value must be based on the home, land, and site improvements.
- **New Construction Manufactured Homes**

Properties not yet attached to land or not yet constructed the appraisal can be based on plans and/or specification or model home. When the required information is not available at time of inspection, the property must be appraised based on the appraiser's receipt and review of the items and completion of improvements as condition of the appraisal.

- Certification of completion is required prior to submission to Fannie Mae and must include:
 - Be completed by the original appraiser if possible, or if not possible, a substitute appraiser provided in the Fannie Mae Selling Guide.
 - Verification improvements were completed, and all other requirements/conditions have been satisfied.
 - Previously unavailable information and a summary of the appraiser's analysis of any previously unavailable dealer invoice, and
 - Photographs of the completed improvements attached to the permanent foundation, and of the HUD Data Plate and HUD Certification Label(s), or acceptable alternatives.
- **Site Requirements for Manufactured Homes**
 - Opinion of value must be based on the characteristics of the subject property including site area. The appraisal report must indicate whether or not the site is comparable with the neighborhood and must comment on the conformity of the manufactured home to other manufactured homes in the neighborhood.
 - Property must be compatible and conform to the manufactured homes in the neighborhood. The appraiser must comment if the site has adverse conditions or is not typical for the neighborhood.
- **Comparable sales for Manufactured Homes**
 - Two comparable sales of similar manufactured homes are required and must address the marketability and comparability of a manufactured home (example: multi-wide to multi-wide homes).
 - A third comparable sale can be either a site-built home or a different type of factory-built housing. The appraiser must explain why site-built housing or a different type of factory-built housing is being used for the third comparable sale and make and support appropriate adjustments in the appraisal report.
 - To establish a baseline for the sales comparison analysis when comparable sales are not available:
 - Older sales of similar manufactured homes can be used, or
 - Sales of similar manufactured homes in a competing neighborhood.
 - Comparable sales created using the subject property and vacant lots are not allowed.
 - The following additional sources may be used to develop a well-documented appraisal:
 - NADA Manufactured Housing Appraisal Guide
 - Marshall and Swift's Residential Cost Handbook

Manufactured Homes Titled as a Condo

- File must evidence FNMA project acceptance
 - Both Land and dwelling are subject to condo association
- The Seller must correctly identify the property type in DU as a manufactured home or MH Advantage and identify that it is located in a condo project.
- Manufactured housing projects require FNMA PERS review or a Full Review



- The project must meet all full review requirements, as applicable. CPM should not be relied upon to complete the Full review because it does not contain all the requirements that apply to condo projects consisting of manufactured homes.
- The project must not contain campgrounds or other facilities for transient or mobile units.
- The project legal documents must require a provision for land-lease “hold-out” units to be converted into the condo structure upon transfer, sale, or refinance of property. Land lease “hold-out” units are limited to 25% or less of the total units in the project.
 - Land-lease hold-out units are units where the structure is owned by an individual, but the land is leased from the HOA or project sponsor. These units were not converted to condo ownership when the project was converted to a condo regime.
- Standard PERS is required for new condo projects consisting of manufactured homes.
- Streamlined PERS is required for an established condo project consisting of manufactured homes that are subject to a deed restriction.
- All general condo eligibility requirements must be met.
- The manufactured home must be reviewed to confirm all manufactured housing requirements are met.

Additional Requirements

- Property must be at least 12 feet wide
- Minimum of 600 square ft. of living space, and
- Attached to a permanent foundation in accordance with the manufactured homes industry standards.
- Must be legally classified as real property under applicable state law and cannot include an accessory dwelling unit.
- Permanently connected to a septic tank or sewage system and other utilities according with local and state requirements.
- Properties not situated on a publicly dedicated and maintained street:
 - Must be situated on a street that is community owned and maintained or
 - Privately owned and maintained
 - There must be adequate vehicle access and there must be adequate and legally enforceable agreement for vehicle access and maintenance.
- Must not have been previously installed or occupied at any other site or location, except from the Manufacturer's or the dealer's lot as a new unit.
- Running Gear, towing hitch, wheels, and axles must be removed (must assume the characteristics of site-built housing).
- Existing properties that need repairs or are in the renovation process are not eligible for purchase until the necessary work has been completed.
 - Exceptions may be considered for items that do not affect the ability to get an occupancy certification, such as landscaping, a driveway, or a walkway.
- Additions and/or modifications are allowed
 - If the state in which the property is located requires inspection by a state agency to approve modification, confirmation must be obtained that the property has met the requirement.
 - Inspections not required by the state must be done by a licensed professional engineer.
- File must evidence certification that the addition or structural changes were completed in accordance with the HUD Manufactured Home Construction Safety Standards.
- Borrower must own the land in fee simple.
- Must be built in compliance with the Federal Manufactured Home Construction and Safety Standards established June 15, 1976, as amended and in force at the time the home is manufactured; and
- Must be evidenced by the presence of both a HUD Data Plate and the HUD Certification Label (HUD seal or tag).



NOTE: If the original or alternative documentation cannot be obtained for both the Data Plate/Compliance Certificate and the HUD Certification Label, the loan is not eligible for delivery to Planet.

Down Payment with Manufactured Homes

Borrower must provide 5% of their own funds unless:

- LTV/CLTV is $\leq 80\%$, or
- A 1-unit residence is being purchased, and meets the requirements to:
 - Use gift funds
 - Donated grant funds, or
 - Funds from employer to pay for some or all minimum borrower contributions.
- The property meets the MH Advantage requirements, and the loan meets the requirements for LTV ratios of 95.01-97%.
 - In this case, the borrower must contribute a minimum down payment of 3%, from his or her own funds unless the loan meets the gift, grant, or funds from an employer policy referenced above.

The borrower's equity in the land is considered the borrower's own funds. If the borrower holds title to the land on which the manufactured home will be permanently attached, the value of the land may be credited toward the borrower's minimum down payment requirement.

The borrower's equity contribution will be the difference between any outstanding liens against the land and the market value of the land.

Determining the Value of the Land (Manufactured Homes)

Date of Land Purchase	Value of Land	Required Documentation
>12 months preceding the loan application	The current appraised value	N/A
<12 months preceding the date of the loan application	The Lesser of the sales price or the current appraised value	Borrower cash investment must be obtained and include: ■ Copy of settlement statement ■ Copy of the warranty deed showing no outstanding liens against the property, or ■ Copy of the release of any prior lien(s)
Land acquired at any time as a gift, inheritance, or other non-purchase transactions	The current appraised value	Documentation which verifies the acquisition and transfer of ownership of the land

Transactions Type Permitted with Manufactured Homes

• Purchase Transactions

Proceeds must be used to finance the purchase of the manufactured home and/or the land. Land may be:



- Previously owned by the borrower
- Free of any mortgage, or
- Subject to a mortgage that will be paid off with proceeds of new purchase money mortgage.
- No cash-back allowed
- New Manufactured Homes
 - LTV must be based on the lower of the sales price plus:
 - Lowest sales price which the land was sold during the 12-month period if the land was purchased within 12 months preceding the loan date, or
 - The current appraisal value of the land if purchased more than 12 months preceding the loan application date.
 - The “as completed” appraised value of the manufactured home and land.
- Existing Manufactured Homes
 - LTV must be based on the lower of:
 - The sales price and land
 - The current appraisal value and land, or
 - If property was built in the 12 months preceding the loan application date, the lowest price at which the property was sold during that 12-month period, plus the lower of
 - The current appraisal value of the land, or
 - The lowest sale prices at which the land was within that 12-month period.
- **Limited Cash-Out Refinance Transactions**

Limited cash-out refinance transactions may involve the following:

- Pay off the outstanding principal balance of an existing first lien mortgage secured by the property and land (or existing liens if the home and land were encumbered by separate first liens).
- Pay off the outstanding principal balance of an existing subordinate mortgage or lien secured by the property and/or land, but only if it was used to purchase the property and/or land.
- Pay off an installment land contract that was executed more than 12 months before the date of the loan application.
- Finance closing costs (including prepaid expenses); or
- Provide cash back to the borrower (or other recipient) in an amount not to exceed the greater of 1% of the balance of the new refinance mortgage or \$2,000.
- Maximum LTV must be based on the lower of the current appraised value and land; or
- At least one borrower on the new loan must be an owner (on title) of the subject property at the time of the initial application. Exceptions are allowed if the lender documents that:
 - the borrower acquired the property through an inheritance or was legally awarded the property (such as through a divorce, separation, or dissolution of a domestic partnership); or
 - the property was previously owned by an inter vivos revocable trust and the borrower is the primary beneficiary of the trust;
 - the borrower is currently financially obligated on the loan being paid off but not on the title. This includes loans where the property is currently owned by a limited liability corporation (LLC) that is majority owned or controlled by the borrower(s). Ownership must be



transferred into the name of the individual borrower(s). See B2-2-01, General Borrower Eligibility Requirements for additional requirements; or

- the borrower is paying off an installment land contract that was executed more than 12 months before the date of the loan application.
- If property is owned by the borrower for < than 12 months on the loan application date, and
- If the home and land are secured by separate liens, the lowest price at which the home was previously sold during that 12-month period plus:
 - The lower of the current appraised value of the land, or
 - The lowest sales price at which the land was sold during that 12-month period.

Proceeds of a limited cash-out refinance may be used to:

- Pay off the outstanding principal balance of an existing first lien mortgage secured by the property and land (or existing liens if the home and land were encumbered by separate first liens).
- Pay off the outstanding principal balance of an existing subordinate mortgage or lien secured by the property and/or land, but only if it was used to purchase the property and/or land.
- Finance costs of construction,
- Finance closing costs, including prepaid expenses, and
- Provide cash back to the borrower (or other recipient) in an amount not to exceed the greater of 1% of the balance of the new refinance mortgage or \$2,000.
- Paying off the installment land contract that was executed more than 12 months before the date of the loan application.

- **Cash-Out Refinance Transactions**

- Property and land must be owned for at least 12 months preceding the date of application.
- 65% LTV/CLTV/HCLTV based on the appraised value of property and land.
- No restriction on use of proceeds.

MH Advantage

MH Advantage is designed to meet certain construction, architectural design, and energy efficiency standards that are more consistent with site-built homes. Examples of the physical characteristics for MH Advantage include:

- Specific architectural and aesthetic features such as distinctive roof treatments (eaves and higher pitch roofline), masonry or poured concrete perimeter foundation, attached garage or carport, or covered porch;
- Construction elements including durability features, such as durable siding materials, and
- Energy efficiency standards (minimum energy ratings apply).

See B2-3-02, Special Property Eligibility and Underwriting Considerations: Factory-Built Housing for more details. Properties will have a sticker applied to identify that the property is eligible for MH Advantage based on the specific design criteria listed above.

Appraisals *(Standard valuation requirements for manufactured homes apply)*

- The purchase, conveyance, and financing (or refinancing) must be evidenced by:
 - A valid and enforceable first-lien mortgage or deed of trust that is recorded in the land records, and
 - Must represent a single real estate transaction under applicable state law.
 - A Copy of the Appraisal Report and Completion Report (if applicable) is required.



- For new construction follow Fannie Mae standard appraisals requirements for:
 - Postponed Improvements
 - Factory-Built Housing:
 - Manufactured Housing for appraisals based on plans and specifications.
 - This will ensure site improvements that are not attached to the home, such as detached garages, are complete.
- Appraisal photos must evidence:
 - The presence of the MH Advantage Sticker (placed in proximity to the HUD Data Plate).
 - HUD Data Plate, and
 - HUD Certification Labels.
- Final inspection photo must show the presence of a driveway leading to the home, garage or carport (if one is available). The driveway must consist of:
 - Blacktop
 - Bricks
 - Cement
 - Concrete
 - Gravel
 - Pavers
- The presence of a sidewalk connecting either the driveway, or a detached garage or carport, to a door or attached porch of the home. The sidewalk must consist of:
 - Blacktop
 - Bricks
 - Cement
 - Concrete
 - Flagstone
 - Pavers

Comparable Sales

- Must use other MH Advantage properties when available.
- Appraiser must supplement with the best and most appropriate sales if fewer than three MH Advantage sales are available.
- Site-built homes may be included in the comparable.
- Sales of new manufactured homes and land (often referred to as land/home sales) may be used as comparables provided both the land and home transpire as a single transaction, and the file evidences that the appraiser has adequately verified the physical attributes, conditions of sale, sales price, and concessions.
- Combining separate transactions of vacant land and purchase price to create a comparable sale is not permitted but may be used as additional support.

Appraisal Requirements for MH Advantage Homes in New Subdivisions *(Standard Fannie Mae appraisals requirements for new subdivisions apply)*

- One comparable sale from the subject subdivision or project and
- One comparable sale from outside the subject subdivision or project is required.
- A third comparable sale can be from inside or outside of the subject subdivision or project, provided it is a good indicator of value for the subject property.
- Two of the sales must be verifiable from a reliable data sources, other than the builder.
- Two pending sales in the subject project or subdivision in lieu of one closed sale may be used, in the event there are no closed sales inside a new subject project or subdivision because the subject property transaction is one of the first units to sell.
- When two pending comparable sales are used in lieu of a closed sale at least three closed comparable



- sales from projects or subdivisions outside of the subject property's project or subdivision must be used.
- The appraiser may need to rely solely on the builder of the property he or she is appraising, as this data may not yet be available through typical data sources, in order to meet the requirements for using one comparable sale from the subject subdivision or project. A copy of the settlement statement from the builders file is acceptable.

Eligible Project Types

Condominiums (Attached/Detached, Live-Work)

- Must be Fannie Mae warrantable
- The required project review type may vary based on project characteristics, risk factors, or transaction details. Eligible review methods include:
 - Full review**
 - Must utilize Condo Project Manager (CPM)
 - Limited Review** (*Limited review will be discontinued for all loan applications received on or after August 3, 2026.*)
 - Subject to LTV/CLTV/HCLTV and Occupancy restrictions
 - CPM Certification**
 - Must be eligible for Limited review
 - Receive "Approved by Fannie Mae" status in DU
 - Project must not have delivery restrictions that conflict with the subject loan
 - All Fannie Mae eligibility criteria must still be satisfied

See [Fannie Mae B4-2.2-01 – Limited Review Process](#)

See [Fannie Mae B4-2.2-02 – Full Review Process](#)

Established Condo projects (>90% conveyed)

- At least 90% of the total units have been sold and conveyed.
- The project is 100% complete, including all units and common elements.
- The project is not subject to additional phasing or annexation.
- Control of the HOA has been turned over to the unit owners.

Established Condo projects (<90% conveyed)

- If <90% conveyed due to developer-held rentals, the project may still qualify as established if:
 - Construction is 100% complete.
 - The project is not subject to any additional phasing or annexation, and the HOA has been turned over to the unit owners.
 - The developer's share of the units held back for rental is no more than 20% of the project's total units.
 - HOA fees are paid current in developer-held units.
 - There are no active or pending special assessments in the project.

New Condo Projects

- For which one or more of the following is true:
 - Fewer than 90% of the total units in the project have been conveyed to unit purchasers (or 80% if developer holds back rental units).
 - The project is not fully completed, such as proposed construction, new construction, or the proposed or incomplete conversion of an existing building to a condo.
 - The project is newly converted.



- The project is subject to additional phasing or annexation.
- HOA still in the developer's control.

NOTE: The presale requirement that at least 50% of the total units in the project or subject legal phase must have been conveyed or be under contract for sale to principal residence or second home purchasers still applies as described in Selling Guide B4-2.2-03.

Detached Condo Project

- A project comprised solely of detached units or that comprises a mixture of attached and detached units and may be a new or established project.

Two- to four-unit condo project

- A project comprised of two, three, or four residential units in which each unit is evidenced by its own title and deed. A two- to four-unit condo project may be either a new or established project and may be comprised of attached and/or detached units.

Manufactured home project

- A project consisting partially or solely of manufactured homes.

NOTE: Project approval for mortgage loans secured by multi-width manufactured homes located on individual lots in subdivisions or in PUDs is generally not required, but Fannie Mae may choose to require project approval.

Planned Unit Development (PUD) - Attached or Detached

- **PUD Project**
 - A project or subdivision that consists of common property and improvements that are owned and maintained by an HOA for the benefit and use of the individual PUD unit owners.
 - The unit owners in the project have title to a residential property (lot and structure) and an interest in the HOA that owns or manages the common area and facilities of the PUD.
 - See [B4-2.3-01, Eligibility Requirements for Units in PUD Projects](#) for additional details used in determining whether a project is new or established and subject to Fannie Mae's PUD eligibility requirements.
- **Attached PUD:** do require a signed Condo/PUD Warranty form. No questionnaire required.
- **Detached PUD:** do not require a Warranty form, a Questionnaire, or a project review.

Project Review Waiver Criteria and Exceptions

- Fannie Mae does not require a thorough project review for several types of projects or loan transactions, including:
 - Detached condo units
 - Units in a two-to-four-unit condo project
 - Units in a PUD Project
 - Fannie Mae to Fannie Mae limited cash-out refinance with LTV ratios less than 80%.
 - High LTV refinance
- **Exception to the Waiver Policy**
 - Other than the PUD requirements (under project types), if the property is a manufactured home or the project contains any manufactured homes, such property or project is not eligible for a review



waiver and must be reviewed based on the applicable manufactured home project review requirement.

- **Requirements that Apply When the Project Review is Waived:**

The following requirements apply, in addition to those noted above, when a project review is waived:

- Property eligibility requirements (described in Chapter B2-3, Property Eligibility).
- **The project is not in Condo Project Manager (CPM) with a status of "Unavailable."**
- The project is not a condo hotel or motel, houseboat project, or a timeshare or segmented ownership project (described in B4-2.1-03, Ineligible Projects).
- Priority of common expense assessments (described in B4-2.1-01, General Information on Project Standards).
- When an appraisal of the property is obtained, it must meet all applicable appraisal requirements (described in Chapter B4-1, Appraisal Requirements).
- **Meets all Insurance requirements** (See FNMA Selling Guide B7-3 and B7-4-01 for additional requirements).
- There are no unaddressed critical repairs outstanding or projects with evacuation orders (described in B4-2.1-03, Ineligible Projects) if the loan is a Fannie Mae to Fannie Mae limited cash-out refinance.
- Projects are limited to new or existing developments with up to 10 units.
- Projects consisting of 5-10 units must not belong to a master association or larger development.

NOTE: Project review required on High LTV Refinance Options and DU RefiNow projects.

See [Fannie Mae Selling Guide](#) Chapter B4-2 for complete guidance on project standards.

Litigation

- Projects where the HOA is a party to litigation are eligible under the following circumstances:
 - Non-monetary litigation including, but not limited to, neighbor disputes or rights of quiet enjoyment.
 - The insurance carrier has agreed to provide the defense, and the amount is covered by the HOA's insurance.
 - The HOA is the plaintiff in the litigation and upon investigation and analysis the matter is minor and will result in an insignificant impact to the financial stability of the project.
 - The anticipated damages and legal fees must not exceed expected to exceed 10% of the project's funded reserves.
 - The HOA is named as the plaintiff in a foreclosure action or as a plaintiff in an action for past due HOA assessments.

See [Fannie Mae Selling Guide](#) Chapter B4-2 for complete requirements.

Property Flips

Property flips are subject to:

- Appraisal must support any value increases. Additional documentation may be required, and a desk review or second appraisal may be required at underwriter discretion.
- Borrower has excellent credit history, employment history, savings pattern, etc.



Property with an Accessory Dwelling Unit

An ADU is typically an additional living area independent of the primary dwelling that may have been added to, created within, or detached from a primary one-unit dwelling. The ADU must provide for living, sleeping, cooking, and bathroom facilities and be on the same parcel as the primary one-unit dwelling.

- ADUs are not permitted for second homes or investment properties.

See Fannie Mae Selling Guide Chapter B2-3-04 for complete requirements for accessory dwelling units.

For Sellers using UAD 3.6 the following applies to ADU eligibility:

- **Multi-unit properties:** 2-3 unit properties to include ADUs, provided the number of dwelling units in the primary structure plus the ADUs does not exceed four is allowed.
- **Multiple ADUs on single-unit properties:** 1-unit properties with up to three ADUs are eligible.
- **One ADU for Standard Manufactured Housing:** Single-unit MH (° multi-wide) as the primary dwelling with one ADU classified as real property is eligible.
- **Multiple ADUs for MH Advantage:** MH Advantage (° multi-wide) as the primary dwelling, to include ADUs provided the number of dwelling units plus the ADUs (must all be classified as real property) does not exceed four is eligible.

Properties with multiple ADUs must be classified as either single-unit or 2-3 unit principal residence.

Property with an Addition without Permits

If the appraiser identifies an addition that does not have the required permits, the following is required:

- The appraiser must comment on the quality and appearance of the work, and
- The impact the addition might have, if any, on the market value of the subject property.

Property with Solar Panels

- Properties with solar panels that are owned by the borrower are eligible without additional requirements.
- Properties with solar panels that are not owned by the borrower are eligible subject to Fannie Mae guidelines.

Solar Panel Lien Subordination Requirement

In the event that the title company is unable to subordinate the Solar Panel lien, the following language must be added to the Title Policy:

Required Title Policy Language:

"The Company insures against loss or damage sustained by the insured in the event that the enforcement of that certain Notice of an Independent Solar Energy Producer Contract referred to in Exception (FILL IN) of Schedule B Part 1 results in the invalidity, unenforceability, or the lack of priority of the lien of the Insured Mortgage upon the Title."

Title Insurance Requirements

- Title must insure the priority, enforceability, and validity of the mortgage lien.
- Title may require that the endorsement does not insure against loss or damage (and the Company will not pay costs, attorney fees, or expenses) resulting from any contractual obligation for electrical services or rights of ownership in the solar electric generation



system installed on the Land as disclosed by said notice.

- The title policy must clearly reflect any existing solar panel lien and ensure compliance with applicable Fannie Mae guidelines regarding secured or unsecured solar panel financing.

Purchase Agreement Amended/Renegotiated

- Not eligible if the sales price was increased **after** the original appraisal was completed if:
 - The appraised value is higher than the originally contracted sales price that was provided to the appraiser, and
 - The new purchase agreement and/or addendum to the purchase agreement is dated after the appraisal, and
 - The only change to the purchase agreement was the sales price.
- If the purchase agreement was renegotiated after the completion of the appraisal, the LTV would be based on the **lower** of the original purchase price or the appraised value, unless:
 - The re-negotiation was only for seller paid closing costs and/or pre-paid where the seller paid closing/pre-pays costs are common and customary for the area and are supported by the comparables, or
 - The purchase contract was amended for a new construction property due to Improvements made that impact the tangible value of the property. An updated appraisal report must be obtained to validate the value of the improvements.
- Assignment of the purchase contract is not allowed.

Rent Back

The property seller is allowed to rent back the property from the buyer (borrower) for a maximum of 60 days after close.

Seller Contribution

See ["Interested Party Contributions" on page 74](#) for Seller contribution limits.

Subordinate Financing

- Eligible subject to the CLTV limits on the matrix. Max CLTV is 105% for a fixed-rate, owner occupied 1-4 unit property with a Community Seconds.
- If existing subordinate financing is an HELOC, the full amount of the available credit must be used to determine the HCLTV.
- Unacceptable subordinate financing terms include:
 - Mortgages with negative amortization (except employer subordinate financing that has deferred payments).
 - Subordinate financing that does not fully amortize under a level monthly payment plan where the maturity or balloon payment date is less than 5 years after the Note date of the new first mortgage.
 - Subordinate financing that has a prepayment penalty. (Does not apply to HELOC early termination fees).
 - An agreement under which a borrower is obligated to pay a third-party (other than a co-owner of the subject property) a share of any appreciation in the value of the property is not permitted, unless it qualifies as a Community Seconds loan.
- Subordinate financing must be evidenced by a promissory note and reflected in a recorded security instrument that is clearly subordinate to the first mortgage.



Temporary Buydown

Eligible Buydown Types

("Moderate") special feature code 009 must be delivered

- **2-1 Buydown**
 - **Year 1:** Payment calculated at 2% below the note rate.
 - **Year 2:** Payment calculated at 1% below the note rate.
 - **Years 3 through maturity:** Payment calculated at note rate.
- **1-0 Buydown**
 - **Year 1:** Payment calculated at 1% below the note rate.
 - **Years 2 through maturity:** Payment calculated at note rate.

Ineligible Buydown Types

- ◦ **1-1 Buydown**
- ◦ **3-2-1 Buydown**

Eligible Sources

- Borrower
- Builder/Developer
- Lender
- Other Interested Parties to the Transaction
- Seller
- Split Contributions

Ineligible Sources

- Excess IPCs: Contributions exceeding program limits
- Non-compliant lender buydowns
- Premium pricing: Using the credit from selecting a higher rate
- Unverifiable funds: Sources that cannot be documented to program standards

Eligible Transactions

- Conforming Loans
- High Balance
- HomeReady
- Limited Cash-Out Refinance
- Purchase Transactions

Ineligible Transactions / Attributes

- ◦ **ARMs**
- Cash-Out Refinance
- Investment Properties
- RefiNow
- ◦ **Renovation (HomeStyle)**
- ◦ **Singlewide Manufactured Homes**
- Texas 50(a)(6)

Amortization Type

- ◦ **Fixed-Rate Only**



Loan Term

- ° 30-year term

Occupancy Requirements

- Primary Residence
- Second Homes

Eligible Property Types

- 1-4 Unit Primary Residence
- 1 Unit Second Homes
- Attached
- Detached
- Manufactured Homes (doublewide or greater)
- PUD
- SFR
- Warrantable Condo

Automated Underwriting (AUS) Requirements

- AUS Approval Required
- ° Manual Underwriting (UW) is Ineligible

Qualifying Rate

- **Borrowers must qualify at the Note Rate**
 - The borrower must be qualified using monthly payments calculated at the note rate.
 - If reserves are required, the reserves must be calculated using the note rate.

Additional Requirements

- **Temporary Buydown agreements must be fully executed at funding and held in a custodial account.**
 - The temporary buydown agreement must state that the borrower will not assign, transfer or close the account, or withdraw buydown funds, except as permitted by the terms of the temporary buydown agreement.
 - A copy of the fully executed temporary buydown agreement, must be retained in the Seller's loan file.
- **The borrower must sign an agreement stating that the buydown funds will be automatically applied to reduce their monthly principal and interest payment.**
 - The borrower must agree in writing that the buydown funds in the buydown account will be automatically applied each month to reduce the monthly payment of principal and interest to the extent provided under the subsidy temporary buydown agreement.
 - The temporary buydown agreement must provide that the borrower will not be relieved of the obligation to make the full monthly mortgage payments required by the terms of the note if, for any reason, the buydown funds are not available or the buydown funds are not paid.
- **Loan documents must not reference the temporary rate in the note and security instruments.**
 - The loan file must contain a copy of the executed temporary buydown agreement and must clearly show the Seller's calculations of the total cost of the temporary subsidy buydown, any interested party contribution and the annual percentage increase in the borrower's monthly principal and interest payment.
- **The note and mortgage terms must not be altered due to the temporary buydown agreement.**
 - No references to the buydown plan are permitted in the note and security instruments.
 - The interest rate and monthly payments shown in the note must be calculated without reference



to the temporary buydown subsidy. In no event may the temporary buydown agreement change the terms of the note or mortgage.

Transaction Types

Eligible Transactions

- 1031 Exchange
- Cash-out
- Land contracts subject to Fannie Mae guidelines
- Lease option to purchase subject to Fannie Mae guidelines
- Limited cash-out refinance (rate/term)
- New York CEMAs allowed on refinance transactions. CEMA not eligible on purchase transactions. Planet does not accept Lost Note Affidavits. Use Fannie Mae Form 3172. Sellers must include the recorded original CEMA, including Exhibits A-D and all mortgage assignments.
- Purchase. The assignment of a purchase contract is not allowed.

Ineligible Transactions

- Any transaction without a DU "Approval/Eligible" Finding
- **◦ Community Land Trusts**
- **◦ Energy Efficient Mortgages (EEM)**
- **◦ High-Cost Loans**
- Fannie Mae My Community, Community Solutions, and Community Home Choice
- Interest-only
- Loans with tutorship lien
- Non-Arm's length transaction that involves new construction and the loan is secured by a second home or investment property.
- Non-traditional credit (see ["Credit Report/Scores" on page 61](#) for exceptions)
- Properties in the "Right of Redemption Period" as applicable state law allows.
- Refinance transactions where the subject property is listed for sale at time of disbursement of the new loan.
- Restructured mortgages that do not meet Fannie Mae guidelines.
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

Refinance Transactions

Properties that were listed for sale in the previous 12 months must be taken off the market prior to the disbursement of the new mortgage loan and evidence must be provided to show the property listing has been removed prior to the disbursement of the new loan. Borrowers must provide written confirmation of their intent to occupy the property.

Cash-Out

- Any existing first mortgage being paid off through the cash-out transaction must be at least 12 months old, measured from the note date of the existing loan to the note date of the new loan.
- Cash-Out transactions require a minimum 6-month title seasoning (6 months from close date of the previous transaction to the disbursement date of the new mortgage) except as follows:
 - Delayed financing guidelines are met (see ["Delayed Financing" on the next page](#)), **or**
 - The borrower inherited or was legally awarded the property (divorce, separation or dissolution of domestic partnership). The property must have cleared probate and be vested in the borrower's name.



Fannie Mae Student Loan Cash-Out

A Student loan cash-out refinance (identified by SFC 841) is a special type of cash-out transaction. When certain criteria are met, the loan is charged the Limited Cash Out Refinance (LCOR) LLPAs, rather than standard cash-out LLPAs.

Key Requirements:

- The loan must receive a DU Approve/Eligible finding.
 - DU cannot specifically identify these transactions, but will issue a message when it appears that only subject property liens and student loans are marked paid by closing.
- The standard cash-out refinance LTV/CLTV/HCLTV ratios apply.
- At least one student loan must be paid off with proceeds from the subject transaction with the following criteria:
 - Proceeds must be paid directly to the student loan servicer at closing,
 - At least one borrower must be obligated on the student loan(s) being paid off, and
 - The student loan must be paid in full – partial payments are not permitted.
- The transaction may also be used to pay off one of the following:
 - An existing first mortgage loan (including an existing HELOC in the first-lien position); or
 - A single-close construction-to-permanent loan to pay for construction costs to build the home, which may include paying off an existing lot lien.
 - Only subordinate liens used to purchase the property may be paid off and included in the new mortgage.
 - The transaction may be used to finance the payment of closing costs, points, and prepaid items. With the exception of real estate taxes that are more than 60 days delinquent, the borrower can include real estate taxes in the new loan amount as long as an escrow account is established, subject to applicable law or regulation.
- All other standard cash-out refinance requirements apply.

Delayed Financing

Borrowers who purchased the subject property within the past six months are eligible for a cash-out refinance when no financing was obtained for the purchase transaction, and **all** the following requirements are met:

- The purchase transaction was an arms-length transaction, and
- The borrower must have initially purchased the property as one of the following:
 - A natural person
 - An eligible Inter Vivos Revocable Trust, where the borrower established that trust and is the beneficiary of the trust
 - An eligible land trust where the borrower is the beneficiary of the land trust, or
 - An LLC or partnership in which the borrower(s) have 100% ownership individual or joint, **and**
- The new loan amount cannot exceed the actual documented amount of the borrower's initial investment to purchase the property plus the financing of closing costs, prepaid fees, and points (subject to the maximum LTV/CLTV ratios for a cash-out transaction based on the current appraised value), **and**
- The CD from the original transaction is required to confirm that there was no mortgage financing used to obtain the property, **and**
- The source of the funds used to purchase the property can be documented (i.e., bank statements, personal loan documents, HELOC against another property) and were the borrower's own funds,

NOTE: If gift funds were used to purchase the property, they may not be reimbursed with the proceeds from the new loan.



- The preliminary title documentation must not indicate any existing liens on the subject property. If the source of the funds to acquire the property was an unsecured loan or secured by an asset other than a subject property (e.g., HELOC), the settlement/CD for the refinance transaction must reflect that **all** cash-out proceeds be used to pay off or pay down, as applicable, the loan used to purchase the property; **and**
- An “Approve/Eligible” result from DU is required, and the transaction must meet all other cash-out eligibility requirements.

Rate/Term Refinance

At least one borrower on the new loan must be a current owner of the subject property (on title) at the time of the initial loan application. Exceptions to this policy are permitted in the following scenarios:

- the borrower acquired the property through an inheritance or was legally awarded the property via a legal settlement or divorce decree, or
- the property was previously owned by an inter vivos revocable trust and the borrower is the primary beneficiary of the trust.

Student loans can be paid off through a rate/term refinance without being considered cash-out transactions when the following requirements are met:

- Per DU only
- Proceeds from transaction must be used to pay off at least one student loan
- Payoff must be paid directly to the servicer at closing
- One borrower must be obligated on the loans being paid off, and
- Loan must be paid in full (partial payments not allowed)

Transaction may also be used to pay off:

- An existing first mortgage loan (including HELOCs in first lien position), or
- Single-closing construction-to-perm loan to cover cost to build the home, which may include paying off an existing mortgage.

Subordinate liens used to purchase property:

- Financing **is** allowed to secure the payment of closing costs, points, and prepaid items.
- Financing **is not** allowed when the property taxes are more than 60 days delinquent.
 - The borrower can include property taxes in the new loan amount as long as an escrow account is established, subject to applicable law or regulation.
 - Cash back to the borrower may not exceed the greater of 1% of the new refinance loan amount or \$2,000.

See [Fannie Mae Selling Guide](#) Chapter B2-1 for complete details.

Texas Refinance Transactions

All refinance loans secured by a Texas homestead must comply with Article XVI, Section 50 of the Texas Constitution, which defines permissible lien types and borrower protections.

Requirements Applicable to All Texas Homestead Refinance Transactions

General Constitutional Requirements

- Must comply with Texas Constitution Article XVI, Section 50, including borrower protections, homestead restrictions, and lien eligibility.
- All transactions must be secured by a Texas homestead (urban or rural rules apply depending on lien



type)

- Transactions must follow standard agency eligibility, unless superseded by constitutional requirements.

Attorney Document Preparation / Review

- All Texas refinance loans must be prepared or reviewed by a Texas-licensed attorney prior to closing
- File must include:
 - Attorney Representation Letter
 - Attorney Response Letter
- Attorneys must be Planet-approved prior to loan closing

Power of Attorney

- Permitted only when allowed by the applicable lien type:
 - 50(a)(6): Not permitted
 - 50(f)(2): Not permitted
 - 50(a)(4): Permitted per agency standards

Temporary Buydowns

- Not permitted for any Texas homestead refinance type

Appraisal Requirements

- Full interior/exterior appraisal required for all transactions involving a home-equity component or conversion
 - When applicable a desk/field review can be used to address deficiencies identified in the completed appraisal. The desk/field review must be:
 - obtained prior to the date of the note and mortgage.
 - attached with the appraisal to the written acknowledgment of "fair market value".
- Value Acceptance is not permitted for 50(a)(6).
- Standard AUS rules apply for 50(a)(4) and 50(f)(2).

Fee Limitation

For transactions subject to the home-equity rules (50(a)(6) and 50(f)(2)):

- Borrower-paid fees must not exceed 2% of the loan amount, excluding:
 - Bona fide discount points
 - Property taxes
 - Insurance (hazard, flood, mortgage insurance if required)
 - Prepaid interest
 - HOA dues
 - Appraisal fees (AMC fees not excluded)
 - Survey fees
 - Title premiums / examination (if less than title premium)

Texas Attorney Firms Approved by Planet

- Baird Law, PLLC
- Black, Mann & Graham
- Carolyne K. Davis, P.C.
- Dorsett Johnson & Swift, LLC
- Glast, Phillips & Murray
- Gregg & Valby
- Matt Haddock, PLLC



- Kubik Law Firm, PLLC
- MRG – Mortgage Resource Group
- McGlynchey, Stafford
- Pierson & Patterson
- Polunsky Beitel Green
- Rich Karlseng, LLC
- Robertson Anschutz Vettors
- Sandler Law Group
- Schwartz & Manente
- Shanks & Associates

Attorneys not listed above must be approved by Planet in advance of loan closing.

The constitutional subsection applicable to each transaction depends on whether the borrower is taking new cash, refinancing a prior home-equity lien, or completing a standard rate/term refinance.

The following table summarizes the key distinctions among the three permissible Texas refinance lien types.



Feature	Texas 50(a)(6) Article XVI, § 50(a)(6)	Texas 50(f)(2) Article XVI, § 50(f)(2) & § 50(f-1)	Texas 50(a)(4) Article XVI, § 50(a)(4)
Reference	Section 50(a)(6) governs home equity and cash-out refinance transactions. A new appraisal is required, and total indebtedness may not exceed 80% CLTV .	Section 50(f)(2) provides the conversion pathway for refinancing an existing Section 50(a)(6) loan into a non-home equity lien, provided all constitutional requirements are met, including: ■ Minimum 12-month seasoning ■ No cash-out ■ Maximum 80% CLTV ■ Required borrower notice Once these conditions are satisfied, the new loan is deemed a Section 50(a)(4) lien pursuant to Section 50(f)-1 .	Section 50(a)(4) applies to standard non-home equity refinance and purchase transactions. These loans follow standard agency requirements for LTV, appraisal, and notice, unless the transaction involves a conversion from a prior Section 50(a)(6) loan.
Type	Home Equity / Cash-Out Refinance	Conversion Refinance of a prior 50(a)(6) loan	Non-Home-Equity Lien (Rate/Term)
Purpose	Allows a Texas homeowner to take cash from equity in a primary residence	Allows refinance of a prior 50(a)(6) loan into a new non-home-equity lien, if constitutional conditions are met	Covers standard non-home-equity liens such as rate/term refinances (not tied to prior home equity loans)
Relationship	Original home-equity loan under the Texas Constitution	Mechanism to convert a 50(a)(6) into a non-home-equity lien	The resulting lien type after a successful 50(f)(2) refinance
Source Loan	Any existing lien (new cash-out transaction)	Must refinance a prior 50(a)(6) home-equity loan	May refinance any prior lien that is not a home-equity lien
Resulting Lien Type	Home-equity lien (§50(a)(6))	Non-home-equity lien deemed to be §50(a)(4) per §50(f-1)	Non-home-equity lien under §50(a)(4)
Borrower Eligibility	■ Unmarried co-borrowers permitted, must take title to the property and are legally liable for the debt.	■ Same as (a)(6) ■ Borrower must be refinancing an existing 50(a)(6) lien	■ Standard agency rules regarding borrower eligibility apply Per DU



Feature	Texas 50(a)(6) Article XVI, § 50(a)(6)	Texas 50(f)(2) Article XVI, § 50(f)(2) & § 50(f-1)	Texas 50(a)(4) Article XVI, § 50(a)(4)
	- Non-borrowing spouse permitted - Inter-vivos revocable transactions must meet Texas homestead ownership requirements		
Occupancy	- Owner-occupied primary residence only - Must be and remain borrower's Urban Homestead (Rural Homesteads are ineligible) - Standard agency occupancy per DU	- Owner-occupied primary residence only - Must be and remain borrower's Urban Homestead (Rural Homesteads are ineligible) - Standard agency occupancy per DU	- Owner-occupied primary residence only - Must be and remain borrower's Urban Homestead (Rural Homesteads are ineligible) - Standard agency occupancy per DU
Collateral Eligibility	Eligible: 1-unit, Attached/detached dwelling, condo, ^o multi-wide manufactured home, or PUD unit - Must be residential in nature and zoning, not a farm or ranch - Site must not exceed 10 acres (actual size of property; larger parcels may not be valued considering only 10 acres) - Survey or plat map must evidence that the homestead is a separate parcel	- Same as 50(a)(6) - Existing 50(a)(6) lien must encumber an eligible homestead	- Standard agency property eligibility applies - No homestead acreage restriction beyond agency standards
Appraisal Requirements	- Full interior/exterior appraisal required - Value Acceptance not permitted	Standard agency rules apply (appraisal or waiver per AUS)	Standard agency rules apply (appraisal or waiver per AUS)



Feature	Texas 50(a)(6) Article XVI, § 50(a)(6)	Texas 50(f)(2) Article XVI, § 50(f)(2) & § 50(f-1)	Texas 50(a)(4) Article XVI, § 50(a)(4)
	▪ Borrower must sign an Acknowledgment of Fair Market Value with the appraisal.		
CLTV Limit	▪ 80% maximum per Texas Constitution	▪ 80% maximum per Texas Constitution	▪ Per agency/investor guidelines (often up to 95%)
Seasoning Requirement	▪ Existing 50(a)(6) first or second lien must be ≥ 365 days seasoned before closing.	▪ Prior 50(a)(6) must be ≥ 12 months seasoned	▪ None beyond standard agency refinance seasoning rules
Cash-Out Permitted	Yes — borrower may receive equity proceeds (subject to 80% LTV cap)	No — may only pay off existing liens, closing costs, and reserves	No — any new cash creates a 50(a)(6)
Lien Restrictions	▪ One 50(a)(6) loan per 12 months	▪ Conversion complete	▪ Standard lien rules apply ▪ No home-equity restrictions after conversion
Program Type	▪ ° Fixed Rate Only	▪ Fixed Rate Only	▪ ° Fixed Rate Only
Notice Requirement	12-day Texas Home Equity Notice (§50(g))	12-day constitutional notice per §50(f)(2)(D) and 3-day application notice	12-day notice applies only if converting from a prior 50(a)(6) loan
AUS / Credit	▪ DU Eligible/Accept required ▪ FICO per DU Findings	▪ DU Eligible/Accept required	▪ DU Eligible/Accept required
Attorney Preparation / Review	▪ All closing documents must be prepared or reviewed by a Texas-licensed attorney ▪ File must include the Attorney Representation Letter and Attorney Response Letter confirming review ° Attorneys must be approved by Planet prior to purchase.		
Fee Limitation	Borrower-paid fees may not exceed 2 % of loan amount, except bona fide discount points, required insurance, property taxes, and other exclusions under §50(a)(6)(E)	Same rule applies	Not subject to 2% cap unless converting from prior (a)(6)



Feature	Texas 50(a)(6) Article XVI, § 50(a)(6)	Texas 50(f)(2) Article XVI, § 50(f)(2) & § 50(f-1)	Texas 50(a)(4) Article XVI, § 50(a)(4)
Power of Attorney	Not Permitted	Not Permitted	Permitted per agency standards
Temporary Buydowns	° Not Permitted	° Not Permitted	° Not Permitted
Documentation Requirements	■ Signed 12-Day Texas Home-Equity Notice (§50(g)) ■ Attorney Representation and Response Letters ■ Acknowledgment of Fair Market Value of Homestead Property ■ Owner's Affidavit(s) confirming constitutional compliance ■ Texas Home-Equity Certificate from originating lender	■ Notice of Refinance of Texas Home-Equity Loan (signed within 3 business days of application and ≥12 days before closing) ■ Texas Home-Equity Refinance Affidavit executed at closing	■ Standard agency refinance documents apply
Documentation Requirements: Applicable Riders	<i>Applicable riders (e.g., Condominium or PUD Rider) must be included when required by property type.</i>		

See [Fannie Mae B5-4.1-01 to -03](#) and [THE TEXAS CONSTITUTION – Article 16. General Provisions](#)



Fannie Mae High Balance Program Grid

FIXED RATE & ARM					
Owner-Occupied Primary Residence					
Transaction Type	Units	LTV ¹	CLTV ³	Loan Amount ²	Credit Score
Purchase	1	95%	95%	See Loan Limits below	Per DU
	2	85%	85%		
	3-4	75%	75%		
Limited Cash-Out	1	95%	95%		
	2	85%	85%		
	3-4	75%	75%		
Cash-Out ⁶	1	80%	80%		
	2-4	75%	75%		

FIXED RATE & ARM					
Second Homes					
Transaction Type	Units	LTV ¹	CLTV	Loan Amount	Credit Score
Purchase and Limited Cash-Out	1	90%	90%	See Loan Limits below	Per DU
Cash-Out	1	75%	75%		

FIXED RATE & ARM					
Investment (Non Owner Occupied)					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	85%	85%	See Loan Limits below	Per DU
Limited Cash-Out	1	75%	75%		
Purchase and Limited Cash-Out	2-4	75%	75%		
Cash-Out	2-4	70%	70%		



MANUFACTURED HOMES					
Owner Occupied Primary Residence					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	95%	95%	See Loan Limits below	Per DU
Limited Cash-Out		95%	95%		
Cash-Out		65%	65%		

MANUFACTURED HOMES					
Second Home					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	90%	90%	See Loan Limits below	Per DU
Limited Cash-Out	1	90%	90%		

MH Advantage ²					
Owner Occupied					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	95%	95%	See Loan Limits below	Per DU
Limited Cash-Out	1	95%	95%		
Cash-Out	1	65%	65%		

MH Advantage ²					
Second Home					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	90%	90%	See Loan Limits below	Per DU
Limited Cash-Out		90%	90%		

Reference:

- Loans > 80% LTV requires mortgage insurance and are subject to MI guidelines. The more restrictive minimum credit score and guideline requirements apply. LTV/CLTV restrictions may apply for properties located in adverse markets. For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Mortgage Insurance" on page 77](#).
- New or newly converted condominium projects located in Florida require PERS approval. Established



Condominium projects in FL with PERS approval or Full Review; project review not required on detached condos or 2-4 unit projects; no LTV restrictions; projects with a Limited/CPM Review:

- Primary residence: Max 75/90/90% LTV/CLTV/HCLTV
 - Second home: Max 70/75/75% LTV/CLTV/HCLTV
 - Investment: Max 70/75/75% LTV/CLTV/HCLTV Manufactured housing ineligible
3. Up to 105%, CLTV allowed when using a Community Seconds that meets Fannie Mae guidelines.

Maximum High-Cost Loan Limits		
Units	Contiguous States, District of Columbia, & Puerto Rico	Hawaii ¹
1	\$1,249,125	\$1,299,500
2	\$1,599,375	\$1,633,600
3	\$1,933,200	\$2,010,950
4	\$2,402,625	\$2,499,100

Reference:

1. Two counties in Hawaii (Maui and Kalawao) are high-cost areas in 2026.

See [Fannie Mae loan limits](#) for maximum loan amounts by county/metropolitan area.



Fannie Mae High Balance Program Guidelines

For topics not addressed in this guide, see ["Fannie Mae Conforming Program Guidelines" on page 47](#) and [Fannie Mae Selling Guide](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Fannie Mae Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 47](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and second home transactions (that meet Fannie Mae requirements) as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Chapters B3-3 through B3-6 of the [Fannie Mae Single Family Selling Guide](#).**

Affidavit of Identity

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Affidavit of Identity" on page 48](#).

Age of Documents

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Age of Documents" on page 48](#).

Appraisals

DU determines the level of appraisal on owner-occupied properties. If a reduced appraisal recommendation is received from DU, **it must be on the final DU**.

- Appraisals must be Uniform Appraisal Data (UAD) compliant and meet Fannie Mae's Appraiser Independence Requirements (AIR).

NOTE: Effective July 27, 2026, Planet will begin accepting appraisals submitted using UAD 3.6. Sellers may continue delivering appraisals in UAD 2.6 format until the mandatory implementation date (November 2, 2026) for UAD 3.6.

- All appraisals must be submitted to the UCDP by the AMC or independent appraiser. A copy of the Fannie Mae Submission Summary Report (SSR) and Freddie Mac Submission Summary Report that includes the Appraisal Finding Detail Report (AFDR) with a Document File Status of "Successful" and the 10-digit Doc File ID number or a copy of the XML file, must be provided.



- Appraisal must identify and address properties located within a declining market.
- A full appraisal must provide legible interior and exterior photos.
 - The exterior photos must contain photos of the front, back and street scene of the subject property as well as the front of all comparable sales.
 - The interior photos, at minimum, must include:
 - Kitchen (free-standing stove/range or refrigerator not required)
 - Main living area
 - All bathrooms
 - Any physical deterioration and recent updates that materially impact the market value or marketability of the subject property (i.e., remodel, restoration, renovation)
- Comparable sales used for new construction properties are subject to the following:
 - If all three of the comparable sales used to support the value of the subject property were obtained from one of the above sources (public source eligible in Vermont and Maine only), no further action is required.
 - If the comparable sales are not all obtained from an MLS, MRIS, MRED, NTREIS, or from an independent source (Vermont and Maine only), the appraiser must comment that the subject property development is being marketed in an “open” or “public” environment (i.e., newspaper advertisements, billboard signs, website, etc.).
 - One of the comparable sales must be outside the project the subject property is located in and be from an MLS, MRIS, MRED, NTREIS, SABOR, GeoData, or Comps Inc. or public source (public source Vermont/Maine only).
 - Two of the comparable sales must be from sources other than the subject property Builder.

NOTE: The appraiser is always allowed to provide more than three comparable sales to support the property value.

- Planet requires properties to be, at minimum, in average condition. Additionally, the following applies:
 - A conventional heat source with the ability to maintain a temperature of 50° in areas of the property where there is plumbing.
 - Any broken glass that is a health hazard must be removed and the opening closed.
- Properties with a Condition Rating of C6 or Quality Rating of Q6 require Planet prior approval.
- An appraisal update will be required when the appraisal is dated more than 4 months from the Note date. The update must be completed prior to the expiration of the appraisal. The appraisal update must include a photo of the front of the subject property. If the appraiser indicates a decline in value, a new appraisal is required. A new appraisal will be required when the appraisal with an update is > 8 months from the Note date.
- A transferred appraisal is acceptable when the following is provided:
 - A copy of the Fannie Mae Submission Summary Report (SSR) with a Document File Status of “Successful” and a PDF version of the appraisal report,
 - An appraisal transfer letter, and
 - Confirmation that the appraisal is AIR compliant.
- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal review. For additional requirements, see ["Chapter 8: Loan Purchasing" on page 583](#).

See [Fannie Mae Selling Guide](#) for complete appraisal requirements.

Value Acceptance (Appraisal Waivers)

Value acceptance (appraisal waivers) will be accepted per Fannie Mae guidelines. The value acceptance must be offered on the final DU feedback recommendation.



Assets

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Assets" on page 53](#).

Assumptions

Planet follows Agency guidelines.

AUS

° DU “Approve/Eligible” results required. Manual underwriting is ineligible.

Available Markets

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Available Markets" on page 58](#).

Borrower Eligibility

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Borrower Eligibility" on page 59](#).

Chain of Title

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Chain of Title" on page 60](#).

Community Seconds

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Community Seconds" on page 60](#).

Construction-to-Perm

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Construction-to-Perm" on page 60](#).

Credit Report/Scores

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Credit Report/Scores" on page 61](#).

DTI

For all requirements, see Fannie Mae Conforming Program Guidelines > ["DTI" on page 65](#).

Employment and Income

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Employment and Income" on page 68](#).

Escrow/Impound Account

- >80% LTV required unless prohibited by state law
- <80% LTV not required; refer to rate sheet for pricing adjustment



Escrowed Flood Insurance Premiums

Escrowed flood insurance premiums are required on all loans including, but not limited to, Higher Priced Mortgage Loans (HPML). When the subject property is in a special flood hazard area, the Seller must provide the following:

- Evidence that flood insurance premiums have been escrowed (regardless of any other fees and charges associated with the loan).
- Seller must use Standard Flood Hazard Determination Form (SFHDF) on all properties.

NOTE: Planet will not purchase loans with negative escrow balances.

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Financed Properties" on page 72](#).

Inspections

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Inspections" on page 73](#).

Interested Party Contributions

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Interested Party Contributions" on page 74](#).

Manufactured Homes

- ° ARMs not permitted.
- ° Ineligible Properties:
 - ° Singlewide
 - ° Leasehold
 - ° Properties located in a 100-year flood zone

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Manufactured Home Requirements" on page 81](#).

Mortgage Insurance

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Mortgage Insurance" on page 77](#).

Minimum Loan Amount

\$679,651

The maximum loan amount is determined by county. See [Federal Housing Finance Agency](#) high-cost area summary



Mortgage/Rental History

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Mortgage/Rental History" on page 78](#).

Non-Arms' Length or Identity of Interest Transactions

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Non-ARMs' Length or Identity of Interest Transactions" on page 78](#).

Occupancy

- Owner-Occupied
 - An active-duty military borrower who is unable to occupy the primary residence prior to the delivery date due to military service will be considered an owner-occupied property mortgage. The borrower's military orders must verify that the borrower is temporarily unable to occupy the primary residence due to the military assignment.
- Second Home
- Investment (non-owner occupied)

Prepayment Penalty

Not permitted.

Products

Fixed Rate: 10-, 15-, 20-, 25-, and 30-year

ARM: The index used must be the SOFR (Secured Overnight Financing Rate).

- Caps:
 - 5/6 - 2/1/5,
 - 7/6 & 10/6 - 5/1/5.
- Margin: 3.00
- Qualification:
 - 5/6 ARMs are qualified at the greater of the Note rate plus 2% or the fully indexed rate.
 - 7/6 and 10/6 ARMs are qualified at the Note rate.

Property Eligibility

Eligible Properties

- 2-4 units
- Agricultural properties (allowed for Texas 50(a)(6) and Texas 50(f) transactions only)
- Leaseholds meeting Fannie Mae guidelines
- Manufactured Homes/Modular, prefabricated panelized or sectional housing (must have like comparables and property must be legally classified as real property)
- Mixed use eligible subject to Fannie Mae guidelines
- Owner-occupied SFR
- Properties owned free and clear properties (no existing lien). A copy of the tax transcript indicating no mortgage interest is required. If the borrower owns multiple properties, a 1098 is required matching the lien(s) on the 1003 with the 1098 and one of the following:



- Copy of the hazard insurance declaration page with no mortgagee listed, or
- Copy of the MERS report for the property showing no mortgage listed, or
- Copy of the Data Verify report showing no mortgage listed.
- Properties without road access are allowed on a case-by-case basis with approval from the Credit Risk Officer.
- Rowhouse
- Rural properties
- Single-family residences

Ineligible Properties

- Agricultural-type properties (allowed on Texas 50 (a)(6) and Texas 50(f) transactions only)
- Bed and Breakfast
- Boarding houses
- Builder bailout properties
- Commercial property
- Commercial Space and mixed use allocation
- Condo Hotels or Timeshares
- Condo Projects listed as Unavailable in the Fannie Mae Condo Project Manager (CPM)
- ° Cooperatives
- Farms
- Incoming producing properties (e.g., adult care facilities, bed & breakfast, etc.)
- Industrial zoned property
- Kiddie Condos
- Live-Work Projects that do not meet Fannie's live-work requirements
- Log Homes
- Manufactured homes and MH Advantage properties that include an accessory unit
- Mobile homes (any property that had/has wheels, axles, towing hitch, etc.)
- Multi-family dwellings > 4 units
- New or newly converted condominium projects in Florida without a PERS approval
- Non-warrantable condominiums
- Orchards
- Properties located in the Hawaiian Islands in lava zones one or two
- Properties located on Tribal Lands Properties not suitable for year-round occupancy, regardless of location
- Properties with an Assignment of Contract
- Properties with problem drywall (aka Chinese drywall). Evidence of complete remediation must be provided if property previously contained Chinese drywall.
- Properties without road access not approved by Planet's Credit Risk Officer.
- Ranches
- Single-Entity ownership project
- ° Single-wide manufactured homes
- Unique properties (geodesic domes, earth barn homes, log homes, etc.)
- Vacant land or land development properties

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Property" on page 79](#).

Property Flips

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Property Flips" on page 90](#).



Properties with an Accessory Unit

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Property with an Accessory Dwelling Unit" on page 91](#).

Properties with an Addition without Permits

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Property with an Addition without Permits" on page 91](#).

Properties with Solar Panels

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Property with Solar Panels" on page 91](#).

Purchase Agreement Amended/Renegotiated

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Purchase Agreement Amended/Renegotiated" on page 92](#).

Seller Contribution

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Seller Contribution" on page 92](#).

Subordinate Financing

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Subordinate Financing" on page 92](#).

Temporary Buydown

Eligible Buydown Types

("Moderate") special feature code 009 must be delivered

- **2-1 Buydown**
 - **Year 1:** Payment calculated at 2% below the note rate.
 - **Year 2:** Payment calculated at 1% below the note rate.
 - **Years 3 through maturity:** Payment calculated at note rate.
- **1-0 Buydown**
 - **Year 1:** Payment calculated at 1% below the note rate.
 - **Years 2 through maturity:** Payment calculated at note rate.

Ineligible Buydown Types

- ◦ **1-1 Buydown**
- ◦ **"Significant" or 3-2-1 Buydown**

Eligible Sources

- Borrower
- Builder/Developer
- Lender
- Other Interested Parties to the Transaction



- Seller
- Split/Combo Contributions

Ineligible Sources

- Excess IPCs: Contributions exceeding program limits
- Non-compliant lender buydowns
- Premium pricing: Using the credit from selecting a higher rate
- Unverifiable funds: Sources that cannot be documented to program standards

Eligible Transactions

- High Balance
- Purchase Transactions
- Limited Cash-Out Refinance

Ineligible Transactions

- ◦ **ARMs**
- Cash-Out Refinance
- Investment Properties
- RefiNow
- ◦ **Renovation (HomeStyle)**
- ◦ **Manufactured Homes**
- Texas 50(a)(6)

Amortization Type

- **Fixed-Rate Only**

Loan Term

- **30-year term**

Occupancy Requirements

- Primary Residence
- Second Homes

Eligible Property Types

- 1-4 Unit Primary Residence
- 1 Unit Second Homes
- Attached
- Detached
- PUD
- SFR
- Warrantable Condo

Automated Underwriting (AUS) Requirements

- AUS Approval Required
- ◦ **Manual Underwriting (UW) is Ineligible**

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Temporary Buydown" on page 93](#).



Transaction Types

Eligible Transactions

- 1031 Exchange
- Cash-out
- Land contracts subject to Fannie Mae guidelines
- Limited cash-out refinance (rate/term)
- New York CEMAs allowed on refinance transactions. CEMA not eligible on purchase transactions. Planet does not accept Lost Note Affidavits. Use Fannie Mae Form 3172. Sellers must include the recorded original CEMA, including Exhibits A-D and all mortgage assignments.
- Purchase. The assignment of a purchase contract is not allowed.

Ineligible Transactions

- Any transaction without a DU “Approval/Eligible” Finding
- Community Land Trusts
- Energy Efficient Mortgages (EEM)
- Fannie Mae My Community, Community Solutions, and Community Home Choice
- Interest-only
- Lease option to purchase
- Loans with tutorship lien
- Non-Arm's length transaction that involves new construction and the loan is secured by a second home or investment property.
- Non-traditional credit (see ["Credit Report/Scores" on page 318](#) for exceptions)
- Properties in the “Right of Redemption Period” as applicable state law allows.
- Refinance transactions where the subject property is listed for sale at time of disbursement of the new loan.
- Restructured mortgages that do not meet Fannie Mae guidelines.
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Transaction Types" on page 95](#).



Fannie Mae HomeReady Program Grid

FIXED RATE					
Owner-Occupied Primary Residence					
Transaction Type	Units	LTV	CLTV/HCLTV ²	Loan Amount ^{1,7}	Credit Score
Purchase	1	97% ^{3,4,5,6}	97%	See Loan Limits below	Determined by DU
	2	95%	95%		
	3-4	95%	95%		
Limited Cash-Out	1	95%	95%		
	2	95%	95%		
	3-4	95%	95%		
Fannie Owned Limited Cash-Out	1	97% ^{1,3,4,5,6}	97%		

ARM					
Owner-Occupied Primary Residence					
Transaction Type	Units	LTV	CLTV/HCLTV ²	Loan Amount ^{1,7}	Credit Score
Purchase	1	95%	95% ⁴	See Loan Limits below	Determined by DU
	2	95%	95%		
	3-4	95%	95%		
Limited Cash-Out	1	95%	95%		
	2	95%	95%		
	3-4	95%	95%		

MANUFACTURED HOMES					
Owner-Occupied Primary Residence					
Transaction Type	Units	LTV	CLTV/HCLTV ²	Loan Amount ^{1,7}	Credit Score
Purchase / Limited Cash-Out	1	95%	95%	See Loan Limits below	Determined by DU



MH ADVANTAGE					
Owner-Occupied Primary Residence					
Transaction Type	Units	LTV ^{3,4,5,6}	CLTV/HCLTV ²	Loan Amount ^{1,7}	Credit Score
Purchase	1	97%	97%	See Loan Limits below	Determined by DU
Limited Cash-Out	1	97%	97%		

Reference:

1. Standard Conforming and High Balance Loan Limits apply. Refer to the [Fannie Mae Loan Limits](#).
2. CLTV ratios may exceed the limits stated above up to 105% if the subordinate lien is a Community Seconds transaction. See Fannie Mae HomeReady Program Guidelines for complete details.
3. Transactions with non-occupant borrowers permitted to a maximum 95% LTV.
4. LTV > 95% subject to additional requirements. For additional requirements, see ["95.01% — 97% LTV" on page 47](#).
5. High Balance LTV/CLTV/HCLTV permitted to a maximum of 95%.
6. Maximum 95% LTV/CLTV when sweat equity is utilized.
7. High Balance loan amounts limited to:
 - 2 unit- 85% LTV/CLTV
 - 3-4 unit- 75% LTV/CLTV

Maximum Conforming Loan Limits				
Contiguous States, District of Columbia, and Puerto Rico			Alaska ² and Hawaii	Hawaii
Unit	General	High-Cost Area ¹	General	High-Cost Area ³
1	\$832,750	\$1,249,125	\$1,249,125	\$1,299,500
2	\$1,066,250	\$1,599,375	\$1,599,375	\$1,633,600
3	\$1,288,800	\$1,933,200	\$1,933,200	\$2,010,950
4	\$1,601,750	\$2,402,625	\$2,402,625	\$2,499,100

Reference:

1. Actual conforming loan limit values for specific counties in designated High-Cost Areas, as determined by FHFA, may be lower than the loan limits listed above and can be found by visiting the [FHFA conforming loan limit values webpage](#).
2. Alaska does not have any high-cost areas in 2026.
3. Two counties in Hawaii (Maui and Kalawao) are high-cost areas in 2026.

See [Fannie Mae loan limits](#) for maximum loan amounts by county/metropolitan area.



Fannie Mae HomeReady Program Guidelines

For topics not addressed in this guide, see ["Fannie Mae Conforming Program Guidelines" on page 47](#) and [Fannie Mae Selling Guide](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Fannie Mae Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 47](#).

95.01% — 97% LTV

Purchase and rate/term refinance eligible as follows:

- Property is a 1-unit primary residence
 - Manufactured homes are ineligible unless the property meets MH Advantage requirements.
- Fixed rate required
- DU Approve/Eligible is received
- Conforming loan amounts only
- At least one applicant on the loan must have a credit score.
- Maximum 97% LTV/CLTV/HCLTV.
 - CLTV may only exceed 97% if the second lien is Community Seconds (maximum 105% CLTV)
- Standard minimum borrower contribution requirements apply (purchase transactions)
- MI coverage requirements are 25% for LTVs of 90.01% - 97%.
- **For Purchase transactions**, Borrowers may be first-time or repeat homebuyers.
 - Only when *all* occupying borrowers are first-time homebuyers must **one** borrower complete approved homeownership education or counseling.
- **For Refinance transactions**, the existing loan must be owned or securitized by Fannie Mae.
 - If DU confirms Fannie Mae ownership, no additional documentation is required
 - If DU does not confirm ownership, alternative documentation such as screenshots from Fannie Mae's Lookup tool or verification from the current servicer must be obtained
- Loan meets all other Planet guidelines

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and second home transactions (that meet Fannie Mae requirements) as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Chapters B3-3 through B3-6 of the [Fannie Mae Single Family Selling Guide](#).**



Affidavit of Identity

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Affidavit of Identity" on page 48](#).

Age of Documents

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Age of Documents" on page 48](#).

Appraisals

DU determines the level of appraisal on owner-occupied properties. If a reduced appraisal recommendation is received from DU, **it must be on the final DU**.

- Appraisals must be Uniform Appraisal Data (UAD) compliant and meet Fannie Mae's Appraiser Independence Requirements (AIR).

NOTE: Effective July 27, 2026, Planet will begin accepting appraisals submitted using UAD 3.6. Sellers may continue delivering appraisals in UAD 2.6 format until the mandatory implementation date (November 2, 2026) for UAD 3.6.

- All appraisals must be submitted to the UCDP by the AMC or independent appraiser. A copy of the Fannie Mae Submission Summary Report (SSR) and Freddie Mac Submission Summary Report that includes the Appraisal Finding Detail Report (AFDR) with a Document File Status of "Successful" and the 10-digit Doc File ID number or a copy of the XML file, must be provided.
- Appraisal must identify and address properties located within a declining market.
- A full appraisal must provide legible interior and exterior photos.
 - The exterior photos must contain photos of the front, back and street scene of the subject property as well as the front of all comparable sales.
 - The interior photos, at minimum, must include:
 - Kitchen (free-standing stove/range or refrigerator not required)
 - Main living area
 - All bathrooms
 - Any physical deterioration and recent updates that materially impact the market value or marketability of the subject property (i.e., remodel, restoration, renovation)
- Comparable sales used for new construction properties are subject to the following:
 - If all three of the comparable sales used to support the value of the subject property were obtained from one of the above sources (public source eligible in Vermont and Maine only), no further action is required.
 - If the comparable sales are not all obtained from an MLS, MRIS, MRED, NTREIS, or from an independent source (Vermont and Maine only), the appraiser must comment that the subject property development is being marketed in an "open" or "public" environment (i.e., newspaper advertisements, billboard signs, website, etc.).
 - One of the comparable sales must be outside the project the subject property is located in and be from an MLS, MRIS, MRED, NTREIS, SABOR, GeoData, or Comps Inc. or public source (public source Vermont/Maine only).
 - Two of the comparable sales must be from sources other than the subject property Builder.

NOTE: The appraiser is always allowed to provide more than three comparable sales to support the property value.



- Planet requires properties to be, at minimum, in average condition. Additionally, the following applies:
 - A conventional heat source with the ability to maintain a temperature of 50° in areas of the property where there is plumbing.
 - Any broken glass that is a health hazard must be removed and the opening closed.
- Properties with a Condition Rating of C6 or Quality Rating of Q6 require Planet prior approval.
- An appraisal update will be required when the appraisal is dated more than 4 months from the Note date. The update must be completed prior to the expiration of the appraisal. The appraisal update must include a photo of the front of the subject property. If the appraiser indicates a decline in value, a new appraisal is required. A new appraisal will be required when the appraisal with an update is > 8 months from the Note date.
- A transferred appraisal is acceptable when the following is provided:
 - A copy of the Fannie Mae Submission Summary Report (SSR) with a Document File Status of "Successful" and a PDF version of the appraisal report,
 - An appraisal transfer letter, and
 - Confirmation that the appraisal is AIR compliant.
- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal review. See ["Chapter 8: Loan Purchasing" on page 583](#) for detailed requirements.

See [Fannie Mae Selling Guide](#) for complete appraisal requirements.

Assets

Documentation requirements per DU.

- Cash-on-hand is an acceptable source of funds for the borrower's down payment, funds for closing cost and prepaid items on purchase money transactions for 1-unit properties. Cash-on-hand may not be used to fund the borrower's reserve requirement, if applicable. The Seller must verify and document the following with respect to the cash-on-hand funds:
 - The borrower customarily uses cash for expenses, and the amount of funds saved is consistent with the borrower's previous payment practice.
 - Funds for down payment and closing costs must exist in a financial institution account or an acceptable escrow account. Funds must be on deposit at the time of application, or no less than 30 days prior to closing.
 - A written statement from the borrower that discloses the source of funds and states that the funds have not been borrowed.
 - The borrower's credit report and other verifications should indicate limited or no use of credit and limited or no depository relationship between the borrower and the financial institution.
- Sweat equity is an acceptable source of down payment for a HomeReady transaction. See Fannie Mae Selling Guide section B5-6-02 for complete requirements.

Reserves

- Per DU

Acceptable Sources of Reserves

- Checking/savings accounts
- Investments in stocks, bonds, mutual funds, certificates of deposit, money market funds, and trust accounts. For borrowers using this above stock options and mutual funds for assets:
 - When used for down payment or closing costs, evidence of the borrower's actual receipt of funds realized from the sale or liquidation must be documented in all cases.
 - When used for reserves, no more than 70% of the value of the asset must be considered, and liquidation is not required.



- Vested amount in retirement accounts
- Cash value of a vested life insurance policy

Unacceptable Sources of Reserves

- Cash on hand
- Funds that cannot be withdrawn under circumstances other than the account owner's retirement, employment termination or death
- Funds that have not been vested
- Interested party contributions
- Personal unsecured loans
- Stock held in an unlisted corporation
- Stock options and non-vested restricted stock

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Assets" on page 53](#) .

Assumptions

Planet follows Agency guidelines.

AUS

° DU “Approve/Eligible” results required. Manual underwriting is ineligible.

Available Markets

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Available Markets" on page 58](#) .

Borrower Eligibility

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Borrower Eligibility" on page 59](#).

Chain of Title

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Chain of Title" on page 60](#).

Community Seconds

Community Seconds are acceptable to the LTV/CLTV/HCLTV stated. CLTV ratios may exceed the limits stated up to 105% if:

- Fixed rate loan
- Purchase or Limited Cash-Out Refinance

NOTE: More than one Community Seconds is allowed.

Credit Report/Scores

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Credit Report/Scores" on page 61](#).



Down Payment

- Minimum borrower contribution from the borrower's personal funds for any mortgage loan, if the loan has an LTV/CLTV/HCLTV ratio of 80% or less, is not required.
- 2-4 unit properties with LTV/TLTV/HTLTV 80.01-95% requires 3% minimum borrower contribution from the borrower's personal funds.

DTI

- Per DU findings
- Business debt may only be excluded from the DTI calculation if satisfactory documentation of the following is provided:
 - The account in question does not have a history of delinquency.
 - The debt(s) are paid through the business verified with 12 months canceled business account checks.
 - A cash-flow analysis of the business took the payment obligation into consideration.
- Debt that has been assigned by order of the court is not required to be included in the borrower's DTI calculations; however, the payment history for the debt prior to its assignment must be reviewed.
- When a borrower is obligated on a **mortgage debt** but not the party repaying the debt, the full monthly housing expense may be excluded from the borrowers recurring monthly obligation if:
 - The party making the payment is obligated on the mortgage debt
 - No delinquencies in the most recent 12 months, and
 - Rental income from the applicable property is not being used to qualify
- The DTI ratio must include the borrower's rental housing expenses when the subject transaction is:
 - a second home
 - or investment or
 - includes a non-occupant co-borrower

File must evidence 12-month pay history from the party making the mortgage debt payments via canceled checks or bank statements.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["DTI" on page 65](#) .

Employment and Income

- Boarder income allowed subject to the following:
 - Rental payments that any borrower received from one or more individuals residing with the borrower (who may or may not be related to the borrower) may be considered. This applies to one-unit properties in an amount up to 30% of the total gross income used to qualify if the boarder:
 - Is not obligated on the mortgage loan and does not have an ownership interest in the property;
 - Has lived with the borrower for the last 12 months;
 - Can provide appropriate documentation to demonstrate a history of shared residency (i.e., driver's license, bill, or bank statement which shows an address match).
 - The boarder can demonstrate rental payments to the borrower (i.e., canceled checks) for:
 - The last 12 months, or
 - At least 9 of the most recent 12 months provided the rental income is averaged over a 12-month period.
 - Payment of rent by the boarder directly to a third party is not acceptable.
- Non-occupant Borrower:



- Income considered as part of qualifying income and subject to income limits
- Maximum LTV 95%

Income Limits

When determining whether a mortgage is eligible under the borrower income limits, all qualifying income from all of the borrowers on the mortgage note must be included when determining HomeReady eligibility, provided the income is used in evaluating creditworthiness for the mortgage loan.

- Non-borrower income is not considered qualifying income and is not applied to income limits
- Borrower income may not exceed 80% of the annual AMI for the property location
- DU will issue a message when income appears to meet AMI limits or the property is in an eligible area indicating potential HomeReady eligibility

AMI Evaluation Logic – HomeReady®

Area Median Income (AMI) estimates are provided to Fannie Mae by the Federal Housing Finance Agency (FHFA) and are used to determine borrower eligibility for HomeReady®, RefiNow™, and Duty to Serve, as well as eligibility for certain loan-level price adjustment (LLPA) waivers.

Very Low-Income Purchase (VLIP) Credit - \$2,500 LLPA Credit

- For loans to receive the \$2,500 loan-level price adjustment (LLPA) credit for very low-income purchase (VLIP) borrowers, the loan must be purchased by Planet by **January 29, 2027**.

Eligibility Requirements:

- The loan must be an eligible HomeReady purchase loan with "Approve/Eligible" DU findings.
 - **Manual underwriting is not permitted.**
- Total qualifying income less than or equal to 50% of the applicable area median income (AMI) limit for the subject property's location.
- At least one borrower must be a first-time homebuyer to be eligible for the LLPA credit.

Minimum Contribution Usage:

- The full \$2,500 LLPA credit must be provided directly to the borrower and may be used for:
 - Down payment
 - Closing costs (including escrows and mortgage insurance premiums)
- The LLPA credit may be used to satisfy the 3% minimum contribution for all loans secured by a one-unit property or loans secured by 2-4-unit properties with LTV ratios less than or equal to 80%.
- For loans secured by 2-4-unit properties with LTV ratios greater than 80%, the LLPA credit may be applied to down payment after the 5% minimum contribution is met.
- All additional funds must comply with the Fannie Mae HomeReady Guidelines for source of funds.

Delivery Requirements:

- All loans must be closed with both Special Feature Codes:
 - 900 HomeReady loan
 - 884 HomeReady VLIP LLPA Credit.

Rental Income

Planet follows Fannie Mae guidance regarding the use of rental income.

- One Unit with Accessory Dwelling
 - Additional living area independent of the primary dwelling and includes a fully functioning kitchen and bathroom.



NOTE: The appraiser is required to provide a description of the accessory dwelling unit and analyze any effect it has on the value or marketability of the subject property.

- 2-4 Unit Principal Residence Properties — May be used as qualifying income per income guidelines.
-

NOTE: Seller is required to use the Fannie Mae rental income worksheets when calculating rental income. The worksheets (Form 1037, 1038, and 1039) are located on the Fannie Mae website under Guide Forms & Legal Docs.

Escrow/Impound Account

- >80% LTV required unless prohibited by state law
- <80% LTV not required; refer to rate sheet for pricing adjustment

Escrowed Flood Insurance Premiums

Escrowed flood insurance premiums are required on all loans including, but not limited to, Higher Priced Mortgage Loans (HPML). When the subject property is in a special flood hazard area, the Seller must provide the following:

- Evidence that flood insurance premiums have been escrowed (regardless of any other fees and charges associated with the loan).
 - Seller must use Standard Flood Hazard Determination Form (SFHDF) on all properties.
-

NOTE: Planet will not purchase loans with negative escrow balances.

Financed Properties

- **° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.**
- The occupant borrower may not have more than 2 financed properties.

Homeownership Education

Homeownership education must be completed prior to loan closing if the loan meets **any** of the following conditions:

- All borrowers are relying on non-traditional credit to qualify (regardless of the loan product or First Time Home Buyer status);
 - The transaction is a HomeReady purchase and all occupying borrowers are First Time Home Buyers, regardless of LTV; or
 - The transaction is a Purchase with LTV, CLTV, or HCLTV greater than 95% and all borrowers are First Time Home Buyers.
-

NOTE: Homeownership education is not required for Refinance transactions.

To satisfy the homeownership education requirement:

- Education must be completed prior to loan closing
- Fannie Mae permits completion through any qualified third-party provider, as long as the provider is independent of the lender



- The education content must align with National Industry Standards (NIS) or HUD standards.
- Education may be delivered in various formats
 - In-person
 - Internet-based
 - Telephone
 - Hybrid formats

Fannie Mae's *HomeView* offers a free online education option that meets these requirements.

As an alternative to homeownership education, borrowers may receive housing counseling from a HUD-approved agency that meets HUD standards.

NOTE: When Housing Counseling occurs, SFC 184 is required to be entered in the ULDD screen for the LLPA credit to take place. See [Chapter B5-6-03](#) for details.

See [Fannie Mae Selling Guide](#) for complete details.

Minimum Borrower Contribution/Eligible Source of Funds

Purchase Transactions:

Minimum Contribution from Borrower Personal Funds			
Property Type	LTV, TLTV, and HTLTV Ratios		
	≤80%	>80% ≤95%	>95%
1 unit	N/A	N/A	N/A
Manufactured Homes	N/A	N/A	N/A
2-4 Units	N/A	3%	N/A

Minimum Loan Amount

° \$40,000.00

Mortgage Insurance

- Loans with >80% LTV, mortgage insurance is required and are subject to MI guidelines.
- Eligible MI products:
 - Borrower paid mortgage insurance (BPMI).
 - Monthly or single premium are eligible. The single premium may be financed. For additional requirements, see ["Chapter 4: Mortgage Insurance" on page 33](#).
 - Lender paid mortgage insurance (LPMI).
 - Single premium only.
 - Split Premium.
- Eligible MI options:
 - Non-refundable
 - Refundable
 - Level/constant renewal type (as applicable)



NOTE: ° **Reduced MI is not permitted.**

Planet will accept mortgage insurance issued by MI companies that are Fannie Mae approved.

Mortgage insurance coverage is determined by LTV and loan term as detailed below:

Required MI Coverage				
Loan Term	LTV			
	80.01 - 85%	85.01 - 90%	90.01-95%	95.01 - 97%
Fixed Rate: ≤ 20 years	6%	12%	25%	25%
Fixed Rate >20 years	12%	25%	25%	25%
ARM >20 years	12%	25%	25%	N/A
Manufactured Homes (excluding MH Advantage)	12%	25%	25%	N/A

Occupancy

Primary residence only.

Ownership of Other Property

Occupancy Borrower(s)

- No limitations on ownership of other properties

Non-Occupancy Borrower(s)

- Permitted to a maximum of 95%
- No limitations on ownership of other properties

Products

Fixed Rate: 10-, 15-, 20-, and 30-years

ARM: The index used must be the SOFR (Secured Overnight Financing Rate).

- Caps:
 - 5/6- 2/1/5
 - 7/6 & 10/6- 5/1/5
- Margin: 3.00
- Qualification:
 - 5/6 ARMs are qualified at the greater of the Note rate plus 2% or the fully indexed rate.
 - 7/6 and 10/6 ARMs are qualified at the Note rate.

Property Eligibility

NOTE: Additional restrictions apply to purchase transactions with LTV ratios of 95.01 — 97%.



Eligible Properties

- Single-family residences
- 2-4 units properties
- PUDs
- Condominiums (Fannie Mae Warrantable)
- Manufactured Homes ([see "Manufactured Homes" on page 129](#))
 - Must be a 1-unit dwelling classified as real property
 - Multi-wide or greater
 - May be existing or new construction
 - May be located in a Condo project or PUD
 - Eligible for Primary Residence
- Modular or prefabricated panelized or sectional housing M
 - Must have like comparables and property
 - Must be legally classified as real property

Ineligible Properties

- Agricultural-type properties
- Bed and Breakfast
- Boarding houses
- Builder bailout properties
- Commercial property
- Includes mixed-use properties where commercial use exceeds Fannie Mae limits or impairs residential character of the property
- Condo Hotels or Timeshares
- Condo Projects listed as Unavailable in the Fannie Mae Condo Project Manager (CPM)
- **◦ Cooperatives (Co-Ops)**
- Farms / Orchards / Ranches
- Incoming producing properties (e.g., adult care facilities, bed & breakfast, etc.)
- Industrial zoned property
- Kiddie Condos
- Live-Work Projects that do not meet Fannie's live-work requirements
- Log Homes
- Manufactured homes and MH Advantage properties that have any of the following attributes:
 - **◦ Singlewide**
 - Include an accessory dwelling unit
 - Multi-units (2-4 units)
 - Classified as an investment property
 - **◦ Located in a 100-year flood zone**
 - **◦ Leaseholds**
- Mobile homes (any property that had / has wheels, axles, towing hitch, etc.)
- Multi-family dwellings > 4 units
- New or newly converted condominium projects in Florida without PERS approval
- Non-warrantable condominiums
- Properties located in the Hawaiian Islands in lava zones one or two
- Properties located on Tribal Lands Properties not suitable for year-round occupancy, regardless of location
- Properties with an Assignment of Contract
- Properties with problem drywall (aka Chinese drywall). Evidence of complete remediation must be provided if property previously contained Chinese drywall.
- Properties without road access not approved by Planet's Credit Risk Officer.



- Single-Entity ownership project
- Unique properties (geodesic domes, earth barn homes, log homes, etc.)
 - There may be instances when the unique nature of a particular property may require special consideration. In those cases, Fannie Mae encourages lenders to contact their Fannie Mae customer account team.

Condo/PUDs and Project Standards

- Condominiums (attached/detached, live-work) that are Fannie Mae warrantable.
- PUDs (attached/detached)
 - Attached PUDs require a signed Condo/PUD Warranty form.
 - A Questionnaire is not required.
 - Detached PUDs **do not** require a Warranty form, a Questionnaire, or a project review.

Litigation

- Projects where the HOA is a party to litigation are eligible under the following circumstances:
 - Non-monetary litigation including, but not limited to, neighbor disputes or rights of quiet enjoyment
 - The insurance carrier has agreed to provide the defense, and the amount is covered by the HOA's insurance
 - The HOA is the plaintiff in the litigation and upon investigation and analysis the matter is minor and will result in an insignificant impact to the financial stability of the project
 - The anticipated damages and legal fees must not exceed expected to exceed 10% of the project's funded reserves
 - The HOA is named as the plaintiff in a foreclosure action or as a plaintiff in an action for past due HOA assessments

See [Fannie Mae Selling Guide](#) for complete requirements.

Eligible Project Types

- Established Condo projects
 - At least 90% of the total units have been sold and conveyed.
 - The project is 100% complete, including all units and common elements.
 - The project is not subject to additional phasing or annexation.
 - Control of the HOA has been turned over to the unit owners.

A project may also be treated as an established project with less than 90% of the units sold to unit purchasers, provided the deficit is the result of the developer holding back units for rent. The following requirements must be met:

- Projects < 90% sold can be treated as an established project if the deficit is a result of developers holding back units for rent.
- Developer's share of holdback for rental is < 20% of total units.
- HOA fees are paid current.
- No active or pending special assessments in the project.
- New or newly converted condominium projects located in Florida require PERS approval.
- Established condominium projects in FL with PERS approval or Full Review; project review not required on detached condos or 2-4 unit projects; no LTV restrictions; projects with a Limited/CPM Review:
 - Primary residence: Max 75/90/90% LTV/CLTV/HCLTV
 - Second home: Max 70/75/75% LTV/CLTV/HCLTV
 - Investment: Max 70/75/75% LTV/CLTV/HCLTV



- Fannie Mae to Fannie Mae Limited Cash-Out Refinance projects: Project review not required on LTVs ≤ 80%.
- New condo:- < 90% of the total units must have been conveyed to unit purchasers (or 80% with exceptions).
- Detached condo: No project review required for new or established projects
- 2-4 unit condo projects: No project review required for new or established projects.
 - Each unit is evidenced by its own title and deed
 - No project review required for new or established project with ≤ 4 units
- PUDs

NOTE: Project review required on High LTV Refinance Options and DU Refi Plus projects.

See [Fannie Mae Selling Guide](#) for complete guidance on project standards.

Manufactured Homes

This section is specific to Manufactured Homes. Sellers should follow the standard guidelines for topics not covered in this section.

NOTE: Project approval for mortgage loans secured by multi-width manufactured homes located on individual lots in subdivisions or in PUDs is generally not required, but Fannie Mae may choose to require project approval.

Eligible Properties

- 1 unit multi-wide dwelling classified as real property
- Existing or New construction
- PUDs
- REO/HUD REOs

Ineligible Properties

- 2-4 units
- Investment properties
- ◦ Leaseholds
- ◦ Properties located in a 100-year flood zone
- ◦ Singlewide Manufactured Homes

Additional Requirements

- A full appraisal must be provided
- File must evidence
 - Copy of executed sales contract for both property and land (if purchased separate), and
 - Copy of the manufacturer's invoice for new properties
 - Copy of the Appraisal Report (form 1004C).
 - Value conclusion based on the real property required and consisting of the
 - Manufactured home
 - Site improvements, and
 - Land on which the home is situated
 - Non-realty items are not allowed (i.e., insurance, warranties and furniture)
- **New Construction**



Properties not yet attached to land or not yet constructed the appraisal can be based on plans and/or specification or model home. When the required information is not available at time of inspection, the property must be appraised based on the appraiser's receipt and review of the items and completion of improvements as condition of the appraisal.

- Certification of completion is required prior to submission to Fannie Mae and must include:
 - Verification improvements were completed, and all other requirements/conditions have been satisfied
 - Previously unavailable information, and
 - Photographs of the completed improvements attached to the permanent foundation.
- **Site Requirements**
 - Opinion of value must be based on the characteristics of the subject property including site area.
 - Property must be compatible and conform to the manufactured homes in the neighborhood.
- **Comparable sales**
 - Two comparable sales of similar manufactured homes are required and must address the marketability and comparability of a manufactured home (example: multi-wide to multi-wide homes)
 - A third comparable sale can be either a site-built home or a different type of factory-built housing.

NOTE: Explanation of use is required and evidenced in the file.

- To establish a baseline for the sales comparison analysis when comparable sales are not available:
 - Older sales of similar manufactured homes can be used, or
 - Sales of similar manufactured homes in a competing neighborhood.
 - Comparable sales created using the subject property and vacant lots are not allowed.

The following additional sources may be used to develop a well-documented appraisal:

- NADA Manufactured Housing Appraisal Guide
- Marshall and Swift's Residential Cost Handbook

Additional Requirements

- Cash-out Transactions: ≤ 20-year term.
- Property must be at least 12 feet wide
- Minimum of 600 square ft. of living space, and
- Attached to a permanent foundation in accordance with the manufactured homes industry standards.
- Must be legally classified as real property under applicable state law.
- Permanently connected to a septic tank or sewage system and other utilities according with local and state requirements.
- Properties not situated on a publicly dedicated and maintained street:
 - Must be situated on a street that is community owned and maintained or
 - Privately owned and maintained.
- Must not have been previously installed or occupied at any other site or location, except from the Manufacturer's or the dealer's lot as a new unit.
- Running Gear, towing hitch must be removed (must assume the characteristics of site-built housing).
- Existing properties that need repairs or are in the renovation process are not eligible for purchase until the necessary work has been completed.



- Exceptions may be considered for items that do not affect the ability to get an occupancy certification.
- Additions and/or modifications are allowed
 - File must evidence approved inspections of modifications certified by the state when required.
 - Inspections not required by the state must be done by a licensed professional engineer.
- File must evidence certification that the addition or structural changes were completed in accordance with the HUD Manufactured Home Construction Safety Standards.
- Borrower must own the land in fee simple.
- Must be built in compliance with the Federal Manufactured Home Construction and Safety Standards established June 15, 1976, as amended and in force at the time the home is manufactured; and
- Must be evidenced by the presence of both a HUD Data Plate and the HUD Certification Label (HUD seal or tag).

NOTE: If the original or alternative documentation cannot be obtained for both the Data Plate/Compliance Certificate and the HUD Certification Label, the loan is not eligible for delivery to Planet.

Down Payment

Borrower must provide 5% of their own funds unless:

- LTV/CLTV is $\leq 80\%$, or
- A 1-unit residence is being purchased, and meets the requirements to:
 - Use gift funds
 - Donated grant funds, or
 - Funds from employer to pay for some or all minimum borrower contributions.

The borrower's equity in the land is considered the borrower's own funds. If the borrower holds title to the land on which the manufactured home will be permanently attached, the value of the land may be credited toward the borrower's minimum down payment requirement.

The borrower's equity contribution will be the difference between any outstanding liens against the land and the market value of the land.

Determining the Value of the Land

Date of Land Purchase	Value of Land	Required Documentation
>12 months preceding the loan application	The current appraised value	N/A
<12 months preceding the date of the loan application	The Lesser of the sales price or the current appraised value	Borrower cash investment must be obtained and include: – Copy of settlement statement – Copy of the warranty deed showing no outstanding liens against the property, or – Copy of the release of any prior lien(s)
Land acquired at any time as a gift, inheritance, or other non-purchase transactions	The current appraised value	Documentation which verifies the acquisition and transfer of ownership of the land



Product

- Fixed Rate: 10-, 15-, 20-, and 30-year terms.
- **°ARMS are not permitted in combination with Manufactured Homes.**

Transactions Type

• Purchase Transactions

Proceeds must be used to finance the purchase of the manufactured home and/or the land. Land may be:

- previously owned
- Free of any mortgage, or
- Subject to a mortgage that will be paid off with proceeds of new purchase money mortgage.
- No Cash-back allowed
- New Manufactured Homes
 - LTV must be based on the lower of the sales price plus:
 - Lowest sales price which the land was sold during the 12-month period if the land was purchased within 12 months preceding the loan date, or
 - The current appraisal value of the land if purchased more than 12 months preceding the loan application date.
 - The “as completed” appraised value of the manufactured home and land.
- Existing Manufactured Homes
 - LTV must be based on the lower of:
 - The sales price and land
 - The current appraisal value and land, or
 - If property was built in the 12 months preceding the loan application date, the lowest price at which the property was sold during that 12 month period, plus the lower of
 - The current appraisal value of the land, or
 - The lowest sale prices at which the land was within that 12 month period.

• Limited Cash-Out Refinance Transactions

- Proceeds may be used to:
 - Pay off the outstanding principal balance of an existing first lien mortgage secured by the property and land (or existing liens if the home and land were encumbered by separate first liens)
 - Pay off the outstanding principal balance of an existing subordinate mortgage or lien secured by the property and/or land, but only if it was used to purchase the property and/or land;
 - Finance closing costs (including prepaid expenses); and
 - Provide cash back to the borrower in an amount not to exceed the lesser of 2% of the balance of the new refinance mortgage or \$2,000.
- Maximum LTV must be based on the lower of the current appraised value and land; or
- If property is owned by the borrower for < than 12 months on the loan application date, and
- If the home and land are secured by separate liens, the lowest price at which the home was previously sold during that 12-month period plus:



- The lower of the current appraised value of the land, or
- The lowest sales price at which the land was sold during that 12-month period.
- If the property and land are secured by a single lien, the lowest price at which the home and land were previously sold during that 12-month period.
- **Cash-Out Refinance Transactions**
 - Property and land must be owned for at least 12 months preceding the date of application.
 - 65% LTV/CLTV/HCLTV based on the appraised value of property and land.
 - No restriction on use of proceeds.
 - Loan term must be ≤ 20 years.
- **MH Advantage**

MH Advantage is designed to meet certain construction, architectural design, and energy efficiency standards that are more consistent with site-built homes. Examples of the physical characteristics for MH Advantage include:

- Specific architectural and aesthetic features such as distinctive roof treatments (eaves and higher pitch roofline).
- Lower profile foundation, garages or carports, porches, and dormers.
- Construction elements including durability features, such as durable siding materials, and
- Energy efficiency standards (minimum energy ratings apply).

Appraisals (*Standard valuation requirements for manufactured homes apply*)

- The purchase, conveyance, and financing (or refinancing) must be evidenced by:
 - A valid and enforceable first-lien mortgage or deed of trust that is recorded in the land records, and
 - Must represent a single real estate transaction under applicable state law.
 - A Copy of the Appraisal Report (form 1004C) and Completion Report 1004D (if applicable) is required.
- For new construction follow Fannie Mae standard appraisals requirements for:
 - Postponed Improvements
 - Factory-Built Housing:
 - Manufactured Housing for appraisals based on plans and specifications.
 - This will ensure site improvements that are not attached to the home, such as detached garages, are complete.
- Appraisal photos must evidence:
 - The presence of the MH Advantage Sticker (placed in proximity to the HUD Data Plate).
 - HUD Data Plate, and
 - HUD Certification Labels.
- Final inspection photo must show the presence of a driveway leading to the home, garage or carport (if one is available). The driveway must consist of:
 - Blacktop
 - Bricks
 - Cement
 - Concrete
 - Gravel, or
 - Pavers
 - The presence of a sidewalk connecting either the driveway, or a detached garage or



carport, to a door or attached porch of the home. The sidewalk must consist of:

- Blacktop
- Bricks
- Cement
- Concrete
- Flagstone, or
- Pavers

Comparable Sales

- Must use other MH Advantage properties when available.
- Appraiser must supplement with the best and most appropriate sales if fewer than three MH Advantage sales are available.
- Site-built homes may be included in the comparable.
- Sales of new manufactured homes and land (often referred to as land/home sales) may be used as comparables provided both the land and home transpire as a single transaction, and the file evidences that the appraiser has adequately verified the physical attributes, conditions of sale, sales price, and concessions.
- Combining separate transactions of vacant land and purchase price to create a comparable sale is not permitted but may be used as additional support.

Appraisal Requirements for MH Advantage Homes in New Subdivisions*(Standard Fannie Mae appraisals requirements for new subdivisions apply)*

- One comparable sale from the subject subdivision or project and
- One comparable sale from outside the subject subdivision or project is required.
- A third comparable sale can be from inside or outside of the subject subdivision or project, provided it is a good indicator of value for the subject property.
- Two of the sales must be verifiable from reliable data sources, other than the builder.
- Two pending sales in the subject project or subdivision in lieu of one closed sale may be used, in the event there are no closed sales inside a new subject project or subdivision because the subject property transaction is one of the first units to sell.
- When two pending comparable sales are used in lieu of a closed sale
 - At least three closed comparable sales from projects or subdivisions outside of the subject property's project or subdivision must be used.
- The appraiser may need to rely solely on the builder of the property he or she is appraising, as this data may not yet be available through typical data sources, in order to meet the requirements for using one comparable sale from the subject subdivision or project. A copy of the settlement statement from the builders file is acceptable.

Down Payment

Borrower must provide 5% of their own funds unless:

- The LTV/CLTV is $\leq 80\%$, or
- A 1-unit residence is being purchased, and meets the requirements to:
 - Use gift funds
 - Donated grant funds, or
 - Funds from employer to pay for some or all minimum borrower contributions.
- The property meets the MH Advantage requirements, and the loan meets the requirements for LTV ratios of 95.01-97%.



- In this case, the borrower must contribute a minimum down payment of 3%, from his or her own funds unless the loan meets the gift, grant, or funds from an employer policy referenced above.

The borrower's equity in the land is considered the borrower's own funds. If the borrower holds title to the land on which the manufactured home will be permanently attached, the value of the land may be credited toward the borrower's minimum down payment requirement.

The borrower's equity contribution will be the difference between any outstanding liens against the land and the market value of the land.

Mortgage Insurance

Follow standard Fannie Mae Guidelines for manufactured homes.

Product

- Fixed Rate: 10-, 15-, 20-, 25-, and 30-year term.
- **°ARMS are not permitted.**

Site Requirements

- No minimum requirements for width, size, roof pitch, or any other specific construction details.

Transaction Type

- Purchase
- Limited Cash-Out

Ineligible Transactions

- Loans secured by on-frame modular construction.

Subordinate Financing

Per DU only.

- Meet all terms and requirements for Community Seconds; or
- Meet all terms and requirements of subordinate financing in the Fannie Mae Conforming Guidelines ["Subordinate Financing" on page 92.](#)
- Seller-financed subordinate financing is ineligible.

Temporary Buydown

Eligible Buydown Types

("Moderate") special feature code 009 must be delivered

- **2-1 Buydown**
 - **Year 1:** Payment calculated at 2% below the note rate.
 - **Year 2:** Payment calculated at 1% below the note rate.
 - **Years 3 through maturity:** Payment calculated at note rate.
- **1-0 Buydown**
 - **Year 1:** Payment calculated at 1% below the note rate.
 - **Years 2 through maturity:** Payment calculated at note rate.

**Ineligible Buydown Types**

- ° 1-1 Buydown
- ° 3-2-1 Buydown

Eligible Sources

- Borrower
- Builder/Developer
- Lender
- Other Interested Parties to the Transaction
- Seller
- Split Contributions

Ineligible Sources

- Excess IPCs: Contributions exceeding program limits
- Non-compliant lender buydowns
- Premium pricing: Using the credit from selecting a higher rate
- Unverifiable funds: Sources that cannot be documented to program standards

Eligible Transactions

- Conforming Loans
- High Balance located in a high-cost area
- Purchase Transactions

Ineligible Transactions

- ° ARMs
- Cash-Out Refinance
- Investment Properties
- RefiNow
- ° Renovation (HomeStyle)
- Second Homes
- ° Singlewide Manufactured Homes
- Texas 50(a)(6)

Amortization Type

- ° Fixed-Rate Only

Loan Term

- ° 30-year term

Occupancy Requirements

- Primary Residence

Eligible Property Types

- 1 Unit Primary Residence
- Attached
- Detached
- Manufactured Homes (doublewide or greater)
- PUD
- SFR
- Warrantable Condo



Automated Underwriting (AUS) Requirements

- AUS Approval Required
- **Manual Underwriting (UW) is Ineligible**

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Temporary Buydown" on page 93](#).

Transaction Eligibility

Eligible Transactions

- Purchase. The assignment of a purchase contract is not allowed.
- Limited cash-out refinance (rate/term)

Ineligible Transactions

- 1031 Exchange
- Any transaction without a DU "Approval/Eligible" Finding
- Cash-out refinance
- Community Land Trusts
- Fannie Mae My Community, Community Solutions, and Community Home Choice
- Interest-only
- Investment
- Land Contracts subject to Fannie Mae guidelines
- Lease option to purchase
- Loans with tutorship lien
- New York CEMAs allowed on refinance transactions. CEMA is not eligible on purchase transactions. Planet does not accept Lost Note Affidavits. Use Fannie Mae Forms 3172. Sellers must include the recorded original CEMA, including Exhibits A-D and all mortgage assignments.
- Non-Arm's length transaction that involves new construction and the loan is secured by a second home or investment property
- Properties in the "Right of Redemption Period" as applicable state law allows
- Refinance transactions where the subject property is listed for sale at time of disbursement of the new loan
- Restructured mortgages that do not meet Fannie Mae guidelines
- Texas Section 50(a)(6) loans (aka Texas cash-out)
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.



Fannie Mae HomeStyle Renovation Program Grid

FIXED RATE ^{3,4}					
Owner-Occupied Primary Residence					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	97% ¹	97% ²	See Loan Limits below	Per DU
		95%	95%		
	2	95%	95%		
	3-4	95%	95%		
Limited Cash-Out	1	97%	97%		
		95%	95%		
	2	95%	95%		
	3-4	95%	95%		

ARM ³					
Owner-Occupied Primary Residence					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	95%	95%	See Loan Limits below	Per DU
	2	95%	95%		
	3-4	95%	95%		
Limited Cash-Out	1	95%	95%		
	2	95%	95%		
	3-4	95%	95%		

FIXED RATE & ARM					
Second Homes					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase Limited Cash-Out	1	90%	90%	See Loan Limits below	Per DU



FIXED RATE & ARM					
Investment (Non Owner Occupied)					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase	1	85%	85%	See Loan Limits below	Per DU
Limited Cash-Out	1	75%	75%		

MANUFACTURED HOMES					
Owner Occupied Primary Residence Fixed Rate					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase Limited Cash-Out	1	95%	95%	See Loan Limits below	Per DU
2 nd Home	1	90%	90%		

MANUFACTURED HOMES					
Second Home Fixed Rate					
Transaction Type	Units	LTV	CLTV	Loan Amount	Credit Score
Purchase Limited Cash-Out	1	90%	90%	See Loan Limits below	Per DU

Reference:

1. High Balance permitted to a maximum of 95% LTV/CLTV/HCLTV.
2. Up to 105% CLTV allowed when using a Community Seconds that meets Fannie Mae Guidelines except on Manufactured Homes.
3. The more restrictive requirements apply when combined with HomeReady.
4. LTV >95% subject to additional requirements. For additional requirements, see ["95.01% — 97%" on page 142.](#)

Maximum Conforming Loan Limits				
Contiguous States, District of Columbia & Puerto Rico			Alaska & Hawaii	
Unit	General	High Cost Area ¹	General	High Cost Area ²
1	\$832,750	\$1,249,125	\$1,249,125	\$1,299,500
2	\$1,066,250	\$1,599,375	\$1,599,375	\$1,633,600
3	\$1,288,800	\$1,933,200	\$1,933,200	\$2,010,950
4	\$1,601,750	\$2,402,625	\$2,402,625	\$2,499,100

**Reference:**

1. Actual conforming loan limit values for specific counties in designated High-Cost Areas, as determined by FHFA, may be lower than the loan limits listed above and can be found by visiting the [FHFA conforming loan limit values webpage](#).
2. Two counties in Hawaii (Maui and Kalawao) will be high-cost areas in 2026. Alaska does not have any high-cost areas in 2026.

See [Fannie Mae loan limits](#) for maximum loan amounts by county/metropolitan area.



Fannie Mae HomeStyle Renovation Program Guidelines

For topics not addressed in this guide, see ["Fannie Mae Conforming Program Guidelines" on page 47](#) and [Fannie Mae Selling Guide](#).

Overview

- Borrower may purchase a property or refinance an existing home and include funds in the loan amount to cover the costs of:
 - Repairs
 - Remodeling
 - Renovations, or
 - Energy improvements to the property.

NOTE: DU will determine if a transaction is a HomeStyle Renovation mortgage when there is an amount entered in line B in the Alterations, Improvement repairs in the "Detail Transactions" section of the online application.

General Parameters

- No minimum dollar amount required for renovations.
- Any type of renovation or repair is eligible if the improvements are permanently affixed to the real property (either dwelling or land) with the exception of certain appliances installed with kitchen and utility room remodels
 - The purchase of appliances as part of the overall remodeling project is permitted.
 - The use of HomeStyle Renovation to purchase appliances as part of an overall remodeling project that includes substantial changes or upgrades is permitted.
- Completion of the final work on newly built homes are permitted when the home is 90% completed.
 - The remaining improvements must be related to completing non-structural items the original builder was unable to finish. Such work may include installation of buyer-selected items such as:
 - Flooring
 - Cabinets
 - Kitchen appliances
 - Fixtures, and
 - Trim
- Construction of various outdoor buildings and structures are permitted and according to local zoning regulations.
 - Examples of acceptable structures include, but are not limited to:
 - Accessory units
 - Garages
 - Recreation rooms, and
 - Swimming pools.

NOTE: Complete tear downs and reconstruction of the dwellings are not permitted.

- The renovation and contingency funds must be placed in an interest-bearing custodial account.
- Unused funds must be applied as a curtailment to the unpaid mortgage balance.
- **Self-help is not allowed. All work must be completed by a licensed contractor.**
- Renovations must be completed in 15 months.



- Renovation loans are purchased with recourse and may be subject to repurchase if project completion requirements are not met or the loan becomes 120 days delinquent during the renovation period.

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Fannie Mae Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 47](#).

95.01% — 97%

30-year fixed rate only. For purchase transactions with LTV, CLTV, or HCLTV ratios 95.01 - 97% that combine HomeReady and HomeStyle Renovation are not required to have at least one borrower be a First-time Home Buyer. See HomeReady mortgage insurance guidelines requirements when HomeReady & Homestyle are combined on a loan.

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and second home transactions (that meet Fannie Mae requirements) as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Chapters B3-3 through B3-6 of the [Fannie Mae Single Family Selling Guide](#).**

Appraisals

File must document an "as completed" appraised value that estimates the value of the property after completion of renovation work. See [Fannie Mae Selling Guide](#) for complete appraisal requirements.

An Appraisal Update and/or Completion Report (Form 1004D) as evidence of completion will be ordered once all renovation work is completed.

AUS

DU "Approve/Eligible" results required. Manual underwriting is ineligible. Special Feature Code 215 must be reflected in AUS results.

Available Markets

Delegated Sellers

- Planet will purchase loans underwritten and closed by the delegated Seller in **all** states.

Non-Delegated Sellers



- Planet will purchase loans from the non-delegated Seller in all states. **All** loans require Planet underwriting approval.

U.S. Territories

- The U.S. territories of American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and the U.S. Virgin Islands are ineligible regardless of delegation.

Borrower Eligibility

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Borrower Eligibility" on page 59](#).

Certificate of Completion

- A *Certificate of Completion* is required at the completion of the renovation and must be included in the Appraisal Update and/or a Completion report.
 - The Completion Report (Form 1004D) must confirm all "subject to" items listed on the appraisal were completed.
 - The Appraiser must note any deviations to the initial plans and any impact to the value of the subject property.
 - Follow the requirements for Unplanned Changes in Scope of Incomplete Work if the value has been impacted.
- A *Certificate of Occupancy* is required at completion if it is required by local authorities for the type of renovation work that was completed.

Community Seconds

Community Seconds, meeting Fannie Mae requirements, are eligible for fixed-rate purchase or Limited Cash-out refinance of the 1-4-unit owner-occupied property. Manufactured Housing that is not MH Advantage are limited to the LTV, CLTV and HCLTV ratios stated in Fannie Mae Eligibility Matrix.

Contractor Requirements

All renovation work must be performed by a licensed contractor or subcontractor, unless contractor licensing is not applicable under state or local law for the specific trade or type of renovations being performed. **Self Help is not allowed.**

File must evidence the contractor was evaluated and able to perform the required duties. The Contractor must meet the following criteria:

- Must have a minimum of 3 years' experience as a Contractor and a minimum of 1 year in business.
- Have all appropriate credentials required by the state and local government.
- Financially able to perform the duties necessary to complete the renovation work in a timely manner, and
- Agrees to indemnify the borrower for all property losses or damage caused by its employees or subcontractors.
- File must evidence a completed contractor profile report (form 1202 or similar).
- Contractor Insurance Requirements:
 - Contractor must carry a builders' all-risk insurance policy, without co-insurance, in an amount not less than 100% of the replacement cost of the work.
 - A General Liability insurance policy with limits of liability equal to at least \$500,000 per occurrence.
 - A worker's compensation insurance policy as required by state law.



Contractor Validation

Seller must review the Contractor documents to establish contractor is qualified to complete the work described in the Work Write Up or Contractor Bid. The review must include contractors credentials, work experience and client references. The Seller also must ensure the contractor meets all jurisdictional licensing and bond requirements. The Seller may not choose the contractor or refer the borrower to any one specific contractor.

File must evidence contractor validation and bid acceptance.

Non-Delegated Sellers may submit a request for Planet to validate the contractor prior to underwriting or locking the loan. Please refer to the Correspondent website at www.phlcorrespondent.com under **Resources & Forms** for required forms to be executed by the Contractor.

Credit Report/Scores

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Credit Report/Scores" on page 61](#).

Escrow

Costs and Escrow Accounts

Renovation costs must be supported by contractor bids and based on the approved plans and specifications for all work requested by the borrower.

Eligible renovation costs may include:

- Architectural/Engineer Fees – as necessary per scope of work
- Construction Management Fee
- Contingency Reserve (° **minimum of 10%** - see Contingency Reserve)
- Draw Inspections (performed by Consultant or Construction Manager)
- Final Inspection (1004D) performed through the AMC (cost varies)
- Mortgage Payment Reserve (up to six months PITI, when the property is uninhabitable)
 - An escrow for mortgage payments may be established for up to six months of PITI, not to exceed the amount of time the property cannot be occupied during the renovation period.
 - Funds may only be used to make payments that come due while the property is uninhabitable.
 - Funds are held in the renovation escrow account. Planet will hold and administer the renovation escrow account.
 - These funds may not be used for renovation expenses or any other purpose.

NOTE: Planet may establish a separate escrow account for the mortgage payments in lieu of including these funds in the renovation escrow account.

- Permits (as applicable)
- Review of Renovation Plans or Consultant Work Write Up (Designated Consultant Fee)
- Title Updates (one per each draw/inspection)

Contingency Reserve

- ° **A minimum of 10% Contingency Reserve is required for all loans.**
 - The Seller may increase the contingency reserve to 15% if a higher reserve is appropriate due to scope and scale of renovation.
- ° **A 15% contingency reserve is required when utilities are not on at the time of inspection.**



The contingency reserve may be included in the total renovation costs or funded separately by the borrower.

- If paid in cash at closing, the contingency reserve must be listed separately and may not be included in the financed renovation amount.
- Funds may be released only for required, necessary, and unforeseen repairs or deficiencies discovered during the renovation.

Unused contingency funds:

Unused contingency funds must be applied as a principal reduction after completion of all renovation work and receipt of certification of completion, unless the funds were paid by the borrower in cash

Unused funds may be used for additional improvements or repairs only if:

- The original renovation work has been completed, and cost overruns have been applied
- The additional work improves the property
- Paid receipts from borrower's own funds provided;
- Inspections are performed by the original appraiser who prepared the "as completed" value appraisal report

Renovation Escrow Account

Renovation costs, the contingency reserve, mortgage payments (if applicable), and any borrower-funded amounts must be deposited into an escrow account for the borrower's benefit. The renovation escrow account must meet the following requirements at the time of delivery to Planet.

- The escrow account must be administered in accordance with Fannie Mae's Renovation Mortgage requirements.
- Funds may be used only to complete the approved renovation work and, if applicable, make mortgage payments due during the renovation period.
- Repairs and renovations must be completed in accordance with the approved plans, specifications, and contractor bids.
- Funds may be released only after completion of the applicable work and in accordance with the agreed-upon draw schedule, after receipt of a specific request.

NOTE: Funds held for mortgage payments must be used for that purpose only and are not used for renovations or any other reason.

Disbursement Methods

Renovation Funds must be disbursed using the following methods:

- A check issued jointly to the borrower and the contractor; or
- A wire transfer to the contractor after the written consent is obtained from the borrower to release the funds to the contractor

The written consent must be received prior to each disbursement and must include:

- Borrower's name
- Property address
- Amount of funds to be disbursed
- Contractor to whom the funds are being disbursed
- Date of the consent



Upon Completion of Renovations

All remaining funds in this account, including mortgage payment reserves, may be used to:

- Reduce the unpaid principal balance of the loan (unless the funds were deposited separately by the borrower), or
- Make additional improvements or repairs to the property, provided all conditions for supplemental improvements are met

Initial Draws at Closing

Up to **50% of the total renovation costs** may be disbursed at closing.

Eligible upfront disbursements include, but are not limited to:

- Material purchases
- Permit fees
- Architectural and design services
- Borrower-required contractor deposits

Cost Increases

Any increase in renovation costs must be funded by the borrower or the Seller.

- The loan amount may not be increased to offset any cost increase
- Any additional funds must be obtained in a manner that will not affect the priority of Fannie Mae's lien

Financed Properties

- **Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.**

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Financed Properties" on page 72](#).

Inspections and Draw Disbursements

Draw inspections, the rehabilitation escrow account, and approving the associated draws from the account must be managed by Planet. Permits will be required prior to the first draw. The mortgagee is fully responsible for authorizing draw inspections, managing the rehabilitation escrow account, and approving the associated draws from the account.

Interested Party Contributions

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Interested Party Contributions" on page 74](#).

LTV Ratios

Purchase

The LTV ratio is determined by dividing the loan amount by the lesser of the "as completed" appraised value of the property or the sum of the purchase price of the property and the total renovation costs.

Refinance



The LTV ratio is determined by dividing the new loan amount by the "as completed" appraised value of the property.

Manufactured Homes

- °ARMs not permitted (including MH Advantage)

Ineligible Properties

- 2-4 units
- ° Condos
- Investment properties
- ° Leaseholds
- ° Properties located in a 100-year flood zone
- ° Singlewide

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Manufactured Home Requirements" on page 81](#).

Maximum Renovation Cost

Purchase Transaction

Renovation cost must not exceed 75% of the lesser of:

- The sum of the purchase price of the property plus renovation costs, or
- The "as completed" appraised value of the property.

Refinance Transaction

Renovation cost must not exceed 75% of "as completed" appraised value of the property.

Manufactured Homes

Renovation costs for eligible manufactured homes may now be up to 50% of the as-completed appraised value.

Minimum Loan Amount

- ° \$40,000.00

Mortgage Insurance

Required based on the applicable LTV calculation.

- Standard Coverage per DU Approval.
- Reduced MI coverage allowed for HomeReady only.
- Borrower paid monthly and single premium; BPMI single premium may be financed.
- LPMI – single premium only.

Refundable and non-refundable options eligible.



Non-Arms' Length or Identify of Interest Transactions

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Non-ARMs' Length or Identity of Interest Transactions" on page 78.](#)

Occupancy

- Owner-Occupied
 - An active-duty military borrower who is unable to occupy the primary residence prior to the delivery date due to military service will be considered an owner-occupied property mortgage. The borrower's military orders must verify that the borrower is temporarily unable to occupy the primary residence due to the military assignment.
- Second Home
- Investment (non-owner occupied)

Plans and Specifications

The plans and specifications must be prepared by a registered, licensed, or certified general contractor, renovation FHA 203(k) consultant, or architect and fully describe all work to be done and provide an indication of when various jobs or stages of completion will be scheduled (including both the start and completion dates). The loan file must document the plans quantity, quality and cost of work has been evaluated and to determine available financing. The appraiser must use the plans and specifications to develop his/her opinion of the "As Completed" value of the subject property.

Repairs equal to or less than \$75,000 and have no Structural Repairs

The Specification of Repairs/Bid can be prepared by the general contractor, or a renovation consultant.

- Must fully describe and itemize the specific work to be done.
- Material cost to be itemized with description of materials and labor for each repair.
- Describe what repairs require permits and cost associated.
- Provide a draw schedule establishing the schedule for completing the repairs including start and completion time frames.
- Identify work to be performed by Sub-Contractor.
- HUD Consultant is not required.
- Material draw allowed for no more than 50% of itemized material per Contractor Bid.
- Final Inspection (1004D) required by licensed appraiser prior to release of Holdback Funds.

Repairs over \$75,000 and/or proposed renovation work includes any Structural Repairs

- Planet requires the use of HUD Consultant or an approved construction management company to prepare the Specifications of Repairs or a Feasibility Report.
 - For loans that require **only** foundation repairs, an engineer report from a licensed engineer may be acceptable in lieu of a HUD Consultant or an approved construction management company.
- HUD Consultant must be made aware that the loan being applied for is a Conventional Renovation Loan.
- HUD Consultant must provide Draw Schedule.
- HUD Consultant must perform the draw inspections.
- HUD Consultant must conduct an initial Property Assessment to determine if building components are substandard and/or present adverse conditions.
- Material cost must be itemized along with cost of labor on Specification of Repairs.
- Material draw allowed for no more than 50% of itemized material and including permits per Specification of Repairs and Consultant must be made aware if Lender disburses at closing.
- Final Inspection required by licensed appraiser (1004D) prior to release of Holdback Funds.



NOTE: Approved Construction Management Companies: Land Gorilla Construction Management, Granite Risk Management, Trinity Inspection Services LLC. Please reach out to your Regional Sales Manager if your company is not listed.

Pools and Accessories – Projects consisting of only a pool installation may follow reduced requirements below:

- Reduced documentation is only applicable when the project consists only of a pool, pool decking, and/or any fencing or netting immediately surrounding the pool.
- The lesser of \$15,000 or 25% of the total project cost may be advanced at closing for material cost for items not yet paid for.
- All work to be performed must be fully described, bids are not required to separate labor and material cost.
- Permits must still be obtained and referenced, an itemized listing of all permits.
- Planet will fund each draw in its entirety and not withhold 10% of the draw.
- Final Inspection required by licensed appraiser (1004D) prior to release of Holdback Funds.

Before approving any change a borrower wants to make to the original plans and specifications, Planet will require the borrower to submit a HomeStyle Change Order Request (Form 1200) or a substantially similar document, that provides a detailed description of

- the changes
- the cost of the changes, and
- the estimated completion date(s)

Unplanned Changes in Scope or Incomplete Work

Planet will work with the borrowers and contractors to ensure renovations are completed as planned, within an acceptable timeframe. If unforeseen circumstances occur during the renovation work, such as property damage from a natural or man-made disaster, or a life altering event such as death or divorce, additional steps to evaluate the materiality of the change to any renovations in progress.

Planet must obtain an updated appraisal to determine whether the changes will impact the “as completed” value of the property, and must self-report any change in value by entering it into Loan Quality Connect. In some cases, the lender may be responsible for additional mortgage insurance or LLPAs. When the new LTV exceeds Fannie Mae's eligibility criteria, or the changes result in a home that does not meet Fannie Mae's general property standards and appraisal requirements, the Seller may be required to repurchase the loan.

Products

Fixed Rate: 15-, 20-, 25- and 30-year

ARM: The index used must be the SOFR (Secured Overnight Financing Rate).

- Caps:
 - 5/6 - 2/1/5
 - 7/6 and 10/6- 5/1/5
- Margin: 3.00
- Qualification:
 - 5/6 ARMs are qualified at the greater of the Note rate plus 2% or the fully indexed rate.
 - 7/6 and 10/6 ARMs are qualified at the Note rate.



Property Eligibility

The construction of an ADU in connection with a HomeStyle Renovation is acceptable.

ADUs are not permitted for 2–4-unit properties, second homes, or investment properties.

See Fannie Mae Selling Guide Chapter B2-3-04 for complete requirements for accessory dwelling units.

Condo/PUDs and Project Standards

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Property" on page 79](#).

Eligible Properties

- 1-4-unit primary residence
- 1 unit second home
- 1-unit investment properties
- Condo
 - Work limited to the interior of the unit, including the installation of fire wall in the attic.
 - The proposed renovation work must be permissible under the bylaws of the HOA.
 - File must evidence written HOA approval for renovation.
- Free and clear properties
 - The transaction must be a limited cash-out refinance. The borrower cannot receive any additional cash back outside of the allowable limit.
- Manufactured Home
 - 1 unit multi-wide (doublewide or triplewide) dwelling classified as real property
 - Structural changes not permitted (such as adding a garage or other attached element).
 - Allowed improvements include but are not limited to:
 - Kitchen
 - Bathrooms
 - Install of energy efficiency heating and cooling systems
 - Changes to address mobility and aging in place requirements
 - Installation of new windows, doors, siding, or roofing provided these changes do not alter the structure of the unit.
- Mixed-Use Properties – Residential and Business use
 - Property must be primarily residential and contain one legal residential unit
 - Borrower must own and operate the business
 - Business use must be zoning-compliant and limited in scope per Fannie Mae and local requirements.
 - Must meet FNMA Special Eligibility Criteria ([B2-3-04](#)) & Appraisal Considerations ([B4-1.4-07](#))
- PUD

Ineligible Properties

- Commercial property
 - Includes mixed-use properties where commercial use exceeds Fannie Mae limits or impairs the residential character of the property
- Condotels
- **◦ Cooperatives**
- Leaseholds
- Manufactured Condos
- **◦ Manufactured homes located in 100-year flood plain**



- Manufactured homes built prior to 6/15/1976
- Mobile Homes that are Singlewide or not real property
- Non-Warrantable Condos
- **◦ Single-wide manufactured homes**
- Working Farms

Property and Flood Insurance

File must evidence property insurance and flood insurance (as applicable) via policy or declaration page. For additional requirements, see [Freddie Mac Selling Guide](#).

Renovation Contract

Sellers are required to use the Fannie Mae Form 3730. Regardless of the renovation contract used, it must contain the following:

- Itemize the specific work that the contractor agrees to perform.
- Include the agreed-upon cost of the renovation.
- Identify all subcontractors and suppliers.
- Include an itemized description of the schedule for completing each stage of the work and the corresponding payments to be made to the contractor.

File must evidence an executed contract between the contractor and the borrower and requires the contractor to:

- Be duly licensed (if required by applicable law).
- Obtain all required insurance coverages.
- Completion of work must comply with the contract and all applicable government regulations.
- Obtain the necessary building permits (including a certificate of occupancy, upon completion of renovations, if required by local law).
- Provide for appropriate remedies for resolving disputes (including an agreement to indemnify the borrower for all property losses or damages caused by the contractor's employees or subcontractors).

NOTE: HomeStyle Renovation mortgages may be subject to a variety of laws and regulations, based on the type of transaction or the types of lenders originating the mortgages. Therefore, when Fannie Mae's model document is used, all appropriate, required changes must be made.

Renovation Cost (Fees and Charges)

Renovation-related costs that may be considered as part of the total renovation costs include:

- Architectural and engineering fees (as needed).
- Costs and fees for the title update (at minimum 2 or \$125).
- Costs for required permits.
- Final Inspection 1004D.
- Independent consultant fees (as determined Construction Management vendor or 203(k) Consultant).
- Interim draw inspection fees (as determined Construction Management vendor or 203(k) Consultant).
- Other documented charges:
 - Project Plan Review by Construction Management vendor.
 - Construction Management Fees charged for processing renovation draws (\$500 or 1.5% of renovation cost whichever is greater).
 - Up to six months payments (PITIA) if a principal residence property cannot be occupied during renovation.



NOTE: An amount for sweat equity may not be factored into the renovation costs.

Renovation Loan Agreement

The Renovation Loan Agreement (Fannie Mae form 3731) must include:

- The terms and conditions of the loan prior to the completion of the improvements.
- Events that constitute a borrower default and indicates the remedies available if the borrower defaults under the terms of either the renovation contract or other loan documents.
- Requires the contractor to have any license required by government regulations, and to obtain an all-risk insurance policy (with a physical loss form endorsement and a mortgagee's loss payable clause) equal to 100% of the full replacement cost of the:
 - Improvements
 - Public liability insurance
 - Workmen's compensation insurance (as required by applicable state law)
 - Automobile liability insurance
- Require that either the borrower or the contractor obtain all work permits required by government agency and comply with all applicable laws or government regulations.

See [Fannie Mae Selling Guide](#) for complete guidance.

Renovation Time Frame

Renovation time frame is limited by the scope of work. All renovations must be completed within 15 months of the Note Date.

Temporary Buydown

Not permitted.

Title and Insurance Updates

A title update is required through the date the renovation was completed and must be concurrent with the last disbursement. Planet requires a Title update per draw.

This will ensure:

- The continuance of Fannie Mae's first lien priority, and
- The absence of any mechanics' or material men's liens.

Transaction Type

Eligible Transactions

- HomeReady
- Limited Cash-Out Refinance transactions
- Purchase

HomeReady

The following requirements apply when HomeStyle Renovation and HomeReady are combined:

- The more restrictive requirements of HomeReady and HomeStyle must be applied.
- Primary residence transactions only



- LTV/CLTV/HCLTV ratios 95.01-97% do not require the borrower to be a first-time homebuyer.
- HomeReady insurance requirements will apply.

Limited Cash-Out Refinance Transactions

HomeStyle Renovation *limited cash-out refinance transactions* may be used to buy out a co-owner's interest, including transactions resulting from inheritance or divorce, while completing renovations.

- **No cash proceeds** may be disbursed to the borrower, including cash typically permitted under standard limited cash-out refinance requirements.

Ineligible Transactions

- Any transaction without a DU "Approval/Eligible" Finding
- Community Land Trusts
- Fannie Mae My Community, Community Solutions, and Community Home Choice
- Interest-only
- Lease option to purchase
- Loans with tutorship lien
- Properties in the "Right of Redemption Period" as applicable state law allows.
- Refinance transactions where the subject property is listed for sale at time of disbursement of the new loan.
- Restructured mortgages that do not meet Fannie Mae guidelines.
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

HomeStyle Renovation Forms

- HomeStyle Renovation Mortgage Maximum Mortgage Worksheet – Form 1035
- HomeStyle Change Order Request (if applicable) – Form 1200
- Lien Waiver (if applicable) – 3739
- Renovation Contract – Form 3730
- Renovation Loan Agreement – Form 3731
- Homestyle Consumer Tips – 1204
- Rehabilitation Loan Rider to Security Instrument
- Investor Rider to the Security Instrument

Texas Loans require an Attorney to prepare the closing documents. The Attorney should be knowledgeable about Texas Property Code Chapter 53 Mechanic's, Contractor's, or Materialman's Lien and provide the following documents in the closing package:

- Mechanic's Lien Contract and Transfer of Lien – must include verbiage to create the Mechanic's Lien and assignment to the Lender. Amount of renovation must match final contractor estimate.
- Renovation Loan Rider with Renewal and Extension language
- Contractor Affidavit of Compliance with Texas Law (Suggested)
- Renovation Loan Agreement
- Non-Commencement Affidavit (Suggested)



Fannie Mae RefiNow Program Grid

FIXED RATE					
Owner-Occupied Primary Residence ^{2,5,6}					
Transaction Type ³	Units	LTC	CLTV ¹	Loan Amount	Credit Score
Limited Cash-Out ⁴	1	97%	97%	See Loan Limits Below	Per AUS

Reference:

1. Up to 105% is allowed when using a Community Seconds that meets Fannie Mae guidelines.
2. First Lien must be owned or securitized by Fannie Mae.
3. Existing High LTV refinance transactions are not permitted.
4. High Balance loans are not permitted.
5. At least 12 months seasoning required from the note date of the existing loan to the note date of the new loan.
6. All transactions are subject to maximum incidental cash back of \$250.00 (\$0 in Texas).

Maximum Conforming Loan Limits		
Contiguous States, District of Columbia, & Puerto Rico		Alaska, Hawaii
Unit	General	General
1	\$832,750	\$1,249,125

See [Fannie Mae loan limits](#) for maximum loan amounts by county/metropolitan area.



Fannie Mae RefiNow Program Guidelines

For topics not addressed in this guide, see ["Fannie Mae Conforming Program Guidelines" on page 47](#) and [Fannie Mae Selling Guide](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Fannie Mae Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 47](#).

95.01% - 97% LTV

For all requirements, see Fannie Mae Conforming Program Guidelines > ["95.01% — 97% LTV" on page 47](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and second home transactions (that meet Fannie Mae requirements) as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Chapters B3-3 through B3-6 of the [Fannie Mae Single Family Selling Guide](#).

Affidavit of Identity

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Affidavit of Identity" on page 48](#).

Age of Documents

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Age of Documents" on page 48](#).

Appraisals

- A \$500 credit will be provided to the lender at the time the loan is purchased if an appraisal was obtained for the transaction. The Seller must pass the credit to the borrower.
- All loans must be delivered using Special Feature Code (SFC) 868.
- For Appraisal Waivers use SFC 801.

For additional requirements, see FNMA Conforming Program Guidelines > ["Appraisals" on page 48](#) and Appraisal Waivers.



Assets

- Documentation requirements per DU.
- Acceptable asset documentation includes one recent statement (monthly, quarterly, or annual) showing asset balance

Assumptions

Planet follows Fannie Mae Guidelines.

AUS

°DU "Approve/Eligible" results required. Manual underwriting is ineligible.

Available Markets

- **Delegated Sellers**
 - Planet will purchase loans underwritten and closed by the delegated Seller in **all** states.
- **Non-Delegated Sellers**
 - Planet will purchase loans from the non-delegated Sellers in all states on Fannie Mae products.
 - All loans require Planet underwriting approval.
- Seller must receive approval from Planet to deliver loans with properties located in Puerto Rico.
- The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.

Borrower Benefits

- The refinanced loan must provide a reduction in the First Lien Mortgage Principal and Interest payment, and
- First Lien Mortgage must have an interest rate reduction of at least 50 bases points.

Borrower Eligibility

- Existing Borrowers only
- No additional borrowers can be added to the new loan.
- At least Borrower may be removed if:
 - The remaining borrower meets FNMA payment history requirements and evidence is documented in the file.
 - Due to death of a borrower (must be documented in the file)
- Non-occupant borrowers allowed
 - A maximum LTV/CLTV/HCLTV of 95% applies to loans underwritten with DU. Community Seconds apply.

Chain of Title

For all requirements, see Fannie Mae Conforming Program Guidelines > ["Chain of Title" on page 60.](#)

Community Seconds

Permitted.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Community Seconds" on page 60.](#)



Credit Report/Scores

- Per AUS.
- Verification and consideration of recurring alimony and child support payments as a liability, if applicable, are required. Acceptable documentation includes a copy of the divorce decree, separation agreement, court order, or equivalent documentation confirming the amount of the obligation.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Credit Report/Scores" on page 61](#).

DTI

65%.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["DTI" on page 65](#).

Derogatory Credit

The borrower must comply with all applicable waiting periods following derogatory credit events, Significant Derogatory Credit Events- Waiting Periods and Re-establishing Credit.

For additional requirements, see FNMA Conforming Program Guidelines > Credit Report/Scores > ["Derogatory Credit" on page 64](#).

Employment and Income

Verbal verification of employment (employment or self-employment) is required in accordance with the Selling Guide.

Income documentation requirements:

- Base Pay (non-variable):
 - The borrower's most recent paystub
- Base Pay (variable: Includes Tip, Bonus, or Overtime Income):
 - Most recent paystub, and
 - W-2 covering the most recent one-year period
- Commission Income
 - Most recent paystub, and
 - W2 covering the most recent one-year period
- Military Income:
 - Military Leave and Earnings Statement
- Self-employment:
 - One year personal and business tax returns, unless the terms to waive business tax returns are met in accordance with the Selling Guide
- Alimony, Child Support, or Separate Maintenance:
 - Copy of divorce decree, separation agreement, court order or equivalent documentation, and one month documentation of receipt.

Income Limits

Borrower's income must be less than or equal to 100% of the applicable Annual Median Income (AMI) limit for the subject property location.



Financed Properties

◦ Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Financed Properties" on page 72](#).

Minimum Loan Amount

◦ \$40,000.00

Mortgage Insurance

- Coverage is not restricted to the current mortgage insurer on the existing loan.
- DU will identify the insurer that is currently providing coverage.

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Mortgage Insurance" on page 77](#).

Occupancy

Owner-occupied.

Payment History

- Most recent 12 months required
- No delinquencies in the most recent 6 months
- In months 7-12: No more than 1x30 delinquency, No delinquency > than 30 days.

Products

Fixed Rate: 10-, 15-, 20-, 25-, and 30-year term

Property Eligibility

Eligible Properties

- 1-unit primary residence.
- All project review requirements will be waived for properties located in a condo or PUD project. The file must provide documented evidence that:
 - The property meets all property eligibility requirements
 - The project does not appear in Condo Project Manager (CPM) with a status of "unavailable"
 - The project is not a condo hotel or motel, houseboat project, or a timeshare or segmented ownership project
 - When an appraisal is available, all appraisal requirements are met
 - All insurance requirements are met
 - There are no unaddressed critical repairs outstanding, and the property is not subject to evacuation orders. (This requirement applies to projects with more than ten attached units, as well as projects with five- to ten-attached units that are part of a larger development or master association)
 - The project is not terminating or involved in insolvency proceedings



For a full list of waiver requirements, see Fannie Mae Selling Guide [Chapter B4-2.1-02](#).

Ineligible Properties

- Condotel or Motel
- Condo Projects listed as Unavailable in the Fannie Mae Condo Project Manager (CPM)
- °Co-op
- Houseboat
- Leasehold
- Manufactured Homes Condo
- Manufactured Homes built prior to 6/15/1976
- Mobile Homes
- Segmented Ownership Projects
- °Single Wide Manufactured Homes
- Timeshares

For additional requirements, see Fannie Mae Conforming Program Guidelines > ["Property" on page 79](#).

Reserves

Per DU.

Refer to FNMA Conforming Program Guidelines for complete details.

Subordinate Financing

New subordinate financing is only permitted if it replaces existing subordinate financing, and:

- May not be satisfied with the proceeds of the new loan
- Loan amount cannot exceed the existing UPB
- Existing subordinate financing may remain in place if it is resubordinated to the new loan.

Temporary Buydown

Not permitted.

Transaction Types

Eligible Transactions

- Limited Cash-Out

Ineligible Transactions

- Texas 50(a)(6)
- HomeReady



Freddie Mac Conforming and Super Conforming Program Grid

PURCHASE AND "NO CASH-OUT" REFINANCE MORTGAGES			
Fixed-Rate and ARMs			
Property	Conforming LTV / TLTV / HLTIV	Super Conforming LTV / TLTV / HLTIV	Credit Score
1-unit Primary Residence	95%	95%	Per LPA
2-unit Primary Residence	95% ¹	85%	
3- and 4-unit Primary Residences	95% ¹	80%	
Second home	90%	90%	
1-unit Investment Property	85%	85%	
2- to 4-unit Investment Property	75%	75%	

Reference:

1. Effective for loans funded on or after September 29, 2025. Applies to purchase and no cash-out refinance transactions. Maximum LTV/TLTV/HLTIV of 95% applies to conforming LPA "Accept" Mortgages.

CASH-OUT REFINANCE MORTGAGES	
Fixed-Rate and ARMs	
Property	Conforming and Super Conforming LTV / TLTV / HLTIV
1-unit Primary Residence	80%
2- to 4-unit Primary Residence	75%
Second home	75%
1-unit Investment Property	75%
2- to 4-unit Investment Property	70%



TEXAS 50(a)(6)				
Transaction Type	Units	LTV / CLTV	Loan Amounts	Credit Score
Cash-Out	1	80%	See Loan Limits below	Per LPA

TEXAS 50(f)				
Transaction Type	Units	LTV / CLTV	Loan Amounts	Credit Score
No Cash-Out	1	80%	See Loan Limits below	Per LPA

MANUFACTURED HOMES ²				
TRANSACTION TYPE	UNITS	LTV/TLTV	LOAN AMOUNT	CREDIT SCORE
Purchase and No Cash-Out	1	≤95% ¹	Conforming Loan Limits	Per LPA
Cash-Out	1	65%		

Reference:

1. Loans >80% LTV require mortgage insurance and are subject to MI guidelines. The more restrictive minimum credit score requirement and guidelines apply. LTV/CLTV restrictions may apply for properties located in adverse markets. For additional requirements, see ["Mortgage Insurance" on page 192](#).
2. Second Home Allowed. For additional requirements, see ["Manufactured Homes" on page 196](#).

2026 Conforming and Super Conforming Loan Limits				
Contiguous States, District of Columbia, & Puerto Rico			Alaska ² & Hawaii	Hawaii
Unit	Conforming Loan Limit	High Cost "Super Conforming" Limit ¹	Conforming Loan Limit	High Cost "Super Conforming" Limit ³
1	\$832,750	\$1,249,125	\$1,249,125	\$1,299,500
2	\$1,066,250	\$1,599,375	\$1,599,375	\$1,633,600
3	\$1,288,800	\$1,933,200	\$1,933,200	\$2,010,950
4	\$1,601,750	\$2,402,625	\$2,402,625	\$2,499,100

**Reference:**

1. Actual conforming loan limit values for specific counties in designated High-Cost Areas, as determined by FHFA, may be lower than the loan limits listed above and can be found by visiting the [FHFA conforming loan limit values webpage](#).
2. Alaska does not have any high-cost areas.
3. Two counties in Hawaii (Maui and Kalawao) are high-cost areas.

See [Freddie Mac loan limits](#) for maximum loan amounts by county/metropolitan area.



Freddie Mac Conforming and Super Conforming Program Guidelines

Planet follows [Freddie Mac Selling Guide](#) for topics not addressed in this guide.

IRS Forms 4506-C and 8821 Requirements

Seller must obtain borrower consent and complete either Form 4506-C or 8821 in accordance with IRS agency and requirements, including applicable standards under the IRS Income Verification Express Service (IVES) And the Taxpayer First Act.

- Either Form is acceptable for transcript retrieval when permitted by the IRS and the applicable agency.
- A fully executed 4506-C or 8821 must be obtained from all borrowers whose income was used to qualify, no later than the Note Date.
- Tax transcripts when required per AUS findings may be obtained in lieu of W-2 or tax returns (personal and/or business).
- The 4506-C or 8821 must be signed by all borrowers, if income was used to qualify, at loan closing and transcripts were not obtained to qualify the borrower.
- See Chapter 7 > ["IRS Forms 4506-C and 8821 Requirements" on page 578](#) for general standards, including e-signature and borrower consent.
- When Form 8821 is used, the mortgage file must also include documented borrower consent specifically authorizing disclosure of tax information to third parties. The standard taxpayer consent form included in loan files is not sufficient for this purpose.

See [Freddie Mac Section 5302.5](#) - IRS Form 4506-C.

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Section 5102 through 5500 of the [Freddie Mac Single-Family Seller/Servicer Guide](#).**

Age of Documents

- All credit, employment, income, and asset documentation must be dated within 120 days as of the Note date.
- The title commitment should be ≤ to 120 days from Note Date and should be unexpired as of the date of the note date.
- Appraisal documents must have an effective date within 2 months as of the Note date.
- With the exception of desktop appraisals, if the effective date of the appraisal report is more than 120



days, but not more than 12 months before the Note Date, an appraisal update is required. The effective date of an appraisal update must be no more than 120 days before the Note Date.

- If the effective date of the appraisal report is more than 12 months before the Note Date, a new appraisal with an interior and exterior inspection is required.
- For desktop appraisals, if the effective date of the appraisal report is more than 120 days before the Note Date, a new desktop appraisal is required.
- A verbal verification of employment (VVOE) is required within 10 business days prior to the Note date for salaried borrowers and within the 120 calendar days prior to the Note date for self-employed borrowers.
- A military Leave and Earnings Statement dated within 30 days prior to the Note date is acceptable for active-duty military in lieu of a VVOE.

Appraisals

LPA Appraisal Determination

- LPA determines the level of appraisal on owner-occupied properties.
- If a reduced appraisal recommendation is received from LPA, it must be on the final LPA.
- Appraisals must be Uniform Appraisal Data (UAD) compliant and meet Freddie Mac's Appraiser Independence Requirements (AIR).

NOTE: Effective July 27, 2026, Planet will begin accepting appraisals submitted using UAD 3.6. Sellers may continue delivering appraisals in UAD 2.6 format until the mandatory implementation date (November 2, 2026) for UAD 3.6.

Submission Summary Reports

- A Freddie Mac Submission Summary Report and a Fannie Mae Submission Report (SSR) is required on all appraisals.

Appraisal Review Requirements

- Conventional loans with elevated risk require additional evaluation of the appraisal report.
 - Planet defines elevated risk loans as follows:
 - Fannie Mae or Freddie Mac SSR Score of 3.5 or higher
 - Fannie Mae or Freddie Mac SSR with no Score
- For Delegated loans, the Seller is responsible for completing appraisal reviews and addressing any elevated risk factors prior to submission to Planet.
- Sellers must use available tools, including but not limited to: Homegenius, RealQuest, Netronline, Public Records, Redfin, Zillow, and Realtor.com to help address findings noted on CU or LCA. It is the responsibility of the Seller to address elevated risks noted on the SSRs. Failure to do so could result in a repurchase demand.

Bias Monitoring

- Sellers are responsible for monitoring appraisals for prohibited language to mitigate the risk of discriminatory practices and appraisal bias.

Multiple Appraisals

- If an applicable law, regulation, or Planet policy requires more than one appraisal, the single most accurate appraisal must be used for underwriting purposes. Depending on the reason for the additional appraisal, both appraisals may be required to be submitted to the Uniform Collateral Data Portal (UCDP).



Reconsideration of Value (ROV)

Borrower Disclosure

- Provide the Borrower with a written disclosure of the ROV process at the time the appraisal is delivered
- Disclosure must include instructions for submitting an ROV

Internal Review

- Seller must complete its own internal appraisal review prior to initiating the ROV process

ROV Submission Format

- ROV requests must include:
 - Borrower name, subject property address, appraisal effective date, appraiser name, and date of ROV submission
 - Identification of specific issues or deficiencies in the original appraisal
 - Supporting data and a maximum of five alternative comparable sales, including sources and rationale

ROV Handling

- Ensure the ROV request is accurately completed and includes sufficient detail to warrant reengagement of the appraiser
- One Borrower-initiated ROV is permitted per appraisal
- Appraiser must respond with a revised appraisal and commentary—even if no changes are warranted
- Sellers must define turn times for ROV response
- Retain all ROV documentation in the Mortgage file
- ROV not permitted after loan closing
- ROV policies must not conflict with AIR (Exhibit 35)

Escalation

- If the appraiser does not correct material deficiencies or there is evidence of unacceptable appraisal practices:
 - Seller must report to the appropriate licensing agency or board
 - Suspected discrimination must be reported to the appropriate regulatory authority
 - In the event of these occurrences, a second appraisal may be obtained if compliant with Freddie Mac and applicable laws

Appraisal Photo Requirements

- Exterior Photos must contain:
 - The front, rear, and street scene identifying the location of the subject property with neighboring improvements.
- Interior photos, at minimum, must include:
 - Kitchen (free-standing stove/range or refrigerator not required)
 - Main living areas, including gathering rooms
 - All bathrooms
 - All basement areas of the subject property, including unfinished and finished areas
 - The appraisal report must include additional photographs, as needed, to show any physical deterioration, improvements, Amenities, observed conditions or external influences that materially impact the market value or marketability of the subject property.
- Comparables
 - The appraisal report must include at least one clear photograph that shows the front of each comparable sale



Comparable Sale Requirements

- Comparable sales must consist of a minimum of 3 comparable sales and should generally be used from sales closed within the last 12 months. Older sales may be used with justification for use evidenced in the file.
- For properties in established subdivisions, PUDs or established condo projects, the comparable sale must come from within the subject subdivision or project. Properties in new subdivisions, PUDs, or recently converted new or new condo projects comparable sales must meet the following requirements:
 - Can be a sale by the builder or developer (only one comparable sale allowed).
 - If there are no closed sales from within the subject subdivision or project, contract sales may be used. This must be in addition to the three closed sales obtained outside the subject subdivision or project.
 - If a contract or closed sale is not available, outside comparable may be used with justification for use evidenced in the file.
 - One comparable sale must be from outside the subject subdivision or project, and
 - The third comparable sale may be from inside or outside the subdivision or project.
 - Resales from inside the subdivision or project are preferable as they provide an accurate market value.
 - At a minimum, at least two comparable sales must be sales in which the builder or developer of the subject property is not involved in the sale transaction.
- Accessory Dwelling Units (ADU)
 - Legal or legal nonconforming zoning compliance:
 - At least one comparable with one ADU required. ADU must comply with zoning and land use requirements.
 - If a comparable sale with an ADU is not available in the subject neighborhood, the appraiser can use a comparable sale in the subject neighborhood without an ADU as long as the appraiser can justify and support such use in the appraisal report.
 - Illegal zoning compliance:
 - At least two comparable with one ADU required. ADU must be non-compliant with zoning and land use requirements.

NOTE: The appraiser is always allowed to provide more than three comparable sales to support the property value.

Subject Property and Marketability

- The property must have legal, appropriate ingress and egress.
 - The streets that allow access to the subject property must be maintained in a manner that generally meets community standards.
 - The comparable sales should include street maintenance similar to the subject property.
 - When differences exist between the ownership or maintenance of the subject property street and the comparable sale's streets, adjustments must be applied as applicable, and an explanation is required.
 - The appraisal must address the effect any differences might have on the subject property's value and marketability.

Declining or Increasing Market

- Appraisal must identify and address properties located within a declining or increasing market.



Unpermitted Additions

- The appraisal report must note any additions or alterations made without required permits and should contain comments on the quality and appearance of the work.

Special Items

- The appraisal report must note any:
 - Special Energy-efficient features
 - Adverse environmental conditions affecting the property
 - Observed physical deficiencies or adverse conditions, including those affecting:
 - Health
 - Safety
 - Structural soundness, or
 - The overall marketability of the property

Modular/Prefabricated Homes

- The appraiser must address the marketability of the property.

Property Condition and Quality

- Properties must be, at minimum, in average condition.
- To be acceptable, the property must have:
 - A Condition Rating of C1-C4, and
 - A Quality Rating of Q1-Q5
- The following ratings are **not acceptable**:
 - Condition Rating of C5 or C6, or
 - Quality Rating of Q6
- Additionally, the following applies:
 - A conventional heat source with the ability to maintain a temperature of 50° in areas of the property where there is plumbing.
 - Any broken glass that is a health hazard must be removed and the opening closed

Transferred Appraisals

- A transferred appraisal is acceptable when the following is provided:
 - A copy of the Freddie Mac Submission Summary Report (SSR) and Fannie Mae SSR with a Document File Status of "Successful" and a PDF version of the appraisal report,
 - An appraisal transfer letter, and
 - Confirmation that the appraisal is AIR compliant.

Appraisal Age and Updates

- With the exception of desktop appraisals, if the effective date of the appraisal report is more than 120 days, but not more than 12 months before the Note Date, an appraisal update is required. The effective date of an appraisal update must be no more than 120 days before the Note Date.
 - If the effective date of the appraisal report is more than 12 months before the Note Date, a new appraisal with an interior and exterior inspection is required
 - For desktop appraisals, if the effective date of the appraisal report is more than 120 days before the Note Date, a new desktop appraisal is required

Appraisal Waivers and Alternatives

- Appraisal waivers received based on the ACE, including mortgages secured by Condominium units, will be accepted per Freddie Mac guidelines. ACE+Property Data Report (PDR) and Form 70H, Uniform Residential Appraisal Report (Hybrid) are eligible for sale to Planet.



- **Automated Collateral Evaluation (ACE) – (Appraisal Waiver)**

Automated Collateral Evaluation (appraisal waivers) will be accepted per Freddie Mac guidelines. The ACE acceptance must be offered on the final LPA feedback certificate.

- **Automated Collateral Evaluation (ACE+PDR)**

ACE+PDR will be accepted per Freddie Mac guidelines. The ACE+PDR acceptance must be offered on the final LPA feedback certificate.

FEMA Disaster Areas

- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal review.
- For additional requirements, see ["Chapter 8: Loan Purchasing" on page 583](#).

Assets

Documentation requirements will be determined by LPA.

- All funds used to close the transaction must be disclosed on 1003 URLA and input into LPA.
- When an earnest money deposit for a purchase transaction is used to qualify the borrower for the mortgage transaction, evidence must be obtained that the earnest money cleared the borrower's bank account (e.g., copy of the canceled check, asset account statement or written statement from the EMD holder verifying receipt of the funds).
- When the earnest money is needed to meet the minimum contribution from the borrower's personal funds, the following is required:
 - Verify and document that the source of the earnest money is an eligible asset type.
 - Provide account statements or a direct account verification that covers the period up to and including the date the earnest money funds cleared the account.
 - The earnest money cannot be counted twice in the evaluation of the mortgage (i.e., deducted from the funds to close and counted in assets).
- Cash on hand, unsecured borrowed funds, or unverified funds are ineligible sources for assets.

Business Funds

Business funds are eligible for qualifying the borrower.

- Documentation of large deposits is not required if the Seller:
 - Reviews a minimum of the most recent two months business account statements.
 - Determine the deposits are typical for the borrower's business.
 - Withdrawals of assets from the business may have a negative impact on the ability of the business to continue operating. When business assets are being used for down payment, closing costs and/or reserves, the withdrawal must not have a negative effect on the business. In addition to a review and analysis of the personal and business tax returns, the current financial statement and/or the last three months of the business bank statements may be analyzed to confirm the deposits, withdrawals and balances are supportive of a viable business and are aligned with the level and type of income and expenses reported on the business tax returns.
 - The factors contributing to the determination that the withdrawal will not negatively impact the business must be included in the written analysis of the income source and amount.



Cash Value of Life Insurance

The cash value of a life insurance policy (not the face value) is eligible with documentation from the life insurance company verifying the following:

- The policy owner(s),
- The period covered and current cash value, and
- Any outstanding loans.
- When the cash value of the life insurance policy is needed for closing, evidence of liquidation is required.

Proceeds from Sale or Refinance of Real Property

Proceeds from the sale or refinance of the borrower's real property (including a 1031 exchange or a bridge loan) are eligible and require the following:

- The settlement/Closing Disclosure Statement or an alternative form required by law verifying the proceeds from the sale or refinance of the borrower's real property, and/or
- An executed buy-out agreement that is part of an employer relocation plan that takes responsibility for the outstanding mortgage(s).
- For refinance mortgages, the cash-out proceeds from the subject cash-out refinance transaction and any money back received on the subject "no cash-out" refinance transaction are not eligible sources of funds for reserves.

Evaluating Large Deposits

Documentation supporting the source of large deposits is required when all the following conditions are met:

- The deposit was made no more than 60 calendar days prior to the Application Received Date. If documentation showing large deposits made greater than 60 calendar days prior to the Application Received Date is provided additional documentation may be required.
- The deposit was made on or before the Note Date.
- The deposit is reflected on account documentation included in the Mortgage file.

For additional eligibility and documentation requirements, refer to the following Freddie Mac section [5501.1](#) and [5501.3](#).

Source of Funds Documentation

The source of funds for any "large deposit" if the deposit is needed to qualify the borrower for the mortgage transaction.

- Large deposits are considered a single deposit exceeding 50% of the sum of:
 - The total monthly qualifying income of the mortgage and
 - The amount derived from the asset calculation for establishing the debt payment-to-income ratio, if applicable.
- When a single deposit consists of both verified and unverified portions, the unverified amount may be used when determining whether the deposit is a large deposit, as described above.
 - When a large deposit is not verified and is not needed to qualify the borrower, the funds used for qualification must be reduced by the amount of unverified deposits. The reduced amount of the asset must be entered into LPA.
 - When the source of funds can clearly be identified (e.g., direct payroll deposits or tax refund), additional documentation is not required.



- When the source of funds needed for closing is, or otherwise originates from, assets located outside of the United States and its territories:
 - Funds must be transferred into a United States or State regulated financial institution and verified in U.S. dollars prior to the closing of the mortgage transaction, or
 - Combined value of assets must be at least 20% greater than the amount from these assets needed for closing.

Gift Funds/Gift of Equity

Gift funds are eligible with the following documentation:

- A gift letter signed by the donor and must:
 - State the donor's name and the funds are given by a related person
 - Include the donor's mailing address and telephone number
 - State the actual or maximum amount of the gift funds or gift of equity
- Establishing gift funds or gift of equity are a gift that does not have to be repaid
 - The loan file must include evidence of one of the following:
 - Transfer of funds from the donor's account in a financial institution to the borrower's account (copies of bank statements from the donor and the borrower's account, a copy of a canceled gift check, or a copy of a donor's withdrawal slip and the borrower's deposit slip), OR
 - Transfer of funds from the donor's account in a financial institution to the settlement or closing agent (a copy of a cashier's check or wire transfer confirmation).
 - Funds transferred using a third-party money transfer application or service are acceptable only when the documentation included in the mortgage file evidence that the funds were transferred using the application or service directly from the donor's bank account to the borrower's bank account or the settlement/closing agent.
- Gift funds received in the form of equity must be reflected on the Settlement/Closing Disclosure. When the gift of equity exceeds the amount required to close, any excess gift of equity may only be:
 - Used to pay off or pay down the borrower's debt at closing when paid by the property seller to the creditor.
 - Applied as a principal curtailment.
 - Investment properties: gift funds or gift of equity are not an eligible source of funds.
 - Second homes with LTV/CLTV greater than 80%: Minimum 5% borrower contribution from personal funds when gift funds or grants are used.
- Gift funds received as a wedding gift require the following documentation:
 - A copy of the marriage license or certificate, and
 - A verification of the gift funds in the borrower's depository account.
 - The gift funds must be deposited into the borrower's depository account within 90 days of the date of the marriage license or certificate.
- A gift or grant from an agency is acceptable when documentation supporting the gift or grant is provided. Acceptable documentation includes copies of grant program materials, award letters or terms and conditions provided to the borrower. The following documentation is required:
 - Establish that the funds were provided by an Agency,
 - Establish that the organization has an established gift or grant program,
 - Establish that the funds are a gift or grant that does not have to be repaid,
 - Provide evidence that the funds were received by the borrower or by the seller on the borrower's behalf, and
 - Identify the donor's mailing address.



- Gift funds received as a graduation gift from unrelated persons and/or related persons are an eligible source of funds for a mortgage secured by a primary residence. The gift must be deposited in the borrower's bank account within 90 days of graduation. The following must be provided:
 - Evidence of graduation from an educational institution (e.g., diploma or transcripts) that supports the date of graduations.
 - A verification of the gift funds in the borrower's depository account.

For additional eligibility and documentation requirements for source of funds used to qualify the borrower, refer to the following Freddie Mac section [4305.1](#) and [5501.4](#).

Marijuana/Cannabis

Assets derived from employment in the marijuana or cannabis industry is not an eligible source of assets, regardless of state law.

Employer Assisted Homeownership

An Employer Assisted Homeownership (EAH) Benefit may be used as a source of funds to qualify the Borrower for the Mortgage transaction if the terms of the EAH Benefit comply with the following:

- The EAH Benefit is provided to an employee from the employer pursuant to an established, ongoing and documented employer benefit program, provided (i) the employer is not an interested party (as described in Section 5501.5) and (ii) the funds were not obtained from an interested party either directly or through a third party.
- The Mortgage is secured by a 1- to 4-unit Primary Residence.

See [Chapter 5501.4](#) of the Freddie Mac Selling Guide for complete details.

Assumptions

Planet follows Agency guidelines.

AUS

° LPA "Eligible/Accept" results required. Manual underwriting is ineligible.

Available Markets

Delegated Sellers

Planet will purchase loans underwritten and closed by the delegated Seller in **all** states, the U.S. Virgin Islands (USVI) and Puerto Rico (see **Note**).

NOTE: Delegated Sellers must receive prior approval from Planet to deliver loans with properties located in Puerto Rico.

Non-Delegated Sellers

Planet will purchase loans from non-delegated Sellers in **all** states and the U.S. Virgin Islands (USVI). **All** loans require Planet underwriting approval.

Ineligible Territories



The U.S. Territories of American Samoa, Guam, and Northern Mariana Islands are ineligible regardless of delegation.

Borrower Eligibility

Eligible Borrowers

All borrowers are required to have a valid social security number.

Eligible borrower types include:

- Natural Persons, such as:
 - U.S. Citizens
 - Non-US Citizens, who are legally present in the U.S., including:
 - Lawful Permanent Residents
 - Lawful Non-Permanent Residents

NOTE: Legal residency documentation should remain valid for at least 90 days beyond the Note Date. If the Employment Authorization Document (EAD) will expire prior to that, a current [I-797 Notice of Action/Approval](#) showing evidence of renewal must be included in the loan file to support the likelihood of continued lawful presence.

The Seller is responsible for verifying the borrower's legal presence in the United States. Acceptable, current, and unexpired documentation must be provided to confirm legal presence based on each borrower's circumstances. By delivering the loan, the Seller is confirming this requirement is met.

- **Revocable Trusts**, provided the trust meets Freddie Mac requirements:
See [Freddie Mac Selling Guide Section 5103.5 - Living Trust](#)
 - The trust is established by one or more individuals (the settlors)
 - The settlor is also the primary beneficiary of the trust
 - The trust must be:
 - Revocable
 - Established pursuant to applicable law
 - Properly documented
- A Power of Attorney is ineligible with an Inter-Vivos Trust

Ineligible Borrowers

- Borrowers not legally present in the United States
- Borrowers with diplomatic immunity
- Borrowers without a Social Security Number or whose SSN cannot be validated by the Social Security Administration
- Foreign Nationals (individuals who are not lawful permanent or non-permanent U.S. residents)

Borrower Types

Co-Borrower: An individual who applies jointly with the borrower, takes title to the property and is liable for the debt. The co-borrower signs all documents. Co-borrower's income, assets and debt used for loan qualification.



Non-Occupant Co-Borrower: An individual who applies with the borrower, takes title to the property and is liable for the debt but does not live in the property. The non-occupant co-borrower's income may be used to calculate the DTI ratio. A non-occupying borrower cannot be an interested party to the transaction (i.e., the builder, property seller, real estate agent or broker).

Co-Signer: An individual who has no ownership interest in the property but is liable for the debt. Assets are always used for qualification. Income and debt are only considered when the co-signer occupies the subject property.

Non-Borrowing/Non-Purchasing Spouse: Generally, have no ownership interest in the property and are not liable for the debt. In community property/marital rights states, the non-borrowing spouse does have an interest in the property and is required to execute the security instrument and all applicable documents as determined by state law.

NOTE: Community property states: Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin.

Down Payment and Qualifying Ratio Requirements

When a co-signer is on the loan, the occupying borrower must make a minimum 5% of the down payment from their own funds unless:

- The LTV/TLTV ratio is $\leq 80\%$, and
- The occupying borrower is purchasing a 1-unit principal residence and meets the requirements of gifts to pay for some or all the borrower's minimum contribution.

Chain of Title

A 12-month chain of title is required for all loans (excluding new construction). Title must include all transfers in the previous 12-month period, including copies of all recorded deed(s). If more than one transfer in previous 12 months **or** property has significant increase in value since prior transfer, an appraisal addendum addressing all transfers is required.

Construction-to-Perm

The conversion of construction-to-permanent financing involves the granting of a long-term mortgage to a borrower for the purpose of replacing interim construction financing that the borrower has obtained to fund the construction of a new residence.

- Construction-to-permanent financing can be structured as a transaction with one or two separate closings, and both single closing and two closing transactions are eligible for purchase.
- All construction work, including any work that could entitle a party to file a mechanics' lien or materialmen's lien, must be completed and paid for, and all mechanics' liens and any other liens and claims that could become liens relating to the construction must be satisfied before the loan is closed with Planet. Planet will retain the appraiser's certificate of completion and a photograph of the completed property in the loan file. When a construction-to-perm mortgage loan provides funds for acquisition or refinancing of an unimproved lot and the construction of a residence on the loan, Planet will retain a certificate of occupancy or an equivalent from the applicable government authority.
- Units in a condo project are not eligible for construction-to-permanent financing.

Single-Closing Transactions (Integrated Documentation)



- Single-closing transactions may be closed as either a purchase or limited cash-out refinance.
- Transactions structured as a purchase: The borrower is not the owner of record of the lot prior to the loan application. Purchase LTV/TLTV limits apply.
- Transactions structured as a rate/term refinance: The borrower is the owner of record of the lot prior to applying for the interim construction financing. No cash-out (rate/term) LTV/TLTV limits apply.
- Must use additional due diligence to ensure the most recent information is obtained to help ensure any disruption to borrower's employment (or self-employment and or income) does not negatively impact the borrower's ability to repay the loan.

Two-Closing Transactions

- Two-closing construction-to-permanent transactions use two separate loan closings with two separate sets of legal documents. A modification may not be used to update the original Note — a new Note must be completed and signed by the borrowers. The first closing is to obtain the interim construction financing (and may include the purchase of the lot) and the second closing is to obtain the permanent financing upon completion of the improvements.
- The borrower is underwritten based on the terms of the permanent mortgage.
- Transactions are subject to the no cash-out and cash-out refinance maximum LTV/TLTV/HTLTV ratios, as applicable.
- Cash-out refinance transactions require the borrower to have held legal title to the lot for at least 6 months prior to the closing of the permanent mortgage.
- All other standard cash-out refinance eligibility and underwriting requirements apply.

See [Freddie Mac Selling Guide](#), Chapter 4602.4 - Construction Conversion and Renovation Mortgages for complete guidelines.

Credit

Tradeline requirements per LPA Feedback Certificate.

Credit Report/Scores

Per LPA

- At least one borrower on the loan must have a usable credit score
- When not all the borrowers have a usable credit score, all the following applies:
 - The transaction must be a purchase or no cash-out refinance mortgage
 - The property securing the loan must be a 1–4-unit primary residence
 - The borrower(s) with the usable credit score must contribute more than 50% of the total monthly income
 - The borrower(s) without a credit score are not self-employed

NOTE: Any debt not reported on the credit report requires documentation that has been paid satisfactorily for the most recent 12 months.

- A tri-merged credit report is required for all borrowers
- The representative credit score is determined as follows:
 - If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.
 - If there are two valid scores, the lower of the two is used
 - If there is one valid score, that score is used
 - Borrowers with frozen credit may have no more than one national credit repository's information frozen



The representative score for the loan is the lowest representative score for all borrowers.

- When the credit reports reflect inquiries made within the previous 90 days, the loan file must verify if new debt was granted, and the debt must be used to qualify the borrower.
- The credit report must be dated within 120 days of the Note date.
- Sellers are required to document that the borrower did not incur any new debt from the time the credit used to make the credit decision was pulled to the time of loan closing. Any of the following is acceptable documentation:
 - A "soft pull" credit report within 10 business days of the Note date, or
 - A debt affidavit, signed by the borrower(s) (sample form is posted on the CORE Seller Portal at www.phlcorrespondent.com under Forms and Resources), or
- A letter, written and signed by the borrower(s) stating no new credit was obtained.

Authorized user accounts are allowed per LPA with the below documentation:

- Document another borrower on the mortgage owns the trade line in question, or
- Document the trade line is owned by the borrower's spouse, or
- Document the borrower has been making the payments on the account for the last 12 months, or
- Document the authorized user account has an insignificant impact on the borrower's overall credit history.

See [Freddie Mac Selling Guide](#) for complete details on Credit Reports and Scores.

Derogatory Credit

For Accept and A-Minus mortgages, LPA has assessed the borrower's credit reputation and determined that the credit reputation is acceptable.

If the borrower has derogatory credit that is not reflected on the credit report and is not read by LPA, the loan must be downgraded to a manual underwrite and is ineligible for sale to Planet.

NOTE: ^o **Manually underwritten loans are ineligible.**

See [Freddie Mac Selling Guide](#) for complete requirements for derogatory credit requirements.

Judgments and Tax Liens

Must be paid prior to close.

Delinquent Child Support

Delinquent child support must be paid current or in a payment plan.

Deed/Resale Restrictions

Properties with age-related restrictions (55+ communities) are eligible subject to Freddie Mac requirements. ^o
All other properties subject to deed/resale restrictions are ineligible.

Down Payment Assistance

Per [Freddie Mac Selling Guide](#).



DTI

Per LPA with an "Eligible/Accept" Feedback Certificate.

All debts must be run through LPA to ensure accurate LPA Feedback Certificate.

Installment Debt

- When a monthly payment on an installment debt, other than a student loan, is not reported on the credit report or listed as deferred or in forbearance, documentation verifying the monthly payment amount must be obtained.
- For installment debts being omitted from the DTI ratio with less than 10 months of payment remaining, the information on the credit report or other documentation must show that there are less than 10 payments remaining.
- Installment debt with ≤ 10 months remaining will be considered as a recurring monthly debt obligation if it significantly affects the borrower's ability to meet their credit obligations.
- Monthly lease payments, regardless of the number of payments remaining, must be included in the borrower's monthly debt.

NOTE: For an automobile lease, when the remaining balance is paid off/prepaid, the monthly lease payment may be excluded from the DTI ratio.

IRS Installment Agreements

- When a borrower is obligated under an IRS installment agreement approved by the IRS for payment of past-due taxes, the following must be met:
 - The payment associated with the installment agreement must be included in the calculation of the borrower's debt payment-to-income ratio if there are more than 10 months of payments remaining under the agreement.
 - A copy of the installment agreement approved by the IRS verifying the payment terms, including the monthly payment amount and balance must be included in the loan file.
 - Verification that the borrower is not past due under the terms of the installment agreement must be obtained and included in the loan file.
 - There must be no indication, and the Seller must have no knowledge, that the IRS has filed a Notice of Federal Tax Lien for the taxes owed under the installment agreement.
- When the Borrower has applied for an installment agreement with the IRS that is pending IRS approval, the following requirements must be met:
 - A copy of the application for the installment agreement reflecting the amount of taxes owed and requested payment terms must be included in the Mortgage file,
 - The greater of the monthly payment amount requested by the Borrower or the amount of taxes owed divided by 72 must be included in the Borrower's monthly debt payment-to-income ratio, and
 - There must be no indication, and the Seller must have no knowledge, that the IRS has filed a Notice of Federal Tax Lien for the taxes owed by the Borrower.

Revolving or Open-End Accounts

- If the monthly payment is not included on the credit report, and there is no documentation indicating the monthly payment, 5% of the outstanding balance will be considered to determine the monthly payment.
- Monthly payments on open-end accounts (accounts which require the balance to be paid in full monthly) are not required to be included in the DTI ratio if the borrower has sufficient verified funds to pay off the outstanding balance. The funds must be in addition to any funds used to qualify the borrower.



Student Loans

- Student loans in repayment, deferment or forbearance:
 - In all cases, an amount greater than zero must be included in the monthly debt payment-income ratio for all student loans.
 - If the monthly payment amount reported on the credit report is greater than 0, use the monthly payment amount reported on the credit report, unless other documentation in the mortgage file supports a different current payment amount, or
 - If the monthly payment amount reported on the credit report is 0, use 0.5% of the outstanding loan balance, as reported on the credit report, unless other documentation in the mortgage file supports a different amount.
- For student loans in income-driven repayment plans:
 - The monthly payment amount, as described above, may be used for qualifying, unless documentation in the Mortgage file indicates the Borrower must recertify their income and/or the Borrower's payment will increase prior to or on the first Mortgage payment due date.
 - When documentation in the Mortgage file indicates the Borrower must recertify their income and/or that the Borrower's payment will increase prior to or on the first Mortgage payment due date, the Seller must include in the monthly debt payment-to-income ratio:
 - The greater of the current payment or 0.5% of the outstanding loan balance, or
 - The documented future payment amount if greater than the current payment, or
 - The future payment amount that is less than or equal to the current payment, provided that the Mortgage file contains documentation that the Borrower has recertified their income and the future payment amount has been approved. The future payment amount must be greater than zero.
- Student loan forgiveness, cancellation, discharge and employment-contingent repayment programs:
 - The student loan payment may be excluded from the DTI ratio if the mortgage file contains documentation that indicates the following:
 - The student loan has 10 or less monthly payments remaining until the full balance of the student loan is forgiven, canceled, discharged or in the case of an employment—contingent repayment program, paid, or
 - The monthly payment on a student loan is deferred or is in forbearance and the full balance of the student loan will be forgiven, canceled, discharged or in the case of employment-contingent repayment program, paid, at the end of the deferment or forbearance period, AND
 - The borrower is eligible or approved, as applicable, for the student loan forgiveness, cancellation, discharge, or employment-contingent- repayment program, and the Seller is not aware of any circumstances that will make the borrower ineligible in the future. Evidence of eligibility or approval must come from the student loan program or the employer, as applicable.

Alimony/Child Support/Separate Maintenance Payments

- If there are more than 10 months of payments remaining the monthly payment amount must be documented with a copy of the signed court order, legally binding separation agreement and/or final divorce decree, or equivalent.
 - The payments must be deducted from the borrower's monthly stable income.
 - For payments being omitted from the DTI ratio due to 10 or fewer months of payment remaining, documentation must be provided that shows there are 10 or fewer months of payments remaining.



Contingent Liabilities

Contingent liabilities may be excluded from the monthly debt ratio when the following requirements below are met:

- Revolving, Monthly Lease Payment, Installment (not including mortgages)
 - File must indicate a party other than the borrower has been making timely payments for the most recent 12 months.
 - The party making the payments is not an Interested party to the subject property or mortgage transaction.
- Mortgages
 - File must indicate a party other than the borrower has been making timely payments for the most recent 12 months.
 - Party making the payments is obligated on the Note
 - The party making the payments is not an Interested party to the subject property or mortgage transaction.

Self-Employed Borrower

When a self-employed borrower is obligated on a debt that has been paid by the borrower's business for 12 months or longer, the monthly payment for the debt may be excluded from the monthly debt payment-to-income ratio if the following requirements are met:

- The debt has been paid timely by the borrower's business for no less than the most recent 12 months, and
- The tax returns must evidence that the business expenses associated with the debt (interest, lease payments, taxes, insurance has been reported and support that the debt has been reported and support that the debt has been paid by the business.

Court Ordered Assignment of Debt

Debt that has been assigned by order of the court is not required to be included in the borrower's DTI calculations; however, the payment history for the debt prior to its assignment should be reviewed. A copy of the court order is required.

Employment and Income

Employment History and Verification

General Employment Requirements

- A 2-year employment history is required for both wage earner and self-employed borrowers.
- A VVOE is required within 10-business days **prior** to the Note date for salaried borrowers and within the 120 calendar days **prior** to the Note date for self-employed borrowers.
 - A military Leave and Earnings Statement dated within 30 days prior to the Note date is acceptable for active-duty military in lieu of a verbal verification of employment (VVOE).
 - See [Freddie Mac Selling Guide](#) Chapter 5302 for alternative methods for employment verification.
- For borrowers who re-entered the workforce and have less than a 2-year employment and income history, income may be used for qualifying if documentation is provided indicating the borrower has been at their current employment for a minimum of 6 months and there is documented prior employment history.
- When a Borrower has less than a two-year history of primary employment, the Seller must provide its justification for determining that the employment is stable. When making this determination, the Seller



must take into consideration factors such as income and/or employment characteristics and the overall layering of risk factors, including the Borrower's demonstrated ability to repay obligations.

- Income documentation is determined by LPA unless detailed below.
- See [Freddie Mac Selling Guide](#) Chapter 5302, for complete employment requirements.

Wage Earner Borrowers

- At minimum, a current paystub with YTD earnings and the most recent W-2 is required.

NOTE: Per [Bulletin 2025-7](#), W-2 documentation is no longer applicable when income consists solely of military base pay and/or military entitlements.

- For income types such as hourly wages that may include minor fluctuations or are subject to minimum hour guarantees, refer to Freddie Mac Selling Guide [Section 5303.1](#) for detailed guidance on determining whether income is considered fluctuating or non-fluctuating.

Temporary Leave

Temporary leave is generally short in duration and is used for circumstances such as family and medical reasons, maternity, short-term disability, etc. The income from a borrower who is on temporary leave is eligible for qualification subject to the following:

- Borrower's employment and income meet standard eligibility requirements
- Borrower must provide written confirmation of the intent to return to work and indicate the return date
- Documentation must be provided verifying the borrower's pre-leave income (i.e., regular base pay, commission, bonus income, etc., as applicable)
- Documentation generated by the employer confirming the borrower's eligibility to return to work after the leave (e.g., employer-approved leave request, Family Medical Leave Family, etc.). Documentation may be provided by the employer or a third-party vendor.
- Borrower must demonstrate their ability to repay the mortgage and all other monthly obligations.
- The following documentation is also required for borrower's returning to work after the first mortgage payment is due:
 - Documentation evidencing the amount, duration and consistency of all temporary leave income sources used to qualify the borrower (e.g. short-term disability, insurance, sick leave benefits, temporarily reduced income from the employer, etc.) that is being received by the borrower during the leave, and
 - Documentation that substantiates and verifies any liquid assets used to supplement the reduced income due to the leave, and
 - A written statement from the underwriter explaining the analysis used to determine the qualifying income.

Calculation of the income is as follows:

- Borrower **returning to work** prior to or on the first mortgage payment due date, the borrower's pre-leave gross monthly income is used for qualifying
- Borrower **is not returning to work** by the first mortgage payment due date:
 - Borrower's temporary leave income that will be received for the duration of the leave, or
 - In the event the temporary leave income is reduced or interrupted, the income reduced, or interrupted income may be combined with the borrower's available liquid assets to qualify.
 - The total qualifying income cannot exceed the borrower's pre-leave gross monthly income amount.



See [Freddie Mac Selling Guide Chapter 5302.2](#) - Employed income documentation and verification requirements.

NOTE: Assets required for down payment, closing/financing costs, prepaids/escrows, and reserves are ineligible to use for qualification.

Amended Tax Returns

- Amended tax returns are permitted, subject to the following requirements:
 - Original and amended tax returns are required. Tax transcripts for the amended tax returns must be obtained and be provided from the IRS. Borrower obtained tax transcripts for amended tax returns are not allowed.
 - Tax returns must be amended prior to the application date. Tax returns amended after the application date are not allowed.
 - Amended tax returns must be accepted by the IRS.
 - If the borrower owes taxes to the IRS, the full amount must be paid in full. Installment agreements for taxes are allowable if Agency guidelines are met.
 - An explanation for the amended tax returns is required to be obtained from the borrower if the income is being used to qualify.

See [Freddie Mac Selling Guide Chapter 5302.4](#) - Tax returns and tax return information: Documentation and verification requirements.

Self-Employment, Business Ownership, and Tax Documentation

Self-Employed Borrowers

- Self-employed borrowers are individuals who have 25% or greater ownership interest in a business. The business may be a sole proprietorship, a Partnership (general or limited), an S Corporation or a corporation.
 - The ownership interest percentage must be verified by a review of the federal income tax returns for the business, including the IRS Schedule K-1 or IRS Form 1125-E, Compensation of Officers. If these documents do not provide this information, the ownership interest percentage must be verified with a letter from the accountant for the business or similar documents.
 - If the applicant has an ownership interest in one or more businesses, but the ownership interest is not 25% or more for any business, see ["Borrowers with Business Ownership Interest\(s\) Less Than 25%" on the next page](#).
- An income analysis must be completed for self-employed borrowers

Self-Employment less than two years

Refer to Freddie Mac Selling Guide Chapter [5304.1\(c\)](#) to ensure all other criteria for borrowers with less than two years self-employment history are satisfied:

If LPA allows 1 year of returns:

- The borrower must have 5 full years of self-employment in the same business, and
- The tax returns the borrower is qualified on must be the most current tax year. If the borrower has filed an extension for the most current tax year, reduced documentation is ineligible.



If 2 years are required:

- Copy of the most recent 2 years signed federal individual and business tax returns with all schedules.
- If LPA requires business returns, business tax transcripts will be required. The requirement for business tax returns may be waived if:
 - The borrower is using personal funds for down payment and closing costs
 - The borrower has been self-employed in the same business for a – minimum of 5 years
 - The borrower's individual tax returns show an increase in self-employment income over the past 2 years.

Self-employment income disclosed but not used to qualify:

- If self-employment income is disclosed in the file but not used to qualify the borrower, no additional documentation or analysis is required when:
 - The borrower has a primary source of income (other than self-employment) that is used to qualify, and
 - The self-employment income is secondary and not relied upon for qualifications.

Borrowers with Business Ownership Interest(s) Less Than 25%

For use of ordinary income (loss) or guaranteed payments for services reported on IRS Schedule K-1 as stable monthly qualifying income, the following must be met:

- ["Self-Employed Borrowers" on the previous page](#) requirements, or
- All requirements of employed income must be met, and
 - The borrower should not have an ownership interest of 25% or more in any business.
 - When using employed income for qualification, the historical cash distributions must be reasonably consistent with the ordinary business income reported on the K-1s.

Required documentation:

- Schedule K-1s for the most recent two calendar years for Partnerships and S Corporations
- Documentation of all YTD income, if available (e.g., most recent YTD paystub or equivalent). If YTD information is not available (e.g., due to year-end payment structures), the underwriter may document and justify the income stability without this information.
- The Schedule K-1(s) must evidence less than 25% ownership interest for the individual borrower
- Verification of current existence of business.

History Requirements:

For ordinary business income, a two-year consecutive history is required.

For guaranteed payments for services, a two-year history is required; however, in certain instances, a shorter history may still be considered stable if the underwriter provides a written analysis and sufficient supporting documentation justifying the determination of stability (e.g., recently changed from an employee of the same firm to a partner with a nominal ownership interest). In no event may the history be less than 12 months.

All income must be likely to continue for at least the next three years.

To calculate the income, the average must be based on the documented history of receipt and support a consistent level of income.

The Seller must determine of additional information and/or documentation is required to support and justify the monthly income based on the individual circumstances.



Guaranteed payments from partnerships

History of receipt for non-self-employed borrowers who receive **guaranteed payments for services** from a partnership (Schedule K 1). A history of less than one year may be considered **stable monthly income** when **all** of the following conditions are met:

- **Professional services partnership** — The guaranteed payments are received from a professional services partnership (e.g., accounting firm, law firm).
- **Recent transition to partner** — The borrower recently transitioned from employee to partner within the same firm and holds only a nominal ownership interest (e.g., 0.01%, 2%).
- **Required documentation** for guaranteed payments and ownership interest:
 - Most recent year to date (YTD) earnings and payment information (e.g., YTD paystub or equivalent)
 - Schedule K 1, if applicable
 - Partnership agreement

Refer to the documentation requirements outlined in the [Freddie Mac Selling Guide Chapters 5303.1\(b\) and 5303.1\(c\)](#) when the history of receipt is less than two years.

IRS Form 1099 Income

For borrowers receiving IRS Form 1099(s) for services performed; this pay structure is often referred to in terms such as contractor or contingent worker. For this income type, Sellers must use either:

- The requirements and guidance for self-employed income, or
- The guidance in this section.

Income received on IRS Form 1099 for services performed may be reported on Schedule C and may represent a sole proprietorship. If the Seller determines that the borrower is a sole proprietor, refer to the requirements and guidance in Freddie Mac Selling Guide Chapter 5304. Factors the Seller may consider when determining whether income reported on Schedule C is representative of a sole proprietorship include, but are not limited to, the principal business or profession, gross receipts or sales, cost of goods sold, and the type and level of expenses reported.

Required Documentation:

- All 1099s for the most recent 2-year period,
- YTD paystubs or YTD earnings statements received by the borrower,
- Complete federal individual income tax returns covering the most recent 1-year period, and
- The Seller must determine if more information and documentation is needed for determining stable monthly income.

A two-year history of receipt is required. However, in certain instances, a shorter history of no less than 12 months documented on the tax returns may be considered stable if a written analysis and sufficient supporting documentation is provided.

IRS Schedule C must evidence all of the following:

- Gross receipts or sales are equal to the total amount(s) reported on IRS Form 1099(s).
- Total expenses are ≤5% of gross receipts or sales after deducting non-cash expenses (e.g., depreciation).
- The cost of goods sold is \$0.
- A 12-month history of 1099 and reported expenses.



Automated Employment Assessment with LPA

Per [Bulletin 2025-7](#), Freddie Mac has updated the eligible earnings for automated employment assessment with Loan Product Advisor to permit earnings from Borrowers with income reported on Internal Revenue Service (IRS) Form 1099 for services performed when employment is assessed using account data. Sellers may rely on this method when all requirements of Freddie Mac Selling Guide [5302.6](#) are met.

Other Sources of Income

- Other sources of income are eligible for qualifying the borrower. LPA determines the documentation, verification, and continuation requirements for other sources of income.
- 2-year consecutive history of receipt, with 3 years likely continuance, on the following types of income when used for qualifying:
 - Automobile allowance
 - Bonus
 - Commission
 - Dividend and interest documented by signed individual federal tax returns
 - Foster care
 - Overtime
 - Tip income
 - Income from a second/additional job and seasonal employment requires 2-year consecutive history **and** must be likely to continue for a minimum of 3 years.

Retirement and Benefit Income

- The following sources of income require one or more evidence of source, benefit type, payment amount, payment frequency and documented receipt per Freddie Mac Selling Guide:
 - Retirement Income (Social Security, Pension, Annuity)
 - Survivor and dependent benefit income
 - Long-term disability and, if there is a pre-determined expiration, it must continue for a minimum of 3 years.
 - If IRS Form 1099 is used to verify existing pension income and clearly documents the income type and source, age-of-documentation requirements do not apply.

Rental Income

- Rental income is eligible subject to Freddie Mac Selling Guide [Chapter 5306.1](#).

Income Commencing After the Note Date

See Freddie Mac Selling Guide [Chapter 5303.2](#)

If the borrower is scheduled to begin new employment or receives a future salary increase after the Note Date, the income may be considered for qualification if all the requirements under either Option One or Option Two are met, listed below.

General Eligibility

- Income must be from either:
 - A new primary employment
 - A future salary increase with the current primary employer
- Income must be non-fluctuating and salaried (e.g., fluctuating hourly earnings are not permitted).
- Hourly earnings from a new employer may only be used to qualify when there is a guaranteed minimum number of weekly hours.



- Hourly earnings from the current employer with a future increase in the pay rate may only be used to qualify when documentation in the loan file demonstrates that current and future hours do not fluctuate.
- The employer must not be:
 - A family member
 - An interested party to the real estate or mortgage transaction
 - The Borrower's income at time of Delivery must be no less than the income used to qualify the loan

Option 1:

- Start date of new employment or future salary increase must be no later than 90 days after the Note Date.
- Start date can be before or after the delivery date.
- Eligible for:
 - Purchase
 - No Cash-Out Refinance transactions
 - 1-unit Primary Residences Only
- Additional funds required:
 - Seller must verify that the borrower has sufficient funds to cover:
 - Monthly housing expenses and liabilities from the Note Date through the start date of new employment, plus one additional month
 - Partial months count as one full month for calculation purposes
 - The required amount of funds may be reduced by the amount of the verified gross income expected during this period regardless of whether it is used for qualification or expected to continue)
- The following documentation is required:
 - A copy of the employment offer letter, employment contract or other evidence of the future salary increase from the current employer that satisfies all the following requirements:
 - Is fully executed and accepted by the borrower.
 - Non-contingent or provide documentation, such as a letter or e-mails from the employer verifying all contingencies have been cleared (Probationary periods including training or orientation are not considered a contingency of employment offer), and
 - Includes the terms of employment, including employment start date and annual income based on non-fluctuating earnings.
- For a future salary increase provided by the current employer, the documentation must show the increase is fully approved and is explicitly granted to the borrower.
- A 10-day pre-closing verification (PCV) is required verifying the terms of the employment offer letter, contract or future salary increase have not changed.
- All documentation of additional funds and calculations for the Verification of Additional Funds Worksheet must be completed in accordance with guideline requirements specified in (5303.2, 5401.1, and 5401.2).

Option 2:

- New employment start date or future salary increase, may occur any time after the Note Date, provided it is before the Delivery Date.
- Eligible employment and income
 - Income must be from new primary employment
 - Income must be non-fluctuating and salaried (e.g., hourly earnings are not permitted)
- Eligible for:
 - Purchase
 - No Cash-Out Refinance transactions



- Cash-Out refinance
- 1- to 4-unit Primary Residence
- Second home
- 1- to 4-unit Investment Property
- The following documentation is required:
 - A copy of the employment offer letter or employment contract that:
 - Is fully executed and accepted by the borrower.
 - Includes the terms of employment, including employment start date and annual income based on non-fluctuating earnings.
 - Annual income based on non-fluctuating earnings.
 - Paystubs, written verification of employment (VOE) or a third-party employment verification supporting the income for qualifying the borrower must be provided.
- As of the delivery date, the income must be no less than that used to qualify the borrower.
- All documentation of additional funds and calculations for the Verification of Additional Funds Worksheet must be completed in accordance with guideline requirements specified in (5303.2, 5401.1, and 5401.2).

Asset Depletion/Accumulated Assets as Income

NOTE: For loans using Asset Depletion as an income source, review approved MI provider requirements to determine eligibility.

Assets that will be used by the borrower for the repayment of their monthly obligation may be used to qualify the borrower for the mortgage, if all of the following are met:

Mortgage Eligibility

- All occupancy types are permitted, including:
 - Primary Residence
 - Second Home
 - Investment Property
- The mortgage is secured by either:
 - A Purchase transaction or
 - A “No cash-out” refinance
 - Maximum LTV, TLTV, and HTLV ratios must comply with the Freddie guideline requirements

See Freddie Mac Selling Guide, Chapters [5307.1](#) and [4203.1](#).- Assets as a basis for repayment of obligations.

Minimum Net Eligible Assets

- A minimum net eligible asset amount of \$30,000 is required

Calculation of Qualifying Income

- Net eligible assets are calculated by subtracting the following assets from the total eligible assets and dividing by 180 months:
 - Any funds paid by the borrower to complete the transaction (i.e., down payment & closing costs),
 - Gift funds, and borrowed funds, and
 - Any portion of assets pledged as collateral for a loan or otherwise encumbered.

NOTE: The resulting figure is the “qualifying asset amount” used to establish the DTI ratio.



Depository Accounts & Securities

- Depository accounts and securities must be seasoned for 12 months prior to the Note Date, unless the account is funded from an eligible source.
- If the account balance has changed from the current statement compared to the statement 12 months prior.
- **For depository accounts if the balance decreased greater than 20%:** The account is not eligible for qualifying the Borrower unless the decrease is documented as a transfer of funds from a depository account to a securities or retirement account.
- **For depository accounts if the balance increased greater than 20%:** The eligible documented asset amount is limited to **120% of the account balance 12 months prior** to the current statement.
- The 120% limitation does not apply when the increase is documented as resulting from an eligible transfer or source, including:
 - Eligible retirement account transfer
 - Transfer from another eligible depository account
 - Transfer from an eligible securities account
 - Eligible lump-sum distribution
 - Proceeds from the sale of the Borrower's business
 - *Proceeds from the sale of the Borrower's business must have been deposited into a depository or securities account owned by the Borrower and held continuously for at least 90 days as of the current account statement.*
- Proceeds from the sale of the Borrowers real property

Third Party Verification

- Third-party verification reports that meet the requirements of [Chapter 5302.3\(a\)](#) may be used to document depository accounts and securities.

Reserves

- Per LPA Feedback. All reserves entered into LPA must be verified.
- Reserves are based on the full monthly payment amount for the property including principal and interest, hazard insurance, taxes, and, as applicable, mortgage insurance premium, leasehold payment, HOA dues, and payment on any secondary financing.

Acceptable Sources of Reserves

- Checking/savings accounts
- Investments in stocks, bonds, mutual funds, certificates of deposit, money market funds, and trust accounts are eligible assets.
 - When used for reserves, up to 70% of the value of the asset may be considered, and liquidation is not required.
- Retirement Accounts per agency guidelines.
- Cash value of a vested life insurance policy

For any topics not addressed in this section, refer to Freddie Mac Selling Guide [Chapter 5307.1](#).

Ineligible Income

Marijuana/Cannabis

Income derived from employment in the marijuana or cannabis industry is not an eligible source of income, regardless of state law.



Escrow/Impound Account

- >80% LTV required unless prohibited by state law
- ≤80% LTV not required; refer to rate sheet for pricing adjustment

Escrowed Flood Insurance Premiums

Escrowed flood insurance premiums are required on all loans including, but not limited to, Higher Priced Mortgage Loans (HPML). When the subject property is in a special flood hazard area, the Seller must provide the following:

- Evidence that flood insurance premiums have been escrowed (regardless of any other fees and charges associated with the loan).
- Seller must use Standard Flood Hazard Determination Form (SFHDF) on all properties.

Condominium Flood Insurance

- The condominium homeowners association must maintain building coverage for the lower of:
 - (1) 80% of the building's replacement cost, or
 - (2) The maximum coverage amount available from NFIP per unit.
- If the association's coverage meets the above requirements but the unit allocation is less than 1-4 units coverage requirement, the borrower must maintain supplemental coverage for at least equal to the difference between:
 - The condo association's building coverage allocated to the unit, and
 - The amount required for a 1-4 unit property.

NOTE: Planet will not purchase loans with negative escrow balances.

Exclusionary List

Seller is responsible for checking all parties on the transaction against Freddie Mac's Exclusionary List and LDP/GSA (SAM).

Financed Properties

When the subject property is a second home or investment property, each borrower individually and all borrowers collectively must not own and/or be obligated on (e.g., notes, land contracts and/or any other debt or obligation) more than 10 1-4 unit financed properties, including the subject property and the Borrower's Primary Residence. The LPA must have an Accept/Eligible result.

° Planetwill purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Examples of financed properties that do not have to be counted in the limitation include:

- Commercial real estate
- Multifamily (five or more units) real estate
- Timeshares
- Undeveloped land
- Manufactured homes not titled as real property (Chattel Lien); the property is situated on the land that is titled as real property
- Properties titled in the name of a trust where the borrower is a trustee, provided that the borrower, in his or her individual capacity, is not on title and/or not obligated on the property.



Higher-Priced and High-Cost Loans

- Higher priced mortgage loans (HPML) are eligible subject to the following:
 - Establishment of an escrow account for taxes and insurance on primary residence transactions, and
 - Loan must meet all applicable and/or federal compliance requirements, and
 - Loan must be fixed rate
- High-cost loans are **ineligible**.

Homeownership Education

Homeownership Education is defined as a course that prepares borrowers for the responsibilities of homeownership, including budgeting, credit, mortgage financing, and home maintenance.

- At least one borrower must complete homeownership education prior to closing for:
 - Home Possible® purchase transactions when all occupying borrowers are first-time homebuyers
 - Education is not required for Home Possible® refinance transactions
 - HomeOne® purchase transactions when all borrowers are first-time homebuyers
 - Any transaction where the borrower(s) have credit established solely using noncredit payment references
- When required, education must be completed prior to closing through one of the following:
 - CreditSmart® Homebuyer U
 - A HUD-approved housing counseling agency
 - A program provided by a housing finance agency (HFA), CDFI, MI company, or other provider meeting National Industry Standards
 - Delivery may be in-person, online, phone-based, or hybrid
 - A certificate of completion must be retained in the loan file
 - Housing counseling may be used in lieu of education when applicable
- See [Freddie Mac Selling Guide Chapter 5103.6](#) for complete requirements

Inspections

- Septic inspections are only required when the appraiser indicates there is evidence the septic system is failing.
- Termite inspections are only required when the purchase contract requires one, or the appraiser indicates there is evidence of active infestation.
- Well inspections are only required when state or local regulations require or if there is an indication the well may be contaminated.

Interested Party Contributions

Overview

Interested Party Contributions (IPCs) are contributions made by third parties with a vested interest in the transaction. These funds are used to cover costs that are typically the responsibility of the property purchaser. IPCs may include financing or sales concessions, as described below.

IPCs may not be used to:

- Make the borrower's down payment
- Reserve requirements or
- Satisfy the minimum borrower contribution requirement



Acceptable IPCs include:

- Funds paid directly from the interested party to the borrower
- Funds that flow from an interested party through a third-party organization, including nonprofit entities, to the borrower
- Funds that flow to the transactions on the borrower's behalf from an interested party (includes third-party organization and nonprofit agency)
- Funds donated to a third party who provides the funds to pay some or all the closing costs for the transaction

Interested Parties

Interested parties to a transaction include, but are not limited to:

- Builder or Developer
- Property Seller
- Real Estate Agent or Broker
- Any affiliate of the above, or
- Any party that will benefit from the sale of the property at the highest possible sales price.

NOTE: A lender or employer is not considered an interested party unless it is the property seller or affiliated with another interested party. *Affiliation exists when there is direct or indirect common ownership or control between the interested party and the lender, or between both and a third party.*

Financing Concessions

Financing concessions are financial contributions from an interested party that benefit the borrower in connection with the financing of the mortgage. Financing concessions are subject to the IPC limits noted below.

Financing concessions include:

- **Loan-related fees:**
 - Attorney's fees
 - Commitment fee
 - Discount points
 - Origination fee
 - Real estate tax service fees
 - Survey charges
 - Title insurance premiums
 - Transfer taxes
- **Credits or Payments** related to acquiring the property or financing terms
- **Prepaid items**, such as:
 - Escrow accruals for borrower paid MI
 - Hazard insurance premiums (≤ 14 months), HOA dues (≤ 12 months)
 - Mortgage insurance premiums, and
 - Prepaid items such as interest charges (no more than 30 days)
 - Real estate taxes covering any period after the settlement date

NOTE: HOA dues must be collected at closing, transferred directly to the HOA, and reflected on the CD.



Maximum Financing Concessions

Financing concessions are subject to the following limits, based on occupancy and LTV/TLTV:

Occupancy Type	LTV/CLTV	Maximum Allowable Contribution
Primary Residence or Second Home	> 90%	3%
	75.01-90%	6%
	75% or less	9%
Investment Property	All	2%

Financing concessions must not exceed the borrower's total closing costs. Any amount above that threshold is considered a sales concession.

Sales Concessions

Sales concessions are IPCs that:

- Take the form of non-realty items or cash equivalents, or
- Exceed allowable maximum financing concessions

Examples of sales concessions include:

- Cash gifts
- Decorator allowances
- Furniture or appliances
- Lender incentives provided by or affiliated with an interested party
- Moving costs
- Realtor rebates

NOTE: A realtor rebate not applied to the transaction must be treated as a sales concession, regardless of when it is provided.

Excess Financing concessions

If total concessions (sales + financing) exceed the allowable maximum financing concessions, the excess must be:

- Deducted from the property's sales price, and
- The lower of the adjusted price or appraised value must be used to calculate LTV/TLTV ratios

Lender Incentives

Lender incentives are contributions of cash, cash-like items (e.g., gift cards, prepaid debit cards), or items of value given by the lender or on behalf of the lender.

Lender incentives must:

- Not be used to qualify the borrower (i.e., for reserves, closing costs, down payment).
- Not be mortgage-funded (e.g., cannot be derived from premium pricing).



If the lender is an interested party or is affiliated with one, any incentive must be treated as a sales concession and counted toward the maximum financing concessions.

NOTE: The previous \$500 cap and documentation requirement for lender incentives has been removed.

IPC Exclusions

The following are not considered IPCs and are not subject to the above limits:

- Lender credits derived from premium pricing (if lender is not an interested party)
- Gift funds or gifts of equity from acceptable, unaffiliated donors
- Pro-rated real estate tax credits
- Builder forward commitment costs not specific to the transaction and executed prior to borrower contract signing (see Interest Rate Buydowns below)

Customary Fees Not Subject to Maximum Financing Concessions:

Seller-paid fees that are considered common and customary in the market (e.g., owner's title and transfer tax) are not subject to IPC limits, even when paid by an interested party.

Undisclosed IPCs

Mortgages with IPCs paid outside of closing and not disclosed on the Settlement/Closing Disclosure Statement are ineligible.

Interest Rate Buydowns

If a temporary or permanent interest rate buydown is funded by an interested party:

- It is considered a financing concession
- It must be included in the IPC calculation and remain within the applicable limit

Builder-paid forward commitments (e.g., to secure rate locks) may be excluded from IPC limits if obtained prior to borrower contract execution and not transaction-specific. The Seller must deliver ULDD Data Point Investor Feature Identifier valid value "J70" for each Mortgage with rates provided based on builder forward commitments as required by [Section 6302.53](#).

Payment Abatements

- Payment abatements funded by interested parties or nonprofits are not permitted, even if disclosed.

NOTE: The payment of HOA fees is not considered an abatement unless the payment of the fee extends for more than 12 months. Paying HOA fees for 12 months or less is considered an IPC.

Investment Property Requirements

Per LPA investment properties must meet the following requirements:

- Must be a fixed-rate mortgage
- Must not be an A-minus mortgage



- Borrower does not have an ownership interest in, is not an employee of, or affiliated with or related to the builder, developer or property seller of newly constructed homes that are purchase transactions
- Borrower must not own and be obligated on more than ten 1-4 unit financed properties, including the subject property and borrower's primary residence (see Servicing Guide for examples of financed properties that do not have to be counted).
- Monthly housing expenses related to the borrower's current primary residence may be used in calculating the borrower's monthly housing expense-to-income ratio
- Reserves requirement must be met
- Aggregated negative rental income from all rental properties must be treated as an obligation and considered in calculating monthly debt payment-to-income ratio
- Gifts/grants are not allowed
- If rental income is not used for qualifying, the monthly payment amount (as described in section 5401.2) for the Mortgaged premises plus operating expenses must be used in calculating the monthly debt payment-to-income ratio.
- See Section 5306.4 of the Freddie Mac Selling Guide for additional requirements.

See Section 4201.16 of the [Freddie Mac Selling Guide](#) for complete details.

Maximum Loan Amount

The maximum loan amount is determined by county. See [Federal Housing Finance Agency](#) high-cost area summary.

Minimum Loan Amount

° \$40,000.00

Mortgage Insurance

- Loans with >80% LTV require mortgage insurance and are subject to MI guidelines.
- Eligible MI products:
 - Borrower Paid Mortgage Insurance (BPMI). Monthly, single, or split premium are eligible. See ["Chapter 4: Mortgage Insurance" on page 33](#) for detailed requirements.
 - Lender Paid Mortgage Insurance (LPMI). Single premium only.
- Eligible MI options:
 - Non-refundable
 - Refundable
 - Level/constant renewal type (as applicable)

Planet will accept mortgage insurance issued by MI companies that are Freddie Mac approved.

Mortgage insurance coverage is determined by LTV and loan term as detailed below:

Required MI Coverage			
Loan Terms	LTV		
	80.01 - 85%	85.01 - 90%	90.01 - 95%
≤ 20-year fixed rate	6%	12%	25%
Fixed Rate, term > 20 year, and ARMs	12%	25%	30%



LPMI Adjustments (No Single Premium BPMI Allowed)				
LTV and Coverage				
	80.01 - 85%	85.01 - 90%	90.01 - 95%	95.01 - 97%
Fixed Rate	12%	25%	30%	35%
ARMs	12%	25%	30%	

Mortgage/Rental History

Per LPA

- If delinquencies are allowed, a satisfactory explanation is required and is subject to underwriter review
- Current mortgage must be current for the month closing
- To verify the monthly payment amount, third-party documentation is required if the credit report does not provide the monthly housing payment.
- Evidence of verification of mortgage payment history and/or rental payment history for the 12-month period prior to mortgage application must be included in the file.

Prior Approval and Special Agreements

- In accordance with **Freddie Mac** Selling Guide Section 5201.1(e)(iii)(B), loans originated under a Seller-specific Special Agreement/Arrangement with Freddie Mac are ineligible for purchase by Planet, as such agreements are non-transferable.
- All loans delivered to Planet must fully comply with standard Agency guidelines

Non-ARMs' Length or Identity of Interest Transactions

- A non-ARM's length transaction is a purchase transaction where there is a relationship or business affiliation between the buyer and seller of the property
- Non-ARM's length transactions are eligible for resale properties on all occupancy types
- When a non-ARMs length transaction occurs on a property that is new construction, the property must be primary residence only. Non-ARM's length transactions on new construction properties are ineligible if the property is a second home or investment.
- An identity of interest transaction involves parties who are not related and do not have close personal ties. However, they have a strong interest in the transaction. Identities of interest transactions are eligible on owner-occupied transactions; however, an additional review will be required to ensure validity of the transaction, value, etc. Additional documentation and/or a desk review or second appraisal may be required at underwriter discretion.

Occupancy

- Owner-Occupied
 - An active-duty military borrower who is unable to occupy the primary residence prior to the delivery date due to military service will be considered an owner-occupied property mortgage. The borrower's military orders must verify that the borrower is temporarily unable to occupy the primary residence due to the military assignment.
- Second Home
- Investment (non-owner occupied)

Power of Attorney

The following requirements apply to all transactions when a Power of Attorney (POA) is utilized:



- Use of the POA must meet all applicable state, federal and agency guidelines.
- The attorney in fact must be an eligible person (the following are examples of ineligible persons: real estate agent, seller or a person related to the seller, any employee of the lender, any employee of the title company, title agent or settlement agent, or any other party with a financial interest in the transaction (other than a relative of the borrower).
- The POA must be signed and notarized.
- For a Texas 50(a)(6) transaction, there must be proof in the file that the POA met all 50(a)(6) signing requirements.
- A trustee of a trust cannot sign using a POA.

Prepayment Penalty

Not permitted.

Products

Fixed Rate: 10-, 15-, 20-, 25- and 30-year terms

- 25-year term available for Conforming loan amounts only

ARM: The index used must be the SOFR (Secured Overnight Financing Rate).

- Caps:
 - 5/6 - 2/1/5
 - 7/6 & 10/6 - 5/1/5
- Margin: 3.00
- Qualification:
 - 5/6 ARMs are qualified at the greater of the note rate plus 2% or the fully indexed rate.
 - 7/6 and 10/6 ARMs are qualified at:
 - The note rate for mortgages that are not Higher-Priced Covered Transactions (HPCTs) or Higher-Priced Mortgage Loans (HPMLs), or
 - Greater of the note rate or the fully indexed rate for mortgages that are HPCTs or HPMLs.
- Investment Property: If the borrower owns more than one financed investment property, the investment property mortgage sold to Freddie Mac must be a 7/6 or 10/6 ARM.

Property

Eligible Property Types

- 1-unit, Single-family residences (attached/detached)
- 2-4 units
- Condo conversions per [Freddie Mac Selling Guide](#).
- Condominiums, low and high-rise (attached/detached) Freddie Mac warrantable or Fannie Mae warrantable with PERS approval or CPM acceptance.
- New condominium projects in Florida without PERS approval.
- Leaseholds meeting Freddie Mac guidelines eligible on a case-by-case basis. The lease term must extend to a minimum of five years from the mortgage maturity date.
- Manufactured Homes – Multi-wide
- Modular/prefabricated/Factory Built Homes 1-unit properties only. The home must **not** be constructed on a permanent chassis; must be built on site similar to stick-built homes; permanently affixed to the foundation; comply with all applicable local building codes, be classified as real property, and have permanent utility connections.



- PUDs (attached/detached)
- Rural properties

Ineligible Property Types

- Agricultural-type properties, farms, orchards, ranches
- Builder bailout properties
- Commercial property
- Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)
- Condominium conversions with characteristics of a Hotel/Motel
- ° **Cooperative projects**
- Incoming producing properties (e.g., adult care facilities, bed & breakfast, etc.)
- Industrial zoned property
- Land Trust
- ° **Manufactured Homes - Singlewide**
- Manufactured homes located in a 100-year flood zone
- Mobile homes
- Non-warrantable condominiums
- Properties located in the Hawaiian Islands in lava zones one or two
- Properties not suitable for year-round occupancy, regardless of location
- Properties with an Assignment of Contract
- Properties with problem drywall (aka Chinese drywall). Evidence of complete remediation must be provided if property previously contained Chinese drywall.
- Properties zoned for agricultural use (Texas 50 (a)(6) and Texas 50(f) loans are eligible)
- Property currently in litigation (except as noted above in the Properties Eligible-Condominiums) topic
- Timeshares
- Transient Housing
- Unimproved/vacant land
- Unique properties (geodesic domes, earth berm homes, log homes, etc.)

Condominiums

- For established projects and streamlined reviews, the Project review must be completed within one year prior to the Note date. Warranty must be provided by Seller.
- For new condo projects, the project review must be completed within 180 days prior to the Note date.

For complete Condominium project review and eligibility requirements, refer to the [Freddie Mac Selling Guide](#) section 5701.2.

(Streamline review will be discontinued for all loan applications received on or after August 3, 2026).

- Projects with Fannie Mae PERS approval or projects with a project acceptance certification through CPM are eligible if documentation of the PERS or CPM acceptance is provided.
- Freddie Mac Streamlined Review are eligible for established projects subject to Freddie Mac guidelines. When a Streamlined Review is performed, the following LTV restrictions apply:
 - Owner occupied maximum LTV 90%
 - Second home maximum LTV 75%
 - Investment properties maximum LTV 75%
- Projects where the HOA (or developer if not turned over to the HOA) is a party to litigation, arbitration, mediation, or other dispute that relates to safety, structural soundness, functional use or habitability of the project, the project is eligible if the litigation is limited to one of the following:
 - The litigation amount is known, the insurance company has committed to providing defense, and the litigation amount is covered by the insurance policy, or



- The litigation/arbitration involves non-monetary neighbor disputes regarding the rights of enjoyment, or
- The matter involves one of the following:
 - A non-monetary neighbor dispute or right of quiet enjoyment, or
 - The HOA is the plaintiff in a foreclosure action or action for past due HOA assessments, or
 - The HOA is the plaintiff in the litigation, but it can be determined that the matter is minor in nature with insignificant impact to the financial status of the condo project.
- The valid estimation of or known litigation amount is not expected to exceed 10% of the project's funded reserves, provided that this value does not violate the applicable jurisdiction's laws and regulations.
- Established projects in the state of Florida are eligible for Established Project Review.
- Streamlined Review for established condo projects in Florida eligible as follows:
 - Maximum 75/90/90% > LTV/TLTV/HTLTV for owner-occupied
 - Maximum 70/75/75% > > LTV/TLTV/HTLTV for second home
 - Maximum 70/75/75% > LTV/TLTV/HTLTV for investment properties

Comparable sales for attached condominiums require the appraiser to provide a minimum of two comparable sales from outside the subject project and outside the influence of the developer, builder, or property seller. See ["Appraisals" on page 164](#) for additional comparable sales requirements.

Project Review Waiver Eligibility Criteria:

To qualify for a project review waiver, the Condominium Project must meet all the following conditions:

- The project cannot operate as a condo hotel, transient-use property, houseboat community, timeshare arrangement, or any structure involving divided or segmented ownership.
- Manufactured Homes are not permitted with the project unless the subject unit securing a Refi Possible Mortgage.
- The project must not have unresolved critical repair needs and cannot be under any form of evacuation directive.
- The project must not be involved in legal actions or proceedings that could result in dissolution of the condominium association or indicate financial insolvency.
- The project must consist of 5 to 10 individually deeded units, each with its own legal description.
- The project must be newly built or established condo projects with 2 to 10 units total units.
- The project must satisfy all the general eligibility standards outlined in Section 5701.2(b).

Master Association Restrictions for 5 to 10 unit Projects. Sellers using this option must meet all the requirements above.

- Projects with 5 to 10 units are only eligible for the Exempt from Review option when they are not affiliated with or controlled by a Master Association.

Manufactured Homes

NOTE: This section is specific to Manufactured Homes. Sellers should follow the standard guidelines for topics not covered in this section.

- Conforming loan amounts only
- Fixed rate: 15-, 20-, and 30-year term
 - ° **ARMs not permitted for manufactured homes.**
 - ° **25-year terms are not permitted for Super Conforming loan amounts.**



- See Chapter 5703.4 in the [Freddie Mac Selling Guide](#) for guidance determining the LTV/CLTV/HCLTV for new and existing manufactured housing.

Eligible Manufactured Home Properties

- 1-unit multi-wide dwelling
- Cash-Out 1-unit properties only
- Condominiums
- HUD REOs
- Primary Residences
- PUDs
- Second Homes
- Texas 50(a)(6) transactions allowed

Ineligible Manufactured Home Properties

- 2-4 units
- A seasoned mortgaged property
- ° **ChoiceHome**
- Contract for deed
- Investment property
- Land contract
- ° **Leaseholds**
- Other types of factory-built housing not subject to the National Manufactured Construction and Safety Standards act.
- Previously occupied property relocated from its originally installed permanent foundation
- ° **Properties located in a 100-year flood zone**
- Seller owned modified or converted properties
- ° **Singlewide manufactured home**

Manufactured Home Appraisals

- The Appraiser must:
 - Have adequate experience and previously completed real property appraisals for Manufactured Homes,
 - Must understand the unique features that affect the quality of a manufactured home and factory construction techniques,
 - Understand the manufactures' and federal, state, and local requirements for installation,
 - Be knowledgeable concerning the local manufactured home market, and
 - Have access to the appropriate data sources to establish an opinion of value.
 - At minimum perform a complete visual inspection of the interior and exterior areas of the subject property.
 - Inspect the neighborhood.
 - Inspect each comparable sale from at least the subject property street.
 - Non-realty items must be excluded from value conclusion.
 - Manufactured Appraisal Report (form 70B) required and must be completed in its entirety.
- At least two comparable manufactured home sales of similar configuration are required.
 - Site built housing and different types of factory-built housing may be used for a third comparable sale if explanation for use provided.
 - The specific number of comparable sales, the listings and price ranges must be included in the appraisal analysis.
- If the manufactured home is a new installation, the loan file must contain evidence that the manufactured home was installed in compliance with applicable HUD Codes. An appraisal report completed on an existing manufactured home can serve as evidence the installation was in compliance with HUD Codes



and the foundation was designed for the site conditions and home design features and meets local, state and federal codes, as applicable.

- Loan file must include the following documentation:
 - A complete copy of the sales contract for the home and land or separate contract for each, if applicable.
 - If the borrower has owned the land 12 months or more, a copy of the executed land contract is not required.
 - A copy of manufacture's invoice and purchase agreement when:
 - The manufactured home is new and is a purchase transaction; or
 - The mortgage is a conversion mortgage and is either a purchase or a no cash-out refinance transaction.
 - The Seller must provide a copy of the Certificate of installation or comparable state-specific forms and any additional applicable information along with the completion report or appraisal update on homes installed after October 20, 2008.
 - Evidence the manufactured home is properly titled, and the lien has been properly created and perfected.

Manufactured Home ADU's

Freddie Mac permits properties secured by Manufactured Homes, including CHOICEHome® to include a Manufactured Home ADU provided the primary dwelling is a multiwide Manufactured Home.

Basic Requirements must be met:

- The Manufactured ADU must be legally considered as real property.
- The Manufactured ADU must be at least 400 sq. ft. of finished living space.
- The ADU must meet all standard Freddie Mac Manufactured Home rules including:
 - General MH requirements specified in (Guide Section 5703.2)
 - Property Eligibility requirements specified in (Guide Section 5703.3a)
 - Title and lien requirements specified in (Guide Section 5703.4)

See [Freddie Mac Selling Guide](#), Chapters 5601.2 and 5703 for complete requirements.

Manufactured Homes Titled as a Condo

Condominium projects that contain Manufactured Homes must meet the requirements for Established Condominium Projects or be approved through the Fannie Mae Project Eligibility Service (PERS) process.

Additional Requirements

- Legally classified as real property.
- Anchoring system must be in compliance with HUD codes.
 - Anchoring system of properties installed prior to October 2008 must comply with the manufactures design or designed by a licensed (registered professional engineer).
- Home must have been constructed on or after June 15, 1976 and on a permanent chassis in compliance with the Federal Manufactured Home Construction and Safety Standards (MHCSS).
- For an existing manufactured home, the HUD Certification Label or HUD Data Plate must be present and legible. If both are present, the completion report must include both. For a new manufactured home, both the HUD Certification Label and the HUD Data Plate are required.
 - The HUD Data Plate section of the Manufactured Home Appraisal Report (Form 70B) must be completed with information from both sources.
 - In the event the HUD Certification or Data Plate are not available, Planet will accept the following:



- A "HUD Label Verification Letter", with the same information contained on the HUD certification label, from the Institute for Building Technology and Safety (IBTS)
- A copy of the Data Plate or substitute performance verification certificate from the IBTS, or
- A copy of the Data Plate from the In-Plate Primary Inspection Agency (IPIA) or the manufacturer.
- The permanent foundation must be designed in accordance with the manufacturer's instructions or a design by a licensed and registered professional engineer. Must meet all local, state, or federal codes, as applicable.
- Home must be at least 12 feet wide with a minimum of 400 square feet of above-grade finished area.

NOTE: Planet does not permit **Singlewide manufactured homes**.

- Wheel, axles, and towing hitch must be removed.
- The land must be owned by the borrower in fee simple.
 - May be located on an individual lot, subdivision, or Planned Unit Development.
- Utility hook-ups (electrical, gas, water, sewage, etc.) for manufactured homes are subject to HUDs standard guidelines regarding utilities.
- Temporary Buydowns are not allowed.
- Mortgage Insurance required per Freddie Mac's standard guidelines in section 4701.1.
 - Borrower paid mortgage insurance premiums allowed.
- Mortgages secured by Manufactured Homes using proceeds to pay the outstanding balance of a land contract or contract for deed are eligible.

See [Freddie Mac Selling Guide](#), Chapter 5703.1 for complete requirements.

Property Flips

Property flips are subject to:

- Appraisal must support any value increases. Additional documentation may be required, and a desk review or second appraisal may be required at underwriter discretion.
- Borrower has excellent credit history, employment history, savings pattern, etc.

Properties with an Accessory Dwelling Unit (ADU)

1-, 2-, or 3-unit properties that have one ADU are eligible.

An ADU is classified as an additional finished area that:

- Includes a kitchen, bathroom, separate entrance.

NOTE: The absence of cooking appliance(s) in a kitchen does not change the classification as an ADU.

- Is independent of the primary dwelling unit,
- Is smaller in size than the primary dwelling unit (i.e., the ADU's finished area is less than the primary dwelling unit's finished area) and
- Contributes less to the value of the property than the primary dwelling unit.

An ADU that is also a Manufactured Home "Manufactured Home ADU" must meet the following additional requirements:

- The Manufactured Home ADU must be legally classified as real property
- The Manufactured Home ADU must have a minimum of 400 square feet of finished area



- The Manufactured Home ADU must meet the general requirements related to Manufactured Homes in [Section 5703.2](#), property eligibility requirements in [Section 5703.3\(a\)](#) and titling and lien requirements in [Section 5703.4](#)

ADUs are not permitted for 4-unit properties, second homes, or investment properties.

See Freddie Mac Selling Guide Section 5601.2 for complete requirements for accessory dwelling units.

Purchase Agreements Amended/Renegotiated

- Not eligible if the sales price was increased **after** the original appraisal was completed if:
 - The appraised value is higher than the originally contracted sales price that was provided to the appraiser, and
 - The new purchase agreement and/or addendum to the purchase agreement is dated after the appraisal, and
 - The only change to the purchase agreement was the sales price.
- If the purchase agreement was renegotiated after the completion of the appraisal, the LTV would be based on the **lower** of the original purchase price or the appraised value, unless:
 - The re-negotiation was only for seller paid closing costs and/or pre-paid where the seller paid closing/pre-pays costs are common and customary for the area and are supported by the comparables, or
 - The purchase contract was amended for a new construction property due to Improvements made that impact the tangible value of the property. An updated appraisal report must be obtained to validate the value of the improvements.
- Assignment of the purchase contract is not allowed.

Seller Contribution

See ["Interested Party Contributions" on page 188](#) for Seller contribution limits.

Temporary Buydown

Eligible Buydown Types ("Limited")

- **2-1 Buydown**
 - **Year 1:** Payment calculated at 2% below the note rate.
 - **Year 2:** Payment calculated at 1% below the note rate.
 - **Years 3 through maturity:** Payment calculated at note rate.
- **1-0 Buydown**
 - **Year 1:** Payment calculated at 1% below the note rate.
 - **Years 2 through maturity:** Payment calculated at note rate.

Ineligible Buydown Types

- **1-1 Buydown**
- **3-2-1 Buydown**

Eligible Sources

- Borrower
- Builder/Developer
- Lender
- Other Interested Parties to the Transaction
- Seller
- Split/Combo Contributions

**Ineligible Sources**

- Excess IPCs: Contributions exceeding program limits
- Non-compliant lender buydowns
- Premium Pricing: Using the credit from selecting a higher rate
- Unverifiable funds: Sources that cannot be documented to program standards

Eligible Transactions

- Conforming Loans
- HomeOne
- HomePossible
- No Cash-Out Refinance
- Purchase Transactions
- Super Conforming Loans

Ineligible Transactions

- ° **ARMs**
- Cash-Out Refinance
- ° **CHOICEReno eXPress**
- ° **Choice Renovation**
- Investment Properties
- Manufactured Homes
- Refi Possible
- Texas 50(a)(6)

Amortization Type

- ° **Fixed-Rate Only**

Loan Term

- ° **30-year term**

Occupancy Requirements

- Primary Residence
- Second Homes

Eligible Property Types

- 1-4 Unit Primary Residence
- 1 Unit Second Homes
- Attached
- Detached
- PUD
- SFR
- Warrantable Condo

Automated Underwriting (AUS) Requirements

- AUS Approval Required
- ° **Manual Underwriting (UW) is Ineligible**

Qualifying Rate

- **Borrowers must qualify at the Note Rate**



- The borrower must be qualified using monthly payments calculated at the note rate.
- If reserves are required, the reserves must be calculated using the note rate.

Additional Requirements

- **Temporary Buydown agreements must be fully executed at funding and held in a custodial account.**
 - The temporary buydown agreement must state that the borrower will not assign, transfer or close the account, or withdraw buydown funds, except as permitted by the terms of the temporary buydown agreement.
 - A copy of the fully executed temporary buydown agreement, must be retained in the Seller's loan file.
- **The borrower must sign an agreement stating that the buydown funds will be automatically applied to reduce their monthly principal and interest payment.**
 - The borrower must agree in writing that the buydown funds in the buydown account will be automatically applied each month to reduce the monthly payment of principal and interest to the extent provided under the subsidy temporary buydown agreement.
 - The temporary buydown agreement must provide that the borrower will not be relieved of the obligation to make the full monthly mortgage payments required by the terms of the note if, for any reason, the buydown funds are not available or the buydown funds are not paid.
- **Loan documents must not reference the temporary rate in the note and security instruments.**
 - The loan file must contain a copy of the executed temporary buydown agreement and must clearly show the Seller's calculations of the total cost of the temporary subsidy buydown, any interested party contribution and the annual percentage increase in the borrower's monthly principal and interest payment.
- **The note and mortgage terms must not be altered due to the temporary buydown agreement.**
 - No references to the buydown plan are permitted in the note and security instruments.
 - The interest rate and monthly payments shown in the note must be calculated without reference to the temporary buydown subsidy. In no event may the temporary buydown agreement change the terms of the note or mortgage.

Texas 50(a)(6)

NOTE: This section is specific to Texas 50(a)(6) Transactions. Planet follows Freddie Mac guidelines for any topic not addressed in this section.

A Texas Section 50(a)(6) loan is a loan originated in accordance with and secured by a lien permitted under the provisions of Article XVI, Section 50(a)(6), of the Texas Constitution, which allow a borrower to take equity out of a homestead property under certain conditions. The transaction must meet all the eligibility criteria specified in the Texas Constitution. Fixed Rate only.

Please note the following Planet requirements:

- **Borrower Types**
 - Unmarried co-borrowers are permitted, must take title to the property and are legally liable for the debt.
 - Non-borrowing spouse is permitted.
- **Borrower Eligibility**
 - Owner-occupied properties only.
 - No power of attorney permitted.
 - Inter-vivos revocable transactions must meet the qualifying trust requirements under Texas law for purposes of owning residential property that qualifies for the homestead exemption.



- Collateral Eligibility
 - Eligible properties are limited to a single unit, principal residence consisting of an attached or detached dwelling, a unit in a Planned Unit Development (PUD), or a unit in a Condominium Project.
 - Full appraisal with both interior and exterior inspection is required.
 - Max 80.00% LTV/CLTV.
 - Property must be borrower's Urban Homestead (Rural Homesteads are not allowed).
 - Property must be residential in nature and zoning, not a farm or ranch.
 - Property site must not exceed 10 acres (actual size of property; larger parcels may not be valued considering only 10 acres).
 - Survey or other acceptable evidence that the homestead property and any adjacent land are separate parcels, and the homestead property is a separately platted and subdivided lot for which full ingress and egress is available
- Transaction Details
 - A full appraisal is required
 - An existing Texas Section 50(a)(6) first or second mortgage on the homestead must have a minimum of 365 days seasoning prior to the new loan closing date.
 - An existing Texas Section 50(a)(6) second mortgage may not be re-subordinated to a new Texas Section 50(a)(6) first mortgage. Only one Texas Section 50(a)(6) lien is allowed at a time.
 - New mortgage may not be assumable.
 - Fixed rate only.
 - LPA Eligible/Accept required.
 - FICO per LPA.
 - Temporary interest rate Buydowns are ineligible.
 - Planet requires the Seller to provide a copy of the Attorney Representation letter as evidence that the closing documents were prepared or reviewed by a Texas licensed attorney prior to closing. Planet will only purchase Texas 50(a)(6) loans where the closing documents were reviewed and/or prepared by one of the following attorneys:
 - Baird Law, PLLC
 - Black, Mann & Graham
 - Carolyne K. Davis, P.C.
 - Dorsett Johnson & Swift, LLC
 - Glast, Phillips & Murray
 - Gregg & Valby
 - Matt Haddock, PLLC
 - Kubik Law Firm, PLLC
 - MRG – Mortgage Resource Group
 - McGlynchey, Stafford
 - Pierson & Patterson
 - Polunsky Beitel Green, Attorneys at Law
 - Rich Karlseng, LLC
 - Robertson Anschutz Vettors
 - Sandler Law Group
 - Schwartz & Manente
 - Shanks & Associates, P.C., Attorneys At Law

NOTE: There are no exceptions to the Attorney list at this time.

The Texas Attorney Response Letter must be in the loan file as evidence of



the approving attorney and to confirm the attorney's conditions have been met.

- **Loan Fees**

- Appraisal fees paid to a third-party appraiser (AMC is not excluded)
- Discount Points (if bona fide and documented)
- Flood Insurance
- Hazard Insurance
- HOA Maintenance Fees/Dues
- Late Charges
- Loan fees paid by the borrower may not exceed 2% of the loan amount. There is a 2% fee Cap for all closing cost, fees, and charges except the following:
 - Prepaid Per Diem Interest
 - Property Tax
 - Survey Fees
 - Title Premiums, or
 - Title Examination charges if less than the title premium
 - Title Endorsements

- **Title Insurance**

- Policy must be written on Texas Land Title Association forms (standard or short form), supplemented by an Equity Loan Mortgage Endorsement (Form T-42) and a Supplemental Coverage Equity Loan Mortgage Endorsement (Form T-42.1), is required.

The title insurance policy cannot include language that:

- Excludes coverage for a title defect that arises because financed origination expenses are held not to be "reasonable costs necessary to refinance", or
- Defines the "reasonable costs necessary to refinance" requirement as a "consumer credit protection" law since the standard title policy excludes coverage when lien validity is questioned due to a failure to comply with consumer credit protection laws.
- The endorsements may have no exceptions or deletions.
- Closing must take place in the office of an attorney. Closing at the borrower's residence is prohibited.

- **Forms**

- **Note**

- Texas Home Equity Note (Fixed Rate - First Lien) — Uniform Instrument Form 3244.1 01/01 (rev. 1/18)

- **Security Instrument**

- Texas Home Equity Security Instrument (First Lien) — Fannie Mae/Freddie Mac UNIFORM INSTRUMENT Form 3044.1 01/01 (rev. 01/18)

- **Borrower Affidavit**

- Texas Home Equity Affidavit and Agreement (First Lien) — Fannie Mae/Freddie Mac UNIFORM INSTRUMENT Form 3185 01/01 (rev. 01/18).



NOTE: The affidavit must be recorded together with the Security Instrument and any applicable riders.

- **Condominium Rider**
 - Texas Home Equity Condominium Rider — Fannie Mae/Freddie Mac UNIFORM INSTRUMENT Form 3140.44 01/01
- **Planned Unit Development (PUD) Rider**
 - Texas Home Equity Planned Unit Development Rider — Fannie Mae/Freddie Mac UNIFORM INSTRUMENT Form 3150.44 01/01
- Notice Concerning Extensions of Credit Defined by Section 50(a)(6), Article XVI, Texas Constitution (12-day notice). Must be revised version dated 11-17
 - Per Texas Law, all borrowers must receive a copy of the signed 12-day notice, and
 - Loan cannot close until the 13th day of application submission date.
- Texas Home Equity Receipt of Copies
- Texas Home Equity Election Not to Rescind
 - Document must be signed 3-business days after rescission date has expired
- Acknowledgment as to Fair Market Value of Homestead Property
 - This document must accompany the appraisal
- Texas Home Equity Loan/HELOC Closing Instructions Addendum
- File must evidence a copy of closing instructions and acknowledgment receipt.
- Texas Home Equity Certificate from Originating Lender Regarding Compliance with Section 50(a)(6) Article XVI of the Texas Constitution.
- Owner's Affidavit Acknowledging Lender's Compliance with Constitutional Requirements to Provide Owner Early Final Itemized Disclosure of Actual Fees and Charges
- Owner's Affidavit of Compliance

See State of Texas Constitution for complete Texas 50(a)(6) laws.

Financing Real Estate Taxes – the following applies when real estate taxes are financed:

- No Cash-Out Refinance: A loan is **ineligible** as no cash-out refinance and must be considered a cash-out transaction when:
 - Borrower finances the payment of real estate taxes for the subject property in the loan amount but does not establish an escrow account, or
 - Borrower finances the payment of real estate taxes that are more than 60 days delinquent for the subject property in the loan amount.
- Cash-Out Refinance:
 - A loan with financed real estate taxes that are more than 60 days delinquent is eligible as long as an escrow account is established. If an escrow account is **not** established, the loan is **ineligible**.

Transaction Eligibility

Eligible Transactions

- Cash-Out Refinance
- Freddie Mac Home Possible (see Freddie Mac Home Possible Program Guidelines)
- Freddie Mac HomeOne (see Freddie Mac HomeOne Program Guidelines)
- Freddie-Owned No Cash-Out



- No Cash-Out Refinance
- Purchase

Ineligible Transactions

- Any transaction without an LPA "Accept" Feedback Certificate
- Community Land Trusts
- Freddie Mac Open Access
- High-Cost Loans
- Illinois Land Trust
- Interest-Only
- Loans with tutorship lien
- Manual underwrites
- Non-Arm's length transaction that involves new construction and the loan is secured by a second home or investment property
- Non-Traditional Credit
- Properties in the "Right of Redemption Period" as applicable state law allows
- Refinance transactions where the subject property was listed for sale at the time of loan disbursement
- Restructured mortgages that do not meet Freddie Mac guidelines
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

Refinance Transactions

When an existing Mortgage will be satisfied through a refinance transaction, one of the following requirements must be met:

- At least one Borrower on the refinance Mortgage was a Borrower on the Mortgage being refinanced; or
- At least one Borrower on the refinance Mortgage held title to and resided in the Mortgaged Premises as a Primary Residence for the most recent 12-month period and the Mortgage file contains documentation evidencing that the Borrower has been making timely Mortgage payments, including the payments for any secondary financing, for the most recent 12-month period; or
- At least one Borrower on the refinance Mortgage inherited or was legally awarded the Mortgaged Premises (for example, in the case of divorce, separation or dissolution of a domestic partnership)

NOTE: A Living Trust may be made irrevocable by a Settlor's death. To be an eligible Borrower at the time of the refinance transaction, the Borrower must continue to be a Living Trust that meets Freddie Mac's revocability and, as applicable, other eligibility requirements.

No cash out refinance transactions:

A "no cash-out" refinance Mortgage is a Mortgage for which the proceeds may be used only as described in this section.

Proceeds may only be used for the following, subject to Freddie Mac Section 4301.4:

- Pay off the first Mortgage (acquisition or refinance, including deferred balances under a loss mitigation plan)
- Pay off Interim Construction Financing for Construction Conversion and Renovation Mortgages
- Pay costs/fees tied to payoff of the first Mortgage
- Pay off or pay down junior liens used entirely for acquisition (with subordination of remaining balance)
- Pay off outstanding balance of a land contract/contract for deed if all Freddie requirements are met
- Pay related Closing Costs
- Disburse cash to borrower not exceeding greater of 1% of loan amount or \$2,000



Restrictions

- Outstanding junior liens may remain if they meet secondary financing/Affordable Seconds® requirements
- Documentation must show any paid-off junior lien was fully used for property purchase
- Past-due property taxes may not be paid unless permitted under the limited cash-out allowance

Treatment of excess proceeds

If there are remaining proceeds from the "no cash-out" refinance Mortgage after the proceeds are applied as described above:

- The Mortgage amount must be reduced, or
- The excess amount must be applied as a principal reduction
- Under no circumstances may cash disbursed to the Borrower (or any other payee) exceed the maximum permitted for "no cash-out" refinance Mortgages

Cash-out refinance transactions:

- When proceeds of a cash-out refinance mortgage are used to pay off a first lien mortgage, the first lien mortgage being refinanced must be seasoned for at least 12 months (i.e., at least 12 months must have passed between the Note Date of the mortgage being refinanced and the Note Date of the cash-out refinance Mortgage), as documented in the loan file (e.g., on the credit report or title commitment). The seasoning requirement does not apply when:
 - The cash-out refinance mortgage is a special purpose cash-out refinance mortgage (e.g., the owner of a property uses the proceeds of the refinance transaction to buy out the equity of a co-owner), or
 - The first lien mortgage being refinanced is a HELOC.
- If none of the borrowers have been on title for at least six months, the following requirements apply:
 - At least one Borrower on the refinance Mortgage inherited or legally awarded the subject property, or meet all following conditions:
 - The executed CD from the original purchase transactions reflects that no financing secured by the subject property was used to purchase the property, and
 - The preliminary title report for the refinance transaction must reflect the borrower as the owner of the subject property and indicate there are no existing liens on the property, and
 - The source of the funds used to purchase the subject property must be fully documented, and
 - If funds were borrowed to purchase the subject property, those funds must be repaid and reflected on the CD for the refinance transaction, and
 - The amount of the cash-out transaction cannot exceed the sum of the original purchase price, plus related closing costs, financing costs, and prepaids/escrows as documented on the CD for the purchase transaction (subject to the maximum LTV/TLTV ratios for a cash-out transaction based on the current appraised value), and
 - There must have been no affiliation or relationship between the buyer and seller of the purchase transaction (non-arm's length purchase ineligible), and
 - An "Accept" Feedback Certificate from LPA is required and the transaction must meet all other cash-out eligibility requirements.
 - Properties must not be currently listed for sale.
 - Cash-out transactions where the property was listed for sale in the 6 months prior to the application date:



- Borrower(s) must provide written confirmation of their intent to occupy the property as for primary residence transactions.
- The transaction is limited to the lesser of 70% LTV/TLTV or the maximum LTV for product/occupancy/property type.
- Non-occupant co-borrowers are not permitted when the cash-out transaction is for a primary residence.

Secondary Financing or Affordable Seconds

First Lien mortgages with secondary financing under the terms of the purchase documents are acceptable.

New Secondary Financing requirements:

- The term of the junior lien must not be less than five years after note date of the first lien mortgage unless the junior is fully amortizing or is a HELOC.
- The scheduled payments must be sufficient to meet interest and may not accrue.
- Amount of monthly payment may be excluded from the monthly housing expense-to-income and debt payment-to-income ratios if:
 - EAH benefit and the payment of principal and interest or interest only begins on or after the 61st monthly payment under the first lien, or
 - If repayment of the principal is due only upon sale or default.
- CD evidencing the fee and costs paid by the borrower at closing; HELOC agreement must be included in the mortgage file.

Affordable Seconds requirements under section 4204.2 of the [Freddie Mac Selling Guide](#) apply in addition to the following:

- Must be provided by an agency under an established, ongoing secondary financing or finance assistance program; however, the mortgage may not be sourced by the seller or interested party.
- The First Lien mortgage must be a fixed rate mortgage, purchase transaction or a “no cash-out” refinance, and secured by a 1-4 unit primary residence,
- The term must not require a balloon payment due before the maturity or payment in full of the First Lien.
- The interest rate must not be more than 2% higher than the interest of First Lien mortgage and interest accruals added to the principal may not increase the total TLTV ratio beyond the maximum TLTV allowed for the First Lien mortgage at any time during the term of the First Lien.
- Affordable Seconds cannot be a HELOC.

Existing Secondary Financing requirements:

- Evidence of the subordination must be included in the mortgage file and payments must be sufficient to meet interest due.

Solar Panel Lien Subordination Requirement

In the event that the title company is unable to subordinate the Solar Panel lien, the following language must be added to the Title Policy:

Required Title Policy Language:

"The Company insures against loss or damage sustained by the insured in the event that the enforcement of that certain Notice of an Independent Solar Energy Producer Contract referred to in Exception (FILL IN) of Schedule B Part 1 results in the invalidity, unenforceability, or the lack of priority of the lien of the Insured Mortgage upon the Title."



Title Insurance Requirements

- Title must insure the priority, enforceability, and validity of the mortgage lien.
- Title may require that the endorsement does not insure against loss or damage (and the Company will not pay costs, attorney fees, or expenses) resulting from any contractual obligation for electrical services or rights of ownership in the solar electric generation system installed on the Land as disclosed by said notice.
- The title policy must clearly reflect any existing solar panel lien and ensure compliance with applicable Freddie Mac guidelines regarding secured or unsecured solar panel financing.

Freddie Mac Guidelines and Resources

- Freddie Mac guidelines may be accessed at [Freddie Mac](#) under **Access the Guide**.
- Additional resources are available by selecting “The Learning Center” from the menu on the left side of the page.
- The [Loan Product Advisor Documentation Matrix](#) provides information for documenting an LPA loan.



Freddie Mac CHOICERenovation Program Grid

STANDARD CONFORMING AND SUPER CONFORMING ¹					
Owner-Occupied Primary Residence Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	95% / 105% ³	95%	See Loan Limits Below	Per LPA
	2	95%	85%		
	3-4	95%	80%		

MANUFACTURED HOME					
Primary Residence* Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	95%	N/A	See Loan Limits Below	Per LPA

* Manufactured Homes are not eligible for Second Home or Investment Property transactions

SECOND HOME					
Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	90%	90%	See Loan Limits Below	Per LPA

INVESTMENT					
Non-Owner Occupied - Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	85%	85%	See Loan Limits Below	Per LPA



HOME POSSIBLE¹ - Standard Conforming and Super Conforming

Owner-Occupied Primary Residence Fixed Rate

Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	97% ² / 105% ³	95% / 105% ³	See Loan Limits Below	Per LPA
	2	95% / 105% ³	85%		
	3-4	95% / 105% ³	80%		

HOME POSSIBLE¹ - Standard Conforming

Manufactured Home Primary Residence Fixed Rate

Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	95% / 105% ³	N/A	See Loan Limits Below	Per LPA

Reference:

- Standard Conforming and Super Conforming Loan Limits apply.
- LTV > 95%
 - Standard 35% Mortgage Insurance is required when LTV exceeds 95%.
 - Purchase – Must be Home Possible or First Time Homebuyer
 - Refinance - Mortgage being refinanced must be owned by Freddie Mac
- CLTV of 105% is permitted with an Affordable Second that meets Freddie Mac requirements. See [Freddie Mac Selling Guide](#) for complete details.

2026 Conforming and Super Conforming Loan Limits

Contiguous States, District of Columbia, & Puerto Rico			Alaska ² & Hawaii	Hawaii
Unit	Conforming Loan Limit	High Cost "Super Conforming" Limit ¹	Conforming Loan Limit	High Cost "Super Conforming" Limit ³
1	\$832,750	\$1,249,125	\$1,249,125	\$1,299,500
2	\$1,066,250	\$1,599,375	\$1,599,375	\$1,633,600
3	\$1,288,800	\$1,933,200	\$1,933,200	\$2,010,950
4	\$1,601,750	\$2,402,625	\$2,402,625	\$2,499,100

**Reference:**

1. Actual conforming loan limit values for specific counties in designated High-Cost Areas, as determined by FHFA, may be lower than the loan limits listed above and can be found by visiting the [FHFA conforming loan limit values webpage](#).
2. Alaska does not have any high-cost areas.
3. Two counties in Hawaii (Maui and Kalawao) are high-cost areas.

See [Freddie Mac loan limits](#) for maximum loan amounts by county/metropolitan area.



Freddie Mac CHOICERenovation Program Guidelines

For topics not addressed in this guide, see ["Freddie Mac Conforming and Super Conforming Program Guidelines" on page 163](#) and [Freddie Mac Selling Guide](#).

Program Overview

Borrower may purchase a property or refinance an existing home and include funds in the loan amount to cover the costs of:

- Repairs
- Remodeling
- Renovations, or
- Energy improvements to the property.

General Parameters

- No minimum dollar amount required for renovations.
- Any type of renovation or repair is eligible if the improvements are permanently affixed to the real property (either dwelling or land), except for certain appliances installed with kitchen and utility room remodels.
 - The purchase of appliances as part of the overall remodeling project is permitted.
- Completion of the final work on newly built homes are permitted when the cost to complete the incomplete items does not exceed 15% of the "as completed" value.
 - The remaining improvements must be related to completing non-structural items the original builder was unable to finish. Such work may include installation of buyer-selected items such as:
 - Flooring
 - Cabinets
 - Kitchen appliances
 - Fixtures, and
 - Trim
- Construction of various outdoor buildings and structures is permitted according to local zoning regulations.
 - Examples of acceptable structures include, but are not limited to:
 - Accessory units
 - Garages
 - Recreation rooms, and
 - Swimming pools.
- CHOICERenovation loans can be used to repair damages from a natural disaster and to install preventative items such as:
 - Storm Surge barriers
 - Foundation Retrofitting
 - Hazardous brush and trees in fire zones
 - Retaining walls to address mud or water flow
 - Items specifically need to repair or prevent damages from environmental hazards like hurricanes and earthquakes.

NOTE: Complete tear downs and reconstruction of the dwellings are not permitted.



- The renovation and contingency funds must be placed in an interest-bearing custodial account.
- Unused funds must be applied as a curtailment to the unpaid mortgage balance.
- Renovation loans are purchased with recourse and may be subject to repurchase if project completion requirements are not met or the loan becomes 120 days delinquent during the renovation period.

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 163](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Section 5102 through 5500 of the [Freddie Mac Single-Family Seller/Service Guide](#).**

Appraisals

File must document an "as completed" appraised value that estimates the value of the property after completion of renovation work.

Type of Appraisal report required per Loan Product Advisor (LPA) minimum Assessment Feedback (MAF). Appraisals must meet UAD & AIR requirements.

NOTE: Effective July 27, 2026, Planet will begin accepting appraisals submitted using UAD 3.6. Sellers may continue delivering appraisals in UAD 2.6 format until the mandatory implementation date (November 2, 2026) for UAD 3.6.

Appraisal waivers are not allowed.

File must document the Seller provided the appraiser with the cost estimates, plans and specifications for the renovations.

If, after the appraiser provides the "as completed" value, changes are made to the original plans and specifications, the Seller must notify the appraiser of the changes and provide change documentation to the appraiser. The appraiser must provide a revised appraisal to reflect the changes and account for the impact on the "as completed" value.



Upon completion of the renovations, the appraiser must perform a final inspection of the property and complete an Appraisal Update and/or Completion Report (Form 442). The completion report must document that all renovations were completed in accordance with the plans and specifications and must include photographs of the completed renovations.

AUS

All CHOICERenovation Mortgages must be submitted to LPA and must receive a Risk Class of Accept.

If the Mortgage receives an LPA evaluation status of invalid, ineligible or incomplete, it is ineligible for sale to Planet.

Available Markets

Delegated Sellers

- Planet will purchase loans underwritten and closed by the delegated Seller in all states.

Non-Delegated Sellers

- Planet will purchase loans from the non-delegated Seller in all states. All loans require Planet underwriting approval.

U.S. Territories

- The U.S. territories of American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and the U.S. Virgin Islands are ineligible regardless of delegation.

Certificate of Completion

- A *Certificate of Completion* is required at the completion of the renovation and must be included in the Appraisal Update and/or a Completion report.
 - The Completion Report (Form 442) must confirm all “subject to” items listed on the appraisal were completed.
 - The Appraiser must note any deviations to the initial plans and any impact to the value of the subject property.
 - Follow the requirements for Unplanned Changes in Scope of Incomplete Work if the value has been impacted.
- A *Certificate of Occupancy* is required at the completion if it is required by local authorities for the type of renovation work that was completed.

Contractor Requirements

All renovation work must be performed by a licensed contractor or subcontractor, unless contractor licensing is not applicable under state or local law for the specific trade or type of renovations being performed. **Self Help is not allowed.**

File must evidence the contractor was evaluated and able to perform the required duties. The Contractor must meet the following criteria:

- Must have a minimum of 3 years' experience as a Contractor and a minimum of 1 year in business.
- Have all appropriate credentials required by the state and local government.
- Financially able to perform the duties necessary to complete the renovation work in a timely manner, and
- Agrees to indemnify the borrower for all property losses or damage caused by its employees or



subcontractors.

- File must evidence a completed contractor profile report (form 1202 or similar).
- Contractor Insurance Requirements:
 - Contractor must carry a builders' all-risk insurance policy, without co-insurance, in an amount not less than 100% of the replacement cost of the work.
 - A General Liability insurance policy with limits of liability equal to at least \$500,000 per occurrence.
 - A worker's compensation insurance policy as required by state law.

Contractor Requirements - Texas

Texas loans must be in compliance with Texas Construction Laws. Contractor must execute the following documents:

- Mechanics Lien
- Home Improvement Rider
- Residential Construction Contract Disclosure Statement
- Contractors List of Sub Contractors and Suppliers
- Notice of Right to Rescind Mechanic's Lien Contract
- Assignment of Mechanics Lien Note

Texas – Appliances cannot be free-standing, they must be built-in.

Contractor Validation

Seller must review the Contractor documents to establish contractor is qualified to complete the work described in the Work Write Up or Contractor Bid. The review must include contractors credentials, work experience and client references. The Seller also must ensure the contractor meets all jurisdictional licensing and bond requirements. The Seller may not choose the contractor or refer the borrower to any one specific contractor.

File must evidence contractor validation and bid acceptance.

Non-Delegated Sellers may submit a request for Planet to validate the contractor prior to underwriting or locking the loan. Refer to the Correspondent website at www.phlcorrespondent.com under **Resources and Forms** for required forms to be executed by the Contractor.

Contractor Experience

- Must have a minimum of 3 years' experience as a Contractor and a minimum of 1 year in business.

Contractor Insurance Requirements – Contractor must carry:

- A builder's all risk insurance policy, without co-insurance, in an amount not less than 100% of the replacement cost of the work.
- A public liability insurance policy with limits of liability equal to at least \$500,000 per occurrence.
- A workers' compensation insurance policy as required by state law.
- An automobile liability insurance policy with limits of liability equal to at least \$300,000 per occurrence for each vehicle that will be used in providing the work.
- Other insurance policies as appropriate for the work being performed.

Owner's Insurance

- Owner will be responsible for purchasing and maintaining Owner's liability insurance and other reasonably appropriate insurance.



Credit Report/Scores

- Credit score per LPA.
- A tri-merged credit report is required for all borrowers.
- The representative credit score is determined as follows:
 - If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.
 - If there are two valid scores, the lower of the two is used.
 - If there is one valid score, that score is used.
- The representative score for the loan is the lowest representative score of all borrowers.
- The borrower(s) must address all credit inquiries indicated on the credit report within the previous 120 days and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not).
- Sellers are required to document that the borrower did not incur any new debt from the time the credit used to make the credit decision was pulled to the time of loan closing. Any of the following is acceptable documentation:
 - A “soft pull” credit report, or
 - A letter, written and signed by the borrower(s) stating no new credit was obtained.
 - Verification must be completed within 10 days from the Note date.

Credit Report - Fraud Alert

When a fraud alert, active-duty alert or freeze is included with a credit report, additional steps are required to verify the borrower's identity and documentation must be provided. Documentation should include, but is not limited to:

- A letter of explanation from the borrower, and
- A copy of the identity theft report, and
- An additional form of identity verification, and
- If the credit alert contains a phone number for a verbal verification prior to credit being issued, documentation must be provided that the borrower was contacted.

Employment and Income

Employment and income requirements must comply with Freddie Mac Conforming and Super Conforming program guidelines. See Freddie Mac Conforming and Super Conforming Program Guidelines > ["Employment and Income" on page 178](#).

Rental Income Eligibility During Renovation

Projected rental income from units, including ADUs, that are part of the renovation project may be used for qualifying purposes only if the rental payments will begin on or before the date of the first mortgage payment. If rental payments will begin after the due date of the first mortgage payment, the projected rental income is not eligible for qualifying purposes.

NOTE: If rental income is used to qualify, supporting documentation must be provided to confirm completion of repairs and the rental payments were received prior to the Note date.

Refer to Freddie Mac Selling Guide section [4607.5](#) for additional requirements.

Escrow

Costs and Escrow Accounts



Renovation costs must be supported by contractor bids and based on the approved plans and specifications for all work requested by the borrower.

Eligible renovation costs may include:

- Architectural/Engineer Fees – as required per scope of work
- Construction Management Fee
- Contingency Reserve (minimum of 10%)
- Draw Inspections (per Consultant or Construction Manager)
- Energy Reports (as applicable based on Final Inspection)
- Final Inspection (1004D), per AMC (cost varies)
- Mortgage Payment Reserve (≤ 6 months PITI, if property uninhabitable)
 - An escrow for mortgage payments may be established for up to six months of PITI, not to exceed the amount of time the property cannot be occupied during the renovation period.
 - Funds may only be used to make payments that come due while the property is uninhabitable.
 - Funds must be held in a renovation escrow account. Planet will hold and administer the renovation escrow account.
 - These funds may not be used for renovation expenses or any other purpose.

NOTE: A separate escrow account for mortgage payments may be established in lieu of including the funds in the renovation escrow account.

- Permits – as applicable
- Review of Renovation Plans or Consultant Work Write Up – Designated Consultant Fee
- Title Updates – one per draw/inspection

Contingency Reserve

The minimum contingency reserve amount must be equal to or greater than 10% of the total renovation costs.

- If the utilities are not operable as referenced in the contract and/or plans and specifications, then the minimum contingency reserve amount must be greater than or equal to 15% of the total renovation costs.
- The reserve may be included in the total renovation costs or may be funded separately by the borrower.
 - If paid in cash by the borrower at closing, it must be listed separately and not included in the financed renovation amount.
- Funds may only be released if unforeseen repairs or deficiencies are discovered during the renovation.

Unused Contingency Funds:

- Must be applied as a principal reduction (unless paid by the borrower in cash), after all renovation work is completed and the certification of completion has been obtained.
- May be used for additional improvements or repairs to the property, if:
 - The original renovation work (scheduled and described in the plans and specifications) has been completed and cost overruns have been applied;
 - The additional work improves or repairs the property;
 - Documentation includes paid receipts from the borrower's own funds in the file; and
 - Inspections are completed by the original appraiser who prepared the "as completed" value appraisal report

Renovation Escrow Account



Renovation costs (less any draws made at closing), the contingency reserve, mortgage payments (if applicable), and any borrower-funded amounts, must be deposited into an escrow account for the borrower's benefit. The renovation escrow account must meet the following requirements at the time of delivery to Planet.

Requirements:

- The escrow account must be administered in accordance with Freddie Mac's Renovation Mortgage requirements.
- Funds must be used to complete the repair and renovation work and, if applicable, make any mortgage payments that come due during the renovation period.

NOTE: Funds held for mortgage payments must be used for that purpose only and are not used for renovations or any other reason.

- Repairs and renovations must be completed in a timely manner and in accordance with the plans, specifications, and contractor estimated bids.
- Funds must be released from this account only when any given renovation work has been completed, and then only in accordance with the agreed-upon schedule and after receipt of a specific request.

Disbursement Methods

Funds must be disbursed using the following processes:

- A check issued jointly to the borrower and the contractor; or
- A wire transfer to the contractor, after written consent is obtained from the borrower to release the funds.

The written consent must be received prior to each disbursement and must include:

- Borrower's Name
- Property address
- Amount of funds to be disbursed
- Contractor to whom the funds are being disbursed
- Date of the consent

Upon Completion of Renovations

All remaining funds in this account, including any mortgage payment reserves, may be used to either:

- Reduce the unpaid principal balance of the loan (unless they represent funds deposited separately by the borrower), or
- Make additional improvements or repairs to the property, provided all conditions for supplemental improvements are met

Initial Draws at Closing

Up to 50% of the planned materials cost can be advanced after closing to secure necessary materials for the project.

An initial draw may be used to pay soft costs incurred early in the project, such as:

- Permits
- Architect fees
- Design or planning expenses incurred during the initial project.



Cost Increases

Any increase in renovation costs must be funded by the borrower or the Seller.

- The loan amount may not be increased to offset any cost increase
- Any additional funds must be obtained in a manner that will not affect the priority of Freddie Mac's lien.

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Improvements

Eligible

- All renovations and improvements are allowed as long as it is to be permanently affixed to the real property (either dwelling or land).
- New construction when the home is at least 90% complete – Remaining improvements must be related to completing non-structural items the original builder was not able to complete such as cabinets, flooring, and kitchen appliances.
- Addition of Accessory units, garages, recreational rooms and swimming pools are allowed according to local zone regulations.

Ineligible

- Demolition and full rebuilds: Razing an existing structure or demolition to the foundation followed by construction of a new dwelling is not permitted.
- Personal Property: Adding personal property items is not allowed, except for new appliances that are affixed to the property.

Inspections and Draw Disbursements

Draw inspections, the rehabilitation escrow account, and approving the associated draws from the account must be managed by Planet. The mortgagee is fully responsible for authorizing draw inspections, managing the rehabilitation escrow account, and approving the associated draws from the account.

LTV Ratios

The value used to determine the LTV, TLTV, and HTLTV ratios must be established as follows:

Purchase Transaction	No Cash-Out Refinance
Value is the lesser of: • The purchase price of the Mortgaged Premises prior to the renovations plus the renovation costs (costs of demolition and reconstruction), or • Appraised value of the Mortgaged Premises, as completed	Value is the appraised value of the Mortgaged Premises, as completed

Loan Application

The Seller must code the Purpose of Loan on Form 65, Uniform Residential Loan Application, as either Purchase or Refinance (as applicable) and not as Construction or Construction-Permanent.



The Seller must code the Loan Purpose on Form 1077, Uniform Underwriting and Transmittal Summary, as either Purchase or No Cash-Out Refinance (as applicable) and not as Home Improvement. The Seller must indicate in the Underwriter Comments if the Mortgage is a CHOICERenovation Mortgage.

Maximum Renovation Cost

Purchase Transaction

Renovation cost must not exceed 75% of the lesser of:

- The sum of the purchase price of the property plus renovation costs, or
- The “as completed” appraised value of the property.

No Cash-Out Refinance Transaction

Renovation cost must not exceed 75% of “as completed” appraised value of the property.

Manufactured Homes

Renovation cost must not exceed the lesser of

- \$50,000 or
- 50% of the “as completed” appraised value.

Minimum Loan Amount

° \$40,000.00

Mortgage Insurance

Required based on the applicable LTV calculation.

- Standard Coverage per LPA Approval.
- Reduced MI coverage not permitted.
- Borrower paid monthly and single premium; BPMI single premium may be financed.
- LPMI – single premium only.

Refundable and non-refundable options eligible.

Occupancy

- Owner-Occupied
 - An active-duty military borrower who is unable to occupy the primary residence prior to the delivery date due to military service will be considered an owner-occupied property mortgage. The borrower's military orders must verify that the borrower is temporarily unable to occupy the primary residence due to the military assignment.
- Second Home
- Investment (non-owner occupied)

Plans and Specifications

The plans and specifications must be prepared by a registered, licensed, or certified general contractor, renovation FHA 203(k) consultant, or architect and: Fully describe all work to be done and provide an indication of when various jobs or stages of completion will be scheduled (including both the start and completion dates).



file must document the plans quantity, quality and cost of work has been evaluated and to determine available financing. Plans and specification must be used by the appraiser to develop his/her opinion of the “as completed” value of the subject property.

Repairs equal to or less than \$75,000 and have no Structural Repairs

- The Specification of Repairs/Bid can be prepared by the FHA 203(k) Consultant or a registered, licensed General Contractor or Architect.
- Must fully describe and itemize the specific work to be done.
- Material cost to be itemized with description of materials and labor for each repair.
- Describe what repairs require permits and cost associated.
- Provide a draw schedule establishing the schedule for completing the repairs including start and completion time frames.
- Identify work to be performed by Sub-Contractor.
- HUD Consultant is not required.
- Material draw allowed for no more than 50% of itemized material per Contractor Bid.
- One Interim Inspection at \$150
- Final Inspection (1004D) required by licensed appraiser prior to release of Holdback Funds.

Repairs over \$75,000 and/or proposed renovation work includes any structural repairs

- Planet requires the use of HUD Consultant or an approved construction management company to prepare the Specifications of Repairs or a Feasibility Report.
 - For loans that require **only** foundation repairs, an engineer report from a licensed engineer may be acceptable in lieu of a HUD Consultant or an approved construction management company.
- HUD Consultant must be made aware the loan being applied for is a Conventional Renovation Loan
- HUD Consultant must provide Draw Schedule.
- HUD Consultant must perform the draw inspections.
- HUD Consultant must conduct an initial Property Assessment to determine if building components are substandard and/or present adverse conditions.
- Material cost must be itemized along with cost of labor on Specification of Repairs.
- Material draw allowed for no more than 50% of itemized material and including permits per Specification of Repairs and Consultant must be made aware if Lender disburses at closing.
- Final Inspection required by licensed appraiser (1004D) prior to release of Holdback Funds.

NOTE: Approved Construction Management Companies: Land Gorilla Construction Management, Granite Risk Management, Trinity Inspection Services LLC. Please reach out to Regional Sales Manager if your company is not listed.

Pools – Projects consisting of only a pool installation may follow reduced requirements below:

- Reduced documentation is only applicable when the project consists only of a pool, pool decking, and/or any fencing or netting immediately surrounding the pool.
- The lesser of \$15,000 or 25% of the total project cost may be advanced at closing for material cost for items not yet paid for.
- All work to be performed must be fully described, bids are not required to separate labor and material cost.
- Permits must still be obtained and referenced, an itemized listing of all permits.
- Planet will fund each draw in its entirety and not withhold 10% of the draw.
- Final Inspection required by licensed appraiser (1004D) prior to release of Holdback Funds.



Changes to Plans and Specifications

If any changes are made to the plans and specifications and/or the estimated time of completion for the renovations, the changes must be agreed upon via a change order by the Borrower and the contractor and approved by the Lender. Documentation evidencing the change order must be signed by the Borrower and the contractor and must include the following, as applicable:

- Detailed description of the changes
- Updated itemized renovation costs
- Updated total cost of the renovations
- Any changes to the estimated completion date

The Lender may not approve changes to the plans and specifications if such changes impact the loan-to-value (LTV)/total LTV (TLTV)/Home Equity Line of Credit (HELOC) TLTV (HTLTV) ratio or the property such that either the Mortgage:

- Would not have been eligible for sale under the terms of the Lender's Purchase Documents in effect on the Settlement Date, or
- Would have been eligible for sale but under different terms.

Unplanned Changes in Scope or Incomplete Work

Planet will work with the borrowers and contractors to ensure renovations are completed as planned, within an acceptable timeframe.

If unforeseen circumstances occur during the renovation work, such as property damage from a natural or man-made disaster, or a life altering event such as death or divorce. Additional steps to evaluate the materiality of the change to any renovations in progress.

- File must evidence an updated appraisal determining whether the changes will impact the “as completed” value of the property, and
- Any change in value must be submitted to the CHOICERenovation mailbox.

Products

Amortization Type

- Standard Fixed Rate: 10-, 15-, 20-, 25- and 30- year
- Super Conforming Fixed Rate: 15-, 20-, and 30- year
- Home Possible Fixed Rate: 10-, 15-, 20-, 25- and 30- year

Products

- Standard Conforming
- Super Conforming
- Home Possible

Ineligible Products/Features

- Affordable Merit Rate® Mortgages
- Energy Efficient (Green Choice)
- A-minus Mortgages
- Seasoned Mortgages
- Financed Permanent Buydown Mortgages
- Seller-Owned Modified Mortgages and Seller-Owned Converted Mortgages
- Mortgages with capitalized balances



- Special Purpose Cash Out Refinance Mortgages
- FHA and VA Mortgages
- Section 502 GRH Mortgages
- Section 184 Native American Mortgages
- Freddie Mac Relief Refinance Mortgages – Same Servicer and Freddie Mac Relief Refinance Mortgages – Open Access
- Freddie Mac Enhanced Relief Refinance Mortgages
- Community Land Trust Mortgages

Property Eligibility

Eligible Properties

- 1-4-unit primary residence
- 1 unit second home
- 1-unit investment properties
- Single Family residence (SFR)
- Planned Unit Development (PUD)
 - Renovations must comply with all applicable project conditions, covenants and restrictions.
- Warrantable Condo
 - Renovations must comply with all applicable project conditions, covenants and restrictions and have HOA approval.
- Manufactured Home (Multi-wide only)
 - The renovation of manufactured homes is allowed provided all improvements meet Freddie Mac's Manufactured Home and ADU requirements.
 - Eligible, non-structural improvements include but are not limited to improvements to kitchens and bathrooms; installing energy-efficient heating and cooling systems; changes to address mobility and aging in place requirements; and installation of new windows, doors, siding, or roofing provided these changes do not alter the structure of the unit.
 - Total financed renovation costs for Manufactured Homes (purchase and refinance transactions) must not exceed the lesser of \$50,000 or 50% of the “as completed” value of the property as determined by the appraiser.

Ineligible Properties

- Condotels
- °Cooperatives
- Leashold
- Manufactured Condos
- °Manufactured homes located in 100-year flood plain
- Manufactured homes built prior to 6/15/1976
- Mobile Homes
- Non-Warrantable Condos
- °Single-wide manufactured homes
- Working Farms

Properties with an Accessory Dwelling Unit (ADU)

Accessory Dwelling Units (ADU)

The construction of an ADU in connection with a CHOICERenovation is acceptable. ADUs are not permitted for 4-unit properties, second homes, or investment properties.



For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Properties with an Accessory Dwelling Unit \(ADU\)" on page 199.](#)

Property and Flood Insurance

File must evidence property insurance and flood insurance (as applicable) via policy or declaration page. For additional requirements, see [Freddie Mac Selling Guide](#).

Renovation Contract

The renovation contract must:

- Itemize the specific work that the contractor agrees to perform.
- Include the agreed-upon cost of the renovation.
- Identify all subcontractors and suppliers.
- Include an itemized description of the schedule for completing each stage of the work and the corresponding payments to be made to the contractor.

File must evidence an executed contract between the contractor and the borrower and requires the contractor to:

- Be duly licensed (if required by applicable law).
- Obtain all required insurance coverages.
- Completion of work must comply with the contract and all applicable government regulations, covenants and restrictions.
- Obtain the necessary building permits (including a certificate of occupancy, upon completion of renovations, if required by local law).
- Provide for appropriate remedies for resolving disputes (including an agreement to indemnify the borrower for all property losses or damages caused by the contractor's employees or subcontractors).

NOTE: File must include a copy of the Freddie Mac Renovation Homeowner Contract agreement. CHOICERenovation mortgages may be subject to a variety of laws and regulations, based on the type of transaction or the types of lenders originating the mortgages. Suggested Forms are the FNMA 3730 or Freddie Mac Renovation Contract.

Renovation Cost (Fees and Charges)

Renovation-related costs that may be considered as part of the total renovation costs include:

- Property inspection fees
- Costs and fees for the title update
- Architectural and engineering fees
- Independent consultant fees
- Costs for required permits
- Final Inspection 1004D.
- Other documented charges:
 - Fees for energy reports
 - Appraisals
 - Review of renovation plans, and
 - Fees charged for processing renovation draws
 - Up to six months payments (PITIA) if a principal residence property cannot be occupied during renovation.



NOTE: An amount for sweat equity may not be factored into the renovation costs.

Renovation Loan Agreement

The Renovation Loan Agreement must include:

- The terms and conditions of the loan prior to the completion of the improvements.
- Events that constitute a borrower default and indicates the remedies available if the borrower defaults under the terms of either the renovation contract or other loan documents.
- Requires the contractor to have any license required by government regulation.
- To obtain an all-risk insurance policy (with a physical loss form endorsement and a mortgagee's loss payable clause) equal to 100% of the full replacement cost of the:
 - Improvements
 - Public liability insurance
 - Workmen's compensation insurance (as required by applicable state law)
 - Automobile liability insurance
- Require that either the borrower or the contractor obtain all work permits required by government agency and comply with all applicable laws or government regulations.

Renovation Time Frame

Renovation time frame is limited by the scope of work. All renovations must be completed within 450 days of the Note Date.

Subordinate Financing

Secondary financing must comply with the guideline requirements for the specific mortgage product or offering.

Temporary Buydown

Not permitted.

Title and Insurance Updates

A title update is required through the date the renovation was completed and must be concurrent with the last disbursement. Planet requires a Title update per draw.

This will ensure:

- The continuance of Freddie Mac's first lien priority, and
- The absence of any mechanics or materialmen's liens.

Transaction Eligibility

Eligible Transactions

- No Cash-Out Refinance transactions
- Purchase

Ineligible Transaction

- Any transaction without an LPA "Accept" Finding
- Community Land Trusts



- Freddie Mac Green Choice Program
- Interest-only
- Lease option to purchase
- Loans with tutorship lien
- Properties in the “Right of Redemption Period” as applicable state law allows
- Refinance transactions where the subject property is listed for sale at time of disbursement of the new loan
- Restructured mortgages that do not meet Freddie Mac guidelines
- Third party originated (TPO)
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

No Cash-Out Refinance Transactions

Loan originated as a no cash-out refinance may include:

- Amount required to satisfy existing first lien mortgage.
- Amount required to satisfy the outstanding subordinate liens used to acquire the property.
- Closing cost
- Prepaid fees and points
- Total renovation cost includes allowable renovation-related cost for the home improvements up to the maximum permitted LTV and CLTV ratios.
 - Any excess funds existing after renovations are completed may be applied to the loan balance as a curtailment or used for additional renovations pursuant to the requirements within these guidelines.
 - Value of sweat equity may not be reimbursed.

A CHOICERenovation Mortgage secured by a property previously owned free and clear by the Borrower is considered a “no cash-out” refinance Mortgage if the proceeds are used only to finance the eligible renovations. At least one Borrower must have been on the title to the subject property for at least six months prior to the Note Date, except as specified below:

- At least one Borrower on the refinance Mortgage inherited or was legally awarded the subject property (for example, in the case of divorce, separation or dissolution of a domestic partnership)

OR all of the following:

- The Settlement/Closing Disclosure Statement or an alternative form required by law from the purchase transaction must reflect that no financing secured by the subject property was used to purchase the subject property. A recorded trustee's deed or equivalent documentation may be used when a Settlement/Closing Disclosure Statement or an alternative form required by law was not used for the purchase transaction.
- The preliminary title report for the refinance transaction must reflect the Borrower as the owner of the subject property and must reflect that there are no liens on the property.
- The source of funds used to purchase the subject property must be fully documented.
- If funds were borrowed to purchase the subject property, those funds must be repaid and reflected on the Settlement/Closing Disclosure Statement for the refinance transaction.
- There must have been no affiliation or relationship between the buyer and seller of the purchase transaction.

CHOICERenovation Forms

- Freddie Mac Renovation Homeowner Contractor Agreement – FNMA 3730
- Rehabilitation Loan Agreement – FNMA 3731



- Renovation Maximum Mortgage Worksheet
- Investor Rider to Security Instrument (if Investment Property)
- Renovation Loan Rider to Security Instrument
- Renovation Mortgage Consumer Tips (CORR288)

Texas Loans require an Attorney to prepare the closing documents. The Attorney should be knowledgeable in Texas Law regarding renovation lending and provide the following documents in the closing package:

- Mechanic's Lien Contract and Transfer of Lien – must include verbiage to create the Mechanic's Lien and assignment to the Lender. Amount of renovation must match final contractor estimate.
- Financing Rider – to show loan proceeds that are part purchase of the property and renewal and extension of the Mechanic's Lien Contract. If the loan is a refinance the Financing Rider will show renewal and extension of the existing lien(s) and of the Mechanic's Lien Contract.
- Rehabilitation Loan Agreement
- Non-Commencement Affidavit



Freddie Mac CHOICEReno eXpress Program Grid

STANDARD CONFORMING AND SUPER CONFORMING ¹					
Owner-Occupied Primary Residence Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	95% / 105% ³	95%	See Loan Limits Below	Per LPA
	2	95%	85%		
	3-4	95%	80%		

MANUFACTURED HOME					
Primary Residence* - Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	95%	N/A	See Loan Limits Below	Per LPA

* Manufactured Homes are not eligible for Second Home or Investment Property transactions

SECOND HOME					
Primary Residence Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	90%	90%	See Loan Limits Below	Per LPA

INVESTMENT					
Non-Owner Occupied Fixed Rate					
Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	85%	85%	See Loan Limits Below	Per LPA



HOME POSSIBLE ¹ - Standard Conforming and Super Conforming

Owner-Occupied Primary Residence Fixed Rate

Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	97% ² / 105% ³	95% / 105% ³	See Loan Limits Below	Per LPA
	2	95% / 105% ³	85%		
	3-4	95% / 105% ³	80%		

HOME POSSIBLE ¹ - Standard Conforming

Manufactured Home Primary Residence Fixed Rate

Transaction Type	Units	Conforming LTV / CLTV	Super Conforming LTCV / CLTV	Loan Amount	Credit Score
Purchase No Cash-Out	1	95% / 105% ³	N/A	See Loan Limits Below	Per LPA

Reference:

1. Standard Conforming and Super Conforming Loan Limits apply.
2. LTV > 95%
 - Standard 35% Mortgage Insurance is required when LTV exceeds 95%.
 - Purchase – Must be Home Possible or First Time Homebuyer
 - Refinance - Mortgage being refinanced must be owned by Freddie Mac
3. CLTV of 105% is permitted with an Affordable Second that meets Freddie Mac requirements. See [Freddie Mac Selling Guide](#) for complete details.

2026 Conforming and Super Conforming Loan Limits

Contiguous States, District of Columbia, & Puerto Rico			Alaska ² & Hawaii	Hawaii
Unit	Conforming Loan Limit	High Cost "Super Conforming" Limit ¹	Conforming Loan Limit	High Cost "Super Conforming" Limit ³
1	\$832,750	\$1,249,125	\$1,249,125	\$1,299,500
2	\$1,066,250	\$1,599,375	\$1,599,375	\$1,633,600
3	\$1,288,800	\$1,933,200	\$1,933,200	\$2,010,950
4	\$1,601,750	\$2,402,625	\$2,402,625	\$2,499,100

**Reference:**

1. Actual conforming loan limit values for specific counties in designated High-Cost Areas, as determined by FHFA, may be lower than the loan limits listed above and can be found by visiting the [FHFA conforming loan limit values webpage](#).
2. Alaska does not have any high-cost areas.
3. Two counties in Hawaii (Maui and Kalawao) are high-cost areas.

See [Freddie Mac loan limits](#) for maximum loan amounts by county/metropolitan area.



Freddie Mac CHOICEReno eXPress Program Guidelines

For topics not addressed in this guide, see ["Freddie Mac Conforming and Super Conforming Program Guidelines" on page 163](#) , ["Freddie Mac CHOICERenovation Program Guidelines" on page 213](#) and [Freddie Mac Selling Guide](#).

Program Overview

Borrower may purchase a property or refinance an existing home and include funds in the loan amount to cover the costs of:

- Repairs
- Remodeling
- Renovations, or
- Energy improvements to the property.

General Parameters

- No minimum dollar amount required for renovations.
- Any type of renovation or repair is eligible if the improvements are permanently affixed to the real property (either dwelling or land), except for certain appliances installed with kitchen and utility room remodels such as washer and dryers or refrigerators.
 - The purchase of appliances as part of the overall remodeling project is permitted.
- Completion of the final work on newly built homes are permitted when the cost to complete the incomplete items does not exceed 15% of the "as completed" value.
 - The remaining improvements must be related to completing non-structural items the original builder was unable to finish. Such work may include installation of buyer-selected items such as:
 - Flooring
 - Cabinets
 - Kitchen appliances
 - Fixtures, and
 - Trim
- Construction of various outdoor buildings and structures are permitted and according to local zoning regulations.
 - Examples of acceptable structures include, but are not limited to:
 - Accessory units
 - Garages
 - Recreation rooms, and
 - Swimming pools.
- CHOICEReno eXPress loans can be used to repair damages from a natural disaster and to install preventative items such as:
 - Storm Surge barriers
 - Foundation Retrofitting
 - Hazardous brush and trees in fire zones
 - Retaining walls to address mud or water flow
 - Items specifically need to repair or prevent damages from environmental hazards like hurricanes and earthquakes.

NOTE: Complete tear downs and reconstruction of the dwellings are not permitted.



- The renovation and contingency funds must be placed in an interest-bearing custodial account.
- Unused funds must be applied as a curtailment to the unpaid mortgage balance.

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 163](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Section 5102 through 5500 of the [Freddie Mac Single-Family Seller/Service Guide](#).**

Appraisals

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Appraisals" on page 214](#).

AUS

All CHOICERenovation Mortgages must be submitted to LPA and must receive a Risk Class of Accept.

If the Mortgage receives an LPA evaluation status of invalid, ineligible or incomplete, it is ineligible for sale to Planet.

Available Markets

Delegated Sellers

Planet will purchase loans underwritten and closed by the delegated Seller in all states.

Non-Delegated Sellers

Planet will purchase loans from the non-delegated Seller in all states. All loans require Planet underwriting approval.

U.S. Territories

The U.S. territories of American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and the U.S. Virgin Islands, are ineligible regardless of delegation.



Certificate of Completion

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Certificate of Completion" on page 215.](#)

Contractor Requirements

All contractors and/or tradespersons chosen by the borrower to complete the renovation must:

- Have entered into an executed, binding renovation contract with the borrower to complete the renovations within a reasonable time period after the Note date, not to exceed 180 days. The contractor must include an indemnification provision requiring the contractor to indemnify the borrower for any property loss or damages caused by the contractor, its employees, or its subcontractors.
- Be licensed and insured as required by local and/or state requirements, and
- Be financially able to perform the duties necessary to complete the renovation work in a timely manner.
- **Self Help and/ or the borrower acting as the general contractor is not allowed.**

Renovations Purchase from a Home Improvement Store

Up to 100% of the renovation costs identified in the renovation contract (including labor costs) may be paid to a home improvement store at closing in lieu of such funds being deposited into the completion escrow account or Custodial account.

If the Borrower chooses a home improvement store to have the renovation work completed and the home improvement store's renovation **program requires payment-in-full at the point of purchase**, up to 100% of the renovation costs identified in the renovation contract (including labor costs) may be paid to a home improvement store at closing in lieu of such funds being deposited into the completion escrow account or Custodial account provided the following requirements are met:

- The CHOICEReno eXPress Mortgage is a "no cash-out" refinance.
- The Seller must review the home improvement store's renovation program to determine that the following requirements are met:
 - The home improvement store is financially able to perform the duties necessary to have the renovation work completed in a timely manner and pay the contractors and/or tradespersons chosen by the home improvement store to complete the renovations. A contractor and/or tradesperson may not require payment directly from the borrower.
 - The home improvement store has a robust contractor approval process that is managed, maintained, and updated regularly.
 - The contractors and/or tradespersons chosen by the home improvement store to complete the renovations is licensed and insured as required by local and/or State requirements, and they must be approved under the home improvement store's contractor approval process during the course of the renovations. In the event a contractor and/or tradesperson becomes unapproved or is unable to complete the renovation work in a timely manner, the home improvement store must choose other approved contractors and/or tradespersons to complete the renovations. A copy of the license and insurance for the contractor, and proof they are approved by the home improvement store is required to be retained in the loan file.
- The borrower may not be chosen by the home improvement store to complete the renovations, even if the borrower is a licensed contractor and/or is licensed and qualified to complete the renovations.
- The home improvement store must have entered into an executed, binding renovation contract with the borrower to complete the renovations within a reasonable time period after the Note Date, not to exceed 180 days.
- The contract must include an indemnification provision requiring the home improvement store to



indemnify the borrower for any property loss or damage caused by the contractors and/or tradespersons chosen by the home improvement store to complete the renovations. This product requires the use of FNMA Form 3730.

Contractor Requirements - Texas

Texas loans must be in compliance with Texas Construction Laws. Contractor must execute the following documents:

- Mechanics Lien
- Home Improvement Rider
- Residential Construction Contract Disclosure Statement
- Contractors List of Sub Contractors and Suppliers
- Notice of Right to Rescind Mechanic's Lien Contract
- Assignment of Mechanics Lien Note

Texas – Appliances cannot be free-standing, they must be built-in.

Contractor Validation

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Contractor Validation" on page 216](#).

Credit Report/Scores

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Credit Report/Scores" on page 217](#).

Credit Report - Fraud Alert

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Credit Report - Fraud Alert" on page 217](#).

Employment and Income

Employment and income requirements must comply with Freddie Mac Conforming and Super Conforming program guidelines. For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Employment and Income" on page 178](#).

Escrow

Costs and Escrow Accounts

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Escrow" on page 217](#).

Contingency Reserve

A contingency reserve is not required with the CHOICEReno eXPress program, but underwriter may determine one is needed. If a contingency reserve is financed in the loan, the amount must be less than or equal to 15% of the total renovation costs identified in the renovation contracts. If the borrower funded the contingency reserve with their own funds, the borrower may receive those unused funds back or can complete additional repairs with the funds.



Renovation Escrow Account

Planet will manage the renovation funds in the Rehabilitation Escrow account.

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Improvements

Eligible

- All renovations and improvements are allowed as long as it is to be permanently affixed to the real property (either dwelling or land).
- New construction when the home is at least 90% complete – Remaining improvements must be related to completing non-structural items the original builder was not able to complete such as cabinets, flooring, and kitchen appliances.
- Addition of Accessory units, garages, recreational rooms and swimming pools are allowed according to local zone regulations.

Ineligible

- Demolition and full rebuilds: Razing an existing structure or demolition to the foundation followed by construction of a new dwelling is not permitted.
- Personal Property: Adding personal property items is not allowed, except for new appliances that are affixed to the property.

Inspections and Draw Disbursements

All renovation projects must be completed within 180 days of closing. CHOICEReno eXPress mortgages allow for initial disbursement at closing as follows:

- For contractor(s) and/or tradespersons chosen by the Borrower to complete renovations, up to 50% of the cost of materials may be advanced to the contractor(s) and/or tradespersons.
- For renovations purchased from a home improvement the contractor can receive up to 100% of the cost of materials as long as the transaction is a No-Cash Out Refinance and meets the requirements in the Contractor Requirements section of this document.
- If the mortgage proceeds are insufficient to cover the contracted cost of the renovations, the borrower must deposit sufficient funds to pay the remaining amount into the completion escrow account or custodial account for renovation funds.
- Permits must be obtained prior to first draw

Draw inspections, the rehabilitation escrow account, and approving the associated draws from the account must be managed by Planet. Planet is fully responsible for authorizing draw inspections, managing the rehabilitation escrow account, and approving the associated draws from the account.

If 100% disbursed to Home Improvement store at closing, Planet will request final Title Update and 1004D to confirm repairs are complete and close out the rehabilitation escrow account.



Disbursements Made by Seller Prior to Purchase by Planet

The Seller has the option to disburse the initial draw at closing. Initial draws disbursed by the Seller must be reflected on the CD.

- Planet must be notified if Seller disburses draws outside of closing.
- Seller must provide required documentation to support draw disbursement including Executed Draw Request, Lien Waivers, Invoices, copy of disbursement check and other supporting documents.
- A completed Renovation Escrow Validation Form to be completed prior to purchase of the loan by Planet. A sample Renovation Escrow Validation Form is available on the Core Seller Portal at www.phlcorrespondent.com under **Forms and Resources**.

LTV Ratios

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["LTV Ratios" on page 220](#).

Loan Application

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Loan Application" on page 220](#).

Maximum Loan Amount

The maximum loan amount is determined by county. See [Federal Housing Finance Agency](#) high-cost area summary.

Maximum Renovation Cost

Purchase Transaction

- The maximum financed renovation costs for CHOICEReno eXPress purchase transactions not secured by a manufactured home cannot exceed:
 - 15% of the purchase price of the subject property plus the total renovation cost or the As-Completed Value, whichever is less for properties located in designated [Duty to Serve high-needs areas](#), or
 - 10% of the purchase price of the subject property plus the total renovation cost or the As-Completed Value, whichever is less for properties not located in a designated Duty to Serve high-needs area.

No Cash-Out Refinance Transaction

- The maximum financed renovation costs for CHOICEReno eXPress "no cash-out" refinance transactions not secured by a manufactured home cannot exceed:
 - 15% of the "As-Completed" value for properties located in designated [Duty to Serve high-needs areas](#), or
 - 10% of the "As-Completed" value for properties not located in a designated Duty to Serve high-needs area.

Manufactured Homes

- The maximum financed renovation costs for CHOICEReno eXPress purchase and "no cash-out" refinance transactions secured by a manufactured home cannot exceed the lesser of \$50,000 or:
 - 5% of the "As completed" value for properties located in designated [Duty to Serve high-needs areas](#), or



- 10% of the "As-Completed" value for properties not located in a designated Duty to Serve high-needs area.

Minimum Loan Amount

° \$40,000.00

Mortgage Insurance

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Mortgage Insurance" on page 221](#).

Occupancy

- Owner-Occupied
- Second Home
- Investment (non-owner occupied)

Plans and Specifications

The loan file must document the plans quantity, quality, and cost of work. The Seller must review and evaluate to determine available financing. Plans and specification must be used by the appraiser to develop their opinion of the "as completed" value of the subject property.

See ["Maximum Renovation Cost" on the previous page](#) for the allowable maximum financed renovation costs.

Changes to Plans and Specifications

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Plans and Specifications" on page 221](#).

Unplanned Changes in Scope or Incomplete Work

Planet will work with the borrowers and contractors to ensure renovations are completed as planned, within 180 days.

If unforeseen circumstances occur during the renovation work, such as property damage from a natural or man-made disaster, or a life altering event such as death or divorce. Additional steps to evaluate the materiality of the change to any renovations in progress.

- Planet will request an updated appraisal to determine whether the changes will impact the "as completed" value of the property, and
- Notify Freddie Mac of the circumstance and request approval of the change.

Products

Amortization Type

- Standard Fixed Rate: 15-, 20-, 25- and 30- year
- Super Conforming Fixed Rate: 15-, 20-, and 30- year

ARMs are ineligible.



Ineligible Products/Features

- Affordable Merit Rate[®] Mortgages
- Energy Efficient (Green Choice)
- A-minus Mortgages
- Seasoned Mortgages
- Financed Permanent Buydown Mortgages
- Seller-Owned Modified Mortgages and Seller-Owned Converted Mortgages
- Mortgages with capitalized balances
- Special Purpose Cash Out Refinance Mortgages
- FHA and VA Mortgages
- Section 502 GRH Mortgages
- Section 184 Native American Mortgages
- Freddie Mac Relief Refinance Mortgages – Same Servicer and Freddie Mac Relief Refinance Mortgages – Open Access
- Freddie Mac Enhanced Relief Refinance Mortgages
- Community Land Trust Mortgages

Property Eligibility

Eligible Properties

- 1-4-unit primary residence
- 1 unit second home
- 1-unit investment properties
- Single Family residence ("SFR")
- Planned Unit Development ("PUD")
 - Renovations must comply with all applicable project conditions, covenants and restrictions.
- Warrantable Condo
 - Renovations must comply with all applicable project conditions, covenants and restrictions and have HOA approval.
- Manufactured Home (Multi-wide only)
 - The renovation of manufactured homes is allowed provided all improvements meet Freddie Mac's Manufactured Home and ADU requirements.
 - Eligible, non-structural improvements include but are not limited to improvements to kitchens and bathrooms; installing energy-efficient heating and cooling systems; changes to address mobility and aging in place requirements; and installation of new windows, doors, siding, or roofing provided these changes do not alter the structure of the unit.
 - Total financed renovation costs for Manufactured Homes (purchase and refinance transactions) must not exceed the lesser of \$50,000 or 50% of the "as completed" value of the property as determined by the appraiser.

Ineligible Properties

- Condotels
- ^oCo-Ops
- ^oLeaseholds
- Manufactured homes built prior to 6/15/1976
- Manufactured homes that are not real property
- Mobile Homes
- Non-Warrantable Condos
- Properties located in a 100-year flood plain
- ^o Singlewide Manufactured Homes
- Working Farms



Properties with an Accessory Dwelling Unit (ADU)

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Properties with an Accessory Dwelling Unit \(ADU\)" on page 199.](#)

Property and Flood Insurance

File must evidence property insurance and flood insurance (as applicable) via policy or declaration page. For additional requirements, see [Freddie Mac Selling Guide](#).

Renovation Contract

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Renovation Contract" on page 225.](#)

Renovation Cost (Fees and Charges)

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Renovation Cost \(Fees and Charges\)" on page 225.](#)

Renovation Loan Agreement

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Renovation Loan Agreement" on page 226.](#)

Renovation Time Frame

Renovation time frame is limited by the scope of work. All renovations must be completed within 180 days of the Note Date.

Subordinate Financing

Secondary financing must comply with the guideline requirements for the specific mortgage product or offering.

Temporary Buydown

Not permitted.

Title and Insurance Updates

A title update is required through the date the renovation was completed and must be concurrent with the last disbursement. Planet requires a Title update per draw.

This will ensure:

- The continuance of Freddie Mac's first lien priority, and
- The absence of any mechanics or materialmen's liens.



Transaction Eligibility

Eligible Transactions

- No Cash-Out Refinance transactions
- Purchase

Ineligible Transaction

- Any transaction without an LPA "Accept" Finding
- Community Land Trusts
- Freddie Mac Green Choice Program
- Interest-only
- Lease option to purchase
- Loans with tutorship lien
- Properties in the "Right of Redemption Period" as applicable state law allows
- Refinance transactions where the subject property is listed for sale at time of disbursement of the new loan
- Restructured mortgages that do not meet Freddie Mac guidelines
- Third party originated (TPO)
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

No Cash-Out Refinance Transactions

For all requirements, see Freddie Mac CHOICERenovation Program Guidelines > ["Transaction Eligibility" on page 226](#).

CHOICERenovation Forms

- Freddie Mac Renovation Homeowner Contractor Agreement – FNMA 3730
- Rehabilitation Loan Agreement – FNMA 3731
- Renovation Maximum Mortgage Worksheet
- Investor Rider to Security Instrument (if Investment Property)
- Renovation Loan Rider to Security Instrument
- Renovation Mortgage Consumer Tips (CORR288)

Texas Loans require an Attorney to prepare the closing documents. The Attorney should be knowledgeable in Texas Law regarding renovation lending and provide the following documents in the closing package:

- Mechanic's Lien Contract and Transfer of Lien – must include verbiage to create the Mechanic's Lien and assignment to the Lender. Amount of renovation must match final contractor estimate.
- Financing Rider – to show loan proceeds that are part purchase of the property and renewal and extension of the Mechanic's Lien Contract. If the loan is a refinance the Financing Rider will show renewal and extension of the existing lien(s) and of the Mechanic's Lien Contract.
- Rehabilitation Loan Agreement
- Non-Commencement Affidavit



Freddie Mac HomeOne Program Grid

FIXED RATE				
Owner-Occupied Primary Residence				
Transaction Type	Unit	LTV/TLTV/HTLTV ^{1,2,3}	Loan Amount	Credit Score
Purchase and No Cash-Out	1	97%/105%/97%	See Loan Limits below	Per LPA
	2-4	Not Eligible		

Reference:

1. Up to 105% TLTV allowed provided subordinate lien is an Affordable Second. Subordinate financing that is not an Affordable Second is limited to 97% TLTV.
2. Standard 35% Mortgage Insurance coverage is required when LTV exceeds 95%.
3. LTV/TLTV > 95% subject to additional requirements, including refinance must pay off a Freddie Mac owned loan. See ["Transaction Types" on page 248](#) and refer to the [Freddie Mac Selling Guide](#) for complete details.

2026 Conforming and Super Conforming Loan Limits		
Contiguous States, District of Columbia, & Puerto Rico		Alaska & Hawaii
Unit	Conforming Loan Limit	Conforming Loan Limit
1	\$832,750	\$1,249,125

See [Freddie Mac loan limits](#) for maximum loan amounts by county/metropolitan area.



Freddie Mac HomeOne Program Guidelines

For topics not addressed in this guide, see ["Freddie Mac Conforming and Super Conforming Program Guidelines" on page 163](#) and [Freddie Mac Selling Guide](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 163](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Section 5102 through 5500 of the [Freddie Mac Single-Family Seller/Servicer Guide](#).**

Age of Documents

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Age of Documents" on page 163](#).

Appraisals

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Appraisals" on page 164](#).

Assets

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Assets" on page 168](#).

Reserves

Per LPA Feedback. All reserves entered into LPA must be verified. Reserve requirements when converting a principal residence are subject to the [Freddie Mac Selling Guide](#).

Assumptions

Planet follows Agency guidelines.



AUS

° LPA "Eligible/Accept" results required. Manual underwriting is ineligible.

Available Markets

- **Delegated Sellers**
 - Planet will purchase loans underwritten and closed by the delegated Seller in all states.
- **Non-Delegated Sellers**
 - Planet will purchase loans from non-delegated Sellers in all states on Freddie Mac products. All loans require Planet underwriting approval.
- Sellers must receive approval from Planet to deliver loans with properties located in Puerto Rico.
- The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.

Borrower Eligibility

Eligible Borrowers

- A natural person
- U.S. Citizens
- Permanent resident aliens:
 - Permanent resident alien borrowers must hold an unexpired "Green Card" issued by the U.S. Citizenship and Immigration Services (USCIS). A copy of both the front and back of the card is required.
- Non-permanent resident aliens:
 - Non-permanent resident aliens are temporary residents who are eligible to live/work in the United States for a specific period of time. Acceptable documentation of their work authorization is:
 - An unexpired Employment Authorization Document (EAD) by the USCIS, or
 - An unexpired visa. Eligible types are E-1, G series, H series, L-1A, L-1B or TN.
 - If the authorization for temporary residency will expire within one year of closing and a prior history of residency status renewals exists, continuation may be assumed. If there are no prior renewals, the likelihood the authorization will be renewed must be determined based on information received from the USCIS.
- Revocable Inter Vivos Trust that meets Freddie Mac guidelines. Trusts are eligible on:
 - 1 unit owner-occupied or second home only.
 - A Power of Attorney is ineligible with an inter vivos trust.
- All borrowers are required to have a social security number.

Ineligible Borrowers

- Borrowers that receive Government/Public Assistance Income (Section 8 income)
- Borrowers with diplomatic immunity
- Borrowers with non-traditional credit
- Borrowers without a social security number or a number that cannot be validated with the SSA
- Foreign Nationals
- Non-occupant co-borrowers and co-signers

Borrower Types

Non-Borrowing/Non-Purchasing Spouse: Generally have no ownership interest in the property and are not liable for the debt. In community property/marital rights states, the non-borrowing spouse does have an interest in the property and is required to execute the security instrument and all applicable documents as determined



by state law.

NOTE: Community property states: Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington and Wisconsin.

Chain of Title

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Chain of Title" on page 173](#).

Credit

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Credit" on page 174](#).

Deed/Resale Restrictions

Properties with age-related restrictions (55+ communities) are eligible subject to Freddie Mac requirements. ^o
All other properties subject to deed/resale restrictions are ineligible.

DTI

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["DTI" on page 176](#).

Employment and Income

No income limits.

Rental Income

Rental income is permitted only for a borrower with a disability when the rental income is received from a live-in-aide.

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Employment and Income" on page 178](#).

Escrow/Impound Account

- >80% LTV required unless prohibited by state law
- <80% LTV not required; refer to rate sheet for pricing adjustment

Escrowed Flood Insurance Premiums

Escrowed flood insurance premiums are required on all loans including, but not limited to, Higher Priced Mortgage Loans (HPML). When the subject property is in a special flood hazard area, the Seller must provide the following:

- Evidence that flood insurance premiums have been escrowed (regardless of any other fees and charges associated with the loan).
- Seller must use Standard Flood Hazard Determination Form (SFHDF) on all properties.



NOTE: Planet will not purchase loans with negative escrow balances.

Exclusionary List

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Exclusionary List" on page 187](#).

Financed Properties

No limit on the number of financed properties.

°Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Homeownership (CreditSmart Homebuyer U) and Landlord Education

For purchase transactions, when all borrowers are first-time homebuyers, at least one borrower must participate in a homeownership education program.

Higher Priced and High Cost Loans

- Higher priced mortgage loans (HPML) are eligible subject to the following:
 - Establishment of an escrow account for taxes and insurance on primary residence transactions, and
 - Loan must meet all applicable and/or federal compliance requirements, and
 - Loan must be fixed rate
- High-cost loans are **ineligible**.

Inspections

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Inspections" on page 188](#).

Interested Party Contributions

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Interested Party Contributions" on page 188](#).

Mortgages — Ineligible

- A-minus
- Any mortgage not secured by a single-family primary residence
- FHA and VA Mortgages
- Freddie Mac Home Possible
- Freddie Mac Relief Refinance
- Seller-Owned Modified and Seller-Owned Converted Mortgages
- Financed Permanent Buydown
- Seasoned Mortgages
- Super Conforming Mortgages
- Mortgages with capitalized balances
- Section 502 GRH Mortgages
- Section 184 Native American Mortgages



Mortgage Insurance

- Loans with >80% LTV require mortgage insurance and are subject to MI guidelines.
- Eligible MI products:
 - Borrower Paid Mortgage Insurance (BPMI). Monthly, single or split premium are eligible. See ["Chapter 4: Mortgage Insurance" on page 33](#) for detailed requirements.
 - Lender Paid Mortgage Insurance (LPMI). Single premium only.
- Eligible MI options:
 - Non-refundable
 - Refundable
 - Level/constant renewal type (as applicable)

Planet will accept mortgage insurance issued by MI companies that are Freddie Mac approved.

Mortgage/Rental History

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Mortgage/Rental History" on page 193](#).

Non-Arms' Length or Identity of Interest Transactions

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Non-ARMs' Length or Identity of Interest Transactions" on page 193](#).

Occupancy

- Owner-occupied
- All borrowers must occupy the subject property

Prepayment Penalty

Not permitted.

Products

- Fixed Rate: 15-, 20-, 25- and 30-year term.
- **°ARMs are not permitted.**

Property Eligibility

Eligible Properties

- 1-unit primary residence
- Condo
- PUDs
- Townhouses

Ineligible Properties

- 2-4 units
- Agricultural-type properties, farms, orchards, ranches
- Builder bailout properties
- Commercial property
- Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)
- Condominium conversions with characteristics of a Hotel/Motel



- Cooperative projects
- Incoming producing properties (e.g., adult care facilities, bed & breakfast, etc.)
- Industrial zoned property
- Land Trust
- Manufactured homes
- Mobile homes
- New condominium projects in Florida without a PERS approval
- Non-warrantable condominiums
- Properties located in the Hawaiian Islands in lava zones one or two
- Properties not suitable for year-round occupancy, regardless of location
- Properties with an Assignment of Contract
- Properties with problem drywall (aka Chinese drywall). Evidence of complete remediation must be provided if property previously contained Chinese drywall.
- Properties zoned for agricultural use (Texas 50 (a)(6) and Texas 50(f) loans are eligible)
- Property currently in litigation (except as noted above in the Properties Eligible-Condominiums) topic
- Rural property
- Timeshares
- Transient Housing
- Unimproved/vacant land
- Unique properties (geodesic domes, earth berm homes, log homes, etc.)

Purchase Agreements Amended/Renegotiated

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Purchase Agreements Amended/Renegotiated" on page 200](#).

Seller Contribution

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Interested Party Contributions" on page 188](#).

Secondary Financing or Affordable Seconds

First Lien mortgages with secondary financing under the terms of the purchase documents are acceptable.

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Transaction Eligibility" on page 205](#) and the [Freddie Mac Selling Guide](#), Chapter 4204.

Temporary Buydown

2-1 and 1-0 temporary buydown plans are permitted for HomeOne mortgages secured by 1-unit properties, excluding manufactured homes. **03-2-1 temporary interest rate buydown is ineligible.**

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Temporary Buydown" on page 200](#).

Transaction Types

Eligible Transactions

- Purchase
- No Cash-out



Ineligible Transactions

- Any transaction without an LPA "Accept" Feedback Certificate
- Community Land Trusts
- Freddie Mac Open Access
- High-Cost Loans
- Illinois Land Trust
- Interest-Only
- Loans with tutorship lien
- Manual underwrites
- Non-Traditional Credit
- Properties in the "Right of Redemption Period" as applicable state law allows
- Refinance transactions where the subject property was listed for sale at the time of loan disbursement
- Restructured mortgages that do not meet Freddie Mac guidelines
- Super-Conforming loan amounts
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

Purchase Transactions

- Per LPA
- At least one borrower must be a First-Time Homebuyer

Refinance Transactions

- LTV or HTLTV ratios > 95% must be owned in whole or in part or scrutinized by Freddie Mac.
- TLTV ratios > 95% with secondary financing that is not an Affordable Second must be owned in whole or in part or scrutinized by Freddie Mac.
- TLTV ratios > 95% with secondary financing that is an Affordable Second does not have to be owned or scrutinized by Freddie Mac.

Freddie Mac Guidelines and Resources

- Freddie Mac guidelines may be accessed at [Freddie Mac](#) under **Access the Guide**.
- Additional resources are available by selecting "The Learning Center" from the menu on the left side of the page.
- The [Loan Product Advisor Documentation Matrix](#) provides information for documenting an LPA loan.



Freddie Mac Home Possible Program Grid

FIXED RATE				
Owner-Occupied Primary Residence				
Transaction Type	Units	LTV / TLTV / HTLTV ^{2,3}	Loan Amount ¹	Credit Score
Purchase and Non Cash-Out	1	97%/105% ^{4,5}	See Loan Limits below	Determined by LPA
	2-4	95%		

Reference:

1. Standard Conforming and High Balance Loan Limits apply.
2. TLTV is permitted up to 105% if the subordinate lien is an Affordable Second that meets Freddie Mac requirements; otherwise, max CLTV and HTLTV is 97% for conforming loan amounts and 95% for Super Conforming loan amounts. See [Freddie Mac Selling Guide](#) for complete details.
3. LTV/CLTV equal or less than 80% requires no minimum borrower contribution, regardless of number of units or loan type.
4. Transactions with a non-occupant borrower permitted to a maximum LTV/TLTV of 95%.
5. Transactions with a Manufactured Home permitted to a maximum LTV/TLTV of 95%. Affordable Seconds are permitted within these parameters.

2026 Conforming and Super Conforming Loan Limits ⁴				
Contiguous States, District of Columbia, & Puerto Rico			Alaska ² & Hawaii	Hawaii
Unit	Conforming Loan Limit	High Cost "Super Conforming" Limit ¹	Conforming Loan Limit	High Cost "Super Conforming" Limit ³
1	\$832,750	\$1,249,125	\$1,249,125	\$1,299,500
2	\$1,066,250	\$1,599,375	\$1,599,375	\$1,633,600
3	\$1,288,800	\$1,933,200	\$1,933,200	\$2,010,950
4	\$1,601,750	\$2,402,625	\$2,402,625	\$2,499,100

Reference:

1. Actual conforming loan limit values for specific counties in designated High-Cost Areas, as determined by FHFA, may be lower than the loan limits listed above and can be found by visiting the [FHFA conforming loan limit values webpage](#).
2. Alaska does not have any high-cost areas.
3. Two counties in Hawaii (Maui and Kalawao) are high-cost areas.
4. Super Conforming Mortgages are Ineligible for the Home Possible program.

See [Freddie Mac loan limits](#) for maximum loan amounts by county/metropolitan area.



Freddie Mac Home Possible Program Guidelines

For topics not addressed in this guide, see ["Freddie Mac Conforming and Super Conforming Program Guidelines" on page 163](#) and [Freddie Mac Selling Guide](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 163](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Section 5102 through 5500 of the [Freddie Mac Single-Family Seller/Servicer Guide](#).**

Age of Documents

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Age of Documents" on page 163](#).

Appraisals

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Appraisals" on page 164](#).

Assets

Documentation per LPA.

- All funds used to close the transaction must be disclosed on the 1003 and input into LPA.

The following sources of funds are permitted:

Use	Permitted Sources of Funds
Minimum Borrower Contribution	Borrower personal funds
Down Payment	Borrower personal funds Other eligible sources of funds



Use	Permitted Sources of Funds
Paying down the principal balance of the Mortgage being refinanced for a "no cash-out" refinance transaction	Borrower personal funds Other eligible sources of funds
Closing Costs	Borrower personal funds Other eligible sources of funds Flexible sources of funds
Reserves	Borrower personal funds Other eligible sources of funds

Borrower personal funds are detailed in the Freddie Mac Seller Guide. The Home Possible program also allows for use of cash on hand, subject to the below requirements:

- The Seller reasonably concludes, and can support, that the Borrower is a cash basis individual and that the cash on hand is not borrowed and could be saved by the Borrower.
- The Mortgage file contains the following documents supporting the Seller's conclusion:
 - A completed Freddie Mac Exhibit 23, Monthly Budget and Residual Analysis Form, or another document containing the same information, confirming that the total monthly residual income available for savings is a positive number.
 - Copies of six months' cash receipts (e.g., rent or utility receipts) or other alternative documentation (e.g., direct verifications or wire transfers) to verify that recurring obligations, including the payment of revolving and installment debt, are customarily paid in cash.
 - A credit report, obtained at the time of loan application. The credit report must not show more than three Tradelines.
 - Copies of three months' statements for any open revolving account that reveal cash advances are not the source of Borrower funds. Any cash advances must be explained and documented (i.e., a cash advance used in an emergency).
 - An updated credit report obtained approximately one week before closing that does not show any new accounts or a substantial increase to an existing account that approximates, or exceeds, the amount of cash on hand provided by the Borrower.
- The Mortgage file must have no indication that the Borrower typically uses checking, savings or similar accounts.
- Evidence that all funds used to qualify the Borrower for the Mortgage transaction are deposited in a financial institution or are held in an institutional escrow account prior to closing.

Other Eligible Sources of funds are detailed in the [Freddie Mac Selling Guide](#), Section 4501.10. The Home Possible program also allows the following additional sources:

- A gift or grant from the Seller as the originating lender, provided that a contribution of at least 3% of value is made from Borrower personal funds and/or other eligible sources of funds as described in this section. The gift or grant must not be funded through the Mortgage transaction, including differential pricing in rate, discount points, or fees for individual loans or across the Home Possible offering.
- **Sweat equity is ineligible.**
- Proceeds from an Affordable Second or other secondary financing that meets the requirements in the Freddie Mac Seller Guide. When the TLTV ratio exceeds 97%, the secondary financing subordinated to a Home Possible Mortgage must be an Affordable Second.
- Funds provided by an Agency that is affiliated with, under contract to, or financed (directly or indirectly) by the Seller as the originating lender, when:



- The source of funds is an eligible source meeting all applicable Guide requirements.
- A contribution of at least 3% of value is made from Borrower personal funds and/or other eligible sources of funds as described in this section; and
- The source of funds is not funded through the Mortgage transaction, including differential pricing in rate, discount points, or fees for individual loans or across the Home Possible offering.

Flexible sources of funds include the following:

- Financing concessions
- Lender credits
- Proceeds from an unsecured loan from the seller as originating lender meeting the following requirements:
 - Must not contain provisions that allow or could result in negative amortization
 - Must have a maturity date that:
 - Does not exceed the maturity date of the Mortgage
 - Is at least five years after the Note Date of the Mortgage, unless the unsecured loan is fully amortizing
 - Must have an interest rate that is no greater than the Note Rate on the Mortgage
 - Must have its source, terms and conditions documented
 - If the monthly payment of principal and interest or interest only begins on or after the 61st monthly payment under the First Lien Mortgage or if repayment of the loan is due only upon sale or default, the amount of the monthly payment may be excluded from the monthly debt payment-to-income ratio; otherwise, the required monthly payments must be included in calculating the monthly debt payment-to-income ratio.

Reserves

Verification per LPA Feedback.

Assumptions

Planet follows Agency guidelines.

AUS

° LPA "Eligible/Accept" results required. Manual underwriting is ineligible.

Available Markets

- **Delegated Sellers**
 - Planet will purchase loans underwritten and closed by the delegated Seller in all states.
- **Non-Delegated Sellers**
 - Planet will purchase loans from non-delegated Sellers in all states on Freddie Mac products. All loans require Planet underwriting approval.
- Sellers must receive approval from Planet to deliver loans with properties located in Puerto Rico.
- The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.

Borrower Eligibility

For general borrower requirements, including Social Security Number validation, legal presence, and eligible borrower types, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Borrower Eligibility" on page 172](#).



The following Borrower Eligibility requirements apply specifically to Home Possible® loans:

- Non-Occupying Co-Borrowers
 - Permitted on 1-unit primary residences only
 - At least one borrower must occupy the property
 - Maximum LTV is 95%
- First-Time Homebuyer Requirement
 - At least one borrower must be a first-time homebuyer if using the \$2,500 VLIP LLPA credit

Borrower Types

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Borrower Eligibility" on page 172](#).

Chain of Title

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Chain of Title" on page 173](#).

Credit

Credit History

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Credit" on page 174](#).

Derogatory Credit

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Credit" on page 174](#).

Deed/Resale Restrictions

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Deed/Resale Restrictions" on page 175](#).

Down Payment

- Minimum borrower contribution from the borrower's personal funds for any mortgage loan, if the loan has an LTV/TLTV/HCLTV ratio of 80% or less, is not required.
- 2-4 unit properties with LTV/TLTV/HTLTV 80.01-95% requires 3% minimum borrower contribution from the borrower's personal funds.

DTI

Per LPA with an "Eligible/Accept" Feedback Certificate.

Employment and Income

Income Limits

- The borrowers' qualifying income must include the borrowers' base earnings for both fluctuating and non-fluctuating employment before any additional earnings are considered. (ex. Bonus, commission and overtime).



- The borrower's qualifying income converted to an annual basis cannot exceed 80% of the area median income (AMI) for the location of the subject property.
- To determine whether the borrower's income exceeds the income limits, the income used to qualify the borrower is relied on and submitted to LPA. LPA will determine the income eligibility of the mortgage.

\$2,500 LLPA Credit for Very Low-Income Purchase (VLIP) Borrowers

For loans closed to receive the \$2,500 loan-level price adjustment credit for very low-income purchase borrowers (VLIP), the loan must be purchased by Planet by **January 29, 2027**.

- **Eligibility Requirements:**

- At least one borrower on the loan must be a first-time homebuyer.
- The loan must be an eligible Home Possible purchase loan with "Accept/Eligible" LPA findings.
 - **Manual underwriting is not permitted.**
- The applicant(s) must have total qualifying income less than or equal to 50% of the applicable area median income (AMI) limit for the subject property's location.
- The full \$2,500 credit must be provided directly to the applicant and may be applied to:
 - Down payment
 - Closing costs (including escrows and mortgage insurance premiums).
 - The credit may also be used to satisfy the 3% minimum contribution from personal funds.

- **Delivery Requirements:**

Loans utilizing the \$2,500 LLPA Credit must be delivered with the following information identified on the LPA findings:

- Loan Program Identifier value of "Home Possible Mortgage";
- Under the Affordable Lending and Access to Credit Messages section of the LPA will indicate if borrower meets the AMI requirements.

Rental Income

- Income from 1-unit properties may be considered stable monthly income provided it meets the standard Freddie Mac rental income requirements or the following:
 - The person providing the rental income:
 - Is not obligated on the mortgage and does not have an ownership interest in the subject property,
 - Has resided with the borrower for at least a year and will continue to do so in the new residence,
 - Provides documentation to evidence residency with the borrower (i.e., a copy of a driver's license, bill, bank statement, etc. that show the address of that person to be the same as the borrower's address)
 - Is not the borrower's spouse or domestic partner
 - Rental income from the person residing in the Mortgaged Premises:
 - Has been paid on time for the previous 12 months.
 - Can be verified by the Borrower with evidence showing receipt of regular payments of rental income to the Borrower for at least nine of the past 12 months (i.e., copies of canceled checks)
 - Must be averaged over 12 months for qualifying purposes when fewer than 12 months of payments are documented
 - Does not exceed 30% of total income used to qualify for the Mortgage



- File must contain a written statement in the form of a signed letter or e-mail directly from the borrower confirming:
 - The source of the rental income, and
 - The person providing the rental income has resided with the borrower for a past year and intends to reside with the borrower in the new property for the foreseeable future.
- Income from 2-4 unit Primary Residences may be considered stable provided it meets the Standard rental income requirements in the [Freddie Mac Selling Guide](#), Chapter 5306.

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Employment and Income" on page 178](#) and [Freddie Mac Selling Guide](#) for complete income requirements.

Escrow/Impound Account

- >80% LTV required unless prohibited by state law
- <80% LTV not required; refer to rate sheet for pricing adjustment

Escrowed Flood Insurance Premiums

Escrowed flood insurance premiums are required on all loans including, but not limited to, Higher Priced Mortgage Loans (HPML). When the subject property is in a special flood hazard area, the Seller must provide the following:

- Evidence that flood insurance premiums have been escrowed (regardless of any other fees and charges associated with the loan).
- Seller must use Standard Flood Hazard Determination Form (SFHDF) on all properties.

NOTE: Planet will not purchase loans with negative escrow balances.

Exclusionary List

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Exclusionary List" on page 187](#).

Financed Properties

The occupying borrower(s) must not have an ownership interest in more than 2 financed residential properties, including the subject property, as of the Note date, or the effective date of permanent financing for construction conversion mortgages.

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Homeownership and Landlord Education

See [Freddie Mac Seller Guide Section 4501.9](#).

Home Ownership Education

- Required when all occupying borrowers are first time homebuyers.
- At least one occupying borrower must complete education prior to the Note Date (or Effective Date of Permanent Financing for Construction Conversion and Renovation Mortgages).
- Acceptable Education Sources include:



- Freddie Mac's CreditSmart® Homebuyer U
- HUD-approved counseling agencies
- Housing finance agencies
- Mortgage insurers
- Programs meeting National Industry Standards for Homeownership Education and Counseling

Landlord Education (2-4 units)

A certificate of completion must be retained in the Mortgage file.

- **Purchase Transactions**
 - At least one qualifying borrower must complete education prior to the Note Date (or Effective Date of Permanent Financing for Construction Conversion and Renovation mortgages).
 - Education must not be provided by:
 - An interested party to the transaction
 - The originating lender
 - The Seller
- **Refinance Transactions**
 - Landlord education is not required but is recommended for Borrowers who have not previously attended a program.

Higher-Priced and High-Cost Loans

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Higher-Priced and High-Cost Loans" on page 188](#).

Inspections

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Inspections" on page 188](#).

Interested Party Contributions

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Interested Party Contributions" on page 188](#).

Manufactured Homes

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Manufactured Homes" on page 196](#) and [Freddie Mac Selling Guide](#) Chapter 5703 for all Manufactured Home requirements.

Minimum Borrower Contribution

Purchase Transactions:



Minimum Contribution from Borrower Personal Funds			
Property Type	LTV, TLTV, and HTLTV Ratios		
	≤80%	>80% ≤95%	>95%
1 unit	N/A	N/A	N/A
Manufactured Homes	N/A	N/A	N/A
2-4 units	N/A	3%	N/A

Minimum Loan Amount

° \$40,000.00

Mortgage Insurance

Required MI Coverage				
Transaction Type & Loan Terms	80.01% - 85%	85.01% - 90%	90.01% - 95%	95.01% - 97%
Fixed Rate ≤ 20 year	6%	12%	25%	25%
Fixed Rate > 20 year	12%	25%	25%	25%
Manufactured Homes	12%	25%	25%	N/A

Mortgage/Rental History

Per LPA

- If delinquencies are allowed, a satisfactory explanation is required and is subject to underwriter review
- Current mortgage must be current for the month closing
- To verify the monthly payment amount, third-party documentation is required if the credit report does not provide the monthly housing payment.
- Evidence of verification of mortgage payment history and/or rental payment history for the 12-month period prior to mortgage application must be included in the file.

Occupancy

- At least one borrower must occupy the property as their primary residence.
- Non-occupying borrower are permitted provided that:
 - The mortgager is secured by a 1-unit property, and
 - The LTV/TLTV/HTLTV does not exceed 95%, and
 - Fixed rate mortgages with Affordable Second mortgages are allowed up to a 105% TLTV ratio.

Prepayment Penalty

Not permitted.

Products

- Fixed Rate: 15-, 20-, 25- and 30-year term.
- °ARMs are not permitted.



Property Eligibility

Eligible Properties

- 1-4 unit primary residence
- Manufactured Homes Double-width or greater (see Freddie Mac Seller Guide for restrictions)
- Properties located in designated high-cost areas
- Warrantable Condominiums

Ineligible Properties

- Agricultural-type properties, farms, orchards, ranches
- Builder bailout properties
- Commercial property
- Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)
- Condominium conversions with characteristics of a hotel/motel
- ° **Cooperative projects**
- Incoming producing properties (e.g. adult care facilities, bed & breakfast, etc.)
- Industrial zoned property
- Investment (non-owner occupied)
- Land Trust
- ° **Leaseholds**
- ° **Manufactured Homes (singlewide)**
- Mobile homes
- New condominium projects in Florida without a PERS approval
- Non-warrantable condominiums
- Properties located in the Hawaiian Islands in lava zones one or two
- Properties not suitable for year-round occupancy, regardless of location
- Properties with an Assignment of Contract
- Properties with problem drywall (aka Chinese drywall). Evidence of complete remediation must be provided if property previously contained Chinese drywall.
- Properties zoned for agricultural use (Texas 50 (a)(6) and Texas 50(f) loans are eligible)
- Property currently in litigation (except as noted above in the Properties Eligible-Condominiums) topic
- Rural property
- Second Homes

Purchase Agreements Amended/Renegotiated

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Purchase Agreements Amended/Renegotiated" on page 200](#).

Seller Contribution

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Interested Party Contributions" on page 188](#).

Secondary Financing or Affordable Seconds

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Transaction Eligibility" on page 205](#).

See Section 4204.1 – 4204.2 of the [Freddie Mac Selling Guide](#) for complete details.



Temporary Buydown

Eligible Buydown Types ("Limited")

- **2-1 Buydown**
 - Year 1: Payment calculated at **2% below** the note rate.
 - Year 2: Payment calculated at **1% below** the note rate.
 - Years 3 through maturity: Payment calculated at **note rate**.
- **1-0 Buydown**
 - Year 1: Payment calculated at **1% below** the note rate.
 - Years 2 through maturity: Payment calculated at **note rate**.

Ineligible Buydown Types

- **°3-2-1 Buydown**
- **°1-1 Buydown**

Eligible Sources

- Borrower
- Builder/Developer
- Lender
- Other Interested Parties to the Transaction
- Seller
- Split/Combo Contributions

Ineligible Sources

- Borrower-paid lender credits from a higher rate
- Excess Interested Party Contributions (IPCs)
- Non-compliant lender buydowns
- Unverifiable funds

Eligible Transactions

- Conforming Loans
- Purchase Transactions
- HomePossible
- No Cash-Out Refinance

Ineligible Transactions

- Refi Possible
- Cash-Out Refinance
- Super Conforming Loans

Amortization Type

- **°Fixed-Rate Only**

Loan Term

- **°30-year term**

Occupancy Requirements

- Primary Residence



Eligible Property Types

- 1-4 Unit Primary Residence
- SFR
- Detached
- Attached
- PUD
- Warrantable Condo

Ineligible Attributes

- Texas 50(a)(6)
- Manufactured Homes
- Investment Properties
- Second Homes
- **°ARMs**

Automated Underwriting (AUS) Requirements

- AUS Approval Required
- **°Manual Underwriting (UW) is Ineligible**

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Temporary Buydown" on page 200](#).

Transaction Types

Eligible Transactions

- Construction Conversion
- Eligible sources of funds used to qualify the borrower for the mortgage transaction
- Limited Cash-Out Refinance
- Loans where the qualifying income does not exceed 80% of the area median of the property location allowed.
- Manufactured Homes with a maximum original maturity date that does not exceed the standard manufactured terms.
- Manufactured Homes with an original maturity date that does not exceed 30 years.
- Mortgage where the insurance coverage levels is those used for mortgages secured by a Manufactured home.
- Purchase
- RHS Leveraged seconds with a maximum 95% LTV/TLTV/HTLTV.

Ineligible Transactions

- Affordable Merit Rate
- A-minus
- Community Land Trusts
- Enhanced Relief
- FHA/VA
- Financed Permanent Buydown
- Freddie Mac Open Access
- Freddie Mac Relief Refinance - same servicer
- High-Cost Loans
- HomeOne
- Illinois Land Trust
- Interest-Only



- Loans with tutorship lien
- Mortgages with capitalized balances
- Properties in the "Right of Redemption Period" as applicable state law allows
- Refinance transactions where the subject property was listed for sale at the time of loan disbursement
- Relief Refinance - open access
- Restructured mortgages that do not meet Freddie Mac guidelines
- Seasoned
- Section 184 Native American
- Section 502 GRH
- Seller-owned Modified/Converted
- Transactions where the property securing the loan is subject to a private transfer fee covenant created on or after February 8, 2011, and fee collect does not directly benefit the property.

Non-Arms' Length or Identity of Interest Transactions

- A non-ARM's length transaction is a purchase transaction where there is a relationship or business affiliation between the buyer and seller of the property
- Non-ARM's length transactions are eligible for resale properties on all occupancy types
- When a non-ARM's length transaction occurs on a property that is new construction, the property must be a primary residence only. Non-ARM's length transactions on new construction properties are ineligible if the property is a second home or investment.
- An identity of interest transaction involves parties who are not related and do not have close personal ties. However, they have a strong interest in the transaction. Identities of interest transactions are eligible on owner-occupied transactions; however, an additional review will be required to ensure validity of the transaction, value, etc. Additional documentation and/or a desk review or second appraisal may be required at underwriter discretion.

Refinance Transactions

- Per LPA

Freddie Mac Guidelines and Resources

- Freddie Mac guidelines may be accessed at [Freddie Mac](#) under **Access the Guide**.
- Additional resources are available by selecting "The Learning Center" from the menu on the left side of the page.
- The [Loan Product Advisor Documentation Matrix](#) provides information for documenting an LPA loan.



Freddie Mac Refi Possible Program Grid

FIXED RATE					
Owner-Occupied ¹					
Transaction Type	Units	LTV ³	CLTV ^{2,4}	Loan Amounts	Credit Score
No Cash-Out	1	97%	97%	See Loan Limits Below	Per AUS

Reference:

- Existing loan parameters:
 - First lien mortgage owned or securitized by Freddie Mac
 - At least 12 months (no more than 120 months) seasoning required from the note date of the existing loan to the note date of the new loan.
- New subordinated financing is not permitted except when a junior lien is refinanced at the same time with the first lien and there is no increase in the unpaid principal balance or the monthly principal and interest payment of the junior lien. Existing subordinate financing may remain in place as long as it is resubordinated to the new loan.
- Max 95% LTV for Manufactured Housing and loans with non-occupying co-borrowers.
- A TLTV ratio up to 105% is permitted when secondary financing is an Affordable Second (Home Possible Only).

2026 Conforming and Super Conforming Loan Limits		
Contiguous States, District of Columbia, & Puerto Rico		Alaska & Hawaii
Unit	Conforming Loan Limit	Conforming Loan Limit
1	\$832,750	\$1,249,125

See [Freddie Mac loan limits](#) for maximum loan amounts by county/metropolitan area.



Freddie Mac Refi Possible Program Guidelines

For topics not addressed in this guide, see ["Freddie Mac Conforming and Super Conforming Program Guidelines" on page 163](#) and [Freddie Mac Selling Guide](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 163](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- **Section 5102 through 5500 of the [Freddie Mac Single-Family Seller/Servicer Guide](#).**

Age of Documents

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Age of Documents" on page 163](#).

Appraisals

- Standard Guide property valuation requirements for appraisal or automated collateral evaluation apply
- A \$500 credit will be provided to the lender at the time the loan is purchased if an appraisal was obtained for the transaction. The Seller must pass the credit to the borrower.

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Appraisals" on page 164](#) and Appraisal Waiver requirements.

Assets

- Verification of funds to close are required if they exceed \$500.00.
- Acceptable asset documentation includes one recent statement (monthly, quarterly, or annual) showing asset balance.

Reserves

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Assets" on page 168](#) > **Reserves** for all requirements.



AUS

LPA "Accept" results required. Manual underwriting is ineligible.

Available Markets

- **Delegated Sellers**
 - Planet will purchase loans underwritten and closed by the delegated Seller in **all** states.
- **Non-Delegated Sellers**
 - Planet will purchase loans from the non-delegated Seller in all states. All loans require Planet underwriting approval.
- Seller must receive approval from Planet to deliver loans with properties located in Puerto Rico.
- The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.

Borrower Benefits

- The refinanced loan must provide a reduction in the First Lien Mortgage Principal and Interest payment, and
- First Lien Mortgage must have an interest rate reduction of at least 50 bases points.

Borrower Eligibility

- Existing Borrowers obligated on the Note for the Refi Possible Mortgage must be the same borrowers obligated on the Note being refinanced
- A borrower maybe removed from the Note if:
 - The file documents that the remaining borrower has been making regular payments, including secondary payment finance for the most recent 12 months from their own funds or
 - Due to death of a borrower (must be documented in the file)
- The Refi Possible option may only be used one time per property.

Chain of Title

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Chain of Title" on page 173](#).

Credit History

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Credit" on page 174](#).

Credit Report/Scores

Per AUS.

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Credit Report/Scores" on page 174](#).

DTI

65% or less (includes non-occupying borrower).

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["DTI" on page 176](#).



Derogatory Credit

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Derogatory Credit" on page 175.](#)

Employment and Income

Verbal verification of employment (employment or self-employment) is required.

Income

- Income must not exceed 100% of the area median income (AMI) for the location of the subject property.
- Qualifying income per LPA for Loan Product Advisor mortgages.
 - When determining qualifying income, the borrowers' base earnings must be considered for both non-fluctuating and fluctuating employment earnings before any additional employment earnings (e.g., bonus, commission, overtime, tips) may be considered.

Income documentation requirements:

- Base Pay (non-variable): Year-to-date (YTD) paystub documenting the YTD earnings and 10-day pre-closing verification of employment.
- Base Pay (variable with Tip, Bonus, Overtime recent one-year period Income Commission Income): Year-to-date (YTD) paystub documenting the YTD earnings & 10-day pre-closing verification of employment and W2 covering the most recent one-year period.
- Military Income: Military Leave and Earnings Statement
- Self-employment: Complete federal individual and business income tax returns for the most recent one-year period, and Verification of the current existence of the business through a third-party source obtained either no more than 120 calendar days prior to Note Date or after the Note Date but prior to the Delivery Date
- Alimony, Child Support, or Separate Maintenance: Documentation to evidence receipt of the alimony, child support and/or separate maintenance payment amount for the most recent one months, and Copy of the signed court order, legally binding separation agreement and/or final divorce decree verifying the payor's obligation for the previous one months, including the amount and the duration of the obligation.
- All Other Eligible Income Types: Standard Selling Guide requirements apply. Court order or equivalent documentation, and one month documentation of receipt.

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Minimum Loan Amount

° \$40,000.00

Mortgage Insurance

- Required for mortgages with LTVs greater than 80%.

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Mortgage Insurance" on page 192.](#)



Mortgage Proceeds

- Cash back to borrower must not exceed \$250.

Any remaining proceeds must be applied as principal curtailment to the mortgage such be reflected on the Settlement/Closing Disclosure Statement.

Mortgage Seasoning

- Minimum 12-month seasoning

Occupancy

Owner-occupied.

Payment History

- Most recent 12 months verification required. Must meet the following requirements:
 - The credit report may be used to determine if the payment history requirements have been met through the last reported mortgage tradeline date; or
 - Loan Product Advisor® (LPASM) assessment. LPA will assess payment history through the date the mortgage tradeline was last reported on the credit report.
 - Additional due diligence. The Seller is responsible for establishing the payment history between the date the mortgage tradeline was last reported and the note date., For example, Sellers may check the updated tradeline information on the credit report prior to the note date.
- No 30-day delinquencies in the most recent 6 months
- No more than 1x30 day delinquency in the most recent 12 months
- No 1x60 day delinquencies in the most recent 12 months

Products

Fixed Rate: 10-, 15-, 20-, 25-, and 30-year term

Property Eligibility

Eligible Properties

- Principal Residence
- All applicable 1-unit property types.
- Condo/PUD project

NOTE: A condo project evaluation is not required if the Seller represents and warrants that the subject project is not located in a condominium hotel project and the project insurance meets Freddie Mac minimum insurance requirements.

See Freddie Mac Selling Guide, sections [4302.5](#), [5701.2](#) and [5701.7](#) for additional guideline requirements applicable to mortgages secured by Condominium units.

For additional requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Property" on page 194](#).



Ineligible Properties

For all requirements, see Freddie Mac Conforming and Super Conforming Program Guidelines > ["Property" on page 194](#).

Subordinate Financing

New subordinated financing is not permitted except when a junior lien is refinanced at the same time with the first lien and there is no increase in the unpaid principal balance or the monthly principal and interest payment of the junior lien. Existing subordinate financing may remain in place as long as it is resubordinated to the new loan.

Temporary Buydown

Not permitted.

Transaction Eligibility

Eligible Transactions

No Cash-Out Refinance

Ineligible Transactions

- Cash- Out Refinance
- Texas 50 (a)(6)
- Super Conforming mortgages
- Freddie Mac Relief Refinance mortgage
- Freddie Mac Enhanced Relief Refinance mortgage
- Existing Refi Possible mortgage
- A mortgage subject to an outstanding repurchase request
- A mortgage subject to recourse, indemnification, or another credit enhancement other than mortgage insurance



Home Equity Loan 2nd Lien (HELOAN) Program Grid

FIXED RATE			
Occupancy	Maximum LTV ¹	Maximum CLTV	Credit Score
Primary Residence	80%	85%	700+
			680-699
			640-679
Second Home	80%	85%	700+
		80%	680-699
	N/A	N/A	640-679
Investment Property	75%	75%	700+
	N/A	N/A	680-699
	N/A	N/A	640-679

Reference:

1. The maximum LTV for the first lien is based on the first lien loan amount.



Home Equity Loan 2nd Lien (HELOAN) Program Guidelines

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

- The credit report, asset, employment and income documentation must be dated no more than 120 days prior to the note date.
 - Paystubs must be dated no earlier than 60 days prior to the loan application.
- The title commitment must be ≤ 60 days from Note Date and must be unexpired as of the date of the note date.
- An appraisal must be dated 120 days from the note date.
 - If the appraisal report is greater than 120 days from the note date, then an appraisal update is required.
- An AVM (if utilized) must be dated no more than 60 days from the note date.

Appraisals

- Loans classified as Higher Priced Mortgage Loans (HPML) must obtain a full appraisal regardless of the loan amount.
- Loan amount $< \$150,000$:
 - Automated Valuation Model ("AVM"): $\geq 90\%$ confidence score, or
 - A Desktop Appraisal when AVM results in a confidence score of $< 90\%$:
 - Stewart Valuation Intelligence Appraisal Desktop Interior Inspection (SVI ADII); or
 - ValPRAZE Interior from Valligent.
- Loan amount $\geq \$150,000$:
 - A full appraisal must be attained; and:
 - Adequate support for the value of the Mortgaged Property
 - Present and future marketability of the Mortgaged Property
 - Completeness and correctness of the appraisal forms and exhibits
 - Applicability and timeliness of data used to determine marketability
 - Consistency, logic and accuracy of the appraisal
- 1004D Appraisal Update will be required if the appraisal is over 120 days old as of the note date.
- Original appraisal cannot be greater than 12 months old as of the note date of the new 2nd lien.
 - SSRs are required for the original appraisal when being used.
- Appraisals must be delivered to Planet with Fannie Mae and Freddie Mac SSRs.
- The Original Appraisal must be ordered from a Planet Approved provider.
- New Appraisals/AVMs must be ordered through one of the following Planet Approved AMCs or AVM providers:

Approved AMCs			
Accurate Group, LLC	Clarity Appraisal Management	Nations Valuation Services	SWBC



Approved AMCs			
ACT Appraisal, Inc.	Clear Capital	Nationwide Appraisal Network	Vanguard Appraisal Management Inc.
AMC Settlement Services	Consolidated Analytics, Inc.	Nationwide Property & Appraisal Services	Valligent
American Valuation Corporation	Cotality (FKA Corelogic)	Opteon AMC	Vision VMC
Appraisal Mark LLC	Equity Solutions USA Inc.	Solidifi	
Ascribe, LLC	Equity Valuation Partners	Springhouse	
Broad Street Valuations Inc	First American Mortgage Solutions, LLC	Stewart Valuation Intelligence	

Accepted AVM Products			
Clear AVM	Total Home Value ^x	ICE CA Value AVM TM	Quantarium

Appraiser Review

The appraiser must present a concise picture of the neighborhood, site, and improvements to support the appraised value. Value must be supported by three comparable sales of a similar nature. The sales comparison approach must adequately support the estimate of market value.

The Seller must review the following in the appraisal analysis:

- The appraisal report to ensure that the report is of professional quality and is prepared in a way that is consistent with industry appraisal standards.
- The subject property's acceptability as security for the mortgage requested in view of its value and marketability.
- The current ownership for the subject property.
- The sale or transfer history of the subject property, and comparable sales.
- The sales of the subject property and the sales price trend in relation to the appraiser's opinion of value to confirm that they are reasonable and representative of the market.

FEMA Declared Disaster

Once the federal government has declared a disaster with **individual assistance** (i.e., assistance to individuals and households), FEMA issues a Disaster Notification at <http://www.fema.gov/>. Inspections and re-inspections (interior disaster inspection report or Disaster Inspection Report on appraisal form 1004D if a regular Disaster Inspection Report cannot be obtained) must be completed on properties within a declared disaster area with individual assistance. Lender certifications are not allowed.

Properties must have a re-inspection completed if the original appraisal was completed prior to the disaster date. All re-inspections must be submitted on a Disaster Area Property Inspection Report (or if work is required, a Fannie Mae Form 1004D/Freddie Mac Form 442 to confirm the repairs are complete) and include the following:



- A statement from the appraiser that the subject property has not sustained any damage from the disaster.
- A statement from the appraiser regarding the neighborhood conditions as they relate to disaster damage.
- A photograph of the subject property.
- If property damage is found, an itemized list of the damages with repair estimates must be included.
- If property damage is structural or there are other complex damages, a qualified third party must inspect the damaged and provide evidence that the property has been satisfactorily repaired.

If a 1004D is being utilized, every effort must be made to ensure the inspection is completed by the same appraiser who completed the original appraisal. If it is not possible to use the same appraiser, evidence of the failed attempts to secure the appraiser for another inspection must be documented in the loan file.

Regardless of the estimated cost to complete, all repairs must be completed prior to the loan being cleared to close.

- Report must be dated after the incident period, as defined on FEMA's website.
- All damages must be repaired by licensed contractors or per local jurisdictional requirements.

Appraisal Re-Inspection

If repairs are noted on the Restricted Desktop Appraisal with Inspection Interior (ADII) from Stewart Valuation Intelligence or a ValPRAZE Interior from Valligent, a Borrower Attestation Letter must be completed and signed by the borrower in lieu of a 1004D. If the borrower is unable to execute the Borrower Attestation Letter, a 1004D must be obtained.

- Verifiable photo exhibits of the completed work and one of the following provided from the borrower:
- The signature of the qualified professional

Paid invoices for the alterations or repairs (If the borrower is not able to obtain an invoice, an exception may be submitted to Credit Risk for review.)

Assets

Cash to Close

Evidence must be provided to determine that the borrower has sufficient funds to pay the prepaid items, and closing costs as well as adequate additional cash reserves, if applicable.

All funds must be documented and verified. Electronic verifications are acceptable.

Bank Accounts

Bank accounts are funds included on deposit in savings accounts, checking accounts, certificate of deposits, and money market accounts. These funds may be used for the closing costs and reserves.

- Individual Accounts: Funds in the borrower's individual bank account are acceptable.
- Joint Accounts: Funds held in a joint checking or joint savings account are acceptable since the borrower has access to all funds in the account at all times.
- Trust Accounts: Funds disbursed from a trust account where the borrower is the beneficiary are acceptable if the borrower has immediate access to them. The trust manager or trustee must verify the value of the trust account and confirm the conditions under which the borrower has access to the funds.



Accounts that do not allow the borrower to have immediate access to the funds for the above stated purposes may not be used as acceptable assets, including funds in accounts where the borrower is not the beneficiary, such as custodial accounts.

Two consecutive monthly bank statements may be obtained to document the borrower's assets. Bank statements must be dated within 60 days of application. Quarterly and annual bank statements dated greater than 60 days and less than 90 days are acceptable with verification that the funds are still available.

Bank statements must clearly identify:

- Name and address of the depository or investment institution,
- The borrower as the account holder,
- Account number,
- Time period covered by the statement,
- All deposits and withdrawal transactions for depository account or all purchase and sale transactions for a financial portfolio account, and
- Ending account balance.

If a supplemental statement is necessary, any bank-generated form (such as deposit or withdrawal slips) that shows a machine-printed account number, balance and date is acceptable. Supplemental information must be on a bank form indicating the name of the bank or on bank letterhead signed by a bank representative.

Bank statements may be online account or portfolio statements obtained by the borrower, provided such are printed and the URL address is included identifying the source of information as well as all of the other information listed above for standard bank statements or protected bank statements retrieved online.

Any indications of borrowed funds must be reviewed. Indications of borrowed funds include:

- A recently opened account,
- A recently received large deposit, or
- An account balance that is considerably greater than the average balance over the previous few months.

If there is a recently opened account with a substantial balance, a discrepancy between the average and current balances or an increase of \$5,000 in an existing account, the source of funds must be explained by the borrower and verified. If an increase greater than \$5,000 is from another account that is verified in the loan file, that account must be verified after the withdrawal to ensure that the assets are not counted twice.

Foreign Assets

Foreign assets being used for closing costs and reserves must be held in a U.S. account prior to closing. If the assets are derived from a sale of a foreign asset or from assets held in a foreign bank account, the assets must be converted into United States currency by an independent third party and placed in a United States banking institution. The sale of the foreign asset and conversion of foreign currency must be fully documented and verified.

Retirement Accounts

Vested funds from individual retirement accounts (IRA, SEP-IRA and KEOGH) and tax-favored retirement savings accounts (e.g., 401(k), 403(b)) may be used as the source of funds for, closing costs, or cash reserves. The most recent retirement account statement must be provided and must identify the borrower's vested amount and the terms.



When funds from an eligible retirement account are used for closing costs, the funds must be withdrawn and proof of withdrawal must be provided.

Savings Bond

United States savings bonds may be used as a source of funds for closing costs or cash reserves. When savings bonds are being used for cash reserves, verification must include a statement from a representative at a financial institution confirming that they have seen the bonds, listing the serial numbers of the bonds, maturity date, type and amount of bond, and stating that the borrower is the owner. There must be proof of the bond value.

If the assets are required for closing, proof of redemption and receipt is required.

Stocks/Bonds

The value of stocks, bonds or mutual funds must be documented by obtaining a current statement or a copy of the stock certificate accompanied by a current dated newspaper or stock list.

If stocks and bonds are being used for reserves, only 70% of the value can be used. Stock options and non-vested restricted stocks are not an eligible asset source for reserves.

Government bonds should be valued at the purchase price unless redemption value can be determined and verified.

Verification of liquidation and receipt is required when the funds from the sale of stocks/bonds are used for closing costs, or other costs.

When the stock of a privately held (not publicly traded) corporation will be used as funds for closing costs and/or reserves, the price per share must be validated by a CPA for the corporation. A copy of the buy/sell agreement and verification of receipt of the funds from the sale of the stock is required. When using the funds for reserves, only 70% of the value may be used.

- If the privately held corporation is a source of the borrower's income, the above documentation is required, along with verification from the accountant that the sale of the stock will not have an adverse effect on the business or reduce the borrower's current income level.

Systematic Savings

If a borrower does not have sufficient assets to close, the loan can be underwritten subject to the following requirements:

- 80% of the required assets must be documented
- The ability of the borrower to save based on their income and debts must be documented, and
- The required assets must be documented and verified in the borrower's account prior to closing

Trust Funds

Funds disbursed from a trust are acceptable assets with a typed copy of the trust agreement or signed statement on letterhead from the trustee that details the following information:

- Identifies the trustee, including name, address, telephone number and individual contact. The trustee must be an independent party that typically handles trust accounts, such as a trust company, financial institution, CPA, or lawyer



- Identifies the borrower as the beneficiary
- Shows that the borrower has access to all or certain specific amount of the funds
- Evidence that the trust has the assets to disburse funds to the borrower
- If the assets are required for closing, proof of receipt is required

Ineligible Assets

Sources of funds considered ineligible include, but is not limited to the following:

- Business Funds
- Bridge Loans
- Cash advance on a revolving charge account or unsecured line of credit
- Cash for which the source cannot be verified (e.g., garage sales)
- Contribution limitations
- Credit card financing
- Donated funds in any form, such as cash or bonds donated by the seller, builder or selling agent outside of approved financing contributions in the seller concession
- Funds from a community second mortgage/down payment assistance program
- Funds in a custodial or "in trust for" account
- Gift that must be repaid in full or in part
- Individual development accounts
- Labor performed by the borrower (sweat equity)
- Materials furnished by the borrower that are not part of a pre-closing agreement with a builder
- Pooled funds
- Real estate commission
- Salary advance

Verification of Deposit (VOD)

A VOD as a standalone document is not acceptable. Full account statements must be provided. A VOD issued by the depository institution may be obtained. Each VOD must clearly identify:

- The name and address of the depository or investment institution
- The borrower as the account holder
- Account number
- Type of account
- The open date
- The account balance as of the date of the VOD
- The average balance for the previous two months, and
- In cases where average balances are not available, the most recent two months bank statements must be provided

The VOD must be provided directly by the depository. A VOD should never be mailed to a post office box or to an individual's attention. If the borrower indicates this is necessary, the file must contain verification that the depository was independently contacted and verified this requirement. The return address on the verification must be the Seller's address. The hand carrying of verifications is strictly prohibited.

ATR

- HELOANs must meet general ATR rules.
- Borrower's ability to repay must be verified in accordance with the General Ability to Repay provisions.
- As a result of loan size, many HELOANs could be classified as non-QM. These loans are eligible for purchase with validation that the loan passes a high cost and fees test. Loans considered HPML are eligible for purchase with a full appraisal, regardless of loan amount.



AUS

Manual underwrite only. All loans must be submitted to Planet for prior approval underwriting.

Available Markets

- The Seller must be expressly authorized by Planet to submit loans under the Home Equity Loan 2nd Lien (HELOAN) Program
- Loans may only be underwritten on a non-delegated basis
- The following states and U.S. territories are ineligible:
 - District of Columbia (D.C.)
 - Hawaii
 - Indiana
 - Iowa
 - Massachusetts
 - New Jersey
 - New York
 - Puerto Rico
 - Rhode Island
 - South Carolina
 - Washington
- The following states and state-specific transactions are eligible with the following limitations:
 - California:
 - Loan amount must be $\geq$ \$50,000 for a primary residence.
 - No restriction for second home and investment.
 - Minimum 660 FICO.
 - Maximum 80% CLTV if FICO <720.
 - Colorado:
 - Minimum 660 FICO.
 - Maximum 80% CLTV if FICO <720.
 - Illinois:
 - Loan amount must be $\geq$ \$50,000 for a primary residence. No restriction for second home and investment.
 - Minimum 660 FICO.
 - Maximum 80% CLTV if FICO <720.
 - Minnesota
 - Loan amount must be $\geq$ \$100,000.
 - Ohio
 - Loan amount must be $\geq$ \$35,000.
 - Minimum 660 FICO.
 - Maximum 80% CLTV if FICO <720.
 - Oregon
 - Loan amount must be $\geq$ \$50,000.
 - Texas



- Loan amount must be $\geq$ \$50,000.
- Loan amounts $<$ \$50,000 may be acceptable if the allowable fees do not exceed 2% and the loan receives a Mavent pass.
- Texas homestead properties are eligible provided the transactions comply with Texas 50 (a)(6) requirements.

Borrower Eligibility

Eligible Borrowers

- All borrowers must have a valid Social Security Number
- Inter Vivos Trusts
 - The title of the second lien must be held in the same title as the first lien.
- Non-Permanent Resident
 - One of the following must be provided:
 - Unexpired Employment Authorization Document (EAD) issued by the United States Citizenship and Immigration Services (USCIS).
 - One of the following visas: H series, L, E-1, G series or TN Visa.
 - Expiring visas: If the authorization for temporary residency status will expire within one year and a prior history of residency status renewals exist, continuation may be assumed. If there are no prior renewals, the likelihood of renewal must be determined, based on information from USCIS.
 - A valid passport, letter from employer/sponsor and an I-94 proving work authorization.
- Permanent Resident
 - One of the following must be provided to document legal residency:
 - A valid and current Permanent Resident card, or
 - A passport stamped "processed for I-551",
 - A copy of the expired Permanent Resident card and a copy of form I-797 confirming receipt of the application to replace expired card
- U.S. Citizens

The borrower must have purchased the home at least six months prior to the note date of the new 2nd lien.

Title must be in the borrower's name at the time of application for all transactions and at the time of closing for all transactions.

Ineligible Borrowers

- Asylum borrowers
- Borrowers possessing diplomatic status.
- Borrowers possessing deferred enforced departure
- Borrowers possessing humanitarian parole
- Borrowers possessing temporary protected status
- Borrowers without a Social Security Number
- Corporations, General and Limited Partnerships.
- DACA
- Doing Business As (DBA)
- Employees, including employees of Planet and its affiliates, and the Seller
- Foreign Nationals
- Investment trusts



- Land Trusts (other than Illinois Land Trusts).
- Life estates
- Non-occupying co-borrower, guarantor, or co-signer
- Power of Attorney
- Real estate syndications
- Religious/Non-Profit Organization

Chain of Title

A 12-month chain of title is required for all loans. Title must include all transfers in the previous 12-month period, including copies of all recorded deed(s). If more than one transfer in previous 12 months **or** property has significant increase in value since prior transfer, an appraisal addendum addressing all transfers is required.

Credit

- Minimum 640 FICO
- A tri-merged credit report is required for all borrowers. Non-traditional credit reports are not acceptable.
 - A two-repository merged credit report is acceptable if that is the extent of the information available.
- The lowest middle credit score among all borrowers must be used as the qualifying score.
 - If more than one credit score is supplied from the same repository on the same credit report, the lowest score must be used.
 - When credit score are obtained from two different repositories, the lower score must be used.
- If more than one credit report is obtained for the same borrower, the credit scores from the most recent credit report must be used.
- A credit score is required for all borrowers and must meet the minimum credit score requirements.
- All accounts, revolving and installment, reported by the borrower on the application must be verified on the credit report or directly by a credit reference. The current balance, current status, rating, monthly payment amount, and payment history for the most recent 12 months must be provided.
- When a new or retyped credit report is obtained, all prior credit reports must be included in the loan file. The retyped credit report/supplement must indicate the reason and authorization for any changes, additions and/or deletions.
- The borrower must address all credit inquiries within 90 days indicated on the credit report and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not).
- Sellers are required to document that the borrower did not incur any new debt from the time the credit report was pulled to the time of loan closing.
 - On all loans, Seller must either:
 - Leverage Undisclosed Debt Monitoring (UDM) prior to closing, OR
 - Pull a credit refresh within 10 business days of the Note date.
 - Any increase in the total monthly payments of tradelines not being paid at closing must be updated for qualifying purposes.
 - Any increase in the balance of individual trade lines must be updated on the 1003 for debts paid at closing.

Consumer Credit Counseling

Borrowers must provide a satisfactory explanation for participating in consumer credit counseling. A borrower is eligible when they are in consumer credit counseling provided all of the following are met:

- Minimum 640 credit score
- Counseling was completed 24 months prior to the loan application, and
- All accounts are current



Credit History

- One of the following must be met:
 - Minimum of three tradelines. At least one tradeline must be open and active for the past 12 months, or
 - 36 months housing history, including all mortgages and rental payments.
 - A credit report reflecting housing payment or a third party VOR is acceptable.
 - If the borrower was living rent free, a letter from the borrower's landlord reflecting the rent-free status must be obtained.
- Active tradelines are defined by the date of the last activity on the account within 6 months from the current date. Authorized user accounts cannot be used to satisfy the above tradeline requirements and cannot be considered in the underwriting decision.

The borrower's credit profile must be evaluated for manually underwritten loan.

The evaluation of the borrower's credit profile must be based on the entire credit history documented in the loan file. The following factors must be considered when evaluating the borrower's credit history:

- Credit utilization
- Inquiries and undisclosed liabilities
- Number and age of accounts, and
- Payment history

The following factors may not be used as offsets for weaknesses in the borrower's credit reputation because they have already been considered in creating the credit score:

- The absence of, or age of, derogatory information
- The number/proportion of accounts paid as agreed versus delinquent
- The types of accounts paid as agreed versus the type of accounts that are delinquent
- Recent paydown or consolidation of account balances by the borrower
- The length of the borrower's credit history, and
- Any combinations of the above factors

Derogatory Credit

The presence of significant derogatory credit dramatically increases the likelihood of a future default and represents a significantly higher level of default risk. Examples of significant derogatory credit include bankruptcies, deeds-in-lieu, foreclosures, and short sales.

Determine the cause and significance of the derogatory information, verify that sufficient time has elapsed since the date of the last derogatory information and confirm that the Borrower has reestablished an acceptable credit history (24- month lookback).

For cases where a significant derogatory event is present, the following time periods must have elapsed:

- Foreclosure: 7 years
- Charge-Off of a Mortgage Account, Deed-in Lieu, Pre-foreclosure Sale or Short Sale: 7 years
- Modified, Restructured or Short Payoff of a mortgage secured by a property other than subject: 4 years
- Chapter 7, 11 or 13 Bankruptcy: 4 years from discharge or 4 years from dismissal
- Multiple events are not permitted.

Derogatory credit information is not significant when it consists only of isolated late payments, even if several accounts show sporadic late payments, provided all of the following exist:



- The late payments were not recent,
- The late payments did not extend beyond one month,
- The number and size of delinquent accounts is not large in relation to the overall credit,
- The credit history does not show multiple revolving accounts with high balances-to-limits or high overall utilization of revolving credit, and
- All other credit has been paid as agreed.

However, the derogatory information is significant if any of the following exists:

- There are any accounts showing recent late payments (24-month lookback),
- There is multiple 60- or 90-day late payments on the credit report,
- The number and size of the delinquent accounts are large in relation to the overall credit (delinquent accounts reflect an amount greater than 5% of all outstanding credit,
- The credit history shows derogatory credit information within the two most recent years combined with multiple revolving accounts with high balances-to-limits,
- The public record information reveals several occurrences of derogatory credit information, including judgments, tax liens and/or collection accounts,
- There is a bankruptcy, foreclosure, deed-in-lieu of foreclosure or short sale within the last seven years that is disclosed on a credit report or disclosed by the borrower on the loan application or is evidenced by other documentation contained in the loan file.
- Medical collection accounts are not considered significant and can be excluded.

Disputed tradelines must be resolved by the borrower and a new credit report must be obtained. The updated credit scores reflected on the credit report must be utilized for qualifying.

Frozen Credit

If the borrower has frozen credit, the loan is ineligible. If a borrower unfreezes their credit after the date that the original credit report was ordered, a new credit report must be obtained to reflect current updated information from all applicable repositories.

Non-traditional credit is not acceptable as a replacement for frozen credit.

Housing Payment History

A mortgage payment is considered current if it is paid within the month due along with any late charges assessed for payments made beyond the 15-day grace period. A letter of explanation and supporting documentation is required when payments are made beyond the month due.

Payment history on any property, regardless of occupancy, is considered mortgage credit. Payment histories on all mortgage trade lines, including first and second mortgage liens, HELOCs, mobile homes, and manufactured homes are considered mortgage credit, even if reported as an installment loan. Loans on timeshares are considered installment loans.

- Mortgage history
 - 0x30x24 payment history is required, including for all real estate owned for all borrowers on the transaction.
 - A minimum of 12 months seasoning is required when the 1st lien has had a modification or partial claim as a result of participating in the CARES ACT Forbearance Plan. The mortgage account must have been current prior to the modification or partial claim. If the mortgage account was not current prior to the modification or partial claim, 24 months seasoning is required post forbearance. Any delinquency during the CARES ACT Forbearance Plan requires 24 months seasoning post forbearance.



- Rental history
 - A 12-month satisfactory landlord reference is required using one of the following:
 - Canceled checks for the most recent 12-month period and a copy of the lease verifying the due date,
 - Credit report reference for the most recent 12-month period, or
 - Verification of rent (VOR) from verifiable company.

DTI

Maximum 50%

Debt Pay Off/ Pay Down

Pay off or pay down of debt solely to qualify must be carefully evaluated and considered in the overall loan analysis. The borrower's history of credit use should be a factor in determining whether the appropriate approach is to include or exclude debt for qualification.

- Payoff of revolving debt: Allowed if the revolving account is paid off as reflected in the final settlement statement. If the revolving account is not paid off, the debt must be included in the DTI ratio.
- Payoff of installment debt: Allowed.
- Pay down of revolving debt: Not allowed.
- Pay down of installment debt: Not allowed.

If debts are being paid off, the source of funds must be documented and verified. In addition, documentation must be provided to reflect the revolving account is paid off prior to closing. The account paid off prior to closing is not required to be closed.

If an installment debt is paid off at closing, the creditor must provide a payoff statement which must be the same balance as the payoff amount on the settlement statement. If the payoff or pay down of the debt will impact the borrower's ability to pay the mortgage during the months immediately after closing the payment must be included in the DTI ratio.

Alimony, Child Support, and Maintenance Payments

When the borrower is required to pay alimony, child support, or maintenance payments under a divorce decree, separation agreement, or any other written legal agreement, and those payments will continue for more than 10 months, the payments must be considered in the DTI ratio, and may not be deducted from income. Voluntary payments do not need to be taken into consideration.

One of the following is required to document the payment and the number of remaining payments:

- A copy of a written legal agreement or court decree describing the payment terms for the obligation, the amount of the award and the period of time over which it was received, or
- Any applicable state law that mandates the obligation document, which must specify the conditions under which payments must be made.

Bridge Loans

A bridge loan is a form of mortgage secured by the borrower's present home, which is for sale. By using funds from this loan, the borrower can close on a new home before selling the present home. Bridge loans must be included in the borrower's DTI ratio.



Business Debt in the Borrower's Name

When a self-employed borrower indicates that certain liabilities are paid by his or her business, it must be confirmed that the obligation was paid from company funds and meets all of the following requirements:

- There is no history of delinquency
- A minimum of 12 months evidence documenting that the debt is paid by the business account, and
- The cash flow analysis of the business took the payment obligation into consideration

The payment must be included in the borrower's individual recurring monthly debt obligations if any of the following situations exist:

- The business does not provide sufficient evidence that the obligation was paid out of company funds.
- The business provides acceptable evidence of its payment of the obligation, but the cash flow analysis of the business does not reflect any business expense related to the obligation (such as an interest expense - and taxes and insurance, if applicable - equal to or greater than the amount of interest that one would reasonably expect to see given the amount of financing shown on the credit report and the age of the loan).
- It is reasonable to assume that the obligation has not been accounted for in the cash flow analysis.
- If the account in question has a history of delinquency.

To ensure that the obligation is counted only once, adjust the net income of the business by the amount of interest, taxes, or insurance expense, if any that relates to the subject.

Co-Signed Loans

When a borrower co-signs for a loan or mortgage to enable another party (the primary obligor) to obtain credit, but is not actually repaying the debt, the borrower has a contingent liability.

The contingent liability must be included in the DTI ratio, unless there is documentation to evidence the primary debtor has been making satisfactory payments for a minimum of 12 consecutive months and the account is current.

Evidence such as cancelled checks or automated account withdrawals will be accepted.

Court-Ordered Assignment of Debt

When the borrower has an outstanding debt that was assigned to another party by a court order (e.g., divorce decree or separation agreement), and the creditor does not release the Borrower from liability, it may be excluded from the DTI ratio if all of the following can be documented:

- Copy of the court order assigning the debt, and
- Proof of transfer of ownership

The payment history of the debt does not need be taken into consideration after the transfer date occurred.

Deferred Installment Debt

Loans deferred or in forbearance are required to be considered in the loan qualification. If the credit report does not indicate the monthly amount that will be payable at the end of the deferment period, copies of the borrower's payment letters, or forbearance must be obtained to determine the monthly payment used for loan qualification.



Installment Debt

Installment debt that is not secured by a financial asset, including student loans, automobile loans, timeshares, and home equity loans, must be included in the borrower's DTI ratio if there are more than 10 months remaining. On a case-by-case basis, an installment debt with fewer than 10 monthly payments remaining should be considered as a recurring monthly debt obligation if the payment is in excess of 10% of the borrower's monthly income.

Lease Payments

Lease payments must be included in the borrower's recurring monthly debt obligations, regardless of the number of months remaining on the lease.

Loans Secured by Financial Assets

The borrower can use their financial assets (life insurance policies, 401(k) accounts, individual retirement accounts, certificates of deposit, stocks, bonds, etc.) as security for a loan. The payment on this type of loan is not required to be included in the DTI ratio provided the applicable loan instrument shows the borrower's financial asset as collateral for the loan. If the borrower intends to use the same asset to satisfy reserve requirements, reduce the value of the asset by the proceeds from the secured loan and any related fees to determine whether the borrower has sufficient reserves.

Monthly Housing Expenses

Monthly housing expenses are required to calculate the anticipated total monthly housing expense-to-income ratio. Housing expense-to-income ratios compare monthly housing expenses to stable gross monthly income. Monthly housing expenses include the following:

- Principal and Interest payments on the first mortgage loan
- Interest payments for interest only loans
- Subordinate financing payments on mortgages secured by the subject property
- Hazard Insurance premiums
- Flood Insurance premiums
- Mortgage Insurance Premiums
- Real estate taxes
- Homeowners' Association dues
- Leasehold payments
- Ground rent, and
- Special assessments

Mortgage Assumptions

When the borrower sells a property and the property purchaser assumes the outstanding mortgage debt without a release or liability, the borrower has a contingent liability.

The contingent liability (PITIA) does not need to be included in the DTI ratio if verification that property purchaser has at least a 12-month history of making regular and timely payments for the mortgage is provided. The following documentation must be provided:

- Evidence of transfer of ownership
- Copy of the formal, executed assumption agreement, and
- Credit report indicating that the consistent and timely payments were made for the assumed mortgage



If timely payments for the most recent 12-month period cannot be documented, the mortgage payment must be included in the borrower's recurring liabilities.

Other Real Estate Owned

Mortgage payments and related expenses on any non-income producing real estate must be included in the borrower's liabilities. This includes mortgage payments and related expenses on any property which is currently pending sale (not closing prior to subject transaction), or a property retained as a second home or investment property. The following must be considered in the underwriting decision:

- Aggregate net negative rental income from all rental properties, and
- Current rental payment (when the borrower is currently renting and purchasing a second home or investment). Purchase transactions are not allowed

Documentation must be obtained when qualifying the borrower with the applicable taxes, hazard insurance, Homeowners' Association dues/fees (if applicable), and any other related expenses.

Property Settlement Buy-Out

When the borrower's interest in a property is bought-out by another co-owner of the property, the mortgage lender may not release the borrower from liability under the mortgage, thus creating a contingent liability. This contingent liability does not need to be included in the debt-to-income ratio provided there is documentation to evidence the transfer of title of the property.

Revolving Charge/ Lines of Credit

Revolving charge accounts and unsecured lines of credit are open-ended and should be treated as long-term debts and must be considered part of the borrower's recurring monthly debt obligations. These tradelines include credit cards, department store charge cards, and personal lines of credit.

If the credit report does not show a required minimum payment amount and there is no supplemental documentation to support a payment of less than 5%, use 5% of the outstanding balance as the recurring monthly debt obligation.

Student Loans

For all student loans, whether deferred, in forbearance, or in repayment (not deferred), the greater of the following must be used to determine the monthly payment as the borrower's recurring monthly debt obligation:

- 1% of the outstanding balance, or
- The actual documented payment (documented in the credit report, in documentation obtained from the student loan lender, or in documentation supplied by the borrower).

If the payment currently being made cannot be documented or verified, 1% of the outstanding balance must be used.

If the actual documented payment is less than 1% of the outstanding balance and it will fully amortize the loan with no payment adjustments, the lower, fully amortizing monthly payment may be used to qualify the borrower.



Voluntary Recurring Debts

Voluntary recurring debts should generally not be considered in the underwriting analysis or subtracted from gross income (401(k) contributions, 401(k) loans, union dues, commuting expenses, open accounts with zero balances, federal, state, and local taxes, or other voluntary deductions). Specific circumstances in an individual file must always be analyzed.

Employment and Income

- A two-year history of employment is required, and the income must be likely to continue for three years. Unless there is evidence that income will no longer be received, the income can be considered likely to continue for three years.
- If a borrower's employment history includes unemployment, the loan application must reflect at least two years of employment. If the borrower has less than a two-year history of receiving income, a written analysis justifying the determination that the income being used for qualification is stable is required.
- 4506-C Tax Transcripts are no longer required to support the income being used in qualifying.
- When paystub(s) are required, two paystubs covering the most recent 30-day period must be obtained.
- A VVOE is required within 10-business days of the note date for wage-income borrowers, and within 30 calendar days for self-employed borrowers to verify the existence of the borrower's business.
 - If the borrower is in the military, a military Leave and Earnings Statement dated within 30 calendar days of closing is acceptable in lieu of a VVOE.
 - Verification of the existence of a self-employed borrower's business must meet one of the following:
 - Verification of the existence of the borrower's business from a third party, such as a CPA, regulatory agency, or the applicable licensing bureau.
 - Verification of the listing and address for the borrower's business using a telephone book, the internet, or directory assistance.

Employed by a Relative, Property Seller, or Real Estate Broker

A borrower employed by a family member or employed by a family-held business, property seller or real estate broker is eligible. If employed by a relative, the business accountant must verify that the borrower is not self-employed by indicating their percentage of interest in the business. The accountant must be a disinterested third party.

All of the following income documentation is required:

- Most recent paystub(s)
- Most recent two years W-2s
- Most recent two years personal tax returns, and
- Letter from disinterested CPA to validate ownership percentage

Furloughed Borrowers

Borrowers in a state with an active furlough are not eligible.

Gaps in Employment

For gaps in employment over 30 days in the past two years, an LOE must be provided by the borrower. Borrowers who are re-entering the workforce after an extended absence may have stable employment if the following are met:



- The borrower has been employed in their current job for six months or more, and
- A two-year work history prior to the absence from the workforce is documented

Alimony, Child Support and Maintenance Payments

Alimony, child support and maintenance income will be considered when based on a divorce decree, court ordered separation agreement, court decree, or another legal agreement provided the payment terms confirm that the income will continue for at least three years. If the age of the child is not clearly defined, additional confirmation must be obtained to document the age of the child and income continuance.

The borrower's regular receipt of the full payment due and any limitations on the continuance of the alimony (duration over which the alimony is required to be paid) must be taken into consideration. If a borrower who is separated does not have a court order that specifies alimony, proposed or voluntary payments should not be considered as stable income.

Income may be considered stable with documentation evidencing that the borrower has been receiving full, regular, and timely payments for the past 12 months. If the borrower has been receiving full, regular, and timely payments for six to 12 months, the income may be used for qualification, as long as it does not represent more than 30% of the total gross income.

Income may not be considered stable when a borrower has been receiving full, regular, and timely payments for less than six months or has been receiving full or partial payments on an inconsistent or sporadic basis. This income can only be used as a compensating factor.

One of the following is required:

- A copy of a written legal agreement or court decree describing the payment terms for the child support, the amount of the award and the period of time over which it will be received.
- Any applicable state law that mandates child support document, which must specify the conditions under which payments must be made.

One of the following is required to document regular receipt of the full payment based on the number of months of the income being to qualify:

- Court records
- Most recent personal tax returns with all schedules
- Bank statements or deposits slips showing regular deposit of funds, or
- Canceled checks

Auto Allowances and Expense Account Payments

Automobile allowances can be considered stable income if the borrower has been receiving the income for the most recent two years. All business expenditures must be included in the calculation of the DTI ratio.

The actual cash flow or an income-to-debt approach can be used to calculate the income.

If the borrower files an IRS Form 2106, the actual cash flow approach must be used. Any funds in excess of the borrower's monthly expenses are added to the monthly income.

When the borrower uses IRS Form 2106 and recognized actual expenses instead of the standard mileage rate, the actual expenses section must be reviewed to identify the borrower's actual lease payments, and then make the appropriate adjustments.



If a borrower elected to use a standard mileage deduction instead of taking the actual cash expenditure for auto expenses when they completed their personal tax return, an add-back can be used for qualifying.

If the borrower does not report the allowance on IRS Form 2106, the income and debt approach must be used. The full amount of the allowance is added to the borrower's monthly income. The full amount of the lease or financing expenditure for the automobile must be added to the borrower's total monthly obligations.

Bonus or Overtime

Bonus or overtime will be accepted if it has been received for at least two consecutive years.

All of the following income documentation is required:

- Most recent paystub(s),
- Most recent two years W-2s, and
- Verbal verification of employment

This amount must be averaged unless declining, and then the most recent 12 months will be averaged.

Capital Gains and Losses

A capital gain or loss is generally a one-time transaction, and, should not be considered as either a gain or loss in calculating income. However, if the borrower has a constant turnover of assets that produces regular gains and losses, the capital gain or loss may be considered. If the borrower has operated in this manner over a sustained period, an average of gains or losses can be calculated, if the borrower provides evidence that he or she owns additional property or assets that can be sold if extra income is needed to make future mortgage payments.

All of the following income documentation is required:

- A minimum of the most recent two years personal tax returns with all schedules. In some cases, additional years tax returns may be required.
- Evidence of ownership of additional property or assets.

Commission

Documentation must be obtained that the income has been received for the past two years. The income must be verified from the employer that it is likely to continue. If the income is not likely to continue, the income cannot be used for qualifying.

If the commission income represents 25% or more of the borrower's annual income, all of the following documentation must be obtained:

- Most recent paystub(s)
- Most recent two years W-2s, and
- Verbal verification of employment

If it is more than 60 days from the date of the latest personal tax return, a current paystub, W-2 or 1099 must be obtained, and the Seller confirm that current earnings support the income on the personal tax return.

The amount must be averaged over the most recent two years. If the income is declining, the most recent 12 months must be averaged, deducting non-reimbursed business expenses as reported on IRS Form 2106.



For loans originated between January 1 and April 15: If the borrower has not yet filed their prior year's personal tax return, determine if alternative documentation, including 1099s or W-2s from the previous year, is sufficient to document the commission income. Taking into consideration business expenses that are deducted from earnings, an average monthly net income must be calculated for qualifying purposes. If the commission income on the paystub does not support the commission income reported on the IRS Form 1099 or W-2s from the prior year, adjust qualifying income accordingly.

Foster Care Income

Foster care income may be considered acceptable if it is verified that the borrower has a minimum two-year history of providing foster care services under a recognized state- or county-sponsored program and is likely to continue to provide such services.

One of the following is required:

- Letter from organization providing the income, or
- Copies of deposit slips or bank statements confirming regular payments

Foster care income can be considered stable with documentation evidencing that the borrower has been receiving the income for less than two years but at least 12 months, and the income does not represent more than 30% of the total gross income.

Housing or Parsonage Allowance

A non-military housing or parsonage allowance can be considered qualifying income if the income has been received for the most recent 12 months. The housing allowance may not be used to offset the monthly housing payment.

The following documentation is required:

- Written verification of employment, letter from employer, or paystubs reflecting the amount of the housing or parsonage allowance,
- Terms under which the housing or parsonage allowance is paid, and
- Proof of receipt of housing allowance for most recent 12 months.

Interest and Dividend Income

A two-year average of interest and dividend income may be used to qualify if sufficient assets remain after closing to support continuance of the interest or dividend income for at least three years. The asset providing the interest and dividend income may not be liquidated for cash to close unless that portion used is deducted and the interest and/or dividend amount is recalculated based on the unused portion of the asset.

One of the following is required as evidence of sufficient assets remaining after closing to support the continuance of the income:

- Most recent two years personal tax returns with all schedules
- Most recent two months personal bank statements, and
- Most recent two years 1099s

The amount must be averaged. If the income is declining, the most recent 12 months must be averaged.



Military income

Military personnel may be entitled to different types of pay in addition to their base pay. Hazard or flight pay, rations, clothing allowance, quarters allowance and proficiency pay can be counted as income if they are verified as regular and continuing.

For reserves or national guard:

- Not called to active duty
 - Military reservists who have not been called to active duty may use their military reserve income to qualify if a two-year history of receiving the income can be documented.
- Called to active duty
 - If one of the borrowers is on active duty or has been called to active duty after the date of the loan application, while the loan is in process, and the borrower wants to refinance their primary residence, which the family does not currently occupy, the borrower must comply with the following:
 - The borrower must certify that the subject property is their primary residence,
 - The subject property must be vacant, will remain vacant and will again be the borrower's primary residence when the temporary assignment is completed,
 - The borrower must certify that they will return to the subject property as their primary residence upon completion of the temporary assignment, and
 - The borrower must provide documentation regarding the temporary assignment (orders supporting the assignment including duration).

Non-Taxable Income

The source of the non-taxable income must be documented and verified. Documentation that can be used for this verification includes award letters, policy agreements, account statements, or any other documents that address the non-taxable status of the income.

If the income is verified as non-taxable, and the non-taxable income is likely to continue, the income can be adjusted by adding 25% of the non-taxable income to the monthly income.

Note Income

Revenue received from mortgage note income can be considered for qualifying. Verification that the income is expected to continue for at least three years is required. A copy of the mortgage note must be obtained to document the amount, frequency, and duration of the payments.

One of the following must be obtained for the most recent two years:

- Most recent personal tax returns with all schedules, or
- Bank statements showing regular deposits of funds

Permanent Disability

Disability benefit payments (social security disability insurance benefits, maternity/parental benefits or veterans disability compensation benefits, etc.) can be treated as acceptable, stable income, unless the terms of the disability policy specifically limit the stability or continuity of the benefit payments. A review date on a social security award letter for disability is not considered a defined expiration date. The borrower's current eligibility for the disability benefits must be confirmed by obtaining a statement from the benefit's payer (insurance company, employer, or other qualified and disinterested party).



In cases where the income does not have a defined expiration date, the income may be considered stable, predictable, and likely to continue. The borrower is not required to provide additional documentation evidencing continuance of the income.

Public Assistance Program

Public Assistance (e.g., Temporary Assistance for Needy Families (TANF)) may be considered as acceptable income provided the income has been received for the last two years and is expected to continue for the next three years.

The following documentation is required:

- Letters or exhibits from the paying agency establishing the amount, frequency, and duration of these payments, and
- Documentation of a two-year history of receipt of income

Rental Income

Rental income for qualification purposes may be derived from one of the following sources:

- Owner occupied property (two-to-four unit)
- Investment property (one-to-four-unit), or
- Other than subject property

Two years of tax returns reflecting rental income received and a lease agreement is required. When multiple sources of documentation are provided to verify rental income, the lowest calculated rental income will be used for qualifying.

Short-term rental income from single-family residences in known vacation locations is acceptable income for investment properties. The Operating Income Statement is required. A short-term lease agreement is not acceptable documentation. Short-term/seasonal rental income from second homes cannot be used for qualifying.

When rental income is not being used to qualify the borrower, the fair market rent of each unit/property owned by the borrower must be obtained. One of the following must be obtained to evidence fair market rent:

- Operating Income Statement
- Comparable Rent Schedule
- Fair market rent letter from a realtor
- Current fully executed lease agreement, or
- Verbal confirmation from the borrower noted on loan application or transmittal summary

Any monthly net rental income must be added to the borrower's total monthly income. Any net rental loss must be added to the monthly liabilities.

If total debt (PITIA) for the subject property is used in the borrower's DTI ratio (and rental income is not being used to qualify), rental income must still be reported.

Any depreciation, interest, taxes, and insurance must be added back in the cash flow analysis before subtracting the PITIA payment.



The monthly rental income and number of bedroom data, found on the operating income statement, must be provided for primary residences (2-to- 4 units) and investment properties (1-to-4 units). If the operating income statement is not required, the borrower can provide the current or approximate projected rent for each unit, the number of bedrooms in each unit, and note it on the transmittal summary.

Retirement, Pension, Annuity Income, and IRA Distributions

Retirement and pension income may be used to qualify provided evidence of three years continuance of monthly annuity payment, 401(k), or IRA monthly distribution is documented. Evidence of continuance of corporate, government, or military retirement/pension does not need to be documented.

The following documentation is required:

- Letters from the organizations providing the income
- Copy of award letter
- Most recent personal income tax returns with all schedules
- Most recent 1099, or
- Bank statements for the most recent two months showing deposit of funds

Royalty Payments

Income received from royalty payments is an eligible source of income for qualifying. The income must be expected to continue for at least three years. The income must be averaged over two years, based on the following income documentation required:

- Most recent two years personal tax returns with all schedules, including the related Supplemental Income and Loss Schedule (Schedule E), and
- Evidence of receipt of at least 12 months must be documented.

Seasonal Income

Seasonal part-time or seasonal second job employment may be acceptable if the borrower has worked the job for two years. The income must be averaged over the most recent two years based on the following documentation required:

- Most recent paystub(s), if available
- Most recent two years W-2s or personal tax returns with all schedules, and
- Written confirmation from the borrower's employer that there is a reasonable expectation that the borrower will be rehired for the next season

If the income cannot meet the above requirements, the income can only be used as a compensating factor.

Second Job or Multiple Job Employment

A borrower must have at least two years, uninterrupted history on all second or multiple jobs in order to include the income for qualification purposes. If this income is received for less than two years, it may be considered as a compensating factor only.

Income will be averaged over the past 24 months. All of the following documentation is required:

- Most recent paystub(s)
- Most recent two years W-2s, and
- Verbal verification of employment



Self-Employed

A self-employed borrower is an individual who has 25% or greater ownership interest in a business or receives 1099s to document income. The borrower must have at least two consecutive years of self-employment operating the same business in the same location. Self-employed borrowers relocating to a different geographic area must document and explain the reasoning that their income will continue at the same level at the new location.

Business funds are not an eligible source of funds for closing costs or reserves.

A level or upward trend in earnings must be established. A significant increase in the borrower's income requires a satisfactory explanation, and documentation must be obtained that the income is stable and likely to continue at the level. Significant decreases in income cannot be included in the average using a previous higher income level unless the following documentation is obtained:

- A one-time occurrence prevented the borrower from working or earning full income for a period of time
- Proof that the borrower is back to the income amount that they previously earned

The following documentation is required:

- Most recent two years personal tax returns with all schedules
- Most recent two years business income tax returns (with exception to sole proprietorships), and
- For corporations, "S" corporation, or partnership a YTD P&L statement and balance sheet (through the month prior to funding)

The amount of income on the tax returns must be averaged based on the number of years that are required. If the income is declining the most recent 12 months income must be averaged.

If any borrower on the application is self-employed and self-employment income is not being used to qualify, the first page of the most recent tax return must be obtained to determine if there is a meaningful business loss.

Social Security Income

Social security income can be used to qualify if there is evidence that the survivor or supplemental payments will continue for at least three years. If the benefits have a defined expiration date, confirm that the remaining term is at least three years from the application date and that the income will not diminish for any reason.

Evidence of continuance for social security retirement is not required to be documented.

One of the following is required:

- Copy of the Social Security Administration award letter
- Most recent personal tax returns with all schedules
- Most recent 1099s, or
- Most recent two months bank statements

Tax Returns

Tax returns filed prior to application are acceptable for underwriting purposes. Both the original filed return and the amended return are required. If the file was amended 60 days or less prior to the application, evidence of payment must also be provided.

Tax returns filed after the loan application date may be acceptable when the following is obtained:



- A letter of explanation regarding the reason for the re-file
- Evidence of filing
- Payment and the ability to pay the tax if the check has not been canceled, and
- Confirmation that borrower does not require use of amended income for qualification

The original tax return and the amended tax return must be reviewed for consistency with previous filings to determine whether the use of the amended return is warranted. Amended tax returns are not eligible. A copy of the original and amended tax returns must be submitted with the exception. When using an amended return after application, the Seller must provide justification and commentary on the transmittal summary regarding its use.

Teachers

When a borrower is employed as a teacher, the annual salary must be verified. If monthly or weekly base pay is provided, the employer must verify the number of pay periods per year if the payout is not clear or average the income based on the most recent W-2 over 12 months. Stipends or supplemental income must be documented as regular and continuing.

For teacher income paid over a 10-month period and obtaining financing during the summer months when income is not being received, the following documentation is required:

- Final year-end paystub from the school
- Verbal verification of employment, and
- A copy of the fully executed, guaranteed contract with no contingencies, indicating that the borrower is paid over a 10-month period

The income must be calculated based on the income received on the final year-end paystub.

Temporary Leave

Benefits that have a defined expiration date must have a remaining term of at least three years from the date of the loan application in order to be used for qualifying. Leave stops being temporary when the borrower does not intend to return to their current employer or does not have a commitment from the current employer to return to employment.

If a borrower is currently receiving short-term disability benefits that will decrease to a lesser amount within the next three years because they are being converted to long-term benefits, the long-term benefits must be used as qualifying income.

During a temporary leave, a borrower income may be reduced and/or completely interrupted. The Seller must determine that during and after temporary leave, the borrower has the capacity to repay the mortgage and all other monthly obligations.

If the borrower is returning to work prior to the first mortgage payment, the regular employment that will be received prior to leave must be used to qualify.

If the borrower is returning to work after the first mortgage payment, the lesser of the leave income or regular employment income must be used to qualify.

- If the leave income is less than regular employment income:
 - The income can be supplemented with available liquid reserves
 - Total qualifying income may not exceed the gross monthly income received upon return to work,



- and
 - Assets required to support the payment may not be counted towards available reserves
- The following documentation is required:
 - Verification of pre-leave regular income and employment history
 - No evidence or information from employer indicating the borrower does not have the right to return to work after leave period
 - Written confirmation of intent to return to work and agreed upon date of return are both evidenced by documentation by the employer (or third-party service)
 - Verbal verification of employment. The borrower is considered employed if the employer confirms the borrower is currently on temporary leave
 - Amount and duration of the borrower's temporary leave income
 - Amount of regular employment income the borrower received prior to leave, and
 - All available liquid assets used to supplement the reduced income for the duration of leave must be verifiable

Tip and Gratuity Income

An average of the tip income can be used to qualify if the borrower has received it for the last two years and it is likely to continue.

The following documentation is required:

- Current paystub(s)
- Most recent two years W-2s, and
- Employer indication that the tip income is likely to continue

Trust Income

A copy of the trust agreement or trustee statement must be obtained as evidence that the income will continue to be received for at least three years. The trust agreement or trustee statement must document the following:

- Total amount of designated trust funds
- Terms of payment
- Duration of trust, and
- What portion, if any, of income to the borrower is not taxable

If the trust agreement or trustee's statement does not provide the historical level of distributions, one of the following must be provided:

- Most recent personal tax returns with all schedules
- K-1 schedule, or
- 1041 fiduciary tax returns

A borrower's trust income may be taxed at a lower rate, or it may be part of a partnership that writes off losses, which may result in no tax liability. Trust income is reported on the 1041 fiduciary income tax return, which includes a K-1 schedule. All beneficiaries of trust income receive IRS Form K-1 from the trust.

Unemployment Benefits

Unemployment benefits, such as those received by seasonal workers, must have been received for the past two years and is predictable and likely to continue. The income must be averaged of the most recent two years based on all of the following documentation:

- Most recent two years personal tax returns with all schedules, or
- Income must be clearly associated with seasonal layoffs and expected to recur



Union Members

Verification of income for a union member requires all of the following documentation:

- A VVOE from the union confirming:
 - The borrower is in good standing with the union, and
 - The borrower is employed by the same employer issuing paystubs and income used for qualifying
 - If the union cannot provide confirmation, a VVOE from the current employer is required
- Current paystub(s) from the present employer. If there has been more than one employer in the current year, the last paystub from each employer will be required to adequately reflect year-to-date earnings
- Most recent two years personal tax returns with all schedules and all W-2s

The income must be averaged over the most recent 24 months. If the income has declined, the income must be averaged over the most recent 12 months.

VA Benefits

VA benefits income can be used to qualify. Evidence of regular receipt of the income must be obtained, and the income must be likely to continue. A letter or distribution form from the Veteran's Administration is required to document VA benefits income.

Wage Earner

Wage earners receive a consistent wage or salary from an employer in return for a service rendered and have less than 25% ownership interest in the business. Compensation may be based on an hourly, weekly, biweekly, monthly, or semimonthly basis.

All of the following income documentation is required:

- Most recent two paystubs covering the most recent 30-day period must be obtained,
- Most recent two years W-2s, and
- Verbal verification of employment.

Escrows

An escrow account for the second lien is not permitted. An escrow account for the first lien is permitted, but not required.

Financed Properties

Each borrower is limited to no more than five financed properties.

- Partial or joint ownership is considered the same as total ownership in the property.
- Ownership applies to financed properties owned by the borrower, including any properties the borrower owns outside of the United States.
- A borrower who is obligated on a mortgage, regardless of whether they hold title to the mortgaged property is included in this limitation.
- These limitations apply to the total number of all financed properties, not to the number of mortgages on the property.

Planet will purchase a maximum of five loans to one borrower, and up to a combined total of \$2.5M.



Insurance

Coverage must be equal to the lesser of:

- The replacement cost from the property appraisal, or
- The sum of the principal balance of the first lien and the second lien combined.

Planet Home Lending, LLC must be listed as the second lienholder.

Flood Insurance

A life-of-loan flood certificate must be obtained.

Lien Eligibility Requirements

First Lien Position

Not permitted.

Senior Lien Requirements:

HELOANs must be subordinate to an existing, qualifying first lien mortgage. The following standards apply to the senior (first) lien:

- Must be a fully amortizing loan
- Adjustable-rate mortgages (ARMs) must be underwritten to the fully amortizing rate for Ability-to-Repay (ATR)
- A purchase money first lien must be seasoned a minimum of six months prior to closing
- Free and clear properties are not eligible for HELOAN financing
- The following senior lien types are not eligible:
 - Interest-only loans
 - Balloon loans
 - Negative amortization loans
 - Reverse mortgages
 - Loans in active forbearance, modification, or delinquency

Second Lien Position

HELOANs must be recorded in second lien position only.

Third Lien Position

Not Permitted.

Loan Amount

Minimum loan amount: \$25,000

Maximum loan amount: \$350,000

Occupancy

- Owner-Occupied
- Second Home



- Investment (non-owner occupied)

Prepayment Penalty

Not permitted.

Products

Fixed Rate: 15-, and 30-year fully amortizing

Property

Eligible Property Types

- **Maximum allowable acreage:** Five
- 1-unit properties
 - Attached
 - Detached
- Condominium
 - Fannie Mae warrantable condominiums
 - Established condominium projects only
- Factory Built Housing
 - Modular / Prefabricated / Panelized / Sectional Housing
- Manufactured Homes
 - Doublewide or greater
- PUD
 - Attached
 - Detached

Ineligible Property Types

- Properties greater than five acres
- 2-4 units
- Condotel
- Condo rental
- Cooperatives
- Free and clear properties
- Singlewide Manufactured homes
- Mobile homes
- Properties listed for sale within the most recent 12 months
- Manufactured Homes in any flood zone regardless of elevation

Condominiums

- Follow Fannie Mae Condominium requirements.
- Condominium properties must be reviewed by Condo Analytics.

Factory-Built Housing: Modular, Prefabricated, Panelized, or Sectional Housing

Modular homes must be built under the Uniform Building Code (UBC) that is administered by the state agency that is responsible for adopting and administering building code requirements for the state in which the modular home is installed. Prefabricated, panelized, or sectional housing does not have to satisfy either HUD's Federal



Manufactured Home Construction and Safety Standards or the UBC that are adopted and administered by the state in which the home is installed. The home must conform to local building codes in the area in which it will be installed.

Modular, Prefabricated, Panelized, or Sectional Housing Requirements

Factory-built housing not built on a permanent chassis such as modular, prefabricated, panelized, or sectional housing is not considered manufactured housing and is eligible under the guidelines for one-unit properties.

These types of properties:

- Must assume the characteristics of site-built housing,
- Must be legally classified as real property, and
- Must conform to all local building codes in the jurisdiction in which they are permanently located.

The purchase, conveyance, and financing (or refinancing) must be evidenced by a valid and enforceable first-lien mortgage or deed of trust that is recorded in the land records and must represent a single real estate transaction under applicable state law.

Modular, prefabricated, panelized, or sectional housing homes are afforded the same treatment as site-built housing. There are no minimum requirements for width, size, roof pitch, or any other specific construction details.

Appraisal Requirements for Modular, Prefabricated, Panelized, or Sectional Housing

There are no minimum requirements for width, size, roof pitch, or any other specific construction detail for modular homes, or any other types of factory-built homes. Because quality can account for large differences in the values of factory-built homes, it is important for the appraiser to become familiar with the features that affect the quality of a factory-built home so that the information can be included in the appraisal report if needed to support his or her opinion of value.

Comparable Selection Requirements for Modular, Prefabricated, Panelized, or Sectional Housing

The process of selecting comparable sales for factory-built housing is generally the same as that for selecting comparable sales for site-built housing. The appraiser is required to address both the marketability and comparability of modular homes and other types of factory-built housing. When the subject property is modular, prefabricated, panelized, or sectional housing, it is not required that one or more of the comparable sales be the same type of factory-built housing, although using comparable sales of similar types of homes generally enhances the reliability of the appraiser's opinion of value. The appraiser is required to include in the appraisal report the most appropriate comparable sales data to support his or her opinion of value for the subject property.

Manufactured Housing

- Single-wide is ineligible. Double and triple-wide are eligible for Principal primary Residence.
- No exceptions for Second home or Investment Properties.
- Any dwelling unit built on a permanent chassis and attached to a permanent foundation system is a



manufactured home for purposes of these guidelines.

- The manufactured home and the land on which it is situated must be titled as real property.

NOTE: Other factory-built housing (not built on a permanent chassis)—such as modular, prefabricated, panelized, or sectional housing—is not considered manufactured housing and mortgage loans secured by such housing are eligible under the guidelines stated in Eligibility.

General Loan Eligibility Criteria

Mortgage loans secured by manufactured homes that meet the following general criteria:

- Second-lien mortgages only,
- Fully amortizing fixed-rate mortgages or
- Principal primary residences

Ineligible Manufactured Housing Criteria

The following are ineligible for mortgage loans secured by manufactured homes:

- Temporary buydowns;
- Second homes;
- Investment properties;
- Singlewide Manufactured homes;
- Manufactured Homes converted to storage units;
- Homes located on leasehold estates.

Manufactured Housing Standards

The mortgage loan must be secured by both the manufactured home and the land on which it is situated, and both the manufactured home and the land must be legally classified as real property under applicable state law.

The purchase, conveyance, and financing (or refinancing) of the land and the manufactured home must be evidenced and secured by a single valid and enforceable note and first lien mortgage, deed of trust or security deed that is recorded in the land records, in states where applicable state law clearly provides for such a single lien.

Manufactured Housing Legal Considerations: Title Insurance

The mortgage must be covered under a standard real property title insurance policy that insures that the manufactured home is part of the real property that secures the loan. American Land Title Association® (ALTA®) Endorsement 7, 7.1, or 7.2 or any other endorsement required in the applicable jurisdiction for manufactured homes to be treated as real property must be included in the file.

Manufactured Housing Legal Considerations: Loan Documents

Standard Uniform Instruments to be utilized.

The security instrument must:

- State that the manufactured home is an improvement to the land and an immovable fixture, or include similar language as may be required by applicable law to assure, to the greatest extent possible, that the



manufactured home will be treated as real property under applicable state law. If applicable law provides specific obligatory wording, such wording must be used; and

- Include a comprehensive description of the manufactured home and the land in the property description section.

The description must include the serial or VIN number (or the serial number or VIN for each unit if the home is multi-width), make, model, size, and any other information that may be required by applicable law to definitively identify the home.

NOTE: NOTE: The serial number is located on the HUD Data Plate located on the interior of the home, usually near the electrical box. In addition, the serial number is generally cold-stamped on the frame front cross member of each transportable section. If the HUD data plate is missing or illegible, an IBTS report is required.

Some jurisdictions may not allow any information in the property description section of the security instrument other than what is customary for other real property transactions. If this is the case, then an addendum may be used, which must be attached to the security instrument and included in the loan file.

PUDs

- Attached and Detached PUDs permitted.
- Attached PUDs require evidence of the master insurance policy.

Title/Vesting

Loan amounts <\$150,000 must use an Owner and Encumbrance report with an attached E&O policy or attain an Attorney Opinion Letter, where applicable, to validate title findings.

Loan amount ≥\$150,000 must obtain a full ALTA title report.

Title must be in the borrower's name at the time of application and at the time of closing for all transactions.

The title of the second lien must be held in the same title as the first lien.

Title must be held in fee simple or leasehold estate.

Transaction Types

Eligible Transactions

- Stand-alone 2nd lien

Ineligible Transactions

- Purchase transactions
- Interest Only HELOANs
- Second mortgages with a simultaneous 1st lien transaction
- Employee loans, including employees of Planet and its affiliates, and the Seller
- 1st lien mortgages with the following terms are ineligible:
 - Tax and judgement liens
 - Proceeds from the subject transactions cannot be used to satisfy a tax or judgement lien. The tax and judgement must be satisfied prior to application.
 - Mortgages with balloon terms
 - Subordinate mortgages that allow negative amortization (this does not include language in the



mortgage note warning borrowers that the lack of payment may result in negative equity and negative amortization is not a feature of the product)

- Purchase 1st liens with less than six months seasoning prior to closing



FHA Conforming and High Balance Program Grid

FIXED RATE & ARM						
Transaction Type	Units	Occupancy	LTV	CLTV ¹	Loan Amount	FICO ³
Purchase	1-4	Primary Residence	96.50% 3,7	96.50%	FHA Loan Limits	Per AUS
Rate and Term Refinance ⁴	1-4	Primary Residence	97.75%	97.75%		
Simple Refinance ⁵	1-4	Primary Residence ₄	97.75%	97.75%		
Simple Refinance ⁶	1	Second Home ⁵	85.00%	85.00%		
Cash-Out Refinance	1-4	Primary Residence	80.00%	80.00%		

FIXED RATE & ARM - MANUFACTURED HOMES						
Transaction Type	Units	Occupancy	LTV	CLTV ¹	Loan Amount	FICO ³
Purchase	1	Primary	96.50%	96.50%	FHA Loan Limits	Per AUS
Rate and Term Refinance ⁴	1	Primary	97.75%	97.75%		
Cash-Out Refinance	1	Primary	80.00%	80.00%		

Reference:

1. No CLTV limit for secondary financing provided by a Government Entity or a HUD Approved Non-Profit. See ["Down Payment Assistance Program" on page 324](#) and ["Subordinate Financing/Secondary Financing" on page 348](#) for additional details.
2. Eligible conforming and high balance loan amounts can be found at: [FHA Mortgage Limits](#).
3. Maximum LTV/CLTV for purchase transactions with a FICO score between 500-579 is 90%.
4. Maximum LTV for a **Rate/Term refinance** is limited to 85%, if the borrower has occupied the property as their principal residence for less than 12 months prior to case number assignment.
5. **Primary Simple Refinance transactions:** Must be an existing FHA-insured owner-occupied primary residence.
6. **Second Home Simple Refinance transaction:** Must be an existing FHA-insured HUD-approved Secondary Residence; approval by a Jurisdictional Homeowner Center (HOC) required.
7. LTVs permitted up to 100% under FHA 203(h) Disaster Relief loan.

See ["FHA Streamline Conforming and High Balance Program Guidelines" on page 355](#).

Complete HUD guidelines can be found at [HUD Handbook 4000.1](#).



Mortgage Insurance Premium Factors

Mortgage Term > 15 Years				
Base Loan Amount	LTV	Annual MIP	Upfront MIP	Annual MIP Assessment Period
≤\$726,200	≤90%	0.50%	1.75	11 years
	>90% ≤95%	0.50%		Life of loan
	>95%	0.55%		Life of loan
>\$726,200	≤90%	0.70%		11 years
	>90% ≤95%	0.70%		Life of loan
	>95%	0.75%		Life of loan

Mortgage Term < 15 Years				
Base Loan Amount	LTV	Annual MIP	Upfront MIP	Annual MIP Assessment Period
≤\$726,200	≤90%	0.15%	1.75	11 years
	>90%	0.40%		Life of loan
>\$726,500	≤78%	0.15%		11 years
	>78%	0.40%		11 years
	>90%	0.65%		Life of Loan



Hawaiian Home Lands (Section 247)				
	Loan Term in Years			
	≤18	>18 and ≤22	>22 and ≤25	>25
MIP Financed	2.400%	3.000%	3.600%	3.800%
MIP Not Financed	2.344%	2.913%	3.475%	3.661%



FHA Conforming and High Balance Program Guidelines

Planet follows FHA [HUD Handbook 4000.1](#) for topics not addressed in these guidelines.

IRS Forms 4506-C and 8821 Requirements

Sellers must obtain borrower consent and complete either Form 4506-C or Form 8821 in accordance with IRS Agency requirements, including applicable standards under the IRS Income Verification Express Service (IVES) and the Taxpayer First Act.

- Either form is acceptable for transcript retrieval when permitted by the IRS and applicable agency
- A fully executed 4506-C or 8821 must be obtained for all borrowers whose income was used to qualify, no later than the Note Date
- Tax transcripts are required per AUS findings or may be obtained in lieu of W-2 or tax returns (personal and/or business)
- The 4506-C or 8821 must be signed by all borrowers at loan closing if transcripts were not obtained to qualify the borrower
- See Chapter 7 > ["IRS Forms 4506-C and 8821 Requirements" on page 578](#) for general standards, including e-signature and borrower consent
- When Form 8821 is used, the mortgage file must also include documented borrower consent specifically authoring disclosure of tax information to third parties. The standard taxpayer consent form included in loan files is not sufficient for this purpose.

See [FHA Handbook 4000.1, Section II.A.4](#) – Underwriting the Borrower Using the TOTAL Mortgage Scorecard

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Sections II.A.1 and II.A.4-5 of the Federal Housing Administration's [Single Family Housing Policy Handbook](#).

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

All credit and asset documentation must be ≤ 120 days from the Note date. The appraisal is valid for 180 days from the effective date. This policy applies to both new and existing construction.



Appraisals

- Appraisals must be provided by a licensed FHA-approved appraiser.
- Appraisal photos must include:
 - Front and rear of the dwelling
 - Improvements with contributory value not captured in the front or rear photographs
 - Street scene photo
 - For proposed construction, a photograph that shows the grade of the vacant lot

Comparable Sales & Market Conditions

- Comparable sales for new construction:
 - If all three comparable sales are obtained from an MLS, MRIS, MRED, NTREIS, or public source (VT/ME only), no further action is required.
 - If the comparable sales are not all obtained from the above sources, the following criteria must be met:
 - One of the comparable sales must be outside the project the subject property is located.
 - Two of the comparable sales must be from sources other than the subject property builder.
 - For new construction properties, the appraiser must provide a statement verifying that the subject property's development is being actively marketed to the public. This may include evidence of marketing efforts such as listings on real estate websites, newspaper advertisements, or public signage (e.g., billboards). This verification ensures that comparable sales reflect open-market transactions rather than private or restricted sales.

NOTE: The appraiser is always allowed to provide more than three comparable sales in order to support the property value.

- The subject and comparable must be appropriately identified. See HUD Handbook 4000.1 section IID.3.C [Minimum Property Standards](#) topic for property requirements.

Comparable photos must include:

- The front view of each comparable utilized

If rental income from an ADU is being utilized:

- The appraiser must include a sufficient number of comparable rents to produce a credible ADU market rent estimate.
- The comparables used to develop the ADU market rental cannot include properties rental for hotel or transient purposes, or for periods for less than 30 days.
- The appraiser must include at least one comparable rental that is a single-family dwelling with a rented ADU.
 - If a single-family dwelling with a rented ADU is not available, the appraiser must supplement with the most appropriate rental available and summarize the reason for the selection and how the marketability of the ADU was determined.

Appraisal must identify and address properties located within a declining market.

- When the property is in a declining market, the appraiser is required to:
 - Provide, at minimum, two comparable sales that closed within 90 days of the subject property appraisal.
 - The comparable must be as similar to the subject property as possible.
 - The appraisal must include, at minimum, two active listings or pending sales.



Minimum Property Requirements

- At minimum, Planet requires the following on all properties:
 - A conventional heat source with the ability to maintain a temperature of 50° in areas of the property where there is plumbing.
 - Any broken glass is a health hazard and safety concern and must be removed and repaired.

Appraisal Validity and Updates

- Appraisals are valid 180 days from the effective date.
- A 30-day extension of the appraisal is allowed subject to HUD guidelines.
- If the appraisal is greater than 180 days at disbursement date, an Appraisal Update may be performed to extend the appraisal validity period prior to closing of the loan.
 - The appraisal validity period is one year after the effective date of the initial appraisal report that is being updated.
 - A 30-day extension is not allowed when an Appraisal Update has been utilized.
 - The Appraisal Update must be completed by the original appraiser.
 - An Appraisal Update is not eligible if any of the following conditions apply:
 - Property has declined in value
 - Building improvements that contribute to the value of the property cannot be seen from the street
 - Exterior inspection of the property identifies deficiencies or other significant changes that did not exist at the time of the effective date of the original appraisal
 - Update was ordered by a lender not identified as the intended user of the original appraisal report, unless the appraiser includes the original report being updated as an attachment; the original appraisal cannot just be referenced (per Advisory Opinion 3 of USPAP).
- If the appraiser is being utilized to provide evidence of completion of repair(s) or condition(s) noted in the original appraisal report, Fannie Mae Form 1004D/Freddie Mac Form 442, Appraisal Update and/or Completion Report, Certification of Completion must be used.

FEMA Disaster Declaration Areas

- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal requirements. See ["Chapter 8: Loan Purchasing" on page 583](#) for complete requirements.

Manufactured Homes

- See ["Manufactured Homes" on page 338](#) for additional requirements.

HUD REO Properties

- HUD requires a new full appraisal if any of the following conditions exist:

Condition	Maximum FHA Loan Amount*
1. DE underwriter determines there are material deficiencies with the current appraisal.	Based on the value of the property as determined by the new appraisal.
2. The borrower is applying for a 203(k) loan and an "After Improved" appraisal is required.	
3. The sales contract was not approved within 120 days of the HUD REO appraisal's effective date.	
4. The HUD ordered appraisal is no longer valid (i.e., older than 180 days and not eligible for 30-day	



Condition	Maximum FHA Loan Amount*
extension)	
5. The sales contract price is > the value of the HUD ordered appraisal and/or the “as-is” appraised value is not available.	Limited to the lesser of the: ▪ Sales contract price, or ▪ New appraised value, or ▪ Initial list price of the property NOTE: The initial list price is available on the MLS and/or through the property listing agent.

*Subject to under requirements for down payment, financing of closing costs.

If a new appraisal is required based on the conditions above, the following applies:

- The original HUD ordered appraisal may not be used to underwrite the loan
- HUD will **not** pay for the cost of the new appraisal. The borrower **may be charged** for the new appraisal as part of the borrower's closing costs
- A written justification for the new appraisal is required (documentation that one of the above conditions existed)
- Copies of all appraisals of the property must be retained in the loan file

HUD REO Property Value Guidelines

HUD's policy on establishing the market value for an REO policy is that the price should reflect the appropriate price for a property sold in a competitive and open market and comparable should be based on arm's length transactions.

Additionally, properties sold at market value are characterized by the following:

- The buyer and seller are typically motivated
- Both parties are knowledgeable and are acting in their own best interest
- The property was on the open market for a reasonable time
- Payment is made in cash or a mortgage loan
- The price represents the normal consideration for the property being sold and is not affected by special/creative financing or sales concessions granted by anyone associated with the transactions

Comparable sales for REO properties are subject to the following:

- HUD prefers that REO sales and pre-foreclosure sales are not used as comparable sales to establish the value for the REO property being appraised. If REO sales and pre-foreclosure sales are used, the appraiser must address their use in the appraisal report and identify the effect they have on the market and specifically the subject property.
- Properties where the transfer to a mortgagee or entity owning the mortgage loan by deed of trust through foreclosure sale or sheriff's sale may **never** be used as a comparable sale (e.g., a property that was foreclosed on by a bank or the property was seized for payment of delinquent debt, such as property taxes and the bank or sheriff's department still has ownership of the property).

Assets

- Loans with an “Approve/Eligible” or “Accept/Eligible” finding require, at minimum, one month's most recent bank statements (all pages). If a copy of the canceled deposit check is used to document the source of funds, the bank statements must cover the period up to and including the date the earnest



money check cleared the bank.

- Sellers who are also the depository for the borrower's account may provide a printout or other alternative verification of the borrower's bank account assets produced directly from the bank or credit union's system in lieu of bank statement(s).
- Manually underwritten loans require 2 months bank statements.
- Borrower authorized Third Party Verification (TPV) is an acceptable option per [HUD Handbook 4000.1](#).
- If the asset documents are not received in English, the Seller must provide a complete and accurate translation for each document provided by a reputable vendor or U.S. Embassy.
- **Purchase transactions: Credit score of 500-579:** Two months most recent bank statements required to document 10% of the borrower own funds down payment requirement. Bank statements must be dated for the two months prior to the loan application date. All other asset documentation requirements must also be met.
- A Verification of Deposit (VOD) is acceptable as the primary source of verification.
- Verification and documentation of the deposit amount and source of funds is required, if the earnest money:
 - Exceeds 1% of the sales price, or
 - Appears to be excessive based on the borrower's history of accumulated savings.
 - Satisfactory documentation includes:
 - Copy of the canceled check and a copy of the bank statement showing the withdrawal
 - Certification from the deposit holder acknowledging receipt of the funds, or
 - Bank statements (all pages) for the most recent 2 months.
- Unsecured funds are ineligible sources for assets.
- Cash on hand (cash held by the borrower outside of a financial institution) is an eligible source of funds.
 - The Seller must verify that the cash on hand has been deposited into a financial institution or held by the escrow/title company.
 - The Seller must verify and document the cash on hand by obtaining a letter of explanation as to how the funds were accumulated and the amount of time it took to accumulate the funds.
 - The reasonableness of the accumulation must be determined based on the time period during which the funds were saved and the borrower's:
 - Income stream,
 - Spending habits,
 - Documented expenses, and
 - History of using financial institutions.
- Sweat Equity may be an acceptable source of borrowers funds as follows:
 - New construction purchase transactions only, and
 - Builder must indicate in the sales contract, or on an addendum to the sales contract, a list of services by the appraiser and a specific dollar amount must be assigned to the services (see examples below), and
 - All work must be agreed to and performed/completed by the borrower.
- Marijuana/Cannabis
 - Assets derived from employment in the marijuana or cannabis industry is not an eligible source of assets, regardless of state law.

Examples:

Option 1

Buyer agrees to perform the following:	Total
▪ Prepare and paint all interior walls	\$4,500.00



- Paint exterior doors and porch railings (if applicable)

Option 2

Buyer agrees to perform the following:	Total
▪ Install front and rear yard landscaping (sod, plants, flowers)	\$1,200.00

Gift Funds

- Gift funds are eligible for down payment, closing costs and reserve requirements if required. Excess funds must be returned to donor.
- Cash on hand is not an eligible source of gift funds.
- 3-4 unit properties require the borrower to have personal reserves equivalent to 3 months PITI after closing on purchase and refinance transactions. Reserves cannot be from a gift.
- A gift is acceptable if the donor is:
 - A relative of the borrower
 - Borrower's employer or labor union
 - A close friend with a clearly defined and documented interest in the borrower
 - A charitable organization
 - A government agency or public entity that has a program providing home ownership assistance to low and moderate income families or first-time homebuyers.
- Gift funds must be evidenced by a gift letter and it must:
 - Be signed by the donor and the borrower
 - Indicate the donors name, address, phone number, and relationship to the borrower
 - Include the dollar amount of the gift, and
 - Include a statement by the donor that no repayment of the gift funds is required.
- Gift fund availability and transfer of the funds must be documented as noted below:
 - For gift funds given prior to settlement, one of the following must be obtained:
 - A donor's bank statement showing the withdrawal and evidence of the deposit into the borrower's bank account,
 - A copy of the donor's canceled check and evidence of deposit into the borrower's bank account,
 - A copy of the donor's withdrawal receipt and evidence of deposit into the borrower's bank account, or
 - Evidence of the electronic transfer of funds from the donor's bank account to the borrower's bank account.
 - For gift funds that will be verified at settlement, one of the following must be obtained to evidence payment to the settlement agent:
 - Evidence of electronic transfer of funds from the donor's account,
 - Bank certified check,
 - Cashier's check, or
 - Other official bank check.
 - For gifts of land, all of the following must be obtained:
 - Proof of ownership by the donor, and
 - Evidence of the transfer of title to the borrower.

NOTE: When a bank statement is used to document funds, the donor **may** be required to document large deposits to ensure the funds did not come from an interested third party.



- FHA allows donors to borrow gift funds from any acceptable source provided the borrowers are not obligors to any Note to secure the money borrowed for the gift. Written evidence that the funds were borrowed from an acceptable source and not from a party to the transactions is required **OR** copy of the loan document verifying the loan is in the name of the donor and borrower is not responsible for repayment. A copy of the deposit slips verifying the deposit.
- Regardless of when gift funds are made available to the borrower, it must be determined that the gift funds were not provided by an unacceptable source and that the gift funds were the donor's own funds.

Gift of Equity

- Allowed from an immediate family member only. See ["Identity of Interest" on page 337](#) for HUD's definition of an immediate family member.
- A gift letter must be provided (see ["Assets" on page 308](#) > **Gift Funds** for gift letter requirements).
- The CD must indicate "gift of equity."

Reserves

TOTAL Scorecard (Approve/Eligible or Accept Findings)

- 1-2 units: not required
- 1-unit with an Accessory Dwelling Unit: If Rental Income is being used as effective income to qualify the borrower, reserves equivalent to 2 months' PITI after closing must be documented and verified.
- 3-4 units: 3 months PITI reserves

Manual Underwrites (loans downgraded or with a "Refer/Eligible" Finding)

- When cash reserves are not used as a compensating factor
 - 1-2 units: 1-month PITI reserves
 - 1-unit with an Accessory Dwelling Unit: If Rental Income is being used as effective income to qualify the borrower, reserves equivalent to 2 months' PITI after closing must be documented and verified.
 - 3-4 units: 3-months PITI reserves
- When cash reserves are used as a compensating factor
 - 1-2 units: 3-month PITI reserves
 - 3-4 units: 6-months PITI reserves

AUS

All loans must be submitted through FHA Total Scorecard. Manual Underwriting is permitted. All loans must be QM / Safe Harbor eligible.

NOTE: If data changes are made after the initial submission, the loan must be re-submitted to the AUS and updated findings must be submitted with the loan package.

- Loans receiving a Refer/Eligible finding requires a manual underwrite and compensating factors.
- A manual downgrade is required if additional information, not considered in the Total Scorecard affects the overall insurability or eligibility of the loan that otherwise received an Approve recommendation.

Examples requiring a manual downgrade include, but are not limited to:

- CAIVRS alert
- Suspended and debarred individuals
- Previous foreclosure within the past 3 years
- Bankruptcy (7 or 13) within the past 2 years



- Handwritten paystubs
- If any mortgage loan, including HELOC payments, in the previous 12 months reflects:
 - Three or more payments > 30 days late,
 - One or more payments > 60 days late plus one or more 30-day late payments,
 - One payment > 90 days late,
 - For purchase and no cash-out refinance, the borrower has made less than three consecutive monthly housing payments since completion of a mortgage Forbearance Plan, or
 - For cash-out refinance, the borrower must have made 12 consecutive monthly mortgage payments since the completion of a mortgage forbearance plan.

NOTE: A mortgage payment is considered delinquent if it is not paid in the month due.

- A short sale or short pay-off within the previous 12 months
- Disputed, collection accounts and public records
 - A manual downgrade is not required on a disputed account if:
 - The account has a zero balance, or
 - Any late payments on the account are aged 24 months or more, or
 - The account is current and paid as agreed.
 - Non-traditional and insufficient credit histories; see **Evaluating Credit History for Manual Underwrite** for guidance
- Non-occupant co-borrower or co-signer is added to a purchase or rate/term transaction and the occupant borrower does not have a credit score due to insufficient or non-traditional credit history. The credit score of the non-occupant co-borrower or co-signer cannot be used to satisfy FHA requirements so manual underwriting is required.
- Compensating factors are required on all loans downgraded to a manual underwrite.
 - If the DTI exceeds 31%/43% see ["Manual Underwrites and DTI Maximum" on page 327](#) for complete detailed requirements.

Evaluating Credit History for Manual Underwrite

A sufficient credit history includes a minimum of 3 credit references. The credit references must be a mix of credit types from Group I and Group II below. While it is preferred that all the credit references be from Group I **at least 1 of the 3 references must be from Group I and the insufficient/non-traditional credit guidelines apply.**

Group I	Group II
■ Housing payments (subject to additional verification if rental payments such as 12 months consecutive cancelled checks or verification from professional property management company) ■ Utility bills including: • Gas • Electric • Water • Home telephone (landline) • Cable	■ Insurance premiums that are not payroll deducted (e.g., medical, auto life, renter's insurance, etc.) ■ Payment to childcare providers ■ School tuition ■ Retail store credit cards (i.e., department, furniture/appliances or specialty stores) ■ Rent to own (furniture/appliances, or specialty stores) ■ Payment of medical bills not covered by insurance ■ Internet or cell phone bills ■ 12-month history of savings evidenced by regular



Group I	Group II
	non-payroll deducted deposits which occurred at least quarterly with an increasing account balance with no non-sufficient funds' checks. ■ Car lease ■ Personal loan with documented written repayment terms. 12-month canceled checks required to document payment

Manual underwrite for 203(h) allowed — see ["Section 203\(h\) - FHA Disaster Relief Loan" on page 345](#).

Available Markets

Delegated Sellers

Planet will purchase loans underwritten and closed by the delegated Seller in **all** states, the U.S. Virgin Islands (USVI), and Puerto Rico (see Prior Approval below).

Prior Approval - Delegated Sellers

Sellers must receive approval from Planet to deliver loans with properties located in:

- Puerto Rico

Non-Delegated Sellers

Planet will purchase loans from non-delegated Sellers in **all** states.

All loans require Planet underwriting approval.

Ineligible Territories

The U.S. Territories of American Samoa, Guam and Northern Mariana Islands are ineligible regardless of delegation.

Borrower Eligibility

Eligible Borrowers

- U.S. Citizens
- Lawful Permanent:
 - Borrowers with lawful permanent resident status are eligible under the same terms as U.S. Citizens.
 - Documentation must include evidence of lawful permanent residency as provided by the U.S. Citizenship and Immigration Services (USCIS).
 - A copy of both the front and back of the card is required.
- Inter-vivos trusts that meet HUD guidelines.
- All borrowers are required to have a social security number; a TIN is not acceptable.

Ineligible Borrowers

- Non-Permanent Residents



- **Case numbers assigned on or after May 25, 2025** are ineligible.
- **Case numbers assigned prior to May 25, 2025** must have been purchased by Planet by **July 31, 2025**
- As of May 25, 2025, Individuals without lawful permanent residency status are no longer eligible for FHA-insured loans (ML 2025-09).
- Foreign Nationals
- Borrowers with diplomatic immunity and International Monetary Fund (IMF) employees
- Borrowers without a social security number
- Borrowers currently delinquent on current mortgage payments

Borrower Types

Borrower and Co-Borrower: Owns the property and is liable for the debt. Signs all documents, including the application, Note and Mortgage/Deed of Trust and is on title. Income, assets and debt used in qualification.

Non-Occupant Co-Borrower: Owns the property and is liable for the debt but does not live in the property. Signs the application, Note, Mortgage/Deed of Trust and is on title. Income, assets and debt are used in qualification for purchase and rate/term only. Income is not considered on cash-out transactions for qualification.

Co-Signer: Has no ownership interest in the property but is liable for the debt. Signs the application and Note, but not the Mortgage/Deed of Trust (no ownership interest). Income assets and debt are used in qualification.

Co-Mortgagor: Has ownership interest in the property but is **not** liable for the debt. Signs all collateral documents (Mortgage/Deed of Trust, TIL & Right to Rescind, as applicable). Signature is to subordinate their interest in the property to the lien. Income, assets and debts are not used in qualification.

Non-Borrowing/Non Purchasing Spouse: Generally, have no ownership interest in the property and are not liable for the debt. In community property/marital rights states the non-borrowing spouse does have an interest in the property and is required to execute the security instrument and all applicable documents as determined by state law.

NOTE: Community property states: Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin. See [HUD Handbook 4000.1](#) for additional details on the non-purchasing spouse.

Non-Occupying Co-Borrower

- Maximum 75% LTV for 1-4 units
- The 75% LTV may be exceeded up to the maximum allowable LTV on a 1-unit property only if the non-occupant co-borrower is:
 - Related by blood, marriage, or law (i.e., spouses, parent-child, siblings, stepchildren, aunt, uncle, domestic partner, etc.).
- LTV's may **not** exceed the maximum allowable LTV if:
 - A family member is selling to a non-occupying family member
 - A transaction on a 2-4 unit property
 - A parent is selling to a child, and the parent will be the non-occupying co-borrower, the maximum LTV is limited to 75%.
- All borrowers, regardless of occupancy status, must sign the security instrument and Note: Cosigners do not execute the security instrument or take title, but they must sign the Note.
- Non-occupant co-borrower cannot be added to a cash-out refinance transaction. A non-occupant co-borrower may remain on the cash-out refinance if on the original transaction, however the loan will be



subject to a manual underwrite and manual underwriting guidelines.

- Non-occupant borrower income may not be used to calculate ratios for manual underwrites.

Non-Purchasing Spouse

The debts of the non-purchasing spouse must be included in the borrower's qualifying ratios, unless specifically excluded by state law, if:

- Borrowers reside in a community property state, or
- Property being purchased is in a community property state

NOTE: In the community property states, the credit history of the non-purchasing spouse is not considered a reason to deny a loan, however, their obligations must be considered in the DTI unless excluded by state law. A credit report for the non-purchasing spouse must be obtained to determine if the obligations should be included in the DTI.

CAIVRS

All borrowers must be checked against the Credit Alert Interactive Voice Response System ([CAIVRS](#)) to determine if they have delinquent federal debt or if they are on title to a property in default. Borrowers identified on this site are generally ineligible for FHA financing.

Case Numbers

- Case number requests must comply with HUD Mortgagee Letter 2011-10. To view the Mortgagee Letter in its entirety, go to: [HUD Mortgagee Letters](#).
- FHA requires an active loan application for the borrower and property.
- Case numbers older than 6 months will be automatically canceled when there has been no activity. A [Case Reinstatement Request](#) must be submitted to reinstate the case number.

Chain of Title

A 12-month chain of title is required for all loans. Title must include all transfers in the previous 12-month period, including copies of all recorded deed(s). If more than one transfer in previous 12 months **or** property has significant increase in value since prior transfer, an appraisal addendum addressing all transfers is required.

Construction-to-Perm (Permanent Finance)

This section is specific to Construction to Perm transactions. For any topic not covered in this section, refer to the topics within these guidelines.

Planet will allow construction-to-permanent mortgage transactions with a single mortgage closing, after the issuance of the Certificate of Completion. The below requirements must be met.

- File must evidence a licensed general contractor was used.
 - Borrowers' acting as a general contractor is not permitted.
- The borrower must either be purchasing the land at the closing of the construction loan, or already own the land.
- The project must be 100% complete.
- Delegated transactions only.



Calculating the Maximum Mortgage Amount

- The maximum mortgage amount is calculated based on the appropriate purchase LTV percentage of the lesser of the appraised value or documented acquisition cost which include:
 - The builder's price (including the cost of land if being purchased from the builder) or the sum of all subcontractor bids and material (if the land is already owned by the borrower);
 - The borrower-paid options and construction costs not included in the builder's price to build;
 - Closing costs associated with any interim financing of the land; and
 - Either of the following:
 - The lesser of the cost of the land, or appraised value of the land, if the land is owned 6 months or less at the time of the case number assignment; or
 - The appraised value of the land if the land has been owned for greater than 6 months at case number assignment, or was received as an acceptable gift.

Minimum Required Investment (MRI)

The borrower may utilize any cash investment in the acquisition cost or land equity to satisfy the MRI.

Mortgage Interest Rate

During the construction period, the interest rate may be variable. The Lender and the borrower must enter into an agreement that:

- Documents the range in which the interest rate may float during construction.
- Documents the point of interest rate lock-in.
- Specifies that the permanent mortgage will not exceed a specific maximum interest rate, and
- Permits the borrower to lock in at a lower rate, if available, and they have not already locked in a rate.

The borrower must qualify for the mortgage at the maximum rate at which the permanent Mortgage may be set.

Ineligible Properties

Properties that are currently in the construction phase and not converted to the permanent loan.

Documentation

Case file must evidence the following documentation:

- The cash investment is from an acceptable source of funds in accordance with the underwriting requirements as applicable.
- The cost and date of purchase of the land, if already owned, by obtaining the closing disclosure or similar legal document.
- Any borrower-paid extras over and above the contract specifications and any out-of-pocket expenses not included in the builder's price to build by obtaining evidence funds were derived from an acceptable source.
- An itemization of the extras and expenses and the cost of each item is required.

Required Documentation for Closing

In addition to standard FHA documents, the following documents must be used:

- A construction rider to the Note, and construction loan agreement.
 - These construction documents may be in any form acceptable to the lender, but they must provide that all special construction terms end when the construction loan converts to a permanent mortgage. After conversion, only the permanent mortgage terms (based on standard



documents) continue to be effective, making the permanent mortgage eligible for FHA mortgage insurance.

- A disclosure issued to the borrower explaining that the mortgage is not eligible for FHA mortgage insurance until after a final inspection, or the issuance of a certificate of occupancy by the local governmental jurisdiction, whichever is later.
- Either a fully executed contract agreement between the builder and the borrower, which includes the contractor's price to build or documentation of the actual costs of construction where the borrower is acting as the general contractor.
- Documentation of Land acquisition or land ownership.
- Evidence of payoff statement and actual payoff if mortgage proceeds are used to purchase or pay off debt on the land.

Required Documentation for Endorsement

- When the maximum LTV is $\leq 90\%$, the mortgage must comply with the documentation requirements found in the New Construction Financing LTV Limit.
- File must evidence a title update after conversion to the permanent mortgage to show that the property is free and clear of all liens other than the Mortgage.
- File must evidence that the construction was fully drawn down, and that any remaining funds were used to pay down the principal balance on the permanent mortgage.

Escrow Account at Closing of the Construction Loan

- After funds are disbursed to cover the purchase of the land, the balance of the mortgage proceeds must be placed in an escrow account to be disbursed as construction progresses.
- File must evidence the borrower's written authorization for each draw prior to disbursing funds to the contractor.
- After completion of construction, the construction escrow account must be fully extinguished, and any remaining funds must be applied to the outstanding principal balance of the permanent Mortgage.

Endorsement

- The Mortgage must be endorsed within 60 days of the final inspection or issuance of the Certificate of Occupancy (CO) whichever is later.
- Delegated Sellers must pay an Upfront MIP and insure the loan.

NOTE: Amortization of the permanent mortgage must start no later than the first of the month following the 60 days from the date of the final inspection or issuance of the (CO)

Building on Own Land

In addition to the Construction-To-Perm and New Construction topics, building on own land is also permitted subject to the following conditions.

- Borrower owns land greater than 6 months from case number date.
- If the land was given as a gift to the Borrower, the Mortgagee must verify that the donor was not a prohibited source.
- The Mortgagee must obtain standard gift documentation. See ["Assets" on page 308](#) > **Gift Funds**.
- Borrower may not receive cash back from the additional equity in the Property except to replenish their own cash expenditures for any borrower-paid extras over the contract specifications and any out-of-pocket expenses not included in the builder's price. Itemization of the extras and expenses costs must be evidenced in the loan file.
- Evidence for the purchase of the land required with a Closing Disclosure or similar legal document.



Contingent Liability

A contingent liability exists when an individual is responsible for payment of a debt if another party, jointly or severally obligated, defaults on the payment.

Co-Signed Debt

- When the borrower is legally obligated on a debt, the debt must be included in the borrower's DTI ratio, even if another party is making the payment. The payment may only be excluded when the person making the payment is also legally obligated on the debt.
- Personal debt, where the borrower is a co-signer, may be excluded from the DTI if:
 - Documentation is provided verifying another borrower is responsible for the debt, and
 - Copies of the canceled checks (front and back) are provided from the party paying the debt for the most recent 12 consecutive payments, and
 - The credit report indicates the account has no late payments.

Business Debt

- Payments attributed to the borrower's business must be included in the borrower's DTI calculation unless:
 - Documented evidence that the debt is being paid by the borrower's business
 - The debt was considered in the cash flow analysis of the borrower's business, and the borrower's tax return reflects the business expense related to the obligation, $\geq$ the amount of payments document as paid out of company funds.

NOTE: Only the interest expense related to the obligation shown on the borrower's tax return will be considered in the cash flow analysis.

- **Corporations (Includes Sub-S and most LLCs):** A corporation is a legal entity that can be obligated for debts. Officers of the corporation or members of an LLC are often required to personally sign as additional guarantors for debts owed by the Corporation or LLC.
 - Debts may be excluded from the DTI, if:
 - A minimum of 12 consecutive most recent canceled checks are provided by the corporation/LLC for payment on the debt, and
 - Documentation is provided showing the corporation/LLC is a borrower on the loan.
- **Sole Proprietorship or Partnership:** The business is not an entity that can borrow, and any debt used by the business is personal obligations regardless of how the debt is paid. This type of debt must be included in the borrower's DTI. The debt may be added back to the business income, so the debt is not counted twice.

Credit Report/Scores

Credit History

Total Scorecard Approve/Eligible or Accept/Eligible

- Tradeline requirements per Total Scorecard findings
- Authorized user tradelines require review by the underwriter to ensure the tradelines are an accurate reflection of the borrower's credit history.
- Borrowers with insufficient credit history are subject to the following DTI requirements:



- DTI computed only on the borrowers who will be occupying the property and obligated on the loan
- Two months' cash reserves from the borrower's own funds are required. Cash gifts are not eligible to satisfy reserve requirements.

Credit Reports

- A tri-merged credit report is required for all borrowers, including non-borrowing spouse who resides in a community property state or if the subject property is in a community property state. See [HUD Handbook 4000.1](#) for additional details on the non-borrowing spouse.
- A truncated SSN is acceptable for FHA mortgage insurance purposes provided that the mortgage application captures the full nine-digit SSN.
- The Mortgagee must review all credit report inquiries to ensure that all debts, including any new debt payments resulting from material inquiries listed on the credit report, are used to calculate the debt ratios. The Mortgagee must also determine that any recent debts were not incurred to obtain any part of the Borrower's required funds to close on the Property being purchased.
- Material Inquiries refer to inquiries which may potentially result in obligations incurred by the Borrower for other Mortgages, auto loans, leases, or other Installment Loans. Inquiries from department stores, credit bureaus, and insurance companies are not considered material inquiries
- The borrower(s) must address **all** credit inquiries indicated on the credit report within the last 90 days and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not)

Credit Report – Fraud Alert

When a fraud alert, active-duty alert or freeze is included with a credit report, additional steps are required to verify the borrower's identity and documentation must be provided. Documentation should include, but is not limited to:

- A letter of explanation from the borrower, and
- A copy of the identity theft report, and
- An additional form of identity verification, and

If the credit alert contains a phone number for a verbal verification prior to credit being issued, documentation must be provided that the borrower was contacted.

Credit Score

- All borrowers must meet the minimum credit score requirement and as noted below where not all borrowers have a credit score
- The representative credit score is determined as follows:
 - If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.
 - If there are two valid scores, the lower of the two is used
 - If there is one valid score, that score is used.
- When there are multiple borrowers on a loan, the lowest representative credit score of all borrowers is the decision credit score.

Example:

- Borrower 1: Credit scores are 640, 654, 660; representative score is 654
- Borrower 2: Credit scores are 625, 637; representative score is 625

The loan decision score is 625, which is the lowest representative score of all borrowers.

Planet will allow loans **where not all borrowers have a credit score subject to the following:**



- Determine if a "primary borrower" exists. If a primary borrower exists (meets all the requirements below) the loan may proceed without additional documentation. A primary borrower is defined as:
 - The individual who will be occupying the property, and
 - Has more than 50% of the qualifying income, and
 - Meets the minimum tradeline requirements (3 tradelines, each with 12-month history and 1 of the 3 must have been active within the past 24 months).

If a "primary borrower" cannot be established and no other borrowers meet all of the above criteria, then non-traditional credit requirements apply as detailed in [HUD Handbook 4000.1](#)

Positive Rental Payment History

Positive rental payment history refers to the on-time payment by a borrower of all rental payments in the previous 12 months. A rental payment is considered to be on time when it is paid within the month due.

A first-time homebuyer refers to an individual who has not held an ownership interest in another property in the three years prior to the case number assignment. First time homebuyer includes an individual who is divorced or legally separated and who has had no ownership interest in a principal residence (other than joint ownership interest with a spouse) during the three years prior to case number assignment.

The transactions must be submitted to TOTAL Scorecard indicating a positive payment history, provided:

- The transaction is a purchase
- At least one borrower is identified as a first-time homebuyer
- The minimum decision credit score is 620 or greater, and
- At least one borrower has a documented history of a positive rental payment history with monthly payments of \$300 or more for the previous 12 months.

To verify the borrower's rental payment history, the Seller must obtain a copy of the executed rental or lease agreement and one of the following:

- Written verification of rent from a landlord with no identity of interest with the borrower,
- 12 months of canceled rent checks,
- 12 months bank or payment service statements documenting rents paid, or
- Landlord reference from a rental management company.

Borrowers renting from a family member must provide a copy of the executed rental or lease agreement and 12 months canceled checks or bank statements to demonstrate the satisfactory rental payment history.

Disputed Derogatory Credit

Disputed Derogatory Credit Account refers to disputed Charge-off Accounts, collection accounts, and accounts with late payments in the last 24 months. A letter of explanation is required from the borrower whenever a derogatory disputed account is indicated on the credit report regardless of the cumulative balance.

The underwriter determines if the disputed accounts must be considered in the credit decision and, at underwriter discretion, the account may be required to be resolved prior to loan closing.

- **Disputed accounts not required in cumulative total:**
 - Disputed medical accounts.
 - Disputed accounts that are the result of documented identity theft. If documentation cannot be provided (e.g., police report) to substantiate the claim, the amount must be included in the cumulative total.
 - Disputed derogatory credit account of a non-purchasing spouse in a community property state.



- **Disputed Accounts – Non-Derogatory**
 - Disputed account with a zero balance, or
 - Disputed account with late payments aged 24 months or greater, or
 - Disputed account that is current and paid as agreed.
- **Disputed Accounts $\geq$ \$1,000 (cumulative for all borrowers)**
 - Loans with an “Approve/Eligible” Finding must be downgraded to a manual underwrite if the credit report indicates there are disputed accounts with a cumulative total (includes disputed accounts for all borrowers) $\geq$ \$1,000.
- **Disputed Accounts $<$ \$1,000 (cumulative for all borrowers)**
 - A downgrade to a manual underwrite is not required if the cumulative total of all disputed accounts $<$ \$1,000.
 - Non-derogatory accounts are not included in the cumulative total; however, the underwriter must address when considering the borrower's ability to repay the loan including the impact to the DTI.

Tax Liens

Tax liens must be paid or subordinate to Planet's 1st lien, with the following exceptions:

Tax liens may remain unpaid if:

- Borrower has entered into a valid repayment agreement with the lien holder to make regular payments on the debt, and borrower has made timely payments for at least three months of scheduled payments
- Borrower cannot prepay scheduled payments to meet the required minimum of three months of payments
- Except for Federal Tax Liens, the lien holder must subordinate the tax lien to the FHA-insured Mortgage.

Short Sale Eligible

Borrower(s) are **not** eligible for a new FHA-insured mortgage if they pursued a short sale agreement within three years unless the following apply.

- If short sale within three years, the mortgage must be downgraded to a "Refer" and manually underwritten
- Three-year period begins on the date of transfer of title by the short sale.

Short Sale Ineligible

- **Borrower Current at Time of Short Sale**
 - Mortgage payments due on the prior mortgage were made within the month due for the 12 months preceding the short sale, and
 - Installment debt payments for the same time period were also made within the month due.

Exceptions

An exception to the above may be made if the default was due to extenuating circumstances, such as death of the primary wage earner or a long-term uninsured illness. A review of the credit report must indicate satisfactory credit prior to the extenuating circumstances that cause the default.

- **Borrower in Default at Time of Short Sale**
 - A borrower in default on their mortgage payment at the time of the short sale (or pre-foreclosure sale) or a borrower is not eligible for a new FHA insured mortgage for 3 years from the date of the pre-foreclosure sale
 - A borrower who sold their property under FHA's pre-foreclosure sale program is not eligible for a new FHA insured mortgage for 3 years from the date that FHA paid the claim associated with the pre-foreclosure sale.



Short Payoff/Modified/Restructured Loans

Borrowers are eligible for an FHA rate/term refinance when the existing Note holder(s) will write-off the amount of the indebtedness that cannot be refinanced in the new FHA-insured mortgage subject to the following:

- Borrower is current on their existing mortgage, and
- There is insufficient equity in the home based on its current appraised value, and/or
- Borrower experienced a reduction in income and does not have the capacity to repay the existing mortgage on the property.

In cases where the existing Note holder(s) is reluctant or not willing to write down the indebtedness, a new subordinate lien may be obtained for the amount of which the payoff is short. If payments on the new subordinate financing are required, they must be included in the qualifying ratios unless the payment has been deferred for a minimum of 36 months.

Bankruptcy

Documentation of 2 years since discharge date of the bankruptcy required. No further documentation is required if discharge date is reflected on the credit report. If discharge is not reflected, bankruptcy and discharge must be per Total Scorecard.

Bankruptcy does not automatically disqualify the borrower from obtaining FHA insurance subject to the following guidelines.

- **Chapter 13**
 - Borrower has completed 1 year of the payout period, and
 - Borrower has made all required payment on time, and
 - Borrower has received written permission from the bankruptcy court to enter into a mortgage transaction.

When a Total Scorecard “Accept” recommendation is received:

- Document 2 years have elapsed since discharge date and no further documentation is required.
- If not discharged for a minimum of 2 years, the loan must be downgraded to a “Refer” and a manual underwrite is required. Manual underwriting guidelines apply.

- **Chapter 7**

When a Total Scorecard “Accept” recommendation is received:

- Document 2 years have elapsed since discharge date and no further documentation is required.
- An elapsed period of less than two years, but not less than 12 months, may be acceptable if:
 - The bankruptcy was caused by extenuating circumstances beyond the borrower's control
 - Evidence of the ability to manage financial affairs
 - No new credit obligations have incurred
 - Borrowers whose bankruptcy was discharged < 1 year are generally not eligible.

Consumer Credit Counseling

- One year of payout under the plan has elapsed
- All payments have been made on time
- The Counseling Agency has provided written permission for the borrower to enter into a mortgage transaction
- If a Total Scorecard Approve/Eligible, Accept/Eligible finding is received, follow AUS findings.



Delinquent Child Support

Delinquent child support must be paid current or in a payment plan.

Foreclosure/Deed-in-Lieu

- Borrowers are generally not eligible for new FHA financing if a foreclosure or deed-in-lieu has occurred in the previous 3 years.
- If < 3 years from the foreclosure settlement date to the application date, the borrower may be eligible. The loan must be downgraded to manual underwrite and subject to the following:
 - Borrower must have re-established credit
 - No late housing or installment payments after the foreclosure, and
 - A letter of explanation as to the reason for foreclosure.

NOTE: If the foreclosure was included in a Chapter 7 bankruptcy, the date of the foreclosure deed is used for determining the foreclosure date.

Collection/Charge-off/Judgments

- Loans that do not receive a TOTAL Scorecard of Approve/Eligible or Accept/Eligible finding, the borrower is required to provide a letter of explanation and supporting documentation for all collection, charge-off accounts, and judgments. The letter must document that the collection and/or judgment was not due to the borrower's disregard of their financial obligation or their ability to manage debt.
- Loans that receive a TOTAL Scorecard of Approve/Eligible or Accept/Eligible finding, a letter of explanation is not required for collection accounts, charge-off accounts, accounts with late payments, judgments, or other derogatory information.

Collections

The underwriter must consider the borrower's ability to repay the mortgage when the cumulative balance for all borrowers of collection/charge-off account(s) is > \$2,000 (including any collection accounts of a non-purchasing spouse in community property states unless excluded by state law) on both manual underwrites and loans with a TOTAL Scorecard finding.

All medical collection accounts and all charge-off accounts (medical and non-medical) **are excluded** from the collection/charge-off guidance. All non-medical collection accounts **must be included**.

- **Accounts Cumulative $\geq$ \$2,000**

One of the following is required:

- Payment in full prior to or at closing. Source of funds for payoff must be documented, I
- If borrower currently in a payment plan (no minimum time required), the monthly payment must be included in the DTI, or
- If a payment plan is not established, calculate 5% of the outstanding balance of each collection and include in the DTI calculation.

- **Accounts Cumulative < \$2,000**

No action required. Accounts cannot be paid down to < \$2,000.

Charge Off Accounts

Charge off accounts do not need to be included in the borrower's liabilities or debt.



Judgments

Judgments are required to be paid off **including** judgments against a non-purchasing spouse in community property states (unless excluded by state law) **and** medical judgments. The payment requirement may be waived if the borrower is currently in a payment plan with the creditor:

- A copy of the agreement is provided, and
- Borrower has made a minimum 3 months of the scheduled payments as agreed prior to credit approval. Supporting documentation is required.
- Payments must be included in the DTI calculation

NOTE: The borrower **cannot** prepay scheduled payments to satisfy the 3-month requirement.

Down Payment

The minimum down payment requirement is 3.5% from the borrower's own funds or from an acceptable gift/donor, grant or DPA program. For additional requirements, see ["Identity of Interest" on page 337](#).

Down Payment Assistance Program

- Allowed subject to HUD guidelines.
 - Must meet all FHA DPA requirements, and
 - File must document evidence of proper transfer of funds.
 - DPA program administered by a charitable organization such as non-profits must be HUD approved.
 - Gifts from a charitable organization to pay off credit obligation not allowed.

NOTE: See [HUD Handbook 4000.1](#) for complete Down Payment Assistance requirements.

DTI

- The debt-to income ratio includes the following:
 - Monthly housing expense, and
 - Additional recurring charges extending 10 months or more, such as
 - Installment accounts,
 - Child support or separate maintenance payments,
 - Revolving accounts, and
 - Alimony
- Monthly payments on revolving or open-end accounts, regardless of their balances, are counted in the DTI for qualifying purposes even if the account may be paid off within 10 months or less.
- Debts < 10 months remaining must be included in the DTI if the amount of the debt will affect the borrower's ability to pay the mortgage in the months immediately following loan closing particularly if the borrower has limited or no reserves.

See ["Manual Underwrites and DTI Maximum" on page 327](#) for maximum DTI and acceptable compensating factors as required by HUD.

Contingent Liability

A contingent liability exists when an individual is responsible for payment of a debt if another party, jointly or severally obligated, defaults on the payment.



Business Debt

- Payments attributed to the borrower's business must be included in the borrower's DTI calculation unless:
 - Documented evidencing that the debt is being paid by the borrower's business
 - The debt was considered in the cash flow analysis of the borrower's business, and the borrower's tax return reflects the business expense related to the obligation, $\geq$ the amount of payments document as paid out of company funds.

NOTE: Only the interest expense related to the obligation shown on the borrower's tax return will be considered in the cash flow analysis.

- **Corporations (Includes Sub-S and most LLCs):** A corporation is a legal entity that can be obligated for debts. Officers of the corporation or members of an LLC are often required to personally sign as additional guarantors for debts owed by the Corporation or LLC.
 - Debts may be excluded from the DTI, if:
 - A minimum of 12 consecutive most recent canceled checks are provided by the corporation/LLC for payment on the debt, and
 - Documentation is provided showing the corporation/LLC is a borrower on the loan.
- **Sole Proprietorship or Partnership:** The business is not an entity that can borrow, and any debt used by the business is personal obligations regardless of how the debt is paid. This type of debt must be included in the borrower's DTI. The debt may be added back to the business income, so the debt is not counted twice.

Co-Signed Debt

- When the borrower is legally obligated on a debt, the debt must be included in the borrower's DTI ratio, even if another party is making the payment. The payment may only be excluded when the person making the payment is also legally obligated on the debt.
- Personal debt, where the borrower is a co-signer, may be excluded from the DTI if:
 - Documentation is provided verifying another borrower is responsible for the debt, and
 - Copies of the canceled checks (front and back) are provided from the party paying the debt for the most recent 12 consecutive payments, and
 - The credit report indicates the account has no late payments.

Credit Installment/Revolving Accounts

All debts are run through TOTAL to ensure accurate findings.

- **Installment Debt**
 - The Monthly payment shown on credit reports, loan agreement or payment agreement must be used to calculate borrower's liability.
 - If the actual monthly payment is not available utilize the terms of the debt or 5% of the outstanding balance to establish the monthly payment.
 - Included in the DTI if > 10 months remaining, or
 - Included if ≤ 10 months remaining **AND** payment is $> \$100.00$ and/or at underwriter's discretion
 - Pay down of installment debt to < 10 months may be considered on an exception basis if the borrower has strong reserves, high credit score, no gifts or grants, and the debt ratio, with the debt(s) included is 43% or less.
- **Revolving Debt**
 - Revolving debt must be included if there is a balance indicated on the credit report. If the monthly payment is not included in the credit report the underwriter will calculate the payment using the



greater of \$10.00 or 5% of the outstanding balance. If the actual dollar amount is documented by the creditor or a current monthly statement, that amount may be used for qualifying.

- Cash-out refinance transactions
 - If paid off prior to closing, documentation must be included in the loan file that the account was paid off and closed.
 - Payoff must be indicated on the CD
 - Closing agent must verify that the account(s) were closed prior to disbursement.
- **Student Loans**
 - Monthly payments must be included in the DTI ratios.
 - If the payment used for the monthly obligation is less than the monthly payment reported on the borrower's credit report, written documentation must be provided to show the actual payment, payment status, and evidence of the outstanding balance and terms from the creditor or student loan servicer.
 - For outstanding student loan, regardless of payment status, the Seller must use:
 - The payment amount reported on the credit report or the actual documented payment, when the payment amount is above \$0, or
 - 0.5% of the outstanding balance on the loan, when the monthly payment reported on the borrower's credit report is \$0.

Manual Underwrites and Rental Income from Boarders of the Subject Property

Definition

Boarder refers to an individual renting space inside the Borrower's Dwelling Unit. A renter of an ADU is not a Boarder.

Standard

The Seller may consider Rental Income from existing Boarders if documented in accordance with the following requirements. Rental Income from Boarders may be considered Effective Income if the occupying Borrower has a 12-month history of receiving income from Boarders and is currently receiving Boarder income.

Rental Income from Boarders is permitted whether the Borrower currently rents or owns the Dwelling Unit.

Required Documentation

The Seller must verify and document the existing Rental Income from Boarders by obtaining the following:

- evidence of rental history over the previous 12 months;
- evidence of Rental Income received from Boarders for at least nine of the most recent 12 months in the form of:
 - the Borrowers Tax Returns; or
 - bank statements, canceled checks, or deposit slips, showing rental payments received;
 - evidence that the Boarder's address is the same as the Borrower's address; and
 - a copy of the executed written agreement documenting the boarding terms and the Boarder's intent to continue boarding with the Borrower.

Calculation of Effective Income

The Seller must calculate Rental Income from Boarders by using the lesser of:



- the 12-month average; or
- the current rent as documented in the written agreement.

Where Rental Income from Boarders has been documented for at least nine of the last 12 months, the Mortgagee must average the Rental Income over a 12-month period.

The amount of the Rental Income from Boarders used as Effective Income must not exceed 30 percent of the total monthly Effective Income used to qualify the Borrower.

Manual Underwrites and DTI Maximum

Manual underwrites are subject to the following HUD requirements. The table below identifies the maximum eligible DTI as determined by the applicable compensating factor. Non-occupant co-borrower income may not be used to calculate DTI. This section does not apply to 203(h) loans (see ["Section 203\(h\) - FHA Disaster Relief Loan" on page 345](#) for details).

Detailed compensating factor requirements follows:

Credit Score	Maximum Qualifying Ratios	Acceptable Compensating Factor
500-579 or No Credit Score	31%/43%	Borrowers with a credit score below 580 or no credit score may not exceed 31%/43% ratio.
580 and above	31%/43%	No Compensating Factors required
	37%/47%	One of the following: ▪ Documented cash reserves. ▪ Minimal increase in housing payments. ▪ Residual Income.
	40%/40%	No Discretionary debt
	40%/50%	Two of the following: ▪ Verified and document cash reserves. ▪ Minimal increase in housing payment. ▪ Significant additional income not reflected in effective income, and ▪ Residual income.

Compensating Factors	Requirements
Additional Cash Reserves	▪ 1 and 2 units: 3 months or more of the total monthly mortgage payment (PITI +MIP) ▪ 3-4 units: 6 months or more of the total monthly mortgage payment (PITI+MIP) ▪ Retirement accounts (IRA, 401(k), Keogh, etc.) are eligible to satisfy reserve requirements subject to: • Maximum 60% of the vested account, minus any outstanding loan balance (s) may be used. Any funds used for loan settlement must be excluded). • The account allows for withdrawals other than for retirement, death, or employment termination. If not, the funds are ineligible towards reserves.



Compensating Factors	Requirements
	The following are ineligible to meet reserve requirements: - Any cash-back from the cash-out refinance transactions - Gift or borrowed funds - Equity in other real estate owned
Minimal Housing Increase	Minimal housing increase defined as: - New monthly mortgage payment (PITI+MIP) does not exceed the current housing payment by the lesser of: \$100, or 5% of the current housing payment, and - Borrower must have a documented 12-month housing history; if 12 months' housing cannot be documented the minimal housing increase cannot be used as a compensating factor. The following applies to the required housing history: - Purchase and rate/term refinance transactions; maximum 1x30 in previous 12 months - Cash-out transactions: 0x30 in previous 12 months
No Discretionary Debt	May be considered a compensating factor when: - The only open account with an outstanding balance that is not paid off monthly is the borrower's mortgage (N/A to purchase borrowers who currently rent), and - The borrower's credit report indicates established tradelines, open for a minimum of 6 months, in the borrower's name (authorized user accounts not eligible), and - The borrower has paid any account balances in full for the previous 6 months (documentation of payment is required).
Additional Income (income that was not used to qualify for the loan)	The following additional income is eligible, if not used for qualification: - Bonus - Overtime - Part-time/seasonal The borrower must be able to document receipt of the income for a minimum of 1 year but < 2 years and is likely to continue AND if the income had been used for qualifying the DTI would not be more than 37%/47%. Eligible as follows: - If DTI will not exceed 37%/47% may be used as the only compensating factor; no additional compensating factor required. - If DTI exceeds 37%/47% but is not more than 40%/50% another compensating factor, in addition to additional income, is required. NOTE: Income from anyone not a borrower on the loan may not be used (non-borrowing spouse, domestic partner, etc.)
Residual Income	Eligible subject to VA residual income guidelines (refer to charts). All of the borrower's household members are counted regardless of the relationship to the borrower or if they will be on the loan with the exception of "self-sufficient"



Compensating Factors	Requirements
	household members (i.e. the household member who fully supports themselves, with verifiable income, and that income was not used for qualifying) - Residual income is determined by taking the gross monthly income of all occupying borrowers and deducting the following: - Federal and state taxes, social security - Proposed housing payment - Fixed monthly expenses (revolving/installment debt child support/alimony obligations, childcare expenses, and - Home maintenance costs (calculated at 14¢ per square foot) NOTE: Non-taxable income cannot be grossed up to meet residual income requirements.

Residual Income Requirements:

Loan Amounts ≤79,000				
Family Size	Northeast	Midwest	South	West
1	\$390	\$382	\$382	\$425
2	\$654	\$641	\$641	\$713
3	\$788	\$772	\$772	\$859
4	\$888	\$868	\$868	\$967
5	\$921	\$902	\$902	\$1,004
Over 5	Add \$75.00 for each additional family member up to 7			

Loan Amounts ≥ 80,000				
Family Size	Northeast	Midwest	South	West
1	\$450	\$441	\$441	\$491
2	\$755	\$738	\$738	\$823
3	\$909	\$889	\$889	\$990
4	\$1,025	\$1,003	\$1,003	\$1,117
5	\$1,062	\$1,039	\$1,039	\$1,158
Over 5	Add \$80.00 for each additional family member up to 7			



Geographic Regions as Identified by VA			
Northeast	Connecticut	New Hampshire	Pennsylvania
	Maine	New Jersey	Rhode Island
	Massachusetts	New York	Vermont
Midwest	Illinois	Michigan	North Dakota
	Indiana	Minnesota	Ohio
	Iowa	Missouri	South Dakota
	Kansas	Nebraska	Wisconsin
South	Alabama	Kentucky	Puerto Rico
	Arkansas	Louisiana	South Carolina
	Delaware	Maryland	Tennessee
	District of Columbia	Mississippi	Texas
	Florida	North Carolina	Virginia
	Georgia	Oklahoma	West Virginia
West	Alaska	Idaho	Utah
	Arizona	Montana	Washington
	California	Nevada	Wyoming
	Colorado	New Mexico	
	Hawaii	Oregon	

Employment and Income

- A two-year employment history is required for both wage earners and self-employed borrowers.
- Borrower authorized Third-Party Verification (TPV) is an acceptable option per [HUD Handbook 4000.1](#) guidelines.
- Re-verification is required within 10-calendar days prior to the date Note date.
- Sellers must independently obtain the phone number, and when possible, the address of the wage earner borrower's employer using directory assistance/internet/phone book, etc.
- Tax return refers to:
 - A U.S. federal income tax return or,
 - For Borrowers who reside in Puerto Rico, and who are not required to file U.S. federal income taxes, the equivalent tax filing for the territory (a territory tax return) must be obtained. (Approved Sellers only)
- If the income documents are not received in English, the Seller must provide a complete and accurate translation for each document provided by a reputable vendor or U.S. Embassy.



Salary Income

For employees who are salaried and whose income has been and will likely be consistently earned, the current salary must be used to calculate effective income.

Hourly Income

For employees who are paid hourly and whose hours do not vary, the borrower's current hourly rate must be used to calculate effective income. For employees who are paid hourly and whose hours vary, the average of the income over the previous two years must be used. If an increase in pay rate can be documented, the most recent 12-month average of hours at the current pay rate can be used.

Employed Borrowers

- A current paystub with YTD income of at least one month, and W-2s for prior two years or per TOTAL Scorecard
- A borrower who has returned to work after an extended absence (six months or more) will be allowed to use their current income if:
 - The borrower has been employed in their current job for six months or longer, and
 - A two-year work history, prior to the absence from employment, can be documented (e.g., copies of W-2s or paystubs from previous job required).

Part-Time Employment

The borrower must have worked a part-time job uninterrupted for the past two years and the current position must be reasonably likely to continue. The income must be averaged over the previous two years. If an increase in pay rate can be documented, the most recent 12-month average of hours at the current pay rate can be used.

Overtime, Bonus, or Tip Income

The borrower must have received the income for the past two years and it must be reasonably likely to continue. If the income has been received less than 2 years, but not less than 1 year, the income can be used if it has been consistently earned and is reasonably likely to continue. The lesser of the following must be used to calculate effective income:

- The average income earned over the previous two years, or if less than two years, the length of time the income has been earned, or
- The average income earned over the previous year.

Commission Income

The borrower must have received the income for the past year in the same or similar line of work, and it must be reasonably likely to continue. The lesser of the following must be used to calculate the income:

- The average commission income earned over either the previous two years, or the length of time the income has been earned if less than two years, or
- The average commission income earned over the previous year.

Employed by Family Business

In addition to normal employment verification, a borrower employed by a family-owned business is required to provide evidence that they are not the owner of the business. Acceptable evidence includes:



- Copies of signed personal tax returns, or
- Signed copies of the corporate tax returns showing ownership percentage

Marijuana/Cannabis

- Income derived from employment in the marijuana or cannabis industry is not an eligible source of income, regardless of state law.

Self-Employed Borrowers

- Self-employed borrowers are individuals who have 25% or greater ownership interest in a business.
- Self-employed borrower's business requires verification of the business by a third-party source (e.g., CPA, Federal Tax ID Certificate, and Business License).
- FHA considers income from self-employed borrowers to be stable if the borrower has been self-employed for two or more years. Borrowers with one to two years self-employment history may be eligible subject to the following:
 - Borrower has two years documented previous successful employment in the line of work in which they are self-employed, or it is a related occupation, or
 - A combination of one year of self-employment and previously employed in the same line of work or in a related occupation is also acceptable.

NOTE: <1 year of income from self-employment is not considered effective income.

- Annual earnings that are stable or increasing are acceptable, while businesses that show a significant decline in income over the analysis period are not acceptable, even if the current income and debt ratios meet FHA guidelines
 - Income declining more than 20% per year, require a downgrade to manual underwrite and justified use of income
 - Depreciation and/or depletion may be added back
- Tax transcripts are acceptable in lieu of a signed individual or business tax return
- Corporations, S-Corporation, or partnership are required to provide signed copies of Federal Business income tax returns for the last two years with all applicable tax schedules
- Year-to-date Profit & Loss (P&L) statement and balance sheet are required if more than a calendar quarter has elapsed since date of most recent calendar or fiscal-year end tax return was filed by the borrower
- If the income used to qualify the borrower exceeds the two-year average of tax returns, an audited P&L or signed quarterly tax returns obtained from the IRS are required
- Borrowers who do not use a CPA or Tax Service Professional may supply an unaudited P&L or quarterly tax returns obtained from the IRS
 - An example of a situation of when an unaudited P&L would be acceptable is a borrower who owns a small business where the borrower self-prepares their tax returns, or they engage a CPA/Tax preparer on an annual basis
 - Regardless of who prepares the unaudited P&L, it cannot be used in the income calculation.
- If TOTAL Scorecard returns an Approve/Eligible or Accept/Eligible recommendations, follow TOTAL income documentation requirements.
 - Individual tax returns show increasing self-employment income over the past two years
 - Funds to close are not coming from business accounts, and
 - The proposed FHA insured mortgage is not a cash-out refinance.

Gaps in Employment

For borrowers with an employment gap of six months or more, current income may be considered effective income when all the following requirements are met:



- The borrower has been employed in the current job or same line of work for at least six months as of the date of the case number assignment, and
- The borrower has a two-year employment history prior to the absence from employment using standard or alternative employment verification.

Projected Income from New Job

Projected income from a new job that the borrower is scheduled to start is eligible subject to the following:

- Written verification and documentation of existence and amount of expected income required from employer.
- Borrower must be scheduled to start the new position within 60 days of loan closing.
- Borrower must have sufficient other income or cash reserves to pay the mortgage and all other obligations from loan closing to the start of the new job.
- A letter signed by the borrower(s) is required certifying that a paystub or other acceptable documentation to validate the borrower has started employment will be provided as soon as received by the borrower.

Rental Income

Subject Property – 1-unit with an Accessory Dwelling Unit, 2-4 unit dwellings, or 1-4-unit investment property

Documentation varies depending upon the length of time the Borrower has owned the Property and must meet one of the applicable documentation requirements below:

- Limited or No History of Rental Income
 - Where the borrower does not have a history of rental income from the subject property since the previous tax filing
 - 2-4 units: The rental income must be documented and verified by obtaining an appraisal, Fannie Mae Form 1025/Freddie Mac Form 72, *Small Residential Income Property Appraisal Report*, showing the fair market rent and, if available, the prospective leases.
 - 1-unit: The proposed rental income must be documented and verified by obtaining a Fannie Mae Form 1004/Freddie Mac Form 70, *Uniform Residential Appraisal Report (URAR)*; Fannie Mae Form 1007/Freddie Mac Form 1000, *Single Family Comparable Rent Schedule*; and Fannie Mae Form 216/Freddie Mac Form 998, *Operating Income Statement*, showing fair market rent and, if available, the prospective lease.
 - 1-unit with an Accessory Dwelling Unit: The proposed rental income from the ADU must be documented and verified by obtaining a Fannie Mae Form 1004/Freddie Mac Form 70, *Uniform Residential Appraisal Report (URAR)*, and a Fannie Mae Form 1007/Freddie Mac Form 1000, *Single Family Comparable Rent Schedule*, showing fair market rent and, if available, the prospective leases.
- History of Rental Income
 - Where the borrower has a history of rental income from the subject property since the recent tax filing, the Seller must verify and document the existing rental income by obtaining the borrower's most recent tax returns, including Schedule E from the previous two years.
 - For properties owned less than two years, the Seller must document the date of acquisition by providing a copy of the deed, Closing Disclosure, or other legal document.
- Calculation of effective income.
 - The net subject property rental income must be added to the borrower's gross income to calculate effective income. The borrower's total mortgage payment cannot be reduced by the net subject property rental income.
 - Limited or No History of Rental Income



- 75% of the lesser of:
 - Fair market rent reported on the appraisal, or
 - The rent reflected in the lease or other rental agreement
- 1-unit with an Accessory Dwelling Unit
 - The amount of the Rental Income from an ADU used as Effective Income must not exceed 30% of the total monthly effective income used to qualify the borrower.
 - If the subject property is a 1-unit with an accessory dwelling unit, rental income from the ADU cannot be used as effective income to qualify for a cash-out refinance.
- History of Rental Income
 - Use the average of the rental income shown on Schedule E.
 - Depreciation, mortgage interest, taxes, insurance and any HOA dues shown on Schedule E may be added back to the net income or loss.
 - Positive net Rental Income must be added to the Borrower's Effective Income. Negative net Rental Income must be included as a debt/liability.
 - If the property has been owned for less than two years, Seller must:
 - Annualize the rental income for the length of time the property has been owned, and
 - Document the date of acquisition by providing a copy of the deed, Closing Disclosure, or similar legal document.

Boarder Income

Boarder refers to an individual renting space inside the applicant's dwelling unit. A renter of an ADU is not a boarder.

Seller may consider Rental Income from existing Boarders if documented in accordance with the following requirements.

Rental Income from Boarders may be considered Effective Income if the occupying Borrower has a 12-month history of receiving income from Boarders and is currently receiving Boarder income.

Rental Income from Boarders is permitted whether the Borrower currently rents or owns the Dwelling Unit.

- Required Documentation
 - Seller must verify and document the existing Rental Income from Boarders by obtaining the following:
 - evidence of rental history over the previous 12 months;
 - evidence of Rental Income received from Boarders for at least nine of the most recent 12 months in the form of:
 - the Borrower's Tax Returns; or
 - bank statements, canceled checks, or deposit slips, showing rental payments received;
 - evidence that the Boarder's address is the same as the Borrower's address; and
 - a copy of the executed written agreement documenting the boarding terms and the Boarder's intent to continue boarding with the Borrower.



- Calculation of Effective Income
 - Seller must calculate Rental Income from Boarders by using the lesser of:
 - the 12-month average; or
 - the current rent as documented in the written agreement.

Where Rental Income from Boarders has been documented for at least nine of the last 12 months, the Mortgagee must average the Rental Income over a 12-month period.

The amount of the Rental Income from Boarders used as Effective Income must not exceed 30% of the total monthly Effective Income used to qualify the Borrower.

Other Rental Income

- Rental income from other real estate holdings may be considered effective income.
- Rental income being derived from the property being vacated by the borrower, the borrower must be relocating to an area more than 100 miles from current principal residence.
- A lease agreement must be obtained of at least one year's duration after the mortgage is closed and evidence of the payment of the security deposit or first month's rent.

See [HUD Handbook 4000.1](#) for complete rental income requirements.

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

HUD Real Estate Owned

*This section is Specific to the **HUD Real Estate Owned** including the **Good Neighbor Next Door** and **\$100 Down Sales** programs. For any topic not covered in this section, see [HUD Handbook 4000.1](#).*

A HUD Real Estate Owned (REO) Property refers to a 1-4 units residential property acquired by HUD as a result of a foreclosure or other means of acquisition on an FHA insured mortgage. HUD REO properties are eligible for purchase under:

- Section 203(b)
 - Property meets HUD's Minimum Property Requirements (MPR) in its as-in condition.
- Section 203(b) with Repair Escrow
 - °Ineligible with **Good Neighbor Next Door** and **\$100 Down** transactions.
- Section 203(k)
 - Property does not qualify for Section 203(b) or Section 203(b) with Repair Escrow and is eligible for FHA-insured financing only under Section 203(k).

Occupancy

The borrower must occupy the property as his/her primary residence and obtain FHA-insured financing under Section 203(b) or Section 203(k). °Investment properties are not eligible for purchase by Planet.

Special HUD REO Sales Incentives

Good Neighborhood Next Door (GNND)



The GNND sales incentive permits an owner-occupant borrower who is a full-time Law Enforcement Officer, Teacher, Firefighter or Emergency Medical-technicians who meet HUD's requirements to purchase a specifically designated HUD REO property, located in a HUD-designated revitalization area with FHA-insured financing at a 50% discount from the purchase price.

When using FHA-insured financing, the borrower may purchase the HUD REO property with a minimum down payment of \$100. In addition, the borrower may include in the mortgage amount customary and reasonable closing costs.

Eligible Borrower(s)

At the time the bid is submitted and at the time of closing, the borrower must be employed full-time as a Law Enforcement Officer, Teacher or Firefighter/EMT.

- Law Enforcement Officer
 - Must be employed by a law enforcement agency of the federal government, a state, a unit of local government, or an Indian tribal government, and
 - Sworn to uphold, and make arrests for violations of federal, state, tribal, county, township, or municipal laws.
- Teacher
 - Must be an employee of a state-accredited public or private school providing direct service to students in grades pre-K through 12.
 - Must serve in the area where the property is located.
- Fire Fighter/Emergency Medical Technician
 - Must be employed by a fire department or emergency medical services responder unit of the federal government, a state, unit of general local government, or an Indian tribal government, and
 - Must serve the area where the property is located

All buyers must certify to the good faith intention to continue employment as a law enforcement officer, teacher or firefighter/EMT for at least one year after the date of closing.

\$100 Down

The \$100 Down sales incentive permits a Borrower to purchase a HUD REO property FHA-insured financing with a minimum down payment of \$100.

Sales Contract

Sellers must obtain form HUD-9548, *Sales Contract Property Disposition Program*, and any applicable addenda, which will establish the purchase price, price discount, and eligibility for GNND, eligibility for \$100 Down and meet the requirements for Sales Contract.

Line 4 of the Sales Contract must specify the program under which the borrower is applying the down payment and the mortgage amount.

The Seller must determine the eligibility of the property, the eligibility of the borrower and the specific insured HUD REO Purchase Program that must be used to finance the purchase. When the borrower has been approved for the \$100 Down sales incentive, the amount of the cash down payment on Line 4 will be \$100.

Line 5 will specify the amount of closing costs that HUD will pay for on behalf of the borrower. Contributions by HUD toward the borrower's closing costs are not defined as Interested Party Contributions or Inducements to Purchase.



Identity of Interest

Defined as the purchase of a primary residence between parties with a family or business relationship/business affiliates.

- The maximum LTV for an identity of interest transaction is 85%
- For the purpose of Identity of Interest transactions, family member is defined as follows, regardless of actual or perceived sexual orientation, gender, identity, or legal marital status:
 - Child (son/stepson, daughter/stepdaughter)
 - Parent or grandparent (stepparent/grandparent or foster parent/grandparent)
 - Spouse
 - Legally adopted son or daughter, including a child who is placed with the borrower by an authorized agency for legal adoption
 - Foster child
 - Brother/stepbrother
 - Sister/stepsister
 - Aunt or Uncle
- If the property being sold between family members is the seller's investment property, the maximum mortgage is the lesser of:
 - 85% of the appraised value, or
 - The appropriate LTV factor applied to the sales prices, plus or minus required adjustments.

See HUD Handbook 4000.1 for a complete list of acceptable family members.

Exceptions to the maximum LTV for Identity of Interest Transactions

FHA will allow financing above 85% in specific circumstances as detailed below:

- The borrower purchases another family member's principal residence as their principal residence.
- A current tenant, including a family member, who has been a tenant occupying the property for a minimum of 6 months preceding the purchase contract. Evidence, such as a lease or other written evidence, is required to verify occupancy.
- An employee of a builder purchases one of the builder's new homes or models as a principal residence
- A Corporation:
 - Transfers an employee to another location
 - Purchases the employee's home
 - Sell the home to another employee

Impound Account

Required on all loans — no exceptions.

Inspections (Well/Septic/Termite)

FHA requires property be connected to public water or sewer, if feasible. FHA considers it feasible if the cost to connect to the public utilities is 3% or less of the properties appraised value. If it is not feasible the appraiser must confirm that the private well/ septic meets FHA requirements detailed in the HUD guidelines.

- Septic inspections are required when:
 - Appraiser indicates there is evidence the septic system may be failing, or
 - Property is new construction, or
 - Mandated by state or local jurisdiction, or
 - Customary to the area



- Termite inspections are required when the purchase contract requires one, or the appraiser indicates there is evidence of active infestation.
- Well inspections are required when state or local regulations require, or if there is indication the well may be contaminated.
 - A well water test is required for, but not limited to, Properties:
 - that are newly constructed;
 - where an Appraiser has reported deficiencies with a well or the well water;
 - where water is reported to be unsafe or known to be unsafe; or
 - located in close proximity to dumps, landfills, industrial sites, farms (pesticides) or other sites that could contain hazardous wastes.
 - where the distance between the well and septic system is less than 100 feet.
 - If the subject Property has a water source that includes a mechanical chlorinator or is served by springs, lakes, rivers, sand-point wells or artesian wells, the property is not eligible for FHA mortgage insurance.

Loan Amount

°Minimum \$40,000 loan amount.

Manufactured Homes

Eligible Properties

- The manufactured home must be:
 - 1-unit, multi-wide dwelling
 - Built and remain on a permanent chassis
 - Classified as real estate
 - Designed to be used as a dwelling with a permanent foundation built to FHA criteria
 - Existing or New construction
 - HUD REOs
 - PUDs
 - The home must not have been installed or previously occupied at any other site or location.
- Minimum 600 square feet of gross living area
- Properties located in a 100-year Flood Zone must evidence a FEMA National Flood Insurance Program (NFIP) Elevation Certificate (FEMA Form 086-0-33), that documents that the lowest floor (including the basement) of the residential building and all related improvements/equipment essential to the value of the Property, is built at or above the 100-year flood elevation in compliance with the NFIP criteria.
- File must evidence that the flood elevation certificate is prepared by a licensed engineer or surveyor and completed based on finished construction.
- The home must have been constructed on or after June 15, 1976 in compliance with Federal Manufactured Home Construction and Safety Standards (MHCSS). Manufactured homes produced prior to the above date are ineligible.
- Running Gear and towing hitch must be removed
- The perimeter enclosure must be properly enclosed by a continuous wall adequately secured to the perimeter of the unit. If the perimeter enclosure is non-load-bearing skirting comprised of lightweight material, the entire surface area of the skirting must be permanently attached to backing made of concrete, masonry, treated wood or a product with similar strength and durability.
- Utility hook-ups (electrical, gas, water, sewage, etc.) for manufactured homes are subject to HUDs standard guidelines regarding utilities.
- Fixed Rate and ARM



Manufactured Homes Titled as a Condo

- Must be part of a condo project, provided the project meets all applicable FHA requirements.
- Processing subject property as a site condo is not allowed.
- Condo projects must:
 - Be processed under the HRAP option, and
 - Comply with the general FHA Condominium Project Approval requirements.
- Form [HUD-9992](#) must be used for submission to FHA.

Ineligible Properties

- 2-4 units
- °Leaseholds
- °Singlewide

Documentation

- A HUD certification label is required. If the label is missing a Label Verification Letter from the [Institute for Building Technology and Safety \(IBTS\)](#) is required.
- A foundation certification must be obtained from a licensed professional engineer or architect, who is licensed/registered in the state where the manufactured home is located, certifying compliance with the Permanent Foundation Guide for Manufactured Housing (PFGMH 4930.3G). A foundation certification from a previous FHA insured mortgage is acceptable.

Appraisal Requirements

- A minimum of two manufactured home comparable sales, which are permanently affixed to a permanent foundation, in the comparable sales grid of the appraisal is required
- If any additions or alteration have been made to the home, they must be addressed in the foundation certification. If additions or alterations are not addressed the following is required:
 - An inspection by a state agency that inspects manufactured homes for compliance, or
 - Certification of the structural integrity from a licensed structural engineer if the state does not employ inspectors
- Information on the HUD Data Plate, which is affixed to the interior of the property, must be included in the appraisal:
 - Manufacturer name
 - Serial number
 - Model number
 - Date of manufacture, and
 - Wind, roof load, and thermal zone maps

NOTE: If the Data Plate is missing or the appraiser is unable to locate it, the appraiser must indicate that on the appraisal report; the appraiser is not required to obtain this information from another source, the Seller must obtain the information from IBTS.

- Any deficiencies must be disclosed on the appraisal and additional inspections completed as applicable.

Special Flood Hazard Areas (SFHAs)

New Construction in SFHAs

If any portion of the dwelling and related structures or equipment essential to the property value is located in an Special Flood Hazard Area (SFHA), the property is not eligible for FHA mortgage insurance, unless the seller:



- Obtains a FEMA-issued final LOMA or LOMR that removes the property from the SFHA; or
- Obtains a FEMA NFIP Elevation Certificate ([FEMA Form FF-206-FY22-152](#))
 - The Elevation Certificate must document that the lowest floor of the residential building, including the basement, and all related structures or equipment essential to the property value are built at or above the 100-year flood elevation in compliance with the NFIP criteria; and
- Ensures the borrower obtains flood insurance.

The Mortgagee must include the LOMA, LOMR, or FEMA NFIP Elevation Certificate (FEMA Form FF-206-FY-22-152) with the case when it is submitted for endorsement.

- The Mortgagee must ensure that Flood Insurance is obtained when a FEMA NFIP Elevation Certificate (FEMA Form FF-206-FY-22-152) documents that the property remains within a SFHA.

Existing Construction in SFHAs

When any portion of the residential improvements is determined to be located within an SFHA, flood insurance must be obtained.

Condominiums in SFHAs

The seller must ensure the Condominium Association obtains flood insurance on buildings located within the SFHA. The flood insurance coverage must protect the interest of the borrowers who hold title to an individual unit, as well as the common areas of the condominium project.

Manufactured Homes in SFHAs

The finished grade elevation beneath the Manufactured Home must be at or above the 100-year return frequency flood elevation. If any portion of the dwelling and related structures or equipment essential to property value for both new and existing Manufactured Homes is located in an SFHA, the property is not eligible for FHA mortgage insurance, unless, the seller:

- Obtains a FEMA-issued final LOMA or LOMR that removes the property from the SFHA; or
- Obtains a FEMA NFIP Elevation Certificate ([FEMA Form FF-206-FY22-152](#))
 - The Elevation Certificate must show the finished grade beneath the Manufactured Home is at or above the 100-year frequency flood elevation; and
- Ensures the borrower obtains flood insurance.

See [HUD Handbook 4000.1](#) for topics not covered in the section.

Mortgage/Rental History

Mortgage history must be verified for the previous 12 months if it does not appear on the credit report.

- Rental payment history may be verified as follows per TOTAL Scorecard
 - Copies of canceled rent checks
 - A direct verification of rent (VOR) received directly from the landlord (for landlords with no Identity of Interest with the Borrower), or
 - Copies of money orders
- Mortgage must be current for the month closing.
- Mortgage pay history < 6 months, requires downgrade to manual underwrite.
- Cash-out transactions require the Borrower to have made all payments for all Mortgages within the month due for the previous 12 months or since the Borrower obtained the Mortgages, whichever is less.



- 0x30 in the previous 12 months on loans downgraded to a manual underwrite.
- 1x30 in the previous 12 months may be eligible on purchase or rate/term refinance transactions for extenuating circumstances at underwriter discretion.

Multiple FHA Loans

- Generally, a borrower is only allowed to have one FHA loan and is not eligible to acquire another FHA mortgage until they have paid off the mortgage or terminated ownership.
- More than one FHA loan is allowed under very specific circumstances as detailed below.
 - Relocations
 - Borrower is relocating and establishing residency more than 100 miles from his/her current primary residence.
 - Relocating for employment related reasons
 - Increase in Family Size (Dependents)
 - Borrower is required to provide evidence of the increase in dependents and the current properties failure to no longer meet the family's needs, and
 - The LTV ratio of the current property must be $\leq 75\%$ LTV, based on the outstanding mortgage balance and an appraisal. If not, the borrower must pay the current loan down to 75% LTV or less.
 - Vacating a Jointly Owned Property
 - The residence will remain occupied by a co-borrower
 - Non-Occupying Co-Borrower
 - Borrower who is currently a non-occupant co-borrower on another FHA mortgage may qualify for a new FHA loan on their own primary residence

New Construction Documentation Requirements

Maximum financing limited to 96.5% is allowed.

- The following property types are eligible for new construction financing:
 - Site built housing (1-unit, 1-unit with an ADU, or 2- to 4-units)
 - Condominium units in approved project or legal phases
 - Manufactured Home (1-unit). LTV is limited to 90% unless the property meets HUD Pre-Approval Requirements as follows:
 - The Property was appraised and the Mortgagee issued form [HUD-92800.5B](#), *Conditional Commitment Direct Endorsement Statement of Appraised Value*, before construction started, **AND**
 - A building permit or its equivalent has been issued by a local jurisdiction (not applicable to Manufactured Homes), **OR**
 - The Mortgagee issued an Early Start Letter

The following documentation is required for new construction:

- Builders Certification of Plans, Specifications and Site (HUD-92541)
- Wood Infestation Report, unless the property is in an area of no-to-slight infestation as indicated on HUD's 'Termite Treatment Exception Areas' list
 - *Subterranean Termite Protection Builder's Guarantee* (HUD-NPMA-99-A)
 - *New Construction Subterranean Termite Service Record* (HUD-NPMA-99-B) when the soil is treated with a termiticide



- Well water analysis and/or Septic report from local Health Authority where required by local jurisdictional authority
- Inspections required:
 - LTV $\leq$ 90%: Final inspection or appraisal showing the property is 100% complete
 - Maximum financing: inspections required per FHA guidelines
- Warranty of Completion of Construction (HUD 92544) required
- Under Construction:
 - Building permit and Certificate of Occupancy (or equivalent); or
 - A 10-year warranty and final inspection issued by the local authority with jurisdiction over the Property or an ICC Certified Residential Combination Inspector (RCI) or Combination Inspector (CI)
- Existing for Less than One Year (100% Complete)
 - Copies of the building permit and CO (or equivalent); or
 - A 10-year warranty and final inspection issued by the local authority with jurisdiction over the Property or an ICC Certified Residential Combination Inspector (RCI) or Combination Inspector (CI).; or
 - An appraisal evidencing Property is 100 percent complete

Occupancy

- Owner-occupied primary residence
- HUD-approved second homes

Power of Attorney

The following requirements apply to all transactions when a Power of Attorney (POA) is utilized:

- Use of the POA must meet all applicable state, federal, and agency guidelines.
- The attorney-in-fact must be an eligible person (the following are examples of ineligible persons: real estate agent, seller or a person related to the seller, any employee of the lender, any employee of the title company, title agent or settlement agent, or any other party with a financial interest in the transaction (other than a relative of the borrower)).
- The POA must be signed and notarized.
- A trustee of a trust cannot sign using a POA.

Prepayment Penalty

Not permitted.

Products

- Fixed Rate: 15-, 20-, 25-, and 30-year
- ARM: 3/1 and 5/1 1-Year CMT index
 - Caps: 1/1/5
 - Margin/Floor: 2.00
 - Qualified at Note rate

See ["Section 203\(h\) - FHA Disaster Relief Loan" on page 345](#) for restrictions.

Property Eligibility

Eligible Properties

- Single-family residences
- 2-4 units



- PUDs (attached/detached). PUDs do not require a questionnaire/warranty form.
- Condominiums. Must be in an FHA approved project (HRAP approval **only**) and the approval must be valid when case number is issued.
- Leaseholds
- Manufactured Houses classified as real property
- Modular/prefabricated properties 1-unit only. Factory built but not built on a permanent chassis; built on-site similar to stick-built homes; permanently affixed to the foundation; must conform to local building codes. Property is legally classified as real property and assumes characteristics of stick-built such as permanent connections to water, electrical and waste disposal systems.
- Mixed use subject to:
 - Property must conform to residential nature of the neighborhood, and
 - Commercial use cannot exceed 49% of the gross living area
- Rural properties. Property must meet HUD guidelines and be accessible from a publicly maintained road and have adequate sewage, water, and utilities.
- Properties owned free and clear properties (no existing lien), **one** of the following:
 - Copy of the tax transcript indicating no mortgage interest claimed.
 - Copy of the hazard insurance declaration page with no mortgagee listed.
 - Copy of the MERS report for the property showing no mortgage listed.
 - Copy of the Data Verify report showing no mortgage listed.

Ineligible Properties

- Builder bailout properties
- Commercial Property
- Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)
- Farms, orchards, ranches
- Income producing properties (adult care facilities, bed & breakfast, boarding house, etc.)
- Kiddie condos
- Manufactured homes on leased land (Leasehold)
- Manufactured homes that include an accessory unit
- Manufactured/mobile homes (any property that has wheels, axles, towing hitch, etc.)
- Multi-family dwellings > 4 units
- New Construction of Manufactured Houses/Mobile homes (any property that had/has wheels, axles, towing hitch, etc.)
- Non-FHA approved condominium projects, including DELRAP approvals
- Cooperative projects
- Properties located in the Hawaiian Islands in Lava zones on one or two Properties on tribal land
- Tax-sheltered syndications
- Timeshares
- Unimproved land
- Unique properties (geodesic domes, earth berm homes, log homes, etc.)

Condominiums

Condominium projects approved under HUDs HRAP process are permitted. Properties must also meet the Site Condo requirements. See [HUD Handbook 4000.1](#) for complete details. Project Approval is not required on the following transaction types:

- Real Estate Owned (REO) transactions
 - Single Unit Approval not required
 - If the Unit is in a Condominium Project that has an FHA Condo ID, file must evidence the FHA Condo ID when the FHA case number is requested.
- Streamline Refinances



- Condo Project Approval or Single unit approval not required
- If the Unit is in a Condominium Project that has an FHA Condo ID, file must evidence the FHA Condo ID when the FHA case number is requested.

The file must evidence the following for individual units located in a Project or legal phase:

- Confirmation of Project Approval status, and
- Confirmation that the project is on the FHA Condo Project approval list at the time of case number assignment
- The FHA Condo ID must be entered into the Federal Housing Administration Connection (FHAC) Case assignment screen.

Occupancy

- 35% of total number of units required and documented.
- No more that 15% of occupied units in arrears for no more than 60 days. Late fees or special assessments not included. Arrears documentation must be evident in the file.
- Multiple units allowed for single owner or related party.
 - ≥ 20 units allowed per owner.
 - Ownership concentration $\leq 10\%$.
 - Multiple units are not allowed when the Condo Project has less than 20 units

New Construction

Permitted and must comply with FHA's Project Approval process.

NOTE: See [HUD Handbook 4000.1](#) for complete details.

Condominium Project Approval

- Single Unit Approval
 - Must not be on the FHA approved Condo Project list at time of case number assignment.
 - Total Scorecard of "Accept" or 90% LTV required.
 - File must evidence certificate of occupancy (COE)
 - issued at least 1 year ago, or
 - property has been occupied.
 - At least 5 units required.
 - Manufactured Homes not permitted
 - Project is not located in an Approved Condo Project
 - Project is not located in an unapproved phase of a Condo Project with an approved legal phase eligible properties
- Site Condominiums
 - A condominium project that consists entirely of single family detached dwellings that have no shared garages or any other attached building, OR
 - A condominium project that:
 - Consists of a single family detached or horizontally attached (townhouse) dwellings where the unit consists of the dwelling land;
 - Does not contain any manufactured home units; and
 - Is encumbered by a declaration of condominium covenants or a condominium form of ownership.



- Site condominiums do not require Condominium Project Approval or Single-Unit approval.
- The unit owner must be responsible for all insurance and maintenance costs, excluding landscaping,
- The appraiser must report the appraisal on Fannie Mae Form 1073/ Freddie Mac Form 465, Individual Condominium Unit Appraisal Report.
- Owner Occupancy must $\geq 50\%$ of the total number of units.
- Insurance concentration must be $> 10\%$ of the total units in a Condo Project, otherwise the issuance of a new case number may be suspended.
- Recorded documents must be in compliance with all applicable state and local laws. recorded documents.
- Recorded CC&Rs must be evidenced in the file.

NOTE: See [HUD Handbook 4000.1](#) for complete details.

Property Flips

A Property that is being resold 90 days or fewer following the seller's acquisition is not eligible for an FHA insured mortgage. Property flipping refers to the purchase and subsequent resale of a property within 91-180 days. Property eligibility is determined by the time that has elapsed between the seller's date of acquisition of the property and the resale date. Planet defines these terms as follows:

- Seller Acquisition Date: Defined as the date the deed is recorded
- Resale Date: Defined as the date all parties have executed the sales contract for the property

Appraisal Requirements for Property Flipping

- Two appraisals are required if the sales price has increased greater than 100% of the acquisition cost. At underwriter discretion, a second appraisal may be required when the increase is $< 100\%$. The borrower cannot be charged for the second appraisal.
 - If the second appraisal supports a value of the property that is more than 5% lower than the value of the first appraisal, the lower value must be used as the property value in determining the adjusted value.

Property Flip Exemptions

The following sellers are exempt from FHA's property flipping rules:

- HUD, VA, FNMA, FHLMC and other Government Agencies
- Banks and/or mortgage companies
- Properties acquired through inheritance
- Relocation firms
- Properties acquired by non-profits under agreements with state/local government agencies
- Builders selling a new built (i.e., not previously occupied) home.
- Properties within PDMDA's, only upon issuance of notice of an exemption from HUD.

Section 203(h) - FHA Disaster Relief Loan

NOTE: This section provides mortgages to victims of a Presidentially Declared Major Disaster Area (PDMDA) for the purchase or reconstruction of a single-family property.



Mortgages to be insured under Section 203(h) must be processed and underwritten in accordance with the regulations and requirements applicable to the 203(b) program.

The borrower is not required to make the Minimum Required Investment (MRI).

LTV

Maximum LTV 100% of Adjusted Value

Refinance

Refinance transactions used to reconstruct or repair a damaged residence must be underwritten under the FHA 203(k) program. FHA 203(h) credit and documentation flexibilities may be applied to the FHA 203(k) transactions. The residence only needs to have been completed and ready for occupancy at the time of the disaster. The 203(k) LTV applies.

AUS

DU Approve/Eligible or LPA Accept/Eligible. Manual underwriting permitted.

Borrower Eligibility

- FHA case number must have been assigned within one year of the PDMDA declaration, unless an additional period of eligibility is provided.
- Primary residence only
- Minimum credit score 500
- Previous Residence documentation:
 - Borrower's previous residence, owned or rented, was in the disaster area
 - Property was destroyed or damaged to such an extent that reconstruction or replacement is necessary, and
 - Proof of damage to the previous house must accompany the mortgage application.
- For purchase transactions, the property does not have to be in the area where the previous house was located and where the disaster occurred.

Underwriting - Special Consideration

Seller is required to make every effort to obtain traditional documentation regarding employment, assets and credit and must document all attempts.

Where traditional documentation is unavailable, the underwriter may use alternative documentation outlined below. Where specific requirements are not provided, the Seller may use alternative documentation that is reasonable and prudent to rely upon in underwriting the loan. Seller should be as flexible as prudent decision-making permits.

Assets

Statements downloaded from borrower's financial institution website are acceptable to evidence sufficient assets to close the mortgage if traditional asset documentation is not available.

Credit

Borrower with derogatory credit may be considered a satisfactory credit risk if:



- The credit report indicates satisfactory credit prior to a disaster, and
- Any derogatory credit subsequent to the date of the disaster is related to the effects of the disaster.

Income

W-2s and tax returns will be accepted from the IRS to confirm prior employment/income when:

- Income/employment records have been destroyed by a disaster, and
- Borrower is in the same and/or similar field of work.

Income from short-term employment obtained after the disaster is acceptable and may be included as qualifying income.

Liabilities

The mortgage payment of a disaster declared property may be excluded from liability when the borrower is purchasing a new home. To exclude mortgage payment(s), the Seller must:

- Ensure the borrower is working with servicing mortgagee to address mortgage obligations, and
- Insurance proceeds from the damaged property must be applied to the mortgage of the damaged house.

Payment History

Seller may disregard any late payments on a previous obligation on PDMDA properties when:

- Late payments are a result of destroyed or damaged property, and
- Borrower is not three or more month's delinquent on mortgage at time of the disaster.

The Seller may justify approval if the borrower was 3 or more months delinquent if extenuating circumstances are documented in the file.

Eligible Property

- Single Family Residence
- FHA approved Condo

Seller Contribution (Interested Party)

- Seller and other interested party contributions are limited to 6% of the sales price
- Certain expenses, paid by the seller and other interested parties on behalf of the borrower, are considered "inducements to purchase". A dollar-for-dollar reduction to the lesser of the sales price or appraised value to the property is required prior to applying the appropriate LTV factor. These expenses include:
 - Contributions exceeding 6% of the sales price
 - Contributions exceeding the actual costs of prepaid expenses
 - Discount points and other financing concessions
 - Decorating allowances
 - Moving costs
 - Repair allowances, and
 - Other costs as determined by the applicable Homeownership Center (HOC).
- FHA also considers the payment of consumer debt by third parties as "inducement to purchase". When someone other than a family member has paid off debts or other expenses on behalf of the borrower:
 - The funds must be treated as an inducement to purchase, and
 - There must be a dollar-for-dollar reduction to the sales price when calculating the maximum insurable mortgage.



NOTE: The dollar-for-dollar reduction to the sales price also applies to gift funds not meeting the requirements that the gift be for down payment assistance and provided by an acceptable source.

Subordinate Financing/Secondary Financing

- Maximum CLTV is unlimited when subordinate Financing is provided by the following:
 - Government Entities
 - HUD Approved Nonprofits
 - HOPE Grantees
- Family Members; CLTV limited to 100%
- Private Individuals and Other Organizations; CLTV limited to applicable LTV limit for the transaction.

See [HUD Handbook 4000.1](#) and search Secondary Financing.

Temporary Buydown

Eligible Buydown Types

- **3-2-1 Buydown**
 - **Year 1:** Payment calculated at 3% below the note rate.
 - **Year 2:** Payment calculated at 2% below the note rate.
 - **Year 3:** Payment calculated at 1% below the note rate.
 - **Years 4 through maturity:** Payment calculated at note rate.
- **2-1 Buydown**
 - **Year 1:** Payment calculated at 2% below the note rate.
 - **Year 2:** Payment calculated at 1% below the note rate.
 - **Years 3 through maturity:** Payment calculated at note rate.
- **1-0 Buydown**
 - **Year 1:** Payment calculated at 1% below the note rate.
 - **Years 2 through maturity:** Payment calculated at note rate.

Ineligible Buydown Types

- ◦ **1-1 Buydown**
- ◦ **1-1-1 Buydown**

Eligible Source of Buydown Funds

- Borrower
- Builder
- Correspondent Lender
- Other Interested Parties to the Transaction
- Seller

NOTE: Subject to IPC limits — total interested party contributions, including buydowns, must not exceed 6% of the sales price.

Ineligible Source of Buydown Funds

- Excess IPCs: Contributions exceeding program limits
- Non-compliant lender buydowns
- Premium pricing: Using the credit from selecting a higher rate
- Unverifiable funds: Sources that cannot be documented to program standards



Eligible Transactions

- ° **Conforming Loan Limits**
- Purchase

Ineligible Transactions / Attributes

- ARMs
- Cash-Out Refinance
- FHA 203(h)
- ° **FHA 203(k) (Standard & Limited)**
- FHA Streamline
- FHA Simple Refinance
- ° **High Balance**
- Investment Properties
- Manufactured Homes
- Second Homes
- Texas 50(a)(6)

Amortization Type

- Fixed-Rate Only

Loan Term

- ° **30-year term**

Occupancy Requirements

- Primary Residence

Eligible Property Types

- 1-4 Unit (Owner-Occupied)
- Attached
- Detached
- PUD
- SFR
- Warrantable Condo

Automated Underwriting (AUS) Requirements

- Loan must be submitted through AUS and receive an "Approve/Eligible" recommendation.
- ° **Manual Underwriting is not permitted.**

Qualifying Rate

- **Borrowers must qualify at the Note Rate**
 - The borrower must be qualified using monthly payments calculated at the note rate.
 - If reserves are required, the reserves must be calculated using the note rate.

Additional Requirements

- The temporary buydown agreement must be fully executed at funding and retained in the loan file.
- An escrow or custodial account must be established to hold buydown funds.
- The borrower must sign an agreement confirming:
 - Funds will be automatically applied each month to reduce their principal and interest payment, and



- They are still responsible for the full monthly mortgage payment if the buydown funds are insufficient or unavailable.
- The note and security instruments must reflect the actual interest rate and payment; no references to the temporary buydown are allowed.
- The loan file must include:
 - A copy of the executed buydown agreement.
 - Documentation of the total cost of the buydown and funding source (e.g., lender, seller, or third party).
- Unapplied buydown funds will be netted from the loan purchase price.

Transaction Types

Eligible Transactions

- 1031 Exchange subject to HUD guidelines
- CEMA (3172). New York CEMAs allowed on refinance transactions. CEMA not eligible on purchase transactions. Sellers must include the recorded original CEMA, including Exhibits A-D and all mortgage assignments
- Cash-out
- Land contracts subject to HUD guidelines
- Limited cash-out refinance (rate/term)
- Purchase. The assignment of a purchase contract is not allowed
- Simple Refinance
- Property flips, transactions involving a property being re-sold > 90 days of previous acquisition. See ["Property Flips" on page 345](#) for exceptions.
- HUD REO purchases including GNND and \$100 down transactions.

Ineligible Transactions

- Community Land Trusts
- FHA Energy Efficient Mortgage (EEM)
- FHA Secure
- FHA Section 8 loans
- Hope for Homeowners
- Non- HUD approved secondary residences and investment transactions
- Texas 50(a)(6)

Cash-Out Refinance

- For mortgages underwritten using TOTAL Scorecard or manually underwritten, if the subject property is a 1-unit with an accessory dwelling unit, rental income from the ADU cannot be used as effective income to qualify for a cash-out refinance.
- The mortgage amount must be used to pay the current unpaid principal balance of the existing 1st lien and may also be used to pay closing costs, points, prepaids, subordinate mortgage liens and provide additional cash to the borrower.
- Maximum LTV/CLTV is 80%:
 - If owned < 12 months, the lesser of the original sales price or the appraised value
 - If owned > 12 months, use the current appraised value
- No seasoning requirement on the subordinate lien(s).
- Mortgage payment history:
 - For all mortgages on all properties with less than six months of mortgage payment history, the applicant must have made all payments within the month due.
 - For all mortgages on all properties with greater than six months history, the applicant must have made all mortgage payments within the month due for the six months prior to case number



assignment and have no more than one 30-day late payment for the previous six months for all mortgages.

- Properties owned free and clear are eligible for cash-out.
- Co-borrowers and co-signers cannot be added to the Note to meet underwriting guidelines.
- Must have been owned and occupied by the borrower as their primary residence 12 months prior to the case assignment date evidenced by employment documentation or utility bills. If the property is a manufactured home, it must have been permanently installed on a site for more than 12 months prior to the case number assignment.

Rate/Term (No Cash-Out Refinance)

- Permitted on owner-occupied primary residence and HUD-approved secondary residences.
- Mortgage payment history:
 - If the mortgage on the subject property is not reported on the borrower's credit report or the subject property is not in the name of the borrower, the Seller must obtain verification of the mortgage, bank statement, or other documentation to evidence that all payments have been made by the borrower in the month due for the previous 12 months.
 - For all mortgages on all properties with less than six months of mortgage payment history, the applicant must have made all payments within the month due.
 - For all mortgages on all properties with greater than six months history, the applicant must have made all mortgage payments within the month due for the six months prior to case number assignment and have no more than one 30-day late payment for the previous six months for all mortgages.
- Must have been owned and occupied by the borrower as their primary residence 12 months prior to the case assignment date evidenced by employment documentation or utility bills.
- Maximum LTV/CLTV for a Rate and Term refinance, is:
 - 97.75% for Principal Residences when:
 - Owner-occupied for the previous 12 months, at case number assignment.
 - Calculation based on current appraised value.
 - Owner-occupied since acquisition if acquired within 12 months, at case number assignment.
 - Calculation based on the lesser of original purchase price or appraised value.
 - 85% for a Borrower who has occupied the subject Property as their Principal Residence:
 - Owner-occupied for less than 12 months, prior to the case number assignment.
 - Calculation based on the lower of the original purchase price or original appraised value
 - If acquired more than 12 months but not owner-occupied for that entire period of ownership, prior to the case number assignment.
 - Calculation based on current appraised value.
 - 85% LTV for all HUD approved Secondary Residences.

Simple Refinance

Existing FHA-insured Mortgage in which all proceeds are used to pay the existing FHA-insured mortgage lien on the subject property and costs associated with the transaction.



- Permitted on owner-occupied primary residence and HUD-approved secondary residences.
- Evidence that borrower currently occupies the subject property must be proven with employment documentation and/or utility bills.
- Secondary residence must be approved by [Jurisdictional HOC](#).
- Mortgage payment history:
 - If the mortgage on the subject property is not reported on the borrower's credit report or the subject property is not in the name of the borrower, the Seller must obtain verification of the mortgage, bank statement, or other documentation to evidence that all payments have been made by the borrower in the month due for the previous 12 months.
 - For all mortgages on all properties with less than six months of mortgage payment history, the applicant must have made all payments within the month due.
 - For all mortgages on all properties with greater than six months history, the applicant must have made all mortgage payments within the month due for the six months prior to case number assignment and have no more than one 30-day late payment for the previous six months for all mortgages.
- Maximum LTV/CLTV
 - 97.75% max LTV on owner occupied
 - 85% for HUD-Approved Secondary Residence.



FHA Streamline Conforming and High Balance Program Grid

FIXED RATE & ARM				
FHA Streamline Refinance				
Transaction Type	Units	LTV/CLTV	Loan Amount ¹	Credit Score
Streamline-Owner Occupied	1-4	Per FHA	FHA Limit	° 580 – Credit Qualifying ° 600 – Non-Credit Qualifying
Streamline-Second Home ²	1-4			
Streamline-Investment Property ³	1			

Reference:

1. Refer to [FHA Mortgage Limits](#) by county.
2. HUD approved Secondary Residence.
3. Investment transactions are eligible with single family residence only.

Complete HUD guidelines can be found at [HUD Handbook 4000.1](#).

Mortgage Insurance Premium Factors

MORTGAGE TERM > 15 YEARS				
Loan Amount	LTV ¹	Annual MIP	Upfront MIP	Annual MIP Assessment Period
≤\$625,500	≤90%	0.50%	1.75	11 years
	>90% ≤95%	0.50%		Life of loan
	>95%	0.55%		Life of loan
>\$625,500	≤90%	0.70%		11 years
	>90% ≤95%	0.70%		Life of loan
	>95%	0.75%		Life of loan

MORTGAGE TERM < 15 YEARS				
Loan Amount	LTV	Annual MIP	Upfront MIP	Annual MIP Assessment Period
≤\$625,500	≤90%	0.15%	1.75	11 years
	>90%	0.40%		Life of loan
>\$625,500	≤78%	0.15%		11 years
	>78% ≥90%	0.40%		11 years
	>78% ≤90%	0.65%		Life of Loan

**Reference:**

1. For the purpose of calculating the MIP, FHA uses the original value of the Property to calculate the LTV.

For refinance of previous Mortgage endorsed on before May 31, 2009 UFMIP: 1 (bps) (.01%) All mortgages

All Mortgage Terms ¹			
Loan Amount	LTV	Annual MIP	Annual MIP Duration
All	≤90%	0.55%	11 years
	>90%		Life of loan

Reference:

1. For mortgages where FHA does not require an appraisal, the value from the previous mortgage is used to calculate the LTV

Hawaiian Home Lands (Section 247) ¹				
	LOAN TERM IN YEARS			
	≤18	>18 and ≤22	>22 and ≤25	>25
MIP Financed	2.400%	3.000%	3.600%	3.800%
MIP Not Financed	2.344%	2.913%	3.475%	3.661%

Reference:

1. Annual MIP is not assessed on Section 247 Mortgages



FHA Streamline Conforming and High Balance Program Guidelines

For topics not addressed in this guide, see ["FHA Conforming and High Balance Program Guidelines" on page 305](#) and the [HUD Handbook 4000.1](#).

IRS Forms 4506-C and 8821 Requirements

See [HUD Handbook 4000.1 Section II.A.5](#) – Streamline Refinance Transactions

- **Credit Qualifying Streamline:**
 - For all requirements, see FHA Conforming and High Balance Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 305](#).
- **Non-Credit Qualifying Streamline:**
 - A 4506-C, Form 8821, or tax transcripts are not required.

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Sections II.A.1 and II.A.4-5 of the Federal Housing Administration's [Single Family Housing Policy Handbook](#).

Affidavit of Identity

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["Affidavit of Identity" on page 305](#).

Appraisals

Not required.

Assets

- Credit Qualifying
 - Standard asset verification required. See [HUD Handbook 4000.1](#) for complete details.
- Non-Credit Qualifying
 - Asset verification not required unless assets required for closing is in excess of the total mortgage payment of the new mortgage.



Reserves

- Credit Qualifying:
 - 1-2 units - 1-month PITI required
 - 3-4 units - 3-months PITI required
- Non-Credit Qualifying: Not required

AUS

Not applicable. All Streamlines require manual underwrite.

The mortgage may be scored through TOTAL Mortgage Scorecard, but the findings are invalid.

Available Markets

• Delegated Sellers

Planet will purchase loans underwritten and closed by the delegated Seller in **all** states.

• Non-Delegated Sellers

Planet will purchase loans from the non-delegated Sellers in all states on FHA products. **All** loans require Planet underwriting approval.

• Prior Approval

- Sellers must receive approval from Planet to deliver loans with properties located in Puerto Rico.

• Ineligible Territories

- The U.S. territories of American Samoa, Guam, and the Northern Mariana Islands are ineligible, regardless of underwriting delegation.

Borrower Benefit

All Streamline transactions **must** have a net tangible benefit to the borrower. Net tangible benefit requirements are as follows:

FROM	TO		
	Fixed Rate New Combined Rate	1-Year ARM New Combined Rate	Hybrid ARM New Combined Rate
Fixed Rate	0.5% points below prior Combined Rate	Rate must be at least 2% points below the prior Combined Rate.	
Any ARM < 15 months to Next Payment Change Date	Rate must not be > 2% points above the prior Combined Rate	Rate must at least 1% point below the prior Combined Rate.	
Any ARM ≥ 15 months to Next Payment	Rate must not be > 2% points above the prior Combined Rate.	Rate must be at least 2% points below the prior Combined Rate.	Rate must be at least 1% point below the prior Combined Rate.

A reduction in term is eligible when the benefit test is met:

- Remaining amortization period of the existing mortgage is reduced
- New Interest rate does not exceed the current interest rate, and



- The combined principal, interest and MIP payment of new mortgage must not exceed the combined principal, interest, and MIP of the refinanced mortgage by more than \$50.

Borrower Eligibility

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["Borrower Eligibility" on page 313](#).

Case Numbers

- Case number requests must comply with HUD Mortgagee Letter 2011-10. To view the Mortgagee Letter in its entirety, go to: [HUD Mortgagee Letters](#).
- FHA requires an active loan application for the borrower and property.
- Case numbers older than 6 months will be automatically canceled when there has been no activity. A [Case Reinstatement Request](#) must be submitted to reinstate the case number.

Credit Report/Scores

- Credit Qualifying - All borrowers must have a credit score. **Minimum 580 FICO**.
 - Full tri-merge credit report required.
- Non-Credit qualifying
 - Mortgage only credit report with FICO scores required on the subject property only. **Minimum 600 FICO**. Soft pull credit reports are allowed if they state a Credit Score and a Mortgage History.
 - Conforming Loan Limits Only. Not eligible for High Balance Transactions.

For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["Credit Report/Scores" on page 318](#).

Derogatory Credit

The following guidance applies to Credit-Qualifying Streamlines only.

Disputed Derogatory Credit

Disputed Derogatory Credit Account refers to disputed Charge-off Accounts, collection accounts, and accounts with late payments in the last 24 months. A letter of explanation is required from the borrower whenever a derogatory disputed account is indicated on the credit report regardless of the cumulative balance.

The underwriter determines if the disputed accounts must be considered in the credit decision and, at underwriter discretion, the account may be required to be resolved prior to loan closing.

- **Disputed accounts not required in cumulative total:**
 - Disputed medical accounts.
 - Disputed accounts that are the result of documented identity theft. If documentation cannot be provided (e.g., police report) to substantiate the claim, the amount must be included in the cumulative total.
 - Disputed derogatory credit account of a non-purchasing spouse in a community property state.
- **Disputed Accounts – Non-Derogatory**
 - Disputed account with a zero balance, or
 - Disputed account with late payments aged 24 months or greater, or
 - Disputed account that is current and paid as agreed.
- **Disputed Accounts ≥ \$1,000 (cumulative for all borrowers)**



- Loans with an "Approve/Eligible" Finding must be downgraded to a manual underwrite if the credit report indicates there are disputed accounts with a cumulative total (includes disputed accounts for **all** borrowers) $\geq$ \$1,000.
- **Disputed Accounts < \$1,000 (cumulative for all borrowers)**
 - A downgrade to a manual underwrite is not required if the cumulative total of all disputed accounts < \$1,000.
 - Non-derogatory accounts are not included in the cumulative total; however, the underwriter must address when considering the borrower's ability to repay the loan including the impact to the DTI.

Tax Liens

Tax liens must be paid or subordinate to Planet's 1st lien, with the following exceptions:

Tax liens may remain unpaid if:

- Borrower has entered into a valid repayment agreement with the lien holder to make regular payments on the debt, and borrower has made timely payments for at least three months of scheduled payments
- Borrower cannot prepay scheduled payments in order to meet the required minimum of three months of payments
- Except for Federal Tax Liens, the lien holder must subordinate the tax lien to the FHA-insured Mortgage.

Short Sale Eligible

Borrower(s) are **not** eligible for a new FHA-insured mortgage if they pursued a short sale agreement within three years unless the following apply.

- If Short sale within 3 years, the mortgage must be downgraded to a "Refer" and manually underwritten
- 3-year period begins on the date of transfer of title by the short sale.

Short Sale Ineligible

- **Borrower Current at Time of Short Sale**
 - Mortgage payments due on the prior mortgage were made within the month due for the 12 months preceding the short sale, and
 - Installment debt payments for the same time period were also made within the month due.

Exceptions

An exception to the above may be made if the default was due to extenuating circumstances, such as death of the primary wage earner or a long-term uninsured illness. A review of the credit report must indicate satisfactory credit prior to the extenuating circumstances that cause the default.

- **Borrower in Default at Time of Short Sale**
 - A borrower in default on their mortgage payment at the time of the short sale (or pre-foreclosure sale) or a borrower is not eligible for a new FHA insured mortgage for 3 years from the date of the pre-foreclosure sale
 - A borrower who sold their property under FHA's pre-foreclosure sale program is not eligible for a new FHA insured mortgage for 3 years from the date that FHA paid the claim associated with the pre-foreclosure sale.

Short Payoff/Modified/Restructured Loans

Borrowers are eligible for an FHA rate/term refinance when the existing Note holder(s) will write-off the amount of the indebtedness that cannot be refinanced in the new FHA-insured mortgage subject to the following:



- Borrower is current on their existing mortgage, and
- There is insufficient equity in the home based on its current appraised value, and/or
- Borrower experienced a reduction in income and does not have the capacity to repay the existing mortgage on the property.

In cases where the existing Note holder(s) is reluctant or not willing to write down the indebtedness, a new subordinate lien may be obtained for the amount of which the payoff is short. If payments on the new subordinate financing are required, they must be included in the qualifying ratios unless the payment has been deferred for a minimum of 36 months.

Bankruptcy

Documentation of 2 years since discharge date of the bankruptcy required. No further documentation is required if discharge date is reflected on the credit report. If discharge is not reflected, bankruptcy and discharge must be per Total Scorecard.

Bankruptcy does not automatically disqualify the borrower from obtaining FHA insurance subject to the following guidelines.

- **Chapter 13**
 - Borrower has completed 1 year of the payout period, and
 - Borrower has made all required payment on time, and
 - Borrower has received written permission from the bankruptcy court to enter into a mortgage transaction.

When a Total Scorecard "Accept" recommendation is received:

- Document 2 years have elapsed since discharge date and no further documentation is required.
- If not discharged for a minimum of 2 years, the loan must be downgraded to a "Refer" and a manual underwrite is required. Manual underwriting guidelines apply.

- **Chapter 7**

When a Total Scorecard "Accept" recommendation is received:

- Document 2 years have elapsed since discharge date and no further documentation is required.
- An elapsed period of less than two years, but not less than 12 months, may be acceptable if:
 - The bankruptcy was caused by extenuating circumstances beyond the borrower's control
 - Evidence of the ability to manage financial affairs
 - No new credit obligations have incurred
 - Borrowers whose bankruptcy was discharged < 1 year are generally not eligible.

Consumer Credit Counseling

- One year of payout under the plan has elapsed
- All payments have been made on time
- The Counseling Agency has provided written permission for the borrower to enter into a mortgage transaction
- If a Total Scorecard Approve/Eligible, Accept/Eligible finding is received, follow AUS findings.

Delinquent Child Support

Delinquent child support must be paid current or in a payment plan.



Foreclosure/Deed-in-Lieu

- Borrowers are generally not eligible for new FHA financing if a foreclosure or deed-in-lieu has occurred in the previous 3 years.
- If < 3 years from the foreclosure settlement date to the application date, the borrower may be eligible. The loan must be downgraded to manual underwrite and subject to the following:
 - Borrower must have re-established credit
 - No late housing or installment payments after the foreclosure, and
 - A letter of explanation as to the reason for foreclosure.

NOTE: If the foreclosure was included in a Chapter 7 bankruptcy, the date of the foreclosure deed is used for determining the foreclosure date.

Collection/Charge-Off/Judgments

- Loans that do not receive a TOTAL Scorecard of Approve/Eligible or Accept/Eligible finding, the borrower is required to provide a letter of explanation and supporting documentation for all collection, charge-off accounts, and judgments. The letter must document that the collection and/or judgment was not due to the borrower's disregard of their financial obligation or their ability to manage debt.
- Loans that receive a TOTAL Scorecard of Approve/Eligible or Accept/Eligible finding, a letter of explanation is not required for collection accounts, charge-off accounts, accounts with late payments, judgments, or other derogatory information.

Collections/Charge-Offs

The underwriter must consider the borrower's ability to repay the mortgage when the cumulative balance for all borrowers of collection/charge-off account(s) is > \$2,000 (including any collection accounts of a non-purchasing spouse in community property states unless excluded by state law) on both manual underwrites and loans with a TOTAL Scorecard finding.

All medical collection accounts and all charge-off accounts (medical and non-medical) **are excluded** from the collection/charge-off guidance. All non-medical collection accounts **must be included**.

- **Accounts Cumulative $\geq$ \$2,000**

One of the following is required:

- Payment in full prior to or at closing. Source of funds for payoff must be documented, or If borrower currently in a payment plan (no minimum time required), the payoff must be included in the DTI, or
 - If a payment plan not established, calculate 5% of the outstanding balance and include in the DTI calculation.
- **Accounts Cumulative < \$2,000**

No action required. Accounts cannot be paid down to < \$2,000.

Judgments

Judgments are required to be paid off **including** judgments against a non-purchasing spouse in community property states (unless excluded by state law) **and** medical judgments. The payment requirement may be waived if the borrower is currently in a payment plan with the creditor:

- A copy of the agreement is provided, and
- Borrower has made a minimum 3 months of the scheduled payments as agreed prior to credit approval.



Supporting documentation is required.

- Payments must be included in the DTI calculation

NOTE: The borrower **cannot** prepay scheduled payments to satisfy the 3-month requirement.

Documentation

- Payoff statement on existing mortgage
- Employment documentation or utility bills are required to evidence property is the current primary residence
- Evidence of approved Jurisdictional HOC required on all Secondary Residence
- Transaction must be processed as a non-owner-occupied Property if:
 - Evidence that the borrower occupies the property either as a Principal or Secondary Residence **cannot** be obtained.

Special Documentation

- Credit Qualifying
 - Full URLA required
- Non-Credit Qualifying
 - An abbreviated URLA is allowed provided all other information is required. The following are not required to be completed and may be left blank.
 - Section 1b through 1e — related to Employment and Income
 - Section 2 — Financial Information - Assets and Liabilities
 - Section 3 — Financial Information - Real Estate
 - Section 5 — Declarations, except for 5a.A (Occupancy), which must be answered

DTI

- Credit Qualifying
 - Maximum DTI of 43%.

NOTE: All transactions must meet the manual underwriting requirements except for any requirements for appraisal or LTV calculations.

- Non-Credit qualifying
 - Not required

Employment and Income

- Credit Qualifying
 - Borrower authorized Third Party Verification (TPV) is an acceptable option per [HUD Handbook 4000.1](#) guidelines.
 - Re-verification is required within 10-calendar days prior to the date Note date.
 - Sellers must independently obtain the phone number, and when possible, the address of the wage earner borrower's employer using directory assistance/internet/phone book, etc.
 - Wage earners: current 30-day paystub with YTD earnings and most recent 2-years W-2s
 - Self-employed: tax returns that include a minimum 2-years' self-employed income.
 - Third-Party Verification (TPV) acceptable to FHA.
- Non-Credit Qualifying
 - Not required



NOTE: For Non- Credit Qualifying FHA Streamline loans in the State of Illinois; income documentation is not required; however, stated or estimated income must be used to complete the IL APLD registration/certification.

Escrow/Impound Account

Required on all loans — no exceptions.

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Higher Priced Mortgage Loans

HPML eligible on all Streamlines, however, credit qualifying is subject to the DTI restrictions detailed in [HUD ML-2014-02](#) dated January 21, 2014.

Maximum Mortgage Amortization

The maximum amortization period is limited to the lesser of:

- The remaining amortization period of the existing Mortgage plus 12 years; or
- 30 years

Maximum Loan Amount

- For owner-occupied principal residences and HUD-approved secondary residences, the maximum base loan amount for Streamline Refinances is:
 - **The lesser of:**
 - Outstanding principal balance of the existing mortgage as of the month prior to mortgage disbursement; plus:
 - Interest due on the existing mortgage;
 - Late charges;
 - Escrow shortages; and
 - MIP due on existing mortgage; or
 - The original principal balance of the existing mortgage (including financed UFMIP).
 - Less any refund of UFMIP.
- For Investment properties, the maximum base loan amount for is:
 - **The lesser of:**
 - Outstanding principal balance of the existing mortgage as of the month prior to mortgage disbursement, or
 - The original principal balance of the existing mortgage (including financed UFMIP).
 - Less any refund of UFMIP.

Mortgage Payment History

- Credit Qualifying



- Payments for properties with < 6 months payment history must be paid within the month due. For additional requirements, see ["Mortgage Seasoning" below](#).
- Payments for Properties with > 6 months payment history must be paid for 6 months prior to case assignment date.
 - 1 x 30 for previous 6 months
- If the mortgage on the subject property is not reported on the borrower's credit report or the subject property is not in the name of the borrower, the Seller must obtain verification of the mortgage, bank statement, or other documentation to evidence that all payments have been made by the borrower in the month due for the previous 12 months.
- Non-Credit Qualifying
 - All payments must have been made within the month due for six months prior to case number assignment date, and
 - 1 x 30 for the previous 6 months
- All secured mortgage payments must have been made within the month due for the month prior to mortgage disbursement.

Mortgage Seasoning

On the date of the FHA case number assignment:

- The Borrower must have made at least six payments on the FHA insured Mortgage that is being refinanced (where the FHA insured Mortgage has been modified, the Borrower must have made at least six payments under the modification agreement);
- At least six full months must have passed since the first payment due date of the Mortgage that is being refinanced;
- At least 210 Days must have passed from the Closing Date of the Mortgage that is being refinanced; and
- If the Borrower assumed the Mortgage that is being refinanced, they must have made six payments since the time of assumption.

GNMA Seasoning

In addition, the following GNMA mortgage seasoning requirements must be met.

- **The borrower made at least six consecutive monthly payments on the loan being refinanced, referred to hereinafter as the initial Loan, beginning with the payment made on the first payment due date; and**
- **The first payment due date of the refinance loan occurs no earlier than 210 days after the first payment due date of the initial Loan.**

NOTE: Refinance of loans on which fewer than six consecutive regularly scheduled payments have been made are not eligible for financing.

Occupancy

- Owner-occupied primary residence. Evidence that the Borrower currently occupies the property as their primary residence must be obtained using one of the following:
 - Borrower's employment documentation
 - Utility Bills
 - Direct electronic verification by a Third-Party Verification (TPV) vendor verifying the borrower's address is the same as that of the subject property



- HUD-approved Secondary residence with evidence of Jurisdictional HOC required (fixed rate only)
- 1-unit Investment (fixed rate only)

Power of Attorney

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["Power of Attorney" on page 342](#).

Prepayment Penalty

Not permitted.

Products

- Fixed Rate: 15- and 30-year only
- ARM: 3/1 and 5/1 1-year CMT index
 - Caps: 1/1/5
 - Margin/Floor: 2.00
 - Qualified at the note rate

Property Eligibility

Eligible Properties

- 1-4 Units
- PUDs (attached/detached). PUDs do not require a questionnaire/warranty form.
- Mixed use is subject to:
 - Property must conform to residential nature of the neighborhood, and
 - Commercial use cannot exceed 49% of the gross living area
- Manufactured Home
- Condominiums Permitted in FHA approved Condominium Projects (HRAP approval only and must be valid when case number is issued) or on units approved in accordance with the FHA Single Unit approval process. Single Unit approvals must have an AUS "Accept" recommendation or LTV is limited to 90%. See [HUD Handbook 4000.1](#) for underwriting details and Case Number assignment process.

For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["Property Eligibility" on page 342](#).

Properties Listed for Sale

Properties listed for sale in the previous 12 months require proof of being taken off the market prior to application.

Subordinate Financing

- Existing subordinate financing may remain in place but must re-subordinate to the new mortgage.
- New subordinate financing allowed only when subordinate finance proceeds are used to:
 - Reduce the principal amount of the existing FHA-insured mortgage, or
 - Finance the origination fees, other closing cost, or discount points.

Temporary Buydown

Not permitted.



FHA Standard 203(k) Conforming and High Balance Program Grid

FIXED RATE & ARM					
Primary Residence - Full Documentation					
Transaction Type	Units	LTV	CLTV ²	Loan Amount ¹	Credit Score
Purchase	1-4	96.50% ³	110%	FHA Limit	Per AUS
Rate/Term Refinance	1-4	97.75%	110%		
Cash-Out	N/A	N/A	N/A	N/A	N/A

Reference:

1. Eligible conforming and high balance loan amounts by county and units can be found at [FHA Mortgage Limits](#).
2. ^o **Maximum 110% CLTV allowed on all subordinate financing transactions.** No CLTV requirement when the subordinate financing is provided by government entities, HOPE, or HUD approved non-profits.
3. LTV can exceed 96.50 if borrower is qualified for Sales Incentive for \$100 Down on HUD REO.

See Planet's FHA 203(k) Limited Conforming & High Balance Matrix for Limited guidelines.

Complete HUD guidelines can be found at [HUD Handbook 4000.1](#).



FHA Standard 203(k) Conforming and High Balance Program Guidelines

For topics not addressed in this guide, see ["FHA Conforming and High Balance Program Guidelines" on page 305](#) and the [HUD Handbook 4000.1](#).

203(k) Standard Program Overview – Construct/Replace/Add

The Standard 203(k) program is designed for more extensive construction/rehab projects and allows a borrower to obtain a single loan to:

- Rehabilitate an existing 1-4 unit structure, which will be used primarily for residential purposes.
- Rehabilitate such a Structure and refinance outstanding indebtedness on the Structure and the Real Property on which the Structure is located; or
- Purchase and rehabilitate a Structure and purchase the Real Property on which the Structure is located.

Mortgages to be insured under Section 203(k) must be processed and underwritten in accordance with the requirements in [Origination Through Post-Closing/Endorsement](#).

General Parameters

- Repairs must be a minimum of \$5,000, and the total mortgage amount on the property including the cost of repairs must fall within the FHA mortgage limit for the area where the property is located.
- All renovation work must start within 30 days of loan closing date. The work cannot stop for more than 30 consecutive days and must be completed within the established time frame.
- A Rehabilitation Reserve escrow account is established, and funds are released as work is completed. A maximum of 5 draws is allowed.
- The mortgage amount is based on the projected value of the property with all work completed ("After-Improved" value).
- 1-year Homeowner Policy must be in place for the after-improved value of the property at the time of loan closing. If the property is not insurable, Borrower can obtain a Builders Risk Policy. Loan Escrows will need to be established using quote for standard HOI with sufficient funds to pay full premium at expiration of Builders Risk Insurance **OR** Hazard insurance must be in place for the after improved value of the property at the end of construction.
- Requires a HUB Consultant who works directly with borrower and contractor, provides initial work write-up, performs draw inspections to approve disbursement to the general contractor and establishes the Contingency Reserve amount.
- **°Planet does not allow self-help (borrower completes work); work must be completed by a licensed contractor.**
- One general contractor is allowed, and specialized subcontractors are allowed under the general contractor. Additionally, the borrower cannot pay for or supply materials.

IRS Forms 4506-C and 8821 Requirements

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 305](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:



- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Sections II.A.1 and II.A.4-5 of the Federal Housing Administration's [Single Family Housing Policy Handbook](#).

Appraisals

- Appraisals must be provided by an FHA approved appraiser.
- All 203(k) appraisals are completed "subject to" completion.
- Except as described below in cases of property flipping and refinance transactions, an "As-Is" appraisal is **not** required, and alternative methods to establish the "As-Is" value may be used.

203(k) loans require both an "**Adjusted As-Is**" value and an "**After Improved**" value as outlined below.

Adjusted As-Is Value

- **Purchase transactions** require one value:
 - An "After Improved" value (value after improvements have been complete) is always required.
 - HUD assumes the purchase price is the "As-Is" value and does not require an "As-Is" value on the appraisal.
- **Refinance transactions** require an "Adjusted As-Is" Value and "After-Improved" Value:
 - For properties acquired ≥ 12 months prior to the case assignment date:
 - If the existing debt on the property plus allowable fees (see below) **exceeds** the "After Improved" value, an additional "As-Is" appraisal is required.
 - Financeable Repairs and Improvement Costs
 - Financeable Mortgage Fees
 - Financeable Contingency Reserves; and
 - Financeable Mortgage Payment Reserves (for Standard 203(k) only).
 - If the existing debt on the property plus allowable fees (see below) **does not exceed** the "After Improved" value, the Seller has the option of using the existing debt on the property plus the allowable fees:
 - Financeable Repairs and Improvement Costs
 - Financeable Mortgage Fees
 - Financeable Contingency Reserves; and
 - Financeable Mortgage Payment Reserves (for Standard 203(k) only).
 - For properties acquired <12 months prior to the case assignment date, an "As-Is" appraisal is required.
 - If property is acquired by inheritance or through a gift from a family member, use the calculation of an Adjusted As-Is value for properties ≥12 months prior to the case assignment date.



After Improved Value

An appraisal of the property must be obtained subject to the repairs and improvements. See Section II.A.8 of the [HUD Handbook 4000.1](#) for complete 203(k) Standard Appraisal details.

- Appraisal must be provided to the appraiser for consideration. The Appraisal must contain copy of the Final Contractor Bid or the Work Write Up.
- Additional photos are required for any improvements with a contributory value that are not captured in the front and rear photos.

Architectural Exhibits

- The following inspections, if required by the appraiser, must be completed:
 - Termite/pest
 - Well or Septic certification
 - Additional HVAC or system certifications
 - Additional architectural exhibits as required
- Construction related inspections are completed by the consultant (if applicable)

AUS

All loans must be submitted to FHA Total Scorecard through DU or LPA. Please note that ARM products may only be submitted through DU. Manual Underwriting is permitted. All loans must be QM / Safe Harbor eligible.

Available Markets

- **Delegated Sellers**

Planet will purchase loans underwritten and closed by the delegated Seller in **all** states.

- **Non-Delegated Sellers**

Planet will purchase loans from non-delegated Sellers in all states. **All** loans require Planet underwriting approval.

- **U.S. Territories**

Prior Approval

Sellers must receive approval from Planet to deliver loans with properties located in:

- Puerto Rico

Ineligible Territories

- The U.S. Territories of American Samoa, Guam, and Northern Mariana Islands are ineligible regardless of delegation.
- Loans originated in the U.S. Virgin Islands (USVI) are not permitted for this product at this time.

Borrower Eligibility

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["Borrower Eligibility" on page 313](#).



CLTV/Secondary Financing

° For purchase transactions, a maximum 110% CLTV on all subordinate financing including, but not limited to, government entities, HUD approved non-profits, family members and private individuals.

Contingency Reserve

A minimum of 10% is required and no more than 20% can be financed.

- The reserves may be financed.
- If Utilities are not on at time of inspection, 15% Contingency reserve is required.
- Underwriter or HUD Consultant may require up to 20% of the Financeable Repair and Improvement Costs.

Additionally, the borrower may provide their own funds to establish the Contingency Reserves. Where the Borrower has provided their own funds for Contingency Reserves, they must be noted under a separate category in the Repair Escrow Account and the FHA 203(K) Calculator must show as Paid in Cash.

Additional Contingency Reserve — Utilities

Appraiser or other licensed professional (consultant, contractor, inspector, plumber, electrician) must confirm in writing that the utilities have been visually inspected and appear to be in good working order.

If utilities were not on at the time of the appraisal and the Work Write-Up/Work Plan does not include repairs to the utilities, Planet will accept alternative documentation to validate the condition of utilities.

- If home was winterized, a winterization certification indicating all utilities were working properly when turned off.
- A certification by a licensed professional (consultant, contractor, inspector, plumber, electrician) that the utilities have been inspected and appear to be in good working order.

If the utility inspection reveals utilities are not in good working order, the Work Write-Up/Work Plan must include detailed required repairs, and the contractor bid(s) must match the Work Write-Up/Work Plan.

Contractor Validation

Standard 203(k): One general contractor (GC) to be selected by the borrower.

Seller must review Contractor qualifications to establish contractor is qualified to complete the work described in the Work Write-Up or Contractors bid. The review must include contractor's credentials, work experience, and client references and ensure that the contractor meets all jurisdictional licensing and bond references.

- File must evidence contractor validation and bid acceptance.
- Non-Delegated Sellers may submit a request for Planet to validate the contractor prior to underwriting or locking the loan.

A sample checklist and documentation are available on the Core Seller Portal at www.phlcorrespondent.com under **Forms and Resources**.

Credit Report/Scores

Per TOTAL Scorecard Findings.



For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["Credit Report/Scores" on page 318](#).

DTI

Per TOTAL Scorecard Findings.

For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["DTI" on page 324](#).

Employment and Income

Rental Income Received from the Subject Property One-Unit with an Accessory Dwelling Unit

- If the subject Property is a one-unit with an Accessory Dwelling Unit (ADU) and the Borrower does not have a history of Rental Income from the subject Property since the previous tax filing, to calculate the Effective Income the Mortgagee must use 50% of the lesser of:
 - fair market rent reported by the Appraiser; or
 - the rent reflected in the lease or other rental agreement.
- Sellers must apply this requirement for both Mortgages underwritten through TOTAL Scorecard and manual underwriting.

For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["Employment and Income" on page 330](#).

Financeable Repair Cost and Charges

The following fees and charges apply, as applicable, and are included in the rehabilitation costs:

- Cost of construction, repairs, and rehabilitation
- Architectural/engineering professional fees
- HUD Consultant Fee (subject to the limits set by HUD)
- Inspection Fees during construction period – amount determined by HUD Consultant
- Title Update Fees
- Permit Fees
- Feasibility Study, when necessary to determine the rehabilitation is feasible
- Contingency Reserve
- Discount points – Not to exceed an amount equal to the discount point percentage multiplied by the total of the repair cost plus financed fees above
- Supplemental Origination Fee - \$350 or 1.5% of the total renovation cost (above)
- 203(k) Consultant fee subject to the limits governed by HUD.

Consultant Work Write-Up Fee Schedule	
Renovation/Repair Cost	Fee
≤ \$50,000	Up to \$1,000
\$50,001 - \$85,000	Up to \$1,200
\$85,001 - \$140,000	Up to \$1,400
≥ \$140,000	1% of Repair Costs or \$2,000 – <u>whichever is lower</u>
*Plus, an additional \$25.00 for each additional Dwelling Unit, not to exceed \$75.00	



Consultant Work Write-Up Fee Schedule	
Additional Allowable Consultant Fees	
Type of Work	Allowable Fee
Inspection Fee	Reasonable and customary work performed in the area where the property is located, provided the fees do not exceed a maximum of \$375
Change Order Fee	\$120 per change order request.
Re-Inspection Fee	\$225
Mileage Fee	Current IRS mileage rate if the property is > 15 miles from the consultant's place of business.
Feasibility Study Fee	\$375

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Hazard Insurance

- 1-year Homeowner Policy must be in place for the after-improved value of the property at the time of loan closing. If the property is not insurable, borrower can obtain a Builders Risk Policy. Loan Escrows will need to be established using quote for standard HOI with sufficient funds to pay full premium at expiration of Builders Risk Insurance.
- Hazard insurance must be in place for the after-improved value of the property at the time of loan closing.

Identity of Interest/Conflict of Interest

- Sales transactions between family members and tenants/landlords that meet the requirements for the exceptions to the maximum LTV. See FHA Conforming and High Balance Program Guidelines for additional requirements for the exception to the maximum LTV.
- Both the borrower(s) and consultant must sign an Identity of Interest Certification stating there is no relationship between them and **any party** to the transaction.

Improvements

Eligible Improvements

Minimum of \$5,000 in eligible improvements. The 203(k) program can be used to finance painting, room additions, decks, etc. even if the home does not require other improvements. All health, safety, and energy conservation items must be addressed prior to completing general home improvements. Items eligible for 203 (k) funds include, but are not limited to:

- Changes to improve function/modernization (bath/kitchen remodel).
- Converting single family to a one-family structure with an accessory dwelling unit, 2-,3- or 4-unit dwelling or from a multi-family to a 1-4 unit.
- Adding an accessory dwelling that will be attached to an existing structure.
- Renovating an existing accessory dwelling unit that is attached or unattached to an existing structure.



- Reconstructing a Structure that has been or will be demolished, provided the complete existing foundation system is not affected and will still be used.
- Elimination of health/safety hazards (lead-based paint, mold, etc.) Follow state and local government requirements where property is located for removal and testing.
- Enhancing accessibility for a disabled person.
- Installation of new well and/or septic system.
- Interior/exterior painting.
- Major landscaping that adds permanent value to the property and/or corrects any fire, health or safety issue.
- Major structural alterations/additions (room/garage additions, finish attics/basements, repair of termite damage).
- Repair/replace flooring, appliances.
- Repair/replace roofing, gutters and down spouts.
- Repair/replacement/upgrade of plumbing, heating, air conditioning and electrical systems.
- Repairs to existing swimming pool.
- Weatherization including storm windows/doors, insulation, weather stripping.
- Well/septic repair/replacement work. Must be completed prior to beginning other repairs.
- Window and door replacement.

See Section II.A.8 of the [HUD Handbook 4000.1](#) for complete eligible improvement details.

Ineligible Improvements

Luxury items and improvements that do not become part of the real property are **not** eligible as a cost of rehabilitation. Examples of items not eligible as an improvement or for repair, include, but are not limited to:

- Additions or alterations to allow for commercial use.
- Barbeque pits, outdoor fireplaces or hearths.
- Exterior hot tubs, saunas, spas or whirlpool baths.
- Photo murals.
- Swimming pool installation.
- Television satellite dishes/antennas.
- Tennis courts.
- Tree trimming/removal.

Inspections

- The following inspections, if required by the appraiser and/or consultant, must be completed:
 - Termite/pest
 - Well or Septic certification
 - Additional HVAC or system certifications
 - Additional architectural exhibits as required
- Construction related inspections are completed by the consultant (if applicable)

Inspections and Draw Disbursement

Funds must be disbursed and documented as follows:

Inspections

- An authorized Form HUD 9746-A must be signed by borrower and contractor which certifies completion of work and included in the case file.
- Evidence of compliance with federal, state and local ordinances (i.e., final permit(s) as applicable). For



structures being moved special guidelines apply.

- Inspections by appraisers or consultants as applicable

Draw Disbursements

Certain fees can be disbursed at closing with supporting documentation:

- Permit fees (the permit must be obtained before work commences)
- Prepaid architectural or engineering fees – invoices are required
- Prepaid consultant fees- invoice required
- Origination fees
- Discount points

Post Closing

- Material costs for items, prepaid by the borrower or by the contractor, where a contract is established with the supplier and an order is placed with the manufacturer for delivery at a later date, and
- Up to 50% of material costs for items, not yet paid for by the borrower or contractor, where a contract is established with the supplier and an order is placed with the manufacturer for delivery at a later day.
- Inspections
- Title Updates
- Maximum of five draws
- All draws are subject to 10% Holdback
- Funds must be released within five business days after receipt of a properly executed inspection, title update, and draw request.
- Maximum of five draws/disbursement (four intermediate and one final draw). 10% is withheld from each draw.
- **Exception:** No holdbacks required if a work item is 100% complete, and the necessary Lien Waivers or equivalent have been provided.
- Any excess funds at project completion will be applied to the principal balance of the loan. If the borrower funded the Contingency Reserve from their own funds, any residual funds may be released to the borrower.

See Release of Funds in the [HUD Handbook 4000.1](#) for detailed release instructions.

Disbursements Made by Seller Prior to Purchase by Planet

The Seller has the option to disburse the initial draw at closing. Initial draws disbursed by the Seller must be reflected on the CD.

- Planet must be notified if Seller disburses draws outside of closing.
- Seller must provide required documentation to support draw disbursement including Executed Draw Request, Lien Waivers, Invoices, copy of disbursement check and other supporting documents.
- A completed Renovation Escrow Validation Form to be completed prior to purchase of the loan by Planet. A sample Renovation Escrow Validation Form is available on the Core Seller Portal at www.phlcorrespondent.com under **Forms and Resources**.

Maximum Mortgage Amount

Purchase Transaction is the lesser of:

1. The appropriate LTV multiplied by the lesser of:
 - The Adjusted As-Is Value, plus:



- Repair and improvement cost
 - Mortgage fees
 - Contingency Reserves, and
 - Mortgagee Payment Reserves (Standard 203(k) only), required when the property is uninhabitable during the project
 - 110% of the After Improved Value (100% for Condominiums); or
2. The [Nationwide Mortgage Limits](#).

See ["Property Flips" on page 376](#) for FHA requirements when a property is being re-sold within one year of acquisition.

Refinance Transaction is the lesser of:

1. The existing debt associated with the new mortgage, plus:
 - Repair and improvement cost
 - Mortgage Fees
 - Contingency Reserves, and
 - Mortgage Payments Reserves (Standard 203(k) only), required when the property is uninhabitable during the project or
2. Appropriate LTV multiplied by the lesser of:
 - The Adjusted As-Is Value, plus:
 - Repair and improvement cost
 - Mortgage fees
 - Contingency Reserves, and
 - Mortgage Payments Reserves (Standard 203(k) only), required when the property is uninhabitable during the project or
 - 110% of the After Improved Value (100% for Condominiums); or
3. The [Nationwide Mortgage Limits](#)

Minimum Loan Amount

◦ **\$40,000.00**

Mortgage Insurance

Mortgages to be insured under Section 203(k) must comply with the MIP requirements found in the [MIP Chart](#).

- Divide the base loan amount by the After Improved Value

Occupancy

- Owner-occupied primary residence
- HUD-approved second homes

Power of Attorney

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["Power of Attorney" on page 342](#).



Product

Fixed Rate: 30-year only

ARM: 3/1 and 5/1; 1-Year CMT; Caps: 1/1/5; Margin/Floor: 2.00; Qualified at Note rate

Property Eligibility

Condominiums

Condos subject to the following:

- Permitted in FHA approved Condominium Projects (HRAP approval only and must be valid when case number is issued) or on units approved in accordance with the FHA Single Unit approval process. Single Unit approvals must have an AUS "Accept" recommendation or LTV is limited to 90%. See [HUD Handbook 4000.1](#) for underwriting details and Case Number assignment process.
- Condo must be located in an FHA-approved condominium project at the time of case number assignment.
- Rehabilitation limited to the interior of the unit. Rehabilitation of the exterior of the condo or any area that is the responsibility of the condominium association is not allowed with the exception of installation of firewalls in the attic for the unit.
- Maximum mortgage cannot exceed 100 percent of the "After-Improved" value.

Eligible Properties

Must be an existing property that has been completed for a minimum of 1 year prior to the case number assignment date. If unsure, follow FHA guidelines. File must include a Certificate of Occupancy or equivalent. All health and safety issues must be addressed. The following property types are eligible for financing:

- 1-4 unit single family, including a condominium unit
- Site condominium units
- Manufactured homes where the rehabilitation does not affect the structural components of the Structure that were designed and constructed in conformance with the Federal Manufactured Home Construction and Safety Standards and must comply with all other requirements for Manufactured Housing (Must be titled as real property and meet FHA Requirements)
- Mixed use property with 1-4 residential units are acceptable if
 - 51% of the Gross Building Area (GBA) is for residential use, and
 - The commercial use does not affect the safety of residential occupants
- Modular Homes
- PUDs (attached/detached). PUDs do not require a questionnaire/warranty form.
- HUD Real Estate Owned (REO) property
 - The Property is identified as eligible for 203(k) financing as evidenced in the sales contract or addendum. Investor purchases of HUD REO Properties are not eligible for 203(k) financing.

Ineligible Properties

- Commercial property
- Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)
- Cooperative projects
- Farms, orchards, ranches
- Mobile homes
- New Construction (Certificate of Occupancy was issued within the previous 12 months)
- Property located in the Hawaiian Islands in lava zones one or two



- Properties not completed
- Properties that will be completely torn down during the rehab process (eligible if some of the existing foundation remains in place)
- Unique properties

Property Flips

In addition to the standard FHA program guidelines, the 203(k) mortgage must be based on the lowest sales price in the previous year. “As-is” appraisal is required.

Properties Listed for Sale

For refinance transactions, properties listed for sale in the previous 12 months must be taken off the market prior to the Application date.

Rehabilitation Escrow Account

Planet will manage the funds in the Rehabilitation Escrow Account per [HUD Handbook 4000.1](#).

Planet is responsible for ensuring all funds from the escrow account are properly distributed.

- After closing all proceeds designated for the rehabilitation, including Contingency Reserves, Inspection fees, and any mortgage payments will be placed in an interest-bearing account.
- Any net income earned by the rehabilitation escrow account will be disbursed to the Borrower through an agreed upon method of payment.
- Planet will complete the Escrow Closeout Certification screen in FHAC.

Financeable Mortgage Payment Reserves

- Must not exceed 12 months of mortgage payments, and
- Must include mortgage payments only for the period during which the property cannot be occupied.
- The number of payments cannot exceed the completion time frame required in the rehab agreement.
- Mortgage Payment Reserves remaining in the Escrow account after the Final Release Notice is issued will be applied to the principal balance.

For 2–4-unit properties, if one or more units are occupied, the Mortgage Payment Reserve may only include the portion of the mortgage attributable to the units that cannot be occupied.

To calculate the amount that can be included in the monthly payment reserve:

1. Divide the monthly mortgage payment by the number of units in the property.
2. Multiply that figure by the number of units that cannot be occupied.

Example: $\$2500 / 4 \text{ units} = \$625 \times 3 \text{ units} = \mathbf{\$1875}$ (amount that must be paid through the mortgage payment reserve.)

NOTE: The borrower is responsible for paying the servicing fee not covered by the MPR.

Sales Contract

File must evidence a copy of the sales contract with a provision indicating 203(k) financing was obtained, and contingent on loan approval and the borrower's acceptance of additional required improvements as determined by the Seller.



Special HUD REO Sales Incentives

Good Neighborhood Next Door (GNND)

The GNND sales incentive permits an owner-occupant borrower who is a full-time Law Enforcement Officer, Teacher, Firefighter or Emergency Medical-technicians who meet HUD's requirements to purchase a specifically designated HUD REO property, located in a HUD-designated revitalization area with FHA-insured financing at a 50% discount from the purchase price.

When using FHA-insured financing, the borrower may purchase the HUD REO property with a minimum down payment of \$100. In addition, the borrower may include in the mortgage amount customary and reasonable closing costs.

Eligible Borrower(s)

At the time the bid is submitted and at the time of closing, the borrower must be employed full-time as a Law Enforcement Officer, Teacher or Firefighter/EMT.

- Law Enforcement Officer
- Must be employed by a law enforcement agency of the federal government, a state, a unit of local government, or an Indian tribal government, and
- Sworn to uphold, and make arrests for violations of federal, state, tribal, county, township, or municipal laws.
- Teacher
- Must be an employee of a state-accredited public or private school providing direct service to students in grades pre-K through 12.
- Must serve in the area where the property is located.
- Fire Fighter/Emergency Medical Technician
- Must be employed by a fire department or emergency medical services responder unit of the federal government, a state, unit of general local government, or an Indian tribal government, and
- Must serve the area where the property is located

All buyers must certify to the good faith intention to continue employment as a law enforcement officer, teacher or firefighter/EMT for at least one year after the date of closing.

\$100 Down

The \$100 Down sales incentive permits a Borrower to purchase a HUD REO property FHA-insured financing with a minimum down payment of \$100.

Temporary Buydown

°Not Permitted

Transaction Eligibility

Eligible Transactions

In addition to the standard FHA program guidelines, the following transactions are eligible:

- Transactions where the work will require ≤ 12 months to complete



Ineligible Transactions

- Transactions where the work will require > 12 months to complete
- 203(k) to 203(k) transactions
- **Energy Efficient Mortgages (EEM)**

203(k) Forms and Documents

- 203(k) Borrower's Acknowledgement. (HUD Form 92700-A) Borrower must complete the "Loan Requirements" section of the Acknowledgment form indicating how the interest earned on the Rehabilitation Escrow Account is to be applied after the Final Release Notice is issued.
- Final FHA 203(k) Calculator from FHA Connection
- 203(k) Borrower Identity of Interest Certification
- Most recently completed Federal W-9 by Contractor (Rev. March 2024) from the general contractor and the HUD Consultant.
- Consultant Identity of Interest Certification
- Consultant Fee Agreement
- Consultant Work Write-Up and Cost Estimate.
 - Must specify the type of repair and cost of each work item broken out by material and labor, and
 - Ensure that all health and safety issues identified were addressed before, including additional work items.
 - Architectural Exhibits
- Planet Contractor Acknowledgment Form or equivalent disclosure explaining program expectations
- Contractor bid(s)
- Contractor Profile (Fannie Mae Form 1202 or equivalent). Profile must include:
 - Evidence of current liability insurance which meets, local/state insurance requirements
 - Evidence of current workman's Comp insurance (if applicable)
 - Copy of current license and bond as required by local/state jurisdiction
- Draw Request Section 203(k) (9746-A).
- Feasibility Site Report, aka Feasibility Study (not required).
- Fully executed Homeowner/Contractor Agreement-HUD Form 2420 (HOCA)
- Mortgage Payment Reserve Disclosure (recommended but not required)
- Fully executed Rehabilitation Loan Agreement with accurate project completion date.
- Rehabilitation Loan Rider.

Texas Loans require an Attorney to prepare the closing documents. The Attorney should be knowledgeable in Texas Law regarding renovation lending and provide the following documents in the closing package:

- Mechanic's Lien Contract and Transfer of Lien – must include verbiage to create the Mechanic's Lien and assignment to the Lender. Amount of renovation must match final contractor estimate.
- Rehabilitation Rider with Renewal and Extension language
- Contractor Affidavit of Compliance with Texas Law
- Rehabilitation Loan Agreement
- Non-Commencement Affidavit



FHA Limited 203(k) Conforming and High Balance Program Grid

FIXED RATE & ARM					
Primary Residence - Full Documentation					
Transaction Type	Units	LTV	CLTV ²	Loan Amount ¹	Credit Score
Purchase	1-4	96.50% ³	110%	FHA Limit	Per AUS
Limited Cash-Out	1-4	97.75%	110%	FHA Limit	
Cash-Out	N/A	N/A	N/A	N/A	N/A

Reference:

1. Eligible conforming and high balance loan amounts by county and units can be found at [FHA Mortgage Limits](#).
2. **°Maximum 110% CLTV allowed on all subordinate financing transactions.**
3. LTV can exceed 96.50 if borrower is qualified for Sales Incentive for \$100 Down on HUD REO.

See Planet's FHA 203(k) Standard Conforming & High Balance Matrix for Standard guidelines. Complete HUD guidelines can be found at [HUD Handbook 4000.1](#).



FHA Limited 203(k) Conforming and High Balance Program Guidelines

For topics not addressed in this guide, see ["FHA Conforming and High Balance Program Guidelines" on page 305](#) and the [HUD Handbook 4000.1](#).

203(k) Limited Program Overview – Repair/Modify/Upgrade

The Limited 203(k) program is designed for minor rehabilitation/renovation projects and allows a borrower to obtain a single loan to purchase a property or refinance an existing loan and complete repairs and improvements after loan closing using the "After-Improved" value of the property.

Mortgages to be insured under Section 203(k) must be processed and underwritten in accordance with the requirements in [Origination Through Post-Closing/Endorsement](#).

General Parameters

- Repairs/renovation limited to a maximum of \$75,000 (including **all** renovation costs, fees, Contingency Reserve, etc.). The total mortgage amount on the property including the cost of repairs, must fall within the FHA mortgage limit for the area where the property is located. There is no minimum renovation amount.
- All renovation work must start within 30 days of loan closing date. The work cannot stop for more than 30 consecutive days and must be completed within the established timeframe.
- A Rehabilitation Reserve escrow account is established, and funds are released as work is completed. A maximum of 2 draws per contractor is allowed.
- The mortgage amount is based on the projected value of the property with all work completed ("After-Improved" value).
- 1-year Homeowner Policy must be in place for the after-improved value of the property at the time of loan closing. If the property is not insurable, Borrower can obtain a Builders Risk Policy. Loan Escrows will need to be established using quote for standard HOI with sufficient funds to pay full premium at expiration of Builders Risk Insurance.
- State/county/municipality licensing requirements must be followed. **Planet does not allow self-help (borrower completes work); work must be completed by a licensed contractor.**

IRS Forms 4506-C and 8821 Requirements

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 305](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet



Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Sections II.A.1 and II.A.4-5 of the Federal Housing Administration's [Single Family Housing Policy Handbook](#).

Appraisals

- Appraisals must be provided by an FHA approved appraiser
- All 203(k) appraisals are completed "subject to" completion
- Except as described below in cases of property flipping and refinance transactions, an "As-Is" appraisal is **not** required, and alternative methods to establish the "As-Is" value may be used.

203(k) loans require both an "**Adjusted As-Is**" value and an "**After Improved**" value as outlined below. When an As-Is Appraisal is obtained, the Adjusted As-Is Value is the As-Is Property Value.

Adjusted As-Is Value

- **Purchase transactions:** the Adjusted As-Is Value is the lesser of:
 - The purchase price less any inducements to purchase
 - The As-Is Property Value.
- **Refinance transactions:** an "Adjusted As-Is" Value and "After Improved Value":
 - For properties acquired ≥ 12 months prior to the case assignment date:
 - If the existing debt on the property plus allowable fees (see below) **exceeds** the "After Improved" value, an additional "As-Is" appraisal is required.
 - Financeable Repairs and Improvement Costs
 - Financeable Mortgage Fees
 - Financeable Contingency Reserves; and
 - Financeable Mortgage Payment Reserves (for Standard 203(k) only)
 - If the existing debt on the property plus allowable fees (see below) **does not exceed** the "After Improved" the Seller has the option of using the existing debt on the property plus the allowable fees:
 - Financeable Repairs and Improvement Costs
 - Financeable Mortgage Fees
 - Financeable Contingency Reserves; and
 - Financeable Mortgage Payment Reserves (for Standard 203(k) only)

For properties acquired < 12 months prior to the case assignment date, an "As-Is" appraisal is required.

If property is acquired by inheritance or through a gift from a family member, use the calculation of an Adjusted As-Is value for properties ≥ 12 months prior to the case assignment date.

After Improved Value

An appraisal of the property must be obtained subject to the repairs and improvements. See Section II.A.8 of the [HUD Handbook 4000.1](#) for complete 203(k) Limited Appraisal details.

- Final Contractor Bid must be included in the appraisal.
- Additional photos are required for any improvements with a contributory value that are not captured in the front and rear photos.



Architectural Exhibits

- The following inspections, if required by the appraiser, must be completed:
 - Termite/pest
 - Well or Septic certification
 - Additional HVAC or system certifications
 - Additional architectural exhibits as required
- Construction related inspections are completed by the consultant (if applicable)

AUS

All loans must be submitted to FHA Total Scorecard through DU or LPA. Please note that ARM products may only be submitted through DU. Manual Underwriting is permitted. All loans must be QM / Safe Harbor eligible.

Available Markets

• Delegated Sellers

Planet will purchase loans underwritten and closed by the delegated Seller in **all** states.

• Non-Delegated Sellers

Planet will purchase loans from non-delegated Sellers in all states. **All** loans require Planet underwriting approval.

• U.S. Territories

Prior Approval

Sellers must receive approval from Planet to deliver loans with properties located in:

- Puerto Rico

Ineligible Territories

- The U.S. Territories of American Samoa, Guam, and Northern Mariana Islands are ineligible regardless of delegation.
- Loans originated in the U.S. Virgin Islands (USVI) are not permitted for this product at this time.

Borrower Eligibility

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["Borrower Eligibility" on page 313](#).

CLTV/Secondary Financing

° For purchase transactions, a maximum 110% CLTV on all subordinate financing including, but not limited to, government entities, HUD approved non-profits, family members and private individuals.

Contingency Reserve

A Contingency Reserve is not mandated however it is recommended that a reserve of at least 10% be established. No more than 20% can be financed.

- The reserves may be financed.
- If Utilities are not on at time of inspection, 15% Contingency reserve is required.



- Contingency Reserves remaining in the account after repairs are completed will be applied to unpaid principal balance unless they were paid in cash at closing.

Additionally, the borrower may provide their own funds to establish the Contingency Reserves. Where the Borrower has provided their own funds for Contingency Reserves, they must be noted under a separate category in the Repair Escrow Account and the FHA 203(K) Calculator must show as Paid in Cash.

Additional Contingency Reserve — Utilities

Appraiser or other licensed professional (consultant, contractor, inspector, plumber, electrician) must confirm in writing that the utilities have been visually inspected and appear to be in good working order.

If utilities were not on at the time of the appraisal and the Work Write-Up/Work Plan does not include repairs to the utilities, Planet will accept alternative documentation to validate the condition of utilities.

- If home was winterized, a winterization certification indicating all utilities were working properly when turned off.
- A certification by a licensed professional (consultant, contractor, inspector, plumber, electrician) that the utilities have been inspected and appear to be in good working order.

If the utility inspection reveals utilities are not in good working order, the Contractor Estimate or Work Plan must include detailed required repairs.

Contractor Validation

Limited 203(k): No more than three specialty contractors or one general contractor.

Seller must review Contractor qualifications to establish contractor is qualified to complete the work described in the Work Write-Up or Contractors bid. The review must include contractor's credentials, work experience, and client references and ensure that the contractor meets all jurisdictional licensing and bond references.

- File must evidence contractor validation and bid acceptance.
- Non-Delegated Sellers may submit a request for Planet to validate the contractor prior to underwriting or locking the loan.

A sample checklist and documentation are available on the Core Seller Portal at www.phlcorrespondent.com under **Forms and Resources**.

Credit Report/Scores

Per TOTAL Scorecard Findings.

For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["Credit Report/Scores" on page 318](#).

DTI

Per TOTAL Scorecard Findings.

For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["DTI" on page 324](#).



Employment and Income

Rental Income Received from the Subject Property One-Unit with an Accessory Dwelling Unit

- If the subject Property is a one-unit with an Accessory Dwelling Unit (ADU) and the Borrower does not have a history of Rental Income from the subject Property since the previous tax filing, to calculate the Effective Income the Mortgagee must use 50% of the lesser of:
 - fair market rent reported by the Appraiser; or
 - the rent reflected in the lease or other rental agreement. Mortgagees must apply this requirement for both Mortgages underwritten through TOTAL Scorecard and manual underwriting.

For additional requirements, see FHA Conforming and High Balance Program Guidelines > ["Employment and Income" on page 330](#).

Financeable Repair Cost and Charges

The following fees and charges apply, as applicable, and are included in the rehabilitation costs:

- Cost of construction, repairs and rehabilitation
- Inspection Fees during construction period – 2 per Contractor
- Title Update Fee
- Permit Fees
- Contingency Reserve
- Discount points – Not to exceed an amount equal to the discount point percentage multiplied by the total of the repair cost plus financed fees above.
- Supplemental Origination Fee – \$350 or 1.5% of the total renovation cost (above)
- 203(k) Consultant fee subject to the limits governed by HUD.

** The Limited 203(k) does not require the use of a 203(k) Consultant, but a consultant is optional.*

Consultant Work Write-Up Fee Schedule	
Renovation/Repair Cost	Fee
≤ \$50,000	Up to \$1000
\$50,001 - \$75,000	Up to \$1,200
*Plus, an additional \$25 for each additional Dwelling Unit, not to exceed \$75	

Costs and Fees that may not be financed

The following fees and costs may not be financed under the Limited 203(k) program:

- Mortgage Payment Reserves
- Architectural/Engineering Professional Fees
- Feasibility Study

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.



Hazard Insurance

- 1-year Homeowner Policy must be in place for the after-improved value of the property at the time of loan closing. If the property is not insurable, borrower can obtain a Builders Risk Policy. Loan Escrows will need to be established using quote for standard HOI with sufficient funds to pay full premium at expiration of Builders Risk Insurance.
- Hazard insurance must be in place for the after-improved value of the property at the time of loan closing.

Identity of Interest/Conflict of Interest

- Sales transactions between family members and tenants/landlords that meet the requirements for the exceptions to the maximum LTV. See FHA Conforming and High Balance Program Guidelines for additional requirements for the exception to the maximum LTV.
- Both the borrower(s) and consultant must sign an Identity of Interest Certification stating there is no relationship between them and **any party** to the transaction.

Improvements

Eligible Improvements

The Limited 203(k) may only be used for minor remodeling and non-structural repairs. The total rehabilitation cost may not exceed \$75,000 and has no minimum repair cost.

All health, safety and energy conservation items must be addressed prior to completing general home improvements.

All improvement to existing structures must comply with HUD's MPR and meet or exceed building codes. Items eligible for 203(k) funds include, but are not limited to:

- Changes to improve function/modernization (bath/kitchen remodel). Cannot include structural changes
- Elimination of health/safety hazards (lead-based paint, mold, etc.) that violate [HUD's MPR](#)
- Connecting to water public water and sewage systems
- Repair/replacement/upgrade of plumbing, heating, air conditioning and electrical systems
- Repair/replace/installing roofs, sidings, gutter, down sprouts, flooring, appliances, windows and doors improvements
- Elimination of obsolescence
- Repairs to existing swimming pool
- Well/septic repair/replacement work.

NOTE: Patios and decks must increase the "As-Is" value equal to the dollar amount spent on the improvements.

Ineligible Improvements

- The repair or improvements are expected to require more than 9 months to complete.
- The rehabilitation activities require more than two payments per contractor.
- The repairs prevent the Borrower from occupying the property for more than 30 days during renovation.
- The required repairs are such that a HUD Consultant would need to prepare a Work Write Up or require plans or architectural exhibits.
- Landscaping or site improvements
- Structural Repairs of any type



See Limited 203(k) Eligible Improvements section of the [HUD Handbook 4000.1](#) for complete details.

Inspections

- The following inspections, if required by the appraiser, must be completed:
 - Termite/pest
 - Well or Septic certification
 - Additional HVAC or system certifications

Inspections and Draw Disbursement

Inspections

The following funds can be disbursed at closing:

- An authorized Form HUD 9746-A must be signed by borrower and contractor which certifies completion of work and included in the case file.
- Evidence of compliance with federal, state and local ordinances (i.e., final permit(s) as applicable). For structures being moved special guidelines apply.
- Inspections by appraisers or consultants as applicable.

Draw Disbursements

The following funds can be disbursed at closing:

- Permit fees (the permit must be obtained before work commences)
- Origination fees
- Discount points; and
- Up to 50% of the estimated materials and labor costs before beginning construction:
 - Only when the contractor is not willing or able to defer receipt of payment until completion of the work, or
 - Payment represents the cost of materials incurred prior to construction. A statement from the contractor is sufficient to document.

Post-Closing

- Maximum of four draw requests per contractor. Each draw may include up to two separate disbursements. A draw with two disbursements counts as one draw.
- Inspection Fee
- Title Update
- Funds must be released within five business days after receipt of a properly executed inspection, title update, and draw request.
- Any excess funds at project completion will be applied to the principal balance of the loan. If the borrower funded the Contingency Reserve from their own funds, any residual funds may be released to the borrower.

Disbursements Made by Seller Prior to Purchase by Planet

The Seller has the option to disburse the initial draw. Initial draws disbursed by the Seller must be reflected on the CD.

- Planet must be notified if Seller disburses draws outside of closing.
- Seller must provide required documentation to support draw disbursement including Executed Draw Request, Lien Waivers, Invoices, copy of disbursement check and other supporting documents.
- A completed Renovation Escrow Validation Form to be completed prior to purchase of the loan by



Planet. A sample Renovation Escrow Validation Form is available on the Core Seller Portal at www.phlcorrespondent.com under **Forms and Resources**

Maximum Mortgage Amount

Purchase Transaction is the lesser of:

1. The appropriate LTV multiplied by the lesser of:
 - The Adjusted As-Is Value, plus:
 - Repair and improvement cost
 - Mortgage fees
 - Contingency Reserves
 - 110% of the After Improved Value (100% for Condominiums); or
2. The [Nationwide Mortgage Limits](#).

See "[Property Flips](#)" on page 389 for FHA requirements when a property is being re-sold within one year of acquisition.

Refinance Transaction is the lesser of:

1. The existing debt associated with the new mortgage, plus:
 - Repair and improvement cost
 - Mortgage Fees
 - Contingency Reserves, and
2. Appropriate LTV multiplied by the lesser of:
 - The Adjusted As-Is Value, plus:
 - Repair and improvement cost
 - Mortgage fees
 - Contingency Reserves, and
 - 110% of the After Improved Value (100% for Condominiums); or
3. The [Nationwide Mortgage Limits](#)

Minimum Loan Amount

◦ **\$40,000.00**

Mortgage Insurance

Mortgages to be insured under Section 203(k) must comply with the MIP requirements found in the [MIP Chart](#).

- Divide the base loan amount by the After Improved Value

Occupancy

- Owner-occupied primary residence
- HUD-approved second homes



Power of Attorney

For all requirements, see FHA Conforming and High Balance Program Guidelines > ["Power of Attorney" on page 342](#).

Product

Fixed Rate: 30-year only

ARM: 3/1 and 5/1; 1-Year CMT; Caps: 1/1/5; Margin/Floor: 2.00; Qualified at Note rate

Property Eligibility

Condominiums

Condos subject to the following:

- Permitted in FHA approved Condominium Projects (HRAP approval only and must be valid when case number is issued) or on units approved in accordance with the FHA Single Unit approval process. Single Unit approvals must have an AUS "Accept" recommendation or LTV is limited to 90%. See [HUD Handbook 4000.1](#) for underwriting details and Case Number assignment process.
- Condo must be located in an FHA-approved condominium project at the time of case number assignment.
- Rehabilitation limited to the interior of the unit. Rehabilitation of the exterior of the condo or any area that is the responsibility of the condominium association is not allowed with the exception of installation of firewalls in the attic for the unit.
- Maximum mortgage cannot exceed 100 percent of the "After-Improved" value.

Eligible Properties

Must be an existing property that has been completed for a minimum of 1 year prior to the case number assignment date. If unsure, follow FHA guidelines. File must include a Certificate of Occupancy or equivalent. All health and safety issues must be addressed. The following property types are eligible for financing:

- 1–4-unit single family, including a condominium unit
- Site condominium units
- Manufactured homes where the rehabilitation does not affect the structural components of the Structure that were designed and constructed in conformance with the Federal Manufactured Home Construction and Safety Standards and must comply with all other requirements for Manufactured Housing (Must be titled as real property and meet FHA Requirements)
- Mixed use property with 1-4 residential units are acceptable if:
 - 51% of the Gross Building Area (GBA) is for residential use, and
 - The commercial use does not affect the safety of residential occupants
- Modular Homes
- PUDs (attached/detached). PUDs do not require a questionnaire/warranty form.
- HUD Real Estate Owned (REO) property
 - The Property is identified as eligible for 203(k) financing as evidenced in the sales contract or addendum. **Investor purchases of HUD REO Properties are not eligible for 203(k) financing.**



Ineligible Properties

- Commercial property
- Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)
- °Cooperative projects
- Farms, orchards, ranches
- New Construction (Certificate of Occupancy was issued within the previous 12 months)
- Properties currently condemned and uninhabitable
- Property located in the Hawaiian Islands in lava zones one or two
- Properties not completed
- Properties that will be completely torn down during the rehab process
- Unique properties

Property Flips

In addition to the standard FHA program guidelines, the 203(k) mortgage must be based on the lowest sales price in the previous year. “As-is” appraisal is required.

Properties Listed for Sale

For refinance transactions, properties listed for sale in the previous 12 months must be taken off the market prior to the Application date.

Rehabilitation Escrow Account

Required on all loans, no exceptions. See **Rehabilitation Escrow Account** guidelines in the [HUD Handbook 4000.1](#).

The Custodian of the repair escrow funds is responsible for ensuring all funds from the escrow account are properly distributed.

- After closing, all proceeds designated for the rehabilitation, including Contingency Reserves, Inspection fees, and any mortgage payments, must be placed in an interest-bearing account.
- Any net income earned by the rehabilitation escrow account must be disbursed to the Borrower through an agreed upon method of payment.

Effective for case numbers assigned on or after October 31, 2016, after the repair escrow account is closed, the Mortgagee must complete the Escrow Closeout Certification screen in FHAC within 30 Days after the escrow account is closed.

Financeable Mortgage Payment Reserves

Not applicable on 203(k) Limited

Sales Contract

File must evidence a copy of the sales contract with a provision indicating 203(k) financing was obtained, and contingent on loan approval and the borrower's acceptance of additional required improvements as determined by the Seller.



Special HUD REO Sales Incentives

Good Neighborhood Next Door (GNND)

The GNND sales incentive permits an owner-occupant borrower who is a full-time Law Enforcement Officer, Teacher, Firefighter or Emergency Medical-technicians who meet HUD's requirements to purchase a specifically designated HUD REO property, located in a HUD-designated revitalization area with FHA-insured financing at a 50% discount from the purchase price.

When using FHA-insured financing, the borrower may purchase the HUD REO property with a minimum down payment of \$100. In addition, the borrower may include in the mortgage amount customary and reasonable closing costs.

Eligible Borrower(s)

At the time the bid is submitted and at the time of closing, the borrower must be employed full-time as a Law Enforcement Officer, Teacher or Firefighter/EMT.

- Law Enforcement Officer
- Must be employed by a law enforcement agency of the federal government, a state, a unit of local government, or an Indian tribal government, and
- Sworn to uphold, and make arrests for violations of federal, state, tribal, county, township, or municipal laws.
- Teacher
- Must be an employee of a state-accredited public or private school providing direct service to students in grades pre-K through 12.
- Must serve in the area where the property is located.
- Fire Fighter/Emergency Medical Technician
- Must be employed by a fire department or emergency medical services responder unit of the federal government, a state, unit of general local government, or an Indian tribal government, and
- Must serve the area where the property is located

All buyers must certify to the good faith intention to continue employment as a law enforcement officer, teacher or firefighter/EMT for at least one year after the date of closing.

\$100 Down

The \$100 Down sales incentive permits a Borrower to purchase a HUD REO property FHA-insured financing with a minimum down payment of \$100.

Temporary Buydown

°Not Permitted

Transaction Eligibility

Eligible Transactions

In addition to the standard FHA program guidelines, the following transactions are eligible:

- Transactions where the work will require ≤ 9 months to complete



Ineligible Transactions

- Transactions where the work will require > 9 months to complete
- 203(k) to 203(k) transactions
- ° **Energy Efficient Mortgages (EEM)**

203(k) Forms and Documents

- 203(k) Borrower's Acknowledgment (HUD Form 92700-A) — Borrower must complete the "Loan Requirements" section of the Acknowledgment form indicating how the interest earned on the Rehabilitation Escrow Account is to be applied after the Final Release Notice is issued.
- Final FHA 203(K) Calculator from FHA Connection
- 203(k) Borrower Identity of Interest Certification
- Most recently completed Federal W-9 by Contractor (Rev. March 2024) (1 from each contractor)
- Contractor Written Proposal
 - Must list each work item that requires permits and indicate that repairs are non-structural, and
 - Must include a Cost Estimate that:
 - States the nature and type of each repair
 - Provides a line-item breakdown of labor and materials
 - Must demonstrate that the contractor meets jurisdictional licensing and bonding requirements
- Work Plan
 - The Seller must obtain a work plan from the Borrower detailing the proposed repairs or improvements
 - The work plan may be developed by the Borrower, or with assistance from a Contractor or 203(k) Consultant
- No specific format is required for the work plan
- Planet Contractor Acknowledgment Form – Limited 203(k) Program
- Contractor Profile (Fannie Mae Form 1202 or equivalent). Profile must include:
 - Evidence of current liability insurance which meets local/state insurance requirements
 - Evidence of current workman's Comp insurance (if applicable)
 - Copy of current license and bond as required by local/state jurisdiction
- Homeowner/Contractor Agreement-HUD Form 2420 (HOCA) (1 for each contractor)
- Fully executed Rehabilitation Loan Agreement with accurate project completion date
- Rehabilitation Loan Rider

Texas Loans require an Attorney to prepare the closing documents. The Attorney should be knowledgeable in Texas Law regarding renovation lending and provide the following documents in the closing package:

- Mechanic's Lien Contract and Transfer of Lien – must include verbiage to create the Mechanic's Lien and assignment to the Lender. Amount of renovation must match final contractor estimate.
- Rehabilitation Rider with Renewal and Extension language
- Contractor Affidavit of Compliance with Texas Law
- Rehabilitation Loan Agreement
- Non-Commencement Affidavit

Optional Consultant Documentation

The borrower has the option to use a Consultant to manage his/her rehabilitation process. With this option the following documents must be included in the case file:

- Consultant Fee Agreement
- Consultant Identity of Interest Certification
- Consultant Work Write-Up and Cost Estimate



VA Conforming and High Balance Program Grid

FIXED RATE & ARM					
Primary Residence - Full Documentation					
Transaction Type	Units	LTV	CLTV	Loan Amount ²	Credit Score
Purchase	1-4	100%	100%	°\$1,500,000	°580
Cash-out	1	90%	90%		°580
Cash-out ¹	1-4	100%	100%	°VA Conforming Loan Limits	°600

FIXED RATE & ARM					
Manufactured Homes ³					
Transaction Type	Units	LTV	CLTV	Loan Amount ²	Credit Score
Purchase	1	100%	100%	°\$1,500,000	°640
Cash-out	1	90%	90%		
Cash-out ¹	1	100%	100%	°VA Conforming Loan Limits	

Reference:

- Cash-out > 90% LTV
 - °30- and 25-year fixed rate terms only, conforming limits
- Minimum Loan Amount: °\$40,000
 - VA Conforming Limits = FHFA Conforming Limits
 - VA High Balance = \$1 over conforming limit up to °\$1,500,000
 - °Total loan amounts exceeding \$1,000,000 require an AUS Approve/Eligible
- °AUS Approve/Eligible required, Manual underwrite is ineligible, 30 Year Fixed Only

VA guidelines can be found at: [VA Lenders Handbook - VA Pamphlet 26-7](#).



VA Conforming and High Balance Program Guidelines

Planet follows the [VA Handbook](#) for topics not addressed in this guide.

IRS Forms 4506-C and 8821 Requirements

Seller must obtain borrower consent and complete either Form 4506-C or Form 8821 in accordance with IRS agency and requirements, including applicable standards under the IRS Income Verification Express Service (IVES) And the Taxpayer First Act.

- Either Form is acceptable for transcript retrieval when permitted by the IRS and the applicable agency.
- A fully executed 4506-C or 8821 must be obtained from all borrowers whose income was used to qualify, no later than the Note Date.
- Tax transcripts are required per AUS findings or may be obtained in lieu of W-2 or tax returns (personal and/or business).
- The 4506-C or 8821 must be signed by all borrowers at loan closing if transcripts were not obtained to qualify the borrower.
- See Chapter 7 > ["IRS Forms 4506-C and 8821 Requirements" on page 578](#) for general standards, including e-signature and borrower consent.
- When Form 8821 is used, the mortgage file must also include documented borrower consent specifically authorizing disclosure of tax information to third parties. The standard taxpayer consent form included in loan files is not sufficient for this purpose.

See [VA Lender's Handbook, Chapter 4, Section 4.8c](#) – Documentation Guidelines for Credit History

See [VA Lender's Handbook, Chapter 4, Section 4.10](#) – Federal Income Tax Returns

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Chapter 4 of the [U.S. Department of Veterans Affairs' Lenders Handbook](#)

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

All credit, income and asset documentation must be ≤ 120 days from the Note date (180 days for new construction). Appraisal must be dated within 180 days of the Note date.



Appraisals

- Appraisal must be performed by a VA appraiser. Appraisals are ordered through VA. A copy of the sales contract and any applicable addendums must be provided to the appraiser within one business day of the appraisal assignment on purchase transactions.
- The Notice of Value (NOV) must be provided to the veteran within five business days of receipt of appraisal.
- The NOV must be issued at the appraised value reflected on the appraisal report.
- The appraiser must not include the value of any leased mechanical systems or any other leased equipment in the estimated market value as leased items are not suitable security for a loan.
- The appraisal must include clear, illustrative, original photographs showing the front and rear view (preferably including a different side view in each photograph) and a street scene of the subject property.
- A post construction inspection must be performed on proposed construction cases
- Building sketch must include the following:
 - Calculation of the gross living areas and dimensions of dwelling, basement, and any other improvements contributing value.
 - Floor plan layout (interior room dimensions and portioning are not required).
 - If interior access is not provided on a liquidation appraisal, a sketch is not required.
- The photos must be clear, labeled and include the following:
 - Front and rear from opposite angles showing all sides of the dwelling, if possible
 - Kitchen
 - All bathrooms
 - Main living area
 - Any physical deterioration and recent updates that materially impact the market value or marketability of the subject property (i.e., remodel, restoration, renovation)
 - Interior photos are not required on liquidation appraisals when access is not available.
- The appraisal must include, at minimum, three closed sales and add comments supporting the selection
 - Comparable must be based on location and physical characteristics and not price
 - When sales data from the market area is limited, the appraiser must provide as much information and professional opinion regarding the market, reasons for limited data and the difference between the subject property and comparable
 - Use of a sale of REO properties or short sales as a comparable is acceptable
 - Property is in a new subdivision or condominium, the appraiser must include, if available for comparison, properties constructed by a competing builder in the subject market area as well as properties within the subject subdivision or condominium.
- A photograph of the front of each comparable is required
 - Real estate marketing photographs are acceptable with an explanation, for example, to exhibit condition at the time of sale, or if a comparable sale is in a gated community that was not accessible to the appraiser
 - For condominiums, if the subject and sales are in the same building or identical buildings, the appraiser may comment instead of providing photographs of the sales

NOTE: See VA Pamphlet 26-7, Chapter 11 for complete comparable sales requirements.

NOTE: The appraiser is always allowed to provide more than three comparable sales in order to support the property value.

- The subject and all comparables must be appropriately identified. See ["Minimum Property Standard \(MPR\)" on page 410](#) for property requirements.



- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal review. See ["Chapter 8: Loan Purchasing" on page 583](#) for detailed requirements.

Natural Disasters During the Appraisal Process

The standard appraisal process must be followed when the appraisal has been ordered but property has not been inspected prior to date of the disaster. No additional documentation is required.

Properties appraised on or before the date of the declared disaster and not closed prior to that date must include the following items that must be submitted with the VA guaranty request

- A signed and dated certification from the lender confirming:
 - There was no damage to the property during the recently declared disaster, or
 - The property has been restored to its pre-disaster condition or better.
- A signed and dated certification from the borrower confirming:
 - The post disaster condition of the property is acceptable.
 - No disaster related expenses will be charged to the borrower, and
 - The closing process can proceed.

A new appraisal is required if there is an indication that the property value may have declined due to the disaster, despite the completion of repair.

- The payment of the appraiser's fee for this service will be a contractual matter between the buyer and seller.

NOTE: See VA Lenders Handbook VA Pamphlet 26-7 for complete appraisal details.

Assets

If assets are required to close, the following is required to indicate sufficient funds:

- 2 months most recent bank statements or per AUS Findings (all pages). Sellers who are also the depository for the borrower's account may provide a printout or other alternative verification of the borrower's bank account assets produced directly from the bank or credit union's system in lieu of bank statement(s).
- Verification and documentation of the deposit amount and source of funds is required, if the earnest money:
 - Appears to be excessive based on the borrower's history of accumulated savings.
 - Satisfactory documentation includes:
 - ☐ Copy of the canceled check and a copy of the bank statement showing the withdrawal
 - ☐ Certification from the deposit holder acknowledging receipt of the funds
 - ☐ Bank statements (all pages) for the most recent 2 months.

NOTE: VODs are acceptable as the primary source of verification.

- Cash on hand and unsecured funds are ineligible sources for assets.

Gift Funds

- A gift can be provided by a donor that does not have any affiliation with the builder, developer, real estate agent, or any other interested party to the transaction. A gift letter must:



- Specify the dollar amount of the gift,
- Include the donor's statement that no repayment of the gift funds is expected, and
- Indicate the donor(s) name, address, phone number, and relationship to the borrower.
- The Seller must verify that sufficient funds to cover the gift have been transferred to the borrower's account or will be documented as received by the closing agent at the time of closing. Acceptable documentation includes the following:
 - Evidence of the borrower's deposit,
 - A copy of the donor's funds by check/electronic transfer of the closing agent, or
 - The CD showing receipt of the donor's funds.

Marijuana/Cannabis

Assets derived from employment in the marijuana or cannabis industry is not an eligible source of assets, regardless of state law. Assets from employment in industries that are not prohibited at the federal level, such as the legal hemp industry, are eligible.

Reserves

- 1-unit property: Not required
- 2-4 unit property: 6 months PITI. Reserves not required if rental income not used for qualifying.
- Other rental real estate owned: 3 months PITI for each additional property owned. Reserves not required if rental income not used for qualifying.

Assumptions

Planet follows Agency guidelines.

AUS

Planet accepts the following AUS Findings on VA Loans:

- Desktop Underwriter (DU):
 - "Approve/Eligible"
 - "Refer/Eligible" (manual underwrite required)
- Loan Product Advisor (LPA):
 - "Accept/Ineligible"
 - "Refer/Ineligible" (manual underwrite required).
- An "Approve/Eligible" or "Accept/Ineligible" Finding must be downgraded to a manual underwrite when any of the following are present:
 - **°Mortgage history has more than a 1 x 30 in the previous 12 months**
 - **°Borrower is in an IRS tax repayment plan,**
 - **°There are active disputed tradelines**
 - **°The subject loan was previously a restructured/modified mortgage.**
 - **°A minimum of 12 months of 0x30 payments have been made on the modification.**
 - **°If the mortgage was in default at the time of modification, it is not eligible.**

Available Markets

Delegated Sellers

Planet will purchase loans underwritten and closed by the delegated Seller in **all** states, the U.S. Virgin Islands (USVI), and Puerto Rico (see Prior Approval below).



Prior Approval - Delegated Sellers

Sellers must receive approval from Planet to deliver loans with properties located in:

- Puerto Rico

Non-Delegated Sellers

Planet will purchase loans from non-delegated Sellers in **all** states.

All loans require Planet underwriting approval.

Ineligible Territories

The U.S. Territories of American Samoa, Guam and Northern Mariana Islands are ineligible regardless of delegation.

Blue Water Navy Vietnam Veterans Act of 2019

- The maximum loan guaranty may be expanded on loans greater than the Freddie Mac conforming loan limits in certain circumstances. The following transaction are eligible:
 - Purchase
 - Construction, and
 - Cash-out Refinance

NOTE: No change to the maximum amount available to veterans for loans $\leq$ the \$144,000 regardless of conforming limits.

- Full entitlements do not require Freddie Mac CLL consideration.
- Entitlements previously used but has not been restored:
 - The maximum guaranty amount is the lesser of 25% of the loan amount, or the maximum amount of guaranty available.
 - The maximum amount of guaranty entitlement is 25% of the Freddie Mac CLL, reduced by the amount of entitlement previously used (not restored) .
 - Entitlements may be restored for a cash-out refinance of active VA-guaranteed loans when ordering or correcting the Certificate of Eligibility (COE).

Borrower Eligibility

Eligible Borrowers

Eligible per VA guidelines

- The following situations require VA review and approval:
 - Joint loan of a veteran and one or more non-veteran (not spouse) – the 25% coverage must be covered through the Veteran's Entitlement and the Non-Veteran's Down Payment (see [VA Handbook Chapter 7.1](#) for examples of calculating the maximum loan amount)
 - Loans to veterans in receipt of VA non-service connected pension
 - Veterans rated incompetent by the VA
 - Proposed construction that is $\leq$ 95% complete
 - IRRRL being used to refinance a VA loan that is $\geq$ 30 days past due



CAIVRS

All borrowers must be checked against the Credit Alert Interactive Voice Response System ([CAIVRS](#)) to determine if they have delinquent federal debt. Borrowers identified with a CAIVRS claim are generally ineligible.

Chain of Title

A 12-month chain of title is required for all loans (excluding new construction). Title must include all transfers in the previous 12-month period, including copies of all recorded deed(s). If more than one transfer in previous 12 months **or** property has significant increase in value since prior transfer, an appraisal addendum addressing all transfers is required.

Compensating Factors

VA considers the following when considering compensating factors:

- Excellent credit history
- Conservative use of consumer credit
- Minimal consumer debt
- Long-term employment
- Military benefits
- High residual income
- Low DTI ratio
- Significant liquid assets
- Sizable down payment
- Existence of equity in refinance loans
- Little or no payment shock
- Satisfactory homeownership experience
- Tax credits for childcare
- Tax benefits of home ownership
- Documented Energy-Efficiency Savings ([VA Circular 26-25-7](#))
 - When a qualified energy-efficiency report (e.g., RESNET HERS or VA-approved) indicates potential utility-cost savings, those savings may be treated as a compensating factor for residual-income sufficiency. Lenders may not offset the standard maintenance & utilities expense. The analysis must be documented in the Remarks section of VA Form 26-6393, and the report must be retained in the loan file. Reports should be based on confirmed testing, recommended ≤12 months old at closing, and are not permitted if household size exceeds bedrooms plus one.

Residual Income Clarification:

- Energy-efficiency savings cannot reduce maintenance & utilities component of the residual-income calculation. Such savings may only be applied as a compensating factor.
- Document rationale in the Remarks section on VA Form 26-6393; retain the supporting energy-efficiency report in the loan file.

Credit Report/Scores

- **OA minimum credit score of 580 is required regardless of AUS Findings.**
- **OA minimum credit score of 600 is required on cash-out transactions > 90% LTV.**
- A tri-merged credit report is required for all borrowers.
- The primary borrower (the borrower with the highest income) must meet the minimum credit score



requirement.

- The representative credit score is determined as follows:
 - If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.
 - If there are two valid scores, the lower of the two is used.
 - If there is one valid score, that score is used.
- The borrower(s) must address **all** credit inquiries indicated on the credit report within the previous 120 days and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not).

Credit Report – Fraud Alert

When a fraud alert, active-duty alert or freeze is included with a credit report, additional steps are required to verify the borrower's identity and documentation must be provided. Documentation should include, but is not limited to:

- A letter of explanation from the borrower, and
- A copy of the identity theft report, and
- An additional form of identity verification, and
- If the credit alert contains a phone number for a verbal verification prior to credit being issued, documentation must be provided that the borrower was contacted.

Derogatory Credit

In circumstances not involving bankruptcy, satisfactory credit is generally considered to be re-established after the borrower has made satisfactory payments for 12 months after the date of the last derogatory credit item was satisfied. If a credit report reveals numerous unpaid collections and/or accounts that are not being paid timely, including some which have been outstanding for many years, then once the borrower has satisfied the obligations, then makes timely payments on subsequent obligations for at least 12 months, satisfactory credit is considered re-established.

Bankruptcy

- **Chapter 13**
 - If the veteran has finished making all payments and the payments were paid satisfactorily, the veteran is considered to have re-established credit.
 - If the veteran has not finished making payments, the veteran is eligible subject to:
 - A minimum of 12-months' payments have been made satisfactorily, and
 - The trustee or bankruptcy judge provides written permission for the veteran to enter into the mortgage transaction.
- **Chapter 7**
 - >2 years since discharge date from closing for purchase and refinance transactions
 - If bankruptcy was discharged within 1 to 2 years (discharge date to application date), may be considered if both of the following are met:
 - The bankruptcy was due to documented circumstances beyond the borrower(s) control (e.g., unemployment, medical bills not covered by insurance, death, etc. Divorce is generally not considered a circumstance beyond control), and
 - The Borrower(s) have obtained credit subsequent to the bankruptcy and accounts have been made satisfactory payments over a continued period.
 - Discharged < 12 months is ineligible
- A letter of explanation for any bankruptcy filing is required.



NOTE: See Chapter 4 of the VA Lenders Handbook for complete details.

Collections/Charge Off Accounts

- Collection and charge-offs are generally not required to be paid off, however follow AUS findings if payoff is required.
 - Medical collections and charged-off medical accounts do not need to be considered in qualifying ratios or when determining the residual income.
 - The presence of medical collections and/or charged-off medical accounts should not be considered when determining an applicant's creditworthiness.
 - Collections accounts must be considered part of the borrower's overall credit history and unpaid collection.
 - A letter of explanation may be required for all collection/charge-off/judgment accounts if a loan is downgraded to a manual underwrite.

Non-Medical Collection Accounts

- Non-medical collection accounts that do not have an established payment arrangement or a minimum monthly payment amount reported on the credit report must be included in the borrowers monthly debt obligations. The monthly payment must be calculated as 5% of the outstanding collection balance divided by 12.
 - Example: $(\$10,000 \times .05 = \$500 / 12 = \$41.67 \text{ monthly payment})$
- Borrowers with a history of non-medical collection accounts must demonstrate re-established satisfactory credit history in accordance with the applicable credit requirements to be considered an acceptable credit risk.

NOTE: At underwriter discretion, payoff may be required regardless of the account balance.

Consumer Credit Counseling

- If a borrower(s) has good prior credit and are participating in a Consumer Credit Counseling plan, there are no restrictions.
- If a borrower(s) has prior adverse credit and are participating in a Consumer Credit Counseling plan, the following are required:
 - >12 months satisfactory payments, and
 - Written permission from the Counseling Agency to enter into a mortgage transaction.

Delinquent Child Support

Delinquent child support must be paid current or in a payment plan.

Foreclosure

- >2 years since completion from date of closing
- If foreclosure completed within the past 1-2 years from date of closing, the borrower may be eligible subject to the following:
 - The foreclosure was due to documented circumstances beyond the borrower(s) control (e.g., unemployment, medical bills not covered by insurance, death, etc. Divorce is generally not considered a circumstance beyond control), and
 - The borrower(s) have obtained credit subsequent to the foreclosure and have made satisfactory payments over a continued period.
- Borrower(s) must have re-established credit



NOTE: If the foreclosure was included in a bankruptcy, the discharge date is used for determining the foreclosure date. If the foreclosure was on a VA loan, the applicant may not have full entitlement available. Planet requires a minimum 25% guaranty.

Deed in Lieu or Short Sale

If the borrower's payment history on the property was not affected before the short sale or deed in lieu and was voluntarily communicating with the servicer or holder, then a waiting period from the date transfer of the property may not be necessary.

NOTE: If the foreclosure was included in a bankruptcy, the discharge date is used for determining the foreclosure date. If the foreclosure was on a VA loan, the applicant may not have full entitlement available. Planet requires a minimum 25% guaranty.

Down Payment

Not required unless the purchase price exceeds the full reasonable value of the property or if the loan amount exceeds the county limit established by VA then a down payment is required by the borrower from the borrower's own funds.

Down Payment Assistance/Grants

Funds from grants/down payment assistance (DPA) programs are eligible per VA guidelines.

DTI

- DTI > 41% requires additional documentation/justification unless:
 - The ratio is > 41% is due solely to the existence of tax-free income, or
 - Residual income exceeds the guidelines by at least 20%
 - The debt-to income ratio includes the following:
 - Monthly housing expense, and
 - Additional recurring charges extending 10 months or more, such as
 - Installment accounts
 - Child support or separate maintenance payments
 - Revolving accounts
 - Alimony.
- Tax free income may be "grossed up" for purposes of calculating the DTI ratio only (not for residual income).
- Significant debts and obligations include:
 - Debts and obligations with a remaining term of 10 months or more; that is, long-term obligations, and
 - Accounts with a term of less than 10 months that require payments so large as to cause a severe impact on the family's resources for any period of time.
- Deferred Student Loans
 - Payments deferred or in forbearance > 12 months from the Note date may be excluded from the DTI ratios. See VA Lenders Handbook for complete details on student loan debt.



30-Day Charge Account

For open 30-day charge accounts, it must be determined if the borrower pays the balance in full each month and has verified funds to cover the account balance in addition to any funds required for closing costs.

- If there are sufficient funds, the payment does not need to be included in the Loan analysis, but the obligation should continue to be listed.
- If there are not sufficient funds, a minimum payment of 5% of the balance must be included in the loan analysis.

Co-Signed Debt

The borrower may have a contingent liability based on co-signing a loan. The Seller may exclude the loan payments from the monthly obligations factored into the net effective income calculation in the loan analysis if:

- There is evidence that the loan payments being made by someone else, and the obligation is current, and
- There is no reason to believe that the borrower will have to participate in repayment of the loan.

Employment and Income

- A two-year employment history is required.
- A verbal verification of employment (VVOE) is required within 10-business days of loan closing for wage earner borrowers and within 30 calendar days of loan closing for self-employed borrowers.
- Sellers must independently obtain the phone number, and when possible, the address of the wage earner borrowers employer using directory assistance/internet/phone book, etc.
- Self-employed borrower's business requires verification of the business by a third-party source (e.g., CPA, Federal Tax ID Certificate, Business License).
- A military Leave and Earnings Statement (LES) is required for active-duty military in lieu of a VVOE. The LES must be an original or certified copy of original. The LES must be no more than 120 days old (180 days for new construction).
- Follow AUS Findings for income documentation requirements.
- Amended tax returns are allowed with an exception from the Director of Underwriting & Policy Management or the VP Correspondent Operations, subject to the following requirements:
 - Original and amended tax returns are required. Tax transcripts for the amended tax returns must be obtained and be provided from the IRS. Borrower obtained tax transcripts for amended tax returns are not allowed.
 - Tax returns must be amended prior to the application date. Tax returns amended after the application date are not allowed.
 - Amended tax returns must be accepted by the IRS.
 - If the borrower owes taxes to the IRS, the full amount must be paid in full. Installment agreements for taxes are allowable if Agency guidelines are met.
 - An explanation for the amended tax returns is required to be obtained from the borrower if the income is being used to qualify.
- **Self-Employed Borrowers**
 - Follow AUS Findings for documentation requirements
 - Manual underwrite requires:
 - 2 years signed personal tax returns or tax transcripts
 - 2 years signed business/corporate tax returns
 - YTD Profit and Loss (P&L) and balance sheet (prepared by the borrower is acceptable)
 - Only income from the tax returns can be used unless P&L audited by CPA
 - Income must not be declining more than 10% per year or must use lowest income to qualify



- Depreciation and /or depletion may be added back, and
- Business use of home may not be added back

See [VA Handbook](#), Chapter 4 Section 8 for complete requirements.

• **Commissioned Income**

File must include VOE or other written verification that evidence the following:

- Year-to-date amount of commissions paid
- Basis for payments (salary plus commission, straight commission, or draws against commission, or other), and
- How often commissions are paid (bi-weekly, monthly, quarterly, etc.)
- Copies income tax returns for the previous 2-year years (signed and dated) including all applicable schedules
- Analyze Income derived from Commissions
 - Income must be stable for at least 2 years
 - Employment less than 2 years is not considered stable income unless the borrower has worked previously in a related field and/or completed specialized training.
 - Employment less than 1 year is not generally allowed for qualification. However, an in-depth evaluation may be conducted to reach a final conclusion
- Commission income < 25%
 - The expenses from commission income < 25% of the total annual employment income is as follows:
 - IRS Form 2106 expenses are not required to be deducted from income even if they are reported on IRS Form 2106
 - The expenses are not required to be added as a monthly liability for the borrower.
- Commission income ≥ 25%
 - The expenses from commissioned income ≥ 25% of the annual employment income is as follows:
 - IRS Form 2106 expenses must be deducted from gross commission income regardless of the length of time the borrower has filed the expenses with the IRS.
- Exception
 - One exception is an automobile lease or loan payment. An automobile lease or loan payments are not subtracted from the borrower's income; they are considered part of the borrower's recurring monthly debts/obligations in Section D on VA Form 26-6393, *Loan Analysis*.

• **Marijuana/Cannabis**

- Income derived from employment in the marijuana or cannabis industry is not an eligible source of income, regardless of state law. Income from employment in industries that are not prohibited at the federal level, such as the legal hemp industry, is eligible.

• **Rental Income**

- Conversion of Current Residence
 - The prospective rental income may be used to offset the mortgage payment on the rental property. It may not be included in the effective income.



- If the borrower has a rental agreement, it must be provided. If there is no rental agreement, the prospective rental income may still be considered if the local rental market is determined to be strong and the property will probably not be difficult to rent. Realtors/appraisers are examples of parties who can identify local rental market trends.
- Other Rental Property not Secured by a VA Loan
 - Borrowers with a history of being a landlord may use rental income from other property as follows:
 - Documented 3 months PITI reserves, and
 - Previous 2 years' individual tax returns, with all applicable schedules, indicating the rental income generated by the property is required.

NOTE: Reserves not required if rental income not used for qualifying.

- Rental of Multi-Unit Property Securing the VA Loan
 - The prospective rental income may be included in the veteran's effective income if:
 - The veteran has a documented history of being a landlord and there is reasonable likelihood of continued success,
 - There are 6 months PITI cash reserves, and
 - The amount of rental income included in the effective income is:
 - ☐ Based on 75% of the prior rent collected (existing property), or
 - ☐ The appraiser opinion of the property's fair monthly rent (new construction).

NOTE: Reserves **not required** if rental income not used for qualifying.

Analysis of Rental Property Income

- A 2-year rental history must be itemized on the borrower's tax return
- Property depreciation claimed as a deduction on the tax may be included as effective income
 - If after adding depreciation to the negative rental income, the borrower still has rental loss, the negative income should be deducted from the overall income as it reduces the borrower's income.
- If rental income will not, or cannot be used, then the full mortgage payment should be considered and reserves do not need to be considered.

Residual Income

- Residual income is the net income remaining after deducting:
 - Federal and state taxes, Social Security and Medicare,
 - Proposed PITI mortgage payment,
 - Revolving and installment debt,
 - Child support or alimony obligations,
 - Child care or job expenses, and
 - Home maintenance (calculated at 14¢ per square foot)
- Grossed-up income cannot be used to meet residual income requirements.
- Residual income requirement can be reduced by 5% if:



- the veteran is an active duty or retired serviceperson, or
- there is a clear indication that the borrower will receive the benefits resulting from use of military-based facilities located near the property.
- Only the borrower's actual income may be used to calculate the residual income.

The following residual income charts detail VA's requirement by loan amount, family size and region.

Loan Amounts ≤ \$79,999				
Family Size	Northeast	Midwest	South	West
1	\$390	\$382	\$382	\$425
2	\$654	\$641	\$641	\$713
3	\$788	\$772	\$772	\$859
4	\$888	\$868	\$868	\$967
5	\$921	\$902	\$902	\$1,004
Over 5	Add \$75 for each additional family member up to 7			

Loan Amounts ≥ \$80,000				
Family Size	Northeast	Midwest	South	West
1	\$450	\$441	\$441	\$491
2	\$755	\$738	\$738	\$823
3	\$909	\$889	\$889	\$990
4	\$1,025	\$1,003	\$1,003	\$1,117
5	\$1,062	\$1,039	\$1,039	\$1,158
Over 5	Add \$80 for each additional family member up to 7			

Exceptions to the above:

- Individuals may be omitted from the "family size" if they are fully supported from a source of verified income that is not included in the effective income analysis. For example:
 - A spouse not obligated on the Note that has stable and reliable income sufficient to support their living expenses, or
 - A child for whom sufficient foster care payments or child support payments are received regularly.
 - A parent who has sufficient stable and reliable non-taxable income.

Geographic Regions as Identified by VA			
Northeast	Connecticut	New Hampshire	Pennsylvania
	Maine	New Jersey	Rhode Island
	Massachusetts	New York	Vermont



Geographic Regions as Identified by VA			
Midwest	Illinois	Michigan	North Dakota
	Indiana	Minnesota	Ohio
	Iowa	Missouri	South Dakota
	Kansas	Nebraska	Wisconsin
South	Alabama	Kentucky	Puerto Rico
	Arkansas	Louisiana	South Carolina
	Delaware	Maryland	Tennessee
	District of Columbia	Mississippi	Texas
	Florida	North Carolina	Virginia
	Georgia	Oklahoma	West Virginia
West	Alaska	Idaho	Utah
	Arizona	Montana	Washington
	California	Nevada	Wyoming
	Colorado	New Mexico	
	Hawaii	Oregon	

See [VA Lenders Handbook](#) for Income details.

Escrow/Impound Account

Required on all loans, no exceptions.

Fees and Charges

VA allows the following fees and charges:

- 1% origination fee based on total loan amount. Fees determined by VA as unallowable **cannot** be charged, or
- 1% unallowable fees based on the total loan amount. An origination fee **cannot** be charged, or
- 1% blend of origination fee and unallowable fees based on the total loan amount. Combined fees cannot exceed 1% of the total loan amount.

The veteran cannot pay any of the following fees (if 1% origination fee is charged):

- Attorney fees (unless the veteran independently retains an attorney)
- Prepayment fees
- Real estate broker fees (*see exception below*)
- Lender's Inspections
- Lender's Appraisal
- Closing/Settlement Fee
- Doc Prep Fees
- Conveyance Fee
- Underwriting Fee
- Fees to Loan Brokers, Finders or Other 3rd Party Fees
- Notary Fees
- Trustee Fee
- Interested Rate Lock Fee
- Postage/Mail Charges
- Amortization Schedule
- Tax Service Fee
- Attorney's Services other than title work
- Loan Application/Processing Fee



- Commitment Fees
- Fax/Email/Copying Fee
- Escrow Fee
- Fees for preparing TRID
- Prepayment Penalties (refi)
- Any other fee(s) not listed as allowable by VA

Exception – Real Estate Broker Fees ([VA Circular 26-24-14](#))

Veterans may pay reasonable and customary real estate broker (buyer-agent) fees if:

- The fee is customary and not paid by the seller, and
- Local MLS rules prevent the listing broker from establishing or passing compensation to the buyer's agent.

Requirements:

- Fee cannot be financed in the loan.
- Must be included in Section H of the Closing Disclosure.
- Buyer-broker agreement must be:
 - Included in the sales contract package
 - Uploaded when requesting the appraisal
 - Retained in the loan file
- Fee must be included in the borrower's cash-to-close and residual income analysis.

VA Funding Fees

- The Veteran is required to pay a Funding Fee to help defray the costs of the VA loan program
- Locate the appropriate percentage on the funding fee table posted on: http://www.benefits.va.gov/homeloans/documents/docs/funding_fee_table.pdf
- Apply this percentage to the loan amount to arrive at the funding fee
- The Funding Fee can be financed in the loan, or can be paid in cash; however, a partial funding fee is not allowed (cannot be part cash and part financed)
- Funding Fees are waived for active-duty, Purple Heart recipients

VA Funding Fee*			
Type of Loan	Down Payment	First Time Use	Subsequent Use
Purchase and Construction	<5%	2.15%	3.3%
	5% - 10%	1.5%	1.5%
	≥ 10%	1.25%	1.25%
Cash-Out Refinance	N/A	2.15%	3.3%
IRRRLs	N/A	0.50%	0.50%
Loan Assumptions	N/A	0.50%	0.50%

*The Certificate of Eligibility (COE), issued by VA, will indicate if the veteran is exempt or non-exempt from paying the VA Funding Fee and the amount of the veteran's entitlement.



NOTE: Funding fee is waived for active-duty Purple Heart recipients.

Follow ALL requirements surrounding the validation of the Funding Fee as outlined in VA Circular 26-19-17

Allowable Closing Costs

The following fees may be charged:

- Loan Origination (up to 1%)
- Reasonable Discount Points
- Appraisal Fee/Compliance Inspections
- Credit Report Fee (actual cost)
- Title Examination/Title Insurance Fee
- Recording Fees & Taxes
- Prorated Taxes
- Hazard Insurance
- Flood Insurance
- Flood Determination
- Federal Express/Express Mail (refi only)
- Closing Protection Letter
- VA Funding Fee
- MERs Registration
- Pest Inspection Fees
- Survey/Plot Plan
- Well Inspections Fees
- Septic Inspection Fees

The above lists may not be all inclusive. See [VA Lenders Handbook](#) for detailed guidance on allowable/unallowable fees and charges.

Subordination Fees

- Subordination fees cannot be financed into the loan.
- If a subordination fee is charged the borrower must either pay the fee in cash or have a premium pricing credit that is large enough to cover the subordination fee.

Third Party Charges

Third party charges are limited to the actual charge of the third party, no mark up or duplication of charges is allowed. VA limits the fee charged for an appraisal. View the appraisal fee list at [VA Appraisal Fee Schedules](#).

Example:

If a credit report is obtained at a cost of \$30, the Seller may only charge the borrower for \$30 for the credit report, The Seller may not charge \$35, even if it believes that a \$5 handling charge is fair.

In addition, the borrower may not pay a duplicate fee for services that have not already been paid for by another party.

Example:

An appraisal is completed on a property and paid for by a prospective purchaser, but the sale is never completed. A second purchaser applies for the loan before the validity period of the NOV expires. The Seller uses the same NOV. The Seller may not charge the second purchaser an appraisal fee if no second appraisal is ordered.

Financed Properties

- Owner-occupied properties: No limit.
- **o Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.**



Guaranty/Entitlement

- A minimum 25% guaranty is required
- The guaranty is limited to the veteran's portion of ownership interest in the property. (i.e., if the veteran is the only person on title but **adds someone other than their spouse to title**, the final loan guaranty would be half of the veteran's entitlement).

Inspections

A termite inspection is required in all states where termites are present or when the appraiser has indicated a need for a termite review due to wood-destroying insect damage or an active insect infestation. See [VA Department- Local Requirements](#) for additional details.

- Well inspections are required in all cases (private or shared)
- Septic inspection is required when the appraiser indicates the need for one. Septic tests or certifications are valid for 90 days unless local law requirements vary.

NOTE: Connection to public water and/or sewer is only mandatory when required by local building, planning or health authorities.

Manufactured Housing

- ° **30-year Fixed Rate only**
- ° **Manual underwrite is ineligible**

Credit Score

- ° **Minimum 640 FICO**

Eligible Properties

- The manufactured home must be:
 - 1-unit, multi-wide dwelling
 - Classified as real estate
 - Condominiums
 - Existing or New construction
 - Property affixed to a permanent foundation
 - PUD

Ineligible Properties

- 2-4 units
- ° **Leasehold**
- ° **Properties located in a 100-year Flood zone**
- ° **Singlewide**

Manufactured Homes Titled as a Condo

- All condominium units, including site condominiums and manufactured home condominiums, must be located in a condominium development that has been accepted by VA prior to loan guaranty.
- SARs receiving an appraisal for a condominium unit in a development that has not been at least conditionally accepted by VA may not issue the NOV.

New Construction



Any case in which the foundation has not been fully completed and the manufactured home unit installed is considered to be “proposed or under construction.”

In those cases, each set of construction exhibits must include:

- Specifications for the foundation and a plot plan as required for conventional site-built homes
- In double-wide homes, a detail of the mating line piers, if applicable location and a cross sectional
- A foundation plan showing the detail of the supporting piers. In all cases, include drawings of the foundation anchorage details.
- A floor plan of the unit and exterior elevation drawings/photographs of the front and rear of the home, unless the unit is physically located on the site to be appraised or the appraiser has access to the unit on the dealer's lot. These may be provided in the manufacturer's advertising or technical installation manual.
- In States or localities that require the underside of the unit to be completely enclosed, details of the perimeter enclosure that comply with those requirements.
- Since site conditions vary considerably from location to location, any revision needed to information provided in the manufacturer's technical installation manual in order to comply with local requirements.
- Appropriate construction exhibits for any other on-site improvements, such as decks, enclosed patios, garages and carports, etc., to be financed with the loan proceeds.
- A certification signed and dated by a technically qualified and properly identified individual (such as builder, architect, engineer, etc.) which states, “I certify that the construction exhibits for (identification of the property by house type, lot, block, subdivision name, etc.) meet all local code requirements and are in substantial conformity with VA Minimum Property Requirements, including the energy conservation standards of the 1992 Council of American Building Officials' Model Energy Code and the requirement for lead-free water piping.” VA will accept HUD 92541, Builder's Certification of Plans, Specifications and Site, in lieu of this certification.

Maximum Loan Amount

Maximum base loan amount is VA Conforming Loan Limits.

- Maximum total loan amount **0\$1,500,000** in all states.
 - **0 Loan amounts >\$1,000,000 require an AUS approval.**

Loan Amount > Conforming limit

- **0 Maximum LTV is 100%.**
- **0 Full credit report required for both credit and non-credit qualifying to verify mortgage history.**
- **0 Mortgage history**
 - **0x30 in 12 months for credit qualifying.**
 - **0x30 in 24 months for non-credit qualifying.**

See ["Transaction Eligibility" on page 418](#) for detailed information on allowable inclusions in the loan amount.

Minimum Loan Amount

0 \$40,000.00

Minimum Property Standard (MPR)

VA has the following minimum property standards (MPR).

- Each property must have sufficient space for:



- Living
- Sleeping
- Cooking and dining accommodations,
- Sanitary facilities
- Mechanical systems must:
 - Be safe to operate, and
 - Be protected from destructive elements
- Heating must be permanently installed and maintain a temperature of at least 50° in areas where there is plumbing.
- Each unit must have a water supply and sanitary facilities as follows:
 - Domestic hot water
 - A continuous supply of safe and potable water for drinking and other household uses,
 - Sanitary facilities with a safe method of sewage disposal. A connection to a public or community water/sewage system is required when dictated by local building, planning or health authorities.
 - Any required well or septic tests/certifications are valid for 90 days unless local health authority indicates differently.

Mortgage/Rental History

- 0x30 in 12 months. A manual downgrade is required for any mortgage debt with more than 1 x 30 in 12.
- Mortgage must be current and due for the month closing
- Verification of Mortgage (VOM) or Verification of Rent (VOR) are required if an “Approve/Eligible” Finding is not received.
- Copies of rent checks are required to document rental history, In lieu of rent checks, at the underwriter's discretion, the following may be acceptable:
 - A direct verification of rent (VOR) provided by a professional management company, or
 - Copies of Money Orders.

Mortgage Seasoning

° Loan seasoning applies to any loan being refinanced into a VA loan. A cash-out refinance, Type I or Type II, is not eligible for guaranty if the VA guaranteed loan being refinanced has not been seasoned as of the closing date. A loan is considered seasoned if all of the following conditions have been met as of the closing date:

- ° The note date of the refinance loan must be on, or after, the later of:
 - ° The date on which the applicant has made at least six-monthly payments on the loan being refinanced, and
 - ° The date that is 210 days after the first payment due date of the loan being refinanced.
 - ° If the loan has been modified, the seasoning starts with the first payment due date of the modification.

NOTE: Refinance of loans on which fewer than six consecutive regularly scheduled payments have been made are not eligible for financing.

Multiple VA Loans

- The entitlement previously used in connection with a VA home loan may be restored under certain circumstances. Once the entitlement is restored, it may be used again.
- A previously used entitlement may be restored if:
 - The property which secured the VA loan has been sold, **and** the loan has been paid in full, or
 - An eligible veteran-transferee has agreed to assume the outstanding balance on a VA loan and



substitute his/her entitlement for the same amount originally used on the loan. The assuming veteran must also meet occupancy, income and credit requirements.

- In addition to the basic restoration criteria outlined above, a veteran may obtain restoration of the entitlement used on a prior VA loan as follows:
 - The prior VA loan has been paid in full and the veteran has made application for a refinance loan to be secured by the same property which secured the prior VA loan (including refinancing situation in which the prior loan will be paid off at closing from a VA refinance of the same property, or
 - The prior VA loan has been paid in full but the veteran has not disposed of the property securing the loan. The veteran may obtain restoration of the entitlement used on the prior loan in order to purchase a different property, one time only. Once this occurs, the veteran's Certificate of Eligibility will indicate the one-time restoration. Any future restoration will require disposal of the property obtained with a VA loan. A cash-out refinance is not eligible once the one-time restoration is used.

Non-Purchasing Spouse

The debts of the non-purchasing spouse must be included in the borrower's qualifying ratios, unless specifically excluded by state law, if:

- Borrowers reside in a community property state, or
- Property being purchased is located in a community property state.

The credit history of the non-purchasing spouse is not considered a reason to deny a loan, however, their obligations must be considered in the DTI unless excluded by state law. A credit report, that complies with VA guidelines for the non-purchasing spouse, must be obtained to determine if the obligations should be included in the DTI.

Occupancy

Owner-occupied primary residence. The veteran must certify their intent to occupy the property within a "reasonable time," generally within 60 days of loan closing. Service members, while deployed from their permanent duty station are considered to be in a temporary duty status and able to meet the occupancy requirement.

Power of Attorney

The following requirements apply to all transactions when a Power of Attorney (POA) is utilized:

- Use of the POA must meet all applicable state, federal, and agency guidelines.
- The attorney-in-fact must be an eligible person (the following are examples of ineligible persons: real estate agent, seller or a person related to the seller, any employee of the lender, any employee of the title company, title agent or settlement agent, or any other party with a financial interest in the transaction (other than a relative of the borrower).
- The POA must be signed and notarized.
- A trustee of a trust cannot sign using a POA.
- Alive and Well Statement is required for an actively deployed borrower. One of the following acceptable documents must be provided:
 - Letter or email from the commanding officer to include name, rank/title and signature if applicable.
 - Letter or email from the Office of Personnel Management (OPM)
 - Email from the deployed borrower using their military email address (.gov or .mil).



Prepayment Penalty

Not permitted.

Products

- **Fixed Rate:** 15-, 20-, 25-, and 30-year
- **ARM:** 3/1 and 5/1 1-Year CMT index
 - Caps: 1/1/5
 - Margin/Floor: 2.00
 - Qualified at note rate

See ["Manufactured Housing" on page 409](#) for limitations.

Property Eligibility

Eligible Properties

- 1-4 unit primary residence
- Condominiums (VA approved prior to submission). Site condos require VA Project Approval, except in the state of Michigan. See [VA Lenders Handbook](#) Chapter 16 for complete Condominium requirements in the state of Michigan.
- Construction must be > 95% complete
- Manufactured homes. Manufactured housing is defined as any dwelling built on a permanent chassis (1-unit, multi-wide dwelling, new/existing construction, PUDs)
- Modular/prefabricated properties 1-unit only. Factory built but not built on a permanent chassis; built on-site similar to stick-built homes; permanently affixed to the foundation; must conform to local building codes. Property is legally classified as real property and assumes characteristics of stick-built such as permanent connections to water, electrical and waste disposal systems.
- New Construction (completed < 1 year and never occupied)
- Townhomes/PUDs (attached/detached). PUDs do not require questionnaire/warranty form.

Ineligible Properties

- Agricultural properties (farms, ranches, orchards, etc.)
- ° **Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)**
- ° **Cooperative projects**
- Income producing properties
- ° **Leasehold properties**
- Manufactured homes that include an accessory dwelling unit (ADU)
- Mobile home (any property with wheels/axles and towing hitch etc.)
- Non-VA approved condo projects
- Properties located in an unacceptable noise zone (e.g., airport)
- Properties located in the Hawaiian Islands in lava zones one or two
- Properties located within electrical line easements
- Properties subject to regular flooding
- Proposed construction
- Single-wide manufactured home
- Unique properties (geodesic domes, earth berm homes, log homes, etc.)

Property Flips

Property flips are subject to additional underwriting review and are subject to the following:



- Appraisal must sufficiently support the appraised value increases
- Two full appraisals may be required at underwriter discretion, and
- The borrower must have an excellent credit history, employment history, a strong savings pattern, etc.

Properties Listed for Sale within the Previous 12 Months

° If the property was listed for sale within the prior 12 months but is not currently listed for sale:

- ° A property listed for sale will be considered for a cash-out refinance if the listing was canceled, expired, or withdrawn at least 180 days prior to the application date.
- ° The appraised value should be at least 10% below the lowest listing price. If the appraised value is not 10% less than the lowest list price, the underwriter must address the variance satisfactorily.
- ° The borrower must provide written confirmation of their intent to occupy the property as their primary residence.

Purchase Agreements – Escape Clause

The Escape Clause must be contained in the sales contract for all VA-guaranteed loans. The Seller is responsible for ensuring that the paragraph is in the sales contract prior to closing. In the event the clause is not in the sales contract, VA may not guaranty the loan.

Builder and Realtors:

- The builders/realtors that initiate contracts on new construction must ensure that the Escape Clause is in the contract and the contract is signed by the Veteran and the property seller.
- Upgrades are not considered earnest money and the builder is not required to refund this money. When the NOV is below the sales contract price, this clause protects the Veteran with negotiation of the sales contract.

If the sales contract was signed by the Veteran prior to receipt of the NOV, the contract must include, or be amended to include, the clause below:

“It is expressly agreed that, notwithstanding any other provisions of this contract, the purchaser shall not incur any penalty by forfeiture of earnest money or otherwise or be obligated to complete the purchase of the property described herein, if the contract purchase price or cost exceeds the reasonable value of the property established by the Department of Veterans Affairs. The purchaser shall, however, have the privilege and option of proceeding with the consummation of this contract without regard to the amount of the reasonable value established by the Department of Veterans Affairs (38 U.S.C. 501, 3703(c)(1)).”

Rent Back

The property seller is allowed to rent back the property from the buyer (borrower) for a maximum of 60 days after close.

Seller Contribution

- VA defines seller concessions as anything of value added to the transaction by the seller or builder which the buyer pays nothing additional and which the seller is not customarily expected or required to pay or provide.
- Seller concessions include, but are not limited to:
 - Payment of the borrower's VA funding fee,
 - Prepayment of the borrower's property taxes and insurance,



- Gifts (e.g., T.V., microwave, etc.),
- Payment of extra points to provide permanent interest rate buydowns,
- Provision of escrowed funds to provide temporary interest rate buydowns, and
- Payoff of credit balances or judgments on behalf of the borrower
- Seller concessions do **not** include payment of the buyer's closing costs or appropriate discount points (e.g., if customary discount points would be two the seller's payment of two points would not be a seller concession, however if the seller paid five points, three of the points would be considered a seller concession).
- Any seller concession or combination of concessions which exceeds 4% of the established reasonable value of the property is considered excessive, and unacceptable for VA-guaranteed loans.
- Do not include normal discount points and payment of the buyer's closing costs in total concessions for determining whether concessions exceed the 4% limit.

Short Sale

° **2-4 unit properties subject to a Short Sale Agreement must have been listed on the MLS for a minimum of 30 days prior to the execution of the sales contract. Properties designated as an "Exclusive Listing" are ineligible.**

Special Flood Hazard Area

Properties located in a FEMA Special Flood Hazard Area (SFHA) must be covered by a flood insurance policy.

- Properties located in a SFHA are not eligible if flood insurance is not available.
- Properties in areas that are subject to regular flooding are not eligible, whether or not the area has been designated an SFHA.
- Although flood zone information is required on the appraisal report, flood zone maps do not typically indicate the location of specific properties. The file must evidence the flood zone information.
- SFHA's flood zones are usually designated as follows:
 - A, AO, AH, A1-A30, AE, A99, AR, AR/AE, AR/AO, AR/A1-A30, AR/A, V, VE, and V1-V30.
 - Flood insurance is not required in Zones B, C, X, and D.
- At the borrower's request, non-residential improvements such as detached garages and small sheds may be excluded from the flood insurance policy if they are also excluded from the appraised value.
- The cost of flood insurance with and without coverage for the detached building should be compared as excluding a detached building may not be worthwhile.
- The borrower may elect to obtain private flood insurance instead of obtaining flood insurance through the National Flood Insurance Program.

Subordinate Financing

- Eligible subject to the CLTV limits on the ["VA Conforming and High Balance Program Grid" on page 392](#).
 - The loan (in conjunction with the first mortgage) may not exceed the NOV.
- Eligible at underwriter's discretion. The veteran cannot be placed in a substantially worse position than if the entire amount had been guaranteed by VA.

Temporary Buydowns

Eligible Buydown Types

- **3-2-1 Buydown**
 - **Year 1:** Payment calculated at 3% below the note rate.
 - **Year 2:** Payment calculated at 2% below the note rate.
 - **Year 3:** Payment calculated at 1% below the note rate.
 - **Years 4 through maturity:** Payment calculated at note rate.



- **2-1 Buydown**
 - **Year 1:** Payment calculated at 2% below the note rate.
 - **Year 2:** Payment calculated at 1% below the note rate.
 - **Years 3 through maturity:** Payment calculated at note rate.
- **1-0 Buydown**
 - **Year 1:** Payment calculated at 1% below the note rate.
 - **Years 2 through maturity:** Payment calculated at note rate.

Ineligible Buydown Types

- ◦ **1-1 Buydown**
- ◦ **1-1-1 Buydown**

Eligible Source of Buydown Funds

- Builder
- Correspondent Lender
- Seller
- Veteran

NOTE: Subject to IPC limits — total interested party contributions, including buydowns, must not exceed 4% of the sales price.

Ineligible Source of Buydown Funds

- Excess IPCs: Contributions exceeding program limits
- Non-compliant lender buydowns
- Premium pricing: Using the credit from selecting a higher rate
- Unverifiable funds: Sources that cannot be documented to program standards

Eligible Transactions

- Purchase
- ◦ **VA Cash Out - LTV ≤ 90%**
- ◦ **VA Conforming Loan Limits**
- VA IRRRL

Ineligible Transactions / Attributes

- ◦ **2-4 Units**
- ARMs
- ◦ **High Balance**
- Investment Properties
- Second Homes
- Texas 50(a)(6)
- ◦ **VA Cash Out - LTV > 90%**

Amortization Type

- Fixed-Rate Only

Loan Term

- ◦ **30-year term**
- Occupancy Requirements
- Primary Residence



Eligible Property Types

- **◦ 1 Unit Only**
 - Attached
 - Detached
- Manufactured Homes
- PUD
- Warrantable Condo

Automated Underwriting (AUS) Requirements

- Loan must be submitted through AUS and receive an "Approve/Eligible" recommendation.
- **◦ Manual Underwriting is not permitted**

Qualifying Rate

- Borrowers must qualify at the Note Rate
 - The borrower must be qualified using monthly payments calculated at the note rate.
 - If reserves are required, the reserves must be calculated using the note rate.

Compensating Factors Allowed

If the residual income and/or DTI ratio is marginal, the buydown along with other compensating factors may be used to qualify. See Chapter 4 of the [VA Lenders Handbook](#) for complete requirements.

NOTE: A signed statement from the underwriter providing reason for the approval required.

Seller Concessions Allowed

- Payment of extra points to provide permanent interest rate buydowns
- Provision of escrowed funds to provide temporary interest rate buydowns,

Example: If the market dictates an interest rate of 7½ percent with two discount points, the seller's payment of the two points would not be a seller concession. If the seller paid five points, three of these points would be considered a seller concession.

Additional Requirements

- **Temporary Buydown agreements must be fully executed at funding and held in a custodial account.**
 - The temporary buydown agreement must state that the borrower will not assign, transfer or close the account, or withdraw buydown funds.
 - A copy of the fully executed temporary buydown agreement, must be retained in the Seller's loan file.
 - Escrow account for temporary interest rate buydown must be established.
 - The borrower must agree in writing that the buydown funds in the buydown account will be automatically applied each month to reduce the monthly payment of principal and interest to the extent provided under the subsidy temporary buydown agreement.
 - The temporary buydown agreement must provide that the borrower will not be relieved of the obligation to make the full monthly mortgage payments required by the terms of the note if, for any reason, the buydown funds are not available or the buydown funds are not paid.
- **Loan documents must not reference the temporary rate in the note and security instruments.**
 - The loan file must contain a copy of the executed temporary buydown agreement and must clearly show the Seller's calculations of the total cost of the temporary subsidy buydown, any interested party contribution and the annual percentage increase in the borrower's monthly



- principal and interest payment.
- No references to the buydown plan are permitted in the note and security instruments.
- The interest rate and monthly payments shown in the note must be calculated without reference to the temporary buydown subsidy. In no event may the temporary buydown agreement change the terms of the note or mortgage.
- **Unapplied buydown funds will be netted from the loan purchase price**

Transaction Eligibility

Eligible Transactions

- Purchase
- Cash-Out Refinance (Type I and Type II)

NOTE: Loan purpose may vary on VA Construction-to-Permanent transactions. For specific requirements, see Transaction Eligibility > ["VA Construction-to-Permanent Loans" on page 421](#).

Ineligible Transactions

- **◦ EEM (Energy Efficient Mortgage)**
- Rate and Term Refinance
- Interest Rate Reduction Refinance Loan (IRRRL). For additional requirements, see VA IRRRL Program Guidelines > ["Transaction Eligibility" on page 439](#).
- Second home and investment transaction
- Texas Section 50(a)(6)
- Transactions that result in < 25% guaranty based on available Entitlement and Down Payment

Purchase

- Maximum loan amount is calculated based on borrower's entitlement. When the purchase price does not exceed the county limits established by VA, the total loan amount, including the funding fee, cannot exceed the VA county limit.
- When the purchase price exceeds the county limit established by VA, the borrower will be required to make a cash down payment on the amount greater than the county limit to ensure a 25% guaranty is achieved. The funding fee can be financed.

Land Contracts

Land contracts are considered a refinance transaction and are subject to the following:

- Maximum mortgage amount is limited to 100% of the lesser of the sales price or Notice of Value (NOV)
- Land contract must be recorded
- Seller on contract must be the owner of record
- No liens can be title except for the lien to be paid with the proceeds of the transaction, and
- 0x30 in previous 12 months required on monthly payments. Copies of canceled checks front and back are required to document payment.

Refinance Transactions

- Continuity of obligation requires that at least one of the borrowers on the refinance transaction is currently on the title of the property being refinanced.

Cash-out Refinance

- **◦ Maximum 90% LTV unless the specific Cash-out Refinance > 90% LTV requirements are met.**
- All VA refinance transactions not defined under "Other Refinancing Loans" are cash-out.



- The cash-out refinance may be used to pay off the current unpaid principal, allowable closing costs, points, prepaids, subordinate liens and cash to the veteran.
- The loan must be secured by a first lien on the property (min. \$1.00 lien required).
- Veteran must occupy the home.
- The loan amount cannot exceed the county limit.

Cash-out Refinance > 90% LTV Requirements

- ° Loan amount cannot exceed the county limit
- ° Minimum credit score is 600
- ° 30- and 25-year fixed loan term only

See [VA Lenders Handbook](#), Chapter 6, for VA's definition of "Other Refinancing Loans".

NOTE: VA test cases are eligible.

Cash-out Refinance

This section is specific to the VA Cash-Out Refinance requirements. For any topic not covered in this section, refer to the VA Handbook 26-7 for complete details.

- Eligible borrowers must meet the requirements below. Eligible Loan Types

TYPE I

- **What is a Type I Cash-Out Refinance Loan?** A Type I cash-out refinance is a refinancing loan in which the new loan amount (including the VA funding fee) does not exceed the payoff amount of the loan being refinanced. A Type I cash-out refinance is distinct from an IRRRL on the basis that it may be a VA guaranteed loan or a non-VA loan that is being paid off through the refinance.
 - Loan amount (including funding fees) must not exceed payoff amount of the loan being refinanced.
 - Recoupment applicable on VA to VA transactions only. Recoupment period of all fees, closing cost and expenses must not exceed 36 months.
 - Fees do not include taxes, escrow or insurance.
 - Fixed to Fixed transaction rate reduction not < .50%
 - Fixed to ARM transaction rate reduction not < 2%

TYPE II

- **What is a Type II Cash-Out Refinance Loan?** A Type II cash-out refinance is a refinancing loan in which the new loan amount (including the VA funding fee) exceeds the payoff amount of the loan and/or lien(s) of record being refinanced. In a Type II cash-out, the Veteran may remove equity from the subject property.
 - Loan amount (including VA funding fee) does exceed the payoff amount of the loan being refinanced.
 - Recoupment not applicable for this loan type.

The LTV is determined by dividing the total loan amount, including the VA funding fee, by the Reasonable Value on the NOV.

Cash-Out Refinancing Comparison



Item	Type I VA-to-VA	Type I: Non- VA-to-VA	Type II VA-to-VA	Type II: Non- VA-to-VA
Loan amount can exceed payoff (including funding fee). (Section b and c)	No	No	Yes	Yes
Veteran can remove equity from the property. (Section b and c)	No	No	Yes	Yes
Fee recoupment requirement. (Section m)	Yes	No	No	No
Requirement to reduce the interest rate. (Section n)	Yes	No	No	No
Discount point restrictions. (Section n)	Yes	No	No	No
Net Tangible Benefit (NTB) requirement. (Section o)	Yes	Yes	Yes	Yes
Loan seasoning. (Section p)	Yes	Yes	Yes	Yes
Initial and final loan comparison disclosures. (Section q)	Yes	Yes	Yes	Yes
Home equity disclosure. (Section r)	Yes	Yes	Yes	Yes

- Net Tangible Benefits (NTB)

Net Tangible Benefits to the borrower must:

- Eliminates Mortgage Insurance (MI)
- Reduced Loan Term
- Lower Interest Rate
- Reduction in amount of monthly payment
- Borrower's residual income increases.
- Refinance of interim loan to construct or repair the property.
- LTV is $\leq 90\%$ or less of the reasonable value of the home, or
- Loan is refinanced from an ARM to a Fixed Rate loan.

File must evidence:

- NTB was issued to the borrower outlining the key terms of the new loan vs. the existing loan within 3 business days from loan application and at closing.
- An estimate of the home equity being removed from the home as a result of the refinance and explain how the removal of home equity may affect the Veteran.
- Loan Comparison Disclosure was issued at application and closing.
 - Refinancing loan amount vs. the payoff amount of the loan being refinanced
 - Loan type of the refinancing loan vs. the loan being refinanced
 - Interest rate of the refinancing loan vs. the loan being refinanced
 - Loan term of the refinancing loan vs. the loan being refinanced
 - The total the Veteran will have paid after making all payments for the loan being refinanced and the new loan
 - LTV of the refinancing loan vs. the loan being refinanced



- An estimate of the home equity being removed from the home as a result of the refinance and explain how the removal of home equity may affect the Veteran.
- Payment History
 - File must evidence:
 - Loan was refinanced within 1 year from the date of original closing.
 - Documentation of all payments validated by the servicer/Lender.

VA Construction-to-Permanent Loans

Planet purchases closed VA loans only. Sellers must deliver loans using the correct VA loan purpose designation, as determined by the VA's guaranty rules —*not necessarily by how the transaction was disclosed on the LE, CD, or 1003.*

Classification is based on how the permanent financing is structured, the type of construction loan paid off, and how long the borrower has owned the improved property.

Deliver the loan as a Purchase if:

- The loan is a One-Time Close (OTC)
 - A VA guaranteed permanent loan that closed at the same time as the construction financing
- The loan is a Two-Time Close (TTC)
 - A VA guaranteed loan that pays off a non-VA interim construction loan
- The borrower owned the lot prior to construction
 - This does not affect VA's purchase classification
- The borrower has owned the completed property (i.e., post-construction) for less than 12 months
 - Based on a Certificate of Occupancy or local records

VA treats these as purchases for guaranty purposes, even if the transaction was disclosed as a refinance by the originating lender.

Deliver the loan as a Cash-Out Refinance if:

- The loan is paying off a prior VA-guaranteed construction loan.
- The borrower is receiving cash back or the loan pays off additional debts beyond construction.
- The borrower has owned the completed property for 12 months or more, regardless of whether equity is withdrawn.
- Any construction-related loan closed more than 12 months after completion must be treated as a cash-out refinance, even if the borrower receives no cash back.

Reminder: Planet's system coding must match VA classification standards as outlined in [VA Lenders Handbook Chapter 7](#). Seller delivery data and documentation must support the correct loan purpose at time of purchase.



VA Alterations and Repair Program Grid

FIXED RATE & ARM					
Primary Residence - Full Documentation					
Transaction Type	Units	LTV	CLTV	Loan Amount ^{1,3}	Credit Score ²
Purchase	1-4	100%	100%	VA Loan Limit	^o 580
Cash-Out	1	90%	90%		^o 580
Cash-Out ³	1-4	100%	100%		^o 600

Reference:

1. [VA Loan Limits](#) = FHFA Conforming Limits
 - Minimum loan amount: ^o\$40,000
 - Maximum loan amount: ^o\$1,500,000
 - ^oTotal loan amounts exceeding \$1,000,000 require an AUS Approve/Eligible
2. ^oManufactured homes require: minimum 640 FICO, AUS Approve/Eligible (Manual UW Ineligible), Fixed Rate only.
3. ^oCash-Out Refinance with LTV > 90% require: 25 or 30 Year Fixed Term Rate & Conforming loan amounts only.

VA Alterations and Repair Program Overview

Loans for alteration and repair in conjunction with a purchase allows the purchase of a home that needs improvement or where the borrower wants to alter the home to their preference.

For purchase transactions it is mandatory to use the lesser of the as-completed value or the acquisition costs for this transaction.

Loans for alteration and repair in conjunction with a cash-out refinance of an eligible residence already owned and occupied by the borrower allows the borrower to refinance the existing loan and use the as-completed value in the transaction.

The loan proceeds are paid out to the builder and/or contractor during the alteration/repair period.

General Parameters

- ^oAlterations and Repairs are limited to \$75,000 plus allowable fees.
- ^oMust be non-structural.
- ^oWork must be completed with 120 calendar days of loan closing.
- ^oMaximum of four draws allowed, not including the Final Inspection.
- The total mortgage amount on the property including the cost of alteration and/or repairs, must fall within the VA's mortgage limit for the area where the property is located. There is no minimum alteration and/or repair amount.
- All renovation work must start within 30 days of the loan closing date and must be completed within 120 calendar days.
- Eligible alteration and/or repairs must be those ordinarily found on similar properties of comparable value in the community.



- The loan file must evidence written approval from the borrower before each disbursement or draw payment is made to the builder and/or contractor.
- All minimum property requirements (MPR) must be met prior to issuance of the Loan Guaranty Certificate (LGC) and the final inspection/certificate of occupancy.



VA Alterations and Repair Program Guidelines

For topics not addressed in this guide, see ["VA Conforming and High Balance Program Guidelines" on page 393](#) and the [VA Handbook](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see VA Conforming and High Balance Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 393](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

Alterations and Repair

Eligible Alterations and Repairs

Alteration and/or Repairs **are limited to \$75,000 plus allowable fees**; must meet VA MPR requirements and **must be non-structural**.

All improvements to existing structures must comply with VA's MPR and meet or exceed local building codes. Items eligible for Alterations and/or Repair funds include, but are not limited to:

- Changes to improve function/modernization (bath/kitchen remodel). **Must be non-structural**
- Elimination of health/safety hazards (lead-based paint, mold, etc.) that violate VA's MPR requirements
- Connecting to water public water and sewage systems
- Repair/replacement/upgrade of plumbing, heating, air conditioning and electrical systems
- Repair/replace/installing roofs, sidings, gutter, down sprouts, flooring, appliances, windows, and doors improvements
- Elimination of obsolescence
- Handicap accessibility allowed (wheelchair access ramps, widen doorways, expand showers, and lower countertops)
- Repairs to existing swimming pool
- Well/septic repair/replacement work
- Additional exterior repairs including fences, decks, patios and porches

Ineligible Alterations and Repairs

Structural work which requires building/construction or requires an engineer report or architectural specs.



Appraisals

- Specifications for materials and exhibits to be used in projects must be provided to the appraiser at the time of appraisal order.
- Contractor estimates with material and labor breakdown "must" be provided to the appraiser at the time of appraisal order to be utilized in the preparation of the appraisal report for valuation purposes.
- Appraisers will "hold" appraisal assignments until the appropriate exhibits are received.
 - All work must be inspected, to the extent determined appropriate by VA on a case-by-case basis.), **or**
 - Any re-inspections by the appraiser must ensure that the completed renovations meet at least the minimum specifications originally utilized in preparing the appraisals final value. The use of any lower grade materials or deviations that may lower the original value provided in the appraisal report must be noted as to the specific deviation and its impact.

NOTE: All work must be acceptably completed before VA guaranty of the loan.

AUS

Planet accepts the following AUS Findings on VA Loans:

Desktop Underwriter (DU:)

- "Approve/Eligible"
- "Refer/Eligible" (manual underwrite required)

Loan Product Advisor (LPA):

- "Accept/Ineligible"
- "Refer/Ineligible" (manual underwrite required)

For DU and LPA;

- An "Approve/Eligible" or "Accept/Eligible" Finding must be downgraded to a manual underwrite when any of the following are present:
 - Mortgage history has a 1 x 30 in the previous 12 months
 - Borrower is in an IRS tax repayment plan
 - There are disputed tradelines
 - Subject loan was a previously restructured/modified mortgage.
 - A minimum of 12 months of 0x30 payments have been made on the restructured/modified loan.
 - Mortgages in default at time of loan restructure/modification are not eligible.

Borrower Eligibility

For all requirements, see VA Conforming and High Balance Program Guidelines > ["Borrower Eligibility" on page 397](#).

CLTV/Subordinate Financing

- 100% CLTV on Purchase transactions **with a credit score of 580 and above.**
- 100% CLTV on Cash-out transactions **with a credit score of 600 and above.**
- Eligible at underwriter's discretion. The veteran cannot be placed in a substantially worse position than if the entire amount had been guaranteed by VA.



Contingency Release

- On Purchase loans, any unused contingency reserve funds must be applied to the principal balance, unless it was paid in cash at closing by the borrower. In the case where the borrower has paid for the contingency in cash, the funds will be released back to the borrower.
- On Cash-Out Refinance loans, any unused contingency reserve funds must be returned to the borrower OR applied to the principal balance at the borrower's discretion.

Contingency Reserve

°Contingency reserve of 10% of the alteration is required on all transactions. A 15% contingency reserve is required when utilities are not on at the time of inspection.

Contractor Validation

Builder Requirements – VA Loans (Updated per [Circular 26-25-1](#), effective 03/31/2025)

Effective March 31, 2025, VA no longer requires builders to obtain a VA Builder Identification Number for VA-guaranteed loans involving new or proposed construction. This change eliminates the prior requirement for a Builder ID prior to issuance of the Notice of Value (NOV).

Builders must still:

- Meet all applicable state and local licensing requirements.
- Comply with construction standards and any other applicable VA requirements.

For more information or to review the full circular, visit the [VA Circulars page](#).

Sellers have the option of submitting the contractor documentation to Planet for validation. A checklist and documentation are available on the Core Seller Portal at under Forms and Resources.

Credit Requirements

Credit Report/Scores

- **° A minimum credit score of 580 is required, regardless of AUS Findings.**
- **° A minimum credit score of 600 is required on cash-out transactions > 90% LTV.**
- **° A minimum credit score of 640 is required for Manufactured Homes.**
- A tri-merged credit report is required for all borrowers.
- The borrower with the highest income must meet the minimum credit score requirement.
- The representative credit score is determined as follows:
 - If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.
 - If there are two valid scores, the lower of the two is used.
 - If there is one valid score, that score is used.
- The borrower(s) must address all credit inquiries indicated on the credit report within the previous 120 days and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not)

Credit Report – Fraud Alert

For all requirements, see VA Conforming and High Balance Program Guidelines > Credit Report/Scores > ["Credit Report – Fraud Alert" on page 399.](#)



DTI

For all requirements, see VA Conforming and High Balance Program Guidelines > ["DTI" on page 401](#).

Fees and Charges

- The following fees and charges apply as applicable and are included in the Alteration and/or repair cost. Discount fees are excluded. Funding fee due and payable within 15 days of loan closing.
 - Fees are not tied to commencement or completion of construction.
- Loan must be reported to the VA within 60 days of receipt of a clear VA final inspection report.
- Purchase transactions, for the purpose of reducing the funding fee, a down payment will only apply to the extent that the loan amount is based off the lessor of the NOV or the acquisition cost.
- Refinance transactions, for the purpose of reducing the funding fee, equity will count only to the extent that the loan amount is less than the NOV.

Renovation Fees

- A construction management fee of \$350 in addition the VA origination fee is required.
- Inspection for interim draw — \$150.00
- VA final repair inspection — VA specific
- Permit Fee — Per city/contractor
- Title Update Fee: 1x \$125 at final draw

For additional requirements, see VA Conforming and High Balance Program Guidelines > ["Fees and Charges" on page 406](#) and the [VA Handbook](#), Chapter 8 for Fee and Charges requirements.

Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Inspections and Draw Disbursement

Inspections

Improvements must be completed according to local building codes. The options allowable to satisfy the inspection requirement for cases ordered as of the NOV are:

1. VA will accept the Certificate of Occupancy (CO) for the property as evidence of local authority inspections and satisfactory completion of construction. Loans for alteration and repair ordered as "Proposed" require local authority inspections according to the extent of the improvements and local requirements.
2. When an inspection is completed but no Certificate of Occupancy is issued:
 - Copies of the inspection reports are acceptable, which verify full compliance with local builder codes, or a written statement from the local authority that states that the required inspections were performed in a satisfactory manner.
3. Final Inspection
 - When the property is 100% complete, Planet will contact the Correspondent Seller and request a Final Inspection to be ordered from the original VA fee appraiser. If the original VA appraiser is not available, the seller will contact the RLC of jurisdiction for another VA appraiser to complete the VA final inspection.



NOTE: The guaranty for alteration and repair loans will not be issued until a clear final inspection report has been completed by the VA fee appraiser. Loan must be reported to VA within 60 days of receipt of Final Inspection Report.

See [VA Lenders Handbook](#) for complete VA inspection requirements.

Draw Disbursement

- Planet will establish a custodial draw account to deposit alteration/repair funds in.
 - These funds may not be comingled with other lender funds.
- A maximum of 4 disbursements allowed (draws)
 - Initial draw upon 50% completion
 - Final draw at project completion

Maximum Loan Amount

- ° **Maximum total loan amount \$1,500,000 in all states.**
- ° **Loan amounts >\$1,000,000 require AUS approval.**
- Loan amounts that exceed the county limit established by VA will require a down payment from the borrower.

Loan Amounts Above the Conforming Limit

- ° **Maximum 100% LTV for Purchase.**
- ° **Cash-Out Refinance on LTV's > 90% must be 30-year fixed only (HB not allowed on cash-out > 90% LTV)**
- ° **A full credit report is required for all transactions to verify the mortgage history.**
 - ° **0x30 in 12 months**

Minimum Loan Amount

- ° **\$40,000.00**

Minimum Property Requirements

All minimum property requirements must be met.

For additional requirements, see VA Conforming and High Balance Program Guidelines > "[Minimum Property Standard \(MPR\)](#)" on page 410 and the [VA Handbook](#), Chapter 12, for Fee and Charges requirements.

Occupancy

Home improvements and refinancing loans for extensive changes to the property which will prevent the veteran from occupying the property while the work is being completed, constitutes exceptions to the "reasonable time" requirement.

The veteran must certify that they intend to occupy or reoccupy the property as a home upon completion of the improvements or repairs.

Products

- **Fixed Rate:** 15-, 20-, 25- or 30-year term



- °Cash-Out Refinance on LTV's > 90% must be 30-year fixed only (HB not allowed on cash-out > 90% LTV)
- **ARM:** 1-Year CMT 3/1 and 5/1
 - Caps: 1/1/5
 - Margin/Floor: 2.00
 - Qualified at Note rate

Property Eligibility

Eligible Properties

- **1-4 unit primary residence**
- **Townhomes/PUDs** (attached/detached)
 - PUDs do not require questionnaire/warranty form.
- **Condominiums**
 - Must be VA approved prior to submission
 - Site condos require VA Project Approval, except in the state of Michigan.
 - See [VA Lenders Handbook](#) Chapter 16 for complete Condominium requirements in the state of Michigan.
- **New Construction**
 - Completed < 1 year and never occupied
 - 1-year VA Builder Warranty (Form 26-1859) OR enrolled in a 10-year protection plan (from a VA accepted warranty company)
 - Construction must be > 95% complete
- **Modular/Prefabricated Homes** (1-unit only)
 - Factory built but not built on a permanent chassis
 - Built on-site similar to stick-built homes
 - Permanently affixed to the foundation
 - Must conform to local building codes
 - Legally classified as real property and connected to utilities (water, electrical and waste disposal systems)
- **Manufactured Homes**
 - Defined as any dwelling built on a permanent chassis
 - Must meet VA manufactured home requirements
 - Eligible for ° 30-year Fixed Rate terms only
 - ° Manual underwrite is not permitted
 - ° Minimum 640 FICO score required
 - Must be 1-unit, multi-wide dwelling
 - May be existing or new construction
 - Classified as real estate
 - Affixed to a permanent foundation
 - May be Located in a PUD (if applicable)

Ineligible Properties

- Agricultural properties (farms, ranches, orchards, etc.)
- Cooperative projects
- Income producing properties
- Leasehold properties (unless prior VA approval is obtained)
- Mobile home (any property with wheels/axles and towing hitch etc.)
- Non-VA approved condo projects
- Properties located within electrical line easements
- Properties subject to regular flooding
- Properties located in an unacceptable noise zone (e.g., airport)



- Properties located in lava zones 1 or 2 in Hawaii
- Proposed construction
- Unique properties
- Single-wide manufactured home
- Manufactured Home classified as a Condo

Properties Listed for Sale within the Previous 12 Months

◦ If the property was listed for sale within the prior 12 months but is not currently listed for sale:

- ◦ Cash-out is only eligible if the listing is expired/canceled or withdrawn 180 days prior to the application date.
- ◦ The appraised value should be at least 10% below the lowest listing price. If the appraised value is not at least 10% less than the lowest list price, the underwriter must address the variance satisfactorily.

◦ The borrower must provide written confirmation of their intent to occupy the property as their primary residence.

Short Sale

◦ 2-4 unit properties subject to a Short Sale Agreement must have been listed on the MLS for a minimum of 30 days prior to the execution of the sales contract. Properties designated as an “Exclusive Listing” are ineligible.

Temporary Buydown

◦ Not permitted

Transaction Type

Purchase

- When determining the value of the home it is mandatory to use the lesser of the:
 - As-completed value, or
 - Acquisition cost, which is the sum of the below:
 - Contract sales price
 - Total cost of alterations and repairs
 - Contingency reserve (up to 15%)
 - Inspection fees
 - Title update fees
 - Permit fees
 - Construction Management Fee

Refinance

- Cash-out loans for alterations and repair allow the Borrower to refinance the existing loan to make improvement and/or modifications to their home to meet their preferences.
- When determining the value of the home use the lesser of the:
 - As-completed value, or
 - Acquisition cost, which is the sum of:
 - Existing loan payoff
 - Total cost of alterations and repairs



- Contingency reserve (up to 15%)
- Inspection fees
- Title update fees
- Permit fees
- Construction Management Fee

VA Alterations and Repair Forms

- Borrower's Acknowledgement (HUD Form 92700-A) — Borrower must complete the "Loan Requirements" section of the Acknowledgment form indicating how the interest earned on the Rehabilitation Escrow Account is to be applied after the Final Release Notice is issued.
- Maximum Mortgage Worksheet — Planet provides an online VA Alteration and/or Repairs Mortgage Calculator to assist in the completion of the worksheet.
- Completed Federal W-9 by Contractor (Rev. October 2018)
- Contractor Written Proposal and Cost Estimate
 - Must list each work item that requires permits and indicate that repairs are non-structural, and
 - Cost Estimate must indicate the nature and type of repair and cost for each work item, broken down by labor and materials
 - Evidence that the contractor is licensed and bonded
- Contractor Acknowledgement
- VA Homeowner/Contractor Agreement
- Rehab Loan Agreement
- Loan Rider
- Permit Certification

Texas Loans require an Attorney to prepare the closing documents. The Attorney should be knowledgeable in Texas Law regarding renovation lending and provide the following documents in the closing package:

- Mechanic's Lien Contract and Transfer of Lien – must include verbiage to create the Mechanic's Lien and assignment to the Lender. Amount of renovation must match final contractor estimate.
- Rehabilitation Rider with Renewal and Extension language
- Contractor Affidavit of Compliance with Texas Law
- Rehabilitation Loan Agreement
- Non-Commencement Affidavit



VA IRRRL Program Grid

FIXED RATE & ARM ³					
Primary Residence					
Transaction Type	Units	LTV ³	CLTV	Loan Amount ¹	Credit Score ⁴
Credit Qualifying	1	90%	90%	°Conforming limits only	580 ⁵
	1	100%	Unlimited	°Conforming limits / High Balance/ 2	600
	1-4	125%	Unlimited	°Conforming limits only	600
Non-Credit Qualifying	1	100%	Unlimited	°Conforming limits / High Balance/ 2	600
	1	125%	Unlimited	°Conforming limits only	600

FIXED RATE & ARM ³					
Second Home ⁶ & Investment Property					
Transaction Type	Units	LTV	CLTV	Loan Amount ¹	Credit Score ⁴
Credit Qualifying	1	90%	90%	°Conforming limits only	580 ⁵
	1-4	125%	Unlimited	°Conforming limits only	600
Non-Credit Qualifying	1	125%	Unlimited	°Conforming limits only	600

Reference:

1. °Minimum loan amount \$40,000.
2. °Maximum loan amount is \$1,500,000.
3. Fixed rate to ARM refinances with discount points charged:
 - If ≤ 1%, the LTV limited to 100%
 - If > 1% the LTV is limited to 90%.

See ["VA IRRRL Program Guidelines" on page 433](#) for additional requirements.

4. °Minimum 640 credit score required for Manufactured Housing.
5. °Credit Score 580-599 requires the following:
 - °Minimum 2 years pay history on loan being refinanced with 0x30 in 24 months.
 - °Max payment shock 100%. 50.01%-100% require double residual income.
6. Second Homes are limited to 1 unit only.



VA IRRRL Program Guidelines

For topics not addressed in this guide, see ["VA Conforming and High Balance Program Guidelines" on page 393](#) and the [VA Handbook](#).

IRS Forms 4506-C and 8821 Requirements

- For detailed guidance, see [Chapter 6 of the VA Lender's Handbook](#), which outlines IRRRL requirements, including scenarios necessitating credit underwriting and income verification.
- **Credit Qualifying IRRRL:**
 - For all requirements, see VA Conforming and High Balance Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 393](#).
- **Non-Credit Qualifying IRRRL:**
 - A 4506-C and tax transcripts are not required.

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Chapter 4 of the [U.S. Department of Veterans Affairs' Lenders Handbook](#)

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

- All credit, income and asset documentation must be ≤ 120 days from the Note date.
- Appraisal must be dated within 180 days of the Note date.

Application (URLA)

Credit Qualifying

- Full URLA required

Non-Credit Qualifying

- The following URLA sections are not required to be completed:
 - Section 1b through 1e — Employment/Self-Employment and Income, and
 - Section 2a through 2d — Financial Information - Assets and Liabilities
 - Section 5 Declarations section should be completed as applicable



NOTE: Income should never be indicated on the application for Non-Credit Qualifying transactions.

Appraisals

- **An AVM or 2055 is required to support the value of the home and to calculate accurate LTV/CLTV limits for all loans.**
 - **Conforming Loan Amount:**
 - **An AVM with a standard deviation ≤ 18 is acceptable**
 - **If standard deviation > 18 , a 2055 will be required; or**
 - **An AVM with a confidence score of 80% and/or a "high" confidence rating is acceptable**
 - **If confidence score is $< 80\%$, a 2055 will be required.**
 - **High Balance Loan Amount:**
 - **A confidence score of $\geq 90\%$ is acceptable**
 - **If confidence score is $< 90\%$, a 2055 will be required.**

NOTE: Any AVM that allows for interactive manipulation in any way is not acceptable.

- The appraisal may be charged to the borrower.
- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal review (as applicable). See ["Chapter 8: Loan Purchasing" on page 583](#) for detailed requirements.
- The discount points in conjunction with the base loan amount is used to determine appraisal requirement. See ["Appraisal Requirements When Discount Points Are Charged" below](#) for additional information.

Appraisal Requirements When Discount Points Are Charged

The Protecting Veterans from Predatory Lending Act requires an LTV determination when discount points are charged when moving from a Fixed to an ARM. Appraisals should **not** be ordered through the VA portal.

Acceptable forms of appraisal reports:

- Exterior-Only Inspection Residential Appraisal Report (Fannie Mae 2055)
- Uniform Residential Appraisal Report (Fannie Mae 1004)
- Exterior-Only Inspection Individual Condominium Unit Appraisal Report (Fannie Mae 1075)
- Individual Condominium Unit Appraisal Report (Fannie Mae 1073)
- Other industry accepted appraisal reports for manufactured and multi-unit homes

For additional information, see [VA Circular 26-18-13](#).

Assets

Not required.

Assumptions

Planet follows Agency guidelines.



AUS

Manual underwrite only.

Available Markets

- **Delegated Sellers**

Planet will purchase VA loans underwritten and closed by the delegated Seller in **all** states.

- **Non-Delegated Sellers**

Planet will purchase loans from non-delegated Sellers in all states on VA products. **All** loans require Planet underwriting approval.

- Sellers must receive approval from Planet to deliver loans with properties located in Puerto Rico.
- The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.

Blue Water Navy Vietnam Veterans Act of 2019

For all requirements, see VA Conforming and High Balance Program Guidelines > ["Blue Water Navy Vietnam Veterans Act of 2019" on page 397](#).

Borrower Eligibility

Eligible Borrowers

- Per VA guidelines. Borrower(s) must certify that he or she previously occupied the property.
- A spouse may only be deleted from the new loan if the loan is credit qualified.

For additional requirements, see VA Conforming and High Balance Program Guidelines > ["Borrower Eligibility" on page 397](#).

Cash Back to Borrower

Incidental cash back not to exceed \$500.00 (\$0.00 in Texas).

Credit Report

Conforming Loan Amounts

A mortgage only credit report with credit scores is required. A soft pull credit report is allowed if it states a credit score and a mortgage history. If the PITI payment is increasing by more than 20% or a spouse is being removed from the new loan then a tri-merge credit report is required.

High Balance Loan Amounts

Full credit report to verify no major derogatory credit with the past 12 months. Major derogatory credit is defined as any payment > 60 days delinquent, collections and/or judgments (excludes medical/utilities).

Credit Report – Fraud Alert

For all requirements, see VA Conforming and High Balance Program Guidelines > ["Credit Report/Scores" on page 398](#).



Credit Score

- °Credit Qualifying: Minimum 580 credit score.
- °Non-Credit Qualifying: Minimum 600 credit score.
- °Manufactured Home: Minimum 640 credit score, regardless of credit qualification.

Employment

Credit Qualifying

- A two-year employment history is required.
- A verbal verification of employment is required within 10 days of the Note date for salaried borrowers and within 30 calendar days of the Note date for self-employed borrowers.
- Sellers must independently obtain the phone number, and when possible, the address of the wage earner borrowers employer using directory assistance/internet/phone book, etc.
- Self-employed borrower's business requires verification of the business by a third-party source (e.g. CPA, Federal Tax ID Certificate, Business License).
- A military Leave and Earnings Statement (LES) is required for active-duty military in lieu of a VVOE. The LES must be an original or certified copy of original. The LES must be no more than 120 days old (180 days for new construction).

Non-Credit Qualifying

Employment verification/history not required.

Escrow/Impound Account

Required on all loans, no exceptions.

Fees and Charges

A copy of the borrower's recoupment statement must be provided in the loan file along with certification that all fees and incurred cost have been recouped on or before the date which is 36 months after the date of application as determined by the note date.

Recoupment periods greater than 36 months are not eligible. This includes ARM to Fixed transactions or transactions with a reduction in loan term. These transactions are not exempt from the recoupment requirement.

- Net Tangible Benefit to borrower:
 - If an existing fixed rate loan is being refinanced into a new fixed rate loan, the interest rate of the refinanced loan must not be less than .50 bps below the previous loan.
 - If an existing fixed rate loan is being refinanced into an ARM loan, the interest rate of the new refinanced loan must not be less than 2.00 bps below the previous loan, and
 - The lower interest rate is not from discount pts unless paid at closing.
 - Discount point amounts ≤ 1%, the LTV is limited to a maximum 100%
 - Discount points >1% is limited to a maximum 90% LTV.
 - See ["Appraisals" on page 434](#) for minimum appraisal requirements.

For additional requirements, see VA Conforming and High Balance Program Guidelines > ["Fees and Charges" on page 406](#).



Financed Properties

° Planet will purchase a maximum of five loans to one borrower with an aggregate loan amount up to \$2.5M.

Funding Fee

0.50%. The Certificate of Eligibility, issued by VA, will indicate if the veteran is exempt, or non-exempt from paying the VA Funding Fee.

Funding Fee Waived for active-duty, Purple Heart recipients.

Guaranty

- A minimum 25% guaranty is required
- The guaranty is limited to the veteran's portion of ownership interest in the property. (i.e., if the veteran is the only person on title but **adds someone other than their spouse to title**, the final loan guaranty would be half of the veteran's entitlement).

Maximum Loan Amount

° \$1,500,000

Loan Amount > Conforming Limit

- °Maximum LTV is 100%.
- °Full credit report required for both credit and non-credit qualifying to verify mortgage history.
- °Mortgage history
 - °0x30 in 12 months for credit qualifying.
 - °0x30 in 24 months for non-credit qualifying.

Calculating Maximum Loan Amount

Maximum Base Loan Amount ≤ VA Conforming Loan Limits. Lesser of:

- Existing VA loan pay off - Unpaid principal balance (Including any charges/misc. fees charged by current lender to pay the loan in full) , plus allowable VA closing costs, plus VA funding fee (if applicable), plus up to 2 discount points, or
- °The appraised value (AVM or 2055) x 125%.

Maximum Base Loan Amount > VA Conforming Loan Limits. Lesser of:

- Existing VA loan pay off – Unpaid principal balance, (Including any charges/misc. fees charged by current lender to pay the loan in full), plus allowable VA closing costs, plus VA funding fee (if applicable), plus up to two discount points, or
- °The appraised value (AVM or 2055) x 100% as applicable.

See ["Fees and Charges" on the previous page](#) for details on allowable/unallowable fees.

Minimum Loan Amount

° \$40,000.00



Mortgage History

Credit Qualifying

0x30 in previous 12 months on loan amounts > VA Conforming Loan Limits.

Non-Credit Qualifying

0x30 in previous 24 months for loan amounts > VA Conforming Loan Limits.

If < 24 months on current mortgage for subject property, prior mortgages may be used to meet the 24-month history requirement. No increase from current housing payment allowed.

Mortgage Seasoning

°Loan seasoning applies to all IRRRL made to refinance a VA-guaranteed loan (VA-to-VA). A cash-out refinance, Type I or Type II, is not eligible for guaranty if the VA guaranteed loan being refinanced has not been seasoned as of the closing date. A loan is considered seasoned if all the following conditions have been met as of the closing date:

- **°The note date of the refinance loan must be on, or after, the later of:**
 - **°The date on which the applicant has made at least six-monthly payments on the loan being refinanced, and**
 - **°The date that is 210 days after the first payment due date of the loan being refinanced.**
 - **°For loans being paid off that include a loan modification, seasoning is based on the first payment due date on the modification.**
 - **°For loans being paid off that include a loan modification, seasoning will be based off the 1st payment due date on the modification.**

NOTE: Refinance of loans on which fewer than six consecutive regularly scheduled payments have been made are not eligible for financing.

Occupancy

- 1-4 unit owner-occupied primary residence **°(2-4 unit ineligible on high balance)**
- 1 unit second home **°(ineligible on high balance)**
- 1-4 unit investment **°(ineligible on high balance)**

Power of Attorney

For all requirements, see VA Conforming and High Balance Program Guidelines > ["Power of Attorney" on page 412.](#)

Prepayment Penalty

Not permitted.

Products

- **Fixed Rate:** 15-, 20-, 25-, and 30-year
- **ARM:** 3/1 and 5/1 1-Year CMT index
 - Caps: 1/1/5
 - Margin/Floor: 2.00
 - Qualified at note rate



Properties Listed for Sale within the Previous 12 Months

°If the property was listed for sale within the prior 12 months but is not currently listed for sale:

- °Cash-out is eligible if the listing has expired, was cancelled, or expired 180 days prior to the application date.
- °The appraised value should be at least 10% below the lowest listing price. IF the appraised value is not at least 10% less than the lowest list price, the underwriter must address the variance satisfactorily.
- °The borrower must provide written confirmation of their intent to occupy the property as their primary residence.

Refinance Transactions

Continuity of obligation requires that at least one of the borrowers on the refinance transaction is currently on the title of the property being refinanced.

Temporary Buydowns

Permitted.

For additional requirements, see VA Conforming and High Balance Program Guidelines > ["Temporary Buydowns" on page 415.](#)

Transaction Eligibility

Eligible Transactions

- Interest Rate Reduction Refinance Loans (IRRRL)

Ineligible Transactions

- Purchase
- Cash-Out Refinance (Type I and Type II)
- ° **Energy Efficient Mortgages**
- Texas Section 50(a)(6)
- Transactions that result in < 25% guaranty
- Joint transactions (veteran is the primary borrower with non-veteran co-borrower who is not veteran's spouse). VA will only guaranty 12.50% of the loan.

Subordinate Financing

New loan proceeds cannot be used to pay off any existing subordinate financing. Existing subordinate financing must subordinate to the new loan

Documents and Forms

- Report and Certification of Loan Disbursement (VA Form 26-1802)
- Debt Questionnaire (VA 26-0551) – credit qualifying only
- Federal Collection Policy Notice (VA 26-0503)
- Counseling Checklist for Military Homebuyers (VA 26-0592) - active duty only
- Child Care Certification required on credit qualifying if dependents disclosed or at underwriter's discretion. (sample form on website)
- VA Lender Certification (sample form on website)

**All Loans**

- Legible photo ID and social security card
- Most recent mortgage statement
- Copy of existing Note
- Payoff statement with valid expiration



USDA Purchase and Non-Streamlined Refinance Program Grid

FIXED RATE			
Primary Residence - Full Documentation			
Transaction Type	Units	LTV/CLTV ¹	Credit Score
Purchase	1	100%	Per GUS
Streamlined Refinance ²	1	100%	

Reference:

1. The LTV may exceed 100 percent of the market value of the property when the Guarantee Fee is financed. Max CLTV unlimited if secondary financing is from a government entity.
2. The loan being refinanced must be a USDA Guaranteed or Direct loan; conventional, FHA or VA loans cannot be refinanced under this program. See ["Transaction Eligibility" on page 470](#) > **Refinance Transactions** for additional requirements and restrictions.



USDA Purchase and Non-Streamlined Refinance Program Guidelines

Planet follows [USDA Handbook 3555](#) for topics not addressed in this guide.

IRS Forms 4506-C and 8821 Requirements

See [USDA HB-1-3555 Chapter 9, Section 9.3\(E\)\(4\)](#) – Income Verification.

- Seller must obtain a completed and signed IRS Form 4506-C or 8821 for all adult household members whose income is used to qualify.
- The 4506-C or 8821 must be used to request IRS tax return transcripts for the two most recent tax years available – full transcripts with all schedules.
- If transcripts are not available before closing, documentation of the attempt to obtain must be included in the file, and the transcripts must be added upon receipt.
- Full-time students who are not an applicant, co-applicant, or spouse are not required to provide tax transcripts.
- See Chapter 7 > ["IRS Forms 4506-C and 8821 Requirements" on page 578](#) for general standards, including e-signature and borrower consent.

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

- All credit, income and asset documentation must be ≤ 120 days from the Note date.
- Appraisal is valid for 180 days from the effective date and must be valid at time of Conditional Commitment request.

Appraisals

- If the appraisal **is not completed by an FHA roster appraiser, a property inspection report will be required in addition to the appraisal.**
- An appraisal report with the interior and exterior inspection of the subject property must include the following:



- A front view of the subject property;
- A rear view of the subject property;
- A street scene identifying the location of the subject property and showing neighboring improvements;
- The kitchen, main living area, bathrooms, bedrooms;
- Any other rooms representing overall condition, recent updates such as restoration, remodeling or renovation;
- Basement, attic, crawlway;
- Comparable sales, listings, and/or pending sales utilized in the valuation analysis must include at least a front view of each comparable utilized;
- Condo projects should include additional photographs of the common areas and shared amenities.
- All properties must have proper ingress/egress. Properties with a shared driveway must have a permanently recorded easement, and the easement must be binding to successors and title.
- Private streets must be hard surfaced or all-weather surfaced and requires a permanently recorded easement or be owned and maintained by a Homeowner's Association. Private streets and roads require a recorded private road agreement which meets Agency requirements (Fannie Mae/Freddie Mac/HUD/VA).
- The source of the closed comparable sales used in the appraisal must be from one of the following or a desk review will be required:
 - A Multiple Listing Service (MLS), or
 - MRIS (<http://www.mris.com>), or
 - Midwest Real Estate Data (MRED) (www.mredllc.com), or
 - North Texas Real Estate Information Systems, Inc. NTREIS at (www.ntreis.net), or
 - San Antonio Board of Realtors (www.sabor.com), or
 - GeoData at www.geodataplus.com, or
 - Comps Inc. at www.compsny.com.

NOTE: Comparables from a public independent source are only eligible in the states of Vermont and Maine.

- Comparable sales used for new construction properties are subject to the following:
 - If all three of the comparable sales used to support the value of the subject property were obtained from one of the above sources (public source eligible in Vermont and Maine only) no further action is required.
 - If the comparable sales are not all obtained from an MLS, MRIS, MRED, NTREIS, or from an independent source (Vermont and Maine only), the appraiser must comment that the subject property development is being marketed in an “open” or “public” environment (i.e., newspaper advertisements, billboard signs, website)
 - Additionally, the following applies:
 - ☐ One of the comparable sales must be outside the project the subject property is located in and be from an MLS, MRIS, MRED, NTREIS, or public source (public source Vermont/Maine only).
 - ☐ Two of the comparable sales must be from sources other than the subject property builder.

NOTE: The appraiser is always allowed to provide more than three comparable sales in order to support the property value.



- The comparable photos must include the front view of each comparable sale used. Use of MLS photos to exhibit comparable condition at the time of sale are acceptable. However, the appraiser must include their own photos to document compliance with the Score of Work which requires the appraiser to inspect each comparable sale from the street.
- The appraiser must certify that an existing property meets the requirements detailed in HUD Handbooks 4000.1. USDA defines “existing” as a property that has been completed for 12 months or more or has been completed < 12 months but has been previously occupied.
- All appraisals must be completed using the sales comparison approach. The appraiser will determine if the cost approach is required.
- The economic life of the property must meet or exceed the term of proposed loan.
- Appraisal must identify and address properties located within a declining market. When the property is located in a declining market, the appraiser is required to:
 - Provide, at a minimum, two comparable sales that closed within 90 days of the subject property appraisal. The comparables must be as similar to the subject property as possible.
 - The appraisal must include, at a minimum, two active listings or pending sales.
- At minimum, Planet requires the following on all properties:
 - A conventional heat source
 - Any broken glass that is a health hazard must be removed, and the opening closed.
- Appraisals are valid 365 days from the effective date (180 days for the original plus 180 days for the Appraisal Update Report).
- REO appraisals are not eligible
- Properties located in a FEMA Disaster Declaration area will be subject to additional appraisal review. See ["Chapter 8: Loan Purchasing" on page 583](#) for detailed requirements.

Appraisal Transfers

- The initial lender must agree to the transfer of the report. A letter from the initial lender who ordered the appraisal report must be retained in the mortgage file.
- The appraisal is valid for 180 days of loan closing and must remain valid at the time the Conditional Commitment is requested.

Assets

Business Accounts

- The following documentation is required:
 - Two months of recent bank statement, or
 - Verification of Deposit (VOD) and a recent bank statement, or
 - Alternative evidence to support account activity and monthly balances
- The lesser of the current balance or the previous month's ending balance must be used.

Cash on Hand

- Borrowers must supply a letter of explanation to state how the funds were accumulated (how much weekly/ monthly/ etc.).
- The Seller must determine the reasonableness of accumulation on income stream, spending habits, etc.
- Cash on hand is an ineligible source of reserves.

Depository Accounts: Checking, Saving, and Money Market Accounts

- The following documentation is required:
 - Two months of recent bank statement, or
 - Verification of Deposit (VOD) and a recent bank statement
- Investigate all deposits on the account statements are not attributed to wages or earnings. Confirm deposits are not from undisclosed income sources. There is no tolerance or percentage of the deposit



amount that is not required to be investigated.

- The lesser of the current balance or the previous month's ending balance must be used.

Earnest Money

- A copy of the check, money order receipt, etc. that was remitted for the earnest money must be retained in the loan file.

Gift Funds

- Gift funds are considered the borrower's own funds and are eligible to be returned to the borrower at the loan closing, if applicable.
- A gift letter must be obtained to specify the donor, the dollar amount of the gift, and include a statement that the funds do not have to be repaid.
- Gift funds may not be contributed from any source that has an interest in the sale of the property (seller, builder, real estate agent, etc.).
- Gift funds must be properly sourced:
 - If the funds have been deposited to the borrower's bank account, obtain a gift letter to state the funds do not have to be repaid and bank statement as evidence of source of funds from the donor's account. Cash on hand is not an acceptable explanation for the source of funds.
 - If the funds have not been deposited in the borrower's account, obtain a gift letter to state the funds do not have to be repaid, a certified check, money order, or wire transfer and a bank statement showing the withdrawal from the donor's bank account. Cash on hand is not an acceptable explanation for the source of funds.
 - If the gift funds will be sent directly to the settlement agent, the Seller must obtain a gift letter to state the funds do not need to be repaid, a bank statement as evidence of funds from the donor's account, and verify the funds have been received by the settlement agent by the donor. Cash on hand is not an acceptable explanation for the source of funds.
- If cash back is received at loan closing, it cannot exceed monies advanced by the borrowers minus utilized gift funds.
- Gift funds are ineligible as a source of reserves.

Gift of Equity/Sweat Equity/ Rent Credits

- Gift of equity or rent credits must be applied as a reduction to the purchase price of the property.
- Ensure the appraiser is aware of the gift and/or credit.
- The borrower may not receive cash back at loan closing for these gifts and/or credits.
- Ineligible for reserves and funds to close.

Marijuana/Cannabis

- Assets derived from employment in the marijuana or cannabis industry is not an eligible source of assets, regardless of state law. Assets from employment in industries that are not prohibited at the federal level, such as the legal hemp industry, is eligible.

Reserves

Not required.

See [USDA Handbook, Attachment 9-A](#), for additional asset requirements.

Assumptions

Planet follows Agency guidelines.



AUS

All loans must be submitted to the Guaranteed Underwriting System (GUS). Acceptable GUS Findings are:

- "Accept/Eligible," or
- "Refer/Eligible" and "Refer with Caution" Finding requires a manual underwrite. As a reminder, USDA requires full file documentation and documented mitigating circumstances/compensating factors when approving a loan that received a "Refer" from GUS.

Available Markets

- **Delegated Sellers**
 - Planet will purchase USDA loans underwritten and closed by the delegated Seller in **all** states.
- **Non-delegated Sellers**
 - Planet will purchase loans from the non-delegated Seller in all states on USDA products. All loans require Planet underwriting approval.
 - Sellers must receive approval from Planet to deliver loans with properties located in Puerto Rico.
 - The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.
 - Property must be located in a rural area as defined by Rural Development.

Borrower Eligibility

Adding or Deleting Borrowers

Borrowers may be added or deleted on a refinance transaction as long as one original borrower remains on the loan.

Eligible Borrowers

Borrowers who do not qualify for conventional credit and whose income does not exceed the maximum limit set by the USDA for the applicable area.

Borrowers must be one of the following:

- **U.S. citizen**
 - All borrowers are required to have a Social Security Number (SSN)
- **Qualified Alien**
 - May include either **Permanent Resident Alien** or **Non-Permanent Resident Alien** designation, provided they meet [USDA eligibility criteria](#) **and** submit required documentation.
- **U.S. non-citizen national**
 - Generally, a U.S. non-citizen national is a person born in American Samoa or Swains Island or after the date the U.S. acquired American Samoa or Swains Island, or a person whose parents are U.S. non-citizen nationals.
 - Typical evidence of the relatively uncommon status as a non-citizen national includes a birth certificate or passport.
- **Non-Purchasing Spouse (NPS):**
 - Generally, have no ownership interest in the property and are not liable for the debt.
 - In community property/marital rights states the non-borrowing spouse does have an interest in the property and is required to execute the security instrument and all applicable documents as determined by state law.
 - A full credit report will be required for a non-purchasing spouse in community property states and the debt obligations (except as excluded by applicable state law) must be entered on the 1003 in the "Asset and Liabilities" section and their debts must be included in the borrower's debt ratio.



- Community property states include Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin.
- The non-purchasing spouse's credit history is not a reason to deny the loan application.

Ineligible Borrowers

- Foreign Nationals
- Borrowers with diplomatic immunity
- Borrowers without a valid social security number
- Borrowers with only a Tax Identification Number (TIN)
- Non-U.S. citizens without lawful residency in the U.S.
- Non-occupant co-borrowers
- Co-Signers
- Borrowers who qualify for conventional credit

NOTE: As of March 18, 2025, the USDA has retracted the temporary authority granted on April 29, 2022, which previously allowed certain non-U.S. citizens to apply for guaranteed loans under the Single-Family Housing Guaranteed Loan Program (SFHGLP). Any reference to non-permanent resident alien eligibility in prior guidance is no longer applicable.

CAIVRS

- All borrowers must be checked against the Credit Alert Interactive Voice Response System ([CAIVRS](#)) to determine if they have delinquent federal debt. A clear CAIVRS is required.
- All federal debt and judgments must be paid in full or otherwise resolved and have supporting documentation.
- CAIVRS claims: The borrower must provide official documentation that the delinquency has been paid in full or otherwise resolved prior to loan processing.

Cash Back to Borrower

The borrower cannot receive any cash back from the transaction with the exception of out-of-pocket money (with supporting documentation) as follows:

- Earnest money deposit
- First year of homeowners insurance paid
- Loan application fees
- Appraisal/Inspection fees
- Paid repairs

Tax credits, excess loan funds, excess seller concessions, and items paid with credit cards **cannot** be refunded to the borrower; a principal reduction is required.

NOTE: Any excess gift funds at closing may be returned to the borrower.

Chain of Title

A 12-month chain of title is required for all loans (excluding new construction). Title must include all transfers in the previous 12-month period, including copies of all recorded deed(s). If more than one transfer in previous 12 months **or** property has significant increase in value since prior transfer, an appraisal addendum addressing all transfers is required.



Construction-to-Perm

This section is specific to Construction to Perm transactions. For any topic not covered in this section, refer to the topics within the guide.

Single Close Loans (SCL)

Planet will permit a “single-close loan” which combines the features of a construction loan, which is a short-term interim loan for financing the cost of construction, and the traditional long-term permanent residential mortgage. The agency considers this a purchase transaction.

- For SCL loans, closing occurs prior to the start of construction and must be listed as a purchase transaction only. SCL loans must be coded as “construction only” when submitted to GUS/GLS.
 - Funds disbursed must cover the cost of land and all applicable closing costs subject to the maximum loan value.
 - The Seller will manage the disbursements to the builder or contractor for the balance of mortgage proceeds (lender construction holdbacks).
 - Borrower must give approval to the Seller in writing prior all disbursements.

If the borrower's current principal residence is pending sale, but the transaction will not be completed prior to the commencement of the borrower's new SFHGLP construction loan, the existing PITI payment and the proposed PITI payment must be used in qualifying the borrower for the new guaranteed mortgage loan.

The Seller may exclude the existing PITI payment under the following conditions:

- The new loan is a SFHGLP single close construction loan.
- The Seller can document an executed sales contract for the current residence, and
- The Seller can confirm that any financing contingencies have been cleared.

The permanent mortgage loan interest rate, which is used for underwriting is established at closing.

The Loan Note Guarantee may be issued once the interim construction loan is closed without waiting for completion of the subject property.

Seller and Contractor Approval

Sellers must have explicit approval from USDA Rural Development to originate and administer Single Close construction loans.

Construction contractors and builders of homes financed with the loans must meet the following requirements:

- Two or more years of experience building and constructing all aspects of single-family dwellings similar to the type of project being proposed.
- Evidence of a state-issued construction or contractor license, as required by state law or local law.
- Evidence of commercial general liability insurance with a minimum coverage of \$500,000.
- An acceptable credit history being free of open judgments, collections or liens related to previous construction projects.
 - An individual credit report is required in addition to a commercial report on the business.
- The builder/contractor must not have any previous felony criminal record.
- A builder may be limited to an Agency determined number of units or terminated from participating in this program due to poor workmanship or failure to meet program guidelines.
- Owner-builders are ineligible.



NOTE: The above criteria must be met prior to requesting a commitment for loan Note guarantee.

Appraisals

- The maximum loan amount is determined by the fair market value of the proposed property. Land value is based on the value as reported in the Appraisal Report, with no seasoning requirement.

Documentation

File must evidence the following:

- Certification of plans
- Confirmation of thermal requirements
- Builder Warranty (Refer to chapter 12.9 of the [USDA Handbook](#))
- Standard industry Closing documents
- Applicable state-specific documentation
- Construction Rider or
- Allonge to the Note
- Construction Loan Agreement
- Certificate of Occupancy or final inspection
- Certificate of Completion from the appraiser
 - Photos of completed property required
- Verification of the acquisition and transfer of ownership of the land if the borrower acquired the land as a gift or inheritance.
- All executed HUD-1/CD's
- Borrower certification after conversion that the property is free and clear of all liens other than the mortgage and all construction costs have been fully drawn.
- Final Title Insurance policy with Planet in the first lien position.
- Copies of all canceled checks, paid receipts, draw requests, lien waivers, change orders, title endorsements, etc. for all property related requirements for new construction.

Age of Documents

- All credit, income and asset documentation must be dated within 120 days from the original closing date.
 - Documentation exceeding the condition time frame will require the following before the loan note guarantee can be requested and/or issued:
 - Updated appraisal and/or credit documentation, and
 - The borrower must be re-qualified.

See [USDA Handbook](#) for complete Loan Note Guarantee requirements.

Cash Back

Cash back is not permitted unless funds from prepaid expenses remain after closing, and the borrower paid these expenses from his/her personal funds.

Eligible Properties

- 1-Unit Properties only (includes detached PUDs and modular construction)
- Primary Residence

Ineligible Properties

- Condos
- 2-4 Unit Properties



Loan Cost

Loan costs are subject to the maximum LTV (see matrix above). Construction loan costs include the following:

- Acquisition cost of the land
- Payoff balance of land to be utilized in the construction of the dwelling.
- Construction hard cost:
 - Costs inside the contract to be detailed on the construction budget agreed upon by the builder and borrower; and
 - Costs outside of the contract, paid to subcontractors, for contributive work such as well and septic installation, roads/driveways, utility hookups, landscaping, etc.
- Construction Soft Costs:
 - Appraisal fees
 - Architecture or design fees
 - Builder acceptance or review fees
 - Contingency reserve
 - Engineering fees
 - Inspection fees
 - Interest reserve including interim interest accrued during the construction period, on a warehouse line of credit up to 12 months.
 - Lender construction administration fees
 - Other reasonable and customary closing cost not exceeding the maximum LTV are permitted per USDA Chapter 6 - Loan Purpose.
 - Permits
 - Plan review fees
 - Project review fees
 - Survey
 - Tax and insurance reserve
 - Title updates

NOTE: Any item included in the cost to construct the home must be commonly and customarily included in the cost to construct other homes in the area where the subject property is located.

Loan Closing

- Loan must be fully amortized to achieve full repayment within its remaining term.
- Dual loan disclosures to the borrower is permitted (Interim construction period disclosure and terms of permanent loan disclosure), or
- A single disclosure combining both interim construction period and permanent loan terms.

The loan may be re-amortized for full repayment within the remainder of the loan term, after applying excess funds as a principal curtailment.

Product

Fixed Rate: 30 years term

Reserves

A contingency reserve to cover eligible expenses associated with unplanned problems with construction or change orders may be utilized.



- If used, the reserve is limited to 10% of the cost of construction (including labor, materials, and soft costs).
- Reserve funds must be deposited into the construction escrow account.

NOTE: Personal items, items such as furniture, electronic and home entertainment equipment are not permitted as cost to construct items.

See [USDA Handbook Chapter 12](#) for complete Construction-To-Perm requirements.

Credit Requirements

Credit Exceptions

Credit exceptions are acceptable subject to USDA guidelines. USDA does not approve the Seller's credit exception.

GUS Accept/ Accept with Full Documentation

- No credit exception is needed. GUS has determined that the credit is an acceptable risk.

GUS Refer, Refer with Caution, or manually underwritten loans

- The credit exception must include the documented rationale on the underwriting transmittal summary or similar underwriting form. The rationale must meet the following:
 - The circumstances that led to the derogatory credit were temporary in nature, beyond the borrower's control and due to the current employment/financial/health of the household are likely to recur. (Ex. Job/unemployment, delay or reduction in benefits, illness, etc.);
 - The seller must explain the rationale for issuing the credit exception (identified compensating factors, etc.) and why the borrower remains an acceptable credit risk; AND
 - The borrower must provide documentation to the Seller to be included in the loan file that supports the extenuating circumstances.
- Previous USDA losses, delinquent non-tax Federal debts, delinquent child support, and ineligible CAVIRS results are **not** eligible for lender approved credit exceptions.

NOTE: Borrowers with a tax lien/judgment must provide evidence of payment arrangements. USDA does not dictate a specific time period of payments having been made; the underwriter is responsible to determine if the repayment period is of appropriate duration. Borrowers with any delinquency during the repayment period are ineligible for a USDA loan.

Credit Report/Scores

- A tri-merged credit report is required for all borrowers.
- The primary borrower (the borrower with the highest income) must meet the minimum credit score requirement.
- At least one borrower, whose income and assets were used for loan qualification, must have a minimum of two tradelines that have been/were/are open for 12 months based on the date the account was opened as stated on the credit report.
- The representative credit score is determined as follows:
 - If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.
 - If there are two valid scores, the lower of the two is used.
 - If there is one valid score, that score is used.



- The borrower(s) must address **all** credit inquiries indicated on the credit report within the previous 90 days and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not). Any new debt must be included in the debt ratio.
 - New installment or revolving accounts that are not reflected on the credit report in GUS and/or are not listed on the loan application but discovered during the mortgage loan application process must be manually entered on the GUS Assets and Liabilities page under the Liabilities – Credit, Cards, Other Debts and Leases that You Owe section.
- Authorized user tradelines may be used to validate the credit score when one of the following is met:
 - The tradeline belongs to another borrower on the loan application, or
 - The owner of the tradeline is the spouse of one of the borrowers, or
 - The borrower has been making the payments on the tradeline for the past 12 months.
- If none of the above can be documented, the loan is ineligible.
- A GUS Accept recommendation may be retained if any of the following are met:
 - Account has a zero balance,
 - Account is marked “paid in full” or “resolved,”;
 - Account is more than 24 months old'
 - The disputed tradeline is current and paid as agreed;
 - The payment stated on the credit report is included in the monthly debts;
 - A documented payment from the creditor is included in the monthly debts; or
 - 5% of the stated account balance on the credit report is included in the monthly debts.

NOTE: A full credit report is required when the borrower lives in a community property state, and there is a non-purchasing spouse. Community property states include Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin.

Non-Traditional Credit

Applicants that do not have the required traditional credit history, a validated credit score, or no credit score may document their willingness to pay debt obligations through alternate sources. The use of a non-traditional credit history is not a reason to deny a loan.

Borrowers with a 12-month VOR: Two tradelines are required- the VOR plus one additional tradeline. The tradeline must be an eligible traditional tradeline from the credit report within a 12-month history or an eligible non-traditional tradeline.

Borrowers with no rent history: Three tradelines are required. Tradelines may be a combination of traditional tradelines from the credit report with 12-month history or eligible non-traditional tradelines.

Non-traditional credit can be documented as:

1. A non-traditional mortgage credit report (NTMCR)
2. Self-reported tradelines on a traditional credit report, or
3. Evidence from a third-party verification, cancelled checks, money order receipts, electronic payments, payment histories from the creditor/company, bank statements that clearly identify debt payments for the service/products, etc.

An eligible non-traditional tradeline must have a 12-month history and cannot have been closed more than 6 months prior to the loan application. Examples include, but are not limited to the following:

- Rent or housing payments,
- Utility Services,
- Insurance payments



- Premiums paid through payroll deduction for employee offered coverage plans are ineligible.
- Premiums paid quarterly or annually are acceptable when the payments provide 12 months of coverage.
- Childcare,
- School tuition,
- Payments for uninsured portions of medical bills,
- Internet or cell phone services,
- Automobile leases.
- Personal loans with repayment terms in writing, supported with cancelled checks, money order receipts, or electronic payment receipts.
- 12 month documented history of savings that demonstrate regular deposits which equal 3 months of proposed mortgage payments (PITI) payments that will be retained as cash reserves post-closing.
- Child support, alimony, garnishments, court-ordered debts, monthly subscription services, gym memberships, etc. are not eligible non-traditional credit tradelines.

Credit Report – Fraud Alert

When a fraud alert, active-duty alert or freeze is included with a credit report, additional steps are required to verify the borrower's identity and documentation must be provided. Documentation should include, but is not limited to:

- A letter of explanation from the borrower, and
- A copy of the identity theft report, and
- An additional form of identity verification

If the credit alert contains a phone number for a verbal verification prior to credit being issued, documentation must be provided that the borrower was contacted.

Derogatory Credit

Chapter 7 Bankruptcy

Bankruptcy must be discharged a minimum of 36 months from date of application.

Chapter 11, 12, or 13 Bankruptcy

Borrower must have 12 months history with paid as agreed and permission from the bankruptcy court is required.

Collections

If the cumulative total of all non-medical collections exceeds \$2,000, the following options will apply:

- Requires payment in full prior to or at closing, or
- Verification of payment arranged with creditor and include monthly payment amount in DTI ratios, or
- Use 5% of each collection account balance in the debt ratio.

All open accounts require the payment to be included in the Asset and Liabilities section on the 1003.

Consumer Credit Counseling

- Include the monthly payment amount due from the counseling plan.
- If an "Accept/Eligible" Finding is received, no explanation or other documentation is required from the



borrower.

- For GUS Refer, Refer with Caution, and manually underwritten files require the following documentation:
 - One year of payout under the plan has elapsed,
 - All payments have been made on time, and.
 - The Counseling Agency has provided written permission for the borrower to enter into a new mortgage loan debt.
 - No credit exception is required.

Delinquent Child Support

A borrower that is delinquent on court ordered child support that is subject to collection by an administrative offset is ineligible for a guaranteed loan unless the payments are brought current, the debt is paid in full, or otherwise satisfied by a documented release of liability.

A borrower that is delinquent on court ordered child support that is not subject to an administrative offset is ineligible for a guaranteed loan unless the applicant has an approved repayment agreement in place with three timely payments made prior to loan closing, the arrearage is paid in full prior to loan closing, or a release of liability is documented.

In all cases, the Seller must provide certification of the applicant's eligibility as part of the application submission. Any documentation obtained to support the lender's certification to the Agency will be retained in the loan file.

Foreclosure

A foreclosure must be dismissed a minimum of 36 months from the application date. Borrowers with a previous foreclosure on a Rural Development loan are ineligible.

Borrowers with a foreclosure in the previous 3 years may be eligible for a credit exception if the foreclosure was due to extenuating circumstances which were temporary in nature and beyond the borrower's control. See Credit Requirements > ["Credit Exceptions" on page 451](#) for detailed requirements.

Judgments

Court orders judgments must be paid in full or have evidence of 3 timely payment made per an agreement with the creditor. The monthly payment must be included in the DTI ratio, if applicable. An Accept/Accept with Full documentation file is not required to be downgraded.

Short Sales

- A short sale closed 3 years prior to the loan application date does not require a credit exception. Borrowers with a short sale are subject to the following:
- Borrowers with a short sale in the previous 3 years may be eligible for a credit exception. See Credit Requirements > ["Credit Exceptions" on page 451](#) for detailed requirements.

See [USDA Handbook Attachment 10-A](#) for all credit requirements.

DTI

The Maximum DTI is per GUS "Accept" or "Accept Documentation" Findings.



GUS Refer, Refer with Caution, or Manually Underwritten Loans: Standard maximum ratios: 29/41.

Debt Ratio Waivers:

GUS Accept or Accept Documentation: Ratio waivers are not required.

If the loan receives a **Refer, Refer with Caution, or is Manually Underwritten** (outside of GUS), the following requirements from HB-1-3555 Ch. 11.3 apply:

- Up to Max 32% PITI and 44% DTI
- All applicants have a credit score ≥ 680 ; and
- At least one acceptable compensating factor is documented

Additional Requirements

- Non-purchasing spouse debts must be included in the borrower's debt ratio.
- If an amount other than the amount reflected on the credit report is used in the total DTI ratio calculation, the Seller must provide documentation of the amount utilized.
- When a balloon or deferred payment is due within 12 months, the Seller must evaluate the complete loan application to determine the borrower's repayment ability.

401(k) Loans/Personal Asset Loans

Loans pledging personal assets do not require a payment to be included in the monthly debts.

Business Debt

- Business debts (e.g., car loan) reported on the applicant's personal credit report may be omitted from the monthly debt if there is evidence the debt is paid through a business account.
- Acceptable evidence includes canceled checks or bank statements from a business account for the previous 12 months.
- Payments paid by the business must be included on the cash flow analysis and/or profit and loss statement, when applicable.

Co-Signed Debt

- Co-signed debts must be included in the monthly debt unless the borrower provides evidence another obligor has successfully made the payment for the previous 12 months prior to the loan application.
- Acceptable evidence included but is not limited to canceled checks, money order receipts and/or bank statements of the obligor.
- Late payments reported in the previous 12 months prior to the application will require the monthly liability to be included in the monthly debts.
- If the borrower can provide evidence from the creditor that they will not pursue debt collection against the borrower should the other party default, the 12-month payment history of the additional party is not required.
- Debts identified as "individual" on a credit report must be included in the debt ratio regardless of who is making the monthly payment.

Court Ordered Debt: Alimony/Child Support/Garnishments

- Court ordered debts must have the payment included in the total debt ratio unless the borrower provides a release of liability from the court/creditor and acceptable evidence is documented.
- Select pages from the applicable agreement/ court order will be utilized to document the required monthly payment due and the duration of that debt.
- Debts with 10 or less payment remaining may be excluded if the payment does not exceed 5% of the



monthly repayment income.

- For GUS transactions, manually enter the obligation(s) as a monthly liability. A manual entry of this monthly obligation does not require the underwriting recommendation to be downgraded to a "Refer."
- Sellers must confirm repayment agreements are current.

Expenses allowed

- An automobile or other expense allowance will not cancel out a monthly debt for an automobile or expense loan/debt.
- The full amount of the monthly debt associated with the expense (such as a car or equipment payment) must be included in the total debt ratio calculation

Installment Debt

- Accounts that will be paid in full through a specified number of fixed payments (auto, personal, secured/unsecured, etc.) must have the monthly payment included.
- Installment debt may be paid down to 10 months or less of remaining debt.
- If 10 or less months of repayment remains per the credit report, credit verification, etc., the monthly debt may be excluded if the payment does not exceed 5% of the monthly repayment income.

Non-Purchasing Spouse Debt

The debts of the non-purchasing spouse must be included in the borrower's qualifying ratios, unless specifically excluded by state law, if:

- Borrowers reside in a community property state, or
- Property being purchased is located in a community property state

NOTE: In community property states, the credit history of the non-purchasing spouse is not considered a reason to deny a loan, however, their obligations must be considered in the DTI unless excluded by state law. A full credit report for the non-purchasing spouse must be obtained to determine if the obligations should be included in the DTI.

Community property states include Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin.

Revolving Debt

- Credit cards, lines of credit, secured/unsecured, etc. must include the minimum monthly payment documented on the credit report or other creditor verification in the total debts.
- If the credit report shows an outstanding balance but no minimum monthly payment, the payment must be calculated as 5% of the balance reported on the credit report.
- A current account statement or creditor verification documentation may be obtained to document the actual monthly payment and include that amount in the monthly debts.
- USDA will not require a revolving account to be closed.

Student Loans

For outstanding student loans, regardless of the payment status, lenders must use:

- The payment amount reported on the credit report or the actual documented payment, when the payment amount is above zero; or
- One half (.50) percent of the outstanding loan balance documented on the credit report or creditor verification, when the payment amount is zero.



Student loans in the applicant's name alone but paid by another party remain the legal responsibility of the applicant. The applicable payment must be included in the monthly debts.

Student loans in a "forgiveness" plan/program remain the legal responsibility of the applicant until they are released of liability from the creditor. The applicable payment must be included in the monthly debts.

See DTI > ["Co-Signed Debt" on page 455](#) for addressing co-signed student loans when factoring monthly debts into ratio calculations.

Obligations Not Included in DTI Ratios

Obligations not considered or included in the DTI ratio calculations include:

- Medical collections
- Medical payments
- Federal, state, and local taxes, unless a payment plan is in place
- Federal Insurance Contribution Act (FICA) contributions
- Other retirement contributions such as 401(k) accounts, including the repayment of loans secured by 401(k) funds
- Automatic deductions to savings accounts, mutual funds, stocks, bonds, certificates of deposit, including the repayment of loans secured by such funds
- Collateralized loans secured by depository accounts
- Utilities
- Insurance, other than property insurance
- Commuting costs
- Union dues
- Open accounts with zero balances
- Childcare
- Voluntary deductions.

All liabilities disclosed by the borrower should be listed in GUS. The seller may "omit" liabilities as permitted.

Down Payment

Not required.

Employment and Income

Employment Requirements

A two-year employment history is required.

Amended tax returns are allowed subject to the following requirements:

- Original and amended tax returns are required. Tax transcripts for the amended tax returns must be obtained and be provided from the IRS. Borrower obtained tax transcripts for amended tax returns are not allowed.
- Tax returns must be amended prior to the application date. Tax returns amended after the application date are not allowed.
- Amended tax returns must be accepted by the IRS.
- If the borrower owes taxes to the IRS, the full amount must be paid in full. Installment agreements for taxes are allowable if Agency guidelines are met.



- An explanation for the amended tax returns is required to be obtained from the borrower if the income is being used to qualify.

NOTE: If the borrower has any gaps in employment that are **> 30 days**, a letter of explanation from the borrower will be required unless employment is clearly seasonal

Wage Earners

- A verbal verification of employment (VVOE) is required within 10 business days of the Note date for salaried borrowers.
- Sellers must independently obtain the phone number, and when possible, the address of the wage earner borrower's employer using directory assistance/internet/phone book, etc.

Self-Employed Borrowers

- A verbal verification of employment (VVOE) is required within 30 calendar days for self-employed borrowers.
- Self-employed borrowers are individuals who have 25% or greater ownership interest in a business.
 - Self-employed borrower's business requires verification of the business by a third-party source (e.g., CPA, Federal Tax ID Certificate, Business License).
 - Self-employed borrower with 1-2 year self-employment history may be eligible subject to the following:
 - Borrower has 2 years documented previous successful employment in the line of work in which they are self-employed, or it is a related occupation, or
 - A combination of one year of employment and formal education or training in the line of work in which the individual is self-employed or in a related occupation is also acceptable.

NOTE: < 1 year of income from self-employment is not considered effective income.

- Annual earnings that are stable or increasing are acceptable, while businesses that show a significant decline in income over the analysis period are not acceptable, even if the current income and debt ratios meet USDA guidelines.
- Income must not be declining more than 10% per year. If income is declining more than 10%, the lowest income must be used to qualify.
- Depreciation and/or depletion may be added back.
- Signed and dated individual tax returns, with all applicable tax schedules, for the most recent two years, are required.
- Corporations, S-Corporation or Partnership, are required to provide signed copies of Federal Business income tax returns for the last 2 years with all applicable tax schedules.

Employed by Family Business

In addition to standard employment verification, a borrower employed by a family-owned business is required to provide evidence that they are not the owner of the business.

Acceptable evidence includes:

- Copies of signed personal tax returns, or
- Signed copies of the corporate tax returns showing ownership percentage.



Income Requirements

The borrower's adjusted household income cannot exceed the limit set by Rural Development for the state/county where the property is located. View the GRH income limits by state on the [Rural Development Single Family Housing Guaranteed Loan Income Limits](#) website.

The seller is responsible for determining the borrower's annual, adjusted, and repayment income eligibility and enter the information on the [Rural Development Income Eligibility](#) website.

NOTE: The Rural Development system will indicate eligible/ineligible for both the Guaranteed Rural Housing Loan Program **and** the Direct Rural Housing Loan Program. Planet **only** offers the **Guaranteed Rural Housing** program. A screen shot of the Income Eligibility Determination Summary is required.

Rural Development has three separate income calculations that are required:

Annual Income

The total income of all adult household members, regardless of whether they will be parties to the promissory note must be verified for the previous two years. Spouses and Non-spouse household members income must be included unless they have been living apart for at least three months. The gross amount (prior to any payroll deductions) of wages, salaries, overtime pay, commissions, fees, tips, bonuses, and any other compensation for personal services of all adult members of the household must be included. This is projected income, not an average of previous years' income. Unreimbursed employee business expenses are deducted from annual income and repayment income calculations.

Annual income also includes any interest, dividend, social security, unemployment, disability, retirement fund, pension, public assistance income, rental income, or alimony/child support (unless payments are not received, and a reasonable effort has been made to collect).

Full time students, who are temporarily absent from the home but who will reside at the property at any time during the coming year and the property is listed as the student's permanent address, only the first \$480 of their income is considered.

The following are **ineligible** for annual income calculations:

- Earned income tax credits,
- Adoption assistance in excess of \$480 per adopted child,
- Employer provided fringe benefit packages unless reported as taxable income.

If an adult member of the household is currently unemployed but is seeking new employment must have their previous earnings included in the annual income. The previous earnings are not required to be included when there is documented evidence to support they are not seeking to be reemployed.

Calculating Income from Assets

Household members with cumulative net family assets(non-retirement) in excess of \$50,000 must be reviewed for annual income purposes. Sellers must review asset information provided by borrowers and household members at the time of the loan application. Net family assets with actual earnings will use the stated rate of interest to calculate annual income. New family assets that do not earn interest will use a current passbook savings rate (verified though the seller's personal bank rates, online website, etc.) to calculate annual income.



If the applicants have ownership in a business, or are self-employed, the lender should closely review the asset accounts to verify assets are not transferred between a personal account and a business account and vice versa. These accounts should function as two separate financial tools, one for personal transactions and one for business transactions. In the event the assets from the business account and personal account are co-mingled, the co-mingled assets would need to be included in the calculation of net family assets.

Net family assets include the value of equity in real property, cash on hand in savings and checking accounts, trust accounts, lump sum receipts such as lottery winnings, capital gains, and inheritances, personal property held as an investment, market value of stocks, bonds and other forms of capital investments.

Adjusted Annual Income

The household's annual income (as described above) minus eligible deductions equals the adjusted income. The adjusted income determines GRH program eligibility. Eligible deductions include:

- Dependents
 - \$480 per person who is under 18, disabled and is 18 or older or full-time student who is 18 or older
- Childcare Expenses
 - Care for children 12 years old and under which enables the applicant to work, seek employment, or attend school.
 - Calculate the anticipated childcare expenses for the ensuing 12 months.
 - Borrowers that have not placed their child into care or have no evidence to support payments, deposits, or registration fees are ineligible for this deduction.
- Disability Expenses
 - Deduction for eligible expenses that exceed 3% of the annual income. Eligible expenses:
 - Allow the disabled individual or another household member to work,
 - Are non-reimbursable by insurance or other sources, and
 - Do not exceed the income earned by the person who is working due to the care provided.
 - Examples include but are not limited to daily living assistance, wheelchairs, ramps, adaption needs, workplace equipment, etc.
 - Utilize documentation to estimate annual expenses.
- Elderly Household deduction
 - Borrower or co-borrower is 62 years of age and older
 - Eligible for an annual deduction of \$525
- Medical Expenses (Elderly and Disabled Households only)
 - Deduction for eligible expenses exceeding 3% of the annual income for the entire family.
 - Utilize documentation to estimate anticipated annual expenses.

Repayment Income

Determined by the stable/dependable income of the borrowers only. Borrower must generally have a two-year history of receiving the income, and there must be a reasonable expectation of continued receipt for three years.

Repayment income is the qualifying income and is used to calculate DTI.

- The income source must be documented.
- There must be evidence to support the historical receipt of earnings.
- Establish the likelihood of its continuance for at least three years into the mortgage.
- Analyze any gaps in employment to make a final determination of stable and dependable income.
- Caution should be utilized for any borrower that has documented declining wages or earnings. Sellers



must ensure repayment income is not inflated/ overstated.

- Caution should be utilized for any borrower that has a documented sharp increase or decrease in earnings. A sharp increase or decrease is defined as 20% or greater variance in income from the previous 12 months. Sellers must determine if an increase is supported and logical, and if a decrease has/will continue or if there is evidence to support the earnings have stabilized.
- Income that is not subject to federal taxes may be grossed up 25%.

Income Documentation

Income must be documented for the previous two years for all adult household members. See [USDA Handbook Chapter 9](#).

Salaried Borrowers

- Current pay stubs for previous four weeks earnings with YTD income,
- W -2s for prior two years, and
- Written VOE or electronic verifications

Self-Employed Borrowers

- 2 years signed tax returns including all schedules,
- 2 years signed tax returns for the business,
- YTD P&L (audited or unaudited), and
- YTD Income & Expense Statement

See [USDA Handbook Attachment 9-A](#) for additional income requirements.

Marijuana/Cannabis

Income derived from employment in the marijuana or cannabis industry is not an eligible source of income, regardless of state law. Income from employment in industries that are not prohibited at the federal level, such as the legal hemp industry, is eligible.

Escrow Account

Required on all loans — no exceptions.

Escrow Holdback

° **Permitted.** For additional requirements, see ["Chapter 8: Loan Purchasing" on page 583](#).

First Time Homebuyer

First time homebuyers may be required to complete homebuyer education at the discretion of Rural Development.

Inspections

- The water quality must meet state/local standards. Not required on refinance transactions.
- Septic inspections are only required when the appraiser indicates there is evidence the septic system may be failing.
- Termite inspections are only required when the purchase contract requires one, or the appraiser indicates there is evidence of active infestation.



Loan Amount

Purchase Transactions

The maximum loan amount is 100% of the appraised value plus the upfront guarantee fee if financed. Eligible closing costs and lender fees may be included in the loan amount up to 100% LTV.

Non-Streamlined Refinance Transactions

- Maximum loan amount cannot exceed the current appraised value except the guarantee fee may be financed.
- Permissible discount points financed may not exceed 2% of loan amount.

Minimum Loan Amount

◦ \$40,000.00

Mortgage/Rental History

GUS Accept/ Accept with Full Documentation

- No Verification of Rent (VOR) is required. No credit exception is required

GUS Refer, Refer with Caution, or Manually Underwritten Loans

- A VOR may be required. Refer to the GUS Underwriting Findings Report to determine if a VOR is required for a complete loan application.
- If a full 12-month VOR is not available, Sellers may verify the amount of rental history that has been unpaid.
- One rent or mortgage payment paid 30 or more days past due in the previous 12 months is significant derogatory credit and will require a credit exception.

Mortgage Seasoning

Prior to the request for Conditional Commitment:

- The existing USDA loan being refinanced must have closed at least 180 days prior to the request for Conditional Commitment. ◦ **Refer to GNMA seasoning below.**
- The existing USDA loan being refinanced must have a mortgage payment history which does not reflect a delinquency greater than 30 days within the previous 180 day period.
- All other refinance requirements described in [HB-1-3555, Chapter 6](#).

GNMA Seasoning

◦ In addition, the following GNMA mortgage seasoning requirements must be met.

- ◦ The borrower made at least six consecutive monthly payments on the loan being refinanced, referred to hereinafter as the initial Loan, beginning with the payment made on the first payment due date; and
- ◦ The first payment due date of the refinance loan occurs no earlier than 210 days after the first payment due date of the initial Loan.

Non-ARM's Length/Identity of Interest

- A non-ARM's length transaction is a purchase transaction where there is a relationship or business affiliation between the buyer and seller of the property



- Non-ARM's length transactions are eligible for re-sale properties
- An identity of interest transaction involves parties who are not related and do not have close personal ties. However, they have a strong interest in the transaction (i.e., broker acting for both buyer and seller; broker is both realtor and mortgage broker, the realtor is selling own property, etc.). Identity of interest transactions are eligible on owner-occupied transactions; however, an additional review will be required to ensure the validity of the transaction, value, etc. Additional documentation and/or a desk review or second appraisal may be required at underwriters' discretion.

Occupancy

- Owner-occupied 1-unit primary residence
- Borrowers must occupy the property within 60 days of signing the security instruments.

NOTE: Active-duty military borrowers are considered to have met the occupancy requirement if proof of discharge will be received within a reasonable period of time (generally within 1 year) and the serviceperson's family will continue to occupy the property if the serviceperson is assigned elsewhere prior to discharge.

Other Real Estate Owned

Borrowers retaining their current home are eligible subject to the following:

- Current residence is not financed by a USDA RD Guaranteed, Direct 502/504 or active grant.
- The borrower is qualified to own more than one house.
- The borrower will occupy the home financed with the guaranteed loan as their primary residence throughout the term of the loan;
- Current home owned no longer adequately meets the borrower's need due to a significant change in borrower's circumstances. Examples include, but are not limited to:
 - Relocation due to a new job opportunity.
 - Requires a larger home to provide for a growing family.
 - Obtaining a divorce and the ex-spouse will retain the dwelling.
 - Is a non-occupying co-borrower or co-borrower on another mortgage and want to purchase their own dwelling.
- See Chapter 8 of the [USDA Handbook](#) for additional requirements.

Power of Attorney

The following requirements apply to all transactions when a Power of Attorney (POA) is utilized:

- Use of the POA must meet all applicable state, federal, and agency guidelines.
- The attorney-in-fact must be an eligible person (the following are examples of ineligible persons: real estate agent, seller or a person related to the seller, any employee of the lender, any employee of the title company, title agent or settlement agent, or any other party with a financial interest in the transaction (other than a relative of the borrower).
- The POA must be signed and notarized.
- A trustee of a trust cannot sign using a POA.

Prepayment Penalty

Not permitted.



Product

- 30-year fixed rate
- The maximum interest rate may not exceed the Fannie Mae 90 day Actual/Actual Yield for a 30-year fixed rate loan, plus 100 basis points, rounded up to the nearest quarter of one percent (e.g., Fannie Mae 90-day rate is 4.72 + 100 basis points = 5.72 rounded up to 5.75%)

Property Eligibility

See [USDA HB-1-3555 Chapter 12: Property and Appraisal Requirements](#)

Eligible Properties

The property must be in an eligible rural area as determined by the USDA Rural Development department for purchase transactions. Refinance transactions, the property, is not required to still be in a rural area. To determine eligibility, click [here](#): Rural Housing Property Eligibility, select “Single Family Housing” under the “Property Eligibility” header in the menu and enter the information requested. A screenshot showing that property is located in an eligible area is required. Eligible property must be predominately residential in use, character, and appearance.

- A Planet Condo/PUD Warranty form is required. Detached PUD projects do not require a questionnaire/warranty form.
- Condominium (If Fannie Mae, FHA, or VA approved, no action required. If currently not approved, a Fannie Mae Full Review will be required on purchase transactions; a Limited Review is not allowed).
- Hawaiian Home Lands property subject to USDA requirements.
- Manufactured Homes (Double-wide or greater). **See Manufactured Homes** below.
 - *Must have a manufacture date within 20 years of loan closing*
 - Must comply with FMHCSS as evidenced by HUD Certification Label and Data Plate
- New construction
- PUD (attached/detached). Detached PUD projects do not require a questionnaire/warranty form.
- Single family dwellings
- Site condos are eligible subject to the following:
 - The unit must be completely detached with no shared garage or other attached buildings (e.g., archway, breezeway, etc.)
 - The unit consists of the entire structure, site and air space that are not considered to be common areas or limited common areas.

Ineligible Properties

- 2-4 units
- Commercial property
- Condo Hotels (projects managed or operated as hotel/motel, hotel/motel conversions)
- Condominium projects not approved by Fannie Mae (or not eligible with Full Review, FHA, or VA)
- **° Cooperative projects**
- Farms, orchards, ranches
- Income producing properties
- Investment property
- **° Leaseholds**
- Log Homes
- Manufactured Homes – with a manufacture date greater than 20 years from Note Date
- **° Manufactured Homes - Singlewide**



- Properties identified by Rural Development as "remote" rural
- Properties not located in a rural area as defined by USDA Rural Development.
- Properties utilizing cisterns
- Properties where the value of the lot exceeds 30% of the appraised value
- Properties with large farm service building or with buildings/equipment for specific income producing purposes. Out buildings used for storage are acceptable
- Properties with wind mills/wind turbines or cell phone towers located on the property
- Property located in the Hawaiian Islands in lava zones one or two
- Second/vacation homes
- Unique properties (geodesic domes, earth berm homes, log homes, etc.)

Manufactured Homes

See [USDA Chapter 13: Special Property Types Section 2: Manufactured Homes](#).

Manufactured homes must be multi-width units constructed partially off-site, transported to the subject site, and permanently affixed to a foundation. The unit must comply with the Federal Manufactured Home Construction and Safety Standards (FMHCSS) and display a HUD Certification Label.

NOTE: Modular homes are distinct from manufactured homes as they adhere to different building codes.

Eligible Loan Purposes for Manufactured Homes

- **Site development work**
 - Compliant with state and local regulations
- **Purchase of an eligible new manufactured unit**
Including transportation and set-up costs, the unit must:
 - Be a new, unused unit in dealer inventory
 - Not have:
 - Been previously installed or occupied at any other site or location
 - Been moved more than once (only allowable move is from the manufacturer or dealer to the subject site)
 - Be double width or greater
 - Be placed on a permanent foundation built to FHA guidelines in effect at the time of certification.
 - Meet current standards published in HUD's "Permanent Foundation Guide for Manufactured Housing" ([HUD-4930.3G](#)). Including:
 - Energy efficiency requirements for the geographic area where the home will be placed, as shown on the Comfort Heating and Cooling Certificate
 - Builder Certification that all required insulation and thermal performance standards were met at the time of purchase
 - Meet Construction and Site Requirements for New Dwellings, documentation in loan file must include:
 - An itemized cost breakdown (base unit, options, site development, installation, and lot costs)
 - Dealer certification that any rebates will be deducted from the purchase price and not paid directly to the borrower
 - Foundation plan compliant with HUD Handbook 4930.3G
 - Plot and Site development plans



- Required inspections as outlined in [Chapter 12](#)
- Contractor Certification that multi-section units were correctly joined and sealed per manufacturer specifications and the home sustained no damage during transportation and set-up
- **Purchase of an eligible existing unit**
An eligible existing unit:
 - Must never have been previously installed at a different homesite.
 - Must be double width or greater and have a floor area of not less than 400 square feet.
 - Cannot have been altered or modified post-construction, except for porches, decks, or other structures built to engineered designs and inspected by local officials.
 - Must be installed on a permanent foundation according to manufacturer and HUD installation standards.
 - Must have a **manufacture date** within 20 years of loan closing and comply with FMHCSS as evidenced by HUD Certification Label and Data Plate.
 - As an alternative to the original HUD Certification Label(s), the lender may obtain a verification letter with the same information contained.

Rural Development Restrictions

Rural Development will not guarantee loans used to finance the following:

- The purchase of a manufactured unit without an eligible site.
- The purchase of an existing unit that does not conform to FMHCSS requirements.
- The purchase of a unit that has not been installed on a permanent foundation per manufacturer and HUD standards.
- Repairs not associated with a transfer, Real Estate Owned (REO) sale, or unit that is already financed with a Section 502 loan.
- Furniture, including movable articles of personal property such as drapes, beds, bedding, chairs, sofas, divans, lamps, tables, televisions, radios, stereo sets, and other similar items of personal property. Furniture does not include wall-to-wall carpeting, refrigerators, ovens, ranges, washing machines, clothes dryers, heating or cooling equipment, or other similar equipment.
- Additions and modifications on new or existing units are prohibited except for porches, decks, or other structures built to engineered designs and inspected and approved by a local building code official.
- Moving of a unit from any a site other than the manufacturer/dealer lot to the site securing the mortgage loan.
- **Financing existing manufactured homes older than 20 years**, unless already financed with a Section 502 loan.
- A unit with a tow hitch or running gear remaining.

See [USDA HB-1-3555 Chapter 12: Property and Appraisal Requirements](#).

See [USDA HB-1-3555 Chapter 9: Income Analysis](#) (Section 9.4 B – Ineligible Loan Purposes).

Appraisal Requirement

Manufactured Home Appraisal Report and addendum (FNMA Form 1004C/FHLMC Form 70B) for all manufactured homes.

- All manufactured homes must be appraised using Fannie Mae Form 1004C or Freddie Mac Form 70B, which is specifically designed for manufactured homes.
- The appraiser must verify that the home meets HUD Manufactured Home Construction and Federal



Manufactured Home Construction and Safety Standards (FMHCSS).

- The appraiser must inspect both the interior and exterior of the property.

Cost Approach:

- The cost approach is required when new manufactured housing is being appraised.
- The appraiser must identify the source of cost estimates and discuss depreciation, effective age, and remaining economic life.

Site and Foundation Compliance:

- The manufactured home must be permanently affixed to a foundation that meets HUD Handbook 4930.3G (Permanent Foundations Guide for Manufactured Housing).
- The appraiser must verify that the home has a HUD Data Plate and HUD Certification Label.
- The manufactured home must be classified and zoned as real estate and taxed accordingly.
- The foundation must be inspected by a licensed engineer or qualified professional.

Property Condition & Photos:

- The appraisal report must include clear, color photographs of:
 - The front and rear of the property.
 - Interior living spaces.
 - The foundation and HUD Certification Label.
 - Street scene showing neighboring improvements.
 - Comparable sales.
- Any property deficiencies or adverse conditions must be disclosed in the appraisal.

Title & Ownership:

The manufactured home must be titled and zoned as real estate, not personal property.

- A standard real property title insurance policy is required.

Age Restrictions:

- The manufactured home must not be older than 20 years at the time of loan closing.
 - If the home was previously financed with a USDA Section 502 loan, it may be eligible regardless of age.

Environmental & Market Factors:

The appraiser must evaluate the local marketability of the manufactured home.

- If the home is located in a declining market, additional comparable sales may be required.

Closing Requirements

• Warranty Requirement:

- A dealer must provide the borrower with a copy of all manufacturer warranties. The warranty must identify the unit by serial number. A copy of all warranties and certifications will be retained in the lender's permanent file.
- Attachments 13-A and 13-B may be used to document manufactured dealer and contractor certifications.
 - See [USDA HB-1-3555 - Chapter 13: Special Property Types](#)

• Lien Release Requirements:



- The dealer must furnish a manufacturer's certificate of origin indicating that the unit is free and clear of all legal encumbrances. A copy of the manufacturer's statement or certificate of origin will be retained in the lender's mortgage file.
- **Real Estate Tax Requirements:**
 - As required by the local taxing authority, the unit and site must be classified, zoned, and taxed as real estate. Certificate of title to the manufactured home must be surrendered to the appropriate state government authority, if state law permits.
- **Title and Lien Requirements:**
 - Both the unit and the site must be evidenced by a recorded mortgage or deed of trust. A combination of a chattel and real estate mortgage is not acceptable. If the certificate of title cannot be surrendered, the lender must indicate its lien on the certificate of title.

Purchase Agreements Amended/Renegotiated

- Not eligible if the sales price was increased **after** the original appraisal was completed if:
 - The appraised value is higher than the originally contracted sales price that was provided to the appraiser, and
 - The new purchase agreement and/or addendum to the purchase agreement is dated after the appraisal, and
 - The only change to the purchase agreement was the sales price.
- If the purchase agreement was renegotiated after the completion of the appraisal, the LTV will be based on the **lower** of the original purchase price or the appraised value, unless
 - The re-negotiation was only for seller paid closing costs and/or pre-pays where the seller paid closing costs/pre-pays are common and customary for the area and are supported by the comparables.
 - The re-negotiation was on a new construction property and was due to improvements made that increased the value of the property. In this case, an updated appraisal must be obtained to document the improvements and increased value.
- Assignment of the purchase contract is not allowed.

Rent Back

The property seller is allowed to rent back the property from the buyer (borrower) for a maximum of 60 days after close.

Seller Contribution

Seller contributions (or other interested parties) are limited to 6% of the property sales price. Seller concessions may be in the form of loan discount points, loan origination fees, closing cost assistance, payment of condominium fees, down payment assistance, repairs or repair credits.

Seller contributions cannot be used to pay a borrower's personal debt or as an inducement to purchase by including moveable articles of personal property, such as furniture, cars, electronic equipment, etc. This does not include household appliances that are typically a part of the purchase transaction.

Temporary Buydown

Eligible Buydown Types

- **2-1 Buydown**
 - **Year 1:** Payment calculated at 2% below the note rate.
 - **Year 2:** Payment calculated at 1% below the note rate.
 - **Years 3 through maturity:** Payment calculated at note rate.



- **1-0 Buydown**
 - **Year 1:** Payment calculated at 1% below the note rate.
 - **Years 2 through maturity:** Payment calculated at note rate.

Ineligible Buydown Types

- **◦ 1-1 Buydown**
- 3-2-1 Buydown

Eligible Source of Buydown Funds

- Lender
- Other Interested Parties to the Transaction
- Seller
- Split/Combo Contributions

Ineligible Source of Buydown Funds

- Borrower
- Excess IPCs: Contributions exceeding program limits
- Non-compliant lender buydowns
- Premium pricing: Using the credit from selecting a higher rate
- Unverifiable funds: Sources that cannot be documented to program standards

Eligible Transactions

- Purchase
- Non-Streamline Refinance
- USDA Streamline Assist
- USDA Streamline

Ineligible Transactions / Attributes

- ARMs
- Cash-Out Refinance
- **◦ High Balance**
- Investment Properties
- Second Homes
- Texas 50(a)(6)

Amortization Type

- Fixed-Rate Only

Loan Term

- **◦ 30-year term**

Occupancy Requirements

- 1 Unit - Primary Residence

Eligible Property Types

- Attached
- Detached
- Manufactured Homes
- PUD
- SFR
- Warrantable Condo



Automated Underwriting (AUS) Requirements

- Loan must be submitted through GUS and receive an "Accept/Eligible" recommendation.
- **Manual Underwriting (UW) is Ineligible**

Qualifying Rate

- **Borrowers must qualify at the Note Rate**
 - The borrower must be qualified using monthly payments calculated at the note rate.
 - If reserves are required, the reserves must be calculated using the note rate.

Additional Requirements

- **Temporary Buydown agreements must be fully executed at funding and held in a custodial account.**
 - The temporary buydown agreement must state that the borrower will not assign, transfer or close the account, or withdraw buydown funds, except as permitted by the terms of the temporary buydown agreement.
 - A copy of the fully executed temporary buydown agreement, must be retained in the Seller's loan file.
- **The borrower must sign an agreement stating that the buydown funds will be automatically applied to reduce their monthly principal and interest payment.**
 - The borrower must agree in writing that the buydown funds in the buydown account will be automatically applied each month to reduce the monthly payment of principal and interest to the extent provided under the subsidy temporary buydown agreement.
 - The temporary buydown agreement must provide that the borrower will not be relieved of the obligation to make the full monthly mortgage payments required by the terms of the note if, for any reason, the buydown funds are not available or the buydown funds are not paid.
- **Loan documents must not reference the temporary rate in the note and security instruments.**
 - The loan file must contain a copy of the executed temporary buydown agreement and must clearly show the Seller's calculations of the total cost of the temporary subsidy buydown, any interested party contribution and the annual percentage increase in the borrower's monthly principal and interest payment.
- **The note and mortgage terms must not be altered due to the temporary buydown agreement.**
 - No references to the buydown plan are permitted in the note and security instruments.
 - The interest rate and monthly payments shown in the note must be calculated without reference to the temporary buydown subsidy. In no event may the temporary buydown agreement change the terms of the note or mortgage.

Transaction Eligibility

Eligible Transactions

- Purchase
- Non-Streamline Refinance

See ["USDA Streamlined Refinance Program Guidelines" on page 473](#) and ["USDA Streamlined Assist Refinance Program Guidelines" on page 480](#) for additional requirements.

Ineligible Transactions

- Cash-out
- Properties located in a Special Flood Hazard Area and flood insurance through the National Flood Insurance Program is not available
- Refinance of any loan that is not a current Rural Development loan



- Rural Housing Direct Loan (purchase transactions)
- Texas Section 50(a)(6)

Refinance Transactions

USDA offers 3 types of refinance transactions: Non-Streamline Refinance, Streamline Refinance, and Streamline Assist Refinance. The following requirements must be met for Non-Streamlined Refinances:

- A new appraisal is required.
- The maximum loan may include the principal and interest balance of the existing loan, and reasonable and customary closing costs up to the new appraised value. The appraised value may only be exceeded by the amount of the financed upfront guaranteed fee.
- Additional borrowers may be added to the new guaranteed loan. Existing borrowers on the current mortgage note may be removed when one of the original borrowers remains on the refinanced loan.
- The existing loan must have closed 12 months prior to the Agency's receipt of a Conditional Commitment request and have a mortgage payment history which must reflect 0x30 within the previous 180-day period.
- All credit requirements must be met.

See ["USDA Streamlined Refinance Program Guidelines" on page 473](#) and ["USDA Streamlined Assist Refinance Program Guidelines" on page 480](#) for additional information for those specific programs.

Subordinate Financing

- Eligible on purchase transactions when provided by a government entity.
- No new subordinate financing on refinance transactions. Any existing subordinate refinancing must be resubordinated.

Upfront Guarantee Fee

- **Conditional Commitments issued on or after October 1, 2017:**
 - Purchase and refinance transactions: 1% of the total loan amount.
- **Annual Fee**
 - 0.35%. The annual fee is applicable for the life of the loan.

USDA Forms and Links

USDA Rural Development forms and guidelines are available at: USDA LINC Training and Resource Library

- ***Request for Single Family Housing Loan Guarantee*** (RD Form 3555-21) is used to request a loan guarantee from Rural Development. Must be completed at time of origination and signed by the borrower (s).

NOTE: Any increase in the loan amount or interest rate from what was indicated on the initial Form 3555-21 will require a new Form 3555-21 be submitted to USDA by Planet which will delay the loan process. Loans cannot be closed with a higher loan amount/interest rates than noted on the Conditional Commitment; a new Commitment will be required.

- ***Conditional Commitment for Single Family Housing Loan Guarantee*** (RD Form 3555-18) is issued by Rural Development to indicate the loan appears to be eligible for a GRH loan. The Conditional Commitment is valid for 60 days from issuance.



USDA Streamlined Refinance Program Grid

FIXED RATE			
Primary Residence - Full Documentation			
Transaction Type	Units	LTV/CLTV ¹	Credit Score
Streamlined Refinance ²	1	100%	Per GUS

Reference:

1. The LTV may exceed 100 percent of the market value of the property when the Guarantee Fee is financed. Max CLTV unlimited if existing secondary financing is from a government entity.
2. Loan being refinanced must be a USDA Guaranteed Rural Housing loan. USDA Section 502 Direct loans (Direct loans are serviced only by USDA). Conventional, FHA or VA loans cannot be refinanced under this program.



USDA Streamlined Refinance Program Guidelines

For topics not addressed in this guide, see ["USDA Purchase and Non-Streamlined Refinance Program Guidelines" on page 442](#) and the [USDA Handbook 3555](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 442](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

- Chapter 4 of the U.S. Department of Agriculture's [Field Office Handbook for the Direct Single Family Housing Program](#); and
- Chapters 9 through 11 of the U.S. Department of Agriculture's [Handbook for the Single-Family Guaranteed Loan Program](#).

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

All credit, income and asset documentation must be ≤ 120 days from the Note date.

Appraisals

Not required.

Assets

Asset verification is required when funds are needed to close.

Reserves

Not required.



For additional requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Assets" on page 444.](#)

Assumptions

Planet follows Agency guidelines.

AUS

All loans must be submitted to the Guaranteed Underwriting System (GUS). Acceptable GUS Findings are:

- "Accept/Eligible," or
- "Refer/Eligible" and "Refer with Caution" Finding requires a manual underwrite. As a reminder, USDA requires full file documentation and documented mitigating circumstances/compensating factors when approving a loan that received a "Refer" from GUS.

Available Markets

- **Delegated Sellers**
 - Planet will purchase USDA loans underwritten and closed by the delegated Seller in **all** states.
- **Non-delegated Sellers**
 - Planet will purchase loans from the non-delegated Seller in all states on USDA products. All loans require Planet underwriting approval.
 - Sellers must receive approval from Planet to deliver loans with properties located in Puerto Rico.
 - The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.
 - Property must be located in a rural area as defined by Rural Development.

Borrower Eligibility

Adding or Deleting Borrowers

Borrowers may be added or deleted on a refinance transaction as long as one original borrower remains on the loan.

For additional requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Borrower Eligibility" on page 446.](#)

CAIVRS

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["CAIVRS" on page 447.](#)

Cash Back to Borrower

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Cash Back to Borrower" on page 447.](#)

Chain of Title

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Chain of Title" on page 447.](#)



Credit Requirements

Credit Report/Scores

- A tri-merged credit report is required for all borrowers.

For additional requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > Credit Requirements > ["Credit Report/Scores" on page 451](#).

Credit Report – Fraud Alert

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > Credit Requirements > ["Credit Report – Fraud Alert" on page 453](#).

Derogatory Credit

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > Credit Requirements > ["Derogatory Credit" on page 453](#) for all requirements.

DTI

- Maximum 29%/41%. Exceptions may be granted subject to all of the following being met:
 - The PITI payment is between 29% and 32% and the total DTI is between 41% and 44%, and
 - All borrowers have a credit score of ≥ 680 , and
 - A minimum of one compensating factor is identified and substantiated with supporting documentation:
 - The proposed PITI payment is $\leq$ the borrower's current housing expense. Current housing must be 0x30 for previous 12 months and documented with VOR or credit report. Previous rent or mortgage payment cannot be verified by a family member; or
 - Borrower has accumulated liquid assets (savings, cash reserves) after close of a minimum of 3 months PITI payments verified with two months bank statements or VOD, dated within 45 days of the loan application. Cash on hand is not eligible; or
 - All employed borrowers have been continuously employed, with their current respective employer, for a minimum of two years. Employment must be verified using RD Form 1910-5 Request for Verification of Employment or Fannie Mae Form 1005. VOE prepared by an employment verification service (e.g. The Work Number, etc.) are acceptable.

NOTE: Only wage earners may use 2-year employment as a compensating factor; not eligible for self-employed borrowers.

- Debt waiver ratios are subject to Rural Development approval of the Debt Waiver Request.
- All debts are entered in GUS to ensure accurate GUS Findings.

Employment and Income

Employment Requirements

A two-year employment history is required.

NOTE: If the borrower has any gaps in employment that are > **30 days**, a letter of explanation from the borrower will be required unless employment is clearly seasonal.



Income Documentation

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > Employment and Income > ["Income Documentation" on page 461](#).

Income Limits

The borrower's adjusted household income cannot exceed the limit set by Rural Development for the state/county where the property is located. View the GRH income limits by state on the [Rural Development Single Family Housing Guaranteed Loan Income Limits](#) website.

To determine income eligibility, complete the [USDA Income Eligibility Questionnaire](#) and enter the information on the [Rural Development Income Eligibility](#) website.

Escrow Account

Required on all loans — no exceptions.

Escrow Holdback

Not allowed.

Impound Account

Required on all loans — no exceptions.

Inspections

Not required.

Maximum Loan Amount

- The maximum loan amount may include the principal and interest balance of the existing loan, and reasonable and customary closing costs, including any financed portion of the upfront guarantee fee.
- Unpaid fees, past-due interest, and late fees/penalties due the servicer cannot be included in the new loan amount.
- Loan discounts points not eligible for inclusion except to reduce the effective interest rate.

Minimum Loan Amount

◦ **\$40,000.00**

Mortgage/Rental History

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Mortgage/Rental History" on page 462](#).

Mortgage Seasoning

Prior to the request for Conditional Commitment:

- The existing USDA loan being refinanced must have closed at least 180 days prior to the request for Conditional Commitment. ◦ **Refer to GNMA seasoning below.**



- The existing USDA loan being refinanced must have a mortgage payment history which does not reflect a delinquency greater than 30 days within the previous 180 day period.
- All other refinance requirements described in [HB-1-3555, Chapter 6](#).

GNMA Seasoning

° In addition, the following GNMA mortgage seasoning requirements must be met.

- ° The borrower made at least six consecutive monthly payments on the loan being refinanced, referred to hereinafter as the initial Loan, beginning with the payment made on the first payment due date; and
- ° The first payment due date of the refinance loan occurs no earlier than 210 days after the first payment due date of the initial Loan.

Occupancy

Owner-occupied.

Other Real Estate Owned

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Other Real Estate Owned" on page 463](#).

Power of Attorney

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Power of Attorney" on page 463](#).

Prepayment Penalty

Not permitted.

Product

Fixed Rate: 30-year

Property Eligibility

Properties located in areas since determined by USDA to be non-rural will remain eligible for a refinance. USDA will correct the property determination during the loan review and processing.

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Property Eligibility" on page 464](#).

Temporary Buydown

2-1 and 1-0 interest rate buydowns are eligible.

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Temporary Buydown" on page 468](#).



Transaction Eligibility

Eligible Transactions

- Streamline Refinance

Ineligible Transactions

- Cash-out refinances
- Purchase
- Refinance of a USDA Section 502 Direct Loan.
- Refinance of any loan that is not a current Rural Development loan.
- Streamline Assist Refinance. See USDA Streamline Assist Refinance Program Guidelines > ["Transaction Eligibility" on page 484](#) > **Ineligible Transactions** for all requirements.

Subordinate Financing

Subordinate financing such as leveraged loans, down payment assistance loans or home equity lines of credit cannot be included in a new guarantee refinance loans. These types of financing must be subordinated to the new guaranteed loan or be paid in full.

Upfront Guarantee Fee

- **Conditional Commitments issued on or after October 1, 2017:**
 - Purchase and refinance transactions: 1% of the total loan amount.
- **Annual Fee**
 - 0.35%. The annual fee is applicable for the life of the loan.

USDA Forms and Links

USDA Rural Development forms and guidelines are available at: USDA LINC Training and Resource Library

- ***Request for Single Family Housing Loan Guarantee*** (RD Form 3555-21) is used to request a loan guarantee from Rural Development. Must be completed at time of origination and signed by the borrower (s).

NOTE: Any increase in the loan amount or interest rate from what was indicated on the initial Form 3555-21 will require a new Form 3555-21 be submitted to USDA by Planet which will delay the loan process. Loans cannot be closed with a higher loan amount/interest rates than noted on the Conditional Commitment; a new Commitment will be required.

- ***Conditional Commitment for Single Family Housing Loan Guarantee*** (RD Form 3555-18) is issued by Rural Development to indicate the loan appears to be eligible for a GRH loan. The Conditional Commitment is valid for 60 days from issuance.



USDA Streamlined Assist Refinance Program Grid

FIXED RATE			
Primary Residence - Full Documentation			
Transaction Type	Units	LTV/CLTV ¹	Credit Score
Streamlined Assist Refinance ²	1	N/A	Per GUS

Reference:

1. Loan being refinanced can be a USDA Guaranteed loan or Section 502 Direct loan. Conventional, FHA and VA loans may **not** be refinanced under this program.
2. At the time of closing, at least six consecutive regularly scheduled monthly payments must have been made and applied on the existing loan. Refinances of loans on which fewer than six consecutive regularly scheduled monthly payments have been made are not eligible for financing.



USDA Streamlined Assist Refinance Program Guidelines

For topics not addressed in this guide, see ["USDA Purchase and Non-Streamlined Refinance Program Guidelines" on page 442](#) and the [USDA Handbook 3555](#).

IRS Forms 4506-C and 8821 Requirements

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["IRS Forms 4506-C and 8821 Requirements" on page 442](#).

Ability to Repay/Qualified Mortgage

Planet requires all loans to be originated and closed in compliance with Agency and Planet guidelines. Planet will purchase owner-occupied and HUD-approved second home transactions as follows:

- Compliance findings validating a pass of ATR
- Compliance findings validating a pass of QM, where applicable
- Automated Underwriting System (AUS) approval, where applicable
- Evidence of manual approval, where applicable
- Underwriting Analysis (e.g., Final 1008/Loan Transmittal, VA Loan Analysis, FHA Transmittal Summary)
- Income Worksheet

Additionally, all disclosures and documentation required under the ATR/QM provisions of the Dodd-Frank Act must be provided.

The Seller will comply with the verification standards of the applicable agency Seller's Guide.

Affidavit of Identity

Planet may require an Affidavit of Identity if a borrower signature appears incomplete or illegible.

Age of Documents

All credit, income and asset documentation must be ≤ 120 days from the Note date.

Appraisals

Not required.

Assumptions

Planet follows agency guidelines.

AUS

Manual underwrite only.

Available Markets

- Delegated Sellers



- Planet will purchase USDA loans underwritten and closed by the delegated Seller in **all** states.
- **Non-delegated Sellers**
 - Planet will purchase loans from the non-delegated Seller in all states on USDA products. All loans require Planet underwriting approval.
- Sellers must receive approval from Planet to deliver loans with properties located in Puerto Rico.
- The U.S. territories of Guam and the Virgin Islands are ineligible regardless of delegation.
- Property must be located in a rural area as defined by Rural Development.

Borrower Eligibility

Adding or Deleting Borrowers

Borrowers may be added or deleted on a refinance transaction as long as one original borrower remains on the loan.

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Borrower Eligibility" on page 446](#).

CAIVRS

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["CAIVRS" on page 447](#).

Cash Back to Borrower

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Cash Back to Borrower" on page 447](#).

Credit Report/Score

A mortgage only credit report on the subject property is required.

For additional requirements, see ["Mortgage Seasoning" on the next page](#).

DTI

The borrower is not required to meet the repayment ratio requirements.

Employment and Income

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Employment and Income" on page 457](#).

Income Limits

The borrower's adjusted household income cannot exceed the limit set by Rural Development for the state/county where the property is located. View the GRH income limits by state on the [Rural Development Single Family Housing Guaranteed Loan Income Limits](#) website.

To determine income eligibility, complete the [USDA Income Eligibility Questionnaire](#) and enter the information on the [Rural Development Income Eligibility](#) website.



Repayment income calculation is not required to be completed for Streamline Assist Refinance transactions.

NOTE: The Rural Development system will indicate eligible/ineligible for both the Guaranteed Rural Housing Loan Program and the Direct Rural Housing Loan Program. Planet only offers the Guaranteed Rural Housing program. See USDA Purchase and Non-Streamlined Program Guidelines for additional income details.

Escrow Holdback

Not allowed.

Impound Account

Required on all loans — no exceptions.

Inspections

Not required.

Maximum Loan Amount

Loan amount may not exceed the total of:

- The principal balance of the existing
- Eligible closing cost
- Fund necessary to establish a new tax and insurance escrow account
- Upfront guarantee fee
- Loan discount points not eligible for inclusion except to reduce the effective interest rate

NOTE: Unpaid fees, past due interest, late fees and penalties cannot be included in the new loan amount.

Minimum Loan Amount

° \$40,000.00

Mortgage History

- The existing mortgage payment history must not reflect a delinquency equal to or greater than 30 days within the previous 12 months.
- Mortgage payment history must be verified through a Verification of Mortgage (VOM) or a credit report.

NOTE: If a credit report is ordered to determine timely mortgage payments, other credit accounts will not be reviewed.

Mortgage Seasoning

Prior to the request for Conditional Commitment:

- The existing USDA loan being refinanced must have closed at least 180 days prior to the request for Conditional Commitment. ° Refer to GNMA seasoning below.
- The existing USDA loan being refinanced must have a mortgage payment history which does not reflect



- a delinquency greater than 30 days within the previous 180 day period.
- All other refinance requirements described in [HB-1-3555, Chapter 6](#).

GNMA Seasoning

° In addition, the following GNMA mortgage seasoning requirements must be met.

- ° The borrower made at least six consecutive monthly payments on the loan being refinanced, referred to hereinafter as the initial Loan, beginning with the payment made on the first payment due date; and
- ° The first payment due date of the refinance loan occurs no earlier than 210 days after the first payment due date of the initial Loan.

Net Tangible Benefit

- The borrower must receive a \$50 or greater reduction in their principal, interest, and annual fee monthly payment compared to the existing principal, interest and annual fee monthly payment.
- Must not exceed the interest rate of the original loan.

Occupancy

Owner-occupied.

Other Real Estate Owned

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Other Real Estate Owned" on page 463](#).

Power of Attorney

For all requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Power of Attorney" on page 463](#).

Prepayment Penalty

Not permitted.

Product

Fixed Rate: 30-year

Property Eligibility

Eligible Properties

Properties located in areas since determined by USDA to be non-rural will remain eligible for a refinance. USDA will correct the property determination during the loan review and processing.

For additional requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Property Eligibility" on page 464](#).



Temporary Buydown

2-1 and 1-0 interest rate buydowns are eligible.

For additional requirements, see USDA Purchase and Non-Streamlined Refinance Program Guidelines > ["Temporary Buydown" on page 468](#).

Transaction Eligibility

Eligible Transactions

- Streamline Assist Refinance

Ineligible Transactions

- Cash-out refinances
- Purchase
- Refinance of a USDA Section 502 Direct Loan.
- Refinance of any loan that is not a current Rural Development loan.
- Streamline Refinance. For additional requirements, see USDA Streamline Refinance Program Guidelines > ["Transaction Eligibility" on page 478](#) > ["Ineligible Transactions" on page 470](#).

Subordinate Financing

Subordinate financing such as leveraged loans, down payment assistance loans or home equity lines of credit cannot be included in a new guarantee refinance loans. These types of financing must be subordinated to the new guaranteed loan or be paid in full.

Upfront Guarantee Fee

- **Conditional Commitments issued on or after October 1, 2017:**
 - Purchase and refinance transactions: 1% of the total loan amount.
- **Annual Fee**
 - 0.35%. The annual fee is applicable for the life of the loan.

USDA Forms and Links

USDA Rural Development forms and guidelines are available at: USDA LINC Training and Resource Library

- ***Request for Single Family Housing Loan Guarantee*** (RD Form 3555-21) is used to request a loan guarantee from Rural Development. Must be completed at time of origination and signed by the borrower (s).

NOTE: Any increase in the loan amount or interest rate from what was indicated on the initial Form 3555-21 will require a new Form 3555-21 be submitted to USDA by Planet which will delay the loan process. Loans cannot be closed with a higher loan amount/interest rates than noted on the Conditional Commitment; a new Commitment will be required.

- ***Conditional Commitment for Single Family Housing Loan Guarantee*** (RD Form 3555-18) is issued by Rural Development to indicate the loan appears to be eligible for a GRH loan. The Conditional Commitment is valid for 60 days from issuance.



Planet Non-Agency Program Guidelines

The Planet Non-Agency Program consists of several standalone products. FNMA standards may be referenced when applicable; however, Planet Guidelines take precedence where differences exist.

For Planet's Non-Agency DSCR product, see ["Planet Non-Agency DSCR Program Guidelines" on page 536](#).

Age of Documents

Unless otherwise specified by funding channel or program, document expiration is based on the note date.

The following timelines apply:

- Documents valid for **120 days from the note date**:
 - Appraisal Documentation (see ["Age of Appraisal" on the next page](#) for more information)
 - Credit Documentation
 - Title Documentation
 - Asset Documentation
 - Income Documentation
- Documents valid for **30 business days from the note date**:
 - Verification of Self-Employment
- Documents valid for **10 business days from the Note date**:
 - Verbal Verification of Employment (Wage-Earner)

Appraisal

NOTE: All other Appraisal content, exhibits, property standards, and appraisal transfer requirements must follow current Fannie Mae Guidelines, see [Section B4-1.1, General Appraisal Requirements](#).

General Requirements

- All Appraisals must comply with the Uniform Standards of Professional Appraisal Practice (USPAP), the Appraisal Independence Requirements (AIR), and any requirement for Higher-Priced Mortgage Loan (HPML) transactions.
- The Appraiser must be state-licensed or state-certified and demonstrate competency for the property type and market area.
- The Appraiser must not have a direct or indirect interest, financial or otherwise, in the property or in the transaction.
- An Appraisal prepared by an individual who was selected or engaged by a borrower, property seller, real estate agent or other interested party is not acceptable.
- Transferred appraisals are acceptable, provided they were not initiated by an ineligible party.
- Appraisals with condition or quality ratings of C5 or C6 or quality ratings of Q5 or Q6 will not be eligible for purchase by Planet.

Required Forms

- FNMA 1004 – Uniform Residential Appraisal Report (URAR) for single-family properties
- FNMA 1025 – Small Residential Income Property Appraisal Report for 2–4 units
- FNMA 1073 – Condominium Unit Appraisal Report for condos
- FNMA 1004D – Appraisal Update/Completion Report for updates and final inspections



- FNMA 1007 – Comparable Rent Schedule for all 1-unit investment properties
- FNMA 3170 – 1-4 Family Rider (Assignment of Rents) for investment properties

Age of Appraisal

- Original Appraisals are valid for one hundred and 120 days from the note date.
- A one-time recertification may extend validity for an additional one hundred and 120 days, but the Appraisal must remain within 12 months of the note date.
- If an Appraisal is more than four months old at closing, an appraisal update with exterior inspection is required.
- An appraisal update is permitted up to one hundred eighty (180) days from the original appraisal date.
- If the update reflects a decline in value, a new appraisal must be obtained.

Multiple Appraisals

- Two Appraisals are required if the loan amount exceeds \$2,000,000 or if the transaction is an HPML flip as defined by the Consumer Financial Protection Bureau (CFPB). The lower of the two appraised values will be used.

Third Party Valuation Product

When a Third-Party Valuation Product Is Required

A third party valuation product is required on every loan file unless a second appraisal is obtained.

Acceptable Third-Party Valuation Products

- Collateral Underwriter (CU) score of 2.5 or less (the file must contain a copy of the most recent Submission Summary Report (SSR) from Fannie Mae.
- Clear Capital - Collateral Desktop Analysis (CDA)
- Stewart Valuation Intelligence – Appraisal Risk Review (ARR)
- Consolidated Analytics - Consolidated Collateral Analysis (CCA)
- Computershare – Appraisal Risk Analysis (ARA)
- Valligent – ValREVIEW

Value Variance Requirements

- The Vendor Appraisal Review final opinion of value must be within -10% of the origination appraisal.

Failed Value Variance Requirements

If the review value fails the above-mentioned variances, the Seller must provide an additional valuation report to support the origination appraisal.

- Field Review or Second appraisal. The field review or appraisal must not be from the same appraiser or appraisal company as the original report.

NOTE: Review values greater than the origination appraisal have no tolerance requirements.

FEMA Disaster Areas

- Sellers are responsible for identifying areas impacted by disasters and ensuring that subject property has not been adversely impacted.
- A list of federally declared disaster areas may be found on the FEMA website at



<http://www.fema.gov/disasters>.

- In addition, when there is knowledge of an adverse event occurring near or around the subject property, including but not limited to earthquakes, floods, tornadoes, or wildfires, additional due diligence is required to determine when the disaster area Guidelines must be followed.
- Guidelines for disaster areas should be followed 90 days from the incident period ending date or the date the adverse event occurred, whichever is greater.

Appraisal Completed Prior to Disaster

- Appraisal update or final inspection from the appraiser must be obtained.
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Planet

Appraised After Disaster Incident

- The Appraiser must comment on the adverse event and any effect on marketability or value.
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Planet.

Disaster Incident Occurs After Closing, Prior to Funding

- A Post Disaster Inspection (PDI) Report from Clear Capital or Damage Assessment Report (DAR) from Stewart Valuation Intelligence will need to be provided to Planet.
- Any indication of damage reflected on the report will require a re-inspection by the appraiser.
- Damage that impacts the safety or habitability of the property or damage in excess of \$2000 will not be purchased by Planet

HPML Appraisal Rule

Loans classified as Higher-Priced Mortgage Loans (HPMLs) must comply with Regulation Z requirements, including:

- A full interior appraisal performed by a licensed or certified appraiser.
- A second appraisal when required for certain flip transactions (as noted above).
- Mandatory escrow accounts for property taxes and insurance.

Flip transactions must comply with the HPML appraisal rules in Regulation Z.

NOTE: The full Reg Z revisions can be found at: <https://www.consumerfinance.gov/rules-policy/final-rules/appraisals-higher-priced-mortgage-loans>.

Assets

Documentation

- Full Asset Documentation is required for both funds to close and reserves. For most asset types, this would include all pages of the most recent one-month statement, the most recent quarterly statement or third-party direct pull services.
- Publicly traded Stocks / Bonds / Mutual Funds – 100% may be used for reserves.
 - If the value of the asset is at least 20% more than the amount of funds needed no documentation of liquidation is required. Otherwise, evidence of the borrower's actual receipt of funds realized from the sale or liquidation must be documented.



- Vested Retirement Accounts – 100% may be considered for reserves.
- Bitcoin or other forms of cryptocurrency are permitted for both funds to close, and reserves provided the cryptocurrency has been converted or liquidated to cash. Seasoning requirements are not applicable given liquidation.
- Assets being used for dividend and interest income may not be used to meet reserve requirements.
- Gift of Equity is not allowed for investment properties.
- Builder profits are not allowed.
- Maximum Interested Party Contributions are permitted up to 6%.
- Rent credits are not permitted.
- Letter of Explanation (LOE) is required for large deposits, as defined by Fannie Mae. If questionable, an LOE should be provided. If LOE is sufficient, sourcing may not be required.

Business Assets

- Business assets are an acceptable source of funds for down payment, closing costs, and reserves for self-employed borrowers. All of the following must be met:
 - The borrowers on the loan must have a minimum of 50% ownership of the business and must be owners on the business account.
 - Ownership percentage must be documented via Certified Public Accountant (CPA) letter, Operating Agreement, or equivalent.
 - All non-borrowing owners of the business must provide a signed and dated letter acknowledging the transaction and confirming the borrower's access to funds in the account.
 - The balance of the business assets must be multiplied by the ownership percentage to determine the owner's portion of business assets allowed for the transaction.

Gift Funds

- Gifts from family members are allowed. Eligible donors include relatives (such as spouses, children, dependents, or those related by blood, marriage, adoption, or legal guardianship) and non-relatives with a familial relationship (like domestic partners, fiancés/fiancées, former relatives, and godparents).
- Gift funds cannot be counted towards reserves.
- General Requirements:
 - Purchase transactions only
- Gift funds not permitted:
 - Second Homes properties > 80% LTV / CLTV
- Down Payment Requirements:
 - Gift funds are acceptable as 100% down payment for loans <75% LTV / CLTV
 - Gift funds are acceptable for loans ≥75% LTV / CLTV; however, the underlying borrower(s) must contribute at least 5% of the transaction (lower of Purchase Price or appraised Value) from their own funds. Example: A \$500,000 purchase price where the LTV / CLTV is going to be 75% or higher would require the borrower to have \$25,000 of their own funds provided ($\$500,000 \times .05\% = \$25,000$)

Other Asset Sources

Life Insurance Cash Value

- Life insurance policy current cash value or loan against the cash value may be used for down payment, closing costs or reserves.



Foreign Assets

- Foreign assets are acceptable and must be 60 days seasoned with two most recent bank statements. A currency calculation must be provided.
- Assets from countries under OFAC sanctions are not permitted.

Foreign Assets for Funds to Close

- Must be verified with the most recent two month's account statements, or most recent quarterly account statement, indicating opening and closing balances, and reflecting a consecutive 60 days of asset verification.
- A combination of foreign and US account(s) may be used to document the full 60 days.
- When funds are moved from a foreign account to a U.S. account within the 60-day period, documentation to connect the movement must be provided.
- Accounts held in a foreign bank with FDIC insured U.S. branches must be:
 - Transferred to a U.S. domiciled account in the borrower's name OR
 - Wired directly to the closing agent.
 - Wire transfer to include bank name, accountholder name, and account number. Bank used as source of wire transfer must match the bank holding the assets verified in the loan file.
- Accounts held in a foreign bank without FDIC insured U.S. branches must be:
 - Transferred to a U.S. domiciled account in the borrower's name at least 10 days prior to closing (exceptions not available) OR
 - Wired directly to the closing agent.
 - Wire transfer to include bank name, accountholder name, and account number. Bank used as source of wire transfer must match the bank holding the assets verified in the loan file.
- Accounts held in a Wise account:
 - Transferred to a U.S. domiciled account in the borrower's name at least 10 days prior to closing (exceptions available) OR
 - Wired directly to the closing agent.
 - Wire transfer to include bank name, accountholder name, and account number. Bank used as source of wire transfer must match the bank holding the assets verified in the loan file.

Non-Borrowing Spousal Accounts / Access Letters

- Non-Borrowing Spousal Accounts / Access Letters are allowable with relationship letter. If the loan is a bank statement loan or 12-month P&L loan, non-borrowing joint account holder affidavit is required to ensure no deposits by that non-borrower is included as income.

Restricted Stock

- Restricted stock is ineligible to be used for reserves.

Sale of Personal Assets

- Proceeds from the sale of personal assets are an acceptable source of funds for the down payment, closing costs, and reserves provided the individual purchasing the assets is not a party to the property sale transaction or the mortgage financing transaction. Documentation required supporting borrower ownership of the asset, independent valuation of the asset, ownership transfer of the asset and borrower's receipt of sale proceeds.



Employer Assistance

- Employer assistance in the form of a grant, direct fully repayable second mortgage, forgivable second mortgage or deferred payment second mortgage or unsecured loan, and shared appreciation down payment assistance are permitted. Funds must come directly from the employer, may be used for down payment / closing costs subject to minimum borrower contributions, may be used for reserves except for unsecured loans and are only eligible for primary residence. Any obligation for the borrower that arises from receipt of this assistance must be included in qualifying the borrower.

1031 Assets

- Funds held by a 1031 administrator / agent are permitted for down payment and closing costs.

Assumability

- Fixed rate loans are not assumable
- Adjustable-rate loans may be assumable depending on note

Available Markets

The following US Territories are NOT eligible:

- American Samoa
- Guam
- Northern Mariana Islands
- Puerto Rico
- U.S. Virgin Islands

See *product matrices* for any additional market restrictions.

Benefit to Borrower

All primary residence and second home refinance transactions must provide a clear, measurable benefit to the borrower.

Acceptable benefits may be included, but are not limited to:

- Payoff of a balloon loan
- Title transfer
- Property retention
- Interest rate reduction
- Reduction in principal and interest (P&I) payments
- Debt consolidation/reduction
- Access to cash-out for an uncontrolled expense

State and federal benefit-to-borrower requirements must also be met.

Borrower Eligibility

A maximum of four borrowers is permitted on any loan.

Planet permits the following borrower types across Non-Agency programs. Refer to the applicable loan program matrix for specific product-level requirements and restrictions.



	Gold	Silver	Bronze
U.S. Citizens	✓	✓	✓
Perm Resident	✓	✓	✓
Non-Perm Resident	✓	✓	✓
DACA Applicants	✓	✓	✓
ITIN Borrowers			
Foreign Nationals			
Inter Vivos Revocable Trust	✓	✓	✓
Business Entities	✓ ¹	✓ ¹	✓ ¹
¹ Business Purpose, Investment properties only.			

Permanent Resident Aliens

- A permanent resident alien is a non-U.S. citizen authorized to live and work in the U.S. on a permanent basis.
- Acceptable evidence of lawful permanent residency must be documented and meet one of the following criteria:
 - I-151 – Permanent Resident Card (Green Card) that does not have an expiration date.
 - I-551 – Permanent Resident Card (Green Card) issued for 10 years that has not expired.
 - I-551 – Conditional Permanent Resident Card (Green Card) issued for two years that has an expiration date, if it is accompanied by a copy of USCIS form I-751 requesting removal of the conditions.
 - Unexpired Foreign Passport with an unexpired stamp reading as follows: *"Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until mm-dd-yy. Employment Authorized."*

Non-Permanent Resident Aliens

Non-Permanent Resident Aliens must maintain a lawful status in the United States, and provide acceptable documentation evidencing current, valid work authorization. Lawful non-permanent residents are legally accorded the privilege of residing temporarily in the United States.

- Two years of U.S. residency history required with a valid Social Security Number and U.S. credit.
- Validation that borrowers have employment authorization is required with **one** of the following:
 - A valid current Form I-766 Employment Authorization Document (EAD) work permit/card
 - The EAD may not expire within six months of loan application date.
 - The EAD documentation is acceptable for up to 540 days if an automatic extension has been granted.
 - Form I-765 Application for Employment Authorization
 - The form must reflect approval status in the Action Block (upper right-hand corner).
 - Form I-797, I-797A, or I-797B or I-797C conveying approval status
 - Employment authorization may also be evidenced by certain visa types. Some common visas allowing employment include E-3, H-1B, L, O, and P.
- A copy of borrower's passport is not required.



Requirements and Documentation

- The following Visa classifications are allowed as Non-Permanent Resident Aliens:
 - E-1, E-2, E-3
 - H-1B
 - O-1
 - EB-5
 - L-1
 - R-1
 - G-1 through G-5
 - NATO
 - TN (NAFTA)
- Copies of the borrower's passport and unexpired visa must be obtained.
 - Acceptable alternative documentation: I-797 form (Notice of Action) with valid extension dates and I-94 form (Arrival / Departure Record)
- If the visa is not employer-sponsored, a valid employment authorization document (EAD) must be provided.
- If the visa expires within six months of note date, a letter from the employer documenting the borrower's continued employment and continued visa renewal sponsorship (employer on the loan application must be the same as on the unexpired visa) is acceptable.
- If a non-U.S. citizen is borrowing with a U.S. citizen, all visa/residency requirements still apply. Individuals in possession of spouse or family member visas are to qualify as co-borrowers only. A valid EAD must be provided to use income for qualification.
- Borrowers who are residents of countries which participate in the Department of Homeland Security's Visa Waiver Program (VWP) will not be required to provide a valid visa. Participating countries can be verified through the U.S. Department of State website: <https://www.dhs.gov/visa-waiver-program-requirements>

DACA Applicant

Borrowers with current DACA status and valid work authorization are eligible for financing under the same requirements as a non-permanent resident.

- Must demonstrate at least two years of U.S. residency and employment history, along with a valid Social Security Number and established U.S. credit.
- Employment authorization must be verified using one of the following acceptable documents:
 - Form I-766 Employment Authorization Document (EAD) referencing Category C33
 - The EAD must not expire within six months of the closing date.
 - EADs subject to an automatic extension may be considered valid for up to 540 days.
 - Form I-765 Application for Employment Authorization showing approval status in the Action Block (upper right-hand corner)
 - Form I-797 (A, B, or C) evidencing approval status
- A copy of the borrower's passport is not required.

Entities

Properties vested in any of these manners are limited to Investment Business Purpose:

- Limited Liability Company (LLC)
- Partnership
- Corporation (CORP)



The following requirements must be met:

- For vesting entity, the purpose is for ownership and management of real estate.
 - All borrower(s) must execute the Occupancy Certification or similar form.
 - All borrower(s) must execute a Business Purpose & Occupancy Affidavit.
 - Guarantor(s) must be a managing member or majority owner as confirmed by the Operating Agreement (or equivalent) and have at least 25% ownership of the business entity. Said guarantor is subject to the same underwriting requirements as an individual borrower.
 - Personal Guaranty(s) required if note is not being signed individually (see signing example below) and must sign all closing documents and disclosures. All borrower(s) will be required to provide Personal Recourse.

The following entity documents are required:

- Articles of Incorporation
- Operating Agreement
- IRS Employer Identification Number (EIN) Letter
 - A CPA letter and Form W-9 may be accepted in lieu of an IRS EIN Letter
- Certificate of Good Standing, dated within 30 days of closing
- **Corporations:**
 - Filed Certificate/Articles of Incorporation
 - By-Laws and all amendments
 - Borrowing or Corporate resolution granting authority of signer to enter loan obligation
 - IRS Employer Identification Number (EIN) Letter
 - Certificate of Good Standing, dated within 30 days of closing
- **Limited Liability Company:**
 - Operating Agreement
 - Articles of Organization
 - Entity documents authorizing the guarantor to execute loan documents on behalf of the entity
 - IRS Employer Identification Number (EIN) Letter
 - Certificate of Good Standing, dated within 30 days of closing
- **Partnership:**
 - Filed Partnership certificate
 - Partnership agreement and all amendments
 - Limited partner consent
 - IRS Employer Identification Number (EIN) Letter
 - Certificate of Good Standing, dated within 30 days of closing

Additional Requirements

- Layered entities are permitted up to two layers when there is a single Guarantor of the top entity which is 100% owner / guarantor of bottom entity (title holder / borrower).
- Entities layered with a trust are NOT eligible.
- Guideline requirements above must be met for each entity.
- Entity Signature Requirements:
 - The note must be signed by both the guarantor in their individual capacity and as member(s) and/or managing member of the entity. In cases where there will not be any individual capacity signatures, each applicable guarantor / manager must sign a Personal Guaranty in their individual capacity.
 - The Mortgage / Deed of Trust / security instrument should be signed by the applicable guarantor (s) of the entity in their capacity as member(s) and/or managing member of the entity.

Examples:



- Note: Phil Homeowner (Individual signature if person is not signing a Personal Guaranty) or Phil Homeowner, as member of 123 Enterprises, LLC
- Mortgage / Deed of Trust: Phil Homeowner, as member of 123 Enterprises, LLC

ITIN Borrower

Defined as individuals living and working in the U.S. with an **Individual Taxpayer Identification Number (ITIN)**, who are not U.S. citizens.

Eligibility Requirements include:

- A credit report for all ITIN borrowers
- Copy of ITIN card or IRS-issued letter assigning the ITIN to the borrower
- Unexpired government-issued photo ID (driver's license, passport, or visa)
- IRS form W7 alone is not acceptable if the ITIN letter is not provided, or if the ITIN letter submitted is not legible.

First Time Homebuyers

First Time Home Buyers (FTHB) are individuals that have not owned a home in the last three years.

- The following are required for FTHB:
 - Maximum DTI: 50%
 - Maximum payment shock of 250%
 - LOE or rent-free letter is required when a 12 month housing history is not applicable.
 - Rent-free is permitted with no credit exceptions.
- Not eligible for Interest Only

Foreign National

A Foreign National is a non-resident alien who is not authorized to live or work in the United States.

- A Foreign National may periodically visit the U.S. for vacation or business purposes; however, the borrower's primary residence must be outside the U.S. This must be evidenced in the URLA Page 1 Current Address section.
- A Foreign National must provide a third-party document showing the foreign primary residence address, such as a lease agreement, utility bill, or financial statement.
- Automatic Payment Authorization (ACH) from a U.S. bank account is required and will be arranged at closing.
- For subject properties located in Florida, a Florida Foreign Interest Affidavit must be executed at closing.
- A copy of the borrower's foreign-issued passport is required.
- A visa is not required.

Inter Vivos Revocable Trust

General Eligibility

An Inter Vivos Revocable Trust is defined as a trust that:

- Is created by an individual during his or her lifetime;
- Takes effect while the creator is living; and
- Remains subject to amendment or revocation by the creator at any time during that person's life.



A clause that makes the trust irrevocable upon the death of a settlor or trustee does not disqualify the trust.

Trust and Trustee Requirements

- The trust must be established by one or more natural persons.
- The individual(s) establishing the trust must also be its primary beneficiary(ies).
 - In cases where there are joint settlors, more than one primary beneficiary is permitted, provided at least one settlor's income or assets are used for loan qualification.
- Trustees must consist of either:
 - One or more of the individuals who created the trust, OR
 - An institutional trustee authorized under state law and engaged in customary trust administration.
- Trustees must have legal authority to:
 - Hold title to the subject property; AND
 - Mortgage the property as collateral for the borrower's loan obligation.
- At least one settlor/trustee must contribute personal income and/or assets toward mortgage qualification.

Required Documentation

- A fully executed and notarized Certificate of Trust (or equivalent under state law)
- Other forms of trust documentation permitted by applicable state statutes.
- The documentation must confirm all requirements below:
 - Trust is revocable.
 - The borrower serves both settlor and trustee.
 - The borrower is the trust's primary beneficiary, when disclosed.
 - The trustee is legally qualified and expressly authorized under the trust and applicable law to encumber trust assets, including mortgaging the subject property.

Investor Experience

Professional Investor Requirement

Investment properties are intended for *Professional Investors*, defined as borrowers with at least 12 months of documented experience owning and/or managing income-producing real estate within the most recent 36 months from the Note date.

Alternative Eligibility

Applies to Gold and Bronze products

- "First Time Investors" who do not meet the above requirement may still be eligible if all of the following are met:
 - Minimum 700 FICO
 - 12 months reserves
 - Verified 12-month housing payment history on primary residence

Additional Product-Specific Requirements

- The Gold and Bronze Products may also include additional restrictions, including but not limited to:
 - Maximum LTV requirements
 - Potential DTI
 - Credit event seasoning requirements

Refer to the applicable product matrix for additional requirements.



Non-Occupant Co-Borrower

Non-Occupant Co-Borrowers are credit applicants that do not occupy the subject property. The following requirements must be met:

- Must be either:
 - A relative, defined as the borrower's spouse, child, or other dependent, or by any other individual who is related to the borrower by blood, marriage, adoption, or legal guardianship; OR
 - A non-relative that shares a familial relationship with the borrower defined as a domestic partner (or relative of the domestic partner), individual engaged to marry the borrower, former relative, or godparent.
- Must sign the mortgage / deed of trust
- Must not have an interest in the property sales transaction
- Maximum LTV / CLTV of 80% or limited as posted on applicable Planet Program Matrices, whichever is lower
- Single unit primary residence only
- Maximum DTI of 43%
- Additional six months reserves required for subject property
- Occupying borrower must have documented income equal to 75% of PITIA
- Purchase and Rate / Term Refinance only

Ineligible Borrowers

Planet will not purchase loans that have been made to any of the following borrower types:

- Irrevocable or Blind Trusts
- Layered Entity with a Trust
- Land Trusts
- Non-profit organizations
- Borrowers with diplomatic immunity
- Self-employed borrower deriving their income from any Cannabis related business
- Borrowers(s) with residence of any country not permitted to conduct business with U.S. Companies as determined by U.S. government authority
- Borrowers under legal guardianship, custodianships, or who are minors
- Estate-Owned Properties (title must be vested into an eligible individual or entity prior to closing)
- Employees of Planet's Correspondent Sellers

Credit Eligibility

Credit Report Information

- A tri-merged credit report reflecting data from all three credit repositories is required. Credit freezes are not permitted on any bureau file.
- A written explanation for all inquiries within 90 days of application is required, disclosing no new debt.
- Sellers are required to document that the borrower did not incur any new debt from the time the credit report was pulled to the time of loan closing.
 - On all loans, the Seller must either:
 - Leverage Undisclosed Debt Monitoring (UDM) prior to closing, OR
 - Pull a credit refresh within 10 business days of the note date.
 - DTI should be recalculated based on any new debt.
 - Any new credit scores must be reviewed for qualifications.



Credit Events

The seasoning period is determined from the date of the last delinquency to the Note date. Refer to the chart below for specific program requirements.

Program	Minimum Event Seasoning
Gold	4 years since credit event
Silver	3 years since credit event
Bronze	2 years since credit event

Bankruptcies

- Prior Bankruptcies (Chapter 7, 11, 13)
 - Multiple bankruptcies are not permitted.

Foreclosure & Related Events

- Includes: Foreclosure, Forbearance, Short Sale, Deed-in-Lieu, Loan Modification (due to default), and Notice of Default

Credit Counseling & Debt Management

- Borrowers currently enrolled in credit counseling or debt management plans are not permitted.

Judgments & Liens

- All Judgments or liens affecting title must be paid.
- Active court-ordered judgments may remain open if:
 - A repayment plan has been in place for at least three months.
 - All payments are verified as current.
- State or federal tax liens may remain open on purchase transactions only, provided:
 - A repayment plan has been in place for at least three months.
 - Timely payments are documented.

Charge-Offs & Collections

- Non-title charge-offs and collections within three years and exceeding \$5000 (individually or aggregate) must be paid.
- Medical collections may remain open.
- Balances exceeding thresholds must be resolved by one of the following:
 - Paid in full prior to or at closing
 - Included in the borrower's DTI
 - Offset by additional reserves

Past Due Accounts

- All past due accounts must be brought current prior to closing.

Disputed Accounts

- Disputed accounts require an LOE.

**IRS Tax Payment Plans**

- IRS tax payment plans approved by the IRS are permitted if current and do not carry a lien on any property.

Mortgage & Rent History

- All borrowers must be current on mortgage or rent at loan application.

Derogatory Accounts

- All derogatory revolving and installment accounts greater than sixty days within four years of closing require a full explanation.

Ex-Spouse Accounts

- Delinquent credit belonging to ex-spouse can be excluded if:
 - Late payments occurred after the divorce / separation, AND
 - Divorce decree / separation agreement indicates derogatory accounts belong solely to the ex-spouse.

Security Freeze

- Credit reports may not contain a security freeze and should be resolved prior to an underwriting decision.
- Unfrozen reports after the date of the original credit report require a new tri-merged report.

Timeshares

- Timeshares including delinquencies are treated as installment loans and not a housing event.

Derogatory Housing Events

- Foreclosures, Forbearance, Short Sale, Deed in Lieu, Modification, Notice of Default
- Bankruptcies are considered Housing Events, inclusive of Chapter 7, 11, and 13.
- Defaulted first and second mortgages on same property are considered one event.
- Events include all occupancy types (Primary, Second Home, and Investment Properties).
- Seasoning lookback is from the date of discharge / dismissal or property resolution (completion date), as of the note date.
 - Modification look back commences at inception (when loan was permanently modified).

Housing History

Twelve months housing history is required for all occupancy types.

- If the subject property has delinquent taxes less than one year from note date, this will be considered on a case-by-case basis and will require an exception approval and pricing review.
- All mortgages and rental payments should be current at the time of closing. If the credit report or VOR / VOM reflects past-due status, updated documentation is required to verify the account is current.
- Housing history evidenced by 12 months proof of payment via canceled checks, bank debits or institutional VOR if not reported on the Credit Report.
 - Private Party VORs / VOMs will be considered on a case-by-case basis and will require an exception approval and pricing review.
- LOE or rent-free letter is required when a 12-month housing history is not applicable.
 - LOE must come from the leaseholder or the owner of the property.
 - If the borrower is a FTHB, rent-free letter is permitted.



- Past due balloon payment loan will be considered a delinquency (1x30) and not a housing event, but only within 180 days of maturity.

Credit Scores

The representative credit score is determined as follows:

- If there are three valid scores, the middle score is used. If two of the three scores are a duplicate, the duplicate score is used.
- If there are two valid scores, the lower of the two is used.
- The representative score for the loan is the lowest representative score of all applicants.

The applicant must address all credit inquiries indicated on the credit report within the previous 90 days and indicate the reason for and result of the inquiry (i.e., was new credit obtained or not).

Applicants are required to provide documentation that no new debt was incurred after the credit report used to make the credit decision was pulled at the time of loan closing. Any of the following is acceptable documentation:

- A "soft pull" credit report within 10 business days of the note date
- An affidavit signed by the applicant
- A letter, written, and signed by the applicant (stating no new credit was obtained)

Tradelines

Minimum Requirement

- All borrowers must be evaluated individually.
- Borrowers with three credit scores:
 - No minimum tradelines required
- Borrowers with two credit scores:
 - Three tradelines reporting for 12+ months all with activity in the last 12 months; OR
 - Two tradelines reporting for 24+ months all with activity in the last 12 months.
- To qualify as a valid tradeline, the following requirements apply:
 - Must be reflected in the credit report. (An acceptable 12- or 24-month housing history, not reporting on credit, may also be used as a tradeline.)
 - Must have activity in the past 12 months and may be open or closed
 - Max 0 x 60 x 12
- Credit lines on which the borrower is not obligated to make payments are not acceptable. Examples include loans in a deferment period, collection or charged-off accounts, accounts discharged through bankruptcy, and authorized user accounts.
- Student loans can be counted as tradelines if they are in repayment and are not deferred.

Student Loans

- If a monthly student loan payment is reflected on the credit report, the Seller may use that amount for qualifying purposes.
- If the credit report does not accurately reflect the monthly payment, the Seller may instead use the payment amount documented in the most recent student loan statement.
- If no monthly payment is listed on the credit report, or if the payment is reported as \$0, the Seller must determine an appropriate qualifying payment.
- For deferred loans or loans in forbearance, the Seller may calculate:



- A payment equal to 1% of the outstanding balance (even if this amount is lower than the actual fully amortizing payment) or
- A fully amortizing payment using the documented loan repayment terms.

Debt to Income (DTI)

DTI requirements vary by product - refer to the applicable product matrices for specific thresholds.

- Interest Only Loans
 - Qualify using the higher of the fully indexed rate or the initial rate.
 - Payment must be calculated on the original balance and remaining amortizing term at the end of the I/O period (i.e., 240 months or 360 months).
- Fixed Rate Loans
 - Qualify using the fixed rate

Delayed Financing

Available when the property was purchased by a borrower using cash, within 180 from the date of purchase to the new mortgage note date. The transaction is treated as Cash-Out, standard maximums do not apply.

The following requirements apply:

- The original purchase transaction must be an arm's length transaction.
- The source of funds for the original purchase transaction must be documented (bank statements, personal loan documents, HELOC from another property as an example).
 - Gift funds may not be included.
- The new loan amount can be no more than the actual documented amount of the borrower's initial investment in purchasing the property plus the financing of closing costs, prepaid fees and points on the new mortgage loan (subject to the maximum LTV, CLTV and HCLTV ratios for the cash-out transaction based on the current appraised value).
- The preliminary title information must confirm that there are no existing liens on the property.
- Settlement statement from purchase confirms no mortgage financing used to acquire subject.
- The loan is considered a Cash-Out transaction. Cash-Out loan, LTV and other limitations apply.

Employment & Income (General Requirements)

Work History

- A minimum of six months of employment is required unless recently graduated from school or completion of formal training.

Employment Gaps

- Borrowers should explain any employment gaps exceeding 30 days in the last 12 months and 60 days in the last 13 to 24 months.

Employment Offers or Contracts

If the borrower is scheduled to begin employment after the loan closes, the borrower may qualify using one of the options below.



General Eligibility

- The employment offer or contract must not be for employment by a family member or interested party to the transaction.
 - This requirement applies regardless of whether a paystub is obtained prior to loan delivery.
- The borrower must qualify using base fixed income only.

Option 1: Paystub Obtained Before Loan Delivery

- The borrower's start date must be no earlier than 30 days prior to the note date.
 - Mortgage loan file must include: A copy of the executed employment contract, and
 - Prior to delivering the loan, a paystub which includes sufficient information to support the income used to qualify the borrower based on the offer contract must be obtained.

Option 2: Paystub NOT Obtained Before Loan Delivery

- The borrower's start date must be no later than 90 days after the note date.
- This option is limited to:
 - Purchase Transaction only
 - 1-unit principal residence
- The employment offer or contract must:
 - Clearly identify the employer and the borrower
 - Be signed by the employer, and
 - Be accepted and signed by the borrower
 - Clearly identify the terms of employment, including position, type and rate of pay, and start date, and
 - Be non-contingent
 - Review of all conditions of employment (if applicable) must be evidenced in the file.
- Reserve Requirements (in addition to reserves required by DU or for the transaction)
 - 6 months sufficient reserves, or
 - Sufficient reserves or income to cover monthly obligations including DTI and PITIA for the number of months between the note date and employment start date plus one Rental Income.

Recently Transitioned W-2 to 1099

- Borrowers recently transitioned from W2 to 1099 and contracted by the same employer in the same position do not require two years 1099s if the lender provides documentation that the borrower will not be responsible for additional expenses, i.e., contract.
- Borrowers who remained in the same industry but transitioned from W2 to 1099 with a different company must be in the current position for at least one year.

Non-Employment Income

Any Non-Employment Income requires proof of three or five year continuance (five years if income source is > 50% of loans total qualifying income).

- Borrowers of retirement age do not require proof of continuance if income received from the following sources:
 - Corporate retirement or pension
 - Government retirement or pension
 - Military retirement or pension
- Alimony, child support
- IRA and/or Discretionary Retirement Account Distributions



- Trust Distribution
- IRA or Trust distributions cannot be set up post application date unless the borrower is required to start withdrawing based on age. In such cases, 125% of the required minimum amount can be used to qualify.
 - Distributions must have been received three months prior to application to be considered as eligible income. Distributions that have been received for three months or more can be adjusted with a letter from the plan administrator validating the increase. Allowable increases of distribution amount are limited to 125% of previously received distributions.
 - One of the following types of income documentation is required:
 - Copy of award letter or letters from the organizations providing the income
 - Court Order or Divorce Decree and proof of receipt of funds for the last concurrent 12 months
 - Most recent personal income tax return(s) with all schedules
 - Most recent W2 or 1099
 - Most recent two months bank statements showing deposit of funds

Restricted Stock (RSUs)

Planet will only consider restricted stock that was awarded in the prior two years and became unrestricted (vested) in the current year. The vesting schedule must indicate the income will continue for a minimum of three years at a similar level to the prior two years.

Continuance is based on the vesting schedule using a stock price based on the 52-week low for the most recent 12 months reporting at the time of closing. A two-year average of prior income received the RSU, or stock option will be used.

Depending on how distribution is made (as shares or the cash equivalent), the following are examples of how to calculate:

- Shares: If 200 vested shares were distributed (pre-tax) in the past two years, and the 52-week low stock price as of the Application received date is \$10, multiply $200 \times \$10$ then divide by 24 = \$83.33 monthly income. If distributions do not follow a monthly cadence, use the correct figure that equates to two years.
- Cash equivalent: Use the total dollar amount distributed (pre-tax) from the cash equivalent of vested shares in the past two years and divide by 24. If distributions do not follow a monthly cadence, use the correct figure that equates to two years.

The following documentation is required:

- Copy of the vesting schedule
- Most recent W2
- Pay stub

Stock must be public and listed on major stock exchange.

Bonus / Commission

A two-year average is required. Exceptions can be considered with a one year minimum history of receipt and must be likely to continue. Employer to document likelihood of continuance.

Employed by Family Employment

Borrowers who are employed by a family member(s) or interested party must meet the following requirements:



Full Doc

- The Borrower must have been employed by the business for at least 12 months prior to the application date.
- The borrower's qualifying income must be consistent with the most recent year's earnings, which must be documented with a W-2 or tax returns.
- Copies of the most recent year's signed federal income tax returns that reflect borrower has no ownership in the business owned by the family member or interested party. If the borrower has any ownership, the borrower must be qualified as self-employed.

Alt Doc

In addition to normal employment verification, a borrower employed by a family owned business is required to provide evidence that they are not an owner of the business, the following documentation may be required:

- Copies of signed personal tax returns or signed corporate tax returns showing the ownership percentage.
- A corporate resolution or partnership agreement confirming ownership structure.
- A letter from a CPA or authorized accountant confirming the borrower's non-owner status.
- A Schedule K-1 (if applicable) showing the borrower does not hold an interest.

Secondary Employment

Second job income considered stable if received for two years and likely to continue. The second job must be worked simultaneously first, for consideration.

Foreign Sources of Income

Foreign income is income earned by a borrower employed by a foreign government and/or company and not paid in U.S. dollars. Foreign Income is acceptable if the following criteria are satisfied:

- Two years of U.S. tax returns reflect the foreign income
- Income is translated to U.S. dollars
- Income documentation, stability and continuance requirements are met
- Income from countries under OFAC sanctions is not permissible

Nontaxable Income

Non-taxable income may be grossed up to 125% when the following documentation is provided.

- One year US Tax returns showing the nontaxable portion of the income.

Escrows

Unless required by applicable state law, escrow waivers are permitted subject to the following:

- Loan is not HPML
- LTV $\leq$ 80%
- Decision credit score $\geq$ 720
- Minimum 12 months reserves
- Subject to a possible pricing adjustment

Flood insurance premiums are required to be escrowed and may not be waived.



Mandatory escrows for taxes and insurance will be required for all HPML loans.

Escrow Holdbacks

Planet will not purchase a loan with an escrow holdback. Weather-related holdbacks may be considered on an exception basis.

Financed Properties

Borrower(s) will be required to meet the subject property reserve requirement plus two months of reserves for each additional financed property, capped at a total of 12 months reserves for all properties (including Subject property).

Owner-occupied properties:

- There is not a maximum number of financed properties the borrower may have if the subject property will be owner-occupied.

Without an approved exception, Planet's exposure is limited to the lesser of \$7.5 million or 10 financed properties. With an approved exception, financing may be increased to the lesser of \$15 million or 20 financed properties, provided at least two compensating factors are documented in the loan file.

Fraud

A fraud prevention report is required from DataVerify, Cotality (Core Logic), SAS or a similar reporting vendor. All High/Red Alerts must be resolved, with appropriate supporting documentation submitted.

Geographic Restrictions

The following US territories are not eligible:

- American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and US Virgin Islands

The following City has restrictions:

- Baltimore City: Primary and Second Home only

Income Documentation

Program Eligibility by Product

	Full Doc	Streamline	Alt: Bank Statement	Alt: 1099	Alt: P&L	Alt: Asset
Gold	✓ 24 mos.	✓ 12 mos.	✓ 12 or 24 mos.	✓ 12 or 24 mos.	✓ 12 or 24 mos.	✓
Silver	✓ 24 mos.	✓ 12 mos.	✓ 12 or 24 mos.	✓ 12 or 24 mos.	✓ 12 or 24 mos.	
Bronze	✓ 24 mos.	✓ 12 mos.	✓ 12 or 24 mos.	✓ 12 or 24 mos.	✓ 12 or 24 mos.	



The following subsections outline documentation requirements and analysis standards by type. Refer to the grid above for product-level eligibility.

Full Documentation

Wage Earners

- Most recent paystub (most recent 30 day period) including year-to-date earnings (YTD must cover minimum of 30 days)
- Two years IRS 1040s or W2s and if needed for the analysis of overtime, bonus, or commission a Written Verification of Employment.
- IRS 1040s are recommended when using other sources of income to qualify, i.e., interest dividends, capital gains, note receivable, trust income, etc.
- Verbal Verification of Employment (VVOE):
 - Must be completed within 10 calendar days of the closing date.
 - VVOE should include name of contact at place of employment, phone number and title along with company name, address and Borrower's job description and title.

Self-Employed

Any Borrower with 25% or more ownership interest in a business is considered self-employed. The business may be a sole proprietorship, general partnership, limited partnership, corporation, or S-corporation. Borrowers may qualify with tax returns or 1099 income.

Category	Requirement
Tax Return	■ Two years personal & business tax returns (all schedules and K-1s) ■ YTD P&L for businesses with $\geq 25\%$ ownership ■ Interest, dividends, capital gains NOT permitted as qualifying income ■ IRS filing extension evidence must be in the loan file ■ Document to show taxes filed via e-filing, refund, proof of payment
1099	■ Two years 1099s ■ Generally limited to single employer; employer must confirm no job-related expenses, apply 10% expense factor if applicable. ■ Multiple 1099s are allowed only in industries where common ■ Most recent paystub or three months bank statements showing YTD earnings (YTD must cover ≥ 30 days)
Tax Transcripts	■ Business tax transcripts not required if net income is validated on 1040s ■ 4506-C W2 transcripts or 4506-C 1099 transcripts (1040 transcripts suffice if provided) ■ If transcripts unavailable, IRS response "No Record Found" must be in loan file
Business and Operational Status	■ Must show business has been in existence $\geq$ two years via CPA and/or tax preparer letter, regulatory/state agency confirmation, or licensing bureau ■ Must show business is active within 10 calendar days of closing
Declining Income	■ A signed letter of explanation from the borrower explaining declining income over the past two years. ■ Use the lesser of the most recent year or two years average income



Full Doc with Reduced Documentation (Streamline)

Wage Earners

- One year IRS 1040s or W2
- Most recent paystub including year-to-date earnings (YTD must cover minimum of 30 days)
- 4506-C W2 transcripts. In the case where taxes have been filed and the wage transcripts are not available from the IRS, the IRS response to the request must reflect “No Record Found” and be present in the loan file.
 - Must document that taxes have been filed via evidence of e-filing, tax refund, or proof of payment.
 - Evidence of any IRS filing extensions must also be present in the loan file.
- Verbal Verification of Employment (VVOE):
 - Must be completed within 10 calendar days of the closing date.
 - Should include name of contact at place of employment, phone number and title along with company name, address and Borrower’s job description and title

Self-Employed Borrowers

Category	Requirement
Tax Return	▪ One year personal and business tax returns (including all schedules and K-1s) plus YTD P&L for businesses with ≥ 25% ownership ▪ Interest, dividends, capital gains not permitted as qualifying income ▪ If P&L covers > nine months, three months bank statements required to validate cash flow ▪ IRS filing extension evidence must be in the loan file ▪ Document to show taxes filed via e-filing, refund, proof of payment
1099	▪ One year 1099s ▪ Generally limited to single employer; employer must confirm no job-related expenses, apply 10% expense factor if applicable ▪ Multiple 1099s allowed only in industries where common ▪ Most recent paystub or 3 months bank statements showing YTD earnings (YTD must cover ≥30 days)
Business and Operational Status	▪ Must show business has been in existence ≥ two years via CPA and/or tax preparer letter, regulatory/state agency confirmation, or licensing bureau ▪ Must show business is active within 10 calendar days of closing
Licensed Profession Exception	▪ Income from a self-employed borrower in a licensed profession may be considered from a business that has been operating for more than one year but less than two years, provided the borrower can document at least two years of prior experience in the same profession or show evidence of formal education in a related field.
Tax Transcripts	▪ Business tax transcripts not required if net income is validated on 1040s ▪ 4506-C W2 transcripts or 4506-C 1099 transcripts (1040 transcripts suffice if provided) ▪ If transcripts unavailable, IRS response “No Record Found” must be in loan file ▪ Provide documentation for one year



Alternative Documentation

Bank Statements

Borrowers may provide either 12 or 24 consecutive months of personal or business account statements. Multiple accounts are permitted; however, personal and business statement methods may not be combined on the same loan.

Account Type & Ownership

- **Personal Accounts**
 - Personal bank statement qualification requires statements in the borrower's name only, with no business receipts or expenses permitted.
 - The borrower must provide 2 months of business statements, evidencing operating activity and transfers to the personal account. If two months' business bank statements are not available, the personal account will be treated as a business account.
 - The borrower must document at least 25% ownership in the business through a CPA or tax preparer letter, confirmation from a regulatory or state agency, or verification from a licensing bureau.
 - For joint accounts, if the joint owner is not a business owner, deposits that are not clearly identifiable as the borrower's income must be excluded unless properly sourced.
- **Co-Mingled Accounts**
 - If a personal account is used for both business and personal transactions, it must be evaluated under the business method.
 - The borrower must be the sole owner of the account; however, joint ownership with a spouse is acceptable if the borrower and spouse together hold 100% ownership.
 - For joint accounts where a co-owner is not a business owner, deposits that cannot be clearly identified as the borrower's income must be excluded unless the source is properly documented.
- **Business Accounts**
 - The account must be in the business name and used for ongoing operations.
 - Borrower must have at least 25% ownership in the business.
 - If there are non-borrowing owners, they must provide a signed letter acknowledging the Borrower's access to business funds for qualification purposes.

Deposit & Balance Standards (applies to all accounts)

- Statements must be consecutive and the most recent available at the time of application.
- Deposits should demonstrate stability and predictability. Large or inconsistent deposits must be explained, documented or excluded. Large deposits are considered greater than 50% of total income.
- Acceptable deposit sources include:
 - Business transfers
 - Wires
 - Alternative payment platforms (e.g., Zelle, PayPal, Venmo, Stripe, Square)
- Account balances should remain stable or show growth; negative or declining balances require LOE.
- Non-Sufficient Funds (NSF) / Overdraft (OD) activity:
 - Must be satisfactorily explained.
 - Up to three NSFs in the last 12 months permitted if none occurred in the most recent three months.
 - Up to six NSFs in the last 12 months may be acceptable with explanation.
 - Accounts reflecting negative month-end balances are not permitted.



Delivery Ineligibility Note

If a file is qualified using Bank Statements and the origination file also includes tax returns or transcripts showing a different income for the same Borrower, the loan may be deemed ineligible for sale to Planet. When the Bank Statement method is used as the basis of qualification, tax returns and transcripts should not be included in the file.

Bank Statement Qualifying Income

Borrowers may qualify using one of the following methods, depending on account classification and business type:

Personal Method

- Qualifying income is based on the average of eligible deposits, with no expense factor applied
- Only permitted if the account is truly personal
- Must be supported by two months of business statements showing transfers into the personal account

Business / Co-Mingled Method

- Apply the borrower's documented ownership percentage
- Avoid double counting W-2/K-1 income from the same entity
- Must use one of the three **Options** below:

Option 1: Expense Ratio Method

- Requires 12 or 24 months of consecutive statements
- Apply the borrower's documented ownership percentage to the result
- Qualifying income is the **lower of the two**:
 - The Expense Ratio result
 - Monthly income on the initial signed 1003
- If 24 months provided and income is declining, qualify using the most recent 12 months

Expense Factor Benchmarks

Service Based Business (Offers Services)	0 Employees	1-5 Employees	>5 Employees
Examples of Service Business:	15% Expense Factor	30% Expense Factor	50% Expense Factor
Consulting, Accounting, Legal, Therapy, Counseling, Financial Planning, Insurance, Information Technology			

Product Based Business (Sells Goods)	0 Employees	1-5 Employees	>5 Employees
Examples of Product Business:	25% Expense Factor	50% Expense Factor	85% Expense Factor
Retail, Food Services, Restaurant, Manufacturing, Contracting, Construction			

Example: \$50,000 avg deposits × 50% expense = \$25,000 qualifying income (before ownership %).

**Option 2: Third-Party Profit & Loss (P&L)**

- Qualifying income is the lower of the two:
 - P&L net income (monthly average)
 - Monthly income on the initial signed 1003.
- P&L must be:
 - Prepared by a Tax Professional (Certified Public Account (CPA), Enrolled Agent (EA), California Tax Education Council (CTEC), or Preparer Tax Identification (PTIN))
 - Signed by borrower and preparer
 - Cover the same months as the statements
- Validate with Business Bank Statements:
 - If P&L shows < 15% expense ratio, floor to 15%; expense ratio must be reasonable for the profession.
 - If 24 months statements are provided and income is declining, use the most recent 12 months.

Preparer Requirements

- Must attest they audited financials or reviewed working papers
- Must not be related to borrower/ business
- Must have filed the borrower's most recent two years of business returns (for CPA/EA/CTEC)

Required Documentation

- 12 or 24 months complete business statements for the same account; transaction printouts are not allowed
- P&L covering the same 12 or 24 months period
- Attestation per above Preparer requirements

Restrictions

- PTIN-is only acceptable when Purchase and LTV $\leq 75\%$ (per matrix)

Option 3: Third-Party Expense Ratio Letter

- Qualifying income = eligible business deposits $\times (100\% - \text{Expense Ratio}) \div 12 \text{ or } 24$, then apply borrower's ownership percentage
- Expense percentage must be:
 - Provided by a Tax Professional (CPA, EA, CTEC, or PTIN)
 - $\geq$ than 15%
 - Reflect actual cash expenses for the business
- If 24-months bank statements are provided and income is declining, use most recent 12 months
- Expense ratio must be reasonable for the profession.

Required Documentation

- 12 or 24 months complete business statements for the same account; transaction printouts are not allowed
- Signed Expense Ratio Statement, including:
 - Basis of ratio (audit or review of working papers)
 - Confirmation preparer is independent (not related/affiliated)
 - Confirmation that they filed the borrower's most recent two years business returns.
- Tax professional license must be verified and in file.

Restrictions

- Ineligible if the borrower filed their own business returns
- PTIN-only preparers acceptable only when Purchase and LTV $\leq 75\%$ (per matrix)



1099

Eligibility

- Individuals earning 100% commission, independent contractors, or sole proprietors who receive IRS Form 1099
- ≥ 2 years self-employment/1099 history required.
- Generally single employer; multiple 1099s acceptable if industry-typical (e.g., medical contractors, entertainment)

Documentation

- 1-year or 2-years 1099s
- Current YTD receipt supported by YTD bank statements or check stubs with YTD totals
- Planet Business Narrative form
- Tax returns & 4506-C transcripts not required
- CPA/EA/CTEC letter confirming ≥ 2 years self-employment if using 1-year 1099

Qualifying Income

- Apply a standard 10% expense factor
- Income = 12/24-month 1099 average – 10% expense factor
- YTD (paystubs total or deposits total) must be $\geq$ (prior year – 10% expense factor)

Profit & Loss Only

Eligibility

- Self-employed for ≥ 2 years, business operating is ≥ 2 years
- Borrower must hold a minimum 25% ownership of the business
- Non-profit entities ineligible
- Borrowers who prepare and/or file their own returns are not eligible for P&L-Only. A third-party preparer is required.

Preparer & Packet Requirements

- Prepared by a licensed CPA, EA, or CTEC (PTIN acceptable only if Purchase & LTV $\leq 75\%$)
- Preparer must have filed/reviewed borrower's self-employed returns for ≥ 1 year
- Required documentation package attested by Preparer that they audited financials or reviewed working papers and confirmed independence (not related/affiliated):
 - 12- or 24-month P&L (end date < 60 days before close)
 - Most recent 2 months bank statements

Validation & Qualifying Income

- Bank statements must validate revenue and P&L gross should align to deposits within $\pm 10\%$.
- If FICO ≥ 700 and LTV $\leq 70\%$, then use the P&L net monthly average.
- If FICO < 700 or LTV $> 70\%$, then 2 months bank statements must support the P&L. gross within 35%; if validated, use the P&L net monthly average.

Written Verification of Employment (WVOE)

Eligibility

- Two-year history with the same employer
- Completed FNMA Form 1005



- First Time Homebuyer maximum LTV 70%, no gift funds allowed
- Borrower(s) employed by family members or related individuals are not eligible

Documentation

- Paystubs, Tax Returns, 4506C, or W-2's not required
- WVOE must be completed by Human Resources, Payroll Department or Office of the Company
- Two Months Personal Bank Statements required to support the WVOE
 - The bank statements must reflect deposits from the employer supporting at least 65% of gross wage/salary reflected on the WVOE
- An internet search of the business is required with documentation to be included in the credit file to support the existence of the business
- Other sources of income, documented using AltDoc, are eligible and can be used to determine total household qualifying income

Restrictions

- For the borrower utilizing the WVOE, no other active employment income may be utilized, passive income such as rental income can be included

Asset Depletion

Eligibility

- Available on Non-QM Gold only / Alt Doc
- May be sole income or supplemental. If sole income source:
 - Minimum assets required must equal the lesser of \$1,000,000 or 150% of the loan amount
 - Minimum assets requirement is waived if supplementing other income
- All account holders must be on the Note and Mortgage.
- Accounts must be U.S. Based and statements covering at least 120 days is required.
- Maximum LTV:
 - 85% - Purchase
 - 75% - Refinance

Verification & Documentation

Asset Type	Percentage of Value Allowed
Checking / Savings / Money Market	100%
Real Estate Sale Proceeds	100% (no seasoning required)
Stocks/Bonds/Mutual Funds	70% of current value
Retirement Accounts:	▪ Age $\geq$ 59.5 $\rightarrow$ 70% of account balance ▪ Age $<$ 59.5 $\rightarrow$ 60% of account balance
Trusts	▪ Revocable with borrower as trustee are eligible (apply same percentages above based on asset type) ▪ Irrevocable where borrower is sole beneficiary with immediate access are eligible (apply same percentages above based on asset type)



- Provide 120 days of bank statements, quarterly statements, or a Verification of Deposit.
- Assets must be liquid and not subject to early-withdrawal penalties.
 - Additional conditions will apply to any accounts that may have early withdrawal penalties to determine if the account is useable
- Source of funds must be documented upon request

Ineligible Assets

The following asset types are eligible:

- Assets already used as income or reserves
- Business-titled assets
- Charitable/donor-advised trusts
- Cryptocurrency
- Equity in real estate
- Irrevocable trusts where borrower is not a beneficiary
- Life Insurance
- Restricted/non-vested stock

Qualifying Formula

Take the total eligible assets, subtract the down payment, closing costs, and required reserves, then divide the remaining balance by **60** months:

- $(\text{Eligible Assets} - \text{Down Payment} - \text{Closing Costs} - \text{Required Reserves}) \div 60 \text{ months.}$

Supplemental Income Sources

- **Joint Accounts** – A joint personal account with a non-borrowing spouse or domestic partner can be used for qualifying as follows:
 - If not contributing income / deposits, it must be validated by a borrower affidavit.
 - If contributing income / deposits, source must be clearly identified (direct deposit, SSI, trust income) and amounts must be subtracted from the analysis.
 - Relationship letter must be present in file.
- **Component Sources of Income** – A borrower who has a self-employed business and receives income from other sources is eligible for the bank statement program. Income sources include but are not limited to and must be separately documented on the 1003 and must be separately supported by bank statement deposits:
 - Rental properties
 - Trust
 - Investment
 - Alimony

Rental Income

- Reported on tax returns:
 - Schedule E net income should be used for loans using tax returns to qualify.
 - 100% ownership is not required. Allowed income will be calculated based on ownership percentage and 100% of PITIA must be used regardless of ownership percentage.
- Not reported on most recent tax returns due to recent purchase / loans qualifying with alternative documentation:



- 100% ownership is not required. Allowed income will be calculated based on ownership percentage and 100% of PITIA must be used regardless of ownership percentage.
- Refinance Transaction and non-subject purchased in the most recent calendar year.
 - Lease agreement and two months canceled checks to show proof of rental payments, or if subject is recently rented, a copy of two of the following will be acceptable (first month's rent, last month's rent, security deposit). 75% utilized for qualifying income.
 - Evidence that rent is market rate (free online source is permitted).
- Purchase transactions
 - Rental income identified on the 1007 rental schedule for 75% utilized for qualifying income.
 - If the existing lease from Seller is transferring to borrower, the lease that predates the mortgage could have a superior claim to the mortgage. The Seller is responsible for ensuring clear title and first lien enforceability.
- Short Term / Variable Rental Income (if Short-Term Rental reported on tax returns, follow Reported on tax returns guidance):
 - Permitted for both purchase and refinance transactions. All Short-Term Rental income must be deemed common and typical for the area per the appraisal and/or property location, and permitted in accordance with local ordinances.
 - On refinances, gross rent to be determined by lower of the market rent disclosed on the appraisal OR 12 month Short-Term Rental history via AirBnb, AirDNA, VRBO or HomeAway (12 months required for Refinance Only).
 - On purchases, 75% of market rent will be used as income if it is supported by the 12-month average.
 - Short-Term Rental history to be verified by a third-party property management provider. Information must contain property address / ID specific to subject.
 - Not permitted on primary residence SFRs.
- Long term tenancy Income is limited to 125% of 1007 market rents schedule.

Trust Income

- Income from trusts may be used if constant payments continue for at least the first three years (or five) of the mortgage term as evidenced by trust income documentation. Five years required if income source is >50% of loans total qualifying income.
- Trust Agreement required confirming amount, distribution frequency, and duration of payments.

Alimony Income / Child Support

- Final Divorce decree or legal separation agreement required.
- Must provide payment evidence of six months via canceled checks, deposit slips, or bank records.

Note Receivable Income

- Copy of the note confirming amount and length of payment is required.
- Must provide payment evidence of 12 months via canceled checks, deposit slips, or bank records.
- Verify that the income can be expected to continue for a minimum of three years from the date of the mortgage note.

Royalty Payment Income

- Royalty contract, agreement, or statement confirming amount, frequency, and duration of the income – must document a three-year continuance.



- Must provide payment evidence of 12 months via canceled checks or bank records / deposits.

Retirement Income

- The following types of income documentation is required:
 - Copy of award letter or letters from the organizations providing the income, AND
 - Most recent two months bank statements showing deposit of funds.

Self Employed / Wage Earner Combination for Joint Borrowers

- Joint borrowers with one wage earner and one self-employed business owner can verify income separately, with the self-employed borrower utilizing bank statements or 12 Month P&L and the wage earner providing pay stubs / W-2s or WVOE.
 - The wage earner 4506-C should include W-2 transcripts only.
 - Combination scenario must be qualified and priced to the income verification with the highest loan level pricing adjustments (LLPA).

Insurance Requirements

Hazard Insurance (1-4 Unit Properties)

- 100% of the replacement cost value of the improvements as of the current property insurance policy effective date, or the unpaid principal balance of the loan, provided it equals no less than 80% of the replacement cost value of the improvements as of the current property insurance policy effective date.
- All other coverages/property types follow Fannie Mae requirement, see [B7-3-01, General Property Insurance Requirements for All Property Types](#).

Flood Insurance (1-4 Unit Properties)

- The minimum amount of flood insurance required for first mortgages must be equal to the lesser of
 - 100% of the replacement cost value of the improvements,
 - the maximum coverage amounts available from NFIP, or
 - the unpaid principal balance (UPB) of the loan (or loan amount at the time of origination)
- All other coverages/property types follow FNMA policy

Liabilities

Departing Residence

Departing residence positive rental income cannot be used to qualify. Departing residence PITIA / ITIA can be offset by 75% of projected net rental income (1007) or if subject is recently rented, a copy of two of the following will be acceptable (first month's rent, last month's rent, security deposit). Departing residence rental that produces a loss must be included in the DTI.

Determine the Rental Income Offset by multiplying the lessor of the gross monthly rent from current lease agreements or market rents reported on Form 1007 or Form 1025 by 75%. The remaining 25% is allocated [SK3.1] for vacancy and maintenance expenses.

When using a lease agreement, the lease agreement amount must be supported by one of the following:

- Form 1007 or Form 1025, as applicable.
- Evidence the terms of the lease have gone into effect. Evidence must include a minimum of:



- Two months consecutive bank statements or electronic transfers of rental payments for existing lease agreements.
- Copies of the security deposit and first full month's rent check with proof of deposit for newly executed agreements.

Departing Residence Obligation – No Contract

Payment obligation for a departing residence may be excluded from the borrower's debt-to-income ratio, provided no sales contract is in place.

- Currently listed or signed letter of intent from borrower indicating they intend to list the departure residence for sale within 90 days of closing on subject transaction.
- Equity in the departure residence must be documented with a 2055 exterior appraisal or full appraisal. Departure residence must have a minimum of 20% equity after deduction of outstanding liens to exclude the payment from the DTI. If less than 20% equity, the full payment must be included in the DTI.
- Required reserves for the departure residence are based on the marketing time indicated by the departure residence appraisal:
 - If appraisal indicates marketing time of six months or less = 12 months PITIA / ITIA
 - If appraisal indicates marketing time over six months = 24 months PITIA / ITIA

Departing Residence Obligation – Under Contract

Payment obligation for a departing residence may be excluded from the borrower's debt-to-income ratio when the property is under contract, subject to the following requirements:

- A copy of an executed sales contract for the property pending sale and confirmation all contingencies have been cleared / satisfied. The departure transaction must be closing within 30 days of the subject transaction. The pending sale transaction must be arm's length.
- No appraisal required for departure residence. The borrower must be netting a positive number from the sale of the property or assets must be accounted for to cover any funds the borrower may have to bring to closing on the sale of the departure residence.

Property Tax Estimates – New Construction

For new construction, property taxes should be estimated for qualification purposes as follows.

- Property taxes for qualification should be calculated at 1.5% of the sales price (1.25% for California). Other tax rates may be used if properly documented in the file.

Student Loan

Student loan payments must be included regardless of deferment or repayment in the DTI ratio. If a payment amount is not identified, use 1% of the current loan balance.

Solar Leases

- Must conform to Fannie Mae requirements, see [B2-3-04, Special Property Eligibility Considerations > Properties with Solar Panels](#).
- PACE loans, or any similar loans with payments included in property taxes or that take lien priority, are ineligible.



Payoff of Debt to Qualify

- Installment and revolving debt paid at closing may be excluded from the DTI with one of the following:
 - A Credit supplement
 - Verification from the creditor liability as paid in full
 - Evidence of payoff on Closing Disclosure

Debts Paid by Other / Contingent Liabilities

- Contingent liabilities can be excluded from DTI if the borrower provides evidence that their business or another individual / entity has made payments for 12 months (0x30).
- Any liability related to separation or divorce can be omitted if ordered by family court. Documentation from the court is required.

Loan Amount

Program	Minimum	Maximum
Gold	\$150,000	\$3,500,000
Silver		\$3,000,000
Bronze		\$1,500,000

Refer to the applicable loan product matrix for additional product-level requirements and restrictions.

Loan-to-Value (LTV)

Additional restrictions **and requirements** may apply based on product type, property characteristics, borrower profile, market designation, or transaction structure.

Gold Product

LTVs 85.01-90%

For loans with LTVs between 85.01 and 90% on the Gold product only, the following requirements apply:

- **Reserves:** No exceptions permitted
- **Gift Funds:** Non-spousal gifts not allowed
- **Payment Shock:** Cannot exceed 2.5x current housing expense
- **Housing History:** Borrowers living rent-free or unable to document a full 12-month history are ineligible
- **Tradelines:** All borrowers must demonstrate an acceptable tradeline history in accordance with program credit requirements
- **No more than one 30 day late on installment/revolving loans in the last 12 months and evidence the account is current must be provided**

Income Type:

- Asset Depletion: Maximum 85% LTV Purchase; Maximum 75% LTV Refinance
- WVOE: Maximum 80% LTV
- 12 Month P&L: Maximum 80% LTV Purchase; Maximum 70% LTV Refinance



Borrower Type:

- Non-Permanent Resident: Maximum 80% LTV/CLTV, No cash-out
- Non-Occupant Co-Borrower: 1-unit primary residence, Maximum 43% DTI, Maximum 80% LTV/CLTV, No cash-out
- First-Time Investor: Max LTV 70%

LTV Type:

- LTV > 65%: Maximum Cash-Out: \$750,000
- LTV ≤ 65%: Maximum Cash-Out: \$1,000,000

Property Type:

- 2-4 Unit Properties - Maximum 85% LTV
- Warrantable Condo: Maximum 85% LTV
- Non-Warrantable Condo- Maximum 80% LTV - Property must be reviewed and approved by Plant Home Lending
- Declining Markets – Minimum 5% LTV Reduction

Transaction Type:

- Texas 50(a)(6): 80% LTV, \$250,000 minimum

Silver Product

Borrower Type:

- Non-Permanent Resident: Maximum 80% LTV/CLTV, No cash-out
- Non-Occupant Co-Borrower: 1-unit primary residence, Maximum 43% DTI, Maximum 80% LTV/CLTV, No cash-out

LTV Type:

- LTV > 60%: Maximum Cash-Out \$750,000
- LTV ≤ 60%: Maximum Cash-Out \$1,000,000

Property Type:

- 2-4 Unit Properties: Maximum 85% LTV w/ 6 months reserves
- Warrantable Condo: Maximum 85% LTV
- Declining Markets: Minimum 5% LTV Reduction
- Modular: 80% LTV cap

Bronze Product:

LTVs 85%

For loans with LTVs 85% LTV Requirements on the Bronze product only, the following requirements apply:

- **Housing History:** Maximum 1 × 30-day late in the most recent 12 months
- **Major Credit Events:** Minimum 36-month seasoning from housing event and bankruptcy

If these criteria are not met, the loan is subject to the following limitations:

- **Maximum LTV:** 80%
- **Housing History:** 0 × 60-day lates in the most recent 12 months
- **Major Credit Events:** Minimum 24-month seasoning from housing event

**Income Type:**

- P&L: Maximum 80% LTV Purchase; Maximum 70% LTV Refinance

Borrower Type:

- Non-Permanent Resident: Maximum 80% LTV/CLTV, No cash-out
- Non-Occupant Co-Borrower: 1-unit primary residence, Maximum 43% DTI, Maximum 80% LTV/CLTV, No cash-out

Property Type:

- Declining Markets: Minimum 5% LTV Reduction

Occupancy Eligibility

Primary Residence Definition and Qualification Criteria

A primary residence (owner-occupied property) is a dwelling occupied by the borrower(s) as their principal residence. To qualify as a primary residence, the transaction must meet the following criteria:

- The borrower intends to occupy the property within 60 days of closing for the majority of the year.
- The property is reasonably convenient to the borrower's principal place of employment.
- The property has physical characteristics that reasonably accommodate the borrower's household or family needs.
- 2–4 unit properties are eligible as primary residences if they are common for the area and do not have unique features that could negatively impact marketability.

Indicators that a property is a primary residence may include:

- Occupancy by the borrower for the major portion of the year.
- Property is the address of record for such activities as federal income tax reporting, voter registration, occupational licensing, and similar matters.

Ownership Limitation

- The borrower may not own another single-family residence of equal or greater value than the subject property.

Second Homes

A second home is a dwelling occupied by the borrower in addition to their primary residence. To qualify as a second home, the property must meet the following requirements:

- The property is located a reasonable distance from the borrower's primary residence.
- The borrower occupies the property for at least a portion of the year.
- The property is suitable for year-round occupancy.
- The property is a one-unit dwelling.
- The borrower has exclusive control over the property.
- The property is not subject to timeshare arrangements, rental pools, or agreements requiring the borrower to rent or cede control to a management firm.
- Gift funds are not allowed for second home transactions with an LTV greater than 80%.



Non-Owner Occupied / Investment Properties

A non-owner occupied (investment) property is a dwelling used to generate income and is not occupied by the borrower or any member of the borrower's family.

Requirements

- The property's occupancy designation must indicate investment use (the borrower does not reside in the subject property).
- All borrower(s) must complete and sign an Occupancy Certification or equivalent form.
- For loans with a guarantor:
 - Each guarantor must execute a Personal Guaranty Agreement.

Restrictions

- Rural properties in excess of 20 acres are ineligible.
- Gift funds are prohibited on non-owner-occupied transactions with LTV/CLTV exceeding 80%.

Occupancy Risk Indicators

- The subject property's value substantially exceeds that of the borrower's primary residence.
- The borrower is a first-time homebuyer and currently resides rent-free or rents their primary residence.
- The subject property could reasonably serve as a second home.
- Borrower documentation reflects the subject property as their current residence.

Power of Attorney

A Limited Power of Attorney (POA) is acceptable for executing closing documents, provided it is specific to the transaction, includes an expiration date, and the initial 1003/URLA is signed by the borrower executing the POA. POAs are not permitted for entities such as LLCs, corporations, or other entity borrowers, and are not allowed on cash-out transactions.

Prepayment Penalties

NOTE: Nothing in this section in any way limits the representations and warranties agreed to between the parties, including as to any interpretation of applicable law. This information does not constitute legal advice. Please consult with qualified legal counsel for guidance specific to your loan scenarios.

Where permitted by applicable laws and regulations on an investment property, a prepayment charge may be assessed in the period between zero and five years following the execution date of the note.



Prepayment Penalty Restrictions

Occupancy: Investment Properties Only

Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
Alabama	Permitted		Permitted	
Alaska	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.
Arizona	Permitted		Permitted	
Arkansas	Permitted		Permitted	
California	Permitted		Permitted	
Colorado	Permitted		Permitted	
Connecticut	Permitted		Permitted	
Delaware	Permitted		Permitted	
District of Columbia	Permitted		Permitted	
Florida	Permitted		Permitted	
Georgia	Permitted		Permitted	
Hawaii	Permitted		Permitted	
Idaho	Permitted		Permitted	
Illinois	Not Permitted	Prepayment penalties are prohibited on business purpose loans made to a natural person or vested to a natural person.	Permitted	
Indiana	Permitted		Permitted	
Iowa	Permitted		Permitted	
Kansas	Not Permitted	Business purpose loans originated on or after July 1, 2026, may include a prepayment penalty.	Not Permitted	Business purpose loans originated on or after July 1, 2026, may include a prepayment penalty.
Kentucky	Permitted		Permitted	



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
Louisiana	Permitted		Permitted	
Maine	Permitted		Permitted	
Maryland	Permitted, but restricted.	Restricted prepayment penalties within the first 3 years not to exceed 2 months of interest (aggregate of all prepayments in 12-month period in excess of 1/3 of original loan amount) for loans secured by 1-4 unit investment properties.	Permitted, but restricted.	Restricted prepayment penalties within the first 3 years not to exceed 2 months of interest (aggregate of all prepayments in 12-month period in excess of 1/3 of original loan amount) for loans secured by 1-4 unit investment properties.
Massachusetts	Permitted		Permitted	
Michigan	Permitted, but restricted.	Restricted to 1% penalty for the amount prepaid within the first 3 years. No penalty permitted thereafter.	Permitted, but restricted.	Restricted to 1% penalty for the amount prepaid within the first 3 years. No penalty permitted thereafter.
Minnesota	Not Permitted	Investment purpose purchase money, first lien, and DSCR loans that are not occupied by the borrower/guarantor/cosigner or seller after the sale may include a prepayment penalty if originated on or after August 1, 2026.	Not Permitted	Investment purpose purchase money, first lien, and DSCR loans that are not occupied by the borrower/guarantor/cosigner or seller after the sale may include a prepayment penalty if originated on or after August 1, 2026.
Mississippi	Permitted, but restricted.	Permissible maximum penalty of 5% in year 1, 4% in year 2, 3% in year 3, 2% in year 4, and 1% in year 5. No prepayment penalty may be charged for payments made more than 5 years from the date of the note.	Permitted, but restricted.	Permissible maximum penalty of 5% in year 1, 4% in year 2, 3% in year 3, 2% in year 4, and 1% in year 5. No prepayment penalty may be charged for payments made more than 5 years from the date of the note.
Missouri	Permitted		Permitted	
Montana	Permitted		Permitted	
Nebraska	Permitted		Permitted	



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
Nevada	Permitted		Permitted	
New Hampshire	Permitted		Permitted	
New Jersey	Not Permitted	Prepayment penalties are prohibited on business purpose loans made to a natural person.	Permitted for corporations borrowers. For LLCs and other non-corporate entity borrowers, prepayment penalties are permitted if the loan is clearly business purpose (with an affidavit to that effect) and the property is non-owner occupied. ¹	Prepayment penalty restrictions do not apply to borrowing entities that are corporations (i.e., C-Corp and S-Corp). LLC borrowers do not appear to qualify under the commercial exclusion for statutory prepayment restrictions. As such, LLC borrowers for mortgage loans with interest rates more than 6% are prohibited from imposing a prepayment penalty.
New Mexico	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.
New York	Permitted		Permitted	
North Carolina	Permitted		Permitted	
North Dakota	Permitted		Permitted	
Ohio	Permitted, but restricted.	Restrictions apply to mortgage loans secured by residential properties containing two or fewer units. For such loans less than \$116,356, no prepayment penalty allowed. For such loans greater than or equal to	Permitted, but restricted.	Restrictions apply to mortgage loans secured by residential properties containing two or fewer units. For such loans less than \$116,356, no prepayment penalty allowed. For such loans greater than or equal to



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
		\$116,356, maximum prepayment charge of 1% with maximum prepayment period of 5 years. 3+ unit properties have no restrictions. Standard PPP would apply.		\$116,356, maximum prepayment charge of 1% with maximum prepayment period of 5 years. 3+ unit properties have no restrictions. Standard PPP would apply.
Oklahoma	Permitted		Permitted	
Oregon	Permitted		Permitted	
Pennsylvania	Permitted, but restricted	Prohibited for loans secured by 1-2 unit properties if the loan amount is less than \$329,411. Note this amount is updated annually.	Permitted, but restricted	Prohibited for loans secured by 1-2 unit properties if the loan amount is less than \$329,411. Note this amount is updated annually.
Rhode Island	Permitted, but restricted.	First year of prepayment, the penalty is restricted to 2% of unpaid principal balance for purchase loans on 1-4 unit dwellings. 60 month maximum prepayment penalty period for all nonpurchase loans.	Permitted, but restricted.	First year of prepayment, the penalty is restricted to 2% of unpaid principal balance for purchase loans on 1-4 unit dwellings. 60 month maximum prepayment penalty period for all nonpurchase loans.
South Carolina	Permitted		Permitted	
South Dakota	Permitted		Permitted	
Tennessee	Permitted		Permitted	
Texas	Permitted		Permitted	
Utah	Permitted		Permitted	
Vermont	Not Permitted		Not Permitted	
Virginia	Permitted, but restricted.	For loans under \$75,000, prepayment penalties are restricted to a maximum of 1% of the unpaid principal balance.	Permitted, but restricted.	For loans under \$75,000, prepayment penalties are restricted to a maximum of 1% of the unpaid principal balance.
Washington	Permitted		Permitted	



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
West Virginia	Permitted		Permitted	
Wisconsin	Permitted		Permitted	
Wyoming	Permitted		Permitted	

¹ Planet believes this to be a reasonable interpretation of currently unsettled law widely perceived by the industry and secondary market as the appropriate interpretation of the statute.

Prepayment Penalties Structures

All prepayment penalties are required to be applied to both sale and refinance. The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge applies to loans that are paid off due to a sale or refinance.

The applicable prepayment structures may be applied based on selection at time of lock:

- **Six months of interest:** The prepayment charge is six months' interest on any amount exceeding 20% of the original principal balance, including payoffs or curtailments within a 12 month period.
- **A fixed percentage of no less than 3% or maximum allowed by State:** The prepayment charge is a fixed percentage applied to any curtailment or the full outstanding principal balance during the prepayment period. It applies to loans paid off due to sale or refinance.
- **Sliding Scale (step-down structure):** Does not exceed 5% and does not drop below 3% in the first 3 years.

For example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%)

States may impose different definitions of points and fees, rate/APR, or prepayment penalties that differ from those under HOEPA. States may also use different triggers for determining "high-cost" status. As a matter of policy, Planet does not purchase loans defined as high-cost mortgages (or equivalent terms) under Federal or state law, regardless of the basis.

Product Eligibility

	15 YF	20 YF	25 YF	30 YF	30 YF IO	40 YF IO	5/6 SOFR	7/6 SOFR	10/6 SOFR
Gold	✓			✓	✓	✓	✓	✓	✓
Silver	✓			✓	✓	✓	✓	✓	✓
Bronze				✓	✓	✓	✓	✓	✓

Fixed Rate

- **Fully Amortizing:** 15-year, 20-year, 25-year, & 30-year
- **Interest Only (IO):**
 - 30-year IO = (360 Term = 120 Interest Only + 240 Amortizing)
 - 40-year IO = (480 Term = 120 Interest Only + 360 Amortizing)



Adjustable Rate

- **5/6 SOFR ARM, 7/6 SOFR ARM, 10/6 SOFR ARM**
 - Index: 30-day Average SOFR as published by the New York Federal Reserve
 - Margin: Per the requirements detailed in the applicable Program Matrices
 - ARM Floor: Equal to the loan's initial margin
 - Reset Period: Every six months after the initial fixed period
 - Caps (Initial / Periodic /Lifetime):
 - 5/6 ARM: 2 / 1 / 5
 - 7/6 ARM: 5 / 1 / 5
 - 10/6 ARM: 5 / 1 / 5
- Qualification Rate:
 - Qualify at the greater of the Fully Indexed Rate or the Note Rate
- **Interest Only:** ARM products are not eligible for Interest-Only features

Property

Eligible Property Types

- One Unit Single Family Residences (Attached, Detached and Modular)
- Single Family Residences with ADU (Accessory Unit Dwelling)
 - Must comply with all Fannie Mae requirements and restrictions, see [B2-3-04, Special Property Eligibility Considerations > Accessory Dwelling Units](#).
- 2–4 Unit Properties
- PUDs
- Maximum of 20 acres
- Declining **Markets** with a 5% LTV reduction
- Rural Properties
- Condominiums
 - Warrantable condos (Fannie Mae Approved)
 - Non-warrantable condos – Gold only
 - Detached site condos (treated as SFR)
 - Two- to four-unit condo projects

Rural Properties

- Properties are considered rural if the appraisal notes the following:
 - The neighborhood is less than 25% built-up.
 - The area around the subject is zoned agricultural.
 - The photographs of the subject show a dirt road.
 - Comparables are more than five miles away from the subject property.
 - Subject property and/or comparables have lot sizes greater than 10 acres.
 - Subject property and/or comparables have outbuilding or large storage sheds.
- Rural properties must comply with the following criteria:
 - The primary use must be residential.
 - The property must not be agricultural or otherwise provide a source of income to the borrower or for the subject loan.
 - The lot size and acreage must be typical for the area and similar to the surrounding properties.
 - The maximum acreage allowed is 20 acres.
 - The present use must be the "highest and best use" for the subject property.



- The condition, quality and use of outbuildings may be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.
- Subject property cannot be subject to any idle acreage tax benefit or other tax incentive program.

Condominiums

Florida Condo Projects

- Projects subject to Florida SB-4D requirements will need Structural Integrity Reserve Studies and Milestone Structural Inspections subject to all state requirements.
- These properties will be considered on a case-by-case basis and will require an exception approval and pricing review.

Warrantable Condo: Must meet Fannie Mae warrantable requirements.

Non-Warrantable Condo

- All non-warrantable condo loans require an Enterprise Condo Desk review and acceptance prior to purchase. Projects with multiple non-warrantable characteristics or health or safety concerns require an exception from Credit Risk Management.
- Detached (site) condos may be underwritten using SFR guidelines.

Restrictions – Non-Warrantable Condos

- Multiple non-warrantable features may not be combined.
- No single owner/entity may own more than 30% of project units.
- Commercial space must:
 - Be typical for the market
 - Have no negative impact
 - Comprise $\leq 49\%$ of project space
- Investor concentration may not exceed 70%.
- No more than 25% of total units may be 60+ days past due on HOA dues.
- Adequate flood insurance is required if the project is in a designated flood zone.
- Borrower must carry HO-6 coverage for interior replacement unless the HOA provides all-in coverage.
- Project documents may not grant priority rights over the first mortgagee (e.g., right of first refusal).
- Mandatory dues are not permitted.
- All common areas must be 100% complete.
- HOA must be in control. Projects under builder/developer control may be considered case-by-case, subject to exception approval and pricing review.
- HOA reserves must equal or exceed 10% - no exceptions.

Detached (site) condo units: May be underwritten using SFR LTV/CLTV guidelines.

Two-to-four-unit condominium projects

- 2-4 units projects that permit a priority lien for unpaid common expenses in excess of Fannie Mae's priority lien limitations are ineligible.
- The standard insurance requirements apply.

Projects in Litigation

Acceptable only if all of the following apply:

- Litigation is not structural in nature.
- Litigation does not impair marketability of units.



- Potential damages do not exceed 25% of HOA reserves, or adequate coverage is confirmed by the insurance carrier/HOA attorney.

Ineligible Property Types

Category	Restricted Property Types / Conditions
Manufactured / Unique Structures	■ Manufactured homes ■ Log homes ■ Earth berm homes ■ Geodesic domes ■ Houseboats
Condominiums / Ownership Structures	■ Condotels ■ Condominium projects with registration services or occupancy restrictions ■ Cooperatives (CO-OPs) - unless owner-occupied and meeting Fannie Mae requirements ■ Fractional ownership / timeshares ■ Live/work condominiums ■ Leasehold Properties
Land Use / Zoning Restrictions	■ Mixed-use properties (legal ADU acceptable, limited to one) ■ Agricultural-zoned properties (may be considered case-by-case) ■ Zoning violations ■ Working farms ■ Properties used for cultivation, distribution, manufacture, or sale of marijuana
Property Type / Occupancy Limitations	■ Residential units with 5 or more units ■ Builder model leasebacks ■ Boarding houses ■ Group homes ■ Assisted living / continuing care facilities ■ Mandatory country club membership properties ■ Theme park resort properties
Property Condition	■ Properties with unpermitted additions ■ Properties under construction ■ Multiple dwellings on the same lot (except one legal ADU) ■ Properties with appraisal condition grades C5 or C6
Other Restrictions	■ Hawaii properties located in lava zones 1 or 2 ■ Homes located on Native American land (reservations)

Property Flips

A purchase transaction is considered a flip when the property is being resold within 180 days of Seller's acquisition date (measured from the Seller's purchase date to the borrower's signed purchase agreement date).



Eligibility

- Bank owned REO and corporate relocations are eligible and not considered a flip transaction.
- All transactions must be arm's length, with no identity of interest between the buyer and property seller or other parties participating in the sales transaction.
- The borrower must have had no pattern of property flipping in the past 12 months. Exceptions include newly constructed properties, government sales, inherited or divorce-acquired properties, or sales by the holder of a defaulted loan.
- The property was marketed openly and fairly, through a multiple listing service, auction, for sale by owner offering with documentation or developer marketing.
- Assignments of the purchase contract are not permitted.

Documentation & Appraisal

- The appraiser must provide commentary and analysis addressing any material increase in value between the Seller's purchase price and the current resale price.
- Additional documentation (e.g., settlement statements, evidence of improvements) may be required to support the resale transaction.
- If the purchase price exceeds the appraised value by more than 5%, obtain a signed borrower acknowledgement and order a third-party appraisal review.

Second Appraisal Requirement

A Second Appraisal is required when:

- The loan is classified as a Higher Priced Mortgage Loan (HPML)
- The property is being resold within:
 - 90 days with a >10% increase in sales price
 - 91-180 days with a >20% increase in sales price

Reliance Letter

A Reliance Letter, also known as a Third-Party Review (TPR), from an acceptable TPR firm is required for all Non-Agency loans.

Acceptable TPR Firms include:

- Clarifii
- Consolidated Analytics
- Selene Diligence LLC
- Situs/DynAMC Solutions

The Reliance Letter must meet all of the following criteria:

- Must be provided by an acceptable Planet TPR Firm
- A grade of "B" or higher is required at the time the Reliance Letter is issued
- Must be specific to the subject loan and permit Planet to rely on the third-party analysis or review performed
- Must comply with all applicable Non-QM underwriting, documentation, and investor requirements

Reliance Letters are not acceptable if:

- Issued by a TPR Firm with a grading below "B"
- Issued by a firm not approved by Planet



Reserves

- Reserves are calculated off actual P&I payment plus taxes, insurance, and HOA fees (PITIA) for the subject property.
- Reserves for an Interest Only (IO) loan will be based on the initial Interest Only payment (ITIA) for the subject property.
- Borrower(s) will be required to meet the subject property reserve requirement plus two months of reserves for each additional financed property, capped at a total of 12 months reserves for all properties (including Subject property).
 - Example: Borrower with five financed properties with a total monthly PITIA / ITIA of \$5,000 must have an additional \$10,000 in reserves in addition to the Subject property requirements.
- Reserves must be documented as outlined in the **Liabilities > Departing Residence > Obligation** - based on contract status.
- Cash-Out proceeds may be used in reserve calculation.

See *applicable Matrix* for product specific reserve requirements.

Subordinate Financing

General Requirements

- Subordinate financing must be institutional.
- Seller-held subordinate liens are not permitted.
- All subordinate liens must be recorded and clearly subordinate to the new first mortgage.
- Existing subordinate liens may remain in place if properly subordinated.
- Negative amortization is not allowed - scheduled payments must cover at least interest due.
- All subordinate obligations must be verified and included in the borrower's DTI calculation.

Documentation Requirements - Subordinations

- Repayment terms of the existing lien must be reviewed.
- An unsigned copy of the subordination agreement must be obtained prior to closing.
- Fully executed subordination agreement must be obtained at closing.

Calculation Requirements - HELOCs

LTV/CLTV must be calculated using:

- Original loan amount of the first mortgage
- Full line amount of the HELOC (regardless of draws)
- UPB of all other subordinate financing
- Denominator is equal to the appraised value
- Qualifying payment must equal the minimum required under HELOC terms (considering all draws made on/before closing)

Calculation Requirements - Closed-end fixed-rate, fully amortizing subordinate loans

- Qualifying payment must equal monthly scheduled payment.

Temporary Interest Rate Buydowns

Not permitted



Transaction Eligibility

Eligible Transactions

Purchase

- A purchase transaction allows a buyer to acquire property from a seller.
- LTV is calculated using the lesser of the purchase price or the appraised value.
- Business purpose loans may reflect the Guarantor or Entity name, see the Entities section for vesting for business purpose loans.
- The lesser of the purchase price or appraised value of the Subject property is used to calculate the LTV.
- A copy of the fully executed purchase contract and all attachments/addenda are required.
- Sellers must have owned the property more than six months, otherwise the transaction is subject to review as a Flip Transaction.
 - See ["Property Flips" on page 527](#) for requirements
- Bank-owned REO and Corporate Relocations are eligible and not considered a flip transaction.
- Maximum Interested Party Contributions are permitted up to 6%.

Refinance

At least one borrower must be on title at application. Exceptions include inheritance, divorce, separation, or revocable trust beneficiary.

Rate and Term

- A Rate and Term Refinance is the refinancing of an existing mortgage for the purpose of changing the interest rate and/or term without advancing new money.
- LTV is calculated on the current appraised value.
- Loan Amount may include only:
 - Existing first mortgage payoff
 - Closing costs and pre-paid items (interest, taxes, insurance)
 - Any subordinate liens used entirely to acquire the property (regardless of seasoning)
 - HELOC or other line used entirely to acquire the property (regardless of seasoning)
 - Subordinate Financing not used to purchase the property, provided:
 - Close-end seconds are at least 12 months seasoned (note date to app date)
 - HELOCs/lines are at least 12 months seasoned with ≤\$2,000 draws in past 12 months
 - Advancing of new money on the loan unless it is below the limited Cash-Out amount
- No seasoning is required for Rate/Term Refinance
- If most recent transaction was a cash-out < 6 months, the new mortgage must proceed as Cash-Out Refinance
- No waiting for inherited or awarded properties
- Limited cash back: greater of 1% of new mortgage balance or \$2,000
- Properties that have been listed for sale by the borrower within the past six months from the note date will be considered on a case-by-case basis and will require an exception approval and pricing review
- Rate/term of a construction loan is eligible (see construction refi requirements)
- Refi of a prior cash-out seasoned < 1 yr = cash-out
- Refinancing of a land contract = purchase

Cash-Out Refinance



- Any refinance not meeting rate/term definition is a cash-out refinance.
- Cash-out refinance includes:
 - Borrower receiving funds at closing
 - Refinance of a free and clear property
 - Refinance of a Paid in Kind (PIK) loan
 - PIK loans or loans secured by blanket/cross-collateralization must be treated as cash-out.
 - Refinance of subordinate liens not meeting RT seasoning/draw requirements
 - Payoff of non-mortgage debts at closing
- Six months required from purchase date to Note date for a Cash-Out Refinance.
- Loan amount may include existing first payoff, closing costs/prepays, subordinate liens, non-mortgage debt, and additional cash in hand.
- Properties listed for sale within the last 12 months are not eligible.
- Ownership < 12 months but ≥ 6 months → LTV/CLTV based on lesser of purchase price + documented improvements or appraised value
- If the property was acquired more than 12 months prior to the application date, use current appraised value.
- If acquired between six to 12 months prior to the application date:
 - For LTV ≤ 75%, use current appraised value.
 - For LTV > 75%, use the lesser of current appraised value or purchase price plus documented improvements.
- If acquired less than six months prior to the application date, use the lesser of current appraised value or purchase price.
- No waiting for inherited or awarded properties
- Land contract refinance = purchase
- Texas 50(a)(6) loans must comply with the Texas Constitution.
 - A Texas 50(a)(6) loan is a non-purchase money mortgage (potentially including a refinance of a prior home equity loan) in which the borrower takes equity out of a homestead property in Texas. To be valid, these home equity loans must comply with all requirements listed in Section Article XVI, Section 50(a)(6) of the Texas Constitution. Sellers should not rely on Planet's categorization of a loan as a "Cash-Out Refinance" for purposes of determining whether compliance with the Texas Constitution is required. Sellers should instead consult with their own legal or compliance resources to determine the applicability of Article XVI, Section 50(a)(6) to a specific transaction.

See *applicable matrix* for cash out thresholds.

Property Buyouts and Inherited Properties

- Refinances of inherited properties and properties legally awarded to the borrower (divorce, separation, or dissolution of a domestic partnership) are permitted.
- If the subject property was acquired less than 12 months prior to the loan closing, the transaction is considered a cash-out refinance.
- Seasoning requirements are not applicable. The following guidelines must still be met:
 - A written agreement signed by all parties stating the terms of the buyout and property transfer must be obtained.
 - Equity owners must be paid through subject loan's settlement.
 - Subject property has cleared probate, and property is vested in the borrower's name.
 - Current appraised value is used to determine loan-to-value.



Non-Arm's Length Transactions

Non-Arm's length transactions involve a direct relationship outside of the subject transaction between a borrower and a party to the loan.

The appraiser must be informed of the relationship and address any impact on market value.

Examples of Non-Arm's Length Transactions (not limited to):

- Sales between family members
- Buyer trading properties with the Seller
- Seller foreclosure bailouts
- Existing relationships with the loan officer, real estate agents, closing agent, appraiser, builder, or developer

General Requirements for Non-Arm's Length Transactions:

- Relationship must be fully disclosed.
- Borrower must provide a written explanation stating their relationship to the Seller and reason for purchase.
- Borrower must provide a copy of the canceled earnest money check paid to the Seller.
- Planet must be satisfied that the transaction is reasonable.
- All liens on title must be paid in full and reflected on the settlement statement.
- The lesser of the sales price or current appraised value must be used to calculate the LTV.
- Borrower(s) cannot provide services on the transaction (e.g., closing agent, title agent, appraiser).
- Borrower(s) may not be an owner of a business entity selling the subject property.

Additional Requirements for Family Sales Only:

- Payment history for the Seller's mortgage on the property must be obtained and show no delinquency pattern within the past 12 months (if applicable)
- Verification that the borrower has not been in title to the property within the past 24 months

Land Contract / Contract for Deed

When the proceeds of a mortgage transaction are used to pay off the outstanding balance on a land contract that was executed more than 12 months prior to the date of the loan application, the transaction is considered a rate/term refinance.

If the land contract was executed within 12 months of the date of the loan application, the transaction is considered a purchase.

The following requirements apply:

- Primary residence only
- Copy of fully executed land contract and payoff(s) must be obtained
- Copies of canceled checks for 12 months (or term of the lease if less) as evidence of timely payments
- If the land contract was executed less than 12 months ago, the borrower's previous housing payment history must also be verified to complete a full 12-month history.
- Liens on title must be paid in full and reflected on the settlement statement at closing.
- If the contract was executed less than 12 months ago, the lesser of the purchase price or the current appraised value must be used to determine LTV. The current appraised value may be used to determine LTV if the land contract was executed over 12 months ago.
- Cash-out and non-arm's length transactions are not eligible.



Lease with Purchase Option

Lease with purchase option transactions are allowed for primary residences only. Borrowers may apply a portion of the rent paid to their down payment requirements.

For lease with purchase option transactions, the file must contain the following:

- Copy of fully executed rental/purchase agreement verifying monthly rent and the specific terms of the lease
- Copies of canceled checks for 12 months (or term of lease if less) as proof of rental payments

Permanent Financing for New Construction

The conversion of construction-to-permanent financing involves the granting of a long-term mortgage to a borrower to replace interim construction financing obtained by the borrower to fund the construction of a new residence. The borrower must hold title to the lot, which may have been previously acquired or purchased as part of the transaction.

When a refinance transaction is used, the borrower must have held legal title to the lot before applying for the construction financing and must be named as the borrower for the construction loan.

A construction-to-permanent transaction may be closed as a purchase, rate/term refinance or cash-out refinance. All construction work must be complete.

- For lots owned $\geq$ 12 months from the application date for the subject transaction, LTV is based on the current appraised value.
- For lots owned $<$ 12 months from the application date for the subject transaction, LTV is based on the lesser of the current appraised value of the property or the total acquisition costs (sum of construction costs and purchase price of lot).

Ineligible Transactions

- Construction Loans
- Builder Bailout and Model leasebacks
- Conversion Loans
- Rent Credits
- Leaseholds
- Lease Option

Underwriter Analysis

All loan files should contain income worksheets which detail the qualifying income calculations and debt obligations considered or not considered (and reason for exclusion).

Manual Underwrite

- All loans must be manually underwritten
- As applicable, all loan files should contain income worksheets which detail the qualifying income calculations and debt obligations considered or not considered (and reason for exclusion).



Underwriting Exceptions

Exceptions to Planet Program Guidelines are considered on a loan-by-loan basis. Loans submitted with exception requests must demonstrate strong, well-documented compensating factors and may be subject to a pricing review, which can include additional Loan Level Pricing Adjustments (LLPAs) and/or exception-related pricing adjustments as determined by Capital Markets.

Exception Requests must be submitted using the Non-QM Exception Request Form to:
NonQMExceptionDesk@PlanetHomeLending.com

NOTE: The granting of an underwriting exception does not obligate Planet to purchase the loan.

Types of Exceptions

Hard Exceptions

Hard exceptions require a deeper underwriting review and typically relate to the borrower's overall financial profile. These represent more significant deviations from lending standards and are approved on a limited basis.

Characteristics of a hard exception:

- High risk-credit concerns, which may include:
 - Bankruptcy
 - Foreclosure
 - Significant or recent delinquencies
- Requirement for strong compensating factors, such as:
 - Liquid reserves in excess of 12 months
 - A large down payment (generally 20% or more below maximum product LTV)
 - Very high credit scores relative to program minimums

Soft Exceptions

Soft exceptions involve minor deviations from standard program guidelines. While still subject to full review, these exceptions are more frequently granted due to lower overall risk exposure.

Characteristics of a soft exception:

- Minor guideline variances, such as:
 - Small credit infractions
 - Slight FICO score shortfall
 - Minimal LTV adjustment
- Easier justification due to reduced risk, supported by compensating factors such as:
 - Minimum three months of reserves
 - Residual income
 - Larger down payment
 - Lower-than-allowed debt-to-income (DTI) ratio



Compensating Factors

Loans requiring a credit underwriting exception must generally demonstrate at least two compensating factors that are unrelated to the exception itself. Each loan is evaluated based on its individual merits.

Examples of acceptable compensating factors include, but are not limited to:

- Significant liquid assets and cash reserves
- Large down payment
- Excellent credit history
- Stable employment history and profession
- LTV lower than program parameters
- Low "payment shock"
- Additional household income
 - Income from a non-borrowing spouse or partner may be considered as a positive factor, even if it is not included in qualifying DTI
- DTI substantially lower than program allows
- FICO score substantially higher than minimum program requirements
- Strong residual or discretionary income
- Long-term job stability

Residual Income

- Residual income is calculated as Gross Qualifying Income Less Monthly Debt Obligations, as included in the debt-to-income ratio
- For HPML or loans with a DTI greater than 43%, borrowers must meet the minimum monthly residual income per program requirements.

Program	Requirements
Gold	▪ 1 borrower \$1,500 ▪ 2 borrowers: \$2,500 + \$150 for each additional household member ▪ DTI > 50-55% Requires \$3,500 Minimum Residual Income
Silver	▪ \$1,500 + \$150 per dependent ▪ DTI > 50-55% Requires \$3,500 Minimum Residual Income
Bronze	▪ \$1,500 + \$150 per dependent



Planet Non-Agency DSCR Program Guidelines

The Planet Non-Agency Debt Service Coverage Ratio (DSCR) Program consists of several standalone products. FNMA standards may be referenced when applicable; however, Planet Non-Agency Program Guidelines take precedence where differences exist.

DSCR loans are designed for experienced investors acquiring or refinancing investment properties for business purposes. Borrowers are typically required to demonstrate a track record of managing income producing rental properties or to contribute a substantial equity down payment when purchasing

For Planet's Non-Agency Full and Alt Doc Product, see ["Planet Non-Agency Program Guidelines" on page 485](#).

Eligible Transactions are limited to business purposes, non-owner-occupied investment properties that meet the following requirements:

- Borrower's personal income is not used for qualification; approval is based solely on the property's cash flow.
- Borrower must provide evidence of occupying a separate primary residence (unless a Foreign National).
- Borrower must provide a signed business purpose affidavit prior to purchase.

Restrictions

- Rural properties in excess of 20 acres are ineligible.
- First-Time Homebuyers are not eligible.
- Gift funds are prohibited on non-owner-occupied transactions with LTV/CLTV exceeding 80%.
- Primary residence or second home transactions are not permitted.

Age of Documents

Unless otherwise specified by funding channel or program, document expiration is based on the note date.

The following timelines apply:

- Documents valid for **120 days from the note date**:
 - Appraisal Documentation
 - Credit Documentation
 - Asset Documentation
 - Title Documentation

Appraisal

For all requirements, see Planet Non-Agency Program Guidelines > ["Appraisal" on page 485](#).

Assets

Documentation

Large deposits should be in line and consistent with the borrower's overall credit and business profile and may require a letter of explanation.

Business Assets

A signed letter from a CPA or Underwriter Cash Flow Analysis must also be obtained verifying that the withdrawal of funds for the transaction will not have a negative impact on the business; not required on DSCR loans.



For additional requirements, see Planet Non-Agency Program Guidelines > ["Assets" on page 487](#).

Assumability

- Fixed rate loans are not assumable
- Adjustable-rate loans may be assumable depending on note

Borrower Eligibility

A maximum of four borrowers is permitted on any loan.

Planet permits the following borrower types across Non-Agency DSCR programs. Refer to the applicable loan program matrix for specific product-level requirements and restrictions.

DSCR Program			
	DSCR	FN	ITIN
U.S. Citizens	✓		
Perm Resident	✓		
Non-Perm Resident	✓		
DACA Applicants	✓		
ITIN Borrowers			✓
Foreign Nationals		✓	
Inter Vivos Revocable Trust	✓		
Business Entities	✓		

Permanent Resident Aliens

- A permanent resident alien is a non-U.S. citizen authorized to live and work in the U.S. on a permanent basis.
- Acceptable evidence of lawful permanent residency must be documented and meet one of the following criteria:
 - I-151 – Permanent Resident Card (Green Card) that does not have an expiration date.
 - I-551 – Permanent Resident Card (Green Card) issued for 10 years that has not expired.
 - I-551 – Conditional Permanent Resident Card (Green Card) issued for two years that has an expiration date, if it is accompanied by a copy of USCIS form I-751 requesting removal of the conditions.
 - Unexpired Foreign Passport with an unexpired stamp reading as follows: *"Processed for I-551 Temporary Evidence of Lawful Admission for Permanent Residence. Valid until mm-dd-yy. Employment Authorized."*

Non-Permanent Resident Aliens

Non-Permanent Resident Aliens must maintain a lawful status in the United States, and provide acceptable documentation evidencing current, valid work authorization. Lawful non-permanent residents are legally accorded the privilege of residing temporarily in the United States.



- Two years of U.S. residency history required with a valid Social Security Number and U.S. credit.
- Validation that borrowers have employment authorization is required with **one** of the following:
 - A valid current Form I-766 Employment Authorization Document (EAD) work permit/card
 - The EAD may not expire within six months of loan application date.
 - The EAD documentation is acceptable for up to 540 days if an automatic extension has been granted.
 - Form I-765 Application for Employment Authorization
 - The form must reflect approval status in the Action Block (upper right-hand corner).
 - Form I-797, I-797A, or I-797B or I-797C conveying approval status
 - Employment authorization may also be evidenced by certain visa types. Some common visas allowing employment include E-3, H-1B, L, O, and P.
- A copy of borrower's passport is not required.

Requirements and Documentation

- The following Visa classifications are allowed as Non-Permanent Resident Aliens:
 - E-1, E-2, E-3
 - H-1B
 - O-1
 - EB-5
 - L-1
 - R-1
 - G-1 through G-5
 - NATO
 - TN (NAFTA)
- Copies of the borrower's passport and unexpired visa must be obtained.
 - Acceptable alternative documentation: I-797 form (Notice of Action) with valid extension dates and I-94 form (Arrival / Departure Record)
- If the visa is not employer-sponsored, a valid employment authorization document (EAD) must be provided.
- If the visa expires within six months of note date, a letter from the employer documenting the borrower's continued employment and continued visa renewal sponsorship (employer on the loan application must be the same as on the unexpired visa) is acceptable.
- If a non-U.S. citizen is borrowing with a U.S. citizen, all visa/residency requirements still apply. Individuals in possession of spouse or family member visas are to qualify as co-borrowers only. A valid EAD must be provided to use income for qualification.
- Borrowers who are residents of countries which participate in the Department of Homeland Security's Visa Waiver Program (VWP) will not be required to provide a valid visa. Participating countries can be verified through the U.S. Department of State website: <https://www.dhs.gov/visa-waiver-program-requirements>

DACA Applicant

Borrowers with current DACA status and valid work authorization are eligible for financing under the same requirements as a non-permanent resident.

- Must demonstrate at least two years of U.S. residency and employment history, along with a valid Social Security Number and established U.S. credit.
- Employment authorization must be verified using one of the following acceptable documents:
 - Form I-766 Employment Authorization Document (EAD) referencing Category C33



- The EAD must not expire within six months of the closing date.
- EADs subject to an automatic extension may be considered valid for up to 540 days.
- Form I-765 Application for Employment Authorization showing approval status in the Action Block (upper right-hand corner)
- Form I-797 (A, B, or C) evidencing approval status
- A copy of the borrower's passport is not required.

Entities

Properties vested in any of these manners are limited to Investment Business Purpose:

- Limited Liability Company (LLC)
- Partnership
- Corporation (CORP)

The following requirements must be met:

- For vesting entity, the purpose is for ownership and management of real estate.
 - All borrower(s) must execute the Occupancy Certification or similar form.
 - All borrower(s) must execute a Business Purpose & Occupancy Affidavit.
 - Guarantor(s) must be a managing member or majority owner as confirmed by the Operating Agreement (or equivalent) and have at least 25% ownership of the business entity. Said guarantor is subject to the same underwriting requirements as an individual borrower.
 - Personal Guaranty(s) required if note is not being signed individually (see signing example below) and must sign all closing documents and disclosures. All borrower(s) will be required to provide Personal Recourse.

The following entity documents are required:

- Articles of Incorporation
- Operating Agreement
- IRS Employer Identification Number (EIN) Letter
 - A CPA letter and Form W-9 may be accepted in lieu of an IRS EIN Letter
- Certificate of Good Standing, dated within 30 days of closing
- **Corporations:**
 - Filed Certificate/Articles of Incorporation
 - By-Laws and all amendments
 - Borrowing or Corporate resolution granting authority of signer to enter loan obligation
 - IRS Employer Identification Number (EIN) Letter
 - Certificate of Good Standing, dated within 30 days of closing
- **Limited Liability Company:**
 - Operating Agreement
 - Articles of Organization
 - Entity documents authorizing the guarantor to execute loan documents on behalf of the entity
 - IRS Employer Identification Number (EIN) Letter
 - Certificate of Good Standing, dated within 30 days of closing
- **Partnership:**
 - Filed Partnership certificate
 - Partnership agreement and all amendments
 - Limited partner consent
 - IRS Employer Identification Number (EIN) Letter
 - Certificate of Good Standing, dated within 30 days of closing



Additional Requirements

- Layered entities are permitted up to two layers when there is a single Guarantor of the top entity which is 100% owner / guarantor of bottom entity (title holder / borrower).
- Entities layered with a Trust are NOT eligible.
- Guideline requirements above must be met for each entity.
- Entity Signature Requirements:
 - The note must be signed by both the guarantor in their individual capacity and as member(s) and/or managing member of the entity. In cases where there will not be any individual capacity signatures, each applicable guarantor / manager must sign a Personal Guaranty in their individual capacity.
 - The Mortgage / Deed of Trust / security instrument should be signed by the applicable guarantor (s) of the entity in their capacity as member(s) and/or managing member of the entity.

Examples:

- Note: Phil Homeowner (Individual signature if person is not signing a Personal Guaranty) or Phil Homeowner, as member of 123 Enterprises, LLC
- Mortgage / Deed of Trust: Phil Homeowner, as member of 123 Enterprises, LLC

ITIN Borrower

Defined as individuals living and working in the U.S. with an **Individual Taxpayer Identification Number (ITIN)**, who are not U.S. citizens.

Eligibility Requirements include:

- A credit report for all ITIN borrowers
- Copy of ITIN card or IRS-issued letter assigning the ITIN to the borrower
- Unexpired government-issued photo ID (driver's license, passport, or visa)
- IRS form W7 alone is not acceptable if the ITIN letter is not provided, or if the ITIN letter submitted is not legible.

First Time Homebuyers

Not eligible for DSCR program.

Foreign National

A Foreign National is a non-resident alien who is not authorized to live or work in the United States.

- A Foreign National may periodically visit the U.S. for vacation or business purposes; however, the borrower's primary residence must be outside the U.S. This must be evidenced in the URLA Page 1 Current Address section.
- A Foreign National must provide a third-party document showing the foreign primary residence address, such as a lease agreement, utility bill, or financial statement.
- Automatic Payment Authorization (ACH) from a U.S. bank account is required and will be arranged at closing.
- For subject properties located in Florida, a Florida Foreign Interest Affidavit must be executed at closing.
- A copy of the borrower's foreign-issued passport is required.
- A visa is not required.



Inter Vivos Revocable Trust

General Eligibility

An Inter Vivos Revocable Trust is defined as a trust that:

- Is created by an individual during his or her lifetime;
- Takes effect while the creator is living; and
- Remains subject to amendment or revocation by the creator at any time during that person's life.

A clause that makes the trust irrevocable upon the death of a settlor or trustee does not disqualify the trust.

Trust and Trustee Requirements

- The trust must be established by one or more natural persons.
- The individual(s) establishing the trust must also be its primary beneficiary(ies).
 - In cases where there are joint settlors, more than one primary beneficiary is permitted, provided at least one settlor's income or assets are used for loan qualification.
- Trustees must consist of either:
 - One or more of the individuals who created the trust, OR
 - An institutional trustee authorized under state law and engaged in customary trust administration.
- Trustees must have legal authority to:
 - Hold title to the subject property; AND
 - Mortgage the property as collateral for the borrower's loan obligation.
- At least one settlor/trustee must contribute personal income and/or assets toward mortgage qualification.

Required Documentation

- A fully executed and notarized Certificate of Trust (or equivalent under state law)
- Other forms of trust documentation permitted by applicable state statutes.
- The documentation must confirm all the requirements below:
 - Trust is revocable.
 - The borrower serves both as settlor and trustee.
 - The borrower is the trust's primary beneficiary, when disclosed.
 - The trustee is legally qualified and expressly authorized under the trust and applicable law to encumber trust assets, including mortgaging the subject property.

Investor Experience

Investment properties are intended for *Professional Investors*, defined as borrowers with at least 12 months of documented experience owning and/or managing income-producing real estate within the most recent 36 months from the Note date.

Standard DSCR products

- "First Time Investors" who do not meet the above requirement may still be eligible if all of the following are met:
 - DSCR is $\geq .75$
 - Minimum 700 FICO
 - 12 months reserves
 - Verified 12-month housing payment history on primary residence

Refer to the applicable product matrix for additional requirements.



Ineligible Borrowers

Planet will not purchase loans that have been made to any of the following borrower types:

- First Time Homebuyer
- Irrevocable or Blind Trusts
- Layered Entity with a Trust
- Land Trusts
- Non-profit organizations
- Borrowers with diplomatic immunity
- Self-employed borrower deriving their income from any Cannabis related business
- Borrowers(s) with residence of any country not permitted to conduct business with U.S. Companies as determined by U.S. government authority
- Borrowers under legal guardianship, custodianships, or who are minors
- Estate-Owned Properties (title must be vested into an eligible individual or entity prior to closing)
- Employees of Planet's Correspondent Sellers

Credit

Credit Report Information

A tri-merged credit report reflecting data from all three credit repositories is required. Credit freezes are not permitted on any bureau file.

Any new credit scores must be reviewed for qualifications

Credit Qualification

Foreign National

- No Minimum FICO requirements
- A U.S. credit report should be obtained for each Foreign National borrower with a valid Social Security Number (SSN).
 - If borrower has established US Credit, a 680 FICO is required.
 - For borrowers without a valid Social Security Number, an Individual Taxpayer Identification Number (ITIN) is also allowed.
 - An ITIN is acceptable if the borrower has the ITIN for the purpose of reporting taxes from passive income sources and is not employed in the U.S.
- Foreign Nationals who do not have a valid SSN or ITIN may still proceed under the Foreign National program with all other requirements still applicable:
 - Three open accounts with a two-year history reflecting no late payments.
 - Mortgage and/or rental payment must be verified with a 12-month history not to exceed 0x30 in the past 12 months
 - A two-year housing history can be used as a tradeline
 - U.S. credit accounts can be combined with letters of reference from verifiable financial institutions in a foreign country to establish three open accounts. If letters are obtained, they must:
 - State the type and length of relationship, how the account(s) are held, and the status of the account(s)
 - Contain contact information for the person(s) signing the letter(s)
 - Any translation required must be signed and dated by a certified translator



ITIN

Borrower Classification

An ITIN borrower is defined as an individual who:

- Resides in the United States
- Is employed or conducting business in the U.S.
- Uses an Individual Taxpayer Identification Number (ITIN) in place of a Social Security Number
- Is not considered a Foreign National

NOTE: Foreign Nationals with an ITIN do not qualify under the Foreign National DSCR program and must be evaluated exclusively under the ITIN DSCR Program.

Credit Framework

ITIN borrowers must qualify only under the ITIN DSCR credit framework and may not be evaluated using Foreign National Credit standards.

Credit requirements:

- A U.S. Credit report is required.
- Minimum of three open tradelines with a satisfactory two-year history.
- Twelve months verified payment history, not to exceed 0x30.
- A two-year housing history can be used as a tradeline.
- U.S. credit tradelines must be used when available.

Foreign Credit Usage

Accounts can be combined with letters of reference from verifiable financial institutions in a foreign country to establish three open accounts. If letters are obtained, they must:

- State the type and length of relationship, how the account(s) are held, and the status of the account(s).
- Contain contact information for the person(s) signing the letter(s).
- Any translation required must be signed and dated by a certified translator.

Credit Eligibility

For all requirements, see Planet Non-Agency Program Guidelines > ["Credit Eligibility" on page 496](#).

Credit Events

The seasoning period is determined from the date of the last delinquency to the Note date.

- 3 years since Bankruptcy & Housing Event Seasoning
- 2 years permitted with 5% LTV reduction

For additional requirements, see Planet Non-Agency Program Guidelines > ["Credit Events" on page 497](#).

Housing History

Twelve months of housing history is required for all occupancy types. VOM/VOR is required only for the subject property (if a refinance) and the borrower's primary residence.



Delayed Financing

For all requirements, see Planet Non-Agency Program Guidelines > ["Delayed Financing" on page 500.](#)

Documentation Analysis

- DSCR Calculation:
 - Fully Amortized Loans: $\text{DSCR} = \text{Gross Rent} \div \text{PITIA}$
 - Interest Only Loans: $\text{DSCR} = \text{Gross Rent} \div \text{ITIA}$
- Minimum DSCR thresholds (See Matrices for LTVs):
 - $\text{DSCR} \geq 1.00$ - Minimum FICO 640
 - $\text{DSCR} \geq 0.75$ - Minimum FICO 660
 - $\text{DSCR} < 0.75$ - Minimum FICO 660, not eligible for Interest-Only
- Restrictions:
 - Non-Arm's Length Transactions: 5% LTV reduction
 - Non-Permanent Resident Aliens and DACA borrowers capped at 75% LTV
- Short-Term Rentals:
 - Must be typical/common for area per appraisal.
 - For purchases, use the lower of market rent from appraisal or verified 12-month history (if available).
 - For refinances, a 12-month Short-Term Rental history is required
- Vacant Properties:
 - Not eligible for refinance transactions unless recently renovated with market rent documented in appraisal.

Documentation Requirements

No personal income documentation is required (payslips, W-2s, tax returns are not applicable).

- Rental Income Evidence:
 - Executed lease agreement(s)
 - Market rent from appraisal (Form 1007)
- Short-Term Rentals (STR):
 - Minimum 12 months rental history (for refinances)
 - Acceptable sources: AirDNA, VRBO, Airbnb, HomeAway, etc.
- Additional Property Docs:
 - Proof of property insurance, taxes, and HOA (if applicable)

Escrows

For all requirements, see Planet Non-Agency Program Guidelines > ["Escrows" on page 503.](#)

Financed Properties

Without an approved exception, Planet's exposure is limited to the lesser of \$7.5 million or 10 financed properties. With an approved exception, financing may be increased to the lesser of \$15 million or 20 financed properties, provided at least two compensating factors are documented in the loan file.

Fraud

A fraud prevention report is required from DataVerify, Cotality (Core Logic), SAS or a similar reporting vendor. All High/Red Alerts must be resolved, with appropriate supporting documentation submitted.



Geographic Restrictions

The following US territories are not eligible:

- American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and US Virgin Islands

The following City has restrictions:

- Baltimore City: Primary and Second Home only

Insurance Requirements

For all requirements, see Planet Non-Agency Program Guidelines > ["Insurance Requirements" on page 514](#).

Liabilities

Solar Leases

- Must conform to Fannie Mae requirements, see [B2-3-04, Special Property Eligibility Considerations > Properties with Solar Panels](#).

Loan Amount

Program	Minimum	Maximum
DSCR	\$125,000	\$3,500,000
DSCR Foreign National		\$3,000,000
DSCR - ITIN		\$1,000,000

Loan-to-Value (LTV) Determination

For purposes of determining LTV/CLTV/HCLTV, the values are established as follows:

Purchase

- LTV is calculated using the lesser of the purchase price or the appraised value.

Rate/Term Refinance

- LTV is calculated on the current appraised value.

Cash-Out Refinance

- If acquired between six to 12 months or more prior to the Note date, use current appraised value.
- If the property has been acquired between three and six months prior to the Note date, use the lower of the As-Is Appraised Value and Purchase Price plus the Documented Improvements.
 - If the qualifying FICO is ≥ 700 , use the As-Is Appraised Value with an LTV limit of 70% and a loan amount limited to Purchase Price plus Documented Improvements.
 - Appraisal must specifically address in appraisal report justification for any significant increase in value.
- If property has been acquired less than 3 months from the Note date, use the lower of As-Is Appraised Value or Purchase Price plus the Documented Improvements



LTV Restrictions

- **Condo - Non-Warrantable:** 75% Max LTV Purchase / 70% Max LTV Refinance
- **Condotel:** 75% Max LTV Purchase / 65% Max LTV Refinance
- **DACA Recipients:** 75% Max LTV
- **Declining Market (per appraisal):** Minimum 5% LTV reduction
- **Non-Arm's Length:** 5% LTV reduction from otherwise available maximum
- **Short Term Rental:** 75% Max LTV Purchase / 70% Max LTV Refinance
- **Vacant Unit(s):** 70% Max LTV Refinance

Occupancy Eligibility

A non-owner occupied (investment) property is a dwelling used to generate income and is not occupied by the borrower or any member of the borrower's family.

Requirements

- The property's occupancy designation must indicate investment use (the borrower does not reside in the subject property).
- All borrower(s) must complete and sign an Occupancy Certification or equivalent form.
- For Rate/Term or Cash-Out Refinance the borrower must acknowledge that the loan is for business purposes by signing the Business Purpose & Occupancy Affidavit
- For loans with a guarantor, each guarantor must execute a Personal Guaranty Agreement.

Restrictions

- Rural properties in excess of 20 acres are ineligible.
- Gift funds are prohibited on non-owner-occupied transactions with LTV/CLTV exceeding 80%.
- Primary residence or second home transactions not permitted.

Occupancy Risk Indicators

- The subject property's value substantially exceeds that of the borrower's primary residence.
- The borrower is a first-time homebuyer and currently resides rent-free or rents their primary residence.
- The subject property could reasonably serve as a second home.
- Borrower documentation reflects the subject property as their current residence.

Power of Attorney

For all requirements, see Planet Non-Agency Program Guidelines > ["Power of Attorney" on page 519](#).

Prepayment Penalties

NOTE: Nothing in this section in any way limits the representations and warranties agreed between the parties, including as to any interpretation of applicable law. This information does not constitute legal advice. Please consult with qualified legal counsel for guidance specific to your loan scenarios.

Where permitted by applicable laws and regulations on an investment property, a prepayment charge may be assessed in the period between zero and five years following the execution date of the note.



Prepayment Penalty Restrictions

NOTE: Certain states impose disclosure requirements when charging a PPP on a business or commercial purpose loan.

Occupancy: Investment Properties Only

Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
Alabama	Permitted		Permitted	
Alaska	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.
Arizona	Permitted		Permitted	
Arkansas	Permitted		Permitted	
California	Permitted		Permitted	
Colorado	Permitted		Permitted	
Connecticut	Permitted		Permitted	
Delaware	Permitted		Permitted	
District of Columbia	Permitted		Permitted	
Florida	Permitted		Permitted	
Georgia	Permitted		Permitted	
Hawaii	Permitted		Permitted	
Idaho	Permitted		Permitted	
Illinois	Not Permitted	Prepayment penalties are prohibited on business purpose loans made to a natural person or vested to a natural person.	Permitted	
Indiana	Permitted		Permitted	
Iowa	Permitted		Permitted	
Kansas	Not Permitted	Business purpose loans originated on or after July 1, 2026, may include a	Not Permitted	Business purpose loans originated on or after July 1, 2026, may include a



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
		prepayment penalty.		prepayment penalty.
Kentucky	Permitted		Permitted	
Louisiana	Permitted		Permitted	
Maine	Permitted		Permitted	
Maryland	Permitted, but restricted.	Restricted prepayment penalties within the first 3 years not to exceed 2 months of interest (aggregate of all prepayments in 12-month period in excess of 1/3 of original loan amount) for loans secured by 1-4 unit investment properties.	Permitted, but restricted.	Restricted prepayment penalties within the first 3 years not to exceed 2 months of interest (aggregate of all prepayments in 12-month period in excess of 1/3 of original loan amount) for loans secured by 1-4 unit investment properties.
Massachusetts	Permitted		Permitted	
Michigan	Permitted, but restricted.	Restricted to 1% penalty for the amount prepaid within the first 3 years. No penalty permitted thereafter.	Permitted, but restricted.	Restricted to 1% penalty for the amount prepaid within the first 3 years. No penalty permitted thereafter.
Minnesota	Not Permitted	Investment purpose purchase money, first lien, and DSCR loans that are not occupied by the borrower/guarantor/cosigner or seller after the sale may include a prepayment penalty if originated on or after August 1, 2026.	Not Permitted	Investment purpose purchase money, first lien, and DSCR loans that are not occupied by the borrower/guarantor/cosigner or seller after the sale may include a prepayment penalty if originated on or after August 1, 2026.
Mississippi	Permitted, but restricted.	Permissible maximum penalty of 5% in year 1, 4% in year 2, 3% in year 3, 2% in year 4, and 1% in year 5. No prepayment penalty may be charged for payments made more than 5 years from the date of the note.	Permitted, but restricted.	Permissible maximum penalty of 5% in year 1, 4% in year 2, 3% in year 3, 2% in year 4, and 1% in year 5. No prepayment penalty may be charged for payments made more than 5 years from the date of the note.
Missouri	Permitted		Permitted	



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
Montana	Permitted		Permitted	
Nebraska	Permitted		Permitted	
Nevada	Permitted		Permitted	
New Hampshire	Permitted		Permitted	
New Jersey	Not Permitted	Prepayment penalties are prohibited on business purpose loans made to a natural person.	Permitted for corporations borrowers. For LLCs and other non-corporate entity borrowers, prepayment penalties are permitted if the loan is clearly business purpose (with an affidavit to that effect) and the property is non-owner occupied. ¹	Prepayment penalty restrictions do not apply to borrowing entities that are corporations (i.e., C-Corp and S-Corp). LLC borrowers do not appear to qualify under the commercial exclusion for statutory prepayment restrictions. As such, LLC borrowers for mortgage loans with interest rates more than 6% are prohibited from imposing a prepayment penalty.
New Mexico	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.	Not Permitted	Prepayment penalties are not permitted on loans secured by 1-4 unit investment properties.
New York	Permitted		Permitted	
North Carolina	Permitted		Permitted	
North Dakota	Permitted		Permitted	
Ohio	Permitted, but restricted.	Restrictions apply to mortgage loans secured by residential properties containing two or fewer units.	Permitted, but restricted.	Restrictions apply to mortgage loans secured by residential properties containing two or fewer units.



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
		For such loans less than \$116,356, no prepayment penalty allowed. For such loans greater than or equal to \$116,356, maximum prepayment charge of 1% with maximum prepayment period of 5 years. 3+ unit properties have no restrictions. Standard PPP would apply.		For such loans less than \$116,356, no prepayment penalty allowed. For such loans greater than or equal to \$116,356, maximum prepayment charge of 1% with maximum prepayment period of 5 years. 3+ unit properties have no restrictions. Standard PPP would apply.
Oklahoma	Permitted		Permitted	
Oregon	Permitted		Permitted	
Pennsylvania	Permitted, but restricted	Prohibited for loans secured by 1-2 unit properties if the loan amount is less than \$329,411. Note this amount is updated annually.	Permitted, but restricted	Prohibited for loans secured by 1-2 unit properties if the loan amount is less than \$329,411. Note this amount is updated annually.
Rhode Island	Permitted, but restricted.	First year of prepayment, the penalty is restricted to 2% of unpaid principal balance for purchase loans on 1-4 unit dwellings. 60 month maximum prepayment penalty period for all nonpurchase loans.	Permitted, but restricted.	First year of prepayment, the penalty is restricted to 2% of unpaid principal balance for purchase loans on 1-4 unit dwellings. 60 month maximum prepayment penalty period for all nonpurchase loans.
South Carolina	Permitted		Permitted	
South Dakota	Permitted		Permitted	
Tennessee	Permitted		Permitted	
Texas	Permitted		Permitted	
Utah	Permitted		Permitted	
Vermont	Not Permitted		Not Permitted	
Virginia	Permitted, but restricted.	For loans under \$75,000, prepayment penalties are restricted to a maximum of	Permitted, but restricted.	For loans under \$75,000, prepayment penalties are restricted to a maximum of



Natural Person Borrowers			Entity Borrowers	
State	Permitted / Not Permitted	Restriction	Permitted / Not Permitted	Restriction
		1% of the unpaid principal balance.		1% of the unpaid principal balance.
Washington	Permitted		Permitted	
West Virginia	Permitted		Permitted	
Wisconsin	Permitted		Permitted	
Wyoming	Permitted		Permitted	

¹ Planet believes this to be a reasonable interpretation of currently unsettled law widely perceived by the industry and secondary market as the appropriate interpretation of the statute.

Prepayment Penalties Structures

All prepayment penalties are required to apply to both sale and refinance. The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge also applies to loans that are paid off due to a sale or refinance.

The applicable prepayment structures may be applied based on selection at time of lock:

- **Six months of interest:** The prepayment charge is six months' interest on any amount exceeding 20% of the original principal balance, including payoffs or curtailments within a 12 month period.
- **A fixed percentage of no less than 3% or maximum allowed by State:** The prepayment charge is a fixed percentage applied to any curtailment or the full outstanding principal balance during the prepayment period.
- **Sliding Scale (step-down structure):** Does not exceed 5% and does not drop below 3% in the first 3 years.
For example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%)

States may impose different definitions of points and fees, rate/APR, or prepayment penalties that differ from those under HOEPA. States may also use different triggers for determining "high-cost" status. As a matter of policy, Planet does not purchase loans defined as high-cost mortgages (or equivalent terms) under Federal or state law, regardless of the basis.

Product Eligibility

	15 YF	20 YF	25 YF	30 YF	30 YF IO	40 YF IO	5/6 SOFR	7/6 SOFR	10/6 SOFR
DSCR	✓			✓	✓	✓	✓	✓	✓
DSCR – FN	✓			✓	✓				
DSCR – ITIN	✓			✓	✓	✓	✓	✓	✓



Fixed Rate

- **Fully Amortizing:** 15-year, 20-year, 25-year, & 30-year
- **Interest Only (IO):**
 - 30-year IO = (360 Term = 120 Interest Only + 240 Amortizing)
 - 40-year IO = (480 Term = 120 Interest Only + 360 Amortizing)

Adjustable Rate

- **5/6 SOFR ARM, 7/6 SOFR ARM, 10/6 SOFR ARM**
 - Index: 30-day Average SOFR as published by the New York Federal Reserve
 - Margin: Per the requirements detailed in the applicable Program Matrices
 - ARM Floor: Equal to the loan's initial margin
 - Reset Period: Every six months after the initial fixed period
 - Caps (Initial / Periodic / Lifetime):
 - 5/6 ARM: 2 / 1 / 5
 - 7/6 ARM: 5 / 1 / 5
 - 10/6 ARM: 5 / 1 / 5
- Qualification Rate:
 - Qualify at the greater of the Fully Indexed Rate or the Note Rate
- **Interest Only:** ARM products are not eligible for Interest-Only features

Property

Eligible Property Types

- One-Unit Single Family Residences (Attached, Detached and Modular)
- Single Family Residences with ADU (Accessory Unit Dwelling)
 - Must comply with all Fannie Mae requirements and restrictions, see [B2-3-04, Special Property Eligibility Considerations > Accessory Dwelling Units](#).
- 2–4 Unit Properties
- PUDs
- Maximum of 20 acres
- Declining Properties with a 5% LTV reduction
- Rural Properties (ineligible in excess of 20 acres)
- Condominiums
 - Warrantable condos (Fannie Mae Approved)
 - Non-warrantable condos
 - Detached site condos (treated as SFR)
 - Two- to four-unit condo projects
- Condotels

Rural Properties

- Not eligible if more than 20 acres.
- Properties are considered rural if the appraisal notes the following:
 - The neighborhood is less than 25% built-up.
 - The area around the subject is zoned agricultural.
 - The photographs of the subject show a dirt road.
 - Comparables are more than five miles away from the subject property.
 - Subject property and/or comparables have lot sizes greater than 10 acres.
 - Subject property and/or comparables have outbuilding or large storage sheds.



- Rural properties must comply with the following criteria:
 - The primary use must be residential.
 - The property must not be agricultural, or otherwise providing a source of income to the borrower or for the subject loan.
 - The lot size and acreage must be typical for the area and similar to the surrounding properties.
 - The maximum acreage allowed is 20 acres.
 - The present use must be the "highest and best use" for the subject property.
 - The condition, quality and use of outbuildings may be considered in determining the market value of the subject property when the appraiser clearly supports the adjustments with similar comparable information.
 - Subject property cannot be subject to any idle acreage tax benefit or other tax incentive program.

Condominiums

Condotel

Condoteles are projects where units are individually owned and offer hotel-style amenities, with rentals available on a daily, weekly, or monthly basis. Hotel amenities may include on-site registration, housekeeping, and other hospitality services.

- Classified as Non-Warrantable
- Minimum unit size: 500 sq. ft.
- A fully functioning kitchen is required, including at minimum a refrigerator and cooktop/stove/oven
- A separate bedroom is required

Florida Condo Projects

- Projects subject to Florida SB-4D requirements will need Structural Integrity Reserve Studies and Milestone Structural Inspections subject to all state requirements.
- These properties will be considered on a case-by-case basis and will require an exception approval and pricing review.

Warrantable Condo: Must meet Fannie Mae warrantable requirements.

Non-Warrantable Condo

- All non-warrantable condo loans require an Enterprise Condo Desk review and acceptance prior to purchase. Projects with multiple non-warrantable characteristics or health or safety concerns require an exception from Credit Risk Management.
- Detached (site) condos may be underwritten using SFR guidelines.

Restrictions – Non-Warrantable Condos

- Multiple non-warrantable features may not be combined.
- No single owner/entity may own more than 30% of project units.
- Commercial space must:
 - Be typical for the market
 - Have no negative impact
 - Comprise $\leq 49\%$ of project space
- Investor concentration may not exceed 70%.
- No more than 25% of total units may be 60+ days past due on HOA dues.
- Adequate flood insurance is required if the project is in a designated flood zone.
- Borrower must carry HO-6 coverage for interior replacement unless the HOA provides all-in coverage.
- Project documents may not grant priority rights over the first mortgagee (e.g., right of first refusal).
- Mandatory dues are not permitted.



- All common areas must be 100% complete.
- HOA must be in control. Projects under builder/developer control may be considered case-by-case, subject to exception approval and pricing review.
- HOA reserves must equal or exceed 10% - no exceptions.

Detached (site) condo units: May be underwritten using SFR LTV/CLTV guidelines.

Two-to-four-unit condominium projects

- 2-4 unit projects that permit a priority lien for unpaid common expenses in excess of Fannie Mae's priority lien limitations are ineligible.
- The standard insurance requirements apply.

Projects in Litigation

Acceptable only if all of the following apply:

- Litigation is not structural in nature.
- Litigation does not impair marketability of units.
- Potential damages do not exceed 25% of HOA reserves, or adequate coverage is confirmed by the insurance carrier/HOA attorney.

Ineligible Property Types

Category	Restricted Property Types / Conditions
Manufactured / Unique Structures	▪ Manufactured homes ▪ Log homes ▪ Earth berm homes ▪ Geodesic domes ▪ Houseboats
Condominiums / Ownership Structures	▪ Condominium projects with registration services or occupancy restrictions ▪ Cooperatives (CO-OPs) - unless owner-occupied and meeting Fannie Mae requirements ▪ Fractional ownership / timeshares ▪ Live/work condominiums ▪ Leasehold Properties
Land Use / Zoning Restrictions	▪ Mixed-use properties (legal ADU acceptable, limited to one) ▪ Agricultural-zoned properties (may be considered case-by-case) ▪ Zoning violations ▪ Working farms ▪ Properties used for cultivation, distribution, manufacture, or sale of marijuana
Property Type / Occupancy Limitations	▪ Residential units with 5 or more units ▪ Builder model leasebacks ▪ Boarding houses ▪ Group homes ▪ Assisted living / continuing care facilities ▪ Mandatory country club membership properties ▪ Theme Park resort properties



Category	Restricted Property Types / Conditions
Property Condition	- Properties with unpermitted additions - Properties under construction - Multiple dwellings on the same lot (except one legal ADU) - Properties with appraisal condition grades C5 or C6
Other Restrictions	- Hawaii properties located in lava zones 1 or 2 - Homes located on Native American land (reservations)

Property Flips

For all requirements, see Planet Non-Agency Program Guidelines > ["Property Flips" on page 527](#).

Qualifying Income

- Gross Rental Income is equal to the lower of:
 - Executed lease agreement
 - Market rent from appraisal (Form 1007)
- Lease income may be used if higher than the appraisal; however, it must be supported by three months rent receipts.
- For Short-Term Rentals:
 - Income is based on actual 12 month rental history (refinances)
 - Market rent (purchases/new construction)

Reliance Letter

A Reliance Letter, also known as a Third-Party Review (TPR), from an acceptable TPR firm is required for all Non-Agency loans.

Acceptable TPR Firms include:

- Canopy Financial Technology Partners, LLC
- Clarifii
- Consolidated Analytics
- Selene Diligence LLC
- Situs/DynAMC Solutions

The Reliance Letter must meet all of the following criteria:

- Must be provided by an acceptable Planet TPR Firm
- A grade of "B" or higher is required at the time the Reliance Letter is issued
- Must be specific to the subject loan and permit Planet to rely on the third-party analysis or review performed
- Must comply with all applicable Non-QM underwriting, documentation, and investor requirements

Reliance Letters are not acceptable if:

- Issued by a TPR Firm with a grading below "B"
- Issued by a firm not approved by Planet

Reserves

- Reserves are calculated off actual P&I payment plus taxes, insurance, and HOA fees (PITIA) for the subject property.
- Reserves for an Interest Only (IO) loan will be based on the initial Interest Only payment (ITIA) for the



subject property.

- Reserves are required only for the subject property; additional financed properties do not require reserves.

Reserve Requirements	
Subject Loan Amount	Required Reserves
\$125,000 – \$500,000	3 months
\$500,001 – \$1,000,000	6 months
\$1,000,001 – \$2,000,000	9 months
\$2,000,001 – \$3,500,000	12 months
Additional Financed Properties	None
Cash-Out Used as Reserves	Allowable

Subordinate Financing

Subordinate financing prohibited on DSCR transactions.

Temporary Interest Rate Buydowns

Not permitted

Transaction Eligibility

For additional requirements, see Planet Non-Agency Program Guidelines > ["Transaction Eligibility" on page 530](#).

Property Buyouts and Inherited Properties

Inherited properties and property buyouts are eligible subject to the DSCR program matrix. Additional restrictions may apply.

Ineligible Transactions

- Construction Loans
- Builder Bailout and Model leasebacks
- Conversion Loans
- Land Contract / Contract for Deed
- Rent Credits
- Non-Arm's Length
- Leaseholds
- Lease Option

Underwriter Analysis

For all requirements, see Planet Non-Agency Program Guidelines > ["Underwriter Analysis" on page 533](#).



Planet Non-QM HELOAN 2nd Lien Program Guidelines

Age of Documentation

The age of credit report, employment, income, and asset documentation cannot exceed 120 days from the note date.

Applicants

Eligible

- U.S. citizens
- Permanent resident aliens
 - Permanent Resident Aliens with an Alien Registration Card (Green Card) are eligible for financing with the same terms as U.S. Citizens. A Permanent Resident Alien is someone who is:
 - Not a United States (U.S.) citizen;
 - Employed in the U.S.; and
 - A lawful permanent resident of the U.S. (Green Card Holder).
 - If the applicant is a permanent resident alien, the loan file must contain evidence of lawful permanent residency.
- Non-permanent resident aliens
 - A Non-Permanent Resident Alien is someone who is:
 - Not a United States (U.S.) citizen;
 - Granted the right to live and work in the U.S. on a temporary basis; and
 - A lawful non-permanent resident of the U.S. (Visa Holder).
 - If the Applicant is a Non-Permanent Resident Alien, the file must contain evidence of lawful residency. Applicants who are Non-Permanent Resident Aliens and provide evidence of lawful residency are eligible for financing with the same terms as U.S. Citizens.
 - An applicant with an expired, but otherwise acceptable Visa type, is permitted with supporting documentation. Supporting documentation include, but not limited to:
 - Form I-797 which is issued when an application or petition is approved;
 - Form I-797C or I-797E which must not state that the application has been declined;
 - Application for extension of current visa I-539 (or equivalent) or copy of application for green card I-485 (or equivalent) and electronic verification of receipt from the USCIS web site;
 - If the applicant is sponsored by the employer, the employer may verify that they are sponsoring the Visa renewal;
 - In lieu of a Visa, an Unexpired Employment Authorization Document (EAD), or I-94 or I-797; and a letter from the employer or a verification of employment reflecting continuance is likely are required;
 - Deferred Action for Childhood Arrivals (DACA) approval.
- Non-occupying co-applicants
- Foreign Nationals (individuals who primarily live and work outside of the US; do not include Non-Permanent Resident Aliens)



Ineligible

- LLC, Corporation, or Partnership
- Applicants with diplomatic immunity or otherwise excluded from US jurisdiction
- Applicants whose income is not likely to continue for at least three years

Appraisals

Loan Amount	Primary Valuation Product	Age of Document
≤\$400,000	AVM	2 months prior to the note date
	Exterior-only appraisal	4 months prior to the note date
	Full Appraisal	12 months prior to the note date
>\$400,001	Full Appraisal	12 months prior to the note date

Valuation Requirements for Loan Amounts ≤ \$250,000

- One of the following is required:
 - Automated Valuation Model (AVM)
 - Exterior-only Appraisal
 - Full Appraisal
- If using an AVM, all the following requirements apply:
 - Must be dated no more than two months prior to the note date.
Example: An AVM pulled on February 1st is good through April 1st
 - Must have a confidence score ≥ 0.80 or forecasted standard deviation (FSD) ≤ 0.20 .

Valuation Requirements for Loan Amounts > \$250,001 - ≤ \$400,000

- One of the following is required:
 - Automated Valuation Model (AVM)
 - Exterior-only Appraisal
 - Full Appraisal
- If using an AVM, all the following requirements apply:
 - Must be dated no more than two months prior to the note date.
Example: An AVM pulled on February 1st is good through April 1st
- Must have a confidence score ≥ 0.90 and a Property Condition Inspection from:
 - Clear Capital
 - Collateral Analytics
 - CoreLogic
 - HouseCanary
 - Quantarium
 - Veros
- If LTV/CLTV is $\leq 70\%$, an exterior-only appraisal may be used

Valuation Requirements for Loan Amounts > \$250,000 or HPML

- A full appraisal must meet the following:
 - A full FIRREA compliant appraisal completed within 4 months of the note date.
 - An appraisal update is acceptable if completed within 12 months of the note date and meets or exceeds its original value.
 - A new appraisal will be required if the original appraisal was completed greater than 12 months from the note date.



- A prior full appraisal completed within 12 months of the note date may be used if both of the following requirements are met:
 - The above full appraisal criteria are met.
 - Planet was the originator of the 1st lien.
- If declining markets are noted on the appraisal, the maximum CLTV is limited to 75%

FEMA Disasters occurring within the 12 months prior to origination require:

- A Post Disaster Inspection (PDI) report is required for properties located in a FEMA disaster area within 12 months prior to the origination data.
- The PDI report must sufficiently identify the subject property is unaffected by the most recent declared disaster activity.
- Valuation products that otherwise identify the above may be substituted in lieu.

Assets - Reserves

Reserves are not required.

AUS

Manual underwrite only.

Available Products

Fixed Rate: 10-, 15-, 20-, 25-, and 30-year fully amortizing

- Interest must accrue on 30/360 method.
- 30 days in each month and 360 days within the year, unless otherwise required by state law.
- Loans originated as Daily Simple Interest (DSI) are ineligible unless otherwise required by state law.

Credit

Credit Report

- Each borrower's credit profile must include a minimum of three tradelines within the last 12 months or two tradelines within the last 24 months all with activity in the last 12 months, or a combined credit profile between borrower and co-borrower with a minimum of three tradelines.
- The representative credit score must be used in qualifying. The representative credit score is the middle of 3 FICO scores, or the lower of 2. When multiple applicants exist, the primary wage-earner's score must be used. Non-traditional credit is ineligible.

Mortgage Payment History

- A mortgage payment is considered current if it is paid within the month due along with any late charges assessed for payments made beyond the 15-day grace period. A letter of explanation and supporting documentation is required when payments are made beyond the month due.
- Payment history on any property, regardless of occupancy, is considered mortgage credit. Payment histories on all mortgage tradelines, including first and second mortgage liens, HELOCs, mobile homes, and manufactured homes are considered mortgage credit, even if reported as an installment loan. Loans on timeshares are considered installment loans.
- No late payments in the past six months are permitted.
- No more than one 30 days past due payment in the last 24 months (1x30x24) are permitted.



Derogatory Credit

- Follow Fannie Mae guidance regarding Bankruptcy, Foreclosure, and Short Sale requirements. See [FNMA Section B3-5.3](#).
- All judgments and tax liens must be paid at or prior to close.
- Open charge-offs or collections < \$1,000 per occurrence are allowed.
- No delinquent tradelines can be present at time of closing.
- Open Medical collections < \$1,000 per occurrence are allowed.
- Credit Event Seasoning: 48 months since a Foreclosure, short-sale, deed in lieu or a bankruptcy. No multiple events in last seven years.
- Modification or forbearance with missed payments must be at least four years aged or two years aged in certain circumstances.

Seasoning Requirements

- If property is owned for greater than six months there are no seasoning requirements.
- If property is owned for less than six months it is ineligible for refinance.
- If less than six months have passed since the previous refinance on either the 1st lien or 2nd lien the maximum allowed CLTV is 80%.

Disputed Accounts

- Disputed accounts are reviewed to determine current balance and payment history (30 day or more delinquency)
- The following will determine whether the disputed tradeline must be resolved, and a new credit report run prior to loan submission (credit supplements are not permitted to document disputed accounts):
 - No disputed information: no action required
 - Disputed information: remove and pull new credit report when the disputed account has a Date of Last Activity (DLA) within 12 months of the credit report date.
 - Disputed medical collections do not need to be removed.

DTI

- Maximum 50%

Employment and Income

A verified two-year employment history is required for all borrowers, regardless of employment type.

- Salaried, variable, and secondary employment income:
 - WVOE covering the most recent two-year period, OR
 - The applicant's most recent paystub and W-2 forms or transcripts covering the most recent 2-year period, AND
 - VVOE or Paystub dated within 10 business days of closing.
 - WVOE dated within 10 business days of closing does not require additional income verification prior to closing.
 - Variable and secondary income to be documented.
- Self-employed:
 - 2 year's signed tax returns, AND
 - Verification of existence of business within six calendar days of close by third party CPA, regulatory agency, applicable licensing bureau, or verifying phone using telephone book, internet, or directory assistance.



Financed Properties

Without an approved exception, loans are limited to the lesser of \$7.5 million or 10 financed properties. With an approved exception, financing may be increased to the lesser of \$15 million or 20 financed properties, provided at least two compensating factors are documented in the loan file.

Geographic Restrictions

The following States, U.S. Territories, and state-specific transactions are ineligible:

- District of Columbia
- Iowa
- New York
- Rhode Island
- American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and US Virgin Islands

Insurance

Replacement Cost Estimate

- A Replacement Cost Estimate (RCE) is only required when necessary to confirm that the property has sufficient insurance coverage, and no appraisal is available.
- In the absence of a replacement cost included in the valuation product, the valuation itself (e.g., AVM, BPO) may be used as the replacement cost.
- The following items may be accepted in lieu of a replacement cost value within the valuation product:
 - A Replacement Cost Estimator (RCE) provided by the insurance company
 - An insurer's coverage checklist (Florida only)

Insurance Coverage Requirements

- Coverage must be equal to the lesser of:
 - The replacement cost from the property appraisal, or
 - The sum of the principal balance of the first lien and the second lien combined.

NOTE: Planet Home Lending, LLC must be listed as the second lien holder.

Flood Insurance Requirements

- Must comply with the Flood Disaster Protection Act; and
- Life-of-loan flood certificate must be obtained

Lien Eligibility Requirements

- At least one applicant must have held title to the subject property for at least six months prior to the disbursement of the new loan.
- Properties that are owned free and clear (no existing liens) are not eligible.
- 1st lien mortgages with negative amortization, balloon notes or features, reverse mortgages, and simultaneous 1st and 2nd mortgages are ineligible.
- Properties that have been listed for sale within the last six months are not eligible.

Second Lien

- HELOAN must be in the second lien position.
- All property-related debt must be included in the Combined Loan-to-Value (CLTV) to qualify — no



exceptions.

- Any existing liens that will remain open must be included in the CLTV calculation.

Subordinate Third Lien

- Permitted.
- Must be included in the CLTV if the lien is to remain open post-close.

LTV / CLTV / HCLTV

See the HELOAN Program Eligibility Matrix.

Loan Amount

- **Minimum loan amount:** \$25,000
- **Maximum loan amount:** \$800,000

Occupancy

- Primary residence (1-4 unit)
- Second home (1-unit only)
- Investment property (1-4 unit)

Properties

Eligible

- Single Family Residence (SFR) (Rural properties limited to 80%)
- 2-4 unit attached or detached (75% CLTV Owner Occupied, 70% CLTV Non-Owner Occupied)
- Planned Unit Development (PUD)
- Fannie Mae Approved Condo (Maximum 75% CLTV Owner Occupied, 70% CLTV Non-Owner Occupied)
- Modular Home (Factory Built)
- Manufactured Home (double-wide and triple-wide) – Primary residence only
- If the property has been listed for sale for the last six or longer it is eligible for refinance

Ineligible

- Properties listed for sale within the last six months
- Condotels
- Unique properties (such as log homes)
- Properties with more than 10 acres
- Singlewide Manufactured homes
- Mobile homes
- Leaseholds
- Unimproved land
- Cooperatives
- Non-warrantable condominiums
- Commercial, farms/working farms, churches, and mixed-use commercial

Manufactured Housing

The manufactured home and the land on which it is situated must be titled as real property.



Any dwelling unit built on a permanent chassis and attached to a permanent foundation system is a manufactured home for purposes of these guidelines.

Mortgage loans secured by manufactured homes that meet the following general criteria:

- Home must have the HUD Certification Label affixed, or a letter of label verification issued on HUD's behalf
- Must evidence construction on or after June 15, 1976, in compliance with the Federal Manufactured Home Construction and Safety Standards (FMHCSS)
- Second-lien mortgages only
- Fully amortizing fixed-rate mortgages
- Principal *primary* residences
- Double and triple-wide eligible for principal primary residence

Ineligible Manufactured Housing Criteria

The following are ineligible for mortgage loans secured by manufactured homes:

- Temporary buydowns
- Second homes
- Investment properties
- Singlewide manufactured homes
- Manufactured homes converted to storage units
- Homes located on leasehold estates

Manufactured Housing Standards

The mortgage loan must be secured by both the manufactured home and the land on which it is situated, and both the manufactured home and the land must be legally classified as real property under applicable state law.

The purchase, conveyance, and financing (or refinancing) of the land and the manufactured home must be evidenced and secured by both:

- A single valid and enforceable note and first lien mortgage.
- A deed of trust or security deed that is recorded in the land records, in states where applicable state law clearly provides for such a single lien.

Manufactured Housing Legal Considerations

Title Issues and Lien Requirements; Title Insurance

The mortgage must be covered under a standard real property title insurance policy that insures that the manufactured home is part of the real property that secures the loan. American Land Title Association® (ALTA®) Endorsement 7, 7.1, or 7.2 or any other endorsement required in the applicable jurisdiction for manufactured homes to be treated as real property must be included in the file.

Loan Documents

Standard Uniform Instruments to be utilized (see Security Instruments below).

If the Uniform Instruments are not used, adherence to the following requirements must be followed:

- A single note must be used evidencing all the debt related to the land and the home, and a mortgage, deed of trust, or Georgia security deed securing such indebtedness (plus the certificate of title if state law



- so requires).
- The note used must provide the nonstandard document warranties that are referenced in A2-2.1-03, Document Warranties (08/20/2013).
- Loan documents are not acceptable if they:
 - State that the home is personal property or contains other words to that effect.
 - State that the parties do not intend to attach the home to a permanent foundation system on the land or contain statements inconsistent with that intention.
 - Unless required by law, provide that rights of holders in due course are waived, or with other words provide that an assignee note holder may be held liable for claims the borrower may have against other parties.
 - Include consumer finance paper which combines the note and security instruments in a single document or a retail installment sales contract.

Security Instrument

The security instrument must:

- State that the manufactured home is an improvement to the land and an immovable fixture or include similar language as may be required by applicable law to assure, to the greatest extent possible, that the manufactured home will be treated as real property under applicable state law. If applicable law provides specific obligatory wording, such wording must be used; AND
- Include a comprehensive description of the manufactured home and the land in the property description section.

The description must include the serial or VIN number (or the serial number or VIN for each unit if the home is multi-width), make, model, size, and any other information that may be required by applicable law to definitively identify the home.

NOTE: The serial number is located on the HUD Data Plate located on the interior of the home, usually near the electrical box. In addition, the serial number is generally cold stamped on the frame front cross member of each transportable section. If the HUD data plate is missing or illegible, an IBTS report is required.

Some jurisdictions may not allow any information in the property description section of the security instrument other than what is customary for other real property transactions. If this is the case, then an addendum may be used, which must be attached to the security instrument and included in the loan file.

Factory-Built Housing: Modular, Prefabricated, Panelized, or Sectional Housing

Modular homes must be built under the Uniform Building Code (UBC) that is administered by the state agency that is responsible for adopting and administering building code requirements for the state in which the modular home is installed. Prefabricated, panelized, or sectional housing does not have to satisfy either HUD's Federal Manufactured Home Construction and Safety Standards or the UBC that are adopted and administered by the state in which the home is installed. The home must conform to local building codes in the area in which it will be installed.

Modular, Prefabricated, Panelized, or Sectional Housing Requirements

Factory-built housing not built on a permanent chassis such as modular, prefabricated, panelized, or sectional housing is not considered manufactured housing and is eligible under the guidelines for one-unit properties. These types of properties:



- Must assume the characteristics of site-built housing.
- Must be legally classified as real property.
- Must conform to all local building codes in the jurisdiction in which they are permanently located.

The purchase, conveyance, and financing (or refinancing) must be evidenced by a valid and enforceable first-lien mortgage or deed of trust that is recorded in the land records and must represent a single real estate transaction under applicable state law.

Modular, prefabricated, panelized, or sectional housing homes are afforded the same treatment as site-built housing. Therefore, there are no minimum requirements for width, size, roof pitch, or any other specific construction details.

Appraisal Requirements for Modular, Prefabricated, Panelized, or Sectional Housing

There are no minimum requirements for width, size, roof pitch, or any other specific construction detail for modular homes, or any other types of factory-built homes. Because quality can account for large differences in the values of factory-built homes, it is important for the appraiser to become familiar with the features that affect the quality of a factory-built home so that the information can be included in the appraisal report if needed to support his or her opinion of value.

Comparable Selection Requirements for Modular, Prefabricated, Panelized, or Sectional Housing

The process of selecting comparable sales for factory-built housing is generally the same as that for selecting comparable sales for site-built housing. The appraiser is required to address both the marketability and comparability of modular homes and other types of factories-built housing. When the subject property is modular, prefabricated, panelized, or sectional housing, it is not required that one or more of the comparable sales be the same type of factory-built housing, although using comparable sales of similar types of homes generally enhances the reliability of the appraiser's opinion of value. The appraiser is required to include in the appraisal report the most appropriate comparable sales data to support his or her opinion of value for the subject property.

Title Requirements

- Loan Amounts ≤ \$250,000:
 - Owner & Encumbrance Report, OR
 - Instant Title
- Loan Amounts > \$250,000:
 - Full Title is required.

Transactions

Eligible

- Stand-alone 2nd lien
- Texas homestead properties are eligible provided the transactions comply with Texas 50(a)(6) requirements. [Texas Constitution Art. XVI, § 50](#)



Ineligible

- Assumable loans
- Balloon notes or features (Balloon loans where the payment comes due during the amortization period of the 2nd lien.)
- Community seconds
- High-cost mortgage loans
- Income produced, or in relation to, cannabis or hemp
- Income produced, or in relation to, the adult entertainment industry
- Loans with escrow holdbacks
- Negative amortization
- Purchase transactions
- Reverse mortgages
- Temporary buydowns
- Second mortgages with a simultaneous 1st lien transaction
- Loans in active forbearance or deferment are ineligible



Chapter 6: Lock Registration and Commitments

Lock Registration Overview

- The Seller must lock each loan submitted to Planet for purchase
- Individual loans may be locked before or after submission
- Lock registrations are accepted only from approved Sellers and must be completed by 5:00 P.M. Pacific time

Rate Sheets and Pricing

Rate sheets outline Planet's current loan products, pricing, and lock terms.

- Rate sheets are published daily between **7 a.m. and 7:30 p.m. PT**
- Available online at <https://core.phlcorrespondent.com/core/>
- Access is restricted to approved Sellers with a CORE login and password

Intra-Day Pricing Changes

Due to the volatile nature of the secondary mortgage market, all pricing is subject to change at any time without notice. Planet determines cut-off times for intra-day pricing changes.

NOTE: Due to market conditions and other circumstances, Planet may have periods when no pricing is available. During these periods, the Seller will not be able to obtain pricing or rate locks.

Locking a Loan in CORE Seller Portal

To lock a loan:

- Log into [CORE Seller Portal](#)
- Click **New Loan Actions** (for new loans)
- Or to lock an existing loan, select the loan in the pipeline and click the **Lock**

Daily Lock Limits

Planet limits the Seller to a maximum of \$5 million in locks per day.

The daily limit begins with the issuance of the morning rate sheet and ends at 5:00 P.M. Pacific time or when there is a mid-day price change. In the event of a mid-day price change, the limit resets when the new rate sheet is issued (i.e., Seller who has locked \$3 million in loans based on the morning rate sheet is eligible to lock up to an additional \$5 million based on the rate sheet issued with the mid-day price change for a total of \$8 million in locks for the day). This reset also applies to any additional price changes published by Planet throughout the day.

Exceptions to this policy may be granted on a case-by-case basis by Planet's Capital Markets.

NOTE: This policy does not apply to mandatory bulk trades or direct trades.



Lock & Shop (TBD Property Locks)

The extended lock term is designed to give borrowers time to look for a property with the confidence of a locked-in interest rate. Loan must be the purchase of a primary residence. Available for Agency and Government loan products with commitment lock for 75, 90, or 120 days.

To lock a loan where the subject property is to be determined (TBD), enter address as follows:

- Enter "TBD" in the Address field
- Enter the anticipated zip code in the Zip Code field (this may be changed once an actual property is selected)

If the borrower is still deciding on a property at the expiration of the lock, standard lock extensions apply. Float down option available with an initial commitment lock of 120 days, see the float down policy for details.

Once an actual property is determined, the Seller should import an updated 3.4 file to correct the property address in the loan file.

Credit Exceptions

Any loan that does not meet Planet's published guidelines may require an exception and is subject to a pricing change.

Locked Loan Changes

Any changes to the loan information on a loan already locked with Planet needs to be reviewed for potential re-pricing.

A Change In	Receives
Interest rate, credit score, loan amount, LTV, property type, or occupancy	Pricing from original day's lock date plus all applicable Loan Level Pricing Adjustments
Term (e.g., 30-year term to 15-year term)	Worst case pricing
Product switch: Government to/from Conventional	Worst case pricing
Product switch: FHA to/from VA with the same term	Pricing from original lock date
Product Type: Fixed to/from ARM	Worst case pricing

Worst case pricing is the lower of the current day's rate sheet base price or the original lock date's rate sheet base price, **plus** all accumulated loan level price adjustments, extension fees, and deficiency fees.

Specific fields that cannot be changed by the Seller are as follows:

- Seller identification number
- Primary borrower name (first and last) and co-borrower name, if applicable
- Primary borrower social security number and co-borrower social security, if applicable
- Property address, city, state, and zip code



NOTE: Any updates to these fields must be requested and updated by Planet.

Incomplete Lock Information

Loans that have incomplete information (required data fields are not provided) will not be quoted a price.

Error Notification

Loans locked with incorrect information should be reported to Planet within one business day of lock. Any error, omission, or mistake in locking a loan is considered on a case-by-case basis for correction and may be subject to a re-price and/or penalty. Any correction of errors, omissions, or mistakes reported after the one business day time frame requires that the loan be re-priced subject to worst case pricing.

Lock Commitments

Planet requires that the Seller lock all loans prior to the purchase date. A lock commitment is an agreement whereby the Seller commits to deliver a mortgage loan that is eligible for purchase under the terms of the Agreement and Seller Guide.

Lock Commitment Types

Best Efforts Commitment

- **Single Loan:** Best effort commitments are used as a lock for a specific single loan that identifies the loan program, subject property, and borrower for a specific period, at an interest rate and price, according to program parameters.
 - If the loan does not close and the Seller cannot deliver the loan for purchase, a pair off fee **will not** apply. However, Planet closely monitors pull-thru ratios of locked pipelines and unacceptable activity may impact the Seller's eligibility to do business with Planet.
 - **Lock Terms:** A Seller may register a best-efforts commitment lock for 15, 30, 45, 60, 75, 90 or 120 days.
- **Single Loan Specified (Spec) Pricing:** Best effort commitments are used as a lock for a specific single loan that identifies the loan program, subject property, and borrower for a specific period, at an interest rate and price, according to program parameters. Spec Pricing is available for certain 30-year fixed rate FNMA, FHLMC, VA and FHA loan programs. Refer to the Best Efforts Rate Sheet for the applicable loan programs, program features, and loan amount parameters.
 - If the loan does not close and the Seller cannot deliver the loan for purchase, a pair off fee **will not** apply. However, Planet closely monitors pull-thru ratios of locked pipelines and unacceptable activity may impact the Seller's eligibility to do business with Planet.
 - **Lock Terms:** A Seller may register a best-efforts commitment lock for 15, 30, 45, 60, 75, 90 or 120 days.

Mandatory Commitment

- **Single Loan:** Mandatory commitments are used as a lock for a specific single loan that identifies the loan program, subject property, and a borrower for a specific period, at an interest rate and price, according to program parameters.
 - If the loan does not close and the Seller cannot deliver the loan for purchase, a pair off fee **will** apply. The pair off fee includes the difference in price due to market movement and a .125% administrative fee.



- **Lock Terms:** A Seller may register a mandatory commitment lock for 15, 30, 45, 60, 75, 90 or 120 days.
- **Multiple Loans:** Mandatory commitments are used as a lock for multiple loans that are negotiated with Planet. This mandatory commitment for multiple loans (or "**Bulk Transaction**") may be used for the purchase of a specific pool of loans at a specific price, based upon the loan characteristics of the pool.
 - If the Seller fails to deliver any of the loans identified in the pool, a pair off fee will be assessed on that loan. The pair off fee includes the difference in price due to market movement plus a .125% administrative fee. With Planet approval, the Seller may elect to substitute a loan in lieu of a pair off. However, the Seller must deliver a minimum of 95%, or a maximum of 105% of the unpaid principal balances of the original pool of loans or Planet may modify the price of the commitment to reflect current market prices for the over or under delivery.

Master Commitments

- Forward commitments and volume incentives are available on a case-by-case basis. Please contact your Regional Sales Manager, if interested.

Long Term Rate Lock Commitment

- **Single Loan:** Long-term rate lock commitments are used as a lock for a specific single loan that identifies the loan program, subject property, and borrower for a specific period, at an interest rate and price, according to program parameters.
 - **1% upfront fee is due within 5 business days of the lock commitment.**
 - On the sixth business day, if the fee has not been received, the lock is automatically canceled.
 - The 1% upfront fee is refunded upon purchase of the loan by Planet.
 - If the loan does not close and the Seller cannot deliver the loan for purchase, the 1% upfront fee is not refunded.
- **Lock Terms:** A Seller may register a long-term rate lock commitment for 180, 270 or 360 days.

The Seller has the option to wire transfer or overnight a check for payment of the 1% upfront fee.

- **Wire Transfer Instructions:**

M&T BankOne
 M&T Plaza
 Buffalo, NY 14203
 ABA: 022000046
 Account #: 9877201229
 Account Name: Planet Home Lending Operations Support

- **Check Instructions:**

Planet Home Lending, LLC
 Attn: Treasury
 11000 Broken Land Parkway, Suite 200
 Columbia, MD 21044

Float Down Policy Long Term Locks

Planet offers a one-time option for a borrower to reduce the locked mortgage rate for lock periods of 120, 180, 270 or 360 days.



- The interest rate market has favorably improved to a point that a 1/8th reduction to the locked rate is available.
- Once the rate has been floated down, the rate cannot be changed in a subsequent transaction that will cause it to exceed the renegotiated rate.
- Email: Correspondentlocks@planethomelending.com.
 - The Seller must include the final rate and price being requested for the borrower.
- The Float Down Rate calculation is: Current Market minus 0.500%. The resulting price cannot exceed the original locked price.

For example:

Original Locked Pricing = 4.5% @ 100.00

Current Market Pricing = 4.25% @ 100.00; 4.375% @ 100.50; 4.5% @ 100.75

Float Down Pricing Options: 4.25% @ 99.5; 4.375% @ 100.00

In the above scenario, 4.5% @ 100.25 is not an available option as it does not provide a 1/8th reduction of the locked rate, and the final price would exceed the original locked price.

Interest Rate Renegotiation Policy – Best Efforts

When pricing conditions improve significantly, Planet will offer a **one-time** Rate Renegotiation on loans locked Best Effort and subject to all of the guidelines below:

- The rate to the borrower is reduced by 0.25% or more.
- Pricing Comparison will be to the same Lock Day term (45-day lock vs. 45-day lock, etc).
- Renegotiation Adjustment of -0.500 from Current Base Price will be applied.
- All LLPA's and applied Extension or Exception Fee's will remain.
- Rate cannot increase once the renegotiation has been applied.
- Current Lock expiration does not change.
- Loans subject to the Float Down Policy for Long Term Lock Policy are not eligible.

In order to execute on the Rate Renegotiation, email correspondentlocks@planethomelending.com with the Loan number and desired rate and the Lock Desk will confirm the pricing for the renegotiation and will execute once the seller agrees in writing.

Dual Program Usage and Arbitrage Policy

Planet allows Sellers to commit and sell loans under either Best Efforts or Mandatory Commitments program. Sellers may alternate between these commitment types on a loan-by-loan basis, provided that the flexibility is not used to exploit pricing differences.

Sellers that hedge their pipeline and sell loans on a Mandatory basis, may from time to time, have the need to commit and sell a portion of their originated loans using the Best Efforts program. Loans that have limited or no market fungibility may fall into this category. Some examples could be Renovation loans, Agency high balance, manufactured or USDA Loans. Planet permits its mandatory Sellers the use of its Best Efforts program for this purpose.

However, Sellers may not use Best-Efforts pricing for loans that were also bid under a Mandatory Commitment to capitalize on pricing differences. This constitutes arbitrage.



Planet actively monitors for this activity. If it is determined that a Seller is engaging in Best Efforts arbitrage, Planet may:

- Worsen the Seller's Best-Efforts pricing
- Restrict or remove the Seller's access to the Best-Efforts program

Lock Confirmations

The Seller receives a confirmation on each rate lock commitment. This lock confirmation does not constitute a loan decision or a commitment to purchase a mortgage loan.

Rate Lock Extensions

The Seller may request a rate lock extension with Planet by logging onto [CORE Seller Portal](#) and providing the necessary information to obtain a rate lock extension. To avoid expirations, all extension requests must be received by 5:00 P.M. Pacific time.

The extension is granted up to 30 days on or before the original lock expiration date. Planet may grant a rate lock extension on a best-efforts lock, single-loan mandatory commitment or mini-bulk mandatory commitment. Due to market conditions and other circumstances, rate lock extensions are at the discretion of Planet. Rate lock extensions are calculated in calendar days and must be continuous. Weekend or holiday expirations are calculated from the actual calendar expiration date that falls on the weekend or holiday. At no time shall the extension exceed an aggregate of 60 days.

Extension fees are as follows:

Expiration Date	Fee
1 Day	(.020)
2 Days	(.040)
3 Days	(.060)
4-7 Days, regardless of the number of days selected	(.125)
8-15 Days	(.250)
16-30 Days	(.500)

Extension fees are at the discretion of Planet and are subject to change without notice. Planet will not offer a rate lock extension without an additional fee.

Expirations

Planet must receive all mortgage loans by no later than 5:00 P.M., Pacific time, on the lock expiration date.

Lock Expiration

The lock expiration is the expiration of Planet's commitment to honor a locked loan at a particular interest rate. If the Seller requires additional time and a rate lock extension was not requested prior to the lock expiration, the mortgage loan is subject to relock at worst case pricing. For locks expiring on a weekend or holiday, the



expiration rolls to the next business day.

Relocks

The following table details the Planet re-lock policy:

Number of Days from Original Lock Expiration to Re-lock	Loan Submitted to Planet	Pricing
≤ 30 days	Yes	Subject to worst case pricing*
≤ 30 days	No	Subject to worst case pricing*
> 30 days	Yes	Subject to worst case pricing*
> 30 days	No	Priced at current market

* Worst case pricing is the lower of the current day's rate sheet base price or the original lock date's rate sheet base price plus all accumulated loan level price adjustments, extension fees, and deficiency fees.

Holiday or Weekend Lock Expirations

An original lock, relock, or extended lock commitment expiring on a holiday or weekend rolls into the following business day.

Locked Loan Delivery Policy

The closed funded package for all loans locked under a best efforts or mandatory commitment must be received by 5:00 P.M Pacific time on the day of lock expiration, or earlier. See ["Chapter 7: Planet CORE Seller Portal — Loan Submissions" on page 577](#) > Loan Submission for all closing package requirements.

Deficiency Fees

When the review of a file is completed, a purchase disposition is issued to notify the Seller of certain conditions including, but not limited to, underwriting and purchasing conditions, which must be met prior to purchase.

A loan is eligible for "Grace" when the closed loan package is delivered no later than 5:00 P.M. Pacific time on the lock expiration date. The "Grace" period is applied to your lock upon the purchase disposition being issued. The purchase disposition will be issued with a Purchase By Date. The "Grace" period is the greater of 10 calendar days from the date of the purchase disposition issue date or the lock expiration date. If the "Grace" period falls on a holiday or weekend, it rolls to the next business day.

If the loan is not purchased by the Purchase By Date, the Seller is responsible for a deficiency fee per the schedule below. The lock will auto extend for a total of 12 deficiency fee periods.

Deficiency fees to purchase loans are as follows:

Deficiency Fee Period	Number of Calendar Days to Extend Purchase Date	Deficiency Fee
Grace Period	10 days	No Fee



Deficiency Fee Period	Number of Calendar Days to Extend Purchase Date	Deficiency Fee
1st Deficiency Period	5 days	.125%
2nd - 12th Deficiency Period	7-day Increments	.125% per extension
■ Timing may differ if expiration falls on a weekend or holiday ■ If the loan is not purchased by the final deficiency fee expiration date, the Seller will need to manage their lock by manually extending via the portal or emailing the Lock Desk. Failure to extend will require a re-lock at worst case pricing.		



Pair Off Fees

The pair off fee includes the difference in price due to the market movement, plus any extension and deficiency fees.

Calculation of Pair Off Fees

Below are examples of the calculation of pair off fees for a \$200,000 loan amount with either negative or positive market movement.

Negative Market Movement	Mortgage loan not received by lock expiration date	
	Price at expiration/current date	101.000
	Price at lock date	<u>101.500</u>
	Negative market movement	(0.500)
	Pair off fee	0.000
	Extension fee(s)	<u>0.125</u>
	Total pair off	0.125
	Amount subject to pair off fee	\$200,000
	Multiplied by pair off	0.125
	Total pair off fee	\$250.00

Example 1: Mortgage loan not received by lock expiration date—negative market movement: Price at expiration/current date 101.00, Price at lock date 101.500, no pair off fee for market movement. In this example, there is one extension fee at .125. The amount subject to pair off fee of \$200,000 multiplied by the extension fee of 0.125 equals a total pair off fee of \$250.00.

Positive Market Movement	Mortgage loan not received by lock expiration date	
	Price at expiration/current date	101.000
	Price at lock date	<u>100.500</u>
	Positive market movement	0.500
	Pair off fee	0.500
	Extension fee(s)	<u>0.125</u>
	Total pair off	0.625
	Amount subject to pair off fee	\$200,000
	Multiplied by pair off	0.625
	Total pair off fee	\$1,250.00

Example 2: Mortgage loan not received by lock expiration date—positive market movement: Price at expiration/current date 101.000, Price at lock date 100.500, Positive market movement 0.500. The Pair off fee would include the market movement and any extension fees. The Total Pair off fee would be 0.625. The amount subject to pair off fee of \$200,000 multiplied by Total pair off fee of 0.625, Total pair off fee would equal \$1,250.00.



Loans received, but not purchased are subject to a pair off fee which includes the difference in price due to the market movement, plus any extension and deficiency fees.

Pair Off Fee Notification

Once the Seller is issued a pair off fee notification, the Seller is required to pay Planet within 15 business days. If the pair off fee is not paid, Planet may offset fees due from any proceeds owed to the Seller by Planet.



Chapter 7: Planet CORE Seller Portal — Loan Submissions

Overview

Planet embraces technology to support an electronic, paperless environment in which all data, images, underwriting, purchasing and servicing information is received, processed, stored, and maintained through the CORE Seller Portal.

The CORE Seller Portal is a secure website available to approved Sellers to conduct business with Planet. The CORE Seller Portal is available at www.phlcorrespondent.com under the **Seller Login** button.

The Seller can submit and lock loans, request pipeline reports, view and print purchase advices, and access the Planet Seller Guide, all within the CORE Seller Portal.

Sellers may also export closed loan packages directly from Encompass to Planet's CORE Seller Portal using Investor Connect™. The Seller's Encompass System Administrator must create new credentials specific to Planet. The User ID must match the Seller's Planet Correspondent ID. To obtain the ID, email ClientAdminGroup@PlanetHomeLending.com.

Loan Submission

Loans submitted to Planet must comply with all applicable federal, state and local regulations.

Planet's internal Quality Control process includes the review of loans received from newly approved Sellers prior to purchase. Each of these loans undergoes a comprehensive review to ensure continued quality in the loans purchased.

In addition, Quality Control conducts a review on a population of selected loans based on a random sampling to include loans from all Sellers. In an effort to deliver acceptable service levels for our Sellers, the QC review will, in most cases, be a parallel process with our standard pre-purchase loan review.

Planet partners with all Sellers to assist in enhancing their internal policies and procedures to ensure quality loan production by sharing the findings and resources whenever possible.

Loans must be funded prior to submission to Planet, and the complete closing package must be delivered by 5:00 P.M. Pacific time on the lock expiration date.

A Quick Start Reference Sheet, Upload a Closing Package, is available on the CORE Seller Portal at www.phlcorrespondent.com under **Training Tools**.

All flow loans must be locked prior to purchase by Planet.

To submit a loan to Planet, log into the CORE Seller Portal and select **Import Loan File**. All data, images and submission requirements are processed through the CORE Seller Portal.

Upload Conditions

Underwriting and purchasing conditions can be reviewed and uploaded through the CORE Seller Portal.



Incomplete Closing Packages

Upon review of the closing package, a Purchasing Disposition is generated, outlining outstanding conditions.

All conditions must be delivered by the later of:

- Seven calendar days from the date of the Purchase Disposition, or
- The Lock expiration date

IRS Forms 4506-C and 8821 Requirements

Sellers must obtain borrower consent and complete either IRS Form 4506-C or 8821 in accordance with IRS and agency requirements, including applicable standards under the IRS Income Verification Express Service (IVES) and the Taxpayer First Act. Either form is acceptable for transcript retrieval when permitted by the IRS and the applicable agency.

The following general standards apply to all loan submissions, regardless of loan type (Conventional, FHA, VA, or USDA) unless otherwise noted in specific program guidelines.

- A completed and signed IRS Form 4506-C or 8821 must be obtained for each borrower whose income is used to qualify for the mortgage.
- It is strongly recommended that only one borrower be listed per form.
 - Exception: Borrowers who filed their tax returns jointly, may be listed on the same form when requesting 1040 transcripts.
- Each listed borrower must sign and date the form.
- The form must be executed at or before loan closing.
- The form must be fully and accurately completed in accordance with IRS IVES program standards.
- When Form 8821 is used, the mortgage file must also include documented borrower consent specifically authorizing disclosure of tax information to third parties. The standard taxpayer consent form included in loan files is not sufficient for this purpose.

Electronic Signatures

Electronically signed 4506-C and 8821 forms are permitted provided:

- The "Signatory confirms document was electronically signed" box (if present) is checked.
- An electronic signature audit log must be maintained and available upon request
 - The audit log must comply with IRS IVES requirements, including verification of identity and authorization

Submission of Forms vs. IRS Tax Transcripts

- If the Seller provides IRS transcripts in the Mortgage file, a separate copy of the 4506-C or 8821 used to obtain them is not required:
- IRS transcripts must:
 - Reflect the tax year(s) required by AUS findings, manual underwriting standards, or program specific guidelines
 - Match the income documentation used for qualification
 - Clearly correspond to the borrower(s) listed

Post Purchase Quality Control (QC) Requirements

- If a Mortgage loan is selected for Post-Purchase QC and the submitted form cannot be processed, the Seller must provide:



- A new, corrected 4506-C or 8821; or
- The applicable IRS tax transcripts for the borrower(s)
- Sellers must respond promptly to all QC documentation requests

Preferred Vendors for IRS 4506-C Processing

Planet prefers the use of the following vendors for IRS 4506-C and transcript retrieval during Post-Purchase QC:

- Billing Solutions, Inc.
- CoreLogic Credco
- DataVerify
- Equifax Workforce Solutions, LLC
- First American Mortgage Solutions
- Informative Research
- NCS TRV PROCESSING
- TaxReturnVerifications.com
- Xactus, LLC

Additional Guidance

Refer to the Best Practices for IRS Form 4506-C (located on the Forms and Resources page) for detailed instructions on completing, signing, and submitting the form.

Condo Project Review

Condo Analytics

Loans delivered to Planet for underwriting with a property type of condominium or attached PUD (conventional), without a Condo Analytics Report is subject to a new documentation review as part of the Planet approval process.

Planet reviews and makes a project decision based on the Condo Analytics Report and applicable documentation provided by the Seller.

If the Seller does not provide a Condo Analytics Report at the time of submission, Planet will order the review from Condo Analytics, and the cost will then pass on to the Seller through the Purchase Advice immediately. No documentation is required by the Seller as the vendor will obtain all necessary documentation. However, any documentation that is provided by the Seller will be submitted to the vendor. If the documentation is not complete and/or acceptable, the vendor will obtain the necessary documents, and the Seller will be subject to any additional cost. All documentation submitted by the Seller should meet agency guidelines and requirements.

The project review cost is outlined below and is passed on to the Seller through the Purchase Advice immediately. Prices are subject to change without notice.

Condo Analytics Project Review Cost	
Project Review*	Base Fee
Limited Condo Review ▪ Note: Limited or Streamline review are for spot loan approval only.	\$275



Condo Analytics Project Review Cost	
Project Review*	Base Fee
Full Condo Review	\$395
PUD Reviews (FNMA or FHLMC)	\$199
FHA Single Unit Approval Note: Project must be an approved project appearing on the FHA website and is a warranty of the continued compliance of initial approval requirements.	\$495
FHA Refresh	\$175
Insurance Review	\$99
Budget Only	\$99
Litigation Review	\$99
PERS Review	Contact Planet for quote

* All third-party costs incurred through documentation retrieval will be passed along to the Seller, including the above base fee.

Bailee Requirement

Planet requires a Bailee Letter from the Warehouse Lender when a loan has been pledged to secure a warehouse line of credit. Self-funding is allowed by depository institutions only (i.e. banks and credit unions).

When self-funded, the Seller should complete a Wire Transfer/Authorization form which must be signed by an authorized representative of the Seller. A sample Correspondent Wire Authorization Form is available on the CORE Seller Portal at www.phlcorrespondent.com under **Forms and Resources**. The Seller is not required to use this form, but any form used must provide all of the information contained on the Planet form.

Original Note

eNote

eNote Delivery Method

The Seller is required to deliver the eNote using MERS® eDelivery, a secure method to deliver copies of eNotes between organizations' eVaults.

Transfer of Control and Location

The Seller must initiate a Transfer of Control and Location for the eNote record via the MERS® eRegistry to Planet prior to purchase.

Master Servicer Transfer Timing



The Master Servicer designation should remain unchanged at the time of purchase and must be transferred only at the time of the actual servicing transfer. This is required to maintain compliance with MERS® eRegistry guidelines.

MERS® Transfer Processing Standards

- Any Transfer of Servicing must be initiated on the MERS® eRegistry no later than seven calendar days after the Transfer Effective Date.
- The Transfer Effective Date is the date upon which the new servicer begins servicing the digital asset, as specified in the Purchase and Sale Agreement.

NOTE: Prior written approval from Planet is required to deliver eNotes.

See **Chapter 1 Seller Eligibility** > ["eNotes" on page 10](#) for more information.

See Chapter 8 Loan Purchasing > ["eNotes" on page 590](#) for a list of ineligible products and loan attributes.

Paper Note

The Note may be shipped under separate cover if it is forwarded by the Seller's warehouse bank. Planet does not accept Lost Note Affidavits (LNA).

Paper Note Swap Process

Note Swaps are available and will follow a standardized process. Below are key details to be aware of:

Turnaround time: The target processing SLA is five business days from receipt; expedited handling is not available.

Return of replaced notes: Original notes that are swapped out must be returned — not destroyed.

Packages should include:

- A prepaid return airbill (FedEx or UPS)
- A return envelope must be included with each submission.

NOTE: Only one airbill per package will be allowed.

Missing items: Submissions missing required items (such as the return airbill or return envelope) will result in both notes being interfiled, with a duplicate note exception added to the file. Correction will require a formal file release.

Original Note Endorsement or Allonge

The Allonge must be completed and executed by an authorized employee of the Seller endorsing the Note in blank. If an Allonge is not provided, then an authorized employee of the Seller endorsing the Note in blank must endorse the Note itself.

Endorsement should read (for all states):

Pay to the Order of:
Planet Home Lending, LLC
Without Recourse [Seller]



[Signature of Officer]
[Officer's Name and Title]

Original Note, Bailee Letter and Allonge should be shipped to:

Deutsche Bank
1761 E. Saint Andrew Place
Santa Ana, CA 92705
(714) 247-6069
ATTN: Planet Home Lending - Correspondent Loans

To clear an Allonge exception, send to the "ATTN" of:

ATTN: Planet Home Lending - Rush Exception

To Swap a Note, send to the "ATTN" of:

ATTN: Planet Home Lending - Note Swap

Collateral File

The paper Note may be shipped under separate cover if it is forwarded by the Seller's warehouse bank. Planet does not accept Lost Note Affidavits (LNA).

The Seller is required to upload collateral documents using the **Upload Documents** link available in the CORE Seller Portal. If a document must be re-recorded per an exception, this must be stipulated as a condition. The Seller must meet this condition before Planet purchases the loan.

Collateral documents must include:

- Bailee Letter
- Original Note endorsed to Planet Home Lending, LLC; OR
- Original Note and Allonge to Planet Home Lending, LLC
- Certified copy of the Power of Attorney, if applicable

See Chapter 8: Loan Purchasing > ["Loan Assignments" on page 611](#) section for requirements regarding the assignment of the security instrument.

Administration Fees

Administration fees are assessed based on the Seller's delegation authority. The administration fees, indicated on the Planet rate sheet, are effective as of the date of the lock.



Chapter 8: Loan Purchasing

Loan Review

Prior to purchase, all loans must be reviewed by the Loan Eligibility Department. Loans are reviewed for completeness as well as for compliance with Planet loan program overlays. Planet has the right to conduct a quality control audit on all loans.

Closed loans are reviewed to determine purchase eligibility. Collateral delivery and submission of the closed loan package must include all underwriting conditions to ensure that all requirements have been met.

If Planet does not conduct a review or discover any deficiencies, the Seller is not released from any obligations. The Seller must provide the documentation required to correct any errors. Planet has the right to remedies and indemnification, which includes the right to request a repurchase of a loan file. When the purchase review is complete, Planet will determine if the loan is approved, suspended or denied for purchase.

Seasoned Loans

Loans must be delivered for purchase within 30 days of the loan closing date and purchased by Planet prior to the second payment due date. Planet defines a seasoned loan as a loan that has been credited with a maximum of one payment. The seasoned loan may have one additional scheduled payment at the time of purchase by Planet.

NOTE: Planet will not purchase a loan when more than one loan payment has been credited.

A printout of the payment history must be included in the loan package indicating how the payment was applied and any disbursements from escrows for all seasoned loans.

Planet will purchase an FHA 203(k) loan where repairs are completed and Escrow Repair Screen has been completed in FHAC. Requirements for this purchase are:

1. Copy of the FHA 203(k) Case Close Out Screen from the originating lender and who is the one that administered the draw process
2. MIC
3. Pay History
4. Letter of explanation from the seller why they are asking us to purchase an aged note
5. Final title update/rundown to show there are no contractor liens on the property.
6. Final accounting/disbursements of all the renovation escrow funds.

Closing Disclosure

A Closing Disclosure (CD) must be fully completed on every loan indicating all fees, funds and cost involved with the transaction.

Planet does not mandate the use of a specific form, but any form used must be executed completely.

On purchase transactions, the Settlement Agent must provide a signed executed copy of the settlement break down from the Seller's side. The document must be signed by the Settlement Agent/Attorney and Seller.



Principal Reductions

Planet allows principal reductions at closing on both refinance and purchase transactions subject to the guidelines detailed below. This policy applies to principal reductions required due to cash-out limitations or excess credit. A principal reduction may be required to cure a fee tolerance defect as well.

If the principal reduction is applied at closing, it must be documented on the CD indicating the amount of the reduction and reason.

If the principal reduction is applied after closing, the file must include documentation that indicates the amount of the principal reduction and the reason or source of the reduction (e.g., lender refund or borrower remittance).

Cashback Limitation

A principal reduction is allowed when cashback to the borrower exceeds the Agency's cashback-to-the-borrower limit.

- **FNMA/FHLMC** – Greater of 1% or \$2,000
- **FHA** – When the incidental cash back exceeds \$500 (\$0 in Texas) on a Limited Cash Out (Rate/Term), Simple Refinance, or Streamline Refinance.
- **VA** – When the incidental cash back exceeds \$500 (\$0 in Texas) on a VA Interest Rate Reduction Refinancing Loan (IRRRL).
- **USDA** –
 - Streamline and Non-Streamline Rate/Term Refinance: When the incidental cash back is more than the amount the borrower paid out of pocket for costs such as an appraisal or other allowable items, that may be financed with the loan being guaranteed.
 - Streamline Assist: If the incidental cash back is greater than \$0 a principal reduction is required. No incidental cash back is allowed.

Reimbursements for overpayment of fees and charges due to federal or state laws/regulations are not included in the cash back limitation.

Principal Reduction Limitation

Conventional Transactions

The maximum amount of the principal reduction cannot exceed the lesser of \$2,500 or 2% of the original loan amount.

If the cashback to the borrower exceeds Agency's limit even after applying the maximum principal reduction, the loan must be re-worked or be re-underwritten as a cash-out transaction subject to cash-out guidelines and pricing.

Government Transactions

The maximum principal reduction is 1% of the loan amount excluding any allowable cashback to the borrower per the applicable guideline.



Disaster Policy

Sellers must review the policy below to determine when a property inspection is required or permitted following a disaster. Requirements vary based on loan type, appraisal timing, FEMA designation, and investor guidelines.

Seller Certification Requirements

A Seller Certification may be used when permitted by the applicable program guidelines and disaster policy, provided the following requirements are met:

- Must be executed by an employee of the Seller who will not receive direct compensation from the subject transaction
- Seller may utilize their own certification; however, the certification must meet the following requirements:
 - Must state that an acceptable inspection of the property was completed
 - Must include post-disaster photos showing no visible damage to the subject property.
 - Must be on Seller letterhead or a certification of property condition form
 - Must indicate the subject property's complete street address, including city, state and ZIP code
 - Must include the following language or a reasonable facsimile:

"This is to confirm that the above referenced property has been inspected on XX/XX/XXXX (date of inspection to be included) and I have determined that it was either not damaged in the recent disaster or has been restored to its pre-disaster condition or better."

Properties Located in a FEMA Designated Area

Sellers are responsible for determining whether a property has been affected by a disaster.

For properties located in FEMA designated areas, eligible for Individual Assistance, and where the appraisal was completed on or before the disaster incident start date, one of the following approved methods for verifying property condition must be utilized:

- An Appraisal Update and/or Completion Report (Fannie Mae Form 1004D or Freddie Mac 442) or
- Fannie Mae 2075 Desktop Underwriter Property Inspection Report or Freddie Mac 2070 Streamlined Inspection, including loans in which an appraisal is not required.
- Third-Party Inspection or
- Seller Certification

Additional Requirements specific to each agency (FHA, VA, USDA, Fannie & Freddie) as applicable, are detailed below.

Fannie Mae and Freddie Mac Transactions

Conventional loans with AUS casefiles dated prior to the disaster declaration date may continue to exercise an Appraisal Waiver.

Sellers must take prudent and reasonable actions to confirm the property was not affected by the disaster and must be able to make all representations and warranties described in the applicable GSE's Selling Guide.



For condominium units located in a FEMA-declared disaster area, the Seller must obtain documentation demonstrating that the subject condominium unit and the building in which it is located have not sustained disaster-related damage that adversely impacts safety, soundness, structural integrity, habitability, or marketability.

Sellers may utilize any of the above property verification methods listed above to confirm the property was unaffected by the disaster; however, these methods must not be used to establish or update an appraised value.

NOTE: The final AUS findings must continue to reflect that the Appraisal Waiver remains eligible for delivery to Planet.

FHA Transactions in Presidentially Declared Major Disaster Area (PDMDA)

In response to changes announced in [Mortgagee Letter 2025-19](#), the Seller must exercise reasonable due diligence to determine whether additional inspections or repairs are necessary before Planet purchases the loan in areas designated as a Presidentially Declared Major Disaster Area (PDMDA).

The Seller must determine if the presidentially declared disaster has adversely affected the property's ability to serve as collateral for the mortgage.

The Seller must document and include in the file all information relied upon to make their determination. If inspections or repairs are needed, they must be completed prior to the sale of the file to Planet.

VA Transactions

In addition to one of the approved property condition verification methods listed above, VA requires the following documentation:

- Veteran's Certification
- Lender's Certification

Government Transactions without Appraisals

For FHA Streamline, VA IRRRLs, and USDA Streamlined loans:

- If the note date is prior to the Incident Period end date, or
- If no end date has been declared, or
- If the note date is on or within 90 days after the end date

...then the loan must include one of the approved property condition verification methods listed above, and must include interior inspections with photos.

Additional Requirements

- It is the Seller's responsibility to check the [FEMA website](#) to determine whether a property is located in a disaster declared area.
- Only properties located in counties listed under "Individual Assistance" require an Appraisal Update.



Servicing Documents

Servicing Released

Planet purchases all loans on a servicing-released basis. The sale date is the funding date.

The Seller collects any payments due from the borrower according to statements on the Purchase Advice. Planet services the loans purchased and collects all payments due from the borrower thereafter.

Planet issues the initial payment statement to the borrower within two to three business days after loan purchase. Subsequent payment statements are issued within one week of Planet receiving the borrower's payment.

It is the Seller's responsibility to continue servicing the loan up to the effective transfer date.

Servicing Letters

A Servicing Transfer Letter (aka Goodbye Letter) is required to transfer servicing and must be prepared for all Planet loans. The Servicing Transfer Letter must reference the correct servicer or sub-servicer. Servicing Transfer Letters should reference the following servicing information regarding payment address, correspondence address, phone numbers, and hours of operation.

A sample Goodbye Letter is available on the CORE Seller Portal at www.phlcorrespondent.com; Seller should add its logo and company information when using the sample.

Servicer Payment Address:

Planet Home Lending, LLC
P.O. Box 69197
Baltimore, MD 21264-9197

Servicer Payment Overnight:

Planet Home Lending, LLC
321 Research Parkway, Suite 303
Meriden, CT 06450
Attn: Cash Management
Phone: (866) 882-8187
Hours: Monday – Friday, 8:30 a.m. to 9 p.m. ET

Servicer Correspondence Address:

Planet Home Lending, LLC
321 Research Parkway, Suite 303
Meriden, CT 06450
Attn: Customer Service
Phone: (866) 882-8187
Hours: Monday – Friday, 8:30 a.m. to 9 p.m. ET



Record Maintenance

The Seller must maintain records in accordance with applicable laws and regulations but not less than the effective date of the servicing transfer. Proper documentation includes, but is not limited to, all records that relate to the origination, sale, and servicing of the loan.

Servicing Transfer Numbers

The following requirements must be completed when transferring government loans to Planet for servicing:

FHA:

The following numbers should be entered into FHA Connection:

- Holder (Planet Home Lending, LLC) Number: 27128
- Servicer (Planet Home Lending, LLC): 27128

VA:

When transferring a VA loan to Planet for servicing, the following information should be entered to create an event in VALERI:

- VA Loan Number (12 Digits)
- Original Loan Amount
- Property State
- Loan Origination Date
- Servicer (Correspondent) Loan Number
- Service Release Date
- Name of New Servicer – Planet Home Lending, LLC

USDA:

When transferring a USDA loan to Planet for servicing, the following information is required to complete the Lender Certification for SFH Guaranteed Loan (attachment to USDA RD Form 3555-18).

Servicing Lender and Holding Lender – Planet Home Lending, LLC

Lender Tax ID:	26-0362771
Assigned Branch Number	001
Address:	Planet Home Lending, LLC Research Parkway, Suite 303 Meriden, CT 06450

Disclosure of Information

The Seller must agree to provide any requested information to the designated servicer to ensure proper loan servicing.



Eligible Delivery

The Seller must ensure that each loan delivered and sold to Planet meets all terms and criteria set forth in the Seller Guide.

Documents

The Seller warrants that all documents that are required as detailed in this Seller Guide have been completed, executed and delivered in the form and manner specified by Planet.

Electronic Signatures and Closings

Planet will allow electronically executed documents, provided they meet the requirements outlined in the Electronic Transaction Compliance section below. Permitted transactions include:

- **eClosings** (all or most documents signed electronically)
- **Hybrid closing** (combination of electronic and traditional signed documents), and
- Closing supplemented with **Remote Online Notarization (RON)** or In-Person Electronic Notarization (IPEN)

Electronic Transaction Compliance

All electronic transactions must comply with:

- The *E-Sign Act*,
- The *Uniform Electronic Transactions Act (UETA)*,
- IRS requirements for eRecords, and
- All applicable federal, state, investor, and agency laws and regulations

Additional requirements may include, depending on the type of electronic transaction:

- Obtaining **borrower eConsent** prior to delivery of electronic documents
- Providing an **electronic audit trail**, tamper-evident seals, and identity verification
- Using an **eVault integrated with the MERS® eRegistry** to manage the Authoritative Copy of the eNote
- Maintaining secure storage of RON/IPEN recordings (two-way audio/video, identity verification, and recording), with copies provided to Planet upon request

Key Definitions

- **Controller** – The entity designated as the holder of the Authoritative Copy of the promissory note, whether executed with wet-ink or electronically (eNote)
- **Location** – The party or platform maintaining custody of the Authoritative Copy in a secure, compliant eVault
- **Secured Party** – The investor with enforceable security interest in the eNote, typically listed in the MERS® eRegistry
- **Remote Online Notarization (RON)** – Notarial act performed when signer and notary are in different locations, using audio-visual technology
- **In-Person Electronic Notarization (IPEN)** – Notarial act performed when signer and notary are in the same location, using electronic signatures and tools
- **eClosing** – Closing process where some or all documents are signed electronically
- **eVault** – A secure electronic repository that stores eNotes and connects with the MERS® eRegistry
- **Hybrid Closing** – Closing process where a portion of documents are executed electronically and others traditionally



Electronic Notarization Standards

Prior written approval from Planet is required to use Remote Online Notarization (RON) or In-Person Electronic Notarization (IPEN). See **Chapter 1 Seller Eligibility** > ["Remote Online Notarization and In-Person Electronic Notarization" on page 11](#) for more information.

Remote Online Notarization (RON):

- Permitted if performed by a notary commissioned in, and acting from, a state that authorizes RON.

In-Person Electronic Notarization (IPEN):

- Permitted when the borrower and notary are physically present together, using approved electronic signature tools.

Hybrid Closings

Hybrid closings are permitted, when the following conditions apply:

- Borrower eConsent must be obtained before delivery of electronic documents
- The loan file must include all required e-sign disclosures and executed consent forms.
- Electronic documents may be signed prior to the closing date.

Hybrid Closings are **not permitted** for the following:

- Transactions executed with a Power of Attorney
- Transactions with title vested in a Trust
- Texas 50(a)(6) transactions
- Any transaction without an e-consent from all borrowers

eNotes

Prior written approval from Planet is required to deliver eNotes. See **Chapter 1 Seller Eligibility** > ["eNotes" on page 10](#) for more information.

The following products and loan attributes are ineligible with eNote delivery:

- **◦ Home Equity 2nd Liens**
- NY CEMA loans
- Mortgages on properties located in U.S. Territories
- **◦ Renovation loans**
- Construction-to-permanent financing (Single Closing) loans (OTC)
- Co-op loans
- Texas Section 50(a)(6) loans
- **◦ Loans closed using a power of attorney**
- **◦ Loans secured by community land trust properties**
- Manufactured homes located in a certificate of title state
- Mortgages secured by properties held in an Inter Vivos Revocable Trust for FHLMC, FHA, VA and USDA loans
- Mortgages secured by properties held in multiple Inter Vivos Revocable Trusts for FNMA loans
- Any products that require additional or special purpose legal documents
- Not closed on MOM Documents, MERS required



Flood Determination and Insurance General Requirements

A Flood Certificate is required for every loan submitted for purchase. Planet accepts transferrable Life-of-Loan certificates from First American Flood Services (CoreLogic Flood). It is the responsibility of the Seller to notify all flood zone determination carriers of the change in servicer prior to the effective date of servicing transfer. In the event the Seller does not provide a transferable, life-of-loan flood zone determination contract from First American Flood Services (CoreLogic Flood), Planet will order a life-of-loan determination contract and the Seller will be charged for all cost associated with securing a contract.

Flood insurance is required for all residential buildings on the mortgaged premises if any part of the structure is located within an SFHA. If two or more residential structures are located on a security property (e.g., a principal structure and a guest house), all structures with any part in an SFHA must be covered by adequate flood insurance.

Flood insurance requirements are as follows:

If	Then Flood Insurance
any part of the principal structure on a property securing the mortgage loan is located in an SFHA,	is required on the principal structure.
a non-residential detached structure attached to the land on a property securing the mortgage loan has any part located in an SFHA,	is not required on the non-residential detached structure.
a detached residential structure on a property securing the mortgage loan has any part located in an SFHA,	is required on the detached residential structure.

The Seller must ensure that any flood insurance required for the subject property is in place prior to purchase by Planet. A one-year policy must be in effect at the time of loan closing.

If flood insurance is not available because the community does not participate in the NFIP, the loan is not eligible for purchase.

Initial Escrow Account Disclosure Statement

The Seller agrees to provide an initial escrow account disclosure statement that aligns with the CD on any loan closed using the aggregate escrow analysis method in accordance with the HUD Final Escrow Rule.

Notification to Planet

The Seller is responsible to promptly notify Planet of any changes that affect the loan's servicing. In addition, the Seller must agree to forward any information requested by Planet that is required to service the loan.

Notification of Subordination

The Seller agrees to notify Planet and its designated servicer of any junior lienholder on all loans sold to Planet. If the junior lienholder is required to pay a fee to the senior lienholder, the Seller immediately forwards the payment to Planet's designated servicer.



Payment of Taxes/Assessments

The Seller must pay the property taxes for loans with escrow accounts when the bill is due and available prior to purchasing by Planet. A copy of the check, bill, and pay history, including escrow balance, are also required prior to purchase. All penalties incurred by Planet as a result of delinquent payments or real estate taxes prior to purchase date of the loan are the responsibility of the Seller.

Insurance Policies

Insurance policies include, but are not limited to, property, flood, mortgage, earthquake, condominium and PUD insurance, as applicable.

Acceptable Policy Ratings for Insurance Carriers

Insurance policies must be issued by a carrier rated as noted below:

- Carriers rated by the A.M. Best Company, Inc. must have either:
 - A **B** or better Financial Strength Rating in the Best's Insurance Reports, or
 - An **A** or better Financial Strength Rating and a Financial Size Category of **VIII** or greater in Best's Insurance Reports Non-US Edition
- Carriers rated by Demotech, Inc. must have an **A** or better rating in Demotech's Hazard Insurance Financial Stability Ratings.
- Carriers rated by Standard and Poor's must have a **BBB** or better Insurer Financial Strength Rating in Standard and Poor's Ratings Direct Insurance Service.

The following types of insurance policies are acceptable as detailed below:

- Policies underwritten by a state's Fair Access to Insurance Requirements (FAIR) if they are the only coverage that can be obtained.
- Policies obtained through state insurance plans, such as the Hawaii Property Insurance Association (HPIA), Florida's Citizens Property Insurance Corporation, or other state- mandated windstorm and beach erosion insurance pools, if they are the only coverage available.
- A separate hurricane insurance policy issued by the Hawaiian Hurricane Relief Fund (for properties in Hawaii), as long as the companion non-catastrophic fire and extended coverage, or homeowner's policy is obtained from a property insurer that meets the rating requirements detailed under the Acceptable Policy Ratings for Insurance Carrier's topic.

Notification to Insurance Carriers

The Seller agrees to notify all insurance carriers of the change in servicer prior to the effective date of servicing transfer. All insurance policies are required to be endorsed.

Premiums

The Seller must pay all insurance premiums for loans with escrow accounts when the bill is due and available prior to purchasing by Planet. A copy of the check, bill, and pay history, including escrow balance, are also required prior to purchase. All penalties incurred by Planet as a result of delinquent payments of insurance prior to purchase dates of the loan are the responsibility of the Seller.



MI Premium Payments — Conventional

Planet will net all borrower paid monthly Mortgage Insurance (MI) premium payments due on or after the loan purchase date from the Purchase Advice. Additionally, Planet Servicing will remit the payment to the MI Company.

The Seller is responsible for remitting the payment to the MI Company when the MI payment is due prior to the loan purchase date.

Example of when the Seller is responsible for MI payment remittance:

Purchase Date	First Payment Due Date on the Note	First Payment Due Date to Planet	Escrow for Monthly MI
July 31st	August 1st	September 1st	Starting with August 1st
July 31st	July 1st	September 1st	Starting with August 1st — Seller to remit July payment
August 1st	August 1st	September 1st	Starting with August 1st
August 1st	July 1st	September 1st	Starting with August 1st — Seller to remit July payment

Property Insurance

Property insurance must protect against loss or damage from fire and other hazards covered by the standard extended coverage endorsement. The coverage must provide for claims to be settled on a replacement cost basis. Extended coverage must include, at a minimum, wind, civil commotion, smoke, hail, and damages caused by aircraft, vehicle, or explosion.

Policies that limit or exclude, in whole or in part, damage from a windstorm hurricane, hail damage, or any other perils normally included under an extended coverage endorsement are not eligible.

Single Family and Individual PUD Unit Policy

Amount of Coverage

The following coverage amounts are acceptable:

- The lesser of:
 - 100% of the insurable value as determined by the property insurer, or
 - The unpaid principal balance of the mortgage, as long as it equals 80% of the insurable value of the improvements
- OR-
- Guaranteed Replacement Cost coverage provided it specifically guarantees replacement, regardless of cost. The declaration page must reflect “Full Replacement Cost Coverage or 100% Replacement Cost Coverage”.



NOTE: If the appraisal is used to determine the insurable value, the value should be based on total estimate of cost new.

For 1- to 4-Unit properties, roofs must be insured, but do not have to be insured on a replacement cost basis.

Coverage for Construction-to-Permanent Transactions

Property insurance is not required on construction-to-perm loans if they are covered by builder's risk insurance during the construction period. Builder's risk insurance covers any losses during the construction period that result from theft, vandalism, and acts of nature (includes fire, flood, and wind damage).

The amount of builders risk insurance coverage must be equal to the original mortgage loan amount. Standard insurance policy requirements apply as soon as the borrower occupies the property.

Maximum Deductible

FNMA/FHLMC/FHA/VA — Deductibles may not exceed 5% of the face amount of the insurance policy. When a policy provides for a separate wind-loss deductible (either in the policy itself or in an endorsement to it), a deductible of up to 5% of the face amount of the policy is allowed.

USDA — Properties should have replacement cost coverage in an amount that is at least equal to the guaranteed value of the improvements or the unpaid principal balance. Deductible(s) should not exceed 5% of the total coverage amount.

Policy Period

Purchase transactions require the coverage to begin no later than the date of closing for a minimum of 12 months. Evidence of payment for 12 months is required.

Refinance transactions require the coverage to extend for a minimum of one month after the first payment is made. Documentation the policy is paid through the policy period is required.

Insured Names and Property Address

All individuals listed on the Note must be listed as insured parties on the Hazard Insurance Policy.

Individuals vested on title may be listed as insured parties on the Hazard Insurance Policy but are not required to be listed on the Hazard Insurance Policy.

The legal address of the property must match the appraisal and title.

NOTE: If an "also known as" (AKA) is being used due to a mailing address, the zip code must match or the AKA cannot be used (e.g., if the property city according to the United States Postal Service is Newbury Park, but the legal description is City of Los Angeles, it is acceptable if the insurance reflects Los Angeles instead of Newbury Park provided the zip code is the same for both).

Condominium and PUD – Common Areas

In addition to the above requirements, when applicable, if the security property is a Condominium or PUD, the master insurance policy must contain a minimum of \$1,000,000.00 coverage for "Directors & Officers" liability



as well as "walls-in" coverage policy (commonly known as HO-6 policy) If the policy does not include "walls-in" coverage then a separate HO-6 policy would be required. The policy must include replacement of improvements and betterment coverage to cover any improvements that you may have made to the unit. A copy of the master policy must be submitted to the Lender prior to funding.

Master Insurance Policy

The master insurance policy must cover all general and limited common elements including fixtures, building service equipment, and common personal property and supplies belonging to the Homeowners' Association (HOA).

The policy must, at a minimum, protect against fire and all other hazards that are normally covered by the standard extended coverage endorsement, and all other perils customarily covered for similar types of projects, including those covered by the standard "all risk" endorsement.

The premiums must be paid as a common expense. The master policy must be paid through the policy period.

The policy must cover 100% insurable replacement cost of the project improvements, including the individual units in the project. The insurance policy that includes, either in the policy language or in a specific endorsement, any of the following is acceptable:

- Guaranteed Replacement Cost (the insurer agrees to replace the insurable property regardless of the cost);
- Extended Replacement Cost (the insurer agrees to pay more than the property's insurable replacement cost);
- Replacement Cost, (the insurer agrees to pay up to 100% of the property's insurable replacement cost, but no more);
- The project's insurance risk appraisal; or
- A statement from the insurer or other applicable professional with appropriate expertise to make such a determination.

NOTE: If the policy includes a coinsurance clause, an Agreed Amount Endorsement or selection of the Agreed Value Option (which waives the requirement for coinsurance) is acceptable evidence that the 100% insurable replacement cost requirement has been met.

The maximum allowable per unit deductible for all required property insurance perils covered by a master property insurance policy is \$50,000 per unit. When the master property insurance policy has a per unit deductible, the borrower must have a unit owners property insurance policy (HO-6).

HO-6 (Walls-in Coverage Policy)

HO-6 Insurance is required on all condominium units unless the interior of the unit is included in the HOA master insurance policy, known as a "Single Entity" or "All-In/All-Inclusive" policy. The HO-6 coverage amount is determined by the property insurer and must be sufficient to repair the condo unit to its condition prior to a loss claim event.

	Requirements for Individual Property Insurance Policies
Determining when a unit owners property	The borrower must have a unit owners property insurance policy when: ■ any portion of the interior of the unit or improvements to the unit are not covered by the master property insurance policy, or ■ the master property insurance policy includes a per unit deductible.



Requirements for Individual Property Insurance Policies	
insurance policy is required	
Coverage sufficiency	The minimum amount of coverage required for a unit owners property insurance policy must be at least equal to the greater of: - an amount sufficient to cover any portion of the interior of the unit or improvements to the unit not covered by the master property policy in order to restore the unit to its condition prior to a loss event; or - the amount of the per unit deductible, if the master property insurance policy has a per unit deductible. Coverage amount sufficiency should be based on the best information known or available to the lender or servicer, which may include information obtained from the borrower in collaboration with the insurer or insurance agent, the HOA or co-op corporation legal documents, or other professional with appropriate expertise to make such a determination. Fannie Mae recommends that lenders and servicers encourage borrowers to closely collaborate with an insurance professional to determine their individual insurance needs.
Required	See <i>Coverage Requirements in Selling Guide</i> B7-3-02, Property Insurance Requirements for One-to Four-Unit Properties for the coverage requirements when a unit owners property insurance policy is required for a unit in a project development. If the master property insurance policy includes a per unit deductible applicable to a specific required peril, the unit owner's property insurance policy must include coverage for that peril.
Loss Settlement	The unit owner's property insurance policy must provide coverage on a replacement cost basis.

Special Endorsements

Required endorsements are as follows:

- Inflation Guard Endorsement, when it can be obtained.
- Building Ordinance or Law Endorsement: If the enforcement of any building, zoning, or land use law would result in loss or damage, increased cost of repairs or reconstruction, or additional demolition and removal costs to rebuild after a covered loss occurs, the endorsement must provide for contingent liability from the operation of building laws, demolition costs, and increased costs of reconstruction.

The Building Ordinance endorsement is not required if it is not applicable or the coverage is not obtainable in the insurance market available to the association.

- Boiler and Machinery/Equipment Breakdown Endorsement: If the project has central heating or cooling, the endorsement should provide a minimum liability per accident of at least \$2 million or the insurable value of the building(s) where the boiler or machinery is located.

NOTE: In lieu of obtaining the Boiler and Machinery/Equipment Breakdown endorsement, the project may purchase separate standalone boiler and machinery coverage.

***Deductible Maximum***

The maximum deductible is the greater of 5% of the face value of the policy or \$2,500.

FHA-approved projects or new projects submitted for FHA approval, the HOA must maintain sufficient funds to cover all insurance premiums and deductibles.

Policy Period

For purchase and refinance transactions, the master policy cannot expire before loan disbursement date.

Paid Receipt

Purchase transactions require documentation that the policy was paid for a year. Acceptable documentation is a paid receipt or a copy of the check payable to the insurance company. If paid at closing, the payment must be indicated on the CD.

Refinance transactions require evidence of paid receipt through, at minimum, the policy period.

Insured Names and Property Address

The master policy must list the HOA as the insured. Individual unit certificates must reference all individuals on the title.

Condominium Projects - Fidelity/Crime Insurance

Evidence of fidelity/crime insurance is required for condominium projects except for projects that qualify for a waiver of project review, projects under Limited Review method, less than 20 units or projects that would need fidelity insurance of \$5,000 or less. In states that have statutory fidelity/crime insurance requirements, those requirements are acceptable in place of Fannie Mae requirements.

The HOA must have blanket fidelity insurance for any party that handles or is responsible for funds it holds or administers, even if the party is not compensated for their services. The policy must name the HOA as the insured, and the premiums should be paid as a common expense by the HOA. The policy must include a provision for 10 days' written notice before the policy can be canceled or modified for any reason.

If a management company handles the funds for the HOA, the management company must be covered by its own fidelity insurance.

The fidelity insurance must cover the maximum amount of funds that are in the custody of the HOA or its management agent at any time the policy is in force. Fidelity insurance is not required if the maximum estimated funds are less than or equal to \$5,000.

The coverage amount may be less if the condominium's legal documents require the HOA or management company to have **one** of the following financial controls in place:

- Separate bank accounts are maintained for the working account and the reserve account and each have specific access controls and the bank in which the funds are deposited sends copies of the monthly bank statements directly to the HOA; or
- The management company maintains separate records and bank accounts for each HOA that provides services for and the management company does not have the authorization to draw checks on or



- transfer funds from the HOA's reserve account; or
- Two members of the Board of Directors must sign any checks written on the reserve account.

The fidelity insurance must, at minimum cover at least the sum of three months of assessments on all units in the project even with the above financial controls in place.

Condominium and PUD Projects - Liability Insurance

Evidence of liability insurance is required for condominium and PUD projects as follows:

- Liability insurance coverage must be verified as part of the project review.
- HOA must maintain a commercial general liability insurance policy for the entire project, including all common areas and elements, public ways, and any other areas that are under its supervision. The insurance must also cover commercial spaces that are owned by the HOA, even if they are leased to others. The commercial general liability insurance policy must provide coverage for bodily injury and property damage that result from the operation, maintenance, or use of the project's common areas and elements.
- The amount of coverage must be at least \$1 million for bodily injury and property damage for any single occurrence. Higher amounts of coverage may be required if similar amounts are usually required by mortgage investors in other projects in the area.
- If the policy does not include "severability of interest" in its terms, a specific endorsement to preclude the insurer's denial of a unit owner's claim because of negligent acts of the HOA or of other unit owners is required.
- The policy must provide for at least 10 days written notice to the HOA before the insurer cancels or substantially modifies the policy.

Exceptions to Liability Insurance

- Projects that qualify for a waiver of project review.
- Condo Projects under the Limited Review method.

Flood Insurance

Single Family and Individual PUD Units

Amount of Coverage

The minimum amount of flood insurance required for 1-4 unit properties, including individual PUD units and specific types of condo units (i.e., detached condos, townhouses, rowhouses) is the lesser of:

- 100% replacement cost of insured value, or
- The maximum insurance available from the NFIP, which is currently \$250,000 per dwelling, or
- The unpaid principal balance of the mortgage.

Policy Period

Purchase transactions require the coverage to begin no later than date of closing for a minimum of 12 months. Acceptable documentation is a paid receipt or a copy of the check payable to the insurance company. If paid at closing, the payment must be indicated on the CD.

Refinance transactions require the coverage to extend for a minimum of one month after the first payment is made. Evidence the policy is paid in full is required.



Maximum Deductible

FNMA/FHLMC/FHA/VA — Deductible must meet NFIP requirements for the type of improvement insured unless the applicable state law requires a higher deductible amount.

USDA — Unless a higher amount is allowed by state or federal law (which includes FEMA policies), the maximum deductible clause for a flood insurance policy should not exceed \$10,000.

Insured Names and Property Address

All parties on title **must** be on the insurance policy. The legal address of the property must match the appraisal and title.

NOTE: If an AKA is being used due to a mailing address, the zip code must match, or an AKA cannot be used.

Condominium and PUD Projects

Condominium Projects

Stand-alone flood insurance policies for individual units in an attached condominium project are not acceptable. A master condo flood insurance policy **must be maintained** by the HOA. The Seller must verify that the HOA maintains a Residential Condominium Building Association Policy or equivalent private flood insurance coverage for the **subject unit's building** if it is located in an SFHA.

The master policy must cover all of the common elements and property (including machinery and equipment that are part of the building), as well as each of the individual units in the building.

NOTE: Any machinery and equipment that are not part of the building are not required to be covered under a Residential Condominium Building Association Policy (RCBAP).

The master flood insurance policy must be at least equal to the lower of:

- 80% of the replacement cost, or
- The maximum insurance available from NFIP per unit, which is currently \$250,000.

The contents coverage should equal 100% of the insurable value of all contents owned in common by association members.

If the condo project master policy meets the minimum coverage requirements above but does not meet the 1-4 unit coverage requirements, a supplemental policy may be obtained by the unit owner for the difference.

If the condo project has no master flood insurance policy or if the master flood insurance policy does not meet the requirements above, the loan is **ineligible** for purchase.

PUD Project Coverage

The amount of flood insurance coverage for the common areas of a PUD project should be at least equal to the lesser of:

- 100% of the insurable value of the facilities, or
- The maximum coverage available under the NFIP.



Maximum Allowable Deductibles

The deductible for the master project must meet NFIP requirements for the type of improvement insured unless the applicable state law requires a higher deductible amount.

Title Insurance

The title insurance policy must ensure that the title is acceptable and that the mortgage constitutes a lien of the required priority on a fee simple or leasehold estate.

Acceptable Insurers

The title insurer must have a rating from at least one independent rating agency with the following rating:

Rating Agency	Rating Requirements
Demotech, Inc.	Financial Stability Rating of S (Substantial) or better or a Statutory Accounting Rating of C (Average or better)
Duff & Phelps Credit Rating Company	BBB or better
Fitch, Inc.	BBB or better
LACE Financial Corporation	C or better
Moody's Investors Service	Baa or better
Standard and Poor's, Inc.	BBB or better

Coverage

Loans originated on or after January 1, 2008, require the title policy to be written on one of the following forms:

- 2006 American Land Title Association (ALTA) standard form, or
- ALTA short form (must provide coverage equivalent to the 2006 ALTA standard form), or
- ALTA form with amendments as required by state law in states in which standard ALTA forms of coverage are not used or in which the 2006 ALTA forms have not yet been adopted. The amendments cannot materially impair protection to Planet.

Loans originated prior to January 1, 2008, require the title policy to use either the appropriate 2006 ALTA form noted below or ensure the title coverage meets the requirements in place at the time of mortgage loan origination.

The amount of title insurance coverage must, at minimum, be equal to the original principal amount of the mortgage.

Effective Date of Coverage

The effective date of the title insurance coverage written on forms that do not provide the gap coverage included in the 2006 ALTA policies may be no earlier than the later of the date of the final disbursement of loan proceeds or the date the mortgage was recorded.



Because the 2006 ALTA forms provide protection for the time between loan closing and recordation of the mortgage, policies written on those forms may be effective as of loan closing.

Additional Title Insurance Requirements

If a mortgage is registered with MERS and is originated naming MERS as the original mortgagee of record, solely as nominee for the lender named in the security instrument and the note, and the lender's successors and assigns, then the "insured mortgage" covered by the title insurance policy must be identified in the title insurance policy as the security instrument given to MERS, solely as nominee for the lender and lender's successors and assigns. However, under no circumstances may MERS be named as "insured" of a title policy.

The title insurance coverage must include an environmental protection lien endorsement (ALTA Endorsement 8.1-06 or an equivalent state form that provides the required coverage).

References are to the ALTA 2006 form of endorsement, but state forms may be used in states in which standard ALTA forms of coverage are not used or in which the 2006 ALTA forms have not yet been adopted, provided that those amendments do not materially impair protection to Planet. As an alternative to endorsements, the requisite protections may be incorporated into the policy. For loans originated prior to January 1, 2008, endorsement forms that meet Fannie Mae requirements at the time of origination are acceptable.

Title policies may not include the creditors' rights exclusion language that ALTA adopted in 1990.

Special Considerations

Condo and PUD Units

The title insurance policy for a condo or PUD unit mortgage must describe all components of the unit estate.

Condo unit mortgages require an ALTA Endorsement 4-06 or 4.1-06 or its equivalent. The endorsement must be attached to each policy or incorporated into the text of the policy.

PUD unit mortgages require an ALTA Endorsement 5-06 or 5.1-06 or its equivalent. The endorsement must be attached to each policy or incorporated into the text of the policy.

If the unit owners own the common areas of the project as tenants-in-common, the policy for each unit mortgage must reflect that ownership.

If the HOA owns the common elements areas or facilities of the project separately (or holds them in a leasehold estate), the title insurance on those areas must ensure that ownership.

This title policy must show that title to the common elements, areas, or facilities are free and clear of any objectionable liens and encumbrances, including any statutory or mechanic's liens for labor or materials related to improvements on the common areas that began before the title policy was issued.

The title policy must protect Planet by insuring:

- The mortgage is superior to any lien for unpaid common expense assessments. In jurisdictions that give these assessments a limited priority over a first or second mortgage lien, the policy must provide assurance that those assessments have been paid through the effective date of the policy.
- Against any impairment or loss of title of Planet's first lien caused by any past, present, or future violations of any covenants, conditions, or restrictions of the master deed for the project. It must



- specifically insure against any loss that results from a violation that existed as of the date of the policy.
- That the unit does not encroach on another unit or any of the common elements, areas, or facilities. The policy also must insure that there is no encroachment on the unit by another unit or by any of the common elements, areas, or facilities.
 - That the mortgage loan is secured by a unit in a condo project that has been created in compliance with the applicable enabling statutes.
 - That real estate taxes are assessable, and a lien may only be placed on the individual condo unit and its undivided interest in the common elements, rather than against the project as a whole.
 - That the owner of a PUD unit is a member of the HOA, and that the membership is transferable if the unit is sold.

Leasehold Estates

A mortgage that is subject to a leasehold estate must have an ALTA Endorsement 13.1-06. When a mortgage loan is secured by a property held by a community land trust, the lender's title insurance policy (or an endorsement to the policy) must expressly confirm the following:

- The recording of the complete community land trust ground lease or ground lease memorandum.
- The recording of the Community Land Trust Ground Lease Rider (Form 2100).
- The community land trust mortgage is a first lien on the leasehold estate and the improvements.
- There are no existing mortgage loans or other liens on the fee estate, except as maybe permitted under Form 2100.
- The ground lessor's reversionary interest is subordinate to the community land trust mortgage.
- There are no related community land trust ground lease occupancy and resale restrictions, covenants, or agreements that "run with the land" and have been recorded apart from the ground lease, except as may be permitted under Form 2100.

Manufactured Homes

Planet requires that manufactured homes have a title policy that includes the endorsement for manufactured homes, ALTA Endorsement 7. In 2006, ALTA adopted two additional manufactured home endorsements, Endorsement 7.1 and 7.2. Either of these new endorsements may be used in place of Endorsement 7 for loans delivered to Planet. The mortgage must be covered under a standard real property title insurance policy that insures that the manufactured home is part of the real property that secures the loan.

ALTA Endorsement 7, 7.1, or 7.2 or any other endorsement required in the applicable jurisdiction for manufactured homes to be treated as real property must be included in the file.

Title Exceptions

Loans with title exceptions are not eligible for purchase by Planet, specifically, unpaid real estate taxes and survey exceptions.

A survey or ALTA 9 Endorsement if required. If surveys are not commonly required in particular jurisdictions, an ALTA 9 Endorsement is acceptable. If it is not customary in a particular area to supply either the survey or an endorsement, the title policy must not have a survey exception.

By delivering the loan to Planet, the lender warrants that any minor impediments do not materially affect the marketability of the property and agrees to indemnify Planet if Planet should later incur a loss that can be directly attributed to the impediment(s).



Title for a property that secures a conventional mortgage is acceptable even though it may be subject to minor impediments.

Examples of minor impediments, include, but are not limited to:

- Customary public utility subsurface easements that were in place and completely covered when the mortgage was originated, as long as they do not extend under any buildings or other improvements.
- Above-surface public utility easements that extend along one or more of the property lines for distribution purposes or along the rear property line for drainage purposes, as long as they do not extend more than 12 feet from the property lines and do not interfere with any of the buildings or improvements or with the use of the property itself.
- Mutual easement agreements that establish joint driveways or party walls constructed on the security property and on an adjoining property, as long as all future owners have unlimited and unrestricted use of them.
- Restrictive covenants, conditions, cost, and minimum dwelling size or set back restrictions, as long as their violation will not result in forfeiture or reversion of title or a lien of any kind for damages or have an adverse effect on the fair market value of the property.
- Encroachments of one foot or less on adjoining property by eaves or other overhanging projections or by driveways, as long as there is at least a 10-foot clearance between the buildings on the security property and the property line affected by the encroachment.
- Encroachments on adjoining properties, as long as those encroachments consist only of hedges or removable fences.
- Outstanding oil, water, or mineral rights that are customarily waived by other lenders, as long as they do not materially alter the contour of the property or impair its value or usefulness for its intended purposes.
- Variations between the appraisal report and the records of possession regarding the length of the property lines, as long as the variations do not interfere with the current use of the improvements and are within an acceptable range. For front property lines, a 2% variation is acceptable; for all other property lines, 5% is acceptable.
- Rights of lawful parties in possession, as long as such rights do not include the right of first refusal to purchase the property. No rights of parties in possession, including the term of a tenant's lease, may have duration of more than two years.
- Minor discrepancies in the description of the area, as long as the lender provides a survey and affirmative title insurance against all loss or damage resulting from the discrepancies.
- Exceptions to Indian claims, as long as the lender is insured against all loss and damage from such claims.

Loans secured by properties with an unexpired redemption period are not eligible for purchase unless:

- The property is located in a state where it is common and customary to sell single-family residential properties during the redemption period.
- The mortgagee policy of title insurance must take specific exception to the unexpired right of redemption but also affirmatively insure the mortgagee against all loss arising out of the exercise of any outstanding right of redemption, without qualification.
- If any party exercises a right to redeem the mortgaged property, the mortgage must be paid off directly out of the redemption proceeds with no requirement for any further action or claim for repayment.
- By delivering the mortgage loan to Planet, the Seller warrants that Planet will not incur any loss due to the exercise of any party of a right to redeem the mortgaged property, including without limitation, a loss related to a borrower default due to a dispute with the redeeming party over the terms of the redemption. Additionally, the lender agrees to indemnify Planet if Planet should incur a loss that can be directly attributed to the impediment(s).



Compliance with Statutes and Regulations

The Seller must comply with all local, state, and federal statutes and regulations governing the transfer of servicing and notification to the borrower. All interim servicing performed on loans purchased by Planet must be serviced in accordance with this Seller Guide.

IRS Reporting

The Seller must comply with IRS reporting requirements for points and interest paid by the borrower, interest on escrow funds paid by the Seller, and tax disbursements as of the effective date of servicing transfer. It is the Seller's responsibility to prepare and deliver a change of servicer notification and a Servicing Transfer Letter to the borrower.

The Servicing Transfer Letter (aka Good-bye Letter) must comply with all applicable laws and statutes governing the transfer of servicing.

Notification of Change of Servicer

A Notification of Change of Servicer is required for all of the following, as applicable.

- Condominium Insurers
- Earthquake Insurers
- Flood Insurance Company
- Flood Zone Determination Company
- Property Insurance Company
- Private Mortgage Insurance Company
- PUD Insurers

Payments Received by Seller

If a Seller receives a payment due to Planet, it is the Seller's responsibility to endorse and forward the payment within 24 hours of receipt.

Payments should be mailed to the following address:

Planet Home Lending, LLC
321 Research Parkway, Suite 303
Meriden, CT 06450
Attn: Transfer Coordinator

Payment Endorsement

All payments must be endorsed as follows:

Pay to the Order of:

Planet Home Lending, LLC
Without Recourse [Seller]
[Signature of Officer]
[Officer's Name and Title]

The Planet servicing number must be included on all payments to ensure proper credit.



Escrow Reconciliation

If a Seller is due escrow funds from Planet, a written request must be submitted for reimbursement; funds will **not** be issued without a written request. The request must include documentation supporting the request. The Seller has 60 days after the date of purchase to request funds.

Federal law prohibits any reimbursement from the escrow account after an escrow analysis has been completed; therefore, all reimbursement requests received after 60 days will be denied.

Planet strongly recommends the Seller conduct a reconciliation of the escrow immediately after purchase. The borrower is allowed to request an early analysis or an escrow deletion on their loan.

To expedite the request for reimbursement of escrow funds, the Seller must submit the following documentation:

- A written request for reimbursement of escrow funds
- CD
- Loan history
- Loan submission summary

Tax Information

The Seller is responsible for providing Planet with complete and accurate tax information. This information is imperative to properly begin the administration of the tax escrow account for servicing.

The Seller is responsible for any tax penalties incurred due to incorrect information being provided to Planet.

Purchase Advice

When a loan has been approved for purchase, a Purchase Advice is automatically uploaded to the CORE Seller Portal. Users authorized by the Seller can view the Purchase Advice in the CORE Seller Portal. Account Managers will not call or email the Seller to notify of a loan receiving a Purchase Advice.

Wire Transfer

On the purchase date, Planet wires all transfer funds due to the depository institution that is identified on the wire transfer instructions or Bailee Letter. The funds include the principal balance adjusted for interest, premiums, discounts, escrow and any other applicable fees.

A sample **Wire Authorization** form is located on the CORE Seller Portal at www.phlcorrespondent.com under the **Forms and Resources** link.

Purchasing

On the date of purchase, the unpaid principal balance of the loan is calculated based on the effective servicing transfer date.

- Loans purchased **with > 14 calendar days** from the end of the month; the effective servicing transfer date will be the first day of the month following the month of purchase.
- Loans purchased **≤ 14 days** from the end of the month; the effective servicing transfer date will be the first day of the second month following the month of purchase.



If a loan payment is scheduled before the servicing transfer date, the principal portion of the scheduled payment is deducted from the principal balance of the loan.

Government ARM Change Dates

To meet Ginnie Mae delivery requirements, the initial interest rate adjustment dates are set on a quarterly basis and must be carefully adhered to. All Government ARM notes should indicate a 45-day look-back period for interest rate adjustments. To determine the purchase by date, locate the applicable initial interest rate adjustment date and first payment date range in the table below, then identify the corresponding purchase deadline.

Example: If a note has a first payment date of August 1, 2026, and has an initial interest rate adjustment date of January 1, 2032, the loan must be purchased by Planet no later than December 8, 2026.

5/1 Adjustable-Rate Mortgage – Initial Interest Rate Adjustment Dates					
First Payment Date on the Note must be between		Initial Interest Rate Adjustment date must be	Loans submitted between		Loan must be purchased by
04/01/2026	10/01/2026	10/01/2031	05/16/2026	08/14/2026	09/08/2026
07/01/2026	01/01/2027	01/01/2032	08/15/2026	11/13/2026	12/08/2026
10/01/2026	04/01/2027	04/01/2032	11/16/2026	02/15/2027	03/10/2027
01/01/2027	07/01/2027	07/01/2032	02/16/2027	05/17/2027	06/09/2027
04/01/2027	10/01/2027	10/01/2032	05/18/2027	08/16/2027	09/09/2027
07/01/2027	01/01/2028	01/01/2033	08/17/2027	11/16/2027	12/09/2027

3/1 Adjustable-Rate Mortgage – Initial Interest Rate Adjustment Dates					
First Payment Date on the Note must be between		Initial Interest Rate Adjustment date must be	Loans submitted between		Loan must be purchased by
04/01/2026	10/01/2026	10/01/2029	05/16/2026	08/14/2026	09/08/2026
07/01/2026	01/01/2027	01/01/2030	08/15/2026	11/13/2026	12/08/2026
10/01/2026	04/01/2027	04/01/2030	11/16/2026	02/15/2027	03/10/2027
01/01/2027	07/01/2027	07/01/2030	02/16/2027	05/17/2027	06/09/2027
04/01/2027	10/01/2027	10/01/2030	05/18/2027	08/16/2027	09/09/2027
07/01/2027	01/01/2028	01/01/2031	08/17/2027	11/16/2027	12/09/2027

Mortgage Credit Certificate

Planet will accept Mortgage Credit Certificates (MCCs) on all purchase transactions.



Escrow Funds

Planet requires an impound/escrow account on all loans with an LTV of 80.01% or more unless prohibited by state law. Mortgage insurance must always be impounded unless prohibited by state law.

Planet strongly recommends that when an escrow account for taxes and insurance is established at closing, the taxes and insurance are calculated using the maximum cushion permitted by the mortgage loan documents or applicable law, whichever is lower. If a lesser amount is escrowed, the borrower may experience an unexpected increase in their monthly payment shortly after the transfer date. An escrow cushion is not collected for PMI or FHA's MI premium.

Borrowers have the option to request an impound account for taxes and insurance when impounds are not mandated by policy or state law. Loans with impounds are purchased with the impound balance.

Planet recommends two months escrow cushion unless otherwise mandated by state law as indicated below:

- Montana — One Month
- Nevada — Zero Cushion
- North Dakota — Zero Cushion

Escrowed Flood Insurance Premiums

Planet aligns with the Biggert-Waters Flood Insurance Reform Act of 2012 regarding escrowed flood insurance premiums. On all loans closed on or after January 1, 2016, including but not limited to, Higher-Priced Mortgage Loans (HPML), the Seller must provide the following prior to purchase by Planet:

- Evidence that all flood insurance premiums have been escrowed (regardless of any other fees and charges associated with the loan) prior to purchase.
- Seller must provide a Standard Flood Hazard Determination Form (SFHDF) on all properties prior to purchase by Planet.

NOTE: Planet will not waive the escrow for flood insurance premiums on loans secured by 1-4 unit properties (including PUDs and site condos). Loans closed on or after January 1, 2016, where flood insurance is required and no flood escrow has been established, are **not** eligible for purchase.

Planet will not purchase loans with negative escrow balances.

Escrow Holdbacks for Repairs

Fannie Mae, Freddie Mac, FHA, and VA Loans

Escrow holdbacks for repairs are permitted and must follow the applicable Agency/GSE guidelines with the following exceptions:

- Not permitted on FHA 203(b) HUD REO properties
- Holdbacks on VA loans must be completed and disbursed no more than 60 days from closing.
Holdbacks on Fannie Mae, Freddie Mac, FHA, and USDA loans must be completed and disbursed no more than 180 days from closing.
- An as-is appraisal with an escrow repair holdback requires an exception from Credit Risk Management.
- Repairs may not include:
 - Any item that impacts safety, habitability, or marketability of the subject property
 - Roof repairs



- Pool repairs or pool installations
- Foundation repairs
- Septic repairs

In addition to any Agency/GSE specific restrictions, Planet requires:

- The Subject Property must be a primary residence
- An Escrow Agreement signed by Borrower, Seller (when applicable), Title Company, and Lender
- A Certificate of Completion from the original Appraiser upon completion of the repairs
- An Escrow Hold Back Disbursement Request Form upon completion of the repairs, evidence that all repairs have been satisfactorily completed
- Final invoice from the contractor(s) for the required repairs
- A completed Escrow Hold Back Disbursement Request Form upon completion of the repairs with evidence of payment(s)
- FHA transactions must include the fully executed Mortgagee Assurance of Completion HUD-92300
- FHA transactions must evidence that the repair work has been closed out of FHA Connection upon completion of the repairs
- No Mechanic Lien can be attached to the subject property on the Final Title Policy

Copies of 1004D Completion Certificate and Evidence of Release of Holdback Funds must be sent to trailingdocuments@planetlending.com.

USDA Loans

Escrow holdbacks for repairs are permitted and must follow USDA Guidelines, including the following items:

- Standard Repair Escrow:
 - The Subject Property must be a primary residence.
 - Incomplete "minor" work does not affect the livability of the dwelling, nor the health or safety of the occupants.
 - A signed contract between the borrower and the contractor.
 - An Escrow Agreement signed by Borrower, Seller (when applicable), Title Company, and Lender.
 - Funds to be escrowed are no less than 100% of the repair cost contract.
 - Closing Disclosure must reflect the holdback.
 - Work to be completed within 180 days of closing.
 - The Escrow account is established in a federally supervised financial institution.
 - A Certificate of Completion from the original Appraiser upon completion of the repairs
 - An Escrow Hold Back Disbursement Request Form upon completion of the repairs, evidencing all repairs have been satisfactorily completed
 - Final invoice from the contractor(s) for the required repairs
 - A completed Escrow Hold Back Disbursement Request Form upon completion of the repairs with evidence of payment(s)
 - Evidence of the Principal Reduction ("PR"), if applicable
 - No Mechanic Lien can be attached to the subject property on the Final Title Policy
- Financing of Repairs Home, Upgrades, and Standard Repair Escrow:
 - The Subject Property must be a primary residence.
 - Incomplete "minor" work does not affect the livability of the dwelling, nor the health or safety of the occupants that the Appraisal was made subject to or Essential Household Equipment such as wall to wall carpeting, ovens, range, refrigerators, washers, dryers and heating/cooling systems or Energy Efficiency Measures such as the purchase and installation of measures to promote energy efficiency, such as insulation, double paneled glass and solar panels.
 - Above items can be included in loan amount, not to exceed the appraised value.
 - A signed contract between the borrower and the contractor.



- An Escrow Agreement signed by Borrower, Seller (when applicable), Title Company, and Lender.
- Funds to be escrowed are no less than 100% of the repair cost contract.
- Closing Disclosure must reflect the holdback.
- Work to be completed within 180 days of closing.
- The Escrow account is established in a federally supervised financial institution.
- A Certificate of Completion from the original Appraiser upon completion of the repairs
- An Escrow Hold Back Disbursement Request Form upon completion of the repairs, evidencing all repairs have been satisfactorily completed
- Final invoice from the contractor(s) for the required repairs
- A completed Escrow Hold Back Disbursement Request Form upon completion of the repairs with evidence of payment(s)
- Evidence of the Principal Reduction (PR), if applicable
- No Mechanic Lien can be attached to the subject property on the Final Title Policy

Purchase Reconciliation

The purchase amount is calculated by adjusting the principal balance, plus any applicable fees or penalties (based on the Transfer of Service) minus the following:

- Escrowed funds calculated by Planet.
- Fees and interest payments scheduled prior to, but not including, the purchase date.

The Seller is credited any interest not collected and accrued on the loan prior to, but not including, the purchase date.

The purchase price is adjusted accordingly when satisfactory evidence of payments is provided to Planet.

The Purchase Advice shows all figures. Calculation of purchase proceeds uses the unpaid principal balance of the loan and includes accrued interest based upon a 360-day year. Loans originated using a 365-day year are also eligible for purchase, but per diem used for the purchase is based upon a 360-day year. This period begins the first day of the month through the day prior to the purchase date.

If the purchase date is before the cut-off date, the loan is purchased based on the assumption that the interest is paid to the first day of the month.

Loans Purchased into the Month

Loans purchased **≤ 14 days** from the end of the month will amortize the principal balance forward. After purchase, the Seller will retain one scheduled P&I payment and escrow payment, if applicable. All other excess principal or escrow payments received by the Seller must be forwarded to Planet.

The Seller is required to remit any payments received from a borrower after the transfer date to:

Planet Home Lending, LLC
321 Research Parkway, Suite 303
Meriden, CT 06450
Attn: Transfer Coordinator

The Planet servicing number must be clearly identified on the payment.

Notification Letters

Notification Letters must be sent for the following:



Property Insurance

All mortgage loans must have a hazard policy that insures the mortgaged property. The Seller must notify the borrower's insurance carrier that as of the date of transfer the mortgagee clause must read:

Planet Home Lending, LLC
Its Successors and/or Assigns, ATIMA
P. O. Box 5023
Troy, MI 48007-5023

The Seller must pay all insurance premiums when the bill is due and available prior to purchase by Planet.

Flood Insurance

If a property is located in a special flood hazard zone, the borrower must have a flood policy covering the mortgaged property. The Seller must notify the borrower's insurance carrier that as of the date of transfer the mortgagee clause must read:

Planet Home Lending, LLC
Its Successors and/or Assigns, ATIMA
P. O. Box 5023
Troy, MI 48007-5023

If the mortgaged property is **not** located in an SFHA but the borrower elects to secure flood insurance, Planet will **not** collect the escrow funds for disbursement for flood insurance.

If the mortgaged property is in an SFHA and is covered by flood insurance, Planet must also escrow the flood insurance if hazard insurance is being escrowed.

Flood Determination

Every mortgage loan must have a Life of Loan Flood Determination. The Seller is required to notify the Flood Determination Company that as of the transfer date the servicer is changed to the following:

Planet Home Lending, LLC
Its Successors and/or Assigns, ATIMA
P. O. Box 5023
Troy, MI 48007-5023

Private Mortgage Insurance

The Seller is responsible for making any PMI disbursements due on amortized loans prior to the transfer date on any mortgage loan requiring PMI. The Seller must notify the PMI Company that as of the transfer date the servicer is changed to the following:

Planet Home Lending, LLC
Its Successors and/or Assigns, ATIMA
P. O. Box 5023
Troy, MI 48007-5023



Taxes

All original tax bills must be forwarded to the following:

Corelogic Tax Service
3001 Hackberry
Irving, TX 75063

If the property is located in the state of New Jersey, Planet's bank code 00597 must be included on the Authorization letter to the tax office.

The Seller must make every effort to accurately determine the amount of taxes on the property including contacting the appropriate taxing authority if required. Planet requires property taxes to be calculated based on Fannie Mae requirements, which require the calculation be based on no less than the current assessed value of the property.

For Purchase transactions involving an existing property, the tax calculation should be based on the effective rate for the tax rate area where the property is located if located in a state/jurisdiction that re-assesses the property after purchase/transfer. The effective rate and the timeline for the re-assessment may be obtained from the county/jurisdictional tax assessor's office which can be accessed online. If the information cannot be obtained, the tax calculation should be based on the preliminary title report. If the property is subject to Mello Roos or other special assessments, and the taxes are being taken directly from the preliminary title report, the amount of the Mello-Roos/special assessments must be added. If the tax calculation is lower than the current taxes, the calculation must be documented on the 1008/LT.

Refinance transactions should have the taxes calculated based on the preliminary title report unless the property was recently purchased, and the taxes will be greater than the amount shown on the preliminary title.

In Purchase transactions, the taxes should be calculated based on 1.25% of the sales price plus any Mello-Roos and other special assessments unless there is documentation provided that lower calculations apply.

If a mortgage loan is secured by new construction or is an existing property where improvements to the property have been completed, taxes provided by the taxing authority may be under-assessed.

When a mortgage loan is closed on a newly built dwelling (previously unimproved land), a monthly impound will be assessed based on Full Value to avoid payment shock to the borrower. This assessment is based on the unimproved land and the newly built dwelling.

The Seller must pay all unpaid taxes when the bill is due and available prior to purchase by Planet. The Seller is responsible for identifying Multiple Tax Parcels. Planet will not be responsible for any loss, expenses or penalties associated with taxes not paid at closing or for Multiple Tax Parcels not identified at the time of purchase.

The Seller should not place a tax service; the servicer will **not** accept a tax service and the servicer will not be responsible for any transfer fee related to a tax service that has been placed by the Seller.

Loan Assignments

Planet recommends that Sellers use the Mortgage Electronic Registration Systems (MERS) to transfer ownership and servicing of loans to Planet. No assignment is necessary if the Security Instrument is a MERS as the Original Mortgagee (MOM) document.



Loans should be closed with MERS as the MOM or as the Assignee. Planet loans are registered in MERS as Planet Home Lending. The Planet Home Lending Organization ID is: 1006543.

MOM Loans

Sellers that are MERS members should complete the loan closing on MOM documents; no assignments are required. The Mortgage Identification Number (MIN) is placed on the Security Instrument to the right of or below the form title (do not place within the recording margin of the document).

MERS as the Assignee

Sellers should designate MERS as the assignee on the Assignment of Mortgage as follows:

Mortgage Electronic Registration Systems, Inc.
Its Successors and/or Assigns
P.O. Box 2026
Flint, MI 48501-2026

The loan number and MIN number should be printed at the top of the Assignment, directly above the recorder information. The MERS phone number (888-679-6377) should also be included at the top of the page.

MERS Rider

A MERS Rider (Form 3158) is required for loans registered with MERS, with a Note dated on or after October 15, 2014, in the following states:

- Montana
- Oregon
- Washington

Post-closing assignments to MERS is prohibited in these states.

MERS Assignment Form — Maine

In the state of Maine, the Seller must use the MERS Mortgage Assignment (Form 3749) to assign loans to MERS at origination or post-closing, as applicable. Mortgage loans in which the Maine security instrument has been modified to name MERS as the original mortgagee of record, solely as nominee for the lender, are ineligible for delivery to Planet.

Non-MERS Loans

The Seller must prepare an assignment of mortgage for each mortgage loan sold to Planet. The loan must be assigned to Planet Home Lending, LLC.

Prior to purchase the Seller must:

- Deliver the original Assignment from the Seller to Planet to:

Planet Home Lending, LLC
Attn: Sabrina Zerio



321 Research Parkway, Suite 303
Meriden, CT 06450

- Deliver a certified copy of the Assignment from Seller to Planet with the original Note to the custodian.
- Deliver a certified copy of the Assignment from Seller to Planet with the closing package.
- Provide recording information for the Mortgage/Deed of Trust for the subject loan.

Planet will generate the MIN number and Assignment from Planet to MERS and is responsible for the recording of both Assignments. For each loan delivered without being on the MOM documents, Planet will charge \$50.00 to the Seller at purchase.

Transfer of MERS MIN

Within five days of purchase, the Seller is responsible for transferring the MIN to Planet Home Lending as Planet Home Lending Financial Services, Inc., ID 1006543. Once a batch number has been obtained, the Seller is responsible for emailing the information to the Planet Purchasing Department at phlmers@planethomelending.com.

Post Purchase Documents

Government Insuring Certificate/Guaranty and Delivery Instructions

All government loans (FHA, VA, USDA) must be insured within 60 days of the Note date.

Planet will validate the insuring status for all FHA and VA loans.

However, if a corrected certificate is required, those documents should be uploaded to the CORE Seller Portal through the Upload Documents link or submitted by Email to: governmentinsuring@planethomelending.com.

Failure to insure the loan or provide the USDA Loan Note Guaranty within 60 days of the Note date will result in the issuance of a repurchase demand allowing 30-days to cure. Failure to cure within 30 days will result in the issuance of an Uninsured Loan Deposit (ULD) invoice in the amount equal to 35% of the Note amount, payable in 7 days. The refundable deposit will be held until the insuring document is delivered and accepted by Planet. If the invoice is not paid, it will be net funded from future purchases. Once the government insuring document is received, the deposit will be refunded to the Seller.

Recorded Deed of Trust/Mortgage

Planet does not require the original recorded Deed of Trust/Mortgage document – a PDF copy is accepted. The document must be submitted to Planet within 120 days of the purchase date.

A \$100.00 recovery fee will be assessed to the Seller for each original recorded Deed of Trust/Mortgage not delivered and accepted by Planet within 270 days of purchase.

Final Title Policy and Delivery Instructions

The final title policy must be submitted to Planet within 120 days of the purchase date.

A \$100.00 recovery fee will be assessed to the Seller for each final title policy not delivered and accepted by Planet within 270 days of purchase.



Original Recorded Purchase/Quit Claim/Warranty Deeds and Power of Attorney Documents and Delivery Instructions

Planet does not require the **original** recorded Purchase/Quit Claim/Warranty Deeds and Power of Attorney documents, PDF copies are accepted. These documents should be uploaded into the CORE Seller Portal through the **Upload Documents** link.

All Other Post Purchase Conditions and Delivery Instructions

All other post purchase conditions are accepted via electronic delivery. Regardless of the purchase date, these documents should be uploaded into the CORE Seller Portal through the Upload Documents link.

Document Delivery Options

Choose one delivery method for each document delivered.

Email – Trailing Documents

- Send to: TrailingDocuments@PlanetHomeLending.com
- Accepted Documents:
 - Recorded Security Instrument
 - Recorded Modification
 - Recorded Assignment of Mortgage
 - Final Title Policy
 - Corrective Documents

Email - Government Insuring

- Send to: GovernmentInsuring@PlanetHomeLending.com
- Accepted Documents:
 - Government Insuring
 - Certificate/Guaranty

Shipping

- Address:

SourcePoint, Inc.
ATTN: Planet Trailing Docs Team
2330 Commerce Park Drive NE, Suite 2
Palm Bay, FL 32905
- Accepted Documents:
 - Recorded Security Instrument
 - Recorded Modification
 - Recorded Assignment of Mortgage
 - Final Title Policy

SFTP Delivery

- Credentials
 - **User ID:** PHL_Client
 - **External IP/URL:** 34.206.186.87



Port – 22

- **Password:** 3mxZZX27
- File Naming Convention:
 - PlanetLoanNum_TitlePolicy
 - PlanetLoanNum_RecordedMortgage
- Accepted Documents:
 - Recorded Security Instrument
 - Recorded Modification
 - Recorded Assignment of Mortgage
 - Final Title Policy

CORE Seller Portal

- Upload via: Upload Documents link
- Accepted Documents:
 - Government Insuring
 - Certificate/Guaranty

Principal Curtailment with Recast Payment

Planet allows principal curtailment payments with re-amortization (recast) of payment on conventional loan products. Borrowers can request a payment recast directly through Planet servicing.

- Request must be made in writing
- The principal curtailment payment is a minimum of \$10,000.00
- All checks must be received as “Certified Funds” with the exception of insurance loss checks
- The loan must be in good standing and payments current at time of request
- The borrower can contact Planet’s Servicing Department to obtain the amount of the applicable transaction processing fee

Written request must be sent to the following address:

Planet Home Lending, LLC

321 Research Parkway, Suite 303

Meriden, CT 06450

Attn: Cash Management

Phone: (866) 882-8187

Hours: Monday – Friday, 8:30 a.m. to 9 p.m. ET

APPENDIX A

PURCHASE AGREEMENT SUPPLEMENT

SECTION A-1. DEFINED TERMS AND INTERPRETIVE PRINCIPLES.

Subsection A-1.01. Defined Terms.

Each capitalized term that is used but not defined in the Agreement shall have the meaning ascribed thereto in this Subsection A-1.01; provided, however, (x) each capitalized term that is not defined in this Subsection A-1.01 shall be defined in accordance with Exhibit 1 to the Purchase Agreement, and (y) each capitalized term that is defined in both this Subsection A-1.01 and in Exhibit 1 to the Purchase Agreement shall be defined in accordance with this Subsection A-1.01 notwithstanding any contrary definition in Exhibit 1 to the Purchase Agreement.

Accepted Servicing Practices: With respect to any Mortgage Loan, each loan origination and Servicing policy, practice, and procedure that (a) complies with Applicable Laws and other Applicable Requirements to which such Mortgage Loan is or, at any relevant time, was subject, and (b) to the extent not inconsistent with clause (a), customarily is followed by prudent financial institutions which regularly service mortgage loans of the same type as the Mortgage Loan in the ordinary course of business and in the same jurisdiction where the related Mortgaged Property is located.

Action: Any formal or informal arbitration, examination, inquest, investigation, lawsuit, litigation, mediation, or other administrative, judicial, non-judicial, or quasi-judicial proceeding of any kind.

Affiliate: With respect to any specified Person, any other Person that directly or indirectly Controls, is Controlled by, or is under common Control with the specified Person. For purposes hereof, the term “Control” and each variant thereof shall mean the direct or indirect possession by any Person of the power to direct or cause the direction of the management or policies of any other Person, whether by contract, the ownership of voting securities, or otherwise.

Agency: Each of FHA, FHLMC, FNMA, GNMA, HUD, RD, RHS, USDA, and VA. For purposes hereof, the phrase “applicable Agency” shall mean, (a) with respect to any FHA Mortgage Loan, each of FHA and HUD, (b) with respect to any FHLMC Mortgage Loan, FHLMC, (c) with respect to any FNMA Mortgage Loan, FNMA, (d) with respect to any USDA Mortgage Loan, USDA, RD, and RHS, and (e) with respect to any VA Mortgage Loan, VA.

Agency Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in any FHA Requirement, FHLMC Requirement, FNMA Requirement, HUD Requirement, USDA Requirement, or VA Requirement to which such Mortgage Loan is or, at any relevant time, was subject, including, with respect to any Government Mortgage Loan, each obligation imposed by or requirement specified in any GNMA Requirement to which such Mortgage Loan is or, upon delivery and pooling into a GNMA Pool, will be subject.

Ancillary Income: With respect to any Mortgage Loan, (a) all charges and fees assessed or received by or on behalf of the Mortgagee in connection with the Servicing of the Mortgage Loan, including all assumption fees, autopay fees, convenience fees, conversion fees, exit fees, extension fees, foreclosure fees, incentive fees, insurance fees, late fees, Loss Mitigation fees, modification fees, Prepayment Penalties, reconveyance fees, reinstatement fees, release fees, returned check fees, subordination fees, workout fees, and similar incidental charges and fees, and (b) all income, interest, and other float benefits earned on the

deposit or investment of any Loan Proceeds held in any custodial, escrow, reserve, or other account maintained by or on behalf of the Mortgagee.

Applicable Law: With respect to any Person (including any Covered Person or any Mortgagor) or thing (including any Mortgage Loan or any Mortgaged Property), each Law to which such Person or thing is or, at any relevant time, was subject.

Applicable Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) the Agreement or any other Planet Requirement to which such Mortgage Loan is or, at any relevant time, was subject, (b) the related Loan Documents or any other oral or written agreement, arrangement, or contract by any Covered Person and to which such Mortgage Loan is or, at any relevant time, was subject, (c) any Applicable Laws or Accepted Servicing Practices to which such Mortgage Loan is or, at any relevant time, was subject, (d) with respect to any Conventional Mortgage Loan or Government Mortgage Loan, any applicable Agency Requirements to which such Mortgage Loan is or, at any relevant time, was subject, and (e) with respect to any MERS Mortgage Loan, any applicable MERS Requirements to which such Mortgage Loan is or, at any relevant time, was subject.

Assignment of Assignment of Leases and Rents: With respect to any Business Purpose Mortgage Loan, a duly executed, notarized, and recordable form of written instrument that (a) evidences an unconditional, unqualified, and unrestricted assignment of the related Assignment of Leases and Rents to Planet on and as of the related Purchase Date, (b) contains a conspicuous statement that such instrument shall be returned to Planet upon recordation, and (c) complies, in both form and substance, with applicable Planet Requirements and Applicable Laws of the jurisdiction where the Mortgaged Property is located.

Assignment of Leases and Rents: With respect to any Business Purpose Mortgage Loan, a duly executed, notarized, and recordable form of written instrument that (a) evidences an unconditional, unqualified, and unrestricted assignment of all leases, proceeds, profits, and rents of the related Mortgaged Property to the Mortgagee and its successors and assigns on and as of the related origination date, (b) contains a conspicuous statement that such instrument shall be returned to the Mortgagee upon recordation, and (c) complies, in both form and substance, with Applicable Laws of the jurisdiction where the related Mortgaged Property is located.

Assignment of Mortgage: With respect to any Mortgage Loan, a duly executed, notarized, and recordable form of written instrument that (a) evidences an unconditional, unqualified, and unrestricted assignment of the related Mortgage Instrument to Planet on and as of the related Purchase Date, (b) contains a conspicuous statement that such instrument shall be returned to Planet upon recordation, and (c) complies, in both form and substance, with applicable Planet Requirements and Applicable Laws of the jurisdiction where the related Mortgaged Property is located.

Authoritative Copy: As defined pursuant to applicable Electronic Signature Laws.

Business Day: Any day other than (a) a Saturday or Sunday, or (b) a day on which branches of the Federal Reserve System are permitted or required to be closed, which days may be published by the Board of Governors at <https://www.federalreserve.gov/aboutthefed/k8.htm>. If the deadline for any Party to perform any action or make any payment pursuant hereto occurs on a day that is not a Business Day, then such deadline shall be deemed extended until the next succeeding Business Day and such extension of time shall be reflected in computing fees or interest, as the case may be.

Business Purpose Mortgage Loan: Any Mortgage Loan that is a “business purpose loan,” as that term is defined pursuant to 12 C.F.R. § 1024.5, or an “extension of credit made primarily for a business, commercial, or agricultural purpose,” as that phrase is defined pursuant to 12 C.F.R. § 1026.3.

Certified Copy: A legible photocopy of an original document accompanied by, or on which there is stamped, a signed certification of the clerk of a court or county recording office, an authorized officer of a title insurer or title agency, or, only to the extent permitted by applicable Agency Requirements, an authorized officer of the Seller or its servicer, in each case certifying that such photocopy is a true, correct, and complete reproduction of such original document. The Seller acknowledges and agrees that, if any Seller Person delivers or causes to be delivered to any Planet Person a Certified Copy of any document, then such delivery shall conclusively be deemed to constitute a representation and warranty by the Seller that such Certified Copy is itself true, correct, complete in all respects, and also is a true, correct, and complete reproduction of such original document.

CFPB: The Consumer Financial Protection Bureau, including its successors and assigns.

CFPB Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any oral or written agreement, arrangement, or contract between any Covered Person and CFPB, and to which such Mortgage Loan is or, at any relevant time, was subject, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation, rule, or similar material issued by CFPB, and to which such Mortgage Loan is or, at any relevant time, was subject, including the CFPB Mortgage Servicing Final Rules, as they may be amended from time to time.

Claim: Any claim, controversy, counter-claim, cross-claim, defense, demand, dispute, or other grievance of any kind, whether available at law or in equity and whether arising by contract, tort, statute, or otherwise.

Collateral Document: With respect to any Mortgage Loan, each document specified in Appendix B (Part 1) to the Planet Guide, together with (a) each attachment, endorsement, exhibit, rider, schedule, and supplement thereto, and (b) each amendment, extension, modification, novation, and restatement thereof.

Collateral File: With respect to any Mortgage Loan, the compilation of all related Collateral Documents, which compilation shall contain in all cases, at a minimum, an original (or, if the Mortgage Loan is an eMortgage Loan, an Authoritative Copy) or, only to the extent permitted by applicable Agency Requirements under the circumstances, a Certified Copy (or, only to the extent permitted by applicable Agency Requirements under the circumstances, a non-certified physical copy), of each related Collateral Document.

Construction Conversion Mortgage Loan: Any Mortgage Loan that is Permanent Financing used, in whole or in part, to replace the Interim Financing used, in whole or in part, to finance the construction of a new site-built home on the related Mortgaged Property or the repair, restoration, or rehabilitation of an existing site-built home on the related Mortgaged Property.

Construction Conversion Mortgage Loan Requirement: With respect to any Construction Conversion Mortgage Loan, each obligation imposed by or requirement specified in (a) applicable Planet Requirements relating to Construction Conversion Mortgage Loans and to which such Construction Conversion Mortgage Loan is or, at any relevant time, was subject, (b) to the extent not inconsistent with clause (a), applicable Agency Requirements relating to Construction Conversion Mortgage Loans and to which such Construction Conversion Mortgage Loan is or, at any relevant time, was subject, including (i) with respect to any FHLMC Mortgage Loan, Chapter 4602 of the Freddie Mac Single-Family Seller/Servicer Guide, as it may be amended from time to time, and (ii) with respect to any FNMA Mortgage Loan, Chapter B5-3 of the Fannie Mae Single-Family Selling Guide, as it may be amended from time to time, or (c) any other Applicable Requirements relating to Construction Conversion Mortgage Loans and to which such Construction Conversion Mortgage Loan is or, at any relevant time, was subject.

Consumer Information: Any information that constitutes (a) “nonpublic personal information,” as that term is defined pursuant to 15 U.S.C. § 6809 or 16 C.F.R. § 313.3, or (b) “consumer information,” “customer information,” “nonpublic personal information,” “personal identifier,” “personally identifiable financial information,” or similarly designated information for purposes of any Privacy Law.

Conventional Mortgage Loan: Any Mortgage Loan that (a) is a FHLMC Mortgage Loan or a FNMA Mortgage Loan, or (b) had an original Principal Balance equal to or less than the annual conforming loan limit published by FHFA for the calendar year in which such Mortgage Loan was originated and the geographic location where the related Mortgaged Property is located.

Covered Person: With respect to any Mortgage Loan, (a) each Seller Person, including each of its correspondent originators, wholesale brokers, and other Third-Party Originators, and (b) each other Person (excluding any Planet Person) that, at any time on or before the related Transfer Date, (i) held any right, title, or interest in, to, or under such Mortgage Loan, whether as an assignee, mortgagee, participant, pledgee, servicer, subservicer, or otherwise, (ii) performed any “origination service,” “settlement service,” “title service” or “servicing” function in connection with the “application,” “settlement,” “refinancing,” or “servicing” of such Mortgage Loan, as those terms are defined pursuant to 12 C.F.R. § 1024.2 without regard to whether such Mortgage Loan is a “federally related mortgage loan,” as that term is defined pursuant to 12 C.F.R. § 1024.2, (iii) provided any “due diligence services” relating to such Mortgage Loan, as that term is defined pursuant to 17 C.F.R. § 240.17g-10 without regard to whether such Mortgage Loan is an asset underlying an asset-backed security, or (iv) was a “loan originator” or “servicer” of such Mortgage Loan, as those terms are defined pursuant to 12 C.F.R. § 1024.2 without regard to whether such Mortgage Loan is a “federally related mortgage loan”, as that term is defined pursuant to 12 C.F.R. § 1024.2.

Default: With respect to any Mortgage Loan, any monetary or non-monetary breach, default, event of acceleration, or event of default under the related Loan Documents or the occurrence of any event that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any of the foregoing.

Defect: As defined in Subsection A-4.01(c).

Delinquent or Delinquency: With respect to any Mortgage Loan, the failure of the Mortgagee to receive payment in full of any Monthly Payment before close of business on the related Due Date. For purposes of the Agreement, delinquency calculations shall be made in accordance with the methodology used by the Mortgage Bankers Association, without regard to any Loss Mitigation that may extend the related Due Date of a Monthly Payment. Using this methodology, each Due Date shall be deemed to occur on the first (1st) day of the calendar month and a Mortgage Loan shall be considered “30 days or more Delinquent” if the Mortgagee fails to receive payment in full of a Monthly Payment before close of business on the day immediately preceding the related Due Date of the next succeeding Monthly Payment. Accordingly, and by way of example, if the related Due Date of a Monthly Payment is January 1st, then (a) the Mortgage Loan would be considered “30 days or more Delinquent” in the event the Mortgagee fails to receive payment in full of the Monthly Payment before close of business on January 31st, (b) the Mortgage Loan would be considered “60 days or more Delinquent” in the event the Mortgagee fails to receive payment in full of the Monthly Payment before close of business on February 28th, and (c) the Mortgage Loan would be considered “90 days or more Delinquent” in the event the Mortgagee fails to receive payment in full of the Monthly Payment before close of business on March 31st.

Diligence Review: With respect to any Mortgage Loan, Planet’s credit, compliance, and collateral examinations, inspections, and reviews as contemplated by Chapter 7 of the Planet Guide.

Document Custodian: As applicable, (a) with respect to any Mortgage Loan that is not an eMortgage Loan, Deutsche Bank National Trust Company, solely in its capacity as document custodian for

Planet, or (b) with respect to any eMortgage Loan, the eCustodian designated by Planet, solely in its capacity as eCustodian for Planet.

Due Date: With respect to any Mortgage Loan, the scheduled date on which payment in full of each Monthly Payment is due and payable each calendar month pursuant to the related Mortgage Note, without regard to any cure period, grace period, or Loss Mitigation.

eCustodian: The document custodian designated by Planet to certify and maintain eNotes on behalf of Planet pursuant to applicable eMortgage Requirements.

Electronic Record: As defined pursuant to applicable Electronic Signature Laws.

Electronic Signature: As defined pursuant to applicable Electronic Signature Laws.

Electronic Notarization Law: Any Applicable Law relating to the creation, communication, storage, or use of in-person electronic notarization (“IPEN”) or remote online notarization (“RON”) of electronic signatures associated with eMortgages and other Electronic Records.

Electronic Signature Law: Any Applicable Law relating to the creation, communication, storage, or use of electronic records and electronic signatures in commercial transactions, including (a) the federal Electronic Signatures in Global and National Commerce Act (“ESIGN”), as it may be amended from time to time, (b) the Uniform Electronic Transactions Act (“UETA”), as it may be amended from time to time, or (c) and any other federal, state, or local law based upon on ESIGN or UETA.
eMortgage: Any Mortgage Loan that is an “electronic mortgage,” “eMortgage,” or similarly classified loan for purposes of any applicable Agency Requirement, or for which the related Mortgage Note, the related Mortgage Instrument, or any other related Loan Document, is an Electronic Record or has been executed, witnessed, or notarized by any Person by means of an Electronic Signature.

eMortgage Acceptance Guidelines: Any eMortgage guidelines provided by Planet or the eCustodian.

eMortgage Certification: A written instrument, in the form provided by Planet, that identifies all execution, closing, custody, and other technological systems and service providers currently used by the Seller in connection with the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale of eMortgages. The format, contents, and delivery method of the eMortgage Certification shall be satisfactory to Planet in its sole discretion.

eMortgage Loan: Any Mortgage Loan that is an eMortgage for which the Seller has sold to Planet pursuant to the Agreement.

eMortgage Requirements: With respect to any eMortgage Loan, each obligation imposed by or requirement specified in any Applicable Requirements relating to eMortgages and to which such eMortgage Loan is or, at any relevant time, was subject, including (a) any Applicable Laws relating to eMortgages, including any applicable Electronic Signature Laws and Electronic Notary Laws, (b) any applicable Agency Requirements relating to eMortgages, including (i) Sections B8-01, B-8-02, C1-2-04, E-2-07, and E-2-08 of the Fannie Mae Single-Family Selling Guide, as it may be amended from time to time, (ii) Topic 1400 of the Freddie Mac Single-Family Seller/Servicer Guide, as it may be amended from time to time, and (iii) the Ginnie Mae Digital Collateral Program Guide, as it may be amended from time to time, (c) any MERS Requirements relating to eMortgages, including the MERS eRegistry Procedures Manual, as it may be amended from time to time, (d) the Mortgage Industry Standards Maintenance Organization, Inc. (“MISMO”) eMortgage Guidelines and Recommendations, including the MISMO Remote Online Notarization Standards, as they may be amended from time to time, and (e) any Planet Requirements

relating to eMortgages, including any eMortgage Acceptance Guidelines, as they may be amended from time to time.

Encumbrance: Any charge, Claim, covenant, easement, Lien, option, participation, preference, priority, restriction, servitude, or other right, title, or interest in, to, under, or upon any real or personal property. For purposes hereof, the term “Lien” shall mean any assignment, collateralization, encumbrance, hypothecation, lien, mortgage, pledge, security interest, or other secured transaction having substantially the same economic effect as any of the foregoing, including any conditional sale, financing lease, or other title retention arrangement.

eNote: A Mortgage Note that is an Electronic Record and would be a note under Article 3 of the Uniform Commercial Code if the Electronic Record were in writing.

Escrow Funds: With respect to any Mortgage Loan, all related Loan Proceeds received from the related Mortgagor for the payment of any related Escrow Items.

Escrow Items: With respect to any Mortgage Loan, all homeowners’ association charges, ground rents, insurance premiums, leasehold payments, municipal assessments, property taxes, sewer rents, water charges, and other amounts (a) that are required to be escrowed by the related Mortgagor pursuant to the related Loan Documents, or (b) that are not required to be escrowed by the related Mortgagor pursuant to the related Loan Documents but, if not timely paid, would or reasonably could be expected (i) to result in an Encumbrance upon the related Mortgaged Property or a lapse of insurance coverage thereon, or (ii) to have a Material Adverse Effect upon the habitability, marketability, use, or value of the related Mortgaged Property.

Exclusionary List: Each of the Federal Housing Finance Agency’s Suspended Counterparty Program list, the Freddie Mac Exclusionary List, the HUD Limited Denial of Participation List, the U.S. General Services Administration Excluded Parties List, or any other exclusionary list published by any Governmental Authority, any Planet Person, or any other institutional purchasers of mortgage loans.

FDIC: The Federal Deposit Insurance Corporation, including its successors and assigns.

FEMA: The Federal Emergency Management Agency, including its successors and assigns.

FHA: The Federal Housing Administration, including its successors and assigns.

FHA Mortgage Loan: Any Mortgage Loan that is, or is described or identified in any document or information provided by or on behalf of any Covered Person as having been, originated pursuant to any Loan Program sponsored by FHA or HUD or insured by any Government Backstop issued by FHA or HUD.

FHA Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Covered Person and FHA or HUD, and to which such Mortgage Loan is or, at any relevant time, was subject, including the related Government Backstop Certificate, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation (including those codified in Title 24 of the Code of Federal Regulations), rule, or similar material issued by FHA or HUD, and to which such Mortgage Loan is or, at any relevant time, was subject, including the FHA Single Family housing Policy Handbook and all HUD Requirements, as they may be amended from time to time.

FHFA: The Federal Housing Finance Agency, including its successors and assigns.

FHLMC: The Federal Home Loan Mortgage Corporation, also known as Freddie Mac, including its successors and assigns.

FHLMC Mortgage Loan: Any Mortgage Loan that is, or is described or identified in any document or information provided by or on behalf of any Covered Person as having been, originated pursuant to any Loan Program sponsored by FHLMC.

FHLMC Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Covered Person and FHLMC, and to which such Mortgage Loan is or, at any relevant time, was subject, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation, rule, or similar material issued by FHLMC and to which such Mortgage Loan is or, at any relevant time, was subject, including the Freddie Mac Single-Family Seller/Servicer Guide, as it may be amended from time to time.

First Lien Mortgage Loan: Any Mortgage Loan that is not a Second Lien Mortgage Loan.

Flood Determination: With respect to any Mortgage Loan, a life-of-loan flood determination that is written on the FEMA Standard Flood Hazard Determination form (FEMA Form FF-119-FY-22-128, formerly 086-0-32) and is issued and certified by CoreLogic Flood Services, LLC for such Mortgage Loan and the related Mortgaged Property.

FNMA: The Federal National Mortgage Association, also known as Fannie Mae, including its successors and assigns.

FNMA Mortgage Loan: Any Mortgage Loan that is, or is described or identified in any document or information provided by or on behalf of any Covered Person as having been, originated pursuant to any Loan Program sponsored by FNMA.

FNMA Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Covered Person and FNMA, and to which such Mortgage Loan is or, at any relevant time, was subject, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation, rule, or similar material issued by FNMA, and to which such Mortgage Loan is or, at any relevant time, was subject, including the Fannie Mae Co-Issue Resource Guide, the Fannie Mae Single-Family Selling Guide, and the Fannie Mae Single-Family Servicing Guide, as they may be amended from time to time.

Foreclosure Action: With respect to any Mortgage Loan, (a) any purchase, sale, or other transfer by or on behalf of the Mortgagee or its servicer of any right, title, or interest in, to, or under the related Mortgaged Property, irrespective of whether such purchase, sale, or transfer is accomplished by judicial foreclosure, non-judicial foreclosure, Foreclosure Alternative, trustee sale, or otherwise, (b) any action taken or caused to be taken by the Mortgagee or its servicer in connection with any “first notice or filing” or “foreclosure referral” relating to such Mortgage Loan, as those terms are defined pursuant to 12 C.F.R. § 1024.41, or (c) any Action or Claim relating to any of the foregoing.

Foreclosure Alternative: With respect to any Mortgage Loan, any compromise claim, deed-in-lieu of foreclosure, loan assumption, private sale, short sale, or similar foreclosure alternative involving the related Mortgaged Property.

GNMA: The Government National Mortgage Association, also known as Ginnie Mae, including its successors and assigns.

GNMA Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Person and GNMA, and to which such Mortgage Loan is or, upon delivery and pooling into a “MBS Program Pool” (as that term is defined pursuant to the GNMA MBS Guide), will be, subject, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation (including those codified in Title 24 of the Code of Federal Regulations), rule, or similar material issued by GNMA, and to which such Mortgage Loan is or, upon delivery and pooling into a MBS Program Pool, will be subject, including the Ginnie Mae Mortgage-Backed Securities Guide (the “GNMA MBS Guide”), as it may be amended from time to time.

Government Backstop: With respect to any Government Mortgage Loan, any loan guaranty or mortgage insurance issued by FHA, HUD, RD, RHS, USDA, or VA to cover certain Losses incurred or sustained by the Mortgagee in connection with such Government Mortgage Loan.

Government Backstop Certificate: With respect to any Government Mortgage Loan, the loan guaranty certificate, mortgage insurance certificate, or similar document issued by FHA, HUD, RD, RHS, USDA, or VA as evidence of the existence and terms of the related Government Backstop.

Government Backstop Proceeds: With respect to any Government Mortgage Loan, all cash and non-cash payments, proceeds, and other amounts due or payable to or for the benefit of, or received or recoverable by or on behalf of, the Mortgagee or its servicer in connection with the related Government Backstop.

Government Mortgage Loan: Any FHA Mortgage Loan, USDA Mortgage Loan, or VA Mortgage Loan.

Governmental Authority: Each of (a) any administration, agency, authority, board, bureau, commission, council, court, department, division, office, tribunal, or other instrumentality of the executive, judicial, or legislative branch of the United States or any commonwealth, district, municipality, state, territory, or other political subdivision of any of the foregoing, including CFPB, FHA, HUD, RD, RHS, USDA, and VA, (b) any “government corporation,” as that term is defined pursuant to 31 C.F.R. § 9101, including FDIC and GNMA, (c) any “government sponsored enterprise,” as that term is defined pursuant to 12 C.F.R. § 1277.1, including FHLMC and FNMA, and (d) any quasi-governmental, non-governmental, or self-governing organization empowered to regulate or supervise any Covered Person’s activities in connection with any Mortgage Loan.

HUD: The United States Department of Housing and Urban Development, including its successors and assigns.

HUD Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Covered Person and HUD, and to which such Mortgage Loan is or, at any relevant time, was subject, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation (including those codified in Title 24 of the Code of Federal Regulations), rule, or similar material issued by HUD, and to which such Mortgage Loan is or, at any relevant time, was subject, including any HUD Mortgagee Letter, as it may be amended from time to time.

Ineligible Mortgage Loan: Any Mortgage Loan that (a) is of a loan type, product type, or property type which is excluded, ineligible, or otherwise not permitted pursuant to the applicable Underwriting Guidelines, (b) is not a whole loan, or is a participation or partial interest in a loan, (c) is not a “closed-end mortgage loan,” as that term is defined pursuant to 12 C.F.R. § 1003.2, or is a “reverse mortgage,” as that term is defined pursuant to 12 C.F.R. § 1003.2, (d) was originated more than thirty (30) days before the

related Purchase Date, unless otherwise permitted by applicable Planet Requirements or otherwise agreed by Planet in writing, (e) is subject to defeasance or has any balloon payment, convertible ownership, contingent interest, cross-collateralization, cross-default, dispute arbitration, graduated payment, interest capitalization, interest only, irregular payment, negative amortization, pick-a-payment, rate buydown, rate conversion, or shared appreciation features, terms, or provisions of any kind, (f) does not have a stated maturity, or has an initial term to maturity greater than thirty (30) years, (g) has a Due Date other than the first (1st) day of each calendar month, or has more than one Due Date each calendar month, (h) is evidenced by a related Mortgage Note that has been lost or destroyed, (i) has been repurchased by any Covered Person or has been rejected for purchase by any other Person, or (j) on the related Purchase Date, is (i) thirty (30) days or more Delinquent, or (ii) subject to (A) any pending or threatened Default, Foreclosure Action, Insolvency Proceeding, Recourse Event, or any other Action or Claim, or (B) any offer or request for relief pursuant to any Foreclosure Alternative or Loss Mitigation plan or program, or the Home Affordable Modification Program, the Home Affordable Refinance Program, the Homeowner Assistance Fund, the Servicemembers Civil Relief Act, or any similar Applicable Law.

Insolvency Proceeding: With respect to any Person, any voluntary or involuntary Action by or against such Person (a) requesting relief pursuant to the United States Bankruptcy Code or any other Applicable Law affecting the rights of debtors and creditors generally, or (b) relating to (i) the assignment or marshalling of assets for the benefit of such Person's creditors, (ii) the appointment of an administrator, conservator, custodian, liquidator, monitor, receiver, sequestrator, trustee, or similar official with respect to such Person, or (iii) the bankruptcy, dissolution, insolvency, liquidation, reorganization, termination, or winding-up of such Person.

Insurance Proceeds: With respect to any Mortgage Loan, all cash and non-cash payments, proceeds, and other amounts due or payable to or for the benefit of, or received or recoverable by or on behalf of, the Mortgagee or its servicer in connection with any policy of flood insurance, hazard insurance, liability insurance, mortgage insurance, title insurance, or other type of insurance (including any related Government Backstop) relating to such Mortgage Loan, the related Mortgage Instrument, or the related Mortgaged Property.

Insurance Provider: With respect to any Mortgage Loan, each Person that issues any policy of flood insurance, hazard insurance, liability insurance, mortgage insurance, title insurance, or other type of insurance (including any Government Backstop) relating to such Mortgage Loan, the related Mortgage Instrument, or the related Mortgaged Property.

Interim Financing: Short-term financing (i.e., a loan term of six (6) months or twelve (12) months) used, in whole or in part, to finance (a) the purchase or refinance of land on which a new site-built home will be constructed or a new manufactured home will be affixed, or (b) the construction of a new site-built home or the repair, restoration, or rehabilitation of an existing site-built home.

Interim Servicing Period: With respect to any Mortgage Loan, the period of time that begins at 12:01 a.m. (Eastern Time) on the related Purchase Date and ends at 11:59 p.m. (Eastern Time) on the related Transfer Date.

Investment Property Loan: Any Mortgage Loan that is, or is described or identified in any document or information provided by or on behalf of any Covered Person as having been, originated for the stated purpose of being secured by lien upon a Mortgaged Property which is neither occupied nor used by the related Mortgagor as its primary residence.

Law: Any code, common law, constitution, decree, demand, directive, injunction, judgment, law, license, mandate, order, ordinance, permit, pronouncement, regulation, requirement, rule, statute,

stipulation, or writ issued by any Governmental Authority, including all Regulatory Requirements and administrative interpretations, executive orders, and judicial decisions relating to any of the foregoing.

Limited POA: A duly executed, notarized, and witnessed written instrument in the form appended as Appendix C to the Planet Guide.

Liquidated Mortgage Loan: Any Mortgage Loan for which the Mortgagee or its servicer has liquidated such Mortgage Loan or the related Mortgaged Property, whether by means of any Foreclosure Action, Foreclosure Alternative, or otherwise.

Liquidation Proceeds: With respect to any Mortgage Loan, all cash and non-cash payments, proceeds, and other amounts due or payable to or for the benefit of, or received or recoverable by or on behalf of, the Mortgagee or its servicer in connection with the liquidation of such Mortgage Loan or the related Mortgaged Property, whether by means of any Foreclosure Action, Foreclosure Alternative, or otherwise.

Loan Document: With respect to any Mortgage Loan, each document specified in Appendix B (Part 2) to the Planet Guide, together with (a) each addendum, annex, attachment, exhibit, rider, schedule, and supplement thereto, including any assignment thereof or allonge thereto, and (b) each amendment, extension, modification, novation, and restatement thereof.

Loan File: With respect to any Mortgage Loan, the compilation of all related Loan Documents, which compilation shall contain in all cases, at a minimum, (a) a digital image of each related Loan Document, (b) a digital image of each related Collateral Document, and (c) a digital image of each document contained in the related Servicing File.

Loan Proceeds: With respect to any Mortgage Loan, all cash and non-cash payments, proceeds, and other amounts due or payable to or for the benefit of, or received or recoverable by or on behalf of, the Mortgagee or its servicer in connection with such Mortgage Loan, including all related Monthly Payments and other scheduled and unscheduled collections and recoveries of principal or interest, all related Ancillary Income, all related Government Backstop Proceeds, all related Insurance Proceeds, all related Liquidation Proceeds, all related Principal Prepayments, and all reimbursements and recoveries of related Servicing Advances.

Loan Program: Any loan program specified in Chapter 5 of the Planet Guide.

Lock Date: With respect to any Mortgage Loan, the date on which Planet issues to the Seller a written confirmation of a locked interest rate with respect to the application for such Mortgage Loan.

Loss or Losses: All charges, claims, costs, curtailments (including any curtailment or disallowance by any Agency of any principal, interest (including payment of interest at a rate other than the Mortgage Interest Rate), Government Backstop Proceeds, Servicing Advances, or other amounts), damages, deficiencies, expenses, fees (including attorneys' fees and servicing fees), fines, forfeitures, judgments, liabilities, obligations, penalties, and other losses (including hedging and pair-off losses) incurred or sustained by any Planet Indemnatee.

Loss Mitigation: With respect to any Mortgage Loan, any charge-off, deferral, extension, forbearance, modification, re-amortization, restructuring, variance, waiver, or similar indulgence relating to such Mortgage Loan, including any Foreclosure Alternative, foreclosure prevention, home retention, or loss mitigation option available to the related Mortgagor.

Market Change Event: As determined by Planet, any event that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any of the following: (a) the disruption,

interruption, limitation, moratorium, or suspension of (i) securities trading or transaction settlement on the New York Stock Exchange, (ii) banking activities or payment clearance in the United States, or (iii) ordinary services by common carriers, electricity providers, internet providers, telephone providers, or public utilities in any jurisdiction where any Party is located, (b) any civil commotion or riots, health epidemic or pandemic, labor dispute or stoppage, natural disaster or act of god, military hostility or war, terrorist act or threat, or similar event of force majeure, including the declaration by any Governmental Authority of a state of emergency in anticipation of or in response to any of the foregoing, or (c) any change in banking regulations, economic conditions, financial markets, legal requirements, or other event that would or reasonably could be expected to (i) increase Planet's cost of engaging in any transaction contemplated hereby, or (ii) reduce Planet's rate of return on any transaction contemplated hereby.

Material Adverse Change or Material Adverse Effect: As determined by Planet, any event that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any of the following: (a) any material and adverse effect upon (i) the collectability, enforceability, marketability, transferability, validity, or value of any Mortgage Loan, the related Servicing Rights, or Planet's or any Subsequent Transferee's respective interest therein, or (ii) the habitability, marketability, use, or value of any Mortgaged Property; or (b) any adverse effect upon (i) the validity of the Agreement or its enforceability against the Seller, (ii) the business operations, commercial prospects, corporate existence, or financial condition of the Seller, (iii) the ability of the Seller to perform any of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, or undertakings required to be performed by it pursuant to the Agreement in accordance with Applicable Requirements, (iv) the eligibility of any Conventional Mortgage Loan to be delivered to FHLMC or FNMA or securitized into mortgage-backed securities guaranteed by FHLMC or FNMA, (v) the eligibility of any Government Mortgage Loan to be delivered to GNMA or securitized into mortgage-backed securities guaranteed by GNMA, or to be covered by any Government Backstop issued by FHA, HUD, RD, RHS, USDA, or VA, or (vi) the ability of Planet or any Subsequent Transferee to perform the Servicing of any Mortgage Loan in accordance with Applicable Requirements at the same cost as mortgage loans of the same type as such Mortgage Loan, or to commence or complete any Foreclosure Action or Loss Mitigation in accordance with Applicable Requirements and on the same timeframe as mortgage loans of the same type as such Mortgage Loan.

MERS: Individually and collectively, MERSCORP Holdings, Inc. and Mortgage Electronic Registration System, Inc.

MERS eRegistry: The electronic registry maintained by MERS for purposes of identifying the owner and location of eNotes.

MERS Mortgage Loan: Any Mortgage Loan that is, or is described or identified in any document or information provided by or on behalf of any Covered Person as having been, (a) registered on the MERS System, or (b) secured by a related Mortgage Instrument for which MERS is the Mortgagee, assignee, or other designee or nominee of the lender.

MERS Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Covered Person and MERS, and to which such Mortgage Loan, or the activities of any Covered Person in connection with any of the foregoing, is or, at any relevant time, was subject, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, policy, practice, procedure, rule, or similar material issued by MERS and to which such Mortgage Loan, or the activities of any Covered Person in connection with any of the foregoing, is or, at any relevant time, was subject, including the MERS System Procedures Manual and the MERS eRegistry Procedures Manual, as they may be amended from time to time, as it may be amended from time to time.

MERS System: The electronic registry maintained by MERS for purposes of registering and reporting changes in the ownership and Servicing of mortgage loans.

Monthly Payment: With respect to any Mortgage Loan, each scheduled payment of principal, interest, Escrow Items, and other amounts required to be paid by the related Mortgagor in connection with such Mortgage Loan on each Due Date or upon maturity, including all unscheduled amounts required to be paid upon demand.

Mortgage Instrument: With respect to any Mortgage Loan, each deed of trust, financing statement, mortgage, pledge agreement, security deed, vendor lien, or other security instrument, including each subsequent assignment of any of the foregoing, that purports to grant or assign a lien or security interest upon any right, title, or interest in, to, or under all or any part of the related Mortgaged Property as security for such Mortgage Loan.

Mortgage Interest Rate: With respect to any Mortgage Loan, the annual rate of interest payable by the related Mortgagor pursuant to the related Mortgage Note as of the applicable date of determination.

Mortgage Loan: Each mortgage loan that is identified in a Purchase Advice, including all of the following relating to, or arising from or in connection with, such mortgage loan: (a) the related Collateral File and all related Collateral Documents required to be contained therein, (b) the related Loan File and all related Loan Documents required to be contained therein, (c) the related Servicing File and all documents and information (including all related Consumer Information) relating to the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale (including the sale to Planet) of such mortgage loan, (d) all related Loan Proceeds and other amounts that are due or payable to or for the benefit of, or received or recoverable by or on behalf of, the Mortgagee or its servicer in connection with such mortgage loan, including all related Ancillary Income, all related Government Backstop Proceeds, all related Insurance Proceeds, all related Liquidation Proceeds, all related Monthly Payments, and all related Principal Prepayments, (e) all escrow reserves, holdback amounts, Loan Proceeds, and other amounts that are escrowed, retained, reserved, or withheld by any Covered Person, or that have not yet been disbursed to the related Mortgagor, in connection with such mortgage loan, (f) all accounts receivable, chattel paper, Claims, contract rights, payment rights, and other tangible or intangible property relating to such mortgage loan, including all products and proceeds of such mortgage loan and of any of the other property described in this definition, and (g) all other benefits, Claims, duties, obligations, powers, privileges, proceeds, responsibilities, and rights arising from, incidental to, relating to, or resulting from any or all of the foregoing, including the related Servicing Rights.

Mortgage Loan Materials: As defined in Subsection A-2.02(r).

Mortgage Note: With respect to any Mortgage Loan, the promissory note or other evidence of the indebtedness owed by the related Mortgagor in connection with such Mortgage Loan.

Mortgaged Property: With respect to any Mortgage Loan, all real and personal property identified in or purportedly encumbered by the lien or security interest of the related Mortgage Instrument, including all accessions and improvements thereon, all replacements and substitutions thereof, and all cash and non-cash profits and proceeds therefrom.

Mortgagee: With respect to any Mortgage Loan, the Person who is the holder, lender, or mortgagee of such Mortgage Loan as of the applicable date of determination. For purposes hereof, Planet and its successors and assigns shall be deemed the Mortgagee of each Mortgage Loan from and after the related Purchase Date.

Mortgagor: With respect to any Mortgage Loan, each Person who is (a) a borrower, guarantor, surety, or other obligor of the indebtedness evidenced by the related Mortgage Note, or (b) a grantor, mortgagor, or other provider of collateral as security for the indebtedness secured by the related Mortgage Instrument.

Mortgagor Affidavit: With respect to any Business Purpose Mortgage Loan, a duly executed and notarized affidavit of the related Mortgagor attesting, at a minimum, that (a) the related Mortgaged Property has not been and, at all times while such Mortgage Loan remains outstanding, will not be claimed, occupied, or used by the related Mortgagor or any Mortgagor-Related Person as a primary or secondary residence, and (b) the proceeds of such Mortgage Loan have not been and, at all times while the Mortgage Loan remains outstanding, will not be used by the related Mortgagor or any Mortgagor-Related Person for personal, family, or household purposes.

Mortgagor-Related Person: With respect to any Business Purpose Mortgage Loan, the related Mortgagor, its Affiliates, its and their respective Representatives, and each other Person that is related by affinity or sanguinity to any of the foregoing.

Non-MERS Mortgage Loan: Any Mortgage Loan that is not a MERS Mortgage Loan.

Non-QM Mortgage Loan: Any Mortgage Loan that is not a QM Mortgage Loan.

Order: Any assessment, award, decision, decree, directive, injunction, judgment, mandate, order, ruling, settlement, stipulation, verdict, writ, or other determination issued by any Governmental Authority or arbitral tribunal, including any consent order, memorandum of understanding, stipulated settlement, supervisory arrangement, or similar enforcement action.

Originator: With respect to any Mortgage Loan, the “loan originator” of such Mortgage Loan, as that term is defined pursuant to 12 C.F.R. § 1024.2 without regard to whether such Mortgage Loan is a “federally related mortgage loan,” as that term is defined pursuant to 12 C.F.R. § 1024.2.

Payoff Event: With respect to any Mortgage Loan, the related Mortgagor’s (a) prepayment of fifty-one and 00/100 percent (51.00%) or more of the Principal Balance of such Mortgage Loan, or (b) request for or receipt of a payoff statement relating to such Mortgage Loan.

Permanent Financing: Long-term financing (i.e., a loan term of fifteen (15) or thirty (30) years) used, in whole or in part, to replace Interim Financing upon the completion of the financed construction of a new site-built home or the financed repair, restoration, or rehabilitation of an existing site-built home.

Permitted Encumbrance: With respect to any Mortgage Loan, (a) liens for current real estate taxes and special assessments that are not yet due and payable, and (b) conditions, covenants, easements, restrictions, rights of way, and other matters of public record that (i) are covered by and referenced in the policy of title insurance referenced in Subsection A-2.02(n), and are considered by and referenced in the most recent appraisal contained in the related Loan File, (ii) are not senior to or coordinate with the lien or security interest of the related Mortgage Instrument nor impair or interfere with the benefits of such lien or security interest, (iii) are generally acceptable to prudent mortgage lenders which regularly service mortgage loans of the same type as such Mortgage Loan in the same jurisdiction where the related Mortgaged Property is located, and (iv) neither, with or without notice or the lapse of time or both, would or reasonably could be expected to have a Material Adverse Effect.

Person: Any natural person, or any association, company, corporation, joint venture, partnership, syndicate, trust, or other type of juridical entity or non-juridical organization through which any activity is conducted, including any Governmental Authority.

Planet Account: With respect to any payment due or payable by the Seller to Planet pursuant to the Agreement, the depository account designated by Planet in writing for remittance of such payment.

Planet Indemnatee: As defined in Subsection A-4.03.

Planet Person: Planet, each of its Affiliates, each of its or their respective Representatives, and each successor or assign of any of the foregoing.

Prepayment Penalty: With respect to any Mortgage Loan, each (if any) charge, fee, penalty, premium, or other amount required to be paid by the related Mortgagor pursuant to the related Loan Documents upon the prepayment, in whole or in part, of such Mortgage Loan before the stated maturity date.

Principal Balance: With respect to any Mortgage Loan, the unpaid principal balance that is outstanding in connection with such Mortgage Loan as of the applicable date of determination.

Principal Prepayment: With respect to any Mortgage Loan, any payment or other recovery of principal received by the Mortgagee or its servicer before the date on which payment thereof is due and payable pursuant to the related Loan Documents.

Privacy Law: Each obligation imposed by or requirement specified in any Applicable Law relating to the privacy, preservation, or protection of a Person's financial, personal, or other nonpublic information, including the Gramm-Leach-Bliley Act and each regulation and rule promulgated thereunder.

Purchase Advice: With respect to any Mortgage Loan, the "Purchase Advice" (Form Planet-PA-V1) prepared and provided by Planet to the Seller in anticipation of the purchase and sale of such Mortgage Loan.

Purchase Date: With respect to any Mortgage Loan, the date on which Planet purchases such Mortgage Loan from the Seller pursuant to the Agreement, which date shall be the "Purchase Date" specified in the related Purchase Advice, or any other date as may be mutually agreed by both Parties in writing.

Purchase Premium: With respect to any Mortgage Loan, the sum of (a) the "service release premium" and all other lender-paid compensation paid by Planet to the Seller in connection with such Mortgage Loan, plus (b) the dollar amount by which the related Purchase Price paid for such Mortgage Loan exceeded the Principal Balance of such Mortgage Loan, including the "Premium/Discount Paid By Purchaser" specified in the related Purchase Advice, plus (c) all Losses incurred or sustained by Planet in connection with such Mortgage Loan, including all amounts payable by Planet to the applicable Agency or any other Subsequent Transferee in connection with such Mortgage Loan.

Purchase Price: With respect to any Mortgage Loan, the "Adjusted Purchase Amount" specified in the related Purchase Advice.

Purchase Price Percentage: With respect to any Mortgage Loan, the "Price" specified in the related Purchase Advice.

QM Mortgage Loan: As defined in Subsection A-2.02(jj).

RD: Rural Development, a mission of USDA, including its successors and assigns.

Reconstitution: With respect to any Mortgage Loan, each transaction or series of related transactions whereby Planet or any Subsequent Transferee assigns, conveys, encumbers, hypothecates,

participates, pledges, securitizes, sells, or otherwise transfers any of its respective right, title, or interest in, to, or under such Mortgage Loan or the related Servicing Rights.

Reconstitution Agreement: As defined in Subsection A-3.07.

Recourse Event: With respect to any Mortgage Loan, (a) any demand or request upon Planet to repurchase such Mortgage Loan from any Subsequent Transferee, to buyout such Mortgage Loan from any mortgage pool into which it was delivered for securitization, or to provide any other monetary or non-monetary recourse, relief, or remedy (including any indemnification, make-whole, reimbursement, or repurchase alternative) to any Person in connection with such Mortgage Loan, in each case except to the extent arising from any gross negligence or willful misconduct on the part of Planet, (b) any inability of Planet to effect a Reconstitution of such Mortgage Loan or the related Servicing Rights as a result of (i) the failure or asserted failure of any representation or warranty made by the Seller in the Agreement to be accurate, complete, correct, or true on or as of any applicable Determination Date, in each case without regard to any knowledge or materiality qualification of such representation or warranty, or (ii) the failure or asserted failure of the Seller to perform any of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, or undertakings required to be performed by it pursuant to the Agreement in accordance with Applicable Requirements, or (c) any defense, denial, exclusion, or limitation of coverage provided by any Government Backstop or policy of mortgage insurance or title insurance relating to such Mortgage Loan, the related Mortgage Instrument, or the related Mortgaged Property, in each case except to the extent arising from any gross negligence or willful misconduct on the part of Planet.

Recourse Fee: As applicable, either: (a) with respect to any Conventional Mortgage Loan, the sum of three thousand five hundred and 00/100 dollars (\$3,500.00), plus two and 00/100 percent (2.00%) of the original Principal Balance of such Conventional Mortgage Loan, or (b) with respect to any Government Mortgage Loan, the sum of three thousand nine hundred and 00/100 dollars (\$3,900.00), plus two and 00/100 percent (2.00%) of the original Principal Balance of such Government Mortgage Loan.

Regulatory Requirement: With respect to any Mortgage Loan, each obligation imposed by or requirement specified in (a) any oral or written agreement, arrangement, or contract between any Covered Person and any Governmental Authority empowered to regulate or supervise such Covered Person, and to which such Mortgage Loan is or, at any relevant time, was subject, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation, rule, or similar material issued by any such Governmental Authority, and to which such Mortgage Loan is or, at any relevant time, was subject, including CFPB Requirements, as they may be amended from time to time.

Representative: With respect to any specified Person, each other Person that is an accountant, administrator, agent, attorney, banker, broker, contractor, director, employee, licensee, manager, member, officer, partner, shareholder, trustee, or other designee of the specified Person. For purposes hereof, neither Party, nor any of its Affiliates, nor any of its or their respective Representatives, shall be deemed a Representative of the other Party, or any of its Affiliates, or any of its or their respective Representatives.

Repurchase Date: As defined in Subsection A-4.02.

Repurchase Price: With respect to any Mortgage Loan, the sum of: (a) the greater of (i) the Principal Balance of the Mortgage Loan as of the related Repurchase Date, or (ii) the related Purchase Price (including, for the avoidance of doubt, the related Purchase Premium) paid by Planet for the Mortgage Loan, less all payments of principal received by Planet in connection with such Mortgage Loan through the day immediately preceding the related Repurchase Date; plus (b) all unpaid interest (at the related Mortgage Interest Rate) that accrued on the Principal Balance of such Mortgage Loan from the date of the last paid installment through the last day of the calendar month in which the related Repurchase Date occurs; plus (c) all unrecovered Servicing Advances made by Planet in connection with such Mortgage Loan; plus (d)

all Losses incurred or sustained by Planet in connection with such Mortgage Loan, including all costs, expenses, and fees (including attorneys' fees) payable by Planet (i) to enforce or effectuate the Seller's obligation to repurchase such Mortgage Loan, (ii) to repurchase such Mortgage Loan from any Subsequent Transferee or to buyout such Mortgage Loan from any mortgage pool, or (iii) to assign or transfer such Mortgage Loan and the Servicing thereof to the Seller.

Residential Dwelling: An attached, detached, or semi-detached single-family residential dwelling or two-to four-unit residential dwelling, none of which is (a) a berm/earth home, commercial-use property, condotel, cooperative unit, geodesic dome, houseboat, manufactured home (only if it complies with applicable Agency Requirements), mixed-use property, mobile home, rural property, vacant land, working farm/ranch, or other unique property type, or (b) a property type that is excluded, ineligible, or otherwise not permitted pursuant to the applicable Underwriting Guidelines.

Restrictive Indorsement: With respect to any Loan Document, an indorsement that conditions, limits, qualifies, or otherwise restricts (a) the collectability, enforceability, negotiability, transferability, or validity of such Loan Document, (b) the interests or rights of Planet or any other assignee, bearer, holder, indorsee, payee, or other beneficiary of such Loan Document, or (c) the liabilities or obligations of the Seller or any other assignor, bearer, holder, or indorser of such Loan Document.

RHS: The Rural Housing Service, a mission of USDA, including its successors and assigns.

Second Lien Mortgage Loan: Any Mortgage Loan that is secured by a related Mortgage Instrument which expressly states that it creates a second-priority lien or security interest upon the related Mortgaged Property.

Seller: As defined in the preamble to the Agreement.

Seller Person: The Seller, each of its Affiliates, each of its or their respective Representatives, and each successor or assign of any of the foregoing, excluding any Planet Person.

Seller Termination Event: As determined by Planet, any event that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any of the following: (a) the failure of any Corporate Representation made by the Seller in the Agreement to be accurate, complete, correct, or true on or as of any applicable Determination Date, in each case without regard to any knowledge or materiality qualification of such representation or warranty, (b) the failure on the part of the Seller to perform any of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, or undertakings required to be performed by it pursuant to the Agreement in accordance with Applicable Requirements, (c) the commencement of any Insolvency Proceeding in which the Seller is or would be a debtor or a debtor-in-possession, or the Seller's audited annual financial statements (or any conclusions, notes, or opinions stated therein) being qualified or limited by reference to the status of the Seller as a "going concern" or a reference of similar import, or any other adverse change in the Seller's business operations, commercial prospects, or financial condition, (d) the issuance by any Governmental Authority of any temporary or permanent restriction upon the business, management, or operations of the Seller, or the Seller becoming subject to any consent order, memorandum of understanding, supervisory arrangement, or similar enforcement action by any Governmental Authority, (e) the suspension or termination of the Seller as an approved originator, seller, or servicer in good standing for any Agency, or the issuance by any Agency of written notice that it intends to suspend or terminate the Seller's status as an approved originator, seller, or servicer in good standing for such Agency, or (f) the determination by Planet that the continued performance by either Party of its respective obligations under the Agreement would or reasonably could be expected to constitute a breach of, default under, or violation of Applicable Requirements or to have an adverse effect upon the business operations, commercial prospects, corporate reputation, financial condition, or legal rights of any Planet Person.

Senior Lien Loan: With respect to any Second Lien Mortgage Loan, any other mortgage loan for which the lien or security interest of the related deed of trust, financing statement, mortgage, pledge agreement, security deed, vendor lien, or other security instrument is senior to the lien of the Mortgage related to such Second Lien Mortgage Loan.

Servicing: With respect to any Mortgage Loan, the loan administration, collection, servicing, and other post-origination activities permitted or required to be performed by or on behalf of the Mortgagee pursuant to Applicable Law.

Servicing Advance: With respect to any Mortgage Loan, each advancement or other expenditure of funds by or on behalf of the Mortgagee or its servicer in connection with the Servicing of such Mortgage Loan, including for (a) the payment of any Escrow Items or premiums on any policy of flood insurance, hazard insurance, liability insurance, mortgage insurance, title insurance, or other type of insurance relating to such Mortgage Loan, the related Mortgage Instrument, or the related Mortgaged Property, (b) the inspection, liquidation, management, marketing, preservation, protection, repair, remediation, restoration, or valuation of the related Mortgaged Property, including obtaining appraisal reports, broker opinions, environmental assessments, lien searches, property surveys, and title reviews, or (c) the investigation, prosecution, defense, or appeal of any Foreclosure Action, Insolvency Proceeding, or other Action or Claim directly or indirectly relating to such Mortgage Loan.

Servicing File: With respect to any Mortgage Loan, the compilation of all documents and information relating to any Covered Person's past, present, or future Servicing of such Mortgage Loan, which compilation shall contain in all cases, at a minimum, an electronic copy of (a) a ledger reflecting (i) all related Loan Proceeds that were due or payable, and that were debited or credited, in connection with such Mortgage Loan at any time on or before the related Transfer Date, and (ii) all Servicing Advances that were made in connection with such Mortgage Loan at any time on or before the related Transfer Date, and (b) all correspondence delivered to or received from the related Mortgagor, any Governmental Authority, any Insurance Provider, or any Taxing Authority relating to such Mortgage Loan at any time on or before the related Transfer Date.

Servicing Report: With respect to any Mortgage Loan, any report relating to the Servicing of such Mortgage Loan before or during the related Interim Servicing Period. The format, contents, and delivery method of each Servicing Report shall be satisfactory to Planet in its sole discretion.

Servicing Rights: With respect to any Mortgage Loan, all benefits, duties, obligations, powers, privileges, proceeds, responsibilities, and rights arising from, incidental to, relating to, or resulting from the administration, collection, or Servicing of such Mortgage Loan, including the exclusive right (a) to perform and delegate the administration, collection, and Servicing of such Mortgage Loan, including any other post-origination activities permitted or required to be performed by or on behalf of the Mortgagee or its servicer pursuant to Accepted Servicing Practices, including the activities identified in Item 1122(d) of 17 C.F.R. §§ 229.1100 et seq. and the regulations and rules promulgated thereunder, as they may be amended from time to time, (b) to collect and recover (and, with respect to any Conventional Mortgage Loan or Government Mortgage Loan, remit to the applicable Agency) all related Loan Proceeds due or payable in connection with such Mortgage Loan or the related Government Backstop, (c) to hold and invest all related Loan Proceeds collected or recovered in connection with such Mortgage Loan, (d) to earn and retain all servicing fees and Ancillary Income attributable to or derived from the Servicing of such Mortgage Loan, (e) to recover and be reimbursed for all Servicing Advances made by the Mortgagee or its servicer in connection with such Mortgage Loan, (f) to conduct and manage all Foreclosure Actions, Insolvency Proceedings, and other Actions and Claims relating to such Mortgage Loan, (g) to possess and control the related Servicing File, including all other documents and information relating to the past, present, or prospective Servicing of such Mortgage Loan, (h) to own and use all Consumer Information relating to such Mortgage Loan and the related Mortgagor, including all of the Seller's rights to commercialize the

relationship with the related Mortgagor and to solicit the related Mortgagor for any purpose, and (i) all other benefits, duties, obligations, powers, privileges, proceeds, responsibilities, and rights arising from, incidental to, relating to, or resulting from any or all of the foregoing.

Subsequent Transferee: With respect to any Mortgage Loan, each Person that is or, upon consummation of a proposed Reconstitution, will be an initial transferee from Planet, or an immediate or mediate transferee from such initial transferee, of any right, title, or interest in, to, or under such Mortgage Loan or the related Servicing Rights, including any Agency or any mortgage pool into which such Mortgage Loan was delivered for securitization into mortgage-backed securities guaranteed by any Agency.

Taxing Authority: With respect to any Mortgage Loan, each Governmental Authority that imposes or collects any assessments, charges, taxes, or other amounts in connection with such Mortgage Loan or the related Mortgaged Property.

Third-Party Originator: As defined in Subsection A-2.02(c).

Transfer Date: With respect to any Mortgage Loan, the date on which the Seller or its servicer actually transfers the Servicing of such Mortgage Loan to Planet, which date shall be the “1st Payment Date” specified in the related Purchase Advice or any Business Day that is mutually agreed upon by both Parties in writing.

Transfer Instructions: Those certain “Servicing Transfer Instructions” contained in the Planet Guide or otherwise made available by Planet to the Seller, as they may be revised from time to time by Planet in its sole discretion.

Transferable Record: As defined pursuant to applicable Electronic Signature Laws.

Underwriting Guidelines: With respect to any Mortgage Loan, Planet’s written underwriting guidelines that were in published in the Planet Guide and applicable to such Mortgage Loan on the related Purchase Date, as they may be revised from time to time by Planet in its sole discretion.

USDA: The United States Department of Agriculture, including its successors and assigns.

USDA Mortgage Loan: Any Mortgage Loan that is, or is described or identified in any document or information provided by or on behalf of any Covered Person as having been, originated pursuant to any Loan Program sponsored by RD, RHS, or USDA or guaranteed by any Government Backstop issued by RD, RHS, or USDA.

USDA Requirement: With respect to any USDA Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Covered Person and RD, RHS, or USDA, and to which such USDA Mortgage Loan is or, at any relevant time, was subject, including the related Government Backstop Certificate, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation (including those codified in Title 7 of the Code of Federal Regulations), rule, or similar material issued by RD, RHS, or USDA, and to which such USDA Mortgage Loan is or, at any relevant time, was subject, including the RD Single Family Housing Guaranteed Loan Program Technical Handbook, as it may be amended from time to time.

VA: The United States Department of Veterans Affairs, including its successors and assigns.

VA Mortgage Loan: Any Mortgage Loan that is, or is described or identified in any document or information provided by or on behalf of any Covered Person as having been, originated pursuant to any Loan Program sponsored by VA or guaranteed by any Government Backstop issued by VA.

VA Requirement: With respect to any VA Mortgage Loan, each obligation imposed by or requirement specified in (a) any agreement, arrangement, or contract between any Covered Person and VA, and to which such VA Mortgage Loan is or, at any relevant time, was subject, including the related Government Backstop Certificate, or (b) any announcement, bulletin, circular, directive, guide, handbook, instruction, mandate, manual, notice, Order, policy, regulation (including those codified in Title 38 of the Code of Federal Regulations), rule, or similar material issued by VA, and to which such VA Mortgage Loan is or, at any relevant time, was subject, including the VA Lenders Handbook and the VA Servicer Handbook, as they may be amended from time to time.

Subsection A-1.02. Interpretive Principles.

Each provision contained in the Agreement shall be construed and interpreted in accordance with this Subsection A-1.02 as if both Parties jointly drafted each provision herein, without regard to any Law which may recommend or require a presumption against or in favor of any Party. The preamble hereto, each recital herein, and each addendum, annex, attachment, exhibit, rider, schedule, and supplement hereto, and each amendment, extension, modification, novation, and restatement of any of the foregoing, are incorporated by reference herein and made an integral part hereof. The heading of each provision herein is used for convenience of reference and shall not affect the construction or interpretation hereof. The use of any word in the plural form shall be construed and interpreted to include the singular form as well, and vice versa. The use of any word in the present tense shall be construed and interpreted to include the future tense as well, and vice versa. The use of any word in the masculine gender shall be construed and interpreted to include the feminine gender as well, and vice versa. The word “any” shall be construed and interpreted to mean “any or all,” and the word “each” shall be construed and interpreted to mean “each and every.” The word “day” shall be construed and interpreted to mean a calendar day unless the term “Business Day” is used. The words “hereby,” “herefrom,” “herein,” “hereof,” “hereto,” “hereunder,” and words of similar import shall be construed and interpreted to refer to the Agreement in its entirety. The phrase “in any material respect” shall be construed and interpreted to mean “in a manner that, with or without notice or the lapse of time or both, would or reasonably could be expected to have a Material Adverse Effect,” and the phrase “in all material respects” shall be construed and interpreted to mean “in a manner that, with or without notice or the lapse of time or both, would not and reasonably could not be expected to have a Material Adverse Effect.” The word “including” and each variant thereof shall be construed and interpreted to mean “including without limitation” in the unrestricted sense. The word “may” shall be construed and interpreted to grant a permissive right rather than impose a mandatory obligation, and the words “shall” and “will” shall be construed and interpreted to impose a mandatory obligation rather than express a mere intention. The word “or” shall be construed and interpreted to mean “and/or” in the non-exclusive sense. Each accounting term used but not defined herein shall be construed and interpreted in accordance with generally accepted accounting principles which are in effect as of the applicable date of determination. In the computation of periods of time from a specified date to a later specified date, the word “from” means “from and including,” the words “to” and “until” each mean “to but excluding,” and the word “through” means “through and including.” Unless otherwise specified, each reference to a Section, Subsection, Exhibit, or Schedule shall be construed and interpreted to be a reference to a Section or Subsection of, or an Exhibit or Schedule to, the Agreement. Each reference in the Agreement to any other document shall be construed and interpreted to include each addendum, annex, attachment, exhibit, rider, schedule, and supplement hereto or thereto, and each amendment, extension, modification, novation, and restatement of any of the foregoing. Each reference in the Agreement to “good faith” shall be construed and interpreted to mean “good faith” as that term is defined pursuant to §1-201(20) of the New York Uniform Commercial Code, and any requirement of good faith or reasonableness on the part of Planet shall not be construed or interpreted to require that Planet an independent inquiry or await further direction. Each reference in the Agreement to “knowledge” shall be construed and interpreted to mean, the “knowledge” of or receipt of “notice” by such Person or its Representatives, as those terms are defined pursuant to §1-202 of the New York Uniform Commercial Code. Each reference in the Agreement to any Law shall be construed and

interpreted to include each legislative amendment and replacement thereof, each administrative regulation and rule promulgated thereunder, each executive order and judicial decision relating thereto, and each similar Law issued by the same or any other jurisdiction to which the regulated Person or its property is subject. Each reference in the Agreement to a Party or any other Person shall be construed and interpreted to include each successor and permitted assign thereof. Except as otherwise expressly provided herein, whenever any approval or consent is permitted or required to be granted by Planet pursuant to the Agreement, or whenever any decision or determination is permitted or required to be made by Planet pursuant to the Agreement, Planet shall be permitted to condition, delay, grant, or withhold such approval, consent, decision, or determination at Planet's election in its sole discretion.

SECTION A-2. SELLER REPRESENTATIONS AND WARRANTIES.

Subsection A-2.01. Representations and Warranties as to the Seller.

The Seller hereby covenants, represents, and warrants to Planet, on and as of the Effective Date, each Purchase Date, each Transfer Date, and at all other times during the Term, as follows:

(a) The Agreement has been duly authorized, executed, and delivered by the Seller and constitutes a binding, enforceable, and valid obligation of the Seller. The Seller has and, at all relevant times, had and will have, in each case without notice of possible impairment, revocation, suspension, or termination, each corporate approval, authorization, and consent that is necessary for the Seller to execute, deliver, and perform the Agreement in accordance with its terms, and the Seller's execution, delivery, and performance of the Agreement does not and will not (i) conflict with or contravene any organizational or governing document of the Seller, (ii) constitute a breach of or a default under any agreement, contract, indenture, or other obligation to which the Seller or its property is subject, or (iii) violate any Applicable Law to which the Seller or its property is subject. If the Seller is either a "national member bank" or a "state member bank," as those terms are defined pursuant to 12 U.S.C. § 1813, then the Agreement also (i) conforms to applicable Regulatory Requirements to which the Seller is subject, (ii) is executed contemporaneously with the agreement reached by the Seller, (iii) is an official record of such agreement reached by the Seller, and (iv) is approved by a corporate or banking association resolution of the Seller's board of directors, which approval is reflected in the minutes of such board of directors and which resolution is certified by a vice president or higher officer of the Seller and has been provided to Planet.

(b) The Seller (i) does not believe, nor has any cause or reason to believe, that the Seller would be unable to perform all of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, and undertakings required to be performed by it pursuant to the Agreement in accordance with Applicable Requirements, (ii) did, or had the opportunity to, consult with the Seller's own attorneys, accountants, and other advisors in connection with its evaluation and negotiation of the Agreement, and (iii) has not dealt with any agent, broker, or other Person that may be entitled to receive a commission or compensation from any Planet Person in connection with any Transaction contemplated hereby.

(c) The Seller (i) is duly organized, in good standing, and validly existing in accordance with all Laws of the jurisdiction where the Seller is organized, (ii) is and, at all relevant times, has been and will be, in each case without notice of possible impairment, revocation, suspension, or termination, duly authorized and in good standing to do business in each jurisdiction where any Mortgaged Property is located, (iii) has and, at all relevant times, had and will have, in each case without notice of possible impairment, revocation, suspension, or termination, each required license, permit, qualification, and registration — or satisfies and, at all relevant times, satisfied and will satisfy an applicable exemption from such licensing, permitting, qualification, and registration requirements — to the extent necessary for the Seller to carry on its business as now being conducted and to originate, own, and service mortgage loans of the same type as the Mortgage Loans in the ordinary course of business and in each jurisdiction where any Mortgaged Property is located, and (iv) has not, in its most recent audits or otherwise, been the subject of

any allegations that it failed to comply with any loan origination, Servicing, selling, or claim policies, practices, or procedures.

(d) The Seller is and, at all relevant times, has been and will be, in each case without notice of possible impairment, revocation, suspension, or termination, (i) an approved originator in good standing with each applicable Agency, and (ii) a current member in good standing with MERS. The Seller has not received notice from any Agency or MERS declaring a breach of, default under, or violation of any Agency Requirements or MERS Requirements, or seeking to impair, revoke, suspend, or terminate any agreement, arrangement, or contract between the Seller and such Agency or MERS. The Seller satisfies all financial, insurance, and other eligibility requirements of each Agency and MERS, and no event has occurred that, with notice or the lapse of time or both, would or reasonably could be expected to render the Seller unable to comply with any such financial, insurance, or other eligibility requirements.

(e) The Seller's (i) decision to originate or acquire the Mortgage Loans was and will be made independent of Planet's decision to purchase the Mortgage Loans, (ii) selection and presentation of the Mortgage Loans offered for sale to Planet was not and will not be intended to identify mortgage loans that are less desirable than other mortgage loans owned by the Seller, (iii) origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale (including the sale to Planet) of the Mortgage Loans has been and will be performed in accordance with Applicable Requirements, and (iv) sale and transfer of the Mortgage Loans to Planet is and will be made by the Seller in the ordinary course of its business, is not and will not be subject to any antitrust, bulk-transfer, or similar Applicable Laws to which the Seller or its property is subject, and has not and will not result in the creation or imposition of any Encumbrance in, to, or upon any Mortgage Loan. The Seller has determined that its sale of the Mortgage Loans to Planet will be afforded sale treatment for accounting, regulatory, and tax purposes, and the Seller will characterize and report each such Transaction as a true sale of assets.

(f) The Seller and its Representatives have complied and will comply with Applicable Laws and other Applicable Requirements in connection with the Seller's performance of the Agreement and each Transaction contemplated hereby, including the CFPB Mortgage Servicing Final Rules, the Fair and Accurate Transactions Act, the Fair Credit Reporting Act, and all Privacy Laws. Specifically, and without limiting the generality of the foregoing, the Seller has complied and will comply with all anti-money laundering laws, regulations, and rules applicable to the Mortgage Loans, including the USA Patriot Act (collectively, the "Anti-Money Laundering Laws"), has established and will maintain a compliance program and related policies in accordance with the Anti-Money Laundering Laws, and has conducted and will conduct the due diligence required by the Anti-Money Laundering Laws in connection with the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale (including the sale to Planet) of the Mortgage Loans.

(g) Neither the Seller nor any of its current or former owners, directors, officers, or employees is or, during the five (5) year period immediately preceding the Effective Date, has been (i) subject to, or identified as a "blocked person" or "specially designated national" for purposes of, Executive Order 13224 and the regulations and rules promulgated by the United States Department of the Treasury Office of Foreign Assets Control, or (ii) the subject of any approval revocation, consent order, exclusionary restriction, licensure suspension, participation denial, supervisory letter, or similar enforcement action by any Agency or other Governmental Authority. Specifically, and without limiting the generality of the foregoing, neither the Seller nor any of its current or former owners, directors, officers, or employees is or, during the five (5) year period immediately preceding the Effective Date, has been identified on any Exclusionary List. The Seller maintains and follows written policies, practices, procedures designed to ensure compliance with the foregoing requirements of this Subsection A-2.01(g).

(h) The Seller is not a debtor or a debtor-in-possession in any Insolvency Proceeding and no event has occurred that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in the merger, consolidation, conversion, reorganization, or sale of the Seller, or the disposition of all or substantially all of the Seller's assets or ownership interests, or the dissolution, liquidation, termination, or winding-up of the affairs of the Seller. The Seller (i) has not admitted in writing its inability to pay any indebtedness as it becomes due, and has not voluntarily suspended payment of any indebtedness that has become due, (ii) is not insolvent or engaged in any business or a transaction for which any property remaining with the Seller is an unreasonably small capital, (iii) does not intend to incur any indebtedness that would be beyond the ability of the Seller to pay upon maturity, and does not intend to hinder, delay, or defraud any Person to which the Seller is indebted, and (iv) has determined that the related Purchase Price of the Mortgage Loans constitutes fair consideration and reasonably equivalent value for such Mortgage Loans. There has been no adverse change in the Seller's business operations, commercial prospects, corporate existence, financial condition, good standing, or licensure or approval status since the date of the Seller's most recent financial statements.

(i) There is no pending or, to the Seller's knowledge, threatened Action or Claim, including any formal or informal inquiry or investigation, against the Seller, (i) directly or indirectly relating to the Agreement, any Mortgage Loan, or any transaction contemplated hereby or thereby, (ii) alleging bad faith, criminal misconduct, breach of fiduciary duty, embezzlement, fraud, theft, moral turpitude, or willful misconduct on the part of the Seller or its Representatives, or (iii) that, if adversely determined against the Seller, would or reasonably could be expected to have a Material Adverse Effect or to result in a Seller Termination Event. The Seller has not received notice from any Governmental Authority declaring a breach of, default under, or violation of any Regulatory Requirements, and the Seller is not operating subject to any temporary or permanent restriction upon the business, management, or operations of the Seller, or any consent order, memorandum of understanding, supervisory arrangement, or similar enforcement action by any Governmental Authority.

(j) The Seller has not been involuntarily suspended or terminated under any loan sale agreement or loan servicing agreement, and the Seller has not received notice of or become obligated to disclose any breach of, default under, or non-compliance with any loan sale agreement or loan servicing agreement. The Seller (i) has performed and will perform all of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, and undertakings required to be performed by it pursuant to the Agreement in accordance with Applicable Requirements, and (ii) has not relied upon any oral or written agreement, inducement, or promise — other than those which are expressly made by Planet in the Agreement — relating to the purchase, sale, or Servicing of the Mortgage Loans. No event has occurred that, with or without notice or the lapse of time or both, would or reasonably could be expected to have a Material Adverse Effect or to result in a Seller Termination Event.

(k) Neither the Agreement or any representation or warranty made by the Seller herein, nor any certification, communication, data, document, file, information, instrument, letter, opinion, report, schedule, spreadsheet, statement, or other materials furnished or to be furnished by or on behalf of any Seller Person in connection with the Agreement, any Mortgage Loan, or any transaction contemplated hereby or thereby (collectively, "Seller Furnished Materials"), have been or will be altered or falsified, or contains or will contain any inaccurate, incomplete, incorrect, or untrue information or statement of fact, or omits or will omit any information or statement of fact that is required to be contained in such Seller Furnished Materials or that is necessary to make any other information or statement of fact contained in any Seller Furnished Materials not inaccurate, incomplete, incorrect, untrue, or otherwise not misleading.

(l) If the Seller has sold any eMortgage Loan to Planet in connection with any Transaction, then:

(i) the Seller has delivered to Planet a complete copy of the eMortgage Certification, and such eMortgage Certification identifies all execution, closing, custody, and other technological systems and service providers currently used by the Seller in connection with the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale of eMortgages, and all such technological systems and service providers comply with applicable eMortgage Requirements and have been approved by Planet and, to the extent required by applicable eMortgage Requirements, each applicable Agency, and MERS;

(ii) the Seller is and, at all relevant times, has been an approved originator of eMortgages for each applicable Agency, MERS, and Planet, in each case, without notice of possible impairment, revocation, suspension, or termination;

(iii) the Seller satisfies and, at all relevant times, has satisfied all legal, operational, technological, and other eligibility requirements of each applicable Agency, MERS, and Planet relating to eMortgages, and the Seller has implemented and will maintain all controls, procedures, and testing required by each applicable Agency, MERS, and Planet in order to verify that all systems and processes necessary to originate, sell, and service eMortgages are fully operational and comply with applicable eMortgage Requirements;

(iv) the Seller is and, at all relevant times, has been in compliance with applicable eMortgage Requirements and no event has occurred that, with or without notice or the lapse of time or both, would or reasonably could be expected to render the Seller unable to comply with applicable eMortgage Requirements; and

(v) the Seller hereby expressly, irrevocably, and unconditionally waives, to the fullest extent permissible by Applicable Law, all Claims that any Person's execution or delivery of any Electronic Record related to any eMortgage Loan was not duly authorized by such Person or is not valid, binding, or enforceable.

Subsection A-2.02. Representations and Warranties as to the Mortgage Loans.

The Seller hereby covenants, represents, and warrants to Planet, on and as of the related Purchase Date and the related Transfer Date, as follows with respect to each Mortgage Loan:

(a) Good Title. On and as of the related Purchase Date, the Seller is the sole beneficial, equitable, and legal owner and record holder of the Mortgage Loan and the related Servicing Rights, and has good, indefeasible, and marketable title — free and clear of all charges, Claims (including fraudulent conveyance and preferential transfer Claims), conditions, Encumbrances, interests, liabilities, liens, options, participations, pledges, rights, and other restrictions — to all right, title, and interest in, to, and under the Mortgage Loan and the related Servicing Rights. The Seller has not previously assigned, conveyed, encumbered, hypothecated, participated, pledged, securitized, sold, or otherwise transferred any right, title, or interest in, to, or under the Mortgage Loan or the related Servicing Rights. The Seller is not contractually or otherwise legally obligated to sell or offer to sell the Mortgage Loan or the related Servicing Rights to any Person other than Planet, and the Seller is not contractually or otherwise legally prohibited from selling or offering to sell the Mortgage Loan or the related Servicing Rights to the Planet.

(b) Valid Conveyance. Immediately upon Planet's payment of the related Purchase Price, Planet will be (i) the sole beneficial, equitable, and legal owner and record holder of the Mortgage Loan and the related Servicing Rights, and will have good, indefeasible, and marketable title — free and clear of all charges, Claims (including fraudulent conveyance and preferential transfer Claims), conditions, Encumbrances, interests, liabilities, liens, options, participations, pledges, rights, and other restrictions —

to all right, title, and interest in, to, and under the Mortgage Loan and the related Servicing Rights, and (ii) a “person entitled to enforce” and “holder in due course” of the related Mortgage Note, as those terms are defined pursuant to Applicable Law.

(c) Originator. The Seller was the Originator of the Mortgage Loan or the Seller acquired the Mortgage Loan from the related Originator (a “Third-Party Originator”) pursuant to a written agreement that contemplates such Third-Party Originator would, from time to time, underwrite and originate mortgage loans for sale to the Seller in accordance with underwriting guidelines designated by the Seller (the “Designated Guidelines”). If the Seller acquired the Mortgage Loan from a Third-Party Originator, then (i) such Third-Party Originator performed the underwriting and origination of the Mortgage Loan in accordance with the Designated Guidelines, and such Designated Guidelines are consistent with the applicable Underwriting Guidelines in all respects, and (ii) the Seller (A) maintains each Planet approval, authorization, and consent necessary to sell to Planet mortgage loans that have been originated by and acquired from a Third-Party Originator, and (B) has reviewed the Mortgage Loan to ensure it was underwritten and originated in accordance with Applicable Requirements. The Mortgage Loan was closed and funded by a settlement agent that maintains errors and omissions insurance policies sufficient to indemnify Planet against all Losses arising from any error, fraud, identify theft, negligence, misconduct, misstatement, omission, violation of Applicable Requirements, or similar occurrence on the part of such settlement agent.

(d) Mortgage Loan as Described. The Mortgage Loan is not an Ineligible Mortgage Loan. All information and statements contained in the related Collateral File, the related Loan File, and all other Mortgage Loan Materials and Seller Furnished Materials furnished or to be furnished by or on behalf of any Covered Person with respect to the Mortgage Loan, is and will be accurate, complete, correct, and true on and as of the date stated therein, and is and will be consistent with and accurately reflect the information in the Seller’s books and records as of the date stated therein. All accounts, books, and records of each Covered Person relating to the Mortgage Loan are true, correct, complete, and maintained in accordance with applicable Agency Requirements and Accepted Servicing Practices.

(e) Collateral File and Loan File. The related Collateral File and the related Loan File each has been delivered to Planet or its designee in accordance with all Planet Requirements. The related Collateral File delivered to the Document Custodian contains all related Collateral Documents specified in Appendix B (Part 1) to the Planet Guide, and the related Loan File delivered to Planet contains all documents specified in Appendix B (Part 2) to the Planet Guide. The related Loan File delivered to Planet contains all documents that are necessary (i) to evidence the complete and final agreement by and among all parties to the Mortgage Loan, and (ii) to foreclose upon and sell the related Mortgaged Property in accordance with Applicable Requirements. All documents and information in the Seller’s or its servicer’s possession, custody, or control relating to or relevant to the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale (including the sale to Planet) of the Mortgage Loan have been provided to Planet.

(f) Validity and Enforceability. The indebtedness of the Mortgage Loan is evidenced by a legal, valid, and binding related Mortgage Note, and is secured by a legal, valid, and binding Mortgage Instrument. The form and substance of each related Loan Document and other document contained or required to be contained in the related Collateral File or the related Loan File complies with Applicable Requirements, is complete, correct, and genuine in all respects, and includes each addendum, annex, attachment, exhibit, rider, schedule, and supplement thereto, and each amendment, extension, modification, novation, and restatement thereof. All parties to each related Loan Document and other document contained or required to be contained in the related Collateral File or the related Loan File had legal capacity to execute such Loan Document or other document, and each related Loan Document and other document contained or required to be contained in the related Collateral File or the related Loan File has been duly executed by

all such parties, is not subject to any Restrictive Indorsement, and is freely assignable and transferrable to and by Planet without prior notice to or consent of the related Mortgagor, the Seller, or any other Person. There is and always has been one and only one original of the related Mortgage Note and it is not stamped as a duplicate or replacement.

(g) No Release or Defense. The Mortgage Loan has not been cancelled, discharged, rescinded, or satisfied, in whole or in part, and no document has been executed that would effect any such cancellation, discharge, rescission, or satisfaction, in whole or in part. The lien or security interest of the related Mortgage Instrument has not been released, subordinated, or terminated, in whole or in part, and no document has been executed that would effect any such release, subordination, or termination, in whole or in part. The related Mortgagor has not been released from any liability or obligation under the related Loan Documents, in whole or in part, and no document has been executed that would effect any such release, in whole or in part. The Mortgage Loan is not subject to any counterclaim, defense (including the defense of usury or deceptive trade practices), or right of avoidance, nullification, reformation, rescission, setoff, or surcharge, and no such counterclaim, defense, or right has been asserted. No related Loan Document or other document contained or required to be contained in the related Loan File contains any term or provision that would or reasonably could be expected to render the Mortgage Loan or any related Loan Document unenforceable, void, or voidable, in whole or in part. The Mortgage Loan has not been paid in full and neither the Seller nor its servicer has received any request for a payoff statement relating to the Mortgage Loan or made any oral or written arrangements or agreements with the related Mortgagor for any payment forbearance or future refinancing with respect to the Mortgage Loan.

(h) No Modification or Waiver. No related Loan Document or other document contained or required to be contained in the related Loan File contains any term or provision that has been altered, amended, extended, impaired, modified, or waived, in whole or in part, and no document has been executed that would effect any such alteration, amendment, extension, impairment, modification, or waiver, in whole or in part. No Covered Person has waived any Default or Delinquency with respect to the Mortgage Loan, nor has any Covered Person waived any action or inaction by the related Mortgagor if the failure of such action or inaction would result in Default or Delinquency with respect to the Mortgage Loan. No Default or Delinquency has occurred and is continuing with respect to the Mortgage Loan, and no event has occurred that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in a Default or Delinquency with respect to the Mortgage Loan.

(i) Future Advances. Except to the extent permitted by the applicable Underwriting Guidelines and applicable Agency Requirements, the original principal amount of the Mortgage Loan (net of any discounts) has been fully advanced or disbursed to the related Mortgagor, there is no requirement for future advances, and any and all requirements as to completion of any on-site or off-site improvements and as to disbursements of any Escrow Funds therefor have been satisfied. All costs, fees, and expenses incurred in connection with the application, processing, underwriting, approval, documentation, settlement of the Mortgage Loan and the recording of the related Mortgage Instrument and all assignments thereof have been paid in full and the related Mortgagor is not entitled to a refund of any of the foregoing, in whole or in part. All future advances that were made in connection with the Mortgage Loan have been consolidated with the outstanding principal amount secured by the related Mortgage Instrument, and the secured principal amount, as consolidated, bears a single interest rate and single repayment term. The consolidated principal amount does not exceed the original principal amount of the Mortgage Loan. The lien of the related Mortgage Instrument securing the consolidated principal amount of the Mortgage Loan is expressly insured as having first-priority (or, in the case of a Second Lien Mortgage Loan, second-priority) by a lender's policy of title insurance that satisfies the requirements set forth in Subsection A-2.02(n).

(j) Lien Priority. The related Mortgage Instrument and each assignment thereof has been duly executed, acknowledged, and recorded (or submitted to the applicable recording office for recording), and creates (or upon recording will create) a legal, valid, binding, and subsisting first-priority (or, in the case of

a Second Lien Mortgage Loan, second-priority) lien upon the related Mortgaged Property, subject only to Permitted Encumbrances. The related Mortgaged Property is not (i) encumbered by any Encumbrance that (A) is senior or superior to, equal to or coordinate with, or junior or subordinate to, the lien or security interest of the related Mortgage Instrument, including any homeowners' association liens, Home Energy Renovation Opportunity ("HERO") liens, involuntary liens, judgment liens, judicial liens, mechanic's liens, materialman's liens, mezzanine liens, municipal liens, non-consensual liens, Property Assessed Clean Energy ("PACE") liens, tax liens, or statutory liens, and no rights are outstanding that, with or without notice or the lapse of time or both, would or reasonably could be expected to give rise to any of the foregoing, or (B) is not covered by the policy of title insurance referenced in Subsection A-2.02(n), (ii) subject to any "private transfer fee," "REX agreement," or right by any Person (other than the related Mortgagor) to acquire any right, title, or interest in the related Mortgaged Property, or to receive any proceeds from the conveyance, encumbrance, or other transfer of any right, title, or interest therein. If the related Mortgage Instrument is a deed of trust, then an authorized and duly qualified trustee has been properly designated and currently serves in such capacity, and no costs, expenses, or fees are or will become due or payable by Planet to such trustee.

(k) Enforceable Right of Foreclosure. The related Mortgage Instrument contains customary and enforceable provisions that entitle the Mortgagee to accelerate payment of the indebtedness evidenced by the related Mortgage Note and to realize (including by judicial foreclosure, non-judicial foreclosure, power of sale, or similar Action) against the related Mortgaged Property all benefits of the lien of the related Mortgage Instrument, upon the occurrence of (i) a monetary or non-monetary breach, default, event of acceleration, or event of default by the related Mortgagor under the related Loan Documents, or (ii) a conveyance, Encumbrance, or other transfer by the related Mortgagor of any right, title, or interest in, to, or under the related Mortgaged Property without the mortgagee's prior written consent. There is no homestead or other exemption available to the related Mortgagor or any other Person, nor is there any restriction on the Mortgagee or any other Person, including any Applicable Law whether temporary or permanent in nature, that would or reasonably could be expected to delay, impair, or limit the ability or right of the Mortgagee or its servicer to foreclose upon the related Mortgage Instrument or to sell the related Mortgaged Property. Upon the foreclosure of the related Mortgage Instrument and sale of the related Mortgaged Property pursuant to proper procedures, the Mortgagee or its servicer will be able to deliver good and marketable title to the related Mortgaged Property.

(l) Indorsements and Assignments. The related Mortgage Note is indorsed "in blank," by and in the name of the Seller, in accordance with Applicable Requirements and the related Collateral File contains each intervening indorsement that is necessary to evidence a complete and unbroken chain of valid indorsements of the related Mortgage Note from the originator to the Seller in accordance with Applicable Requirements. If the Mortgage Loan is a Non-MERS Mortgage Loan, then the related Collateral File contains (i) a recordable form of assignment of the related Mortgage Instrument to Planet by and in the name of the Seller, in accordance with Applicable Requirements, and (ii) each intervening assignment that is necessary to evidence a complete and unbroken chain of recorded assignments of the related Mortgage Instrument from the originator to the Seller in accordance with Applicable Requirements. If the Mortgage Loan is a MERS Mortgage Loan, then the Mortgage Loan is registered on the MERS System in accordance with Applicable Requirements and either (i) the related Mortgage Instrument names MERS as the mortgagee in accordance with Applicable Requirements, or (ii) the related Mortgage Instrument has been duly and properly assigned to MERS in accordance with Applicable Requirements and the related Collateral File contains each intervening assignment that is necessary to evidence a complete and unbroken chain of recorded assignments of the related Mortgage Instrument from the originator to MERS in accordance with Applicable Requirements.

(m) MERS Requirements. If the Mortgage Loan is a MERS Mortgage Loan, then (i) either (A) the related Mortgage Instrument properly establishes MERS as the Mortgagee and nominee for the

beneficiary named therein in accordance with MERS Requirements, or (B) the related Mortgage Instrument has been properly assigned to MERS, as nominee for the beneficiary named therein, in accordance with Applicable Requirements, (ii) the Mortgage Loan has been issued a Mortgage Identification Number by MERS and has been registered in the MERS System, in each case in accordance with Applicable Requirements, and (iii) the Seller has or, before the deadline set forth in Subsection A-3.02(a), will have taken or caused to be taken all actions necessary (A) to designate Planet on the MERS System as the “Investor” and the “Servicer” of the Mortgage Loan in accordance with Applicable Requirements, and (B) to remove each Person identified on the MERS System as an “Interim Funder” or “Warehouse Gestation Lender” of the Mortgage Loan in accordance with Applicable Requirements.

(n) Title Insurance. The related Mortgage Instrument is insured by a loan policy of title insurance that is written on the American Land Title Association (“ALTA”) form of loan policy of title insurance 6-17-06 or 08-01-16, or, in states where ALTA coverage is not available, the equivalent state form. Such policy of title insurance (i) is issued by a duly licensed Insurance Provider that satisfies the independence, licensing, qualification, selection, and other requirements of the applicable Agency and is duly authorized to do business in the jurisdiction where the related Mortgaged Property is located, (ii) is valid, binding, enforceable, and in full force and effect without any unpaid premium or other amount due or payable, and no claims have been made, denied, or paid under such policy of title insurance, (iii) provides “gap coverage” for the period of time between closing of the Mortgage Loan and recordation of the related Mortgage Instrument, and also provides “extended coverage” that deletes the standard survey exception and replaces it with a specific survey reading, (iv) includes all standard coverages and endorsements that are required pursuant to Applicable Requirements and are customarily requested pursuant to Accepted Servicing Practices, including (A) an ALTA Endorsement 25-06 (Same As Survey) or, in states where ALTA coverage is not available, the equivalent state form of endorsement, and (B) if such Mortgage Loan is a Business Purpose Mortgage Loan, an ALTA Endorsement 8.1 (Environmental Protection Lien Endorsement) or, in states where ALTA coverage is not available, the equivalent state form of endorsement, (v) does not include any special exceptions or exclusions that are prohibited pursuant to Applicable Requirements or are customarily rejected pursuant to Accepted Servicing Practices, (vi) contains a standard mortgagee clause naming the Seller and its successors and assigns as the sole insured, loss payee, and Mortgagee, and requiring notice to the Mortgagee in the event of cancellation, reduction, modification, or termination, (vii) insures, in an amount not less than the Principal Balance of the Mortgage Loan as of the related Purchase Date, (A) the enforceability, perfection, second-priority, and validity of the lien or security interest of the related Mortgage Instrument, (B) against any loss resulting from the invalidity or unenforceability thereof due to any provisions in the related Loan Documents that provide for adjustments to the interest rate or loan payments, and (C) ingress to and egress from the related Mortgaged Property, and against any easements and encroachments thereby or thereupon, (viii) has been duly and validly endorsed to Planet, and the assignment to Planet of the Seller’s interest therein does not require the consent of or notification to such Insurance Provider, and (ix) complies, in both form and substance, with Applicable Requirements.

(o) Hazard Insurance. The related Mortgaged Property is, and is required by the related Loan Documents to be, insured by a policy of hazard insurance that (i) is issued by a duly licensed Insurance Provider that satisfies the independence, licensing, qualification, selection, and other requirements of the applicable Agency and is duly authorized to do business in the jurisdiction where the related Mortgaged Property is located, (ii) is valid, binding, enforceable, and in full force and effect without any unpaid premium or other amount due or payable, and no claims have been made, denied, or paid under such policy of hazard insurance, (iii) includes all standard coverages and endorsements that are required pursuant to Applicable Requirements and are customarily requested pursuant to Accepted Servicing Practices, and does not include any special exceptions or exclusions that are prohibited pursuant to Applicable Requirements or are customarily rejected pursuant to Accepted Servicing Practices, (iv) contains a standard mortgagee clause naming the Seller and its successors and assigns as the sole insured, loss payee, and Mortgagee, and

requiring notice to the Mortgagee in the event of cancellation, reduction, modification, or termination, (v) insures (in an amount not less than the greater of (A) the minimum amount required by the applicable Agency, and (B) the lesser of (I) the Principal Balance of the Mortgage Loan as of the related Purchase Date, and (II) the full insurable value of the related Mortgaged Property on a replacement cost basis) against any loss resulting from fire, hail, hurricane, theft, smoke, vandalism, tornado, windstorm, earthquake, earth movement, and all other perils that are customarily requested by prudent financial institutions which originate mortgage loans of the same type as the Mortgage Loan in the ordinary course of business and in the jurisdiction where the related Mortgaged Property is located, and (vi) complies, in both form and substance, with Applicable Requirements.

(p) Flood Insurance. If all or any part of the related Mortgaged Property is located in a “Special Flood Hazard Area” or “Coastal Barrier Resources Area” or “Otherwise Protected Area” designated by FEMA, then, in each case, the related Mortgaged Property is, and is required by the related Loan Documents to be, insured by a policy of flood insurance that is written on the National Flood Insurance Program (“NFIP”) dwelling form or general property form of Standard Flood Insurance Policy and, in each case, does not require payment of a deductible exceeding the greater of the maximum amount permitted by the NFIP or Applicable Law. Such policy of flood insurance (i) is issued by a duly licensed Insurance Provider that satisfies the independence, licensing, qualification, selection, and other requirements of the applicable Agency and is duly authorized to do business in the jurisdiction where the related Mortgaged Property is located, (ii) is valid, binding, enforceable, and in full force and effect without any unpaid premium or other amount due or payable, and no claims have been made, denied, or paid under such policy of flood insurance, (iii) includes all standard coverages and endorsements that are required pursuant to Applicable Requirements and are customarily requested pursuant to Accepted Servicing Practices, and does not include any special exceptions or exclusions that are prohibited pursuant to Applicable Requirements or are customarily rejected pursuant to Accepted Servicing Practices, (iv) contains a standard mortgagee clause naming the Seller and its successors and assigns as the sole insured, loss payee, and Mortgagee, and requiring notice to the Mortgagee in the event of cancellation, reduction, modification, or termination, (v) insures (in an amount not less than the greater of (A) the minimum amount required by the applicable Agency, and (B) the least of (I) the Principal Balance of the Mortgage Loan as of the related Purchase Date, (II) the full insurable value of the related Mortgaged Property on a replacement cost basis, and (III) the maximum amount available from the NFIP) against any loss resulting from the accumulation, overflow, penetration, or runoff of inland, surface, or tidal waters, including the collapse, erosion, mudflow, or subsidence of land as a result of any of the foregoing, and all other perils that are customarily requested by prudent financial institutions which originate mortgage loans of the same type as the Mortgage Loan in the ordinary course of business and in the jurisdiction where the related Mortgaged Property is located, and (vi) complies, in both form and substance, with Applicable Requirements.

(q) No Impairment of Insurance Coverage. The Mortgage Loan is not and, at all times on and before the related Transfer Date, will not be subject to or affected by any action, inaction, misstatement, or omission by any Person that would or reasonably could be expected to result in any defense, denial, exclusion, or limitation of coverage provided by any policy of flood insurance, hazard insurance, liability insurance, mortgage insurance, title insurance, or other type of insurance relating to the Mortgage Loan, the related Mortgage Instrument, or the related Mortgaged Property. No event has occurred that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any defense, denial, exclusion, or limitation of coverage provided by any such policy of insurance. All conditions to the validity of each such policy of insurance have been continuously and properly satisfied. Neither the related Mortgagor nor any Covered Person has received notice of cancellation, reduction, modification, or termination of any such policy of insurance. All provisions of each such policy of insurance have been and are being complied with.

(r) No Fraud. The Mortgage Loan is not and, at all times before the related Transfer Date, will not have been subject to or affected by (i) any error, fraud, identify theft, negligence, misconduct, misstatement, omission, violation of Applicable Requirements, or similar occurrence on the part of any Person (including the related Mortgagor, any Seller Person, or any other Covered Person), or (ii) any event (including any error, action, inaction, misstatement, or omission on the part of any Covered Person) that, with or without notice or the lapse of time or both, would or reasonably could be expected to have a Material Adverse Effect. No related Loan Document or other document contained or required to be contained in the related Loan File, nor any certification, communication, data, document, file, information, instrument, letter, opinion, report, schedule, spreadsheet, statement, or other materials furnished by or on behalf of the related Mortgagor or any Covered Person in connection with the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), or sale (including the sale to Planet) of the Mortgage Loan (collectively, “Mortgage Loan Materials”), have been altered or falsified, or contains any inaccurate, incomplete, incorrect, or untrue information or statement of fact, or omits any information or statement of fact that is required to be contained in such Mortgage Loan Materials or that is necessary to make any other information or statement of fact contained in any Mortgage Loan Materials not inaccurate, incomplete, incorrect, untrue, or otherwise not misleading. No Covered Person has received notice from any Person alleging any of the foregoing and the Seller has conducted a reasonable inquiry to assure that each representation and warranty made by the Seller in the Agreement is accurate, complete, correct, and true on and as of the applicable Determination Date.

(s) Business Purpose Mortgage Loans. If the Mortgage Loan is a Business Purpose Mortgage Loan, then:

(i) such Mortgage Loan (A) constitutes “an extension of credit primarily for a business, commercial, or agricultural purpose,” as that term is defined pursuant to 12 C.F.R. § 1024.5, and does not constitute “consumer credit,” as that term is defined pursuant to 12 C.F.R. § 1026.2, (B) is secured by a Residential Dwelling that is not claimed, occupied, or used by the related Mortgagor or any Mortgagor-Related Person as a primary or secondary residence, (C) is not subject to, and is exempt from coverage under, the Home Ownership and Equity Protection Act and all regulations and rules promulgated thereunder, the Truth in Lending Act and Regulation Z promulgated thereunder, the Real Estate Settlement Procedures Act and Regulation X promulgated thereunder, and all other Applicable Laws and licensure requirements relating to consumer mortgage loans, and (D) the related Loan Documents provide for full recourse against, with personal liability to, one or more natural persons, each of whom jointly and severally guaranty the liabilities and obligations of the related Mortgagor under the related Loan Documents;

(ii) the related Mortgaged Property has not been claimed, occupied, or used by the related Mortgagor or any Mortgagor-Related Person as a primary or secondary residence, and the proceeds of such Mortgage Loan have not been used by the related Mortgagor or any Mortgagor-Related Person for personal, family, or household purposes;

(iii) such Mortgage Loan is made to a primary Mortgagor that is a corporation or a limited liability company which (A) is duly organized, in good standing, and validly existing in accordance with Applicable Laws of the jurisdiction where the related Mortgagor is organized, which jurisdiction is located in the conterminous United States or the jurisdiction where the related Mortgaged Property is located, (B) has (I) each license, permit, qualification, and registration that is necessary for the related Mortgagor to carry on its business as now being conducted, including in the jurisdiction where the related Mortgaged Property is located, and (II) a verified Individual Taxpayer Identification Number, and (C) satisfies all other mortgage requirements set forth in the applicable Underwriting Guidelines.;

(iv) the related Loan File includes—

(A) an Assignment of Leases and Rents that is duly executed by the related Mortgagor and (I) is in recordable form and is acceptable for recording in accordance with Applicable Laws of the jurisdiction where the related Mortgaged Property is located, (II) is publicly recorded, or has been submitted for recordation, in accordance with Applicable Laws of the jurisdiction where the Mortgaged Property is located, (III) creates, or upon recordation will create, a binding, enforceable, subsisting, and valid first-priority lien or security interest for the benefit of the Mortgagee and its successors and assigns in, to, and under all of the leases, proceeds, profits, and rents of the related Mortgaged Property as security for the indebtedness evidenced by the related Mortgage Note, and (IV) complies, in both form and substance, with Applicable Requirements,

(B) an Assignment of Assignment of Leases and Rents that is duly executed by the Seller and (I) is in recordable form and is acceptable for recording in accordance with Applicable Laws of the jurisdiction where the related Mortgaged Property is located, (II) is publicly recorded, or will be submitted for recordation before the deadline set forth in Subsection A-3.02(b), in accordance with Applicable Laws of the jurisdiction where the related Mortgaged Property is located, (III) does, or upon recordation will, evidence and effectuate an unconditional, unqualified, and unrestricted assignment of the related Assignment of Leases and Rents to Planet on and as of the related Purchase Date, and (iv) complies, in both form and substance, with Applicable Requirements,

(C) a Mortgagor Affidavit that is duly executed by the related Mortgagor and contains the related Mortgagor's sworn attestation, made before a notary under penalty of perjury, that (I) the related Mortgaged Property has not been and, at all times while such Mortgage Loan remains outstanding, will not be claimed, occupied, or used by the related Mortgagor or any Mortgagor-Related Person as a primary or secondary residence, and (II) the proceeds of such Mortgage Loan have not been and, at all times while such Mortgage Loan remains outstanding, will not be used by the related Mortgagor or any Mortgagor-Related Person for personal, family, or household purposes; and

(v) the terms of the related Loan Documents provide for full recourse against and personal liability of the related Mortgagor and not less than one (1) Guarantor (as defined below) with respect to (A) all principal, interest, and other amounts due and payable under such Mortgage Loan, and (B) all Losses incurred or sustained by the Mortgagee as a result of or in connection with the related Mortgagor's criminal or fraudulent acts, misappropriation or theft, negligent or tortious misconduct, intentional misrepresentation or omission, failure to deliver or apply related Loan Proceeds, violation of Environmental Laws (as defined in Subsection A-2.02(ff)), waste of the related Mortgaged Property, or breach of any covenant in the related Loan Documents with respect to any of the foregoing. For purposes hereof, the term "Guarantor" shall mean a natural person who (A) currently is (I) a citizen of the United States and currently has a SSN or ITIN, or (II) a lawful permanent resident or lawful non-permanent resident of the United States and currently has a SSN or ITIN as well as a verified immigration status that is evidenced by a valid EAD or a Permanent Resident Card, a Temporary Work Visa, a Form I-551, or a I-551 Temporary Evidence Stamp, and (B) satisfies all other guarantor requirements set forth in the applicable Underwriting Guidelines.

(t) Escrow Items. If the related Loan Documents require an escrow account to be maintained by the related Mortgagor for the payment of Escrow Items, then each Covered Person has (i) computed the amount of all Escrow Items and Escrow Funds in accordance with Applicable Requirements, (ii) collected all Escrow Funds and disbursed all Escrow Items in accordance with Applicable Requirements, and, when required by Applicable Requirements, has advanced its own funds to pay any Escrow Items for which the Escrow Funds were insufficient, and (iii) timely provided to the related Mortgagor all required disclosures, notices, and statements relating to all Escrow Funds and disbursements in accordance with Applicable Requirements. All undisbursed Escrow Funds are in the possession, custody, or control of the Seller. All Escrow Items that became due and payable before the related Purchase Date, and all Escrow Items that will become due and payable during the period of time set forth in Chapter 8 of the Planet Guide, (i) have been

or will be timely and fully paid by the related Mortgagor, or (ii) have been or will be advanced by the Seller in accordance with Applicable Requirements. There are no deficiencies with respect to any Escrow Funds for which customary arrangements regarding the repayment thereof have not been made in accordance with Applicable Requirements, and no Escrow Items or other amounts due or payable from the related Mortgagor have been capitalized or added to the indebtedness evidenced by the related Mortgage Note or secured by the related Mortgage Instrument.

(u) General Compliance. The origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale (including the sale to Planet) of the Mortgage Loan has complied and, at all times on and before the related Transfer Date, will comply with Applicable Requirements, including Applicable Laws of the jurisdiction where the related Mortgaged Property is located. No accrued liabilities of any Covered Person will arise against Planet as the owner or servicer of the Mortgage Loan, as the indorsee of the related Mortgage Note, or as the assignee of the related Mortgage Instrument. No Covered Person has received notice from any Person alleging that the Mortgage Loan, the related Mortgaged Property, or any action or inaction by any Person in connection with the Mortgage Loan or the related Mortgaged Property, has failed to comply with Applicable Requirements, including Applicable Laws of the jurisdiction where the related Mortgaged Property is located. The Seller has performed and will perform all of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, and undertakings required to be performed by it pursuant to the Agreement in accordance with Applicable Requirements. The related Mortgagor has received all disclosures and notices required to be furnished pursuant to Applicable Law in connection with the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale (including the sale to Planet) of the Mortgage Loan. No Covered Person has made any representations or statements to the related Mortgagor that are inconsistent with the related Loan Documents.

(v) No Adverse Events. The Mortgage Loan is not and has not been the subject of (i) any Foreclosure Action, Insolvency Proceeding, or other Action or Claim directly or indirectly relating to the Mortgage Loan, (ii) any request for or grant of relief pursuant to the Homeowner Assistance Fund, the Home Affordable Modification Program, the Home Affordable Refinance Program, the Servicemembers Civil Relief Act or similar state program, or any Loss Mitigation relief, or (iii) any demand or request for cure, repurchase, indemnification, or any other monetary or non-monetary recourse, relief, or remedy (including any indemnification, make-whole, reimbursement, or repurchase alternative) by any Person. The Mortgage Loan has not been sold or offered for sale to any other Person and, to the Seller's knowledge, no facts exist that would or reasonably could be expected to cause Planet or any Subsequent Transferee to consider the Mortgage Loan an unacceptable investment. No event has occurred that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any of the foregoing.

(w) No Credit Events. All Monthly Payments and other amounts due and payable by the related Mortgagor in connection with the Mortgage Loan have been fully paid, timely received, and properly credited. No related Monthly Payment or other amount due or payable by the related Mortgagor in connection with the Mortgage Loan has been advanced, dishonored, or thirty (30) days or more Delinquent at any time since the origination date. At all times since the origination date of the Mortgage Loan, true, correct, and complete payment information has been furnished to Equifax, Experian, and TransUnion on a monthly basis with respect to the Mortgage Loan.

(x) No Discriminatory Actions. No Covered Person has taken or will take any adverse action with respect to the related Mortgagor solely on the basis of age, color, disability, ethnicity, familial status, gender, marital status, national origin, race, religion, sexual orientation, veteran status, or the fact that the related Mortgagor has received public assistance or exercised any right in good faith pursuant to the Consumer Credit Protection Act, the Equal Credit Opportunity Act, or any similar Applicable Law.

(y) Agency Matters. If the Mortgage Loan is a Conventional Mortgage Loan or a Government Mortgage Loan, then (i) the related Loan Documents accurately identify the applicable Agency, and (ii) the Seller (A) has provided and will provide to the applicable Agency all documents, information, reports, statements, and other submissions required to be submitted by the Seller to such Agency in accordance with applicable Agency Requirements, (B) has remitted and will remit to the applicable Agency all advances, charges, expenses, fees, payments, and other amounts required to be remitted by the Seller to such Agency in accordance with applicable Agency Requirements, and (C) has taken and will take all actions necessary for the applicable Agency to recognize and reflect Planet as the owner of the Mortgage Loan and, if applicable, the beneficiary of the related Government Backstop. The origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), or sale (including the sale to Planet) of the Mortgage Loan has complied with the standard terms and provisions of applicable Agency Requirements without any variances or waivers, and the Seller has disclosed and will disclose to Planet in writing all variances, waivers, and other non-standard terms or provisions relating to any of the foregoing. The related Collateral File contains all related Collateral Documents required to be contained therein pursuant to applicable Agency Requirements, and the related Loan File contains all related Loan Documents required to be contained therein pursuant to applicable Agency Requirements. The Mortgage Loan has received all Agency approvals for the Loan Program under which it was submitted. All representations and warranties made by any Covered Person to the applicable Agency with respect to the Mortgage Loan (i) were accurate, complete, correct, and true on and as of each date such representations and warranties were made and remain accurate, complete, correct, and true on and as of the related Purchase Date, and (ii) are incorporated by reference herein, made an integral part hereof, and restated by the Seller to and for the benefit of Planet on and as of the related Purchase Date.

(z) Conventional Mortgage Loans. If the Mortgage Loan is a Conventional Mortgage Loan or otherwise had an original Principal Balance equal to or less than the annual conforming loan limit published by FHFA for the calendar year in which such Mortgage Loan was originated and the geographic location where the related Mortgaged Property is located, then such Mortgage Loan (i) has been underwritten, originated, and serviced in accordance with, and otherwise satisfies, applicable FHLMC Requirements or FNMA Requirements, (ii) is eligible for delivery to FHLMC or FNMA or for securitization into mortgage-backed securities guaranteed by the applicable FHLMC or FNMA, and (iii) has not been affected by any event (including any error, action, inaction, misstatement, or omission on the part of any Covered Person) that, with or without notice or the lapse of time or both, would or reasonably could be expected to impair the eligibility of the Mortgage Loan for delivery to FHLMC or FNMA or for securitization into mortgage-backed securities guaranteed by FHLMC or FNMA. If the Mortgage Loan had an original loan-to-value ratio of eighty and 00/100 percent (80.0%) or greater, then any excess over seventy-eight and 00/100 percent (78.0%) is insured as to payment defaults by a policy of mortgage insurance that (i) is issued by a duly licensed Insurance Provider that satisfies the independence, licensing, qualification, selection, and other requirements of the applicable Agency and is duly authorized to do business in the jurisdiction where the related Mortgaged Property is located, (ii) is valid, binding, enforceable, and in full force and effect without any unpaid premium or other amount due or payable, and no claims have been made, denied, or paid under such policy of mortgage insurance, (iii) includes all standard coverages and endorsements that are required pursuant to Applicable Requirements and are customarily requested pursuant to Accepted Servicing Practices, and does not include any special exceptions or exclusions that are prohibited pursuant to Applicable Requirements or are customarily rejected pursuant to Accepted Servicing Practices, (iv) contains a standard mortgagee clause naming the Seller and its successors and assigns as the sole insured, loss payee, and Mortgagee, and requiring notice to the Mortgagee in the event of cancellation, reduction, modification, or termination, (v) obligates the related Mortgagor to maintain such policy of mortgage insurance, and to pay all costs, expenses, fees, and premiums in connection therewith, in each case until such time as it may be discontinued pursuant to Applicable Law or applicable Agency Requirements, and

such premium is not payable by Planet nor payable from any portion of interest, and (vi) complies, in both form and substance, with Applicable Requirements.

(aa) Government Mortgage Loans. If the Mortgage Loan is a Government Mortgage Loan, then such Mortgage Loan (i) has been underwritten, originated, and serviced in accordance with, and otherwise satisfies, applicable FHA Requirements, USDA Requirements, or VA Requirements, (ii) is or, before the related Transfer Date, will be covered by a Government Backstop that (A) has been issued by the applicable Agency, (B) covers the greatest extent of Losses in the maximum amounts permissible by the applicable Agency, and (C) has not been tendered to or rejected by the applicable Agency for payment, (iii) is eligible for delivery to GNMA or for securitization into mortgage-backed securities guaranteed by GNMA, and (iv) has not been affected by event (including any error, action, inaction, misstatement, or omission on the part of any Covered Person) that, with or without notice or the lapse of time or both, would or reasonably could be expected to impair the benefits or coverage of the related Government Backstop or the eligibility of the Mortgage Loan for delivery to GNMA or for securitization into mortgage-backed securities guaranteed by GNMA. The related Collateral File includes all Collateral Documents and other documents (including the related Government Backstop Certificate) necessary for the Mortgage Loan not to prevent the related mortgage pool from receiving “initial certification,” as that term is defined pursuant to the Ginnie Mae Mortgage-Backed Securities Guide, as it may be amended from time to time.

(bb) Underwriting Guidelines. The Mortgage Loan was underwritten, approved, and originated in accordance with the applicable Underwriting Guidelines without variance or regard to underwriter discretion, other than underwriting exceptions that (i) have been disclosed to and approved by Planet in writing before the related Purchase Date, and (ii) are based on reasonable and documented compensating factors set forth in a written document contained in the related Loan File. The methodology used in underwriting the Mortgage Loan (i) includes objective mathematical principles that relate to the relationship between the amount of the proposed Monthly Payment and the amount of the related Mortgagor’s income, assets, and liabilities, and (ii) except as permitted by the applicable Underwriting Guidelines, does not rely on the extent of the related Mortgagor’s equity in the related Mortgaged Property as the primary factor for approving the Mortgage Loan.

(cc) High Cost Loans. Regardless of whether the Originator is exempted by means of federal preemption or otherwise, the Mortgage Loan (i) is not a “high-cost mortgage” for purposes of the Home Ownership and Equity Protection Act (“HOEPA”) and does not have an “annual percentage rate” or total “points and fees,” as those terms are defined pursuant to HOEPA, that equal or exceed the applicable thresholds imposed by HOEPA, (ii) is not categorized as “Covered” or “High Cost” pursuant to Appendix E of the Standard & Poor’s LEVELS® Glossary and does not have characteristics that would or reasonably could be expected to result in the Mortgage Loan having a percentage listed under the Indicative Loss Severity Column in the Standard & Poor’s Anti-Predatory Lending Law Update Table, (iii) is not an “abusive,” “covered,” “high cost,” “high risk,” “predatory,” “threshold,” “unfair,” or similarly classified loan for purposes of any Applicable Law that imposes heightened regulatory scrutiny or additional legal liability for residential mortgage loans which have high interest rates, points, or fees (collectively, “Predatory Lending Laws”), and (iv) complies with all Predatory Lending Laws and the anti-predatory lending eligibility requirements of the applicable Agency, in each case irrespective of whether the Mortgage Loan is subject thereto. The related Mortgagor was not encouraged or required to select a loan product that was a higher-cost product designed for less-creditworthy borrowers unless, at the time of application and origination, the related Mortgagor did not qualify for a lower-cost product then offered by the related Originator or its Affiliates. If, at the time of application, the related Mortgagor may have qualified for a lower-cost product then offered by the related Originator or its Affiliates, then the related Originator referred the related Mortgagor’s application to such Affiliate for underwriting consideration.

(dd) Mortgaged Property. The related Mortgaged Property (i) consists of an unsubordinated fee-simple estate in a single parcel or contiguous parcels of real property located in the conterminous United

States, Puerto Rico, or the United States Virgin Islands, (ii) is improved with a Residential Dwelling that is permanently erected thereon and the condition, construction, location, occupancy, type, and use of which complies with Applicable Requirements, (iii) is not used for agricultural, commercial, mixed-use, or other non-residential purposes, unless the Mortgage Loan is a Business Purpose Mortgage Loan, provided that the presence of a home office shall not constitute a commercial purpose, and (iv) is in good repair and is not subject to or affected by any physical damage, structural defects, or deferred maintenance that impairs the habitability, marketability, use, or value of the Mortgaged Property. The related Mortgaged Property is not subject to a ground lease or secured by a leasehold interest, nor is the related Mortgaged Property located on any Indian reservation or other land owned by or held in trust for any Indian tribe. There is no pending or threatened Action or Claim relating to the construction, occupancy, operation, ownership, or use of the related Mortgaged Property or for the total or partial condemnation, possession, or taking of the related Mortgaged Property. All of the improvements that were included for the purpose of determining the appraised value of the related Mortgaged Property lie wholly within the boundaries and building restriction lines thereof, and no improvements on adjoining properties encroach upon the related Mortgaged Property. The related Mortgaged Property is not and, on the related Transfer Date, will not be (i) located in a zip code that has been designated by FEMA as being a “Federal Disaster Area” affected by a “Major Disaster,” or (ii) a property that has been designated by FEMA as being an “Individual Assistance” property or a “Category 1” property.

(ee) Occupancy and Use. The related Mortgaged Property and all improvements thereon have been constructed, occupied, operated, and used in accordance with Applicable Laws (including all applicable building, construction, and zoning ordinances) and the terms of the related Loan Documents. The related Mortgagor has obtained, in each case without notice of possible impairment, revocation, suspension, or termination, all required certificates, inspections, licenses, and permits necessary for the construction, occupancy, operation, and use of the related Mortgaged Property in accordance with all such Applicable Laws and the terms of the related Loan Documents (collectively, “Property Permits”), and the related Mortgagor covenants in the related Loan Documents to maintain all such Property Permits at all times while the Mortgage Loan is outstanding. Nothing further remains to be done to satisfy all requirements of each such Applicable Law and each such Property Permit, and neither the related Mortgagor nor any Covered Person has received notice from any Governmental Authority alleging that the related Mortgagor, the related Mortgaged Property, or any activities or improvements thereon, fails to comply with any such Applicable Law or any such Property Permit. The related Mortgaged Property is claimed and occupied by the related Mortgagor as its primary residence or, only if permitted by the applicable Underwriting Guidelines, its secondary residence. No illegal or unlawful activities are being conducted on the related Mortgaged Property.

(ff) Environmental Compliance. The related Mortgaged Property and all activities and improvements thereon comply with the Comprehensive Environmental Response Compensation and Liability Act, the Resource Conservation and Recovery Act, and all other applicable federal, state, and local environmental Laws (collectively, “Environmental Laws”), and the related Mortgagor covenants in the related Loan Documents to comply with all such Environmental Laws at all times while the Mortgage Loan is outstanding. Nothing further remains to be done to satisfy all requirements of each such Environmental Law, and neither the related Mortgagor nor any Covered Person has received notice from any Governmental Authority alleging that the related Mortgagor, the related Mortgaged Property, or any activities or improvements thereon, fails to comply with any such Environmental Law. There does not exist in, on, under, or about the related Mortgaged Property any “hazardous material,” “hazardous substance,” “hazardous waste,” “solid waste,” or “toxic substance,” as those terms are defined pursuant to any Environmental Law.

(gg) Property Valuation. The related Loan File contains a written appraisal of the related Mortgaged Property that was (i) prepared (A) by a duly licensed appraiser that satisfies the independence,

licensing, qualification, selection, and other requirements of FHLMC or FNMA and is duly authorized to do business in the jurisdiction where the related Mortgaged Property is located, and (B) in accordance with the Uniform Standards of Professional Appraisal Practice and the Financial Institutions Reform, Recovery, and Enforcement Act, (ii) completed and signed before the final approval of the Mortgage Loan, and (iii) complies, in both form and substance, with Applicable Requirements. The Person performing any property valuation (including any appraiser) of the related Mortgaged Property received no benefit from, and such Person's compensation or flow of business was not affected by, the approval or disapproval of the Mortgage Loan. The selection of the Person performing any property valuation (including any appraiser) of the related Mortgaged Property was made independently of any mortgage broker, any real estate agent, and any of the related Originator's loan production or sales personnel.

(hh) Mortgagor. The Mortgage Loan is made to a primary Mortgagor (or, in the case of a Business Purpose Mortgage Loan, is guaranteed by a Guarantor (as defined in Subsection A-2.02(s)(v))) that is (i) a natural person who (A) currently is a citizen of the United States and currently has a Social Security Number ("SSN") or Individual Taxpayer Identification Number ("ITIN"), or (B) currently is a lawful permanent resident or lawful non-permanent resident of the United States and currently has a SSN or ITIN as well as a verified immigration status that is evidenced by a valid employment authorization document ("EAD") or a Permanent Resident Card, a Temporary Work Visa, a Form I-551, or a I-551 Temporary Evidence Stamp, or (ii) a revocable inter-vivos trust which complies with the requirements set forth in the Fannie Mae Single Family Selling Guide irrespective of whether the Mortgage Loan is subject thereto. The related Mortgagor (i) is not and has not been subject to, and is not and has not been identified as a "blocked person" or "specially designated national" for purposes of, Executive Order 13224 (the "Executive Order") and the regulations and rules promulgated by the United States Department of the Treasury Office of Foreign Assets Control (collectively, the "OFAC Regulations"), (ii) is not and has not been the subject of any pending or prior judicial foreclosure, non-judicial foreclosure, Foreclosure Alternative (e.g., compromise claim, deed-in-lieu of foreclosure, loan assumption, private sale, short sale, or similar foreclosure prevention program), or Insolvency Proceeding, and (iii) is not engaged in the cannabis industry or any illegal, unlawful business or activity. The Mortgage Loan is not subject to nullification pursuant to the Executive Order or the OFAC Regulations.

(ii) Ability to Repay; TRID Compliance. Unless the Mortgage Loan is a Non-QM Mortgage Loan, the Mortgage Loan (i) complies with the ability to repay standards set forth in 12 C.F.R. § 1026.43(c), and documentation necessary to verify compliance with 12 C.F.R. § 1026.43(c) and 12 C.F.R. § 1026.43(e) is contained in the related Loan File, and (ii) was originated in compliance with the Truth in Lending Act and Real Estate Settlement Procedures Act Integrated Disclosure Rule promulgated by CFPB to implement Sections 1098 and 1100A of the Dodd-Frank Wall Street Reform and Consumer Protection Act, which amended the Truth in Lending Act and the Real Estate Settlement Procedures Act. No event has occurred that, with or without notice or the lapse of time or both, would or reasonably could be expected to impair the related Mortgagor's financial condition or otherwise cause the Mortgage Loan to become Delinquent.

(jj) Qualified Mortgage. The Mortgage Loan is a "qualified mortgage," as that term is defined pursuant to 12 § C.F.R. 1026.43(e)(2), (e)(4), (e)(5), (e)(6), or (e)(7) (a "QM Mortgage Loan"), otherwise the Mortgage Loan (i) is of a loan type, product type, and property type which is approved, eligible and otherwise permitted pursuant to applicable Planet Requirements, (ii) complies with the total points and fees limitations set forth in 12 C.F.R. § 1026.43(e)(3), irrespective of whether the Mortgage Loan is subject thereto, (iii) does not include a prepayment penalty that would not be permitted by 12 C.F.R. § 1026.43(g), irrespective of whether the Mortgage Loan is subject thereto, and (iv) either (A) is not a "higher-priced covered transaction," as that term is defined pursuant to 12 C.F.R. § 1026.43(b)(4), and qualifies for the safe harbor set forth in 12 C.F.R. § 1026.43(e)(1)(i), or (B) is a "higher-priced covered transaction," as that term is defined pursuant to 12 C.F.R. § 1026.43(b)(4), and qualifies for the presumption of compliance set forth in 12 C.F.R. § 1026.43(e)(1)(ii).

(kk) SMMEA. The Originator of the Mortgage Loan is a mortgagee approved by the Secretary of Housing and Urban Development pursuant to Sections 203 and 211 of the National Housing Act, or is a federal or state savings bank, savings and loan association, credit union, or similar institution that is supervised and examined by a Governmental Authority. Each Covered Person that holds, or has held and disposed of, any right, title, or interest in, to, or under the Mortgage Loan, whether as an assignee, mortgagee, participant, pledgee, servicer, subservicer, or otherwise, (i) is and, during the period in which such Covered Person held and disposed of such right, title, or interest, was (A) duly organized and in good standing under the Laws of the jurisdiction where the related Mortgaged Property is located, (B) duly authorized and in good standing to do business in the jurisdiction where the related Mortgaged Property is located, or (C) a federal or state savings bank, a federal savings and loan association, or a national banking association, that does not require authorization to do business in the jurisdiction where the related Mortgaged Property is located, and (ii) has and, during the period in which such Covered Person held and disposed of such right, title, or interest, had each required license, permit, qualification, and registration — or satisfies and, at all relevant times, satisfied an applicable exemption from such licensing, permitting, qualification, and registration requirements — to the extent necessary for such Covered Person to originate, own, or service the Mortgage Loan in accordance with Applicable Law. Neither the related Mortgagor nor any Covered Person is identified on any Exclusionary List, nor is any Covered Person the subject of any approval revocation, consent order, exclusionary restriction, licensure suspension, participation denial, supervisory letter, or similar enforcement action by any Governmental Authority.

(ll) Second Lien Mortgage Loan. If the Mortgage Loan is a Second Lien Mortgage Loan, then on and as of the related Purchase Date and the related Transfer Date:

(i) the Mortgage Loan (A) is fully funded and no Person is obligated to advance or loan any additional funds to the related Mortgagor under the related Collateral Documents, (B) had an original loan amount of not less than the minimum amount required by the applicable Underwriting Guidelines and not greater than the maximum amount required by the applicable Underwriting Guidelines, and has a consolidated principal amount not greater than the maximum amount permitted by the maximum amount required by the applicable Underwriting Guidelines, and has not been overdrawn by the related Mortgagor at any time, (C) either (I) is not subject to an intercreditor or similar agreement, or (II) is subject to an intercreditor or similar agreement that is in full force and effect and is not and has not been the subject of (X) any monetary or non-monetary default by any Person under such agreement, and no circumstance has occurred or is continuing that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any monetary or non-monetary default under such agreement, or (Y) any pending or threatened administrative action, bankruptcy proceeding, foreclosure action, legal proceeding, or other enforcement action of any kind, (D) either (I) the related Collateral Documents do not require any escrow, holdback, reserve, or similar cash management account be maintained with respect to the Mortgage Loan, and no such accounts are being or have been maintained, or (II) the related Collateral Documents require an escrow, holdback, reserve, or similar cash management account be maintained with respect to the Mortgage Loan, and all such accounts are being and have been maintained in accordance with Applicable Requirements; and (E) the related Mortgaged Property has not been listed for sale at any time during the applicable lookback period set forth in the applicable Underwriting Guidelines; and

(ii) the related Senior Lien Loan (A) is secured by a mortgage, deed of trust, or other security instrument that (I) does not prohibit the related Mortgagor from granting a second-priority lien upon the related Mortgaged Property, (II) is publicly recorded in accordance with all Applicable Laws of the jurisdiction where the Mortgaged Property is located, and (III) is identified in the loan policy of title insurance issued in connection with the Mortgage Loan, (B) is not a reverse mortgage loan, and does not have interest-bearing deferred amounts, and does not allow for graduated payments, negative amortization, rate conversion, or a term to maturity greater than the maximum number of years permitted by the applicable Underwriting Guidelines, (C) is not subject to a prepayment penalty, or the period for such prepayment

penalty has since expired, (D) is not and has not been the subject of (I) any monetary or non-monetary default by the related Mortgagor under the related loan documents, and no circumstance has occurred or is continuing that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any monetary or non-monetary default under the related loan documents, (II) any offer or request for an extension, forbearance, modification, waiver, or similar indulgence, in whole or in part, with respect to any monetary or non-monetary obligation imposed upon the related Mortgagor under the related loan documents, or (III) any pending or threatened administrative action, bankruptcy proceeding, foreclosure action, legal proceeding, or other enforcement action of any kind.

(mm) Construction Conversion Mortgage Loans. If the Mortgage Loan is a Construction Conversion Mortgage Loan, then (i) the Mortgage Loan is Permanent Financing that (A) closed in a “single closing” transaction (as that term is used in Section B5-3.1-02 of the Fannie Mae Single-Family Selling Guide and Section 4602.3 of the Freddie Mac Single-Family Seller/Servicer Guide) with the Interim Financing used to finance the construction of a new site-built home on the related Mortgaged Property or the repair, restoration, or rehabilitation of an existing site-built home on the related Mortgaged Property, and (B) replaced, by means of conversion or modification, such Interim Financing upon the payment-in-full of all amounts due and payable in connection therewith, (ii) the related Loan File contains, in addition to the documents specified in Appendix B (Part 2) to the Planet Guide, all other documents required to be contained in the related Loan File pursuant to applicable Construction Conversion Mortgage Loan Requirements, (iii) the related Mortgaged Property has a single-family Residential Dwelling permanently erected thereon that is fully detached and owner-occupied, (iv) all amounts due and payable by the related Mortgagor in connection with the replaced Interim Financing have been fully paid, timely received, and properly credited, and no amount due or payable by the related Mortgagor in connection with the replaced Interim Financing was advanced, dishonored, or thirty (30) days or more Delinquent at any time since the origination date, and (v) the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale (including the sale to Planet) of the Mortgage Loan has complied with all applicable Construction Conversion Mortgage Loan Requirements.

(nn) eMortgage Loans. If the Mortgage Loan is an eMortgage Loan, then:

(i) the Mortgage Loan was originated in accordance with the same credit, collateral, and underwriting requirements applicable to Mortgage Loans that are not eMortgages;

(ii) the Mortgage Loan is evidenced by a related eNote that (A) is a valid Version 1.02 MISMO Category 1 SMART Doc® and prepared on the Uniform Fannie Mae/Freddie Mac form of eNote, which identifies the Seller as the “Note Holder” of such eNote, (B) is registered on the MERS eRegistry, which identifies the Seller as the “Controller” of such eNote and reflects each transfer of Control (as defined pursuant to applicable Electronic Signature Laws) of such eNote, (C) has been maintained by the holder of such eNote or its designated custodian and in an eNote vault system that satisfies applicable eMortgage Requirements and will, before the earliest deadline imposed by Applicable Requirements, be delivered to Planet’s eNote vault system in accordance with applicable eMortgage Requirements, (D) is a valid, binding, and enforceable Transferable Record, and there is no defect with respect to such eNote that would or reasonably could be expected to impair the ability or rights of the applicable Agency or the holder of such eNote to Control (as defined pursuant to applicable Electronic Signature Laws) such eNote to the fullest extent and in the greatest amount permitted by Applicable Law, and (E) complies, in both form and substance, with applicable eMortgage Requirements. There is, and never has been more than, one and only one Authoritative Copy of the related eNote in existence and all copies, other than the Authoritative Copy, are readily identifiable as non-authoritative copies;

(iii) the related eNote and each other Electronic Record relating to the Mortgage Loan (A) has been authenticated and authorized in accordance with applicable eMortgage Requirements, (B)

includes all additional clauses, headers, footers, and other provisions required by applicable eMortgage Requirements, (C) is cryptographically “sealed” with a tamper-evident seal that was created by digital signature technology and was applied immediately after the Electronic Signature of the related Mortgagor was applied, (D) is executed by and logically associated with an Electronic Signature that (I) is authentic, authorized, and genuine pursuant to applicable Electronic Signature Laws, and is valid, binding, and enforceable pursuant to Applicable Law, (II) was not effected by means of audio or video recording or comprised exclusively of biometric data, and no single Electronic Signature associated with the Mortgage Loan was applied to multiple Electronic Records simultaneously, and (III) to the extent notarized by electronic means, was notarized in accordance with all applicable Electronic Notarization Laws and other eMortgage Requirements, and the Seller retains and will continue to retain (or maintains and will continue to maintain the ability to access) the digital recording of the notarial ceremony for the greater of ten (10) years or the minimum period required by Applicable Requirements, (IV) has not been altered after the Electronic Signature of the related Mortgagor was applied, (E) is not subject to any claim, counterclaim, defense (including the defense of usury or deceptive trade practices), or right of avoidance, nullification, recoupment, reformation, rescission, setoff, or surcharge, and no such claim, counterclaim, defense or right has been asserted, and (F) complies, in both form and substance, with Applicable Requirements, including applicable eMortgage Requirements;

(iv) the related Mortgagor, before executing the related eNote or any other Electronic Record relating to the Mortgage Loan, was presented with and, to the extent required by applicable eMortgage Requirements, electronically executed all disclosures and other documents that are necessary to evidence the related Mortgagor’s agreement and consent to execute such eNote and each such other Electronic Record using an Electronic Signature and to conduct the eMortgage Loan transaction by electronic means generally;

(v) the Seller has collected and retains, and will provide to Planet promptly upon request, all system logs, audit trails, digital recordings, and other electronic records that (A) establish a temporal connection and transactional relationship between the related Mortgagor’s presentation of identification documents and electronic execution of the Electronic Records relating to the Mortgage Loan, and (B) evidence the related Mortgagor’s agreement and consent to execute each Electronic Record using an Electronic Signature and to conduct the Mortgage Loan transaction by electronic means generally, and the due execution and notarization of each such Electronic Record in accordance with applicable eMortgage Requirements; and

(vi) the Seller has obtained Planet’s prior written approval to sell the Mortgage Loan to Planet pursuant to the Agreement, and each Covered Person has fully and strictly complied with all eMortgage Requirements in connection with the origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities), Servicing (including all collection, escrow, and Loss Mitigation activities), and sale of such Mortgage Loan (including the sale to Planet).

Subsection A-2.03. Qualifications of Representations and Warranties.

The Seller acknowledges and agrees that each representation and warranty made by the Seller in the Agreement is a material inducement for Planet to purchase the Mortgage Loans and shall survive the sale and delivery of the Mortgage Loans in accordance with Subsection 5.07 of the Purchase Agreement. The Seller further acknowledges and agrees that (a) any knowledge or materiality qualification of any representation or warranty made by the Seller in the Agreement has been included in the interest of full and fair disclosure but without the intent of impairing or prejudicing any of the Claims, rights, or remedies available to Planet under the Agreement or at law or in equity, and (b) if Planet determines that the factual substance of any representation or warranty made by the Seller in the Agreement is inaccurate, incomplete, incorrect, or untrue on or as of any applicable Determination Date, then (i) such inaccuracy, incompleteness, incorrectness, or untruth shall constitute a Defect and breach of such representation or warranty for all

purposes hereof, in each case notwithstanding the Seller's lack of knowledge that such representation or warranty was inaccurate, incomplete, incorrect, or untrue at the time it was made or deemed made, and (ii) Planet shall be entitled to exercise all Claims, rights, or remedies to which it would be entitled for a Defect or breach of such representation or warranty, in each case notwithstanding the Seller's lack of knowledge with respect to such failure at the time such representation or warranty was made or deemed made and irrespective of any knowledge or materiality qualification of such representation or warranty.

SECTION A-3. SELLER COVENANTS.

Subsection A-3.01. Delivery of Collateral Files and Loan Files.

Not less than ten (10) Business Days before the related Purchase Date of any Mortgage Loan, the Seller shall deliver to Planet or its designee for examination and approval (a) fully indexed digital images of the complete Loan File for such Mortgage Loan, and (b) an original (or, if such Mortgage Loan is an eMortgage Loan, an Authoritative Copy) or, only to the extent permitted by applicable Agency Requirements under the circumstances, a Certified Copy (or, only to the extent permitted by applicable Agency Requirements under the circumstances, a non-certified copy), of each related Collateral Document for such Mortgage Loan. At any time and from time to time on or before the related Purchase Date of any Mortgage Loan, Planet may elect to re-price (as mutually agreeable to both Parties) or reject (in Planet's sole discretion) such Mortgage Loan for any reason based upon the results of such examination. In addition, Planet may, at its election in its sole discretion, continue such examination for a period of thirty (30) days after the related Purchase Date (the "QC Period") and, if Planet rejects such Mortgage Loan for any reason based upon the results of such continued examination before the expiration of the related QC Period, then the Seller shall, at Planet's election in its sole discretion, repurchase such Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email).

Subsection A-3.02. Assignment and Registration of Mortgage Loans.

(a) MERS Mortgage Loans. Not later than five (5) Business Days after the related Purchase Date of any MERS Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall (i) designate Planet Home Lending (Org ID #1006543) as the sole "Investor" and sole "Servicer" on the MERS System with respect to such MERS Mortgage Loan, and (ii) remove each Person identified as an "Interim Funder" or "Warehouse Gestation Lender" on the MERS System with respect to such MERS Mortgage Loan.

(b) Non-MERS Mortgage Loans. Not later than the related Purchase Date of any Non-MERS Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall prepare and submit for recordation (i) all Assignments of Mortgage necessary to assign to Planet each Mortgage Instrument related to such Non-MERS Mortgage Loan, and (ii) all prior Assignments of Mortgage necessary to evidence a complete and unbroken chain of recorded assignments of each such Mortgage Instrument from the original mortgagee to MERS. The Seller shall deliver to the Document Custodian originals (or, only to the extent permitted by applicable Planet Requirements, certified copies) of all such Assignments of Mortgage not later than five (5) Business Days after the Seller's receipt thereof from the applicable recording office or otherwise.

Not later than five (5) Business Days after the related Purchase Date of such Non-MERS Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall (i) designate Planet Home Lending (Org ID #1006543) as the sole "Investor" and sole "Servicer" on the MERS System with respect to such Non-MERS Mortgage Loan, and (ii) remove each Person identified as an "Interim Funder" or "Warehouse Gestation Lender" on the MERS System with respect to such Non-MERS Mortgage Loan.

(c) eMortgage Loans. Not later than five (5) Business Days after the related Purchase Date of any eMortgage Loan, and at the Seller's sole cost and expense, the Seller shall (i) designate Planet as the

sole “Controller” on the MERS eRegistry with respect to the related eNote, and (ii) take all actions necessary for the applicable Agency to be a “person entitled to enforce” such eMortgage Loan as well as a “holder in due course” of the related eNote.

(d) Government Mortgage Loans. Not later than five (5) Business Days after the related Purchase Date of any Government Mortgage Loan, and at the Seller’s sole cost and expense, the Seller shall transfer to Planet the related Government Backstop and shall cause the applicable Agency to recognize and reflect Planet as the owner of such Government Mortgage Loan and the beneficiary of the related Government Backstop. At all times from and after the Effective Date, the Seller shall not take or cause to be taken any action that, and shall not fail to take any action the failure of which, would or reasonably could be expected to diminish or impair (i) the eligibility for or extent of any benefit or coverage of any Government Backstop, (ii) the entitlement or right of the Mortgagee to receive any Government Backstop Proceeds to the fullest extent and in the greatest amount permissible by applicable Agency Requirements, or (iii) the ability or eligibility of any Government Mortgage Loan to be delivered to GNMA and securitized into mortgage-backed securities guaranteed by GNMA.

Subsection A-3.03. Seller Notices; Transfer Payments; Government Submissions.

(a) Seller Notices.

(i) Mortgagor Notices. Not later than thirty (30) days after the related Purchase Date of any Mortgage Loan, and at the Seller’s sole cost and expense, the Seller shall prepare and send to the related Mortgagor the written notice (if any) that 12 C.F.R. § 1026.39 requires to be provided by the purchaser of such Mortgage Loan. In addition, not later than fifteen (15) days before the related Transfer Date of any Mortgage Loan, and at the Seller’s sole cost and expense, the Seller shall prepare and send to the related Mortgagor the written notice (if any) that 12 C.F.R. § 1024.33(b) requires to be provided by the transferor servicer of such Mortgage Loan (the “Regulation X Notice”); provided, however, if such Mortgage Loan is of a type for which 12 C.F.R. § 1026.33(b) does not require the Regulation X Notice to be provided, then, not later than fifteen (15) days before the related Transfer Date, and at the Seller’s sole cost and expense, the Seller instead shall prepare and send to the related Mortgagor a written notice (A) informing that such Mortgage Loan was sold by the Seller to Planet on the related Purchase Date and that the Servicing of such Mortgage Loan will be transferred by the Seller to Planet on the related Transfer Date, and (B) instructing that all correspondences, documents, inquiries, notices, payments, and other items relating to such Mortgage Loan should be delivered to Planet from and after the related Transfer Date. Each such notice shall comply, in form, substance, and timing, with Applicable Requirements. Promptly upon Planet’s request, the Seller shall provide Planet with a true and correct copy of each notice that is prepared or sent by or on behalf of the Seller pursuant to this Subsection A-3.03(a)(i).

(ii) Third-Party Notices. Not later than thirty (30) days (or any lesser number of days imposed by Applicable Requirements) after the related Purchase Date of any Mortgage Loan, and at the Seller’s sole cost and expense, the Seller shall prepare and send to the applicable Agency, each applicable Insurance Provider, and each applicable Taxing Authority, a written notice (A) informing that such Mortgage Loan was sold by the Seller to Planet on the related Purchase Date and that the Servicing of such Mortgage Loan will be transferred by the Seller to Planet on the related Transfer Date, (B) instructing that all correspondences, documents, invoices, notices, proceeds, and other items relating to such Mortgage Loan should be delivered to Planet from and after the related Transfer Date, and (C) including all other information required to be included therein pursuant to Applicable Requirements. Each such notice shall comply, in form, substance, and timing, with Applicable Requirements. Promptly upon Planet’s request, the Seller shall provide Planet with a true and correct copy of each notice that is prepared or sent by or on behalf of the Seller pursuant to this Subsection A-3.03(a)(ii).

(b) Transfer Payments. Not later than the related Transfer Date of any Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall (i) pay all unpaid excise taxes, transfer taxes, stamp taxes, and other levies assessed by any Governmental Authority as a result of the purchase or sale of such Mortgage Loan or the assignment or recordation of any related Loan Document, and (ii) pay or advance all unpaid Escrow Items, and all premiums on any policy of flood insurance, hazard insurance, liability insurance, mortgage insurance, title insurance, or other type of insurance, (A) that have become due and payable in connection with such Mortgage Loan at any time on or before the related Transfer Date, including all penalties and interest incurred as a result of the late payment or non-payment thereof, and (B) that will become due and payable in connection with such Mortgage Loan at any time within thirty (30) days following the related Transfer Date. If the Seller fails to timely and fully perform its obligations set forth in this Subsection A-3.03(b) with respect to any Mortgage Loan, then the Seller shall reimburse, indemnify, and hold harmless Planet for all amounts it paid, on an after-tax basis, in satisfaction of any of the foregoing items, including all penalties and interest incurred as a result of the late payment or non-payment thereof, not later than five (5) Business Days after the Seller's receipt of Planet's written demand (which may be delivered solely email).

(c) Government Submissions. The Seller shall be solely responsible for preparing and submitting, at the Seller's sole cost and expense, all notices, reports, statements, and other submissions that are required to be submitted to any Governmental Authority (including the Internal Revenue Service) with respect to each Mortgage Loan and pertaining to the period of time preceding the related Transfer Date. Each such notice, report, statement, or other submission shall comply, in form, substance, and timing, with Applicable Requirements. Promptly upon Planet's request, the Seller shall provide Planet with a true and correct copy of each notice, report, statement, or other submission that is prepared or submitted by or on behalf of the Seller pursuant to this Subsection A-3.03(c).

Subsection A-3.04. Seller Reporting.

(a) Significant Events. At all times during the Term, and for a period of one (1) year thereafter, the Seller shall provide written notice to Planet not later than five (5) Business Days after the Seller obtains knowledge of any event that, with or without notice or the lapse of time or both, would or reasonably could be expected to result in any of the following events:

(i) the change of the Seller's business address, corporate existence, entity type, good standing, legal name, licensure status, telephone number, trade name, or state of organization since the date of its most recent financial statements;

(ii) the merger, consolidation, conversion, reorganization, or sale of the Seller, or the disposition of all or substantially all of the Seller's assets or ownership interests, or the dissolution, liquidation, termination, or winding-up of the affairs of the Seller;

(iii) the commencement of any Insolvency Proceeding in which the Seller is or would be a debtor or a debtor-in-possession, or the Seller's audited annual financial statements (or any conclusions, notes, or opinions stated therein) being qualified or limited by reference to the status of the Seller as a "going concern" or a reference of similar import, or any other adverse change in the Seller's business operations, commercial prospects, or financial condition since the date of its most recent financial statements;

(iv) the issuance by any Governmental Authority of any temporary or permanent restriction upon the business, management, or operations of the Seller, or the Seller becoming subject to any consent order, memorandum of understanding, supervisory arrangement, or similar enforcement action by any Governmental Authority;

(v) the suspension or termination of the Seller as an approved seller or servicer for any Agency, or the inability the Seller to comply with any eligibility requirements necessary to remain an approved seller or servicer for any Agency, or the issuance by any Agency of written notice that it intends to suspend or terminate the Seller's status as an approved seller or servicer for such Agency;

(vi) the commencement of any Action or Claim against any Seller Person (A) relating to the Agreement, any Mortgage Loan, or any transaction contemplated hereby or thereby, or (B) alleging bad faith, criminal misconduct, breach of fiduciary duty, embezzlement, fraud, theft, moral turpitude, or willful misconduct on the part of any Seller Person;

(vii) the termination for cause of the Seller under any agreement relating to the purchase, sale, or financing of mortgage loans, mortgage servicing rights, or similar financial assets; or

(viii) the occurrence of any other event that, with or without notice or the lapse of time or both, would or reasonably could be expected to require notice to any Agency or other Governmental Authority, to have a Material Adverse Effect, or to result in a Seller Termination Event.

(b) Periodic Reports. At all times during the Term, and for a period of one (1) year thereafter, the Seller shall provide to Planet or its designee:

(i) Not later than forty-five (45) days after the end of each fiscal quarter of the Seller:

(A) a copy of the unaudited, consolidated financial statements (i.e., balance sheet, statement of income, and statement of cash flows) of the Seller and its consolidated subsidiaries reflecting the financial condition and results of operations of the Seller and its consolidated subsidiaries as of the close of such fiscal quarter, in each case, prepared in accordance with generally accepted accounting principles and setting forth (in comparative form) the corresponding figures for the preceding fiscal quarter; and

(B) a report specifying (on an agency-level basis) the total loan count and aggregate unpaid principal balance of all mortgage loans for which FHLMC, FNMA, GNMA, or any of the Seller's warehouse lenders, has requested or required that the Seller repurchase or provide any compensatory, punitive, or other monetary or non-monetary recourse, relief, or remedy (including indemnification, make-whole, reimbursement, or repurchase alternative) during such fiscal quarter;

(ii) Not later than one hundred twenty (120) days (or, if the Seller is an approved seller for HUD, ninety (90) days) after the end of each fiscal year of the Seller:

(A) a copy of the audited, consolidated financial statements (i.e., balance sheet, statement of income, and statement of cash flows) of the Seller and its consolidated subsidiaries reflecting the financial condition and results of operations of the Seller and its consolidated subsidiaries as of the close of such fiscal year, in each case, prepared and certified by an independent public accounting firm in accordance with generally accepted accounting principles and setting forth (in comparative form) the corresponding figures for the preceding fiscal year; and

(B) a written certification signed by an authorized officer of the Seller certifying that that such officer has conducted or supervised a review of the Seller's origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities) and Servicing (including all collection, escrow, and Loss Mitigation activities) of a statistically significant sample set of the Mortgage Loans during the prior calendar year, and that, on the basis of such review, such officer has determined that the origination and Servicing of the Mortgage Loans has complied with the terms of the Agreement throughout such calendar year, except for any exceptions that are disclosed in such written statement or are of a type that such officer reasonably believes to be immaterial; and

(iii) Not later than thirty (30) days after the Seller's receipt thereof, copies of (A) all reports of Statement on Standards for Attestation Engagements ("SSAE") No. 16 or 18 audits and assessments conducted with respect to the Seller, and (B) all reports of System and Organization Controls ("SOC") Type 1 or 2 audits and assessments conducted with respect to the Seller.

Subsection A-3.05. Seller Records.

Not later than five (5) Business Days after the Seller's receipt of Planet's written request (which may be delivered solely by email) during or after the Term, and at the Seller's sole cost and expense, the Seller shall (a) deliver to Planet and its designees all documents, information, reports, and statements requested by Planet or its designees relating to (i) the Agreement, any Mortgage Loan, any transaction contemplated hereby or thereby, or any Covered Person's activities with respect to any of the foregoing, or (ii) the Seller's business operations, financial condition, or loan origination, Servicing, and sale policies, practices, and procedures, including all documents and information deemed necessary by Planet or its designees to verify each Covered Person's compliance with Applicable Requirements (clauses (i) and (ii) collectively, "Seller Matters"), and (b) make available for access and examination by Planet and its designees all books, records, and personnel of the Seller relating to any Seller Matters, including knowledgeable employees and other Representatives of the Seller for the purpose of answering questions relating to any Seller Matters. Any such access and examination shall be conducted during normal business hours and at Planet's sole cost and expense; provided, however, each such examination requested following the occurrence of any Seller Termination Event shall be conducted at the Seller's sole cost and expense. The Seller acknowledges and agrees that, notwithstanding any contrary provision in the Agreement or any other agreement, arrangement, or contract between any Seller Person and any Planet Person, including any confidentiality agreement, non-disclosure agreement, or user terms that purport to govern any website on which any documents, information, reports, or statements relating to any Seller Matters is made available, none of the foregoing shall prohibit, restrict or otherwise limit the right of any Planet Person to disclose and use — in its sole discretion from time to time, without notice to or consent from any Seller Person, and without any Planet Person being in breach of, default under, or violation of, any of the foregoing — any documents, information, reports, or statements relating to any Seller Matters in the event such Planet Person reasonably believes such disclosure or use is necessary or appropriate (a) to comply with (i) any Applicable Law or other Applicable Requirements to which any Planet Person or its property is subject, (ii) any request by any auditor, accountant, or attorney of any Planet Person, or by any Governmental Authority with jurisdiction over any Planet Person, or (iii) any judicial subpoena, discovery demand, or other legal process directed to any Planet Person, or (b) in connection with (i) the investigation, prosecution, defense, appeal, or reporting of any Action or Claim by or against any Planet Person, (ii) the inclusion or identification of the Seller on any Exclusionary List, or (iii) the performance by Planet Person of any audit, examination, inspection, or review of any Seller Person's business operations, commercial prospects, financial condition, or legal affairs.

Subsection A-3.06. Fidelity Bond and E&O Policy; Quality Control Program.

At all times during the Term, and at the Seller's sole cost and expense, the Seller shall maintain with a duly licensed Insurance Provider that satisfies the requirements of FHLMC and FNMA (a) a fidelity bond that provides lines of coverage, scope of coverage, and amounts of coverage that are not less than the minimums required by FHLMC or FNMA, whichever is most expansive, and complies, in both form and substance, with FHLMC and FNMA Requirements relating to fidelity bonds (each, a "Fidelity Bond"); and (b) a policy of errors and omissions insurance that provides lines of coverage, scope of coverage, and amounts of coverage that are not less than the minimums required by FHLMC or FNMA, whichever is most expansive, and complies, in both form and substance, with FHLMC and FNMA Requirements relating to errors and omissions insurance (each, an "E&O Policy"). Promptly upon Planet's request from time to time, the Seller shall deliver to Planet a certificate of insurance for each such Fidelity Bond and E&O Policy,

together with a statement from the surety or Insurance Provider that such Fidelity Bond and E&O Policy shall not be terminated or materially modified without thirty (30) days' prior written notice to Planet.

At all times during the Term, and at the Seller's sole cost and expense, the Seller also shall maintain an internal quality control program and fraud risk management process (including procedures for ensuring timely detection and reporting of actual or suspected fraud, misrepresentation, and other suspicious activities for which the Seller would or reasonably could be expected to require notice to any Agency or other Governmental Authority) with respect to the Seller's origination (including all solicitation, application, processing, underwriting, appraisal, insuring, and closing activities) and Servicing (including all collection, escrow, and Loss Mitigation activities) of the Mortgage Loans. Promptly upon Planet's request from time to time, the Seller shall deliver to Planet a copy of the Seller's quality control program and fraud risk management process for review.

Subsection A-3.07. Cooperation with Reconstitutions.

The Seller acknowledges and agrees that, at any time and from time to time, and without prior notice to or consent of the Seller, Planet or any Subsequent Transferee may effect one or more Reconstitutions with respect to some or all of the Mortgage Loans or the related Servicing Rights. In connection with each Reconstitution, the Seller shall, and shall cause each Covered Person to, (a) cooperate fully with Planet, all other parties to such Reconstitution, and its and their respective Representatives (each, a "Reconstitution Party") with respect to all reasonable inquiries and requests relating to any Mortgage Loan or any Covered Person, (b) deliver promptly to any Reconstitution Party all agreements, certifications, communications, data, documents, files, information, instruments, letters, opinions, reports, schedules, spreadsheets, statements, and other materials reasonably requested by any Reconstitution Party, including any of the foregoing that may be necessary to facilitate any Reconstitution Party's compliance with the provisions of 17 C.F.R. §§ 229.1100 et seq. and the regulations and rules promulgated thereunder, as they may be amended from time to time, (c) execute promptly any assignment, assumption and recognition agreement, any representation and warranty agreement, and any other customary agreement reasonably requested by any Reconstitution Party in connection with such Reconstitution (each, a "Reconstitution Agreement"), (d) restate, as of the closing date of such Reconstitution (each, a "Reconstitution Date"), each Corporate Representation made by the Seller in the Agreement, and restate, as of the related Purchase Date, each Loan Representation made by the Seller in the Agreement, (e) make any additional representations, warranties, and covenants reasonably requested by any Reconstitution Party in connection with such Reconstitution, and (f) indemnify and hold harmless each Reconstitution Party against all Losses (including attorneys' fees attributable to the enforcement of the Seller's indemnification and other obligations hereunder) incurred or sustained as a result of or in connection with any Action or Claim (including first-party Claims between or among the Parties and third-party Claims by or against any Party) that arises from, is based upon, or relates to, in whole or in part, (i) any failure or asserted failure on the part of the Seller to perform any of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, or undertakings required to be performed by it under this Subsection A-3.07 or any Reconstitution Agreement in accordance with Applicable Requirements, or (ii) any agreement, certification, communication, data, document, file, information, instrument, letter, opinion, report, representation, schedule, spreadsheet, statement, warranty, or other materials furnished by or on behalf of any Seller Person (collectively, "Seller Reconstitution Materials"), that (A) contains or allegedly contains any inaccurate, incomplete, incorrect, or untrue information or statement of fact, or (B) omits or allegedly omits any information or statement of fact that is required to be contained in such Seller Reconstitution Materials or that is necessary to make any information or statement of fact contained in any Seller Reconstitution Materials not inaccurate, incomplete, incorrect, untrue, or otherwise not misleading.

Subsection A-3.08. Interim Servicing; Servicing Transfer.

(a) Interim Servicing. At all times during the related Interim Servicing Period of any Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall perform the Servicing of such Mortgage Loan as an independent contractor on behalf of and for the benefit of, and without additional compensation from, Planet and the applicable Agency, in strict accordance with Applicable Law and, to the extent not inconsistent therewith, the terms of this Subsection A-3.08. Without limiting the generality of the foregoing, at all times during the related Interim Servicing Period of any Mortgage Loan, the Seller shall: (i) perform the Servicing of such Mortgage Loan in accordance with FNMA Requirements, irrespective of whether such Mortgage Loan is subject thereto; (ii) pursue the diligent collection and recovery of all related Loan Proceeds that are payable with respect to such Mortgage Loan as and when such Loan Proceeds become due; (iii) pay all Servicing Advances that are required to be made with respect to such Mortgage Loan pursuant to Applicable Requirements; and (iv) perform such other duties and provide such other reports as may be requested by Planet or the applicable Agency.

Notwithstanding the foregoing or any other provision in the Agreement, the Seller shall not take, and shall not cause, suffer, or permit to be taken, any of the following actions in connection with any Mortgage Loan during the related Interim Servicing Period without Planet's prior written consent, except to the extent expressly required by Applicable Law in which case Planet's consent shall not be required: (i) the cancellation, capitalization, charge off, deferral, or forgiveness of any principal, interest, or other amounts due or owing with respect to such Mortgage Loan; (ii) the extension or postponement of the maturity date, scheduled Due Date, or interest rate adjustment date with respect to such Mortgage Loan; (iii) the reduction or conversion of the interest rate with respect to such Mortgage Loan; (iv) the release or substitution of the related Mortgagor or the related Mortgaged Property, except upon payment in full of all principal, interest, and other amounts due and owing in connection with such Mortgage Loan; (v) the termination or subordination of the lien of the related Mortgage Instrument, except upon payment in full of all principal, interest, and other amounts due and owing in connection with such Mortgage Loan; (vi) the acquiescence to or waiver of any breach, default, event of default, or event of acceleration with respect to such Mortgage Loan; (vii) the commencement or continuation of any Foreclosure Action, Insolvency Proceeding, or other Action or Claim with respect to such Mortgage Loan; or (viii) the payment of any Servicing Advance with respect to such Mortgage Loan in an amount or of a type that would not be recoverable or reimbursable pursuant to applicable Agency Requirements.

In performing its duties, obligations, and responsibilities under this Subsection A-3.08, the Seller may delegate discrete Servicing functions to one or more subservicers or subcontractors; provided, however, the use by the Seller of any subservicer or subcontractor shall not release the Seller from any of its respective obligations hereunder, and the Seller shall remain liable hereunder for any error, action, inaction, misstatement, or omission on the part of any subservicer, any subcontractor, or any of their respective Representatives.

(b) Servicing Compensation. The Seller acknowledges and agrees that (i) the related Purchase Price of each Mortgage Loan shall be deemed to compensate the Seller for its performance of the Servicing of such Mortgage Loan during the related Interim Servicing Period and, as a result, the Seller shall not be entitled to receive an interim servicing fee from Planet with respect to such Mortgage Loan, and (ii) from and after the related Purchase Date of any Mortgage Loan, Planet shall be entitled to receive all Ancillary Income, servicing fees, and other compensation payable to the servicer with respect to such Mortgage Loan notwithstanding that Seller may continue to perform the Servicing of such Mortgage Loan during the related Interim Servicing Period.

(c) Servicing Transfer. On the related Transfer Date of any Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall (i) transfer to Planet, in accordance with the Transfer Instructions and all other Planet Requirements, the Servicing of such Mortgage Loan, (ii) assign to Planet, in accordance

with the Transfer Instructions and all other Planet Requirements, the life-of-loan Flood Determination referenced in Subsection A-2.02(s) with respect to such Mortgage Loan, and (iii) deliver to Planet, in accordance with the Transfer Instructions and all other Planet Requirements, a complete Servicing File for such Mortgage Loan, including all other documents, instruments, and information requested or required to be delivered with respect to such Mortgage Loans pursuant to Applicable Requirements. Not later than one (1) Business Day after the related Transfer Date of any Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall remit to the Planet Account, in accordance with the Transfer Instructions and all other Planet Requirements, all Loan Proceeds (including all Escrow Funds) that are in the possession, custody, or control of any Seller Person with respect to such Mortgage Loan.

(d) Post-Transfer Payments and Deliverables. During the ninety (90) day period after the related Transfer Date of any Mortgage Loan, and at the Seller's sole cost and expense, the Seller shall (i) remit to the Planet Account, not later than one (1) Business Day after the Seller's receipt thereof, all Loan Proceeds that come into the possession, custody, or control of any Seller Person with respect to such Mortgage Loan, and (ii) forward to Planet, not later than one (1) Business Day after the Seller's receipt thereof, all bills, correspondences, documents, invoices, inquiries, notices, payments, and other items received by any Seller Person with respect to such Mortgage Loan. From and after the expiration of such ninety (90) day period, and at the Seller's sole cost and expense, the Seller shall return to the sender all such items received by any Seller Person with respect to such Mortgage Loan, together with a written notice advising the sender that the Servicing of such Mortgage Loan has been transferred to Planet.

Subsection A-3.09. Further Assurances.

(a) Additional Actions. Promptly upon Planet's request from time to time during or after the Term, and at the Seller's sole cost and expense, the Seller shall cooperate with Planet and its designees, shall take or cause to be taken all additional actions, and shall execute or cause to be executed all additional documents, that Planet determines are necessary or appropriate to ensure the complete and timely consummation of the Transactions contemplated by the Agreement, including (i) the assignment and vesting of all right, title, and interest in, to, and under the Mortgage Loans, (ii) the transfer and performance of the Servicing of the Mortgage Loans, (iii) the request and receipt of any consents or certifications required to be obtained pursuant to applicable Agency Requirements with respect to the Mortgage Loans, (iv) the preparation and delivery of any documents, information, reports, or statements requested or required by any Agency or other Governmental Authority relating to the Agreement, the Mortgage Loans, or the transactions contemplated hereby or thereby, and (v) the Reconstitution, financing, hypothecation, or pledge of any Mortgage Loans.

(b) Agency Requests. If Planet receives any demand, inquiry, notice, or request from any Agency or Governmental Authority relating to the Agreement, any Mortgage Loan, any transaction contemplated hereby or thereby, or any Covered Person's activities with respect to any of the foregoing, then, at the Seller's sole cost and expense, the Seller shall deliver all requested documents, information, reports, and statements directly to such Agency or other Governmental Authority (with a copy to Planet) not later than five (5) Business Days after the Seller's receipt of Planet's written demand (which may be delivered solely by email) at any time during or after the Term.

(c) Powers of Attorney. The Seller hereby irrevocably appoints Planet and its successors and assigns as the Seller's lawful agent and attorney-in-fact with full power of substitution, and hereby grants Planet and its duly appointed agents and authorized officers with all authorities and powers necessary to take or cause to be taken all actions and to execute or cause to be executed all documents — in each case, on the Seller's behalf and in the Seller's name, place, and stead through Planet's duly appointed agents and authorized officers — that Planet determines to be necessary or appropriate to convey, vest, perfect, and enforce all right, title, and interest of Planet and its successors and assigns in, to and under the Mortgage Loans. To this end, not later than five (5) Business Days after the Seller's receipt of Planet's written request

(which may be delivered solely by email) from time to time, the Seller shall execute and deliver to Planet the requested number of Limited POAs as then being requested by Planet.

(d) Supplemental Seller Reports. Promptly upon Planet's request from time to time during the Term, and at the Seller's sole cost and expense, the Seller shall deliver to Planet or its designee, by electronic or other means specified by Planet, all data files and other documents, information, reports, and statements requested by Planet relating to the Agreement, any Mortgage Loan, any transaction contemplated hereby or thereby, or any Covered Person's activities with respect to any of the foregoing, as is supplementary to the documents, information, reports, and statements specifically required to be provided by the Seller to Planet pursuant to the Agreement (each, a "Supplemental Seller Report"). The format, contents, and delivery method of each Supplemental Seller Report shall be satisfactory to Planet in its sole discretion.

SECTION A-4. PLANET REMEDIES.

Subsection A-4.01. Investment Protection.

(a) Early Payment Default.

(i) QM Mortgage Loans. If any QM Mortgage Loan becomes ninety (90) days or more Delinquent with respect to the first (1st), second (2nd), third (3rd), or fourth (4th) scheduled Monthly Payment payable to Planet following the related Purchase Date, then the Seller shall, at Planet's election in its sole discretion, either: (A) repurchase such QM Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email); or (B) both (I) remit payment of the related Recourse Fee to the Planet Account not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email), and (II) indemnify and hold harmless each Planet Indemnitee, to the fullest extent permissible by Applicable Law, against all Claims (including Claims between or among the Parties) and all Losses (including attorneys' fees, court costs, and other legal expenses) incurred or sustained by such Planet Indemnitee in connection with or directly or indirectly arising out of, relating to, or resulting from, such QM Mortgage Loan. The Seller acknowledges and agrees that, notwithstanding the foregoing or any contrary provision in the Agreement, none of the Claims, rights, or remedies available to Planet under the Agreement or at law or in equity shall be impaired or prejudiced as a result of Planet's election to offer or accept the alternative remedy set forth in clause (B) of this Subsection A-4.01(a)(i) with respect to any Mortgage Loan.

(ii) Non-QM Mortgage Loans. If any Non-QM Mortgage Loan becomes thirty (30) days or more Delinquent with respect to the first (1st), second (2nd), or third (3rd) scheduled Monthly Payment payable to Planet following the related Purchase Date, then the Seller shall, at Planet's election in its sole discretion, repurchase such Non-QM Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email).

(b) Early Payoff Protection. If any Mortgage Loan is the subject of a Payoff Event (other than as a result of a refinancing by Planet) on or before the one hundred twentieth (120th) day following the related Purchase Date, then the Seller shall remit payment of the related Purchase Premium to the Planet Account not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email); provided, however, if such Payoff Event occurs before the related Transfer Date, then the Seller shall, without the requirement of prior notice from Planet, remit payment of the related Purchase Premium to the Planet Account not later than thirty (30) days after the occurrence of such Payoff Event.

(c) Defective Mortgage Loans. If any Party discovers that any representation or warranty made by the Seller in the Agreement was inaccurate, incomplete, incorrect, or untrue on or as of any applicable Determination Date, in each case without regard to any knowledge or materiality qualification of such representation or warranty (each, a “Defect”), then such Party shall promptly provide written notice (which, in the case of notice by Planet, may be delivered solely by email) of such Defect to the other Party and, thereupon, the Seller shall, at its sole cost and expense with time being of the essence, use best efforts to cure such Defect to Planet’s satisfaction within thirty (30) days after the earlier of the Seller’s discovery or receipt of notice thereof (the “Cure Period”). If the Seller fails to cure any Defect to Planet’s satisfaction before the expiration of the related Cure Period and Planet determines that such Defect would or reasonably could be expected to have a Material Adverse Effect with respect to one or more Mortgage Loans (each, a “Material Defect”), then the Seller shall, at Planet’s election in its sole discretion, repurchase each such Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than five (5) Business Days after the expiration of the related Cure Period; provided, however, if Planet determines that such Material Defect is of a type that is not capable of being cured, then the Seller shall, without the benefit of and without regard to a Cure Period, repurchase each such Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than thirty (30) days after the Seller’s receipt of Planet’s written demand (which may be delivered solely by email). For purposes of this Subsection A-4.01(c), the failure of any representation or warranty made by the Seller in clauses (a), (b), (d), (e), (f), (g), (h), (i), (j), (q), (r), (u), (v), (y), (z), (aa), (bb), (cc), (ff), (ii), (jj), or (kk) of Subsection A-2.02 to be accurate, complete, correct, or true with respect to any Mortgage Loan on or as of any applicable Determination Date shall conclusively be deemed to be a Material Defect of a type that cannot be cured.

(d) Recourse Mortgage Loans. If any Mortgage Loan is subject to any Recourse Event on the related Purchase Date, or if any Mortgage Loan becomes subject to any Recourse Event at any time following the related Purchase Date, then, in each case, the Seller shall repurchase such Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than thirty (30) days after the Seller’s receipt of Planet’s written demand (which may be delivered solely by email).

(e) Solicited Mortgage Loans. From and after the related Purchase Date of each Mortgage Loan, (i) the Seller shall not, and shall not cause, suffer, or permit any Seller Person (including any of its correspondent originators, wholesale brokers, or other Third-Party Originators) to, directly or indirectly encourage, entice, or solicit the related Mortgagor to payoff or refinance such Mortgage Loan, it being understood and agreed that all rights and benefits relating to the solicitation of the Mortgagors and all attendant right, title and interest in and to the list of such Mortgagors and the data relating to their respective Mortgage Loans shall be and hereby are transferred to Planet on the related Purchase Date, and (ii) the Seller shall use best efforts, including the exercise of all available contractual remedies, to cause each Seller Person (including each of its correspondent originators, wholesale brokers, and other Third-Party Originators) to refrain from engaging in any solicitation that is prohibited pursuant to this Subsection A-4.01(e); provided, however, that (x) broadcast, online, and printed advertisements and promotions that are directed to the general public at large shall not constitute prohibited solicitations for purposes of this Subsection A-4.01(e), and (y) responding to unsolicited inquiries from Mortgagors shall not constitute prohibited solicitations for purposes of this Subsection A-4.01(e). If the Seller or any of its Affiliates refinances any Mortgage Loan, or if any of the Seller’s or any of its Affiliates’ respective correspondent originators, wholesale brokers, or other Third-Party Originators refinances any Mortgage Loan and sells the resulting mortgage loan to the Seller or any of its Affiliates, then, in each case, and irrespective of whether such refinancing was solicited or unsolicited, the Seller shall remit payment of the related Refinanced Mortgage Loan Penalty (as defined below) to the Planet Account not later than thirty (30) days after the earlier of the closing date of such refinancing or the Seller’s receipt of Planet’s written demand (which may be delivered solely by email). For purposes of this Subsection A-4.01(e), the term “Refinanced Mortgage Loan Penalty” shall mean with respect to any refinanced Mortgage Loan, either (i) one hundred and 00/100 percent (100.00%) of the related Purchase Premium, in the event the closing date of such

refinancing occurs within one hundred twenty (120) days after the related Purchase Date, (ii) sixty six and 66/100 percent (66.66%) of the related Purchase Premium, in the event the closing date of such refinancing occurs between one hundred twenty one (121) and two hundred forty (240) days after the related Purchase Date, or (iii) thirty three and 33/100 percent (33.33%) of the related Purchase Premium, in the event the closing date of such refinancing occurs between two hundred forty one (241) and three hundred sixty five (365) days after the related Purchase Date.

For the avoidance of doubt, if the Seller or any of its Affiliates refinances (instead of repurchases) any Mortgage Loan that the Seller is required to repurchase pursuant to this Agreement (each, a “Repurchase-Required Mortgage Loan”), or if any of the Seller’s or any of its Affiliates’ respective correspondent originators, wholesale brokers, or other Third-Party Originators refinances any Repurchase-Required Mortgage Loan and sells the resulting mortgage loan to the Seller or any of its Affiliates, then, in each case, such refinancing shall conclusively be deemed to have been improperly solicited in violation of this Subsection A-4.01(e) and the Seller shall be required to remit payment of the related Refinanced Mortgage Loan Penalty to the Planet Account not later than thirty (30) days after the earlier of the closing date of such refinancing or the Seller’s receipt of Planet’s written demand (which may be delivered solely by email).

(f) Document Non-Delivery. If Planet fails to receive a complete Collateral File or Loan File for any Mortgage Loan within thirty (30) days after the related Purchase Date, or if Planet receives a defective or deficient document required to be contained in the related Collateral File or related Loan File for any Mortgage Loan, then, in each case, the Seller shall, at its sole cost and expense with time being of the essence, use best efforts to deliver all missing and corrected documents to Planet or its designee within thirty (30) days after the Seller’s receipt of Planet’s notice thereof (the “Delivery Period”). If the Seller fails to deliver all missing and corrected documents for any Mortgage Loan to Planet’s satisfaction before the expiration of the related Delivery Period, then the Seller shall, at Planet’s election in its sole discretion, repurchase such Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than five (5) Business Days after the expiration of the related Delivery Period; provided, however, if the Seller is unable to deliver any missing or corrected document before the expiration of the related Delivery Period solely as a result of a delay by the public recording office (each, a “Trailing Document”), then the Seller shall deliver to Planet, before the expiration of the related Delivery Period, a written certification duly executed by an authorized officer of the Seller (i) attesting that each such Trailing Document has been submitted to and accepted by the applicable public recording office for recordation, (ii) appending a true and correct copy of each such Trailing Document together with a certified receipt from the applicable public recording office evidencing that each such Trailing Document has been submitted to and accepted by the applicable public recording office for recordation, and (iii) agreeing to deliver each such Trailing Document to Planet or its designee not later than five (5) Business Days after the Seller’s receipt thereof (the “Delivery Certification”). If Planet fails to receive any Trailing Document for any Mortgage Loan within one hundred twenty (120) days after the related Purchase Date (the “Recordation Period”), then the Seller shall, at Planet’s election in its sole discretion, repurchase such Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than five (5) Business Days after the expiration of the related Recordation Period; provided, however, if Planet fails to receive the Delivery Certification in accordance with this Subsection A-4.01(f), then the Seller shall, at Planet’s election in its sole discretion, repurchase such Mortgage Loan at the related Repurchase Price in accordance with Subsection A-4.02 not later than five (5) Business Days after the expiration of the related Delivery Period.

Subsection A-4.02. Repurchase Procedure.

The repurchase of any Mortgage Loan pursuant to the Agreement (each, a “Repurchased Mortgage Loan”) shall occur on any Business Day designated by Planet in its sole discretion with prior notice (which may be delivered solely by email) to the Seller (the “Repurchase Deadline”), and shall be effectuated by

the Seller's payment in full of the related Repurchase Price by wire transfer of immediately available funds to the Planet Account not later than the related Repurchase Deadline. On and as of the date on which Planet receives payment in full of the related Repurchase Price for a Repurchased Mortgage Loan in accordance with this Subsection A-4.02 (each, a "Repurchase Date"), and without any further action by or notice to any Party, (a) Planet shall and hereby does assign, convey, grant, release, sell, and transfer unto the Seller, on an "as is" and "where is" basis without recourse, representation, or warranty of any kind, all right, title, and interest of Planet in, to, and under such Repurchased Mortgage Loan, and (b) the Seller shall and hereby does accept and assume from Planet, all such right, title, and interest, together with all duties, liabilities, obligations, and responsibilities, whether then existing or thereafter arising, in, to, and under, such Repurchased Mortgage Loan. Promptly following the repurchase of any Repurchased Mortgage Loan, the Parties shall arrange for the reassignment to the Seller of such Repurchased Mortgage Loan and the delivery to the Seller of the related Collateral File and the related Loan File, in each case at the Seller's sole cost and expense.

The Seller acknowledges and agrees that the Seller's obligation to repurchase any Mortgage Loan pursuant to the Agreement shall survive any lawful action or inaction by or on behalf of any Planet Person with respect to such Mortgage Loan or the related Mortgaged Property, including the commencement or completion of any Foreclosure Action, Foreclosure Alternative, Loss Mitigation, or Reconstitution. Accordingly, the Seller covenants and agrees that, (a) if the Seller is required to repurchase any Liquidated Mortgage Loan for which Planet or its designee holds title to related Mortgaged Property, then the Seller shall instead repurchase such Mortgaged Property from Planet or its designee at the related Repurchase Price not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email), (b) if the Seller is required to repurchase any Liquidated Mortgage Loan for which Planet or its designee does not hold title to the related Mortgaged Property, then the Seller nevertheless shall remit payment of the related Repurchase Price (less the amount of all (if any) Liquidation Proceeds actually received by Planet in connection with such Liquidated Mortgage Loan) to the Planet Account not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email), or (c) if the Seller is required to repurchase any Mortgage Loan for which Planet is unable to effectuate such repurchase due to applicable Agency Requirements, then the Seller shall, in lieu of repurchasing such Mortgage Loan, remit payment of the related Recourse Fee to the Planet Account not later than thirty (30) days after the Seller's receipt of Planet's written demand (which may be delivered solely by email).

Subsection A-4.03. Indemnification.

In addition to all other rights and remedies available to Planet under the Agreement or at law or in equity, the Seller covenants and agrees to indemnify and hold harmless each Planet Person and each of its respective successors and assigns (each, a "Planet Indemnitee"), to the fullest extent permissible by Applicable Law, against all Claims (including Claims between or among the Parties) and all Losses (including attorneys' fees, court costs, and other legal expenses) incurred or sustained by such Planet Indemnitee in connection with or directly or indirectly arising out of, relating to, or resulting from, in whole or in part, (i) the failure or asserted failure of any representation or warranty made by the Seller in the Agreement to be accurate, complete, correct, or true on or as of any applicable Determination Date, in each case without regard to any knowledge or materiality qualification thereof, (ii) the failure or asserted failure on the part of the Seller to perform any of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, or undertakings required to be performed by it pursuant to the Agreement or any Reconstitution Agreement in accordance with Applicable Requirements, (iii) any error, action, inaction, misstatement, or omission on the part of any Covered Person in connection with or relating to any Mortgage Loan, including the investigation, prosecution, defense, settlement, or appeal of any Action, Claim, or Recourse Event directly or indirectly arising out of, relating to, or resulting from, in whole or in part, any of the foregoing, or (iv) the enforcement of the Seller's cure, indemnification, reimbursement, repurchase,

and other obligations under the Agreement or any Reconstitution Agreement. The Seller shall pay all such indemnified Losses to the applicable Planet Indemnitee as and when they are incurred and, in each case, not later than five (5) Business Days after the Seller's receipt of such Planet Indemnitee's written demand (which may be delivered solely by email). Notwithstanding any provision in the Agreement, each Planet Indemnitee who is not a Party but who is entitled to indemnification pursuant to this Subsection A-4.03 shall be an intended third-party beneficiary of the Agreement and shall be entitled to enforce its respective indemnification rights hereunder directly against the Seller to the same extent as if such Planet Indemnitee were a party hereto.

Subsection A-4.04. Delayed Payment; Recoupment and Setoff.

The Seller acknowledges and agrees that time is of the essence with respect to its performance of all of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, and undertakings required to be performed by it pursuant to the Agreement. Accordingly, if any Planet Person fails to receive payment in full of any amount due or payable by any Seller Person pursuant the Agreement or any other agreement, arrangement, or contract between any Seller Person and any Planet Person (each, a "Planet Receivable") on or before the date such payment is due (the "Receivable Date"), then, in addition to all other rights and remedies available to Planet under the Agreement or at law or in equity, the entire amount of such Planet Receivable shall accrue interest at an annual rate (compounded daily, based upon a 30/360 convention, from the related Receivable Date until the entire amount of such Planet Receivable is paid in full) equal to the prime lending rate published in the Wall Street Journal on the related Receivable Date, plus five and 00/100 percent (5.00%) (the "Planet Funds Rate"). In addition, the Seller hereby authorizes Planet to apply, appropriate, offset, recoup, and setoff, in each case from time to time without prior notice to the Seller, any such notice being expressly waived by the Seller to the fullest extent permissible by Applicable Law, (a) all Planet Receivables now or hereafter owing by any Seller Person to any Planet Person pursuant to the Agreement or any other agreement, arrangement, or contract between any Seller Person and any Planet Person, against (b) all amounts now or hereafter owing by any Planet Person to any Seller Person pursuant to the Agreement or any other agreement, arrangement, or contract between any Seller Person and any Planet Person.

Subsection A-4.05. Exercise of Remedies; Accrual of Actions.

The Seller acknowledges and agrees that the cure, repurchase, indemnification, and other Claims, rights, and remedies available to Planet under the Agreement are (a) cumulative and non-exclusive of all other Claims, rights, and remedies available to Planet at law or in equity, (b) concurrently or successively exercisable by Planet at its sole election and in any order determined in its sole discretion, and (c) intended to constitute and shall be construed as independently enforceable rights that give rise to independently assertable causes of action which are separate and distinct from any other cause of action against the Seller arising from, based upon, or relating to its underlying breach of any agreement, covenant, representation, warranty, or other provision herein. The Seller further acknowledges and agrees that none of the Claims, rights, or remedies available to Planet under the Agreement or at law or in equity shall be impaired or prejudiced as a result of (a) any Planet Person's performance, partial performance, or non-performance of the Diligence Review or any other pre- or post-purchase audit, examination, inspection, or review of the Mortgage Loans or the related Loan File, or the fact that any Planet Person knew, should have known, or had reason to know that any of the representations or warranties made by the Seller in the Agreement were not accurate, complete, correct, or true on or as of any applicable Determination Date, or (b) any Covered Person's failure to be included or identified in the chain of assignments, indorsements, or title with respect to any Mortgage Loan. Each cause of action against the Seller arising from, based upon, or relating to its breach of any agreement, covenant, representation, warranty, or other provision herein shall be deemed to accrue upon (a) Planet's discovery of such breach or receipt of written notice thereof from the Seller, (b) the Seller's failure to cure such breach, to repurchase all Mortgage Loan(s) affected thereby, and to

indemnify each Planet Indemnitee for all Losses arising therefrom, in each case in strict accordance with the Agreement, and (c) Planet's written demand upon the Seller for compliance with the Agreement.

Subsection A-4.06. Dispute Resolution.

EACH ACTION IN WHICH ANY PARTY, ANY OF ITS AFFILIATES, OR ANY OF ITS OR THEIR RESPECTIVE REPRESENTATIVES, ASSERTS AGAINST THE OTHER PARTY, ANY OF ITS AFFILIATES, OR ANY OF ITS OR THEIR RESPECTIVE REPRESENTATIVES, ANY CLAIM ARISING UNDER OR RELATING TO THE AGREEMENT OR ANY TRANSACTION CONTEMPLATED HEREBY (EACH, A "COVERED ACTION") SHALL BE COMMENCED, HEARD, AND DETERMINED EXCLUSIVELY IN ANY STATE OR FEDERAL COURT LOCATED IN NEW YORK COUNTY (BOROUGH OF MANHATTAN) IN THE STATE OF NEW YORK. EACH PARTY (A) COVENANTS NOT TO COMMENCE ANY COVERED ACTION EXCEPT IN SUCH COURTS, (B) SUBMITS, FOR ITSELF AND ITS PROPERTY, TO THE PERSONAL JURISDICTION OF SUCH COURTS FOR PURPOSES OF EACH COVERED ACTION, (C) WAIVES, TO THE FULLEST EXTENT PERMISSIBLE BY APPLICABLE LAW, ALL OBJECTIONS THAT SUCH COURTS ARE AN INCONVENIENT FORUM OR IMPROPER VENUE FOR ANY COVERED ACTION, AND (D) AGREES THAT THE PREVAILING PARTY IN EACH COVERED ACTION SHALL BE ENTITLED (I) TO COMMENCE, IN ANY FORUM OR VENUE LOCATED IN ANY JURISDICTION, AN ACTION TO ENFORCE ANY JUDGMENT RENDERED IN SUCH COVERED ACTION (EACH, A "JUDGMENT ACTION"), AND (II) TO RECOVER FROM THE OTHER PARTY ALL COSTS, EXPENSES, AND FEES (INCLUDING ATTORNEYS' FEES, COURT COSTS, AND OTHER LEGAL EXPENSES) INCURRED BY THE PREVAILING PARTY IN CONNECTION WITH THE INVESTIGATION, PROSECUTION, DEFENSE, OR APPEAL OF SUCH COVERED ACTION OR RELATED JUDGMENT ACTION. EACH PARTY EXPRESSLY, IRREVOCABLY, AND UNCONDITIONALLY WAIVES, TO THE FULLEST EXTENT PERMISSIBLE BY APPLICABLE LAW, ALL RIGHTS TO A TRIAL BY JURY IN CONNECTION WITH EACH COVERED ACTION AND EACH JUDGMENT ACTION.

SECTION A-5. MISCELLANEOUS.

Subsection A-5.01. Payments, Shipments, and Costs.

(a) Method of Payments; Correction of Errors. Except as otherwise expressly provided in the Agreement, (i) all payments desired, permitted, or required to be made by any Party to the other Party pursuant to the Agreement or in connection with the Transactions contemplated hereby shall be made by wire transfer of immediately available funds in United States dollars to the depository account designated by the receiving Party in writing, and (ii) all payments desired, permitted, or required to be made by or on behalf of the Seller to Planet pursuant to the Agreement or in connection with the Transactions contemplated hereby shall be made without deduction, offset, setoff, or withholding of any kind. If any amount payable by any Party to the other Party pursuant to the Agreement is found to have been computed or paid in error, then the Parties shall use best efforts in good faith, with time being of the essence, to negotiate and agree upon all reconciliation amounts (and, to the extent desirable under the circumstances, all corrective documents) that are appropriate or necessary to rectify the error, and the Party benefiting from the error shall pay to the other Party the agreed upon reconciliation amount not later than five (5) Business Days after the Parties mutually agree upon such reconciliation amount.

(b) Shipment of Documents. All Loan Documents shipped by or on behalf of any Seller Person to Planet or its designee (including the Document Custodian) shall be (i) packaged and shipped at the Seller's sole cost and expense and risk of loss during transit, (ii) accompanied by an itemized manifest specifying the number of boxes included within the shipment, and an itemized inventory identifying each Loan Document included within each box, and (iii) sent by a nationally-recognized overnight courier (with

postage prepaid for signature-confirmed delivery the next Business Day) to the recipient(s) designated by Planet in writing.

(c) Costs and Expenses. Except as otherwise expressly provided in the Agreement, the Seller shall be solely responsible (and shall reimburse Planet) for all out-of-pocket costs, expenses, fees, and other amounts incurred or sustained in connection with (i) the assignment and transfer of the Mortgage Loans and the Servicing thereof, including all debonding, onboarding, and conversion charges, (ii) the packaging and shipping of the Collateral Files and the delivery, imaging, indexing of the Loan Files, (iii) the preparation and recording of all Mortgage Instruments, Assignments of Mortgage, and other recordable Collateral Documents and Loan Documents, (iv) the registration and transfer of the Mortgage Loans on the MERS System, (v) the repurchase and reconveyance of the Mortgage Loans, and (vi) the performance and enforcement of the Seller's respective duties, obligations, and responsibilities under the Agreement or any other Applicable Requirements. Except as otherwise expressly provided herein, Planet shall be solely responsible for all out-of-pocket costs, expenses, fees, and other amounts (i) payable to the Document Custodian, except to the extent of any incremental charges attributable to the Seller's failure to comply with Applicable Requirements, or (ii) expended by Planet in connection with the performance of its respective duties, obligations, and responsibilities under the Agreement or any other Applicable Requirement. Notwithstanding any provision herein, each Party shall be solely responsible for all commissions and compensation due to its own agents, brokers, finders, and salespersons.

Subsection A-5.02. Successors and Assigns; Third-Party Beneficiaries.

The Agreement shall be binding upon, enforceable by, and inure to the benefit of, each Party and its respective successors and permitted assigns in accordance with Section 5.04 of the Purchase Agreement. The Agreement does not, is not intended to, and shall not be construed to, confer upon any Person (other than each Party, each Subsequent Transferee, and its and their respective successors and permitted assigns) any benefits, rights, or remedies hereunder, including the right to rely upon the representations and warranties set forth herein; provided, however, (x) each Planet Indemnitee who is not a Party but who is entitled to indemnification pursuant to Subsection A-4.03 shall be an intended third-party beneficiary of the Agreement and shall be entitled to enforce its respective indemnification rights hereunder directly against the Seller to the same extent as if such Planet Indemnitee were a party hereto, and (y) each Agency is an intended third-party beneficiary of the entirety of the Agreement and shall have the independent right (but not to the exclusion of Planet) to enforce Planet's cure, repurchase, indemnification, and other rights and remedies hereunder directly against the Seller to the same extent as if such Agency were a named party hereto.

The Seller acknowledges and agrees, on behalf of itself and each of its respective successors and assigns, that (i) each Person who the Seller may be merged, consolidated, converted, or reorganized into, (ii) each Person who is the surviving entity from any such merger, consolidation, conversion, or reorganization, (iii) each Person who acquires all or substantially all of the assets or ownership interests of the Seller, and (iv) each Person who succeeds to the primary business or operations of the Seller (each Person of a type specified in clauses (i), (ii), (iii), or (iv), a "Seller Successor"), shall, in each case, automatically and immediately become, to the fullest extent permissible by Applicable Law, (x) the Seller Successor under the Agreement without the execution or filing of any document on the part of such Person or any Party, and (y) the Person obligated to perform all of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, and undertakings required to be performed by the Seller pursuant to the Agreement, including the Seller's cure, indemnification, reimbursement, repurchase, and other liabilities and obligations hereunder. Accordingly, and as a material inducement for Planet to enter into the Agreement and to consummate each Transaction contemplated hereby, the Seller expressly, irrevocably, and unconditionally covenants and agrees that, promptly upon Planet's request from time to time during or after the Term, and at the Seller's sole cost and expense, the Seller shall, and shall cause each Seller Successor to, promptly take all additional actions and execute all additional documents that Planet

determines are necessary or appropriate to effectuate the acknowledgement of, assignment to, and assumption by, such Seller Successor of the Agreement and all of the agreements, conditions, covenants, duties, liabilities, obligations, responsibilities, and undertakings required to be performed by the Seller pursuant to the Agreement.

Subsection A-5.03. Integration; Conflicts.

THE AGREEMENT, AS DEFINED IN EXHIBIT 1 TO THE PURCHASE AGREEMENT, COMPRISES THE COMPLETE AND FINAL AGREEMENT BY AND BETWEEN THE PARTIES RELATING TO THE PURCHASE AND SALE OF THE MORTGAGE LOANS AND SUPERSEDES ALL PRIOR AND CONTEMPORANEOUS ORAL AND WRITTEN AGREEMENTS AND UNDERSTANDINGS BY OR BETWEEN THE PARTIES RELATING THERETO, ALL OF WHICH SHALL BE DEEMED TO HAVE MERGED HERewith. THE TERMS OF THE AGREEMENT SHALL CONTROL NOTWITHSTANDING ANY INCONSISTENT COURSE OF DEALING OR COURSE OF PERFORMANCE AMONG THE PARTIES. In the event of any ambiguity or conflict between the terms of the Purchase Agreement and the terms of this Appendix A to the Planet Guide, the terms of this Appendix A to the Planet Guide shall control.

Subsection A-5.04. Governing Law.

Except to the extent preempted by federal law, the Agreement and each Party's respective rights and obligations hereunder, and all Claims directly or indirectly arising out of, relating to, or resulting from, in whole or in part, the Agreement or any Transaction contemplated hereby, shall be governed by the internal Laws of the State of New York without regard to its conflict-of-law principles (other than Sections 5-1401 and 5-1402 of the New York General Obligations Law, which shall govern) that may recommend or require application of the Laws of any other state.

Subsection A-5.05. Execution and Counterparts.

The Parties may execute the Purchase Agreement and any document related to any Transaction contemplated by the Agreement (collectively, the "Agreement Documents") in one or more counterparts, each of which shall be deemed an original and all of which shall constitute a single instrument. Each Party, to the fullest extent permitted by Applicable Law, including the federal Electronic Signatures in Global and National Commerce Act, the New York State Electronic Signatures and Records Act, and any other federal, state, or local law based upon the Electronic Signature Laws, expressly, irrevocably, and unconditionally (a) consents to each Party's execution and delivery of the Agreement Documents by electronic means, (b) intends for the Electronic Signature Laws to validate each Party's execution and delivery of the Agreement Documents by electronic means, (c) waives all objections that the Agreement Documents are invalid or unenforceable solely on the basis that they may have been executed or delivered by electronic means, and (d) agrees that all Electronic Signatures on or logically associated with the Agreement Documents shall have the same legal effect and validity as a manually executed signature, and that all electronic, photographic, and other reproductions of the Agreement Documents shall be binding, enforceable, and admissible as evidence to the same extent as an original irrespective of whether an original exists or is in the possession of the introducing Party.

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APPENDIX B (PART 1)

COLLATERAL FILE

For purposes hereof, the compilation of all documents specified below shall constitute a complete Collateral File with respect to each Mortgage Loan:

1. An original (or, if such Mortgage Loan is an eMortgage Loan, an Authoritative Copy) of the related Mortgage Note, including (a) an original indorsement (which is not a Restrictive Indorsement) of the related Mortgage Note from the Seller to Planet, and (b) an original of each prior indorsement (none of which bears any Restrictive Indorsement) necessary to evidence a complete and unbroken chain of valid indorsements of the related Mortgage Note from the originator to the Seller.

2. A Certified Copy (or, if such Mortgage Loan is an eMortgage Loan, an Authoritative Copy) of the related Mortgage Instrument with evidence of recording thereon, including (a) if such Mortgage Loan is a Non-MERS Mortgage Loan, a Certified Copy of the recorded Assignment of Mortgage from the Seller to Planet, and a Certified Copy of each prior assignment necessary to evidence a complete and unbroken chain of recorded assignments of the related Mortgage Instrument from the originator to the Seller, and (b) if such Mortgage Loan is a MERS Mortgage Loan, a Certified Copy of each assignment necessary to evidence a complete and unbroken chain of recorded assignments of the related Mortgage Instrument from the originator to MERS.

3. An original of each power of attorney executed by the related Mortgagor in connection with the Mortgage Loan.

4. An original (or, if such Mortgage Loan is an eMortgage Loan, an Authoritative Copy) of each loan agreement, assumption agreement, consolidation agreement, extension agreement, lockbox agreement, modification agreement, or other agreement that evidences or modifies the terms of the Mortgage Loan.

5. An original (or, if such Mortgage Loan is an eMortgage Loan, an Authoritative Copy) of each guarantee, indemnity, surety, or similar agreement executed by any Person in connection with the Mortgage Loan.

6. A copy of (a) the policy of title insurance relating to the Mortgage Loan, as referenced in Subsection A-2.02(n) of Appendix A to the Planet Guide, and (b) the policy of mortgage insurance relating to the Mortgage Loan, as referenced in Subsection A-2.02(o) of Appendix A to the Planet Guide.

7. A Certified Copy (or, if such Mortgage Loan is an eMortgage Loan, an Authoritative Copy) of each chattel mortgage, financing statement, security agreement, or other instrument (other than the related Mortgage Instrument) executed in connection with the Mortgage Loan, each with evidence of recording thereon.

8. With respect to each Conventional Mortgage Loan, the original (or, only to the extent permitted by applicable Agency Requirements, a copy) of each other document necessary for Planet to sell the Mortgage Loan to FHLMC or FNMA.

9. With respect to each Government Mortgage Loan, the original (or, only to the extent permitted by applicable Agency Requirements, a copy) of (a) the related Government Backstop Certificate, and (b) each other document necessary (i) for Planet to deliver the Mortgage Loan to GNMA for securitization into mortgage-backed securities guaranteed by GNMA, and (ii) for the Mortgage Loan not to

prevent the related mortgage pool from receiving “initial certification” or “final certification,” as those terms are defined pursuant to the GNMA Mortgage-Backed Securities Guide, as it may be amended from time to time.

10. With respect to each Business Purpose Mortgage Loan, (a) the original of the related Mortgagor Affidavit, (b) a Certified Copy of the related Assignment of Leases and Rents with evidence of recording thereon, including a Certified Copy of each prior assignment (none of which bears any Restrictive Indorsement) necessary to evidence a complete and unbroken chain of recorded assignments of the related Assignment of Leases and Rents from the originator to the Seller, and (c) a Certified Copy of the recorded Assignment of Assignment of Leases and Rents from the Seller to Planet.

11. With respect to each of the foregoing, (a) each agreement, certificate, instrument, and other document executed in connection therewith, (b) each amendment, extension, modification, novation, and restatement thereof, and (c) each addendum, attachment, annex, exhibit, rider, schedule, and supplement thereto.

APPENDIX B (PART 2)

LOAN FILE

For purposes hereof, the compilation of all documents specified below shall constitute a complete Loan File with respect to each Mortgage Loan:

1. An original (or, only to the extent specified in Appendix B (Part 1) to the Planet Guide, a copy) of each related Collateral Document.
2. A copy of (a) the loan application, (b) the underwriting report, (c) the closing statement, and (d) each other application form, borrower correspondence, commitment letter, credit memorandum, disclosure statement, fee estimate, settlement statement, and other document relating to the application, underwriting, approval, or closing of the Mortgage Loan.
3. A copy of (a) each bank statement, credit report, tax return, tax transcript, verification of assets, verification of employment, verification of income, and other document relating to the related Mortgagor, and (b) all documentation necessary to verify compliance with the applicable Underwriting Guidelines and the ability to repay standards set forth in 12 C.F.R. § 1026.43(c) and 12 C.F.R. § 1026.43(e).
4. A copy of (a) a photograph of the interior and exterior of the related Mortgaged Property, (b) an appraisal report of the related Mortgaged Property, (c) a title report for the related Mortgaged Property, (d) a survey of the related Mortgaged Property, and (e) each certificate of occupancy, contract of sale, engineer report, environmental report, site inspection, and other document relating to the related Mortgaged Property.
5. A copy of all documentation necessary to verify that the discount points, escrow impounds, interest prepayments, origination fees, and other amounts paid by the related Mortgagor in connection with the origination of the Mortgage Loan comply with Applicable Requirements.
6. A copy of (a) each policy of flood insurance, hazard insurance, and liability insurance relating to the related Mortgaged Property, and (b) each policy of mortgage insurance relating to the related Mortgaged Property.
7. If the related Mortgagor is not a natural person, a copy of each organizational and governing document of the related Mortgagor, including documentation necessary to verify the related Mortgagor's corporate authorization to acquire and encumber the related Mortgaged Property and corporate authority to execute and perform the related Loan Documents.
8. A copy of (a) the related Servicing File, and (b) all other documents necessary for Planet to service the Mortgage Loan in accordance with Applicable Requirements.
9. All other documents required to be contained in the Loan File pursuant to Applicable Requirements.

APPENDIX C

FORM OF LIMITED POWER OF ATTORNEY

PREPARED BY AND RETURN TO:

PLANET HOME LENDING, LLC
321 RESEARCH PARKWAY, SUITE 303
MERIDEN, CONNECTICUT 06450
ATTENTION: LOAN OPERATIONS

KNOW ALL PERSONS BY THESE PRESENTS:

This LIMITED POWER OF ATTORNEY (this “Limited POA”), dated as of this ____ day of _____, 20____ (the “Effective Date”), is executed and delivered by _____, a _____ organized pursuant to the laws of the State of _____ and having an office at _____ (the “Seller”), pursuant to that certain Loan Purchase Agreement, dated as of the ____ day of _____, 20____ (the “Purchase Agreement”), by and between PLANET HOME LENDING, LLC, a limited liability company organized pursuant to the laws of the State of Delaware and having an office at 321 Research Parkway, Suite 303, Meriden, CT 06450 (the “Purchaser”) and the Seller. This Limited POA and all authorities and powers granted hereby are given for a business or commercial purpose and are irrevocable and coupled with an interest.

1. The Seller hereby irrevocably appoints the Purchaser and its successors and assigns (collectively, the “Agent”) as the Seller’s lawful agent and attorney-in-fact with full power of substitution, and the Seller hereby irrevocably grants to the Agent all authorities and powers for the purpose of taking any and all actions and executing any and all documents — in each case, on the Seller’s behalf and in the Seller’s name, place, and stead through the Agent’s duly appointed employees, officers, and agents — deemed appropriate or necessary by the Agent in connection with or relating to any mortgage loan that the Seller has sold to the Purchaser, or any mortgage loan for which the Seller has sold the related mortgage servicing rights to the Purchaser, in each case, whether pursuant to the Purchase Agreement or any other agreement, arrangement, or contract between the Seller and the Purchaser (each, a “Mortgage Loan”). Specifically, and without limiting the generality of the foregoing, this appointment shall include the actual authority and full power:

(a) to prepare, execute, deliver, and record any document or instrument that evidences or secures any monetary or non-monetary obligation of any mortgagor, guarantor, or other obligor with respect to any Mortgage Loan (each of the foregoing, a “Loan Document”), including without limitation any loan agreement, promissory note, or other document or instrument that evidences the indebtedness of any Mortgage Loan (each of the foregoing, a “Mortgage Note”), and any deed of trust, financing statement, mortgage, security agreement, vendors lien, or other document or instrument that secures the indebtedness of any Mortgage Loan (each of the foregoing, a “Mortgage Instrument”);

(b) to prepare, execute, deliver, and record any document or instrument that (i) alters, amends, assumes, cancels, consolidates, extends, modifies, reconveys, releases, rescinds, satisfies, subordinates, or terminates, in whole or in part, any Mortgage Loan or any Loan Document (each of the foregoing, a “Restructuring Document”), (ii) assigns, conveys, encumbers, grants, or transfers, in whole or in part, any right, title, or interest in, to, or under any Mortgage Loan or any Loan Document (each of the foregoing, a “Transfer Document”), including without limitation any indorsement of any Mortgage Note and any assignment of any Mortgage Instrument;

(c) to prepare, execute, deliver, and record any document or instrument that evidences or assigns, conveys, encumbers, grants, or transfers, in whole or in part, any right, title, or, interest in, to or under any mortgaged property which secures or secured any Mortgage Loan and which will be or has been acquired by any compromise claim, deed-in-lieu of foreclosure, judicial foreclosure, non-judicial foreclosure, short sale, trustee sale, or otherwise (each of the foregoing, a “Title Document”), including without limitation any quitclaim deed, title instrument, warranty deed, or similar instrument of title;

(d) to prepare, execute, deliver, and submit any claim or notice with respect to (i) any policy of flood insurance, hazard insurance, loan guaranty, mortgage insurance, pool insurance, title insurance, or other type of guaranty, indemnity, or insurance relating to any Mortgage Loan or the related mortgaged property (each of the foregoing, an “Insurance Claim”), or (ii) any request by or requirement of any federal, state, or local governmental authority or government-sponsored enterprise relating to any Mortgage Loan (each of the foregoing, an “Agency Claim”), including (A) the Consumer Financial Protection Bureau, (B) the Federal Home Loan Mortgage Corporation, also known as “Freddie Mac”, (C) the Federal Housing Administration, (D) the Federal National Mortgage Association, also known as “Fannie Mae”, (E) the Government National Mortgage Association, also known as “Ginnie Mae”, (F) the United States Department of Housing and Urban Development, (G) the United States Department of Agriculture, and (H) the United States Department of Veterans Affairs;

(e) to prepare, execute, deliver, and file any motion, notice, pleading, or other submission (each of the foregoing, a “Litigation Document”) in connection with any bankruptcy case, foreclosure action, or other administrative, judicial, or legal proceeding relating to any Mortgage Loan or any related mortgaged property (each of the foregoing, a “Litigation Matter”);

(f) to prepare, execute, deliver, and indorse any check, draft, note, or other document or instrument that evidences the payment of money which is due, payable, or received on account of, in connection with, or otherwise relating to any Mortgage Loan or any Insurance Claim, any Agency Claim, or any Litigation Matter (each of the foregoing, a “Payment Document”); and

(g) to take or cause to be taken any action, and to execute or cause to be executed any document, deemed appropriate or necessary by the Agent (i) to correct any error, complete any omission, and cure any defect contained in any document or instrument of the type referenced herein or otherwise relating to any Mortgage Loan or any related mortgaged property, or (ii) to exercise, enforce, or transfer (A) any right or remedy available at law or in equity to the lender, mortgagee, or servicer of any Mortgage Loan, or (B) any authority or power granted to the Agent pursuant to this Limited POA or incidental thereto.

2. The Seller acknowledges and agrees that this Limited POA does not impose upon the Agent (a) any obligation to take or cause to be taken any action, or to execute or cause to be executed any document or instrument, in connection with any Mortgage Loan or otherwise, (b) any liability for failing to take or cause to be taken any action, or for failing to execute or cause to be executed any document or instrument, in connection with any Mortgage Loan or otherwise, or (c) any confidential, fiduciary, or other type of duty, obligation, or responsibility with respect to the Seller or its successors or assigns.

3. This Limited POA and all authorities and powers granted hereby shall be (a) exercisable, enforceable, and transferrable by the Agent and its successors and assigns without notice to or consent of the Seller, and (b) governed by the internal laws of the State of New York without regard to its conflict-of-law principles (other than Section 5-1512 of the New York General Obligations Law, which shall govern) that may recommend or require application of the laws of any other state.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, the Seller has caused this Limited Power of Attorney to be duly executed and delivered as of the Effective Date first written above.

_____, as the Seller

By: _____

Name:

Title:

WITNESSED BY:

By: _____

Name:

Address:

By: _____

Name:

Address:

STATE OF _____

COUNTY OF _____

On this ____ day of _____, 20____, before me, a notary public, personally appeared _____, personally known to me, or who proved to me on the basis of satisfactory evidence to be the person whose name is subscribed to this instrument, and acknowledged to me that he/she executed the same in his/her authorized capacity as _____ of/for _____, and that by his/her signature on this instrument such person, or the entity upon behalf of which such person acted, executed this instrument.

IN WITNESS WHEREOF, I hereunto set my hand and official seal.

(Seal)

By: _____

Notary Name:

Notary ID:

My Commission Expires:



Forms

Forms are posted on the CORE Seller Portal at www.phlcorrespondent.com. Login to CORE and select **Forms and Resources** to view.



Announcements

Announcements are posted on the CORE Seller Portal at www.phlcorrespondent.com. Login to CORE and select **Announcements** to view.



Revision History

2026

Update / Description of Change	Section
Seller Guide Release October 01, 2026	
Delegation > Non- Delegated Underwriting Eligibility: Added Adjusted New Worth (ANW) requirement for Non-Delegated and Renovation lending eligibility. Government Loans > Renovation Loan: Added renovation lending program overview requirements.	Chapter 1: Seller Eligibility
Income Documentation > Asset Depletion > Qualifying Formula: Revised the Asset Utilization income calculation by reducing the asset depletion period from 84 months to 60 months. Loan-to-Value (LTV): Added all restrictions and requirements outlined in corresponding matrix and updated eligibility requirements for revolving and installment debt for the Gold program. Prepayment Penalties > Prepayment Penalty Restrictions: Added clarification for NJ Entity Borrowers requirement. Property > Eligible Property Types: Updated terminology from "declining property" to "declining market" for greater clarity. Subordinate Financing: Removed requirement that Interest Only Subordinate Financing is not allowed.	Chapter 5: Planet Non-Agency Program Guidelines
Borrower Eligibility > Investor Experience: Updated DSCR requirement from greater than 1.00 to greater than or equal to 0.75. Credit > Credit Report Information: Removed documentation and DTI recalculation requirements related to recent credit inquiries and newly incurred debt. Loan to Value (LTV) Determination > Cash-Out Refinance: Revised section to permit cash-out refinances with less than 12 months of ownership using a tiered valuation approach based on seasoning . LTV Restrictions: Added a new section outlining applicable LTV restrictions in accordance with the corresponding eligibility matrices. Prepayment Penalties > Prepayment Penalty Restrictions: Added clarification for NJ Entity Borrower requirement	Chapter 5: Planet Non-Agency DSCR Program Guidelines
Seller Guide Release September 24, 2026	
Construction-to-Perm (Permanent Finance) > Ineligible Properties: Added clarification that all properties that are currently in the construction phase and not converted to permanent financing are ineligible instead of just manufactured homes	Chapter 5: FHA Conforming and High Balance Program Guidelines
Power of Attorney: Added Alive and Well statement requirements and guidance.	Chapter 5: VA Conforming and High Balance Program Guidelines
Seller Guide Release September 17, 2026	
Employment and Income > Rental Income Revised Rental Income requirements for Subject and Non-Subject Properties to align with Fannie Mae requirements.	Chapter 5 : Fannie Mae Conforming Program Guidelines
Available Markets	Chapter 5: Home



Update / Description of Change	Section
Tennessee has been removed from Ineligible list and is now eligible.	Equity Loan 2nd Lien (HELOAN) Program Guidelines
Geographic Restrictions - Tennessee has been removed from Ineligible list and is now eligible. - Removed IN, SC, and WA from the list of Ineligible states to eliminate discrepancy with OB.	Chapter 5 : Planet Non-QM HELOAN 2nd Lien Program Guidelines
Seller Guide Release September 03, 2026	
Property Eligibility > Eligible Properties Revised project review requirements.	Chapter 5: Fannie Mae RefiNow Program Guidelines
COVID-19 Update: Removed outdated COVID-19 Recovery Options to align with current FHA requirements. Identity of Interest - Updated Identity-of-Interest guidelines to clarify exceptions to the 85% maximum LTV restriction. Property Eligibility - Removed references to the FHA Direct Endorsement Lender Review and Approval Process (DELRAP).	Chapter 5: FHA Conforming and High Balance Program Guidelines
Derogatory Credit Updated VA requirements for non-medical collection accounts.	Chapter 5: VA Confirming and High Balance Program Guidelines
Purchasing > Government Arm Change Dates Added Government ARM Purchase Date Table to assist Sellers in determining purchase deadlines and complying with Ginnie Mae's 45-day look-back requirements.	Chapter 8: Loan Purchasing
Seller Guide Release August 27, 2026	
Credit Report/Scores Updated the credit section to refer users to the Freddie Mac Conforming and Super Conforming Guidelines for complete underwriting requirements.	Chapter 5: Fannie Mae Home Ready Program Guidelines
Credit - Removed Authorized User Tradeline requirement to no longer require evaluation of authorized user tradelines on the Borrower's credit report. Employment and Income > Asset Depletion/Accumulated Assets as Income - Relocated Asset Depletion from the Assets section to the Income section - Updated eligibility, asset seasoning, calculation, documentation, and eligible asset source requirements - Added note to review MI provider requirements when using Asset Depletion as income.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Credit Updated the credit section to refer users to the Freddie Mac Conforming and Super Conforming Guidelines for complete underwriting requirements.	Chapter 5: Freddie Mac Home Possible Program Guidelines
Credit Updated the credit section to refer users to the Freddie Mac Conforming and Super Conforming Guidelines for complete underwriting requirements.	Chapter 5: Freddie Mac HomeOne Program Guidelines
Removed DSCR requirements into standalone guideline document and reorganized sections for better clarity. Prepayment Penalties > Prepayment Penalty Restrictions Added Entity borrower restrictions	Chapter 5: Planet Non- Agency Program Guidelines



Update / Description of Change	Section
- Updated restrictions for Natural Person Borrowers in the following states: Kansas, Minnesota and New Jersey Property > Condominiums - Added eligibility requirements for two-to-four-unit condominium projects regarding priority liens for unpaid common expenses	
Initial Release – Separated DSCR requirements from the existing Planet Non-Agency guidelines into standalone DSCR guidelines.	Chapter 5: Planet Non- Agency DSCR Program Guidelines
Seller Guide Release August 13, 2026	
Credit Reports/Scores > Credit History Removed the underwriter review requirement for Authorized User Tradelines to align with Fannie Mae SEL-2026-07.	Chapter 5: Fannie Mae Conforming Program Guidelines
Employment and Income > Gaps in Employment Added the Gaps in Employment section and aligned requirements with current FHA Handbook guidance.	Chapter 5: FHA Conforming and High Balance Program Guidelines
Disaster Policy > Fannie Mae and Freddie Mac Transactions - Added requirements for Sellers to document that condominium units and the associated building were not adversely impacted by a disaster in FEMA-declared disaster areas. Servicing Transfer Numbers - Updated servicing transfer guidance to include VA servicing transfer requirements. eNotes - Revised eNote eligibility requirements to align with Fannie Mae SEL-2026-07 for properties held in Inter Vivos Revocable Trusts.	Chapter 8: Loan Purchasing
Seller Guide Release August 06, 2026	
Credit Reports > Credit Exceptions / Non-Traditional Credit - Updated the guidelines to clarify that all borrowers must occupy the property only when no borrower has a credit score, aligning with Fannie Mae guidelines Property > Eligible Property Types - Updated manufactured housing eligibility to align with Fannie Mae guidelines by allowing eligible two- to four-unit and multi-story manufactured homes when using UAD 3.6. Property with Accessory Dwelling Unit - Updated ADU eligibility requirements for Sellers using UAD 3.6 to align with Fannie Mae guidelines, including expanded eligibility for certain one- to three-unit properties and manufactured housing.	Chapter 5: Fannie Mae Conforming Program Guidelines
General Parameters Clarified the recourse and repurchase requirements.	Chapter 5: Fannie Mae HomeStyle Renovation Program Guidelines
General Parameters - Clarified the recourse and repurchase requirements. Employment and Income > Rental Income Eligibility During Renovation - Added clarifying guidance when projected rental income from renovation projects, including ADUs, may be used to qualify.	Chapter 5: Freddie Mac CHOICERenovation Program Guidelines
General Parameters - Added clarification that alterations and repairs are limited to a maximum of \$75,000, plus applicable allowable fees - Added work must be non-structural, completed in 120 days of loan closing to align with current Planet Overlays.	Chapter 5: VA Alterations and Repair Program Grid



Update / Description of Change	Section
Alterations and Repairs > Eligible Alterations and Repairs Clarified that alterations and repairs are limited to a maximum of \$75,000, plus applicable allowable fees.	Chapter 5: VA Alterations and Repair Program Guidelines
Borrower Eligibility > Entities - Clarified entity borrower requirements and added acceptable alternatives to the IRS Employer Identification Number (EIN) Letter, including a CPA letter and Form W-9. Debt Service Coverage Ratio (DSCR) > Documentation Requirements - Revised DSCR eligibility requirements by removing the rent loss insurance coverage requirement. Financed Properties - Clarified financed property limits and added exception criteria allowing increases up to \$15 million or 20 financed properties with two documented compensating factors. Income Documentation > Alternative Documentation > Written Verification of Employment - Added requirements to clarify documentation standards. Income Documentation > Asset Depletion > Eligibility - Revised Asset Depletion eligibility requirements to include maximum LTV limits of 85% for purchase transactions and 75% for refinance transactions. Insurance Requirements > Hazard Insurance (1–4 Unit Properties) - Removed the rent loss coverage requirement for DSCR loans. Liabilities > Departing Residence - Clarified rental income requirements, including the 75% rental income calculation, 25% vacancy and maintenance expense adjustment, and required lease documentation. Property > Condominiums > Non-Warrantable Condo - Updated non-warrantable condominium requirements to clarify Condo Desk review, acceptance criteria, and exception requirements.	Chapter 5: Planet Non-Agency Program Guidelines
Seller Guide Release July 23, 2026	
Appraisals Updated note to reflect acceptance of UAD 3.6 appraisals effective July 27, 2026, with UAD 2.6 accepted through November 2, 2026	Chapter 5: Fannie Mae Conforming Program Guidelines
Appraisals Updated note to reflect acceptance of UAD 3.6 appraisals effective July 27, 2026, with UAD 2.6 accepted through November 2, 2026	Chapter 5: Fannie Mae High Balance Program Guidelines
Appraisals Updated note to reflect acceptance of UAD 3.6 appraisals effective July 27, 2026, with UAD 2.6 accepted through November 2, 2026	Chapter 5: Fannie Mae Home Ready Program Guidelines
Appraisals Updated note to reflect acceptance of UAD 3.6 appraisals effective July 27, 2026, with UAD 2.6 accepted through November 2, 2026	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Appraisals Updated note to reflect acceptance of UAD 3.6 appraisals effective July 27, 2026, with UAD 2.6 accepted through November 2, 2026	Chapter 5: Freddie Mac CHOICERenovation Program Guidelines
Property Added manufactured homes in a flood zone as an ineligible property type	Chapter 5: Home Equity Loan 2nd Lien (HELOAN) Program Guidelines
Appraisals Added appraisal tiers and corresponding valuation requirements for loan amounts of \$250,001–	Chapter 5: Planet Non-QM HELOAN



Update / Description of Change	Section
\$400,000 and >\$400,001. Credit > Mortgage Payment History - Updated requirement to no late mortgage payments in the past six months (0×30×6), revised from 12 months (0×30×12). Credit > Derogatory Credit - Updated to follow FNMA guidance for bankruptcy, foreclosure, and short sale requirements. - Added requirement that loans with a loan modification or forbearance involving missed payments must be aged at least four years, or two years in certain circumstances. Credit > Disputed Accounts - New section added to provide requirements for disputed accounts. Employment and Income - Added requirement that a minimum two-year employment history must be verified in all employment scenarios. Financed Properties - Added section to provide maximum allowed. Loan Amount - Updated maximum loan amount from \$750,000 to \$800,000. Properties > Eligible - Added requirement that any property listed for sale must have been listed for at least six months.	2nd Lien Program Guidelines
Seller Guide Release July 16, 2026	
Appraisals > Reconsideration of Value (ROV) - Removed borrower disclosure requirements for loan applications taken before and after September 3, 2025. Assets > Evaluating Large Deposits - Added a new section to provide requirements for documenting and sourcing large deposits to align with current Freddie Mac guidelines.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Property Eligibility Added reference links to the Freddie Mac's Refi Possible Program Guidelines (Sections 4302.5, 5701.2, and 5701.7) for current guideline requirements related to project reviews for mortgages secured by Condominium units.	Chapter 5: Freddie Mac Refi Possible Program Guidelines
Original Note > Paper Note Swap Process Added new section to provide the process for swapping a paper Note with the document custodian.	Chapter 7: Planet CORE Seller Portal - Loan Submissions
Seller Guide Release July 09, 2026	
Credit report > Credit Exceptions/ Non- Traditional Credit - Updated DU requirements to reflect that Approve/Eligible findings are required - Updated maximum DTI from 40- 50% for borrowers without credit scores to align with Fannie Mae Home ready guideline requirements.	Chapter 5: Fannie Mae HomeReady Program Guidelines
Inspections and Draws > Post – Closing Updated to Increase the allowable Limited 203(k) disbursements from two to four per contractor for proposed repairs or Improvements to align with FHA guideline requirement	Chapter 5: FHA Limited 203(k) Conforming and High Balance Program Guidelines
Appraisal Age > Age of Appraisal - Added appraisal requirements: an appraisal update is permitted up to one hundred eighty (180) days from the original appraisal date Borrower Eligibility - Revised the Eligibility Table to clarify the Business Entities permitted across bronze, silver and gold programs. Borrower Eligibility > Entities - Clarified that properties vested in a Partnership, Corporation or LLC are limited to investment/business	Chapter 5: Planet Non-Agency Program Guidelines



Update / Description of Change	Section
purpose use and must meet entity vesting requirements. Credit Eligibility > Credit Events - Added table to reflect Minimum Credit Event Seasoning eligibility for all products Geographic Restrictions - Added Geographics Restrictions: Added Ineligible U.S. territories and Baltimore City occupancy restrictions. Income Documentation > Program Eligibility by Product - Revised Program Eligibility table by Product for Full Doc and Streamline income documentation requirements (12- and 24-month options) and removed reference section Loan Amount - Added minimum and maximum loan amounts for each program Loan- to – Value (LTV) Restrictions - Added LTV restrictions for Gold and Bronze products Prepayment Penalties > Prepayment Penalty Restrictions - Added a new table to the Prepayment Penalty Restrictions section to summarize state-specific prepayment penalty requirements for investment properties Property > Eligible Property Types - Added declining markets - Added clarification that non-warrantable condos are eligible only for Gold and DSCR programs Property > Eligible Property Types > Condominiums - Removed previous requirement related to insurance and common expense assessment rules for 2–4 unit condo projects for non-warrantable condos. - Removed Condo Review Submission section. Underwriter Analysis > Underwriting Exceptions > Residual Income - Added residual income table and updated guidance to clarify the calculation method	
Seller Guide Release June 18, 2026	
Employment and Income > Self-Employment less than 2 years: - Section added to clarify requirements for self-employment under two years as outlined in Freddie Mac guidelines changes effective June 3, 2026. Employment and Income > Guaranteed payments from partnerships - Section added to clarify requirements for guaranteed payments from partnerships and to include reference link to the Freddie Mac Guide for cases with less than two years of employment history.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Assets > Documentation - Added Clarification for document verification of liquid assets when used for reserves. Borrower Eligibility - Updated Borrower Eligibility section to clarify that a maximum of four borrowers is permitted on any loan. Credit Eligibility - Updated Housing History section to clarify 12-month payment verification is required when not reported on the credit report. DSCR > Eligibility - Updated DSCR eligibility to clarify that a signed business purpose- affidavit is required from the borrower prior to purchase. Property > Eligible Property Types > Condominiums - Updated condo eligibility to clarify that all non-warrantable condos do not require exception prior to purchase.	Chapter 5: Planet Non-Agency Program Guidelines
Seller Guide Release June 11, 2026	
Texas Refinance Transactions > Collateral Eligibility Updated TX 50(a)(6) guideline to confirm eligibility of multi-wide manufactured homes.	Chapter 5: Fannie Mae Conforming Program Guidelines
Employment and Income > Income Limits Note removed: 2025 AMI implementation in DU to align with current requirements.	Chapter 5: Fannie Mae RefiNow Program Guidelines



Update / Description of Change	Section
Employment and Income > Income Removed 2025 AMI limits to align with current requirements.	Chapter 5: Freddie Mac Refi Possible
Employment and Income > Commission Income Updated the guideline to clarify that commission income must be averaged using the lesser of the prior two years, the actual period earned if less than two years, or the average income from the previous year, provided the income is in a similar line of work and is likely to continue.	Chapter 5: FHA Conforming and High Balance Program Guidelines
Age of Documents Added requirement that the Title Commitment be dated within 60 days of Note Date.	Chapter 5: Home Equity Loan 2nd Lien (HELOAN)
IRS Form 4506-C and 8821 - Added Form 8821 as an acceptable document for obtaining IRS transcripts. Appraisals - Updated the appraisal validity period from 240 days to 365 days. Appraisal Transfers - Updated the Appraisal must be valid for 180 days from loan closing from 150 days.	Chapter 5: USDA Purchase and Non-Streamlined Refinance Program Guidelines
Seller Guide Release June 04, 2026	
General Program Parameters > Loan Documents - Updated to reflect that Planet accepts standard Agency Notes, Mortgages/Deeds of Trust, and Riders for Non-Agency products. Program Eligibility & Delivery Matrix > Planet Non-Agency - Updated DSCR eligibility to reflect that these products, previously listed as Product Pending / In Progress, are now classified as Eligible. Planet Non-Agency > Product Specifications - DSCR- ITIN: Updated and revised Pending/In Progress to Eligible.	Chapter 5: Products and Programs
Borrower Eligibility > ITIN Borrower - Removed "if permitted in the future" to align with current program requirements. Borrower Eligibility > First Time Homebuyers: - Clarified that First Time Homebuyer eligibility applies to individuals who have not owned a home within the past three years. Credit Qualification > ITIN Credit Qualification - Removed "when offered" to reflect that the product is available to ITIN borrowers who meet qualification requirements. Employment & Income > Employed by Family Member - Section added to reflect eligibility criteria for borrowers employed by family members has been updated to validate requirements. Fraud - Section updated to require a cleared Fraud Prevention Report and all High Alerts to be resolved. Income Documentation > Full Documentation > Wage Earners - Removed transcript requirement and revised overtime/bonus income guidance. Product Eligibility - DSCR-ITIN eligibility added to Product Eligibility Matrix. Transaction Eligibility > Non-Arm's Length - Section has been relocated from Insurance Requirements to improve clarity and maintain consistency with guideline requirements.	Chapter 5: Planet Non-Agency Program Guidelines
IRS Form 4506-C and Form 8821 Requirements > Preferred Vendors for IRS 4506-C Processing Updated IRS 4506 C processing requirements to remove Verification Bureau LLC, from the preferred vendor list and align with current operational guidance.	Chapter 7: Planet CORE Seller Portal - Loan Submissions
Seller Guide Release May 14, 2026	
DTI > Installment/Revolving Accounts:	Chapter 5: Fannie



Update / Description of Change	Section
Updated Federal Income Tax Installments section to include requirements for installment agreements still pending approval from the IRS.	Mae Conforming Program Guidelines
Employment and Income > Income Commencing after the Note Date: - Updated General Eligibility section to include updated hourly earnings requirements. - Updated Option 2 to remove Verification of Additional Funds required to be paid when there are more than 15 calendar days between the Note Date and the start of the new employment.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Seller Guide Release May 07, 2026	
Appraisal General Requirements: Added appraisals with quality ratings of Q5 or Q6 are not eligible for purchase. Age of Appraisal: Updated to reflect that an appraisal more than 4 months old at closing does not require a current market review. Multiple Appraisals: Added clarification that the lower of two appraised values will be used. Third-Party Valuation Products: - Added clarification, that a third-party valuation product is only required when there is only one appraisal is obtained. - Added CU scores of 2.5 or less must contain the recent SSR and o Added Computershare and Valligent products as acceptable Third Paty valuation products - Removed review value must be within 5% for LTVs > 85% - Added clarification for Failed Value Variance Requirement Borrower Eligibility - Removed the note indicating that ITIN borrower eligibility is temporarily unavailable. - Removed the requirement for a U.S. mailing address for Foreign National products. - Employees of Planet's Correspondent Sellers are not eligible borrowers. Credit Eligibility - Added a new section providing guidance on the treatment of student loans. Credit Qualification - Removed the note indicating that ITIN is currently not offered at this time. Employment & Income (General Requirements) - Added a new section providing guidance on employment offers and employment contracts. Income Documentation - Rental Income: Added requirements for non-subject properties purchased in the most recent calendar year for refinance transactions. Prepayment Penalties Prepayment Penalty Structures: Added clarification that fixed prepayment penalties must not be less than 3% and are subject to the maximum allowed by state law. Transaction Eligibility Eligible Transactions: Removed the "Purpose of Cash-Out" section. Removed the Compliance, Ability to Repay, and Exclusionary List/OFAC sections.	Chapter 5: Planet Non- Agency Program Guidelines
Principal Reductions - Added clarification on when a Principal Reduction can be used. - Added FHA, VA and USDA guidance on Cashback Limitations Post Purchasing Documents - Corrected the Shipping Address to send trailing documents.	Chapter 8: Loan Purchasing
Seller Guide Release April 30, 2026	
Employment and Income: - New section added. - Added requirements for Rental Income eligibility. Improvements: A section was added to address eligible and ineligible improvements.	Chapter 5: Freddie Mac CHOICERenovation Program Guidelines
Employment and Income: New section added. Improvements: A section was added to address eligible and ineligible improvements	Chapter 5: Freddie Mac CHOICEReno eXPress Program



Update / Description of Change	Section
	Guidelines
Property Eligibility > Eligible Properties: Clarified requirements for properties owned free and clear.	Chapter 5: FHA Conforming and High Balance Program Guidelines
Locked Loan Delivery Policy: Added clarification that loans must be funded prior to submission to Planet.	Chapter 6: Lock Registration and Commitments
Loan Submission: Added clarification that loans must be funded prior to submission to Planet.	Chapter 7: Planet CORE Seller Portal - Loan Submissions
Seller Guide Release April 16, 2026	
Assets > Reserves: Removed requirements for verifying reserves for LPA Approved mortgage secured by second homes and investments properties. DTI > Installment Debt: Added note regarding requirements for Auto Lease payments for when the remaining balance is paid off/prepaid. Financed Properties: Removed the requirement of 720 FICO score for second home and investment properties with the number of 1-4 unit properties is > 6. Manufactured Homes: Increased the maximum mortgage term from 20 years to 30 for Cash-out transactions.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
DTI: Added clarification for requirements for GUS Refer, Refer with Caution, or Manually Underwritten Loans and Debt Ratio Waivers.	Chapter 5: USDA Purchase and Non-Streamlined Refinance
A-4.01(a)(i) - The Early Payment Default provision has been restructured into a clearly labeled subsection "(i) QM Mortgage Loans" establishing a dedicated, product-specific EPD framework for qualified mortgage loans. - The substantive remedy structure (repurchase or Recourse Fee plus indemnification, at Planet's election) is preserved and now exclusively tied to the QM loan category. A-4.01(a)(ii) - A new subsection "(ii) Non-QM Mortgage Loans" has been added, establishing a purpose-built EPD framework calibrated to the risk profile of non-qualified mortgage loans. - The provision triggers if any Non-QM Mortgage Loan becomes thirty (30) days or more Delinquent with respect to the first (1st), second (2nd), or third (3rd) scheduled Monthly Payment payable to Planet following the related Purchase Date, at which point the Seller is required, at Planet's election, to repurchase the Non-QM Mortgage Loan at the related Repurchase Price within thirty (30) days of Planet's written demand. A-4.01(e) - A new paragraph has been added to Subsection A-4.01(e) introducing the defined term "Repurchase-Required Mortgage Loan" and establishing an express anti-evasion rule. - The provision provides that if a Seller or any of its Affiliates — or any of their respective correspondent originators, wholesale brokers, or other Third-Party Originators — refinances a Mortgage Loan that the Seller is required to repurchase under the Agreement (rather than fulfilling the repurchase obligation), such refinancing shall conclusively be deemed to have been improperly solicited in violation of Subsection A-4.01(e), and the Seller shall be required to remit the related Refinanced Mortgage Loan Penalty to the Planet Account within thirty (30) days.	Appendix A
Seller Guide Release April 09, 2026	
Grid > Reference section	Chapter 5: Freddie



Update / Description of Change	Section
- Updated Grid table to remove Super Conforming loan limits. - Added reference note to 2026 Conforming and Super Conforming loan limits to show Super Conforming Mortgages are Ineligible for Home Possible program. Assets: Removed unsecured loan proceeds language to align with Freddie Mac updates. Employment and Income: Added base earnings requirement for fluctuating and non-fluctuating income to align with Freddie Mac. Temporary Buydown: Updated Super Conforming Loans from Eligible to Ineligible.	Mac Home Possible Program Guidelines
Employment and Income: Added base earnings requirement for fluctuating and non-fluctuating income to align with Freddie Mac.	Chapter 5: Freddie Mac Refi Possible Program Guidelines
Seller Guide Release April 02, 2026	
Program Grid - Reference section updated to remove the prior requirement for Florida new or newly converted condominium projects to obtain PERS approval. Property Eligibility - Eligible Property Types: Updated to reflect, new condominium projects in Florida without PERS approval have been reclassified from Ineligible to Eligible. - Eligible Project Types - Condominiums (Attached/Detached, Live-Work): Added note: Limited Review to be retired for all loan applications received on or after August 3, 2026. - New Condo Projects: Updated to reflect the retirement of the 50% investment property concentration limit for Established Condominium Projects reviewed under the Full Review option, in accordance with current guideline changes. - Project Review Waiver Criteria and Exceptions: Added expanded eligibility criteria for Waiver of Project Review.	Chapter 5: Fannie Mae Conforming Program Guidelines
Property Eligibility - Condominiums: - Note added to reflect the retirement of Streamline Review as outlined in the Freddie Mac guideline changes effective August 3, 2026. - Removed Florida specific language and updated the general guidelines accordingly. - Eligible Properties: New condominium projects in Florida without PERS approval are now considered Eligible. - Project Review Waiver Eligibility Criteria: Section added to clarify the specific eligibility requirements for projects utilizing the Project Review Waiver.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Construction to Perm - Eligible Properties: - Removed Site Condos that meet USDA Pub Eligibility requirements as they are considered Single Family units. - Added clarification that 1-Unit Properties include detached PUDs and modular construction. - Ineligible Properties: - Removed New Construction Modular Homes - Added 2-4 Unit Properties Property Eligibility - Eligible Properties: Removed note regarding Site Condos not meeting criteria are ineligible as it was duplicative. - Ineligible Properties: removed modular homes from list.	Chapter 5: USDA Purchase and Non-Streamlined Refinance
Age of Documents - Asset and income documentation is now valid for 120 days from the note date, increased from the previous 90-day requirement. Borrower Eligibility - Inter Vivos Revocable Trust is now permitted for the DSCR Program. Credit Qualification - Foreign Nationals with an ITIN are not eligible for the Foreign National DSCR Program and must be underwritten under the ITIN DSCR Program.	Chapter 5: Planet Non-Agency Program Guidelines



Update / Description of Change	Section
Credit Eligibility - Added the following clarification: A tri-merge credit report with no active credit freezes is required. Financed Properties - Maximum exposure to Planet is limited to the lesser of \$7.5 million or 10 financed properties. - The maximum financing requirement for second homes and investment properties has been removed. Income Documentation - Alternative Documentation: Added the following clarification: If two months of bank statements are not available, the personal account will be treated as a business account. - Supplemental Income Sources: Added the following clarification: The Supplemental Rental Income section does not apply to the DSCR Program. Debt Service Coverage Ratio (DSCR) - Eligibility: Maximum LTV of 70% is required for first-time investors. Restrictions - Added the following clarification: Rural properties exceeding 20 acres are ineligible.	
Single-Family and Individual PUD Unit Policy - Added to specify that Master Insurance Policy must provide coverage on a replacement cost basis with the exception of the roof. Condominium-PUD (Common Areas) - Removed Modular homes from Ineligible Property List. - Added project insurance Risk appraisal or statement from the insurer or other applicable professional to make a determination as acceptable documents to sure coverage sufficiency. - Added \$50,000 maximum deductible requirements for Master Insurance Policy - Added Additional requirements for HO-6 policies. - Updated the maximum deductible for HO-6 policies to be the greater of 5% of the face value of the policy or \$2,500.	Chapter 8: Loan Purchasing
Seller Guide Release March 19, 2026	
Employment and Income > Rental Income section: Added ADU Rental Income section to provide guidance on qualifying rental income from Accessory Dwelling Units (ADUs). Texas Refinance Transactions > Appraisal Requirements section: Added desk or field review can be used to address deficiencies identified in the completed appraisal.	Chapter 5: Fannie Mae Conforming Program Guidelines
Assets: Added additional requirements and clarification on eligibility and documentation requirements for gift of equity. Employment and Income > Income Commencing After the Note Date section: Added the following clarification - Probationary periods including training or orientation are not considered a contingency of employment offer	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Seller Guide Release March 12, 2026	
Temporary Buydown: - Added Eligible Transactions – Removed No Cash- out to align with agency guidelines. - Clarification Added – High Balance transactions are eligible for properties located in high-cost areas, subject to applicable agency loan limits and guidelines.	Chapter 5: Fannie Mae HomeReady Program Guidelines
Mortgage/Rental History: Updated to include Prior Approval and Special Agreement verbiage to ensure compliance with FHLMC guideline requirements.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Appraisal: Added clarification that AVMs that allow for interactive manipulation in any way are not acceptable.	Chapter 5: VA IRRRL Program Guidelines
Seller Guide Release March 05, 2026	



Update / Description of Change	Section
Renovation Time Frame : Updated Renovation Time Frame to 450 days to align with guideline requirements	Chapter 5: Freddie Mac Choice Renovation Program Guidelines
Credit: Removed duplicate content regarding Credit History Credit Report/ Scores: Updated Credit Inquiries from 120 days to 90 days to align with FHA requirements.	Chapter 5: FHA Conforming and High Balance Program Guidelines
Seller Guide Release February 26, 2026	
Employment and Income > Rental Income: Updated rental income section by removing bullet points to align with FHLMC guidelines. Income Commencing After Note: Revised Section to reflect current guideline requirements.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Seller Guide Release February 19, 2026	
Updated Seller eligibility standards to: - Establish minimum adjusted net worth requirements of: \$1.5MM for Delegated Sellers and \$500K for Non-Delegated Sellers - Include a 20% liquidity requirement.	Chapter 1: Seller Eligibility
- Revised FHA Non-Delegated underwriting guidance, including Sponsored TPO and Principal/Authorized Agent delivery structures. - Removed specific loan-attribute-based prior approval requirements for Delegated Sellers. - Clarified prior approval responsibilities for Delegated and Non-Delegated Sellers, including FHA 203(k) prior approval options and related fees.	Chapter 3: Prior Approval
- Corrected Product name to "Planet Non-Agency" in the Matrix - Clarified DSCR ITIN & Non-QM HELOAN are in product pending, in progress Planet Non-Agency - Updated version numbers: - Planet Non-Agency Guidelines – v1.3 - Gold Matrix – v1.3 - Silver Matrix – v1.3 - Bronze Matrix – v1.4 - DSCR – Foreign National Matrix: Corrected Fixed Rate Terms to 30 year fixed only - DSCR ITIN [New Section – in progress, pending launch]	Chapter 5: Products and Programs
Assets > Gift Funds > Acceptable Donors for Gift Funds: Revised terminology to replace "godparent" with a broader description of an individual with a long-standing familial-like or mentorship relationship to the borrower. Credit Report/Scores > Credit Exceptions / Non-Traditional Credit: Revised the Credit Exceptions / Non-Traditional Credit section to align documentation requirements with DU messaging, remove prescriptive property, LTV, and product overlays, and clarify the number of nontraditional credit references required. Property Eligibility > Transactions Type Permitted with Manufactured Homes > MH Advantage: Updated the MH Advantage section to refine examples of eligible architectural, foundation, durability, and energy-efficiency features and add a reference to Selling Guide B2-3-02 for additional guidance.	Chapter 5: Fannie Mae Conforming Program Guidelines
95.01-97% LTV - Clarified Minimum MO requirements for LTVs of 90.01-97%: 25% for HomeReady - Removed reduced MI factor as it is not permitted Employment and Income > Very Low-Income Purchase (VLIP) Credit - \$2,500 LLPA Credit : Revised the date for loans eligible for the VLIP credit: January 29, 2027 Mortgage Insurance - Added note that reduced MI is not permitted	Chapter 5: Fannie Mae HomeReady Program Guidelines



Update / Description of Change	Section
Added ARMS as a separate line in the Required MI Coverage Grid, removed footnote.	
Manufactured Homes > Additional Requirements - Revised square footage requirements to reflect 400 square feet to align with 2026-1. - Added Note that planet has an overlay restricting Singlewide Manufactured Homes. Properties with an Accessory Dwelling Unit (ADU) - Updated the ADU section to clarify classification of additional finished areas, including a note regarding kitchen appliances, and to align terminology with Freddie Mac guidance.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Employment and Income > \$2,500 LLPA Credit for Very Low-Income Purchase (VLIP) Borrowers - Revised the date for loans eligible for the VLIP credit: January 29, 2027 Mortgage Insurance - Created Manufactured Home line and removed foot note	Chapter 5: Freddie Mac Home Possible Program Guidelines
Revised Chapter name to "Chapter 5: Non-Agency Program Guidelines" Income Documentation > Asset Depletion > Verification & Documentation - Clarified that additional conditions will apply for accounts with early withdrawal penalties Prepayment Penalties - Added legal disclaimer to the Prepayment Penalty section Prepayment Penalty Restrictions > Prohibited States - Removed New Jersey and New York as prohibited states Prepayment Penalty Restrictions > Restricted States - Clarified the following states have PPP Restrictions: Illinois (see vesting), Mississippi (See Penalty Structure), New Jersey (see versing), and Pennsylvania (See Loan Amount) Prepayment Penalty Restrictions > Restricted States > Restricted Basis - Added the following categories: Vesting, Loan Amount, and Penalty Structure Reliance Letter - Clarified Acceptable TPR Firms. - Clarified Grading Requirements: "B" or better	Chapter 5: Non-Agency Program Guidelines
Seller Guide Release February 05, 2026	
2026 Loan Limit Matrix Grid - Updated reference notes for Hawaii/ Alaska - Clarified-Alaska does not have any high-cost areas	Chapter 5: Fannie Mae Conforming Program Guidelines
2026 Loan Limit Matrix Grid - Updated reference notes for Hawaii Available Markets - Updated Section to defer to main chapter for all Available Market requirements.	Chapter 5: Fannie Mae High Balance Program Guidelines
2026 Loan Limit Matrix Grid - Updated Grid to reflect 2026 loan limit values for Hawaii/Alaska - Clarified- Alaska does not have any high-cost areas	Chapter 5: Fannie Mae HomeReady Program Guidelines
Standard Conforming and Super Conforming Owner-Occupied Fixed Rate Matrix - Increased maximum LTV on 2-4 unit Primary Residences to 95% LTV - Reworked reference notes	Chapter 5: Freddie Mac CHOICERenovation Program Guidelines
Standard Conforming and Super Conforming Owner-Occupied Fixed Rate Matrix - Increased maximum LTV on 2-4 unit Primary Residences to 95% LTV - Reworked reference notes	Chapter 5: Freddie Mac CHOICEReno eXPress Program Guidelines
Seller Guide Release January 29, 2026	
Escrow > Initial Draws at closing Clarified up to 50% of the total renovation costs may be disbursed at closing	Chapter 5: Fannie



Update / Description of Change	Section
- Eligible upfront disbursements include, but are not limited to: - Material purchases - Permit fees - Architectural and design services - Borrower-required contractor deposits Maximum Renovation Cost > Manufactured Homes - Clarified that renovation costs for eligible manufactured homes may now be up to 50% of the as-completed appraised value. Transactions > Eligible > Rate/Term and Limited Cash-Out Refinance - Clarified Fannie Mae HomeStyle Renovation allows co-owner buyouts in limited cash-out refinance transactions.	Mae HomeStyle Renovation Program Guidelines
2026 Loan Limit Matrix Grid - Updated to reflect 2026 loan limit values for Hawaii: High-Cost Super Confirming Loan Limits - Added: Alaska does not have any high-cost areas Assets > Acceptable Sources of Reserves - Removed: When used for down payment or closing costs, evidence of the borrowers' actual receipt of funds realized from the sale or liquidation must be documented in all cases. Available Markets - Updated U.S. Territories - Clarified Eligible vs. Ineligible Territories Eligible Properties - Updated Manufactured Homes ADU requirements – added: Mult-wide Manufactured Homes > Manufactured Home ADU's - Added section to clarify: Freddie Mac Permits properties secured by Manufactured Homes, including CHOICEHome to include a Manufactured Home ADU provided the primary dwelling is a Mult-wide Manufactured Home. Basic requirements must be met: - The Manufactured Home ADU must be legally classified as real property. - The Manufactured Home ADU must have a minimum of 400 square feet of finished area. - The Manufactured Home ADU must meet the general requirements related to Manufactured Homes in Section 5703.2, property eligibility requirements in Section 5703.3(a) and title and lien requirements in Section 5703.4 Property Eligibility > Properties with an Accessory Dwelling Unit (ADU) - Added section to clarify: An ADU that is also a Manufactured Home "Manufactured Home ADU" must meet the following additional requirements: - The Manufactured Home ADU must be legally classified as real property. - The Manufactured Home ADU must have a minimum of 400 square feet of finished area. - The Manufactured Home ADU must meet the general requirements related to Manufactured Homes in Section 5703.2, property eligibility requirements in Section 5703.3(a) and title and lien requirements in Section 5703.4.	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
2026 Loan Limit Matrix Grid - Corrected to reflect 2026 loan limit values for Hawaii: High-Cost Super Confirming Loan Limits, revised footnotes to separate Alaska and Hawaii. Available Markets - Corrected U.S. Territories: The U.S. Territories of American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and the U.S. Virgin Islands, are ineligible regardless of delegation. Certificate of Completion> Contractor Requirements > Contractor Requirements-Texas - Added section to provide Clarity for Contractor Requirements in the State of Texas Property Eligibility > Properties with an Accessory Dwelling Unit (ADU) - Revised to direct readers to the main chapter for Accessory Dwelling Unit Requirements	Chapter 5: Freddie Mac CHOICERenovation Program Guidelines
2026 Loan Limit Matrix Grid - Corrected to reflect 2026 loan limit values for Hawaii: High-Cost Super Confirming Loan Limits, revised footnotes to separate Alaska and Hawaii. Available Markets - Corrected U.S. Territories: The U.S. Territories of American Samoa, Guam, Northern Mariana Islands, Puerto Rico, and the U.S. Virgin Islands, are ineligible regardless of delegation.	Chapter 5: Freddie Mac CHOICEReno eXPress Program Guidelines



Update / Description of Change	Section
Certificate of Completion> Contractor Requirements > Contractor Requirements-Texas - Added section to provide Clarity for Contractor Requirements in the State of Texas Property Eligibility > Properties with an Accessory Dwelling Unit (ADU) - Revised to direct readers to the main chapter for Accessory Dwelling Unit Requirements	
2026 Loan Limit Matrix Grid Corrected to reflect 2026 loan limit values for Hawaii: High-Cost Super Confirming Loan Limits, revised footnotes to separate Alaska and Hawaii.	Chapter 5: Freddie Mac Home Possible Program Guidelines
Seller Guide Release January 15, 2026	
Planet Non-QM - Guideline Version: Revised version numbers - Planet Non-QM Guidelines 1.2 - Planet Non-QM HELOAN Guidelines 1.2` - Product Specifications: Revised version numbers - Non-QM Gold Matrix 1.2 - Non-QM Silver Matrix 1.2 - Non-QM Bronze Matrix 1.3 - Non-QM DSCR Foreign National 1.2 - Non-QM HELOAN Matrix 1.2 - Product Specifications: Non-QM HELOAN - Added 10 year fixed term	Chapter 5: Products and Programs
Age of Documents - Single Closing Construction to Permanent: Loans: Added 18-month document age allowance for limited scenarios Available Markets - Delegated Sellers: Puerto Rico added with prior approval requirements - Prior Approval : Clarified for Delegated Sellers Credit Report/Scores - Credit Exceptions/Non-Traditional Credit > When no borrower has a credit score Employment and Income - Rental Income - Clarified requirements for first-time investment property transactions - Removed "First- Time Homebuyer" terminology to align with Fannie Mae (FNMA definitions and usage	Chapter 5: Fannie Mae Conforming Program Guidelines
Available Markets - Delegated Sellers: Puerto Rico added with prior approval requirements - Prior Approval : Clarified for Delegated Sellers	Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Property Eligibility - Eligible Properties: 1-unit properties up to a maximum of 5 acres - Ineligible Properties: Properties greater than 5 acres	Chapter 5: Home Equity Loan 2nd Lien (HELOAN) Program Guidelines
Available Markets - Delegated Sellers: Puerto Rico added with prior approval requirements - Prior Approval : Clarified for Delegated Sellers	Chapter 5: FHA Conforming and High Balance Program Guidelines
Employment and Income Added Note to Non- Credit Qualifying for State of Illinois: For Non – Credit Qualifying FHA Streamline loans in the State of Illinois; income documentation is not required; however, stated, or estimated income must be used to complete the IL APLD registration/certification.	Chapter 5: FHA Streamline Conforming and High Balance Program Guidelines



Update / Description of Change	Section
Available Markets - Delegated Sellers: USVI and Puerto Rico are eligible - Delegated Prior Approval : Required for Puerto Rico	Chapter 5: VA Conforming and High Balance Program Guidelines
Appraisal - Corrected Language- "Transferred Appraisal " - Eliminated: "Legal non- conforming zone properties must indicate that the subject property can be 100% rebuilt if it is severely damaged or destroyed." - Third-Party Appraisal Review: Re-organized with headers Credit Qualification - ITIN vs Foreign National - Separated (bifurcate) ITIN and Foreign National guidelines Credit Eligibility - Removed references to the Exception Request Form and related email. Income Documentation > Alternative Documentation > Bank Statements > Option 2: Third-Party Profit & Loss (P&L) - Profit and Loss Validation: Removed requirement stating P& L gross must align to bank statement deposits within $\pm 10\%$ Income Documentation > Asset Depletion - Added Life Insurance as an ineligible asset Reliance Letter - Added Reliance Letter Requirements	Chapter 5: Planet Non-QM Program Guidelines
Available Products Added 10 – Year Fixed Rate	Chapter 5: Planet Non-QM HELOAN 2nd lien Program Guidelines

2025

Update / Description of Change	Section
Seller Guide Release December 31, 2025	
Down Payment - Converted Grid to Bullet Text for readability. Employment and Income - AMI Evaluation Logic - HomeReady ®: Eliminated outdated logic - Very Low-Income Purchase (VLIP) Credit - \$2,500 LLPA Credit - Clarified timeline for purchase by date - January 30, 2026 Minimum Borrower Contribution/Eligible Source of Funds - Added new section Manufactured Homes - Product: Clarified Manufactured Homes cannot be used in combination with ARMs Temporary Buydown - Ineligible Transactions: Removed 2-4 units as ineligible	Chapter 5: Fannie Mae HomeReady Program Guidelines
Employment and Income - AMI Evaluation Logic - HomeReady ® - Eliminated outdated logic \$2,500 LLPA Credit for Very Low-Income Purchase (VLIP) Borrowers - Clarified timeline for purchase by date - January 30, 2026 Property Eligibility - Clarified Warrantable Condominiums are eligible property types	Chapter 5: Freddie Mac Home Possible Program Guidelines



Update / Description of Change	Section
Seller Guide Release December 18, 2025	
Available Markets - Added the U.S. Virgin Islands as an eligible U.S. Territory - Clarified Markets requiring prior approval - Clarified Eligible vs. Ineligible Territories Credit Report/Scores > DU Case File Requirements - Clarified Minimum Credit Scores and DU Case File Requirements. - Added link to B3-2-03 and SEL - 2025-09 Credit Report Scores > Credit Exceptions/Non-Traditional Credit - When No Borrower has a credit score, all of the above requirements apply in addition to the following - Removed DTI restriction and aligned with FNMA Financed Properties - Removed FICO requirement for 7-10 financed properties to align with FNMA on SEL-2025-09	Chapter 5: Fannie Mae Conforming Program Guidelines
Available Markets - Added the U.S. Virgin Islands as an eligible U.S. Territory - Clarified Markets requiring prior approval - Clarified Eligible vs. Ineligible Territories	Chapter 5: Fannie Mae High Balance Program Guidelines Chapter 5: Freddie Mac Conforming and Super Conforming Program Guidelines
Available Markets - Updated U.S. Territories - Clarified Eligible vs. Ineligible Territories	Chapter 5: VA Conforming and High Balance Program Guidelines
4506-C / 8821 - Added 8821 to 4506-C Section - Renamed "IRS Form 4506-C and Form 8821 Requirements" - Clarified requirements for Credit Qualified & Non-Credit Qualified Streamlines Available Markets - Updated U.S. Territories - Clarified Eligible vs. Ineligible Territories	Chapter 5: FHA Conforming and High Balance Program Guidelines Chapter 5: FHA Streamline Conforming and High Balance Program Guidelines Chapter 5: FHA Limited 203 (k) Conforming and High Balance Program Guidelines Chapter 5: FHA Standard 203 (k) Conforming and High Balance Program Guidelines
Revised to allow for Mortgaged Properties located in the US Virgin Islands.	Appendix A
Seller Guide Release December 08, 2025	
Approvals > Special Approvals Added "Non-QM Product Suite"	Chapter 1: Seller Eligibility
New Product Addition: Planet Non-QM - Added full Non-QM product details, including Gold, Silver, Bronze, DSCR, DSCR Foreign National, and Non-QM HELOAN - Clarified Fixed-rate and ARM requirements for all Non-QM products - Identified and documented version numbers for all related guidelines and matrices	Chapter 5: Products and Programs
Loan Limit Matrix	Chapter 5: Fannie Mae



Update / Description of Change	Section
- Updated to reflect 2026 loan limit values Tax Transcripts - Incorporated 8821 with 4506-C requirements Products > ARMS - Clarified 7/6 & 10/6 Qualifying rate as it pertains to HPML and HPCT rules Limited Cash Out Refinance - Clarified "or other recipient" is permissible per FNMA	Conforming Program Guidelines
Loan Limit Matrix - Updated to reflect 2026 loan limit values Tax Transcripts - Incorporated 8821 with 4506-C requirements	Chapter 5: Fannie Mae High Balance Program Guidelines
Loan Limit Matrix - Updated to reflect 2026 loan limit values Tax Transcripts - Incorporated 8821 with 4506-C requirements Credit Scores/Report - Removed content and deferred back to FNMA Conforming Chapter	Chapter 5: Fannie Mae HomeReady Program Guidelines
Loan Limit Matrix Updated to reflect 2026 loan limit values	Chapter 5: Fannie Mae HomeStyle Renovation
Loan Limit Matrix Updated to reflect 2026 loan limit values	Chapter 5: Fannie Mae RefiNow
Loan Limit Matrix - Updated to reflect 2026 loan limit values Tax Transcripts - Incorporated 8821 with 4506-C requirements	Chapter 5: Freddie Mac Conforming and Super Conforming
Loan Limit Matrix Updated to reflect 2026 loan limit values	Chapter 5: Freddie Mac CHOICERenovation
Loan Limit Matrix Updated to reflect 2026 loan limit values	Chapter 5: Freddie Mac CHOICEReno eXPress
Loan Limit Matrix - Updated to reflect 2026 loan limit values Tax Transcripts - Incorporated 8821 with 4506-C requirements	Chapter 5: Freddie Mac HomeOne
Loan Limit Matrix - Updated to reflect 2026 loan limit values Tax Transcripts - Incorporated 8821 with 4506-C requirements	Chapter 5: Freddie Mac HomePossible
Tax Transcripts Incorporated 8821 with 4506-C requirements	Chapter 5: VA Conforming and High Balance
Tax Transcripts - Incorporated 8821 with 4506-C requirements Appraisal - Clarified AVM & 2055 requirements Appraisal > Requirements when Discount Points are charged - Clarified Appraisal should not be ordered through the VA Portal	Chapter 5: VA IRRRL
Tax Transcripts Incorporated 8821 with 4506-C requirements	Chapter 5: VA Alterations and Repair
Initial Release	Chapter 5: Planet Non-QM



Update / Description of Change	Section
Initial Release	Chapter 5: Planet Non-QM HELOAN 2nd Lien
Seller Guide Release November 24, 2025	
- The Purchase Agreement Supplement (Appendix A to the Seller Guide) has been significantly updated to accommodate business purpose mortgage loans and strengthen electronic mortgage processing capabilities. - The changes reflect evolving regulatory requirements and introduce new defined terms, comprehensive business lending requirements, and enhanced compliance monitoring. - These updates position the organization to better serve commercial borrowers while maintaining regulatory compliance.	Appendix A
Seller Guide Release November 06, 2025	
Matrix Grid - Restructured grid: Incorporated 203(h) Loans into footnotes, Added Occupancy Column, and amended Reference Notes. Property Flips - Defined key definitions: Property Flip, Seller Acquisition Date, Resale Date.	Chapter 5: FHA Conforming and High Balance
Seller Guide Release October 30, 2025	
Condo Project Review CondoSafe (Conventional Only): Eliminated CondoSafe content	Chapter 7: Planet CORE Seller Portal – Loan Submissions
Seller Guide Release October 16, 2025	
Added new section outlining requirements for Remote Online Notarization (RON) and In-Person Electronic Notarization (IPEN), including definitions, prior approval process, and Planet Client Administration responsibilities.	Chapter 1: Seller Eligibility
- Transaction Types > Refinance Transactions > Cash Out > Fannie Mae Student Loan Cash Out - Clarified that student loan cash-out refinances (SFC 841) remain subject to standard cash-out requirements, except where Limited Cash-Out LLPAs apply.	Chapter 5: Fannie Mae Conforming
- Revised section to permit the use of either IRS Form 4506-C or Form 8821 for transcript retrieval, when allowed by the IRS and the applicable agency. - Clarified that Form 8821 is not permitted for USDA loans. - Updated completion requirements to apply to both Form 4506-C and Form 8821. - Expanded electronic signature standards to cover both forms. - Clarified that when IRS transcripts are included in the file, a copy of the form used (4506-C or 8821) is not required. - Aligned Post-Purchase QC provisions to include either form, with the continued restriction that Form 8821 is ineligible for USDA loans.	Chapter 7: Planet CORE Seller Portal – Loan Submissions
- Consolidated prior sections (Electronic Signatures, eNotes, Hybrid Closings) into one comprehensive Electronic Signatures and Closings section. - Added Electronic Transaction Compliance standards and key definitions (eClosing, Hybrid Closing, eVault, Controller, Location, Secured Party, RON, IPEN). - Expanded Electronic Notarization Standards with prior approval requirements for RON and IPEN. - Clarified Hybrid Closing requirements and unacceptable transaction types. - Updated eNotes section, aligning ineligible products/loans list and replacing Puerto Rico reference with U.S. Territories.	Chapter 8: Loan Purchasing
Seller Guide Release October 09, 2025	
Compensating Factors	Chapter 5: VA Conforming



Update / Description of Change	Section
VA – Circular 26-25-7: Clarifies use of property energy efficiency ratings in VA underwriting as a potential compensating factor.	and High Balance
DTI Higher PITI ratios (up to 32%) permitted with credit scores ≥ 680 and at least one documented compensating factor, per USDA HB-1-3555 Chapter 11.	Chapter 5: USDA Purchase and Non-Streamlined Refinance
Seller Guide Release September 25, 2025	
Revisions - Appraisals > Appraisal Quality Oversight > Reconsideration of Value > Disclosure & documentation rules split by application date: - Before Sept. 3, 2025 – disclosure at application and appraisal delivery; retain initiation & outcome docs. - On/after Sept. 3, 2025 – disclosure at appraisal delivery only; retain outcome docs only. - Limited Cash-Out Refinance (LCOR) Transactions > Amended allowable cash back to: greater of 1% of new mortgage balance or \$2,000 (from lesser of 2% or \$2,000). - Applies to: - Property Eligibility > Manufactured Home Requirements > LCOR - Rate/Term Refinance Removals - Appraisal > Value Acceptance - Eliminated use of "Appraisal Waivers" to align with FNMA.	Chapter 5: Fannie Mae Conforming
Matrix Grid - Removed "Freddie Owned Cash Out" reference. - Grid restructured to include Conforming & Super Conforming columns. - Increased max LTV/TLTV/HTLTV to 95% for 2–4 unit primary residences with LPA "Accept" (previously 85% for 2-unit, 80% for 3–4 unit). - Footnote added: effective Sept. 29, 2025; applies to purchase and no cash-out refinances. Appraisals – Reconsideration of Value (ROV) - Updated per Bulletin 2025-12. - Disclosure: now only required at appraisal delivery (dual disclosure removed). - Documentation: only outcome documentation must be retained.	Chapter 5: Freddie Mac Conforming and Super Conforming
Borrower Eligibility - Removed detailed Non-Permanent Resident eligibility criteria. - Consolidated ML 2025-09 updates under Ineligible Borrowers. - Clarified ineligibility effective May 25, 2025; added July 31, 2025 purchase deadline.	Chapter 5: FHA Conforming and High Balance
Seller Guide Release September 19, 2025	
Borrower Eligibility Removed content and referred user to the FHA Borrower Eligibility section.	Chapter 5: FHA Streamline Conforming and High Balance
Seller Guide Release September 04, 2025	
Transaction Eligibility > Refinance Transactions: - No Cash-Out Refinance Transactions: Expanded allowable uses of proceeds to include: - Payoff of Interim Construction Financing - Payoff of land contract/contract for deed (with documentation requirements) - Clarified treatment of excess proceeds - Prohibited use of proceeds for delinquent real estate taxes (except under limited cash-out allowance)	Chapter 5: Freddie Mac Conforming and Super Conforming
Seller Guide Release August 28, 2025	
Fees & Charges The veteran cannot pay any of the following fees (if 1% origination fee is charged): Removed "Pest Inspection Fee"	Chapter 5: VA Conforming and High Balance



Update / Description of Change	Section
Allowable Closing Costs: Added "Pest Inspection Fee"	
Renovation Work Timing: - Clarified — work must begin within 30 days of closing and be completed within 120 days. Draws: - Clarified — maximum of 4 draws, not including Final Inspection.	Chapter 5: VA Alterations and Repair
Seller Guide Release August 21, 2025	
Temporary Buydown - Clarified Ineligible Buydown Types: - Excess IPCs: Contributions exceeding program limits - Non-compliant lender buydowns - Premium pricing: Using the credit from selecting a higher rate - Unverifiable funds: Sources that cannot be documented to program standards	Chapter 5: Fannie Mae Conforming Chapter 5: Fannie Mae High Balance Chapter 5 Fannie Mae HomeReady Chapter 5 Freddie Mac Conforming and Super Conforming Chapter 5 FHA Conforming and High Balance Chapter 5 USDA Purchase and Non-Streamlined Refinance Chapter 5 VA Conforming and High Balance
Employment and Income - Adjusted Annual Income > Elderly Household deduction - Amended annual deduction amount to \$525 from \$400 per USDA Bulletin on 08/11/25	Chapter 5: USDA Purchase and Non-Streamlined Refinance
Seller Guide Release July 31, 2025	
- Language refined for clarity throughout the chapter, requirements unchanged Commonly Used Terms - Revised definitions for: - Closing Disclosure - GFE (Good Faith Estimate) - HUD-1 Settlement Statement - TIL (Truth in Lending Disclosure)	Chapter 2: Compliance
Fixed Rate & ARM Grid - Renamed PDMDA Mortgage program to "FHA 203(h) Disaster Relief Loan" Mortgage Insurance Premium Factors Grid - Clarified in the Mortgage Insurance Premium Factor Grid that the Base Loan amount must be used for calculations - Base value cannot exceed \$726,200 FHA Conforming and High Balance Program Guidelines - Guideline revisions in response to ML 2025-17 Special Flood Hazard Areas (SFHA) (Added New Header) - Added subcategories with guidance for: - New Construction in SFHA - Existing Construction in SFHA - Condominiums in SFHA - Manufactured Homes in SFHA - Guideline revisions in response to ML 2025-18 - Appraisals - Revised Minimum Photo requirements - Revised Comparable Photo requirements - Guideline revisions in response to ML 2025-19	Chapter 5: FHA Conforming and High Balance



Update / Description of Change	Section
- FEMA Disaster Declaration Areas - Revised Disaster Policy in Chapter 8 of the Seller Guide - Renamed PDMDA Mortgage – 203(h) to “Section 203(h) - FHA Disaster Relief Loan” - Relocated Section in TOC - Corrected naming throughout the chapter	
- Reorganized & Restructured Content Dual Program Usage & Arbitrage Policy (New Header) - Added new section which clarifies that alternating between Best Efforts and Mandatory is permitted when appropriate, but not for pricing advantage - Outlines acceptable scenarios and potential consequences for misuse	Chapter 6: Lock Registration and Commitments
Disaster Policy - Reorganized content to improve clarity and flow - Refined Seller Certification requirements and formatting for readability - Updated FHA section to align with Mortgagee Letter 2025-19, for loans in Presidentially Declared Major Disaster Areas (PDMDA) - Clarified when property inspections are required or permitted, based on loan type, FEMA designation, appraisal timing, and applicable program guidelines - Standardized terminology for property condition verification methods across all loan types Document Delivery Options - Reformatted content by removing grid layout for improved readability	Chapter 8: Loan Purchasing
Seller Guide Release July 24, 2025	
Appraisal > Valuation Provider Grid - Updated AMC and AVM provider list to reflect current approved vendors. - Removed inactive providers and revised names for merged entities.	Chapter 5: Home Equity Loan 2nd Lien (HELOAN)
Seller Guide Release July 17, 2025	
Available Markets Added Indiana (IN), South Carolina (SC), and Washington (WA) as ineligible states.	Chapter 5: Home Equity Loan 2nd Lien (HELOAN)
Seller Guide Release July 10, 2025	
Employment & Income - Updated exception process for Amended Tax Returns to reflect required approval from Director of Underwriting & Policy Management or VP Correspondent Operations. Transaction Eligibility - Added note that loan purpose may vary for VA Construction-to-Permanent transactions. - Incorporated detailed guidance on VA Construction-to-Permanent loans, including: - Classification criteria for Purchase vs. Cash-Out Refinance based on VA guaranty rules (VA Handbook Chapter 7). - Clarified seller delivery requirements and expectations for loan purpose coding.	Chapter 5: VA Conforming and High Balance
Seller Guide Release June 25, 2025	
Manufactured Homes - Relocated content to “Property Eligibility” section. - Incorporated Manufactured Home criteria into general eligible/ ineligible sections. - Incorporated Note under “Products” section to clarify eligible terms. - Added note that ARMs are ineligible when combined with Manufactured Homes. Property Eligibility - Reorganized content and added additional Headers to support improved readability. Eligible Property Types - Removed “Agricultural properties” as eligible, to align with FNMA Guidelines. - Elaborated eligibility requirements for Manufactured Homes and Mixed Use properties Manufactured Home Requirements	Chapter 5: Fannie Mae Conforming



Update / Description of Change	Section
- Consolidated eligibility, appraisal, site, title, and transaction requirements into one comprehensive section. - Created separate MH Advantage section outlining specific criteria, appraisal photo guidance, and comparable sales rules Ineligible Property Types - Added "Agricultural-type properties" as ineligible. - Clarified "Commercial Properties" as they pertain to Mixed Use. - Incorporated Ineligible Manufactured Home and MH Advantage criteria. Eligible Project Types - Added New Header to contain Project Requirements - Condominium - Manufactured Homes - PUD - Clarified DU/CPM usage, condo review paths, and ineligible project characteristics. Project Waiver Criteria Exceptions - Added New Header to contain Project Requirements - Updated project review types and clarified waiver exception requirements	
95.01% — 97% LTV - Clarified eligibility criteria for purchase transactions. - Updated homeownership education reference and timing requirements Homeownership Education - Clarified when education is required and timing (prior to loan closing). - Outlined acceptable delivery methods and provider standards. - Added reference to Fannie Mae's SFC 184 for LLPA credit eligibility.	Chapter 5: Fannie Mae HomeReady
Appraisal - Restructured content for clarity. - Organized into labeled sub-sections. - Added Freddie Mac ROV process, including: - Borrower disclosure - Submission format - Response handling	Chapter 5: Freddie Mac Conforming and Super Conforming
Seller Guide Release June 20, 2025	
Appraisal – Approved AMCs - Removed Appraisal Nation as an approved AMC vendor Property Eligibility - Eligible Properties - Added Manufactured Homes (doublewide or greater) to the list of eligible property types. - Reorganized eligible property types in alphabetical order for improved readability Property Eligibility – Manufactured Housing - Added Manufactured Housing eligibility: doublewide or greater; primary residence only. - Clarified ineligible attributes: singlewide, second home, investment, leasehold, storage use, temporary buydowns. - Defined Manufactured Home vs. other factory-built housing. - Added requirements for real property classification and lien structure. - Introduced title insurance standards, including ALTA 7 series endorsements. - Specified loan document language and identification requirements (VIN/serial, make, model, size). - Added IBTS verification guidance for missing HUD Data Plate Property Eligibility – Ineligible Properties - Relocated this section to the end of the Property Eligibility chapter for structural consistency. - Added singlewide Manufactured Homes as ineligible	Chapter 5: Home Equity 2nd Lien (HELOAN)
Seller Guide Release June 12, 2025	
Enhancements & Structural Improvements - Reformatted for clarity and ease of navigation - Organized content into labeled subsections (e.g., About Planet, Program Offerings, CORE Seller Portal, Compliance)	Introduction



Update / Description of Change	Section
- Expanded loan program list by category (Conventional, Government, Equity) - Added new Marketing Materials section with disclaimers and usage guidance - Moved operational details and guide usage policies into dedicated sections	
Updates per SEL 2025-04: 95.01 – 97% LTV - Clarified refinance documentation requirements when DU does not confirm Fannie Mae ownership - Minor language edits for consistency and readability Appraisal - Type and Submission Requirements - Added UAD 3.6 implementation note – new dynamic URAR format required for appraisals submitted to UCDP on/after 11/2/26 Appraisal - Data Quality and Integrity - Added note: GLA term retired for apps ≥ 9/8/25; use ANSI Z765-2021 terms for above/below-grade area	Chapter 5: Fannie Mae Conforming
Updates per SEL 2025-04: 95.01 – 97% LTV - Clarified refinance documentation requirements when DU does not confirm Fannie Mae ownership - Minor language edits for consistency and readability Manufactured Homes clarification - Ineligible Properties: - Added Singlewide Manufactured Homes as ineligible. Removed: Temporary Buydowns from ineligible properties - Manufactured Homes are permitted with Temporary Buydowns as referenced in the Temporary Buydown section of the Seller Guide	Chapter 5: Fannie Mae HomeReady
Escrows - Incorporated Headers: Costs and Escrow Accounts, Contingency Reserve, Renovation Escrow Account, Disbursement Methods, Upon Completion of Renovations, Initial Draws at Closing, Cost Increases. - Clarified language regarding eligible renovation costs, including treatment of mortgage payment reserves. - Standardized contingency reserve and disbursement language to align with agency requirements. Property Eligibility - Mixed Use clarification - Eligible Properties: - Added: Mixed Use Properties – Residential and Business Use allowed, subject to agency restrictions and requirements. - Ineligible Properties: - Added: Commercial Property - Clarified that this includes mixed-use properties where commercial use exceeds Fannie Mae limits or impairs the residential character of the property	Chapter 5: Fannie Mae HomeStyle
Updates per Bulletin 2025-7 Appraisal - Type and Submission Requirements - Added UAD 3.6 implementation note – new dynamic URAR format required for appraisals submitted to UCDP on/after 11/2/26 Employment and Income - Wage Earner Borrowers - Military income: Removed W-2 requirement when income is base pay/entitlements only Employment and Income - IRS Form 1099 Income - Expanded LPA automation: 1099 income now eligible when assessed using account data	Chapter 5: Freddie Mac Conforming and Super Conforming
Seller Guide Release June 05, 2025	
- Added definition of significant derogatory credit and default risk. - Introduced 24-month lookback for assessing recency and significance.	Chapter 5: Home Equity Loan 2nd Lien (HELOAN)



Update / Description of Change	Section
Tightened delinquent account threshold from 10% to 5%.	
Seller Guide Release May 30, 2025	
- Reformatted Employment and Income section for clarity and consistency in structure and terminology. - Added AMI Evaluation Logic section to outline DU behavior and 2025 AMI implementation effective May 18, 2025.	Chapter 5: Fannie Mae HomeReady
Employment & Income - Added note for 2025 AMI effective date.	Chapter 5: Fannie Mae RefiNow
- Clarified Reference #6 on program grid is relevant only to Super Conforming Loan Amounts. - Removed AMI data usage details for manual underwrites (Manual UWs are ineligible).	Chapter 5: Freddie Mac Home Possible
- Incorporated Headers: Costs and Escrow Accounts, Contingency Reserve, Renovation Escrow Account, Disbursement Methods, Upon Completion of Renovations, Initial Draws at Closing, Cost Increases. - Clarified language regarding eligible renovation costs, including treatment of mortgage payment reserves. - Standardized contingency reserve and disbursement language to align with agency requirements.	Chapter 5: Freddie Mac CHOICERenovation
- Reorganized content under clearly defined headers: Property Eligibility, Manufactured Homes, Appraisal Requirements, and Closing Requirements. - Added cross-references to USDA HB-1-3555 Chapter 12 and Chapter 13. - Clarified manufactured home age limits – must be ≤20 years from Note Date unless existing USDA 502 loan. - Streamlined eligible/ineligible property lists – added structure and bullet formatting. - Replaced outdated pilot program references with revised national eligibility guidance effective May 5, 2025. - Condensed and clarified eligible loan purposes for manufactured homes – separated new vs. existing unit criteria. - Updated appraisal guidance – added inspection/photo requirements, HUD label verification, cost approach. - Refined closing requirements – added lien release, title classification, warranty retention language	Chapter 5: USDA Purchase & Non-Streamlined Refi
Matrix (Grid) Update: Added reference #3 to program grid.	Chapter 5: VA Conforming and High Balance
Seller Guide Release May 15, 2025	
Ability to Repay/Qualified Mortgage - Removed reference to "HUD-approved" second home transactions Interested Party Contributions - Replaced "IPC limits" with "maximum financing concessions" - Clarified treatment of lender incentives and realtor rebates - Added exclusions for customary fees and premium pricing credits - Reformatted for clarity and consistency	Chapter 5: Fannie Mae Conforming
Interested Party Contributions - Reformatted to align with Freddie Mac Bulletin 2024-9 - Clarified definitions of IPCs, interested parties, and concession types - Added guidance on lender incentives and interest rate buydowns - Included exclusions such as builder forward commitments - Added documentation expectations Employment and Income - Referenced Section 5303.1 for treatment of hourly income fluctuations and minimum hour guarantees - Clarified that IRS Form 1099 may be used to document pension income without applying	Chapter 5: Freddie Mac Conforming and Super Conforming



Update / Description of Change	Section
standard age-of-documentation requirements (Section 5305.1)	
Income - Updated AMI logic per Bulletin 2025-A (LPA vs. manual underwriting timing) - Clarified \$2,500 VLIP credit eligibility, use, and delivery - Restructured VLIP section for clarity Borrower Eligibility - Referred to Freddie Mac Guide for standard criteria - Added Home Possible-specific rules (e.g., non-occupying co-borrowers, VLIP first-time homebuyer requirement) Homeownership Education - Required only if all occupying borrowers are first-time homebuyers - Must be completed by at least one borrower before Note Date - Accepted sources include CreditSmart® and others; see Education section for details	Chapter 5: Freddie Mac Home Possible
Income Added Effective date of May 18, 2025 for the 2025 AMI limits	Chapter 5: Freddie Mac Refi Possible
203(k) Forms and Documents - Updated W-9 reference to March 2024 for contractors and consultants - Renamed identity of interest form to "203(k) Borrower Identity of Interest Certification" - Clarified Consultant Work Write-Up must include labor and material line items - Renamed forms for clarity: "Contractor Acknowledgment" to "Planet Contractor Acknowledgment Form" and "Master Draw Request (9746-A)" to "Draw Request Section 203(k) (9746-A)" - Made minor formatting updates for consistency	Chapter 5: FHA 203(k) Standard
203(k) Forms and Documents - Aligned Contractor Written Proposal requirements with HUD 4000.1 (permits, non-structural work, itemized costs) - Added Work Plan section per HUD guidance; borrower, contractor, or consultant may create; no required format - Updated W-9 reference to March 2024 version - Renamed Contractor Acknowledgment to "Planet Contractor Acknowledgment Form – Limited 203(k) Program" - Made minor formatting updates for clarity and consistency	Chapter 5: FHA 203(k) Limited
Seller Guide Release May 08, 2025	
4506-C - Updated 4506-C guidance to align with Fannie Mae B1-1-03 and B3-3.1-06. - A fully executed 4506-C must be obtained only from borrowers whose income is used to qualify. - Specified that tax transcripts (personal/business) are required only when DU feedback directs. - Added cross-reference to Chapter 7 for general standards, including e-signature and borrower consent. Borrower Eligibility - Reformatted Eligible borrower types to align with Fannie Mae B2-2-01. Homeownership Education - Repositioned Homeownership Education for alphabetical alignment within chapter. Employment and Income - Future Income - Clarified criteria for qualifying income commencing after the Note Date.	Chapter 5: Fannie Mae Conforming
4506-C Added reference to Fannie Mae Conforming Program Guidelines for 4506-C requirements.	Chapter 5: Fannie Mae HomeStyle Renovation
4506-C Updated 4506-C guidance to align with Freddie Mac Sections 5302.2, 5302.4, and	Chapter 5: Freddie Mac



Update / Description of Change	Section
5302.5. - A fully executed 4506-C must be obtained only from borrowers whose income is used to qualify. - Added cross-reference to Chapter 7 for general standards, including e-signature and borrower consent. Borrower Eligibility - Reformatted Eligible borrower types to align with Freddie Mac sections. - Noted I-797 documentation recommendation for EADs expiring within 90 days of the note date. Homeownership Education - New Section - Added Homeownership Education requirements for Freddie Mac Loans. - Employment and Income Employment and Income - Future Income - Clarified criteria for qualifying income commencing after the Note Date.	Conforming and Super Conforming
Product Name - Revised Product name to align with Freddie Mac: - CHOICEReno eXPress and CHOICERenovation. 4506-C - Added reference to Freddie Mac Conforming and Super Conforming Program Guidelines for 4506-C requirements.	Chapter 5: Freddie Mac CHOICERenovation & CHOICEReno eXPress
4506-C - Updated 4506-C guidance to align with FHA Section II.A.4. - A fully executed 4506-C must be signed only by borrowers whose income is used to qualify. - Added cross-reference to Chapter 7 for general standards, including e-signature and borrower consent.	Chapter 5: FHA Conforming and High Balance
4506-C - Added reference to FHA Conforming and High Balance Program Guidelines for 4506-C requirements when Credit Qualifying. - Clarified that 4506-C is not required for Non-Credit Qualifying Streamline refinances.	Chapter 5: FHA Streamline Conforming and High Balance
4506-C Added reference to FHA Conforming and High Balance Program Guidelines for 4506-C requirements.	Chapter 5: FHA 203(k) Standard & 203(k) Limited
4506-C - Updated 4506-C guidance to align with VA Chapter 4 Section 4.8c and 4.10. - Clarified: A fully executed 4506-C must be signed only by borrowers whose income is used to qualify. - Added cross-reference to Chapter 7 for general standards, including e-signature and borrower consent.	Chapter 5: VA Conforming and High Balance
4506-C - Added reference to VA Conforming and High Balance Program Guidelines for 4506-C requirements on Credit Qualifying IRRRLs. - Clarified that 4506-C is not required for Non-Credit Qualifying IRRRLs .	Chapter 5: VA IRRRL
4506-C Added reference to VA Conforming and High Balance Program Guidelines for 4506-C requirements.	Chapter 5: VA Alterations and Repair
- Streamlined the Overview section for readability and modernized language. - Restructured submission, condition upload, and quality control subsections for improved flow.	Chapter 7: Planet CORE Seller Portal: Loan Submissions



Update / Description of Change	Section
Expanded and clarified IRS Form 4506-C requirements, including electronic signature audit log and transcript use guidance.	
Seller Guide Release April 24, 2025	
All Products > General Requirements > Temporary Buydowns - Restrictions - Used consistent language regarding AUS overlay “AUS Approval Required (Manual UW – Not permitted)” FHA > General Requirements > Temporary Buydowns - Restrictions - Added 3/2/1 as eligible - Added 30 Year Fixed overlay for all FHA Temporary Buydowns VA > General Requirements > Temporary Buydowns - Restrictions - Added 3/2/1 as eligible - Added VA Cash Out permitted - Max LTV 90% overlay	Chapter 5: Products and Programs
Appraisals - Expanded and reorganized content - Added a new section, Appraisal Quality and Common Defect Trends - Included detailed subsections Borrower Eligibility > Homeownership Education - Incorporated requirements for Homeownership education - Nontraditional credit, HomeReady, & LTVs >95% + FTHB Property Eligibility → PUDs & Condos - Expanded and reorganized content - Condo section now clarifies Eligible Review Methods: - Full, Limited, & CPM Certification - Clarified requirements - Restructured Eligible Project Types	Chapter 5: Fannie Mae Conforming
Temporary Buydown - Expanded eligible buydown types to include 3-2-1 buydowns - Added detail on eligible/ineligible buydown fund sources - Clarified eligible transactions and property types - Incorporated Planet Overlays for temporary buydowns 30 Year Fixed only - High Balance Ineligible - AUS Approval Required (Manual UW – Not permitted)	Chapter 5: FHA Conforming High Balance
Corrected error in Grid > Streamline-Investment Property, Units: 1	Chapter 5: FHA Streamline Conforming and High Balance
- Revised Grid & Reference Numbers to align with Matrix: 1 – VA Loan Limits, Minimum and Maximum Loan Amounts 2 – References Manufactured Overlays (640 FICO, AUS Approval, Fixed Only) 3 - Cash Out > 90% Corrected Min FICO (600) - Added 25 YF as eligible term - Added Conforming Loan Limits Only - Shifted Manufactured Home details into the Property Eligibility Section	Chapter 5: VA Alterations and Repair
- Removed “and HUD approved second home” line from ATR/QM section - Revised Fees and Charges section - Now aligns with VA Circular 26-24-14, which temporarily allows Veterans to pay reasonable and customary real estate broker fees as applicable. - Added Exception Language and Requirements to support the circular. - Temporary Buydown Section - Eligible Buydown Types: Added 3-2-1 as Eligible - Ineligible Buydown Types: Added 1-1-1 & Removed 3-2-1	Chapter 5: VA Conforming and High Balance



Update / Description of Change	Section
- Eligible Source of Buydown Funds: Added Note regarding IPC Limits - Eligible Transactions: Added VA Cash Out LTV <= 90% as Eligible - Ineligible Transactions: Added VA Cash Out LTV > 90% as Ineligible	
- Added Temporary Buydown section - Permitted - Added note to reference VA Conforming & High Balance Guidelines	Chapter 5: VA IRRRL
Seller Guide Release April 17, 2025	
Added Temporary Buydown section and Planet Overlay that Temporary Buydowns are not permitted.	Chapter 5: FHA Limited 203 (k) Conforming High Balance
Added Temporary Buydown section and Planet Overlay that Temporary Buydowns are not permitted.	Chapter 5: FHA Standard 203 (k) Conforming High Balance
- Temporary Buydown section reorganized and clarification added on Planet Overlays for Temp Buydowns. - Cash Out Transactions section updated to remove bullet under "Cash Out Refinance – Type II" which was incorrectly stating: Maximum LTV using total loan amount cannot exceed 90%.	Chapter 5: VA Conforming and High Balance
- Added Temporary Buydown are Not Permitted. - Contractor Validation section updated to align Builder Requirements with VA Circular 26-25-1: VA no longer requires builders to obtain a VA Builder Identification Number for VA-guaranteed loans involving new or proposed construction.	Chapter 5: VA Alterations and Repairs
Seasoned Loans - FHA 203(k) - Requirements for purchase section updated to add #5: Final title update/ rundown to show there are no contractor liens on the property and #6: Final accounting/ disbursements of all the renovation escrow funds.	Chapter 8: Loan Purchasing
Seller Guide Release April 10, 2025	
- Removed references to Emerging Banker - Revised QC requirements to clarify seller obligations and potential remedies - Included Corporate Tax Returns based on UW Delegation Status - Revised Net Worth sections based on UW Delegation Status - Clarified Licensing requirements ▪ Clarified need for experienced staff overseeing full loan manufacturing and seller guide compliance - Revised Delegation Section to clarify requirements for each status as well as agency specific sponsorship requirements, as applicable - eNotes – removed ineligible products and loan attributes (see Chapter 8) - Application & Annual Recertification revisions: Clarified requirement by approval type, including Financials, QC Reports, resume standards, and more - Reduced timeline for recertification notifications - Initial Notification - changed to 30 days (from 60) prior to recert date - Second and Final Notification – Extends deadline by 15 days (from 60)	Chapter 1: Seller Eligibility
General Program Parameters - Standard Eligibility (All Programs) - Relocated standard eligibility features for improved flow. - Clarified Planet overlays across all products - New Program Eligibility & Delivery Matrix - Clearly defines the following parameters for each agency-eligible product: - Fixed vs. ARM - Delegated vs. Non-Delegated - Special Approval Requirements - Conventional & Government ARM parameters relocated to respective matrices	Chapter 5: Products and Programs



Update / Description of Change	Section
Agency-specific general requirements moved beneath the respective agency products	
- Program Grid - Texas Refinance - Combined Texas 50(a)(6) and Texas 50(f) in one section "Texas Refinance – Fixed Rate Only" - Borrower Eligibility - Eligible Borrowers - Revised Non-US Citizen section to better align with Fannie Mae guidelines. - Added Note emphasizing Seller Responsibility for verifying legal presence and obtaining appropriate documentation based on each borrower's circumstances.	Chapter 5: Fannie Mae Conforming
Borrower Eligibility - Eligible Borrowers - Removed borrower eligibility requirements - Directed sellers to See Fannie Mae Conforming Program Guidelines Borrower Eligibility for all requirements.	Chapter 5: Fannie Mae HomeReady
Appraisals - HPML: Clarified a full appraisal is required for any HPML loan – regardless of Loan Size - Loan Amount < \$150K - Automated Valuation Model "AVM" with a confidence Score $\geq 90\%$, or - A Desktop Appraisal when AVM results in a confidence score of <90% - Stewart Valuation Intelligence Appraisal Desktop Interior Inspection (SVI ADII); or - ValPRAZE Interior from Valligent "Residential Evaluation through Ascribe" was removed as an eligible option - SSRs: SSRs are required for the original appraisal when used to determine value	Chapter 5: Home Equity Loan 2nd (HELOAN)
Original Note - eNote - Revised Reference Note to "See Chapter 8 Loan Purchasing" for a list of ineligible products and loan attributes for eNotes.	Chapter 7: Loan Submissions
eNotes: Ineligible loan attributes were revised: Removed "FHA, USDA, and VA" as ineligible for eNotes	Chapter 8: Loan Purchasing
Section A-1 - Agency Requirement definition updated - eMortgage Requirement definition updated - GNMA Requirement definition updated	Appendix A - Purchase Agreement Supplement
Seller Guide Release April 03, 2025	
- Lien Eligibility - Revised "1st Lien Eligibility" to "Lien Eligibility requirements" - Added Frist Lien Position subcategory. Shifted senior lien requirements to this category. - Added Second Lien and Third Lien position subcategories with guidance Approved AVM Providers - Removed Homegenius as an approved AVM	Chapter 5: Home Equity Loan 2nd Lien (HELOAN)



Update / Description of Change	Section
provider	
▪ Eligible Borrowers ▪ Updated terminology from “Permanent Resident Aliens” to “Lawful Permanent Residents.” ▪ Added Note referencing Mortgagee Letter (ML) 2025-09. ▪ Temporarily Included Non-Permanent Residents under the Note with the following eligibility requirements: • Non-Permanent Residents are eligible for FHA case numbers assigned on or before May 24, 2025. • Loans must be purchased by July 31, 2025. ▪ Ineligible Borrowers ▪ Added Non-Permanent Residents with FHA case numbers assigned on or after May 25, 2025, as ineligible.	Chapter 5: FHA Conforming and High Balance
▪ eNotes and MERs eDelivery ▪ Added subcategories with guidance on the following topics: • Note Delivery Method • Transfer of Control and Location • Master Servicer Transfer Timing • MERS® Transfer Processing Standards	Chapter 7: Planet CORE Seller Portal – Loan Submissions
Seller Guide Release March 27, 2025	
▪ Reorganized and streamlined appraisal guidelines for clarity and usability. ▪ Consolidated related requirements under thematic headers, simplified language for readability, removed redundancies, and applied consistent formatting to improve structure and skim ability. No policy changes made	Chapter 5: FHA Conforming and High Balance
▪ Revised Eligible Borrower Section to align with recent USDA Policy change. ▪ Added Qualified Alien ▪ May include either Permanent Resident Alien or Non-Permanent Resident Alien designation, provided they meet USDA eligibility criteria and submit required documentation. ▪ Added U.S. non-citizen national ▪ A person born in American Samoa or Swains Island ▪ Revised Ineligible Borrowers to include Borrowers with only a Tax Identification Number (TIN). ▪ Added Note regarding USDA retraction of temporary authority to certain non-US citizens .	Chapter 5: USDA Purchase and Non-Streamlined Refi
▪ Revised "Adding/Removing" borrower section to align with Non-Streamlined Refinances.	Chapter 5: USDA Streamlined Refi
Seller Guide Release March 17, 2025	
▪ Property Eligibility: Revised Condo Eligible Project Types to align with FNMA requirements and added guidance for Waiver of Project Review on Condo Projects.	Chapter 5: FNMA Conforming
Seller Guide Release March 13, 2025	
▪ Added Appraisal Review Requirements. Conventional loans with elevated risk require additional evaluation of the appraisal report. ▪ Planet defines "elevated risk" as an SSR Score of 3.5 or Higher or an SSR with no Score. ▪ Sellers are responsible for completing appraisal reviews and addressing any elevated risk factors prior to submission to Planet.	Chapter 5: FNMA Conforming



Update / Description of Change	Section
- Added Appraisal Review Requirements. Conventional loans with elevated risk require additional evaluation of the appraisal report. - Planet defines "elevated risk" as an SSR Score of 3.5 or Higher or an SSR with no Score. - Sellers are responsible for completing appraisal reviews and addressing any elevated risk factors prior to submission to Planet.	Chapter 5: FHLMC Conforming & SC
Seller Guide Release March 06, 2025	
- Credit Report/Scores: Revised language – replaced "encouraged" with "required." - Employment and Income - Other sources of income: Revised language – replaced "encouraged" with "required." - Property Eligibility - General Eligibility Property Requirements: added guidance for general eligibility to align with FNMA. - Property with Solar Panels: added solar panel lien subordination requirements. - Temporary Buydown: added clarity and amended sections.	Chapter 5: FNMA Conforming
Temporary Buydown: added clarity and amended sections.	Chapter 5: FNMA High Balance
- Credit Report/Scores: Revised language – replaced "encouraged" with "required." - Employment and Income - Rental Income: Revised language – replaced "encouraged" with "required." - Temporary Buydown: added clarity and amended sections.	Chapter 5: FNMA HomeReady
Temporary Buydown: removed overlay.	Chapter 5: FNMA RefiNow
- Renovation Contract: Revised language – replaced "encouraged" with "required." - Temporary Buydown: Not Permitted.	Chapter 5: FNMA HomeStyle Renovation
- Credit Report/Scores: Revised language – replaced "encouraged" with "required." - Property with Solar Panels: added solar panel lien subordination requirements. - Temporary Buydown: added clarity and amended sections.	Chapter 5: FHLMC Conforming & SC
- Credit Report/Scores: Revised language – replaced "encouraged" with "required." - Temporary Buydown: added clarity and amended sections.	Chapter 5: FHLMC Home Possible
Temporary Buydown: removed overlay.	Chapter 5: FHLMC Refi Possible
Temporary Buydown section added.	Chapter 5: FHLMC ChoiceReno eXPress
Temporary Buydown section added.	Chapter 5: FHLMC Choice Renovation
- Property Eligibility - Manufactured Homes: USDA changed effective date of Manufactured Home Changes. Reverted guidelines back to previous iteration. Added Note for clarity. - Temporary Buydown: added clarity and amended sections.	Chapter 5: USDA Purchase and Non-Streamlined Refi
IRS Form 4506-C section: Revised language – replaced "encouraged" with "required."	Chapter 7: Planet CORE Seller Portal - Loan Submissions
Seller Guide Release February 27, 2025	
- Removed "Newly Enacted" from Laws & Acts section - Patriot Act Compliance clarified.	Chapter 2: Compliance



Update / Description of Change	Section
- Clarified Ineligible Loan types as it pertains to High Cost - Eliminated annual values table and provided a URL for points and fees limits - Structural & Formatting Improvements	
Added Maryland as eligible state	Chapter 5: Home Equity Loan 2nd Lien
- Corrected Grid: Manufactured Home Max CLTV 96.50% Purchase 97.75% for Refinance	Chapter 5: FHA Conforming HB
- Added Minimum Credit Score for Credit Qual = 580 - Added Minimum Credit Score for Non-Credit Qual = 600 - Added instructions on how to calculate LTV for MIP under the MIP Grid.	Chapter 5: FHA Streamline Conforming HB
- Relocated Ineligible Property section - Added Singlewide Manufactured Home as ineligible property type - Revised Manufactured Home Section to allow for existing manufactured homes nationwide with restrictions. Eliminated the "Pilot Program" - Added new Age Requirements for existing Manufactured Homes – manufactured date must be within 20 years of loan closing and comply with FMHCSS and HUD - Added additional sections to support New and Existing Manufactured Homes. - Correction: revised "taxed" to "taxes"	Chapter 5: USDA Purchase Non-Streamlined Refi GG
Seller Guide Release February 20, 2025	
- Revised Appraisal section to align fully with Freddie Mac. - Added ACE + PDR section to adhere to Freddie Mac 2025-1.	Chapter 5: Freddie Mac – Conforming and Super Conforming
Removed "through an approved Credit Reporting Agency" for UDM data requirements.	Chapter 5: Home Equity Loan 2nd Lien
Revised the Maximum LTV/CLTV for a Rate and Term refinance, for the 85% LTV range to match the updates made last week.	Chapter 5: FHA Conforming HB
Multiple repurchase and payment deadlines changed from 5 days to 30 days (e.g., for rejected loans, defects, recourse events, early payment defaults, and solicitations).	Appendix A
Seller Guide Release February 13, 2025	
- Removed overlay requiring soft pull 10 days prior to note. - Added UDM or Soft Pull as options for debt verification on all loans.	Chapter 5: Home Equity Loan 2nd Lien (HELOAN)
- Corrected Footnote #6 to read "Maximum LTV for a Rate/Term refinance is limited to 85%, if the borrower has occupied the property as their principal residence for less than 12 months prior to case number assignment." - Added "Manual Underwrites and Rental Income from Boarders of the Subject Property" section to align with ML 2025-04. Added guidance on documentation and calculation. - Revised "Boarder Income" section in Employment & Income section to align with ML 2025-04. Added guidance on documentation and calculation. - Corrected the Rate/Term refinance section by eliminating "based on the current appraised value" to align fully with FHA on Maximum LTV requirements.	Chapter 5: FHA Conforming HB
Seller Guide Release February 06, 2025	
Employment and Income	Chapter 5: Fannie Mae



Update / Description of Change	Section
▪ Added clarification for when a tax return is not signed: ▪ Each tax return must be signed by the borrower unless the underwriter has obtained one of the following signature alternatives: ▪ Documentation confirming that the tax returns were filed electronically, ▪ A completed IRS Form 4506-C (signed by the borrower) for the applicable year(s), or ▪ IRS transcripts that validate the tax return(s).	Conforming Program
Miscellaneous Guideline Updates ▪ Age of Documents ▪ Asset documentation extended to 120 days old ▪ Paystubs date increased to no earlier than 60 days prior to the loan application. ▪ Appraisal date corrected to 120 days from note date ▪ An AVM (if utilized) must be dated no more than 60 days from the note date. ▪ Appraisals ▪ AVMs permitted with Planet Approved AVM providers for Loan Amounts less than \$150K and not HPML. ▪ Clarified that original appraisal must be ordered from a Planet Approved provider. ▪ Approved AVM Providers: ▪ CA Value AVM™ ▪ CoreLogic – Total Home Value ▪ Clear Capital – ClearAVM ▪ Ice Mortgage Technology – ICE ▪ Homegenius (HG) – Homegenius ▪ Xome – Quantarium ▪ Assets: Bank Accounts ▪ Bank statements must be dated within 60 days of application. ▪ Quarterly and annual Bank Statements dated greater than 60 days and less than 90 days are acceptable. ▪ Available Markets: Maryland was changed to an ineligible state. ▪ Credit: A Credit refresh report within 10 business days of the Note date is required for all loans. ▪ DTI ▪ 30 day Charge Accounts: Requirements removed. ▪ Installment Debt ▪ Installment debt that is not secured by a financial asset, including student loans, automobile loans, timeshares, and home equity loans, must be included in the borrower's DTI ratio if there are more than 10 months remaining. ▪ Employment and Income: Tax transcript guideline revised: 4506 C/Tax Transcripts are no longer required to support the income being used in qualifying. ▪ Property Eligibility ▪ Eligible Properties: Added Modular / Site Built / Factory built properties as eligible. ▪ Transaction Types ▪ Ineligible Transactions: Interest Only HELOANs added as ineligible. ▪ Factory-Built Housing: Modular, Prefabricated, Panelized, or Sectional Housing. Added: ▪ Modular, Prefabricated, Panelized, or Sectional Housing Requirements. ▪ Appraisal Requirements for Modular, Prefabricated, Panelized, or Sectional Housing. ▪ Comparable Selection Requirements for Modular, Prefabricated, Panelized, or Sectional Housing.	Chapter 5: Home Equity Loan 2nd Lien (HELOAN)



Update / Description of Change	Section
Property Insurance - Condominium and PUD – Common Areas > Deductible Maximum - Added the following for clarification: FHA-approved projects or new projects submitted for FHA approval, the HOA must maintain sufficient funds to cover all insurance premiums and deductibles.	Chapter 8:: Loan Purchasing
Seller Guide Release January 28, 2025	
- Corrected 1 unit Credit Qualifying w/ 580 FICO on all occupancy types to conforming loan amounts restricted to 90% LTV. - Combined second home and investment matrices - Matched reference notes exactly.	Chapter 5: VA IRRRL
Seller Guide Release January 23, 2025	
- Added Section for all programs: Maximum Number of Borrowers. - A maximum of four applicants are permitted on any mortgage application, regardless of the loan product.	Chapter 5: Products and Programs
- Re-worked matrix to match correspondent documents - Combined Credit Qualifying & Non-Credit Qualifying into one matrix - Updated Minimum FICO for Non-Credit Qualifying to 600 - Added Man Home Min FICO regardless of Credit Qual.	Chapter 5: VA IRRRL
Seller Guide Release January 09, 2025	
Revised References to match the corresponding matrix.	Chapter 5: FNMA HomeReady Grid
Employment and Income > Income Limits > Home Possible VLIP Credit - Changed date for VLIP Credit to reflect February 1, 2026 - Added "At least one borrower on the loan must be a first-time homebuyer"	Chapter 5: FHLMC Home Possible
Revised Seasoning on Refinance Transactions to reflect: The note date of the refinance loan must be on, or after, the later of: - the date that is 210 days after the date on which the first monthly payment was made on the mortgage being refinanced, and - the date on which 6 full monthly payments have been made on the mortgage. The existing USDA loan being refinanced must have a mortgage payment history which does not reflect a delinquency greater than 30 days within the previous 180-day period. All other refinance requirements described in HB-1-3555, Chapter 6.	Chapter 5: USDA (Non-Streamlined Refi, Streamlined, & Streamlined Assist)